Set 1: What a business is

Outcome ENT.START.01: Describe a business as solving a problem for customers who pay, and tell revenue-seeking activity from a hobby

Module: Foundation 1: Start here

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A business sells something people want: a service, a product, a digital file, or content. An entrepreneur is a person who starts and runs a business and takes on its risk. The key test is simple: does it solve a problem or meet a want for customers who are willing to pay? A hobby is done mainly for enjoyment; it may sell sometimes, but it is not organized to earn money. A business plans to earn more than it spends over time, even if it starts small.

Dana bakes bread for fun and gives it to friends. Which change would turn this into a business?

A. She buys a bigger, more expensive oven so she can bake more loaves at once.
B. She posts photos of her bread online each day.
C. She bakes twice as many loaves to give away.
D. She starts selling loaves each week to neighbors who pay for them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q1
Entrepreneurship, Set 1: What a business is · MAIN · Q1/5 · Outcome ENT.START.01 (local)

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Which sentence best describes what every business does?

A. It always rents an office or a store building.
B. It offers something that customers want and will pay for.
C. It sells only physical items made in a factory and shipped to stores.
D. It must have employees besides the owner.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q2
Entrepreneurship, Set 1: What a business is · MAIN · Q2/5 · Outcome ENT.START.01 (local)

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Marco fixes bikes. Which fact best shows his bike repair is a business rather than a hobby?

A. He enjoys fixing bikes on weekends.
B. He owns many tools and a work stand.
C. He has fixed his own bike many times and knows every part of it well.
D. He charges a set price and plans to earn more than his costs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q3
Entrepreneurship, Set 1: What a business is · MAIN · Q3/5 · Outcome ENT.START.01 (local)

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What is an entrepreneur?

A. A person who starts and runs a business and takes on its risk.
B. A person who has already earned a lot of money from investing it wisely.
C. Any person who works for a large company.
D. A person who only invents new technology.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q4
Entrepreneurship, Set 1: What a business is · MAIN · Q4/5 · Outcome ENT.START.01 (local)

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Lena tutors math. Which question should she ask first to check that tutoring can be a business?

A. How many hours does she enjoy tutoring?
B. Should she buy a new laptop and tablet for lessons before she starts?
C. Which color should her business cards be?
D. Are there students or parents who will pay for this help?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q5
Entrepreneurship, Set 1: What a business is · MAIN · Q5/5 · Outcome ENT.START.01 (local)

Learn
Think of a lemonade stand. It has something to sell (lemonade), people who want it (thirsty walkers), and a price they pay. That is the core of any business: something people want, customers, and payment. If you take away the paying customers, you have a hobby or a gift. Bigger businesses add more steps, but the core stays the same: a want or problem, an offer that meets it, and customers who pay.

A lemonade stand sells cups to walkers who pay 1 dollar. What are the walkers?

A. The owners
B. The employees
C. The customers
D. The suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q1
Entrepreneurship, Set 1: What a business is · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.01 (local)

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Which of these is a business?

A. Watching many online videos about how to train dogs well
B. Walking a friend's dog as a favor
C. Walking dogs for neighbors who pay 15 dollars a walk
D. Walking your own dog every morning

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q2
Entrepreneurship, Set 1: What a business is · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.01 (local)

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Sam paints pictures only for his own walls. What is missing for this to be a business?

A. A studio in another room
B. Customers who pay for the paintings
C. A larger set of paint brushes
D. More hours spent painting each week

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What three parts does every business need?

A. Something to sell, customers, and payment
B. A logo, a website, and a slogan
C. A patent, an outside investor, and a store building
D. An office, a loan, and employees

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Ana knits hats and sells some at a weekend market. Which part of her activity is the business part?

A. Wearing her own hats in winter
B. Selling hats to market shoppers who pay
C. Choosing yarn colors and patterns she likes best for hats
D. Knitting while watching TV

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q5
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Priya sells handmade candles. She charges 12 dollars each, and each candle costs her 5 dollars to make. She sold 20 last month. What is the best sign she is running a business?

A. Her friends say her candles smell wonderful.
B. She charges customers more than the candles cost to make.
C. She has made candles for many years as a relaxing evening pastime.
D. She bought a box of candle jars in bulk.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q1
Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.START.01 (local)

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Tomas mows his own lawn and his grandmother's lawn for free. A neighbor offers to pay him 25 dollars a week. If he says yes and finds more paying neighbors, what has changed?

A. He now needs a store to run his business.
B. He has become an employee of the neighbor.
C. Nothing has changed, because mowing is the same work as before.
D. He now has paying customers, which starts a service business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q2
Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.START.01 (local)

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Which plan sounds most like a business rather than a hobby?

A. Sell 30 phone cases a month at a price above their cost.
B. Design phone cases for my own phone each month.
C. Watch videos about phone case design.
D. Collect rare and unusual phone cases from shops around the world.

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Jun earns a little money from a video he posted, but he posts only when he feels like it and tracks nothing. What would most clearly make his channel a business?

A. Asking friends to like every video
B. Buying a more expensive camera and new lights so his videos look better
C. Planning content and income sources aimed at earning more than his costs
D. Posting a funny video once in a while

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Ruth sells cookies at school events. She spends 40 dollars on ingredients and takes in 35 dollars. What does this tell her about her cookie sales so far?

A. She cannot be a business at all, because she lost money this time.
B. She is making a good profit already.
C. She is breaking exactly even.
D. She is spending more than she takes in, so she is losing money.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q5
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Keisha sells jewelry online but earns less than she spends on supplies every month and has no plan to change prices or costs. Which statement is most accurate?

A. Losing money is fine forever, as long as people keep liking the jewelry.
B. She is already a profitable business.
C. She is selling, but without changes it will keep losing money.
D. Selling online means she must be a hobby.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q1
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.01 (local)

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Two friends sell T-shirts. Friend A sells 5 a month to strangers above cost. Friend B gives 50 away to promote a club. Which is acting more like a business?

A. Friend A, because strangers pay more than the shirts cost
B. Friend B, because more shirts went out
C. Both equally, because both handle shirts
D. Neither of them, because T-shirts are not a real product to sell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q2
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.01 (local)

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A learner says, "A business must start big with an office, staff and a loan." What is the best response?

A. A business must avoid ever having an office.
B. Many businesses start small, from home, with the owner doing the work.
C. Only loans make something a business.
D. That is correct, because small starts at home are not real businesses.

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Omar is not sure whether his weekend drone photography will become a business. What should he check first?

A. Whether his friends and family think his photos look really nice
B. Whether he can name the business today
C. Whether his drone is the newest model
D. Whether people will pay a price that covers his costs and time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q4
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.01 (local)

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Carla charges 20 dollars per haircut at home. Supplies cost 4 dollars per cut, and she does 10 a month. She says she has no business costs at all. What is she forgetting?

A. The 4 dollars of supplies per cut are a business cost.
B. Haircuts can never have costs.
C. Costs only exist for big companies.
D. Her customers pay for her supplies directly, so they are not her costs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q5
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.01 (local)

Set 2: Side business or full-time business

Outcome ENT.START.02: Compare a side business with a full-time business by time, income needs and risk

Module: Foundation 1: Start here

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A side business runs alongside a job or school. A full-time business is your main work and main income. A side business usually has less risk, because a paycheck or other income still covers living costs while you test the idea, but it has less time. A full-time business has more time but more risk: if sales are slow, personal bills may go unpaid. Many owners start on the side, then decide later using evidence such as steady sales, savings and a clear plan.

Mia works 40 hours a week and wants to test a pet-sitting idea. Which plan has the lower personal risk?

A. Borrow money to open a large pet hotel later this month
B. Sign a long lease for a pet store
C. Keep her job and pet-sit on weekends to test demand
D. Quit her job today to pet-sit full time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q1
Entrepreneurship, Set 2: Side business or full-time business · MAIN · Q1/5 · Outcome ENT.START.02 (local)

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What is the main tradeoff of a side business?

A. No customers and no costs
B. Lower risk to your income, but less time for the business
C. More time for the business and no risk at all to income
D. Higher risk and more time

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Which situation best fits a full-time business?

A. The owner tries it during a school break.
B. The owner works on it two evenings a week.
C. The owner has another full-time job that pays all of the bills.
D. The business is the owner's main work and main source of income.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q3
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Leo's side business earns 300 dollars a month. His personal bills are 2,000 dollars a month. What does this tell him about quitting his job now?

A. The business does not yet earn enough to cover his bills.
B. He can quit, because 300 dollars is steady income.
C. He should close the business now, because 300 dollars is too small.
D. He can quit, because bills do not matter at first.

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Which evidence would best support moving a side business to full time?

A. A new logo and website
B. Several months of steady sales plus savings to cover slow months
C. One very good week of sales
D. Many friends and relatives saying the idea is great and will grow

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q5
Entrepreneurship, Set 2: Side business or full-time business · MAIN · Q5/5 · Outcome ENT.START.02 (local)

Learn
Picture two people starting a cleaning service. Ana keeps her job and cleans homes on Saturdays. Ben quits his job and cleans homes every day. Ana has fewer hours but still gets her paycheck, so slow weeks do not hurt her bills. Ben has many more hours to find customers, but a slow week means less money for rent and food. That is the basic tradeoff between a side business and a full-time business: time versus risk.

Ana cleans homes on Saturdays and keeps her job. What kind of business is this?

A. A side business
B. A corporation
C. A hobby only
D. A full-time business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-B1-Q1
Entrepreneurship, Set 2: Side business or full-time business · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.02 (local)

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Ben quit his job to clean homes every day. What is his main extra risk compared with Ana?

A. He has fewer hours than Ana to look for customers.
B. He cannot have customers.
C. A slow week can leave him short for personal bills.
D. He must pay for a store.

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Entrepreneurship, Set 2: Side business or full-time business · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.02 (local)

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What does a side business usually have less of?

A. Customers who pay for the work
B. Time to work on the business
C. Risk to income
D. Legal rights

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Which word best describes what a job adds to a side business plan?

A. Speed
B. Ownership
C. Safety
D. Customers

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A student runs a small design business after school. Which describes it?

A. Not a business, because students cannot sell
B. A partnership with the school
C. A full-time business with unlimited hours
D. A side business with limited hours

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Rosa has 3 months of savings, a job she likes, and an untested idea for a meal-prep service. Her goal is to test demand without risking her rent. What is the best start?

A. Offer meal prep on weekends while keeping her job
B. Take a large loan to open a restaurant
C. Wait until the idea is perfect before telling anyone
D. Quit her job and spend her savings on a kitchen

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Ivan's side business has earned 2,500 dollars a month for 8 months. His bills are 2,200 dollars a month and he has 6 months of savings. He wants to go full time. Which fact most supports his plan?

A. He enjoys the business more than his current job, so he will work hard
B. His logo won a design contest
C. Steady earnings above his bills, plus savings for slow months
D. A friend says it will definitely grow

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A parent can work only 10 hours a week. Which business setup fits best?

A. Hiring five staff before having customers
B. A business that requires being on call all day
C. A side business with a small number of clients
D. A full-time store open 60 hours a week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q3
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.START.02 (local)

Learn
A side business runs alongside a job or school. A full-time business is your main work and main income. A side business usually has less risk, because a paycheck or other income still covers living costs while you test the idea, but it has less time. A full-time business has more time but more risk: if sales are slow, personal bills may go unpaid. Many owners start on the side, then decide later using evidence such as steady sales, savings and a clear plan.

Which is a good reason to keep a business on the side for now?

A. Sales are growing but still below personal living costs.
B. The business is fully booked every day.
C. The owner has no other source of income.
D. Sales already cover all costs with plenty of savings to spare.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q4
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.START.02 (local)

Learn
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Grace runs a side bakery that makes 600 dollars a month. Going full time might triple sales to 1,800 dollars. Her bills are 2,400 dollars a month. What should she conclude?

A. Tripled sales would leave money to spare.
B. The numbers do not really matter for this kind of decision.
C. She should quit because sales would grow.
D. Even tripled sales would not cover her bills yet.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q5
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.START.02 (local)

Learn
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Owen's employment agreement may limit outside work in the same field. He wants to start a side business doing similar work. What should he check first?

A. How many followers a competitor in the same field has online
B. What his employment agreement says about outside work
C. Whether his friends like the idea
D. Which logo font to use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q1
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.02 (local)

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Nadia plans to quit her job for her business. She has counted business costs but not health insurance, which her job provided. What is the main gap?

A. Health insurance is only a business cost, not a personal one.
B. There is no gap if sales are high.
C. She has counted too many business costs.
D. She has left out personal costs her job used to cover.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q2
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.02 (local)

Learn
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A side business took 25 hours last week on top of a 40-hour job, and the owner is exhausted. Which choice best protects the business and the owner?

A. Stop sleeping enough to fit everything in
B. Keep adding customers until it gets easier
C. Set a weekly hour limit and take only the work that fits
D. Quit the job now without first checking the personal finances

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q3
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.START.02 (local)

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Sales were strong for one month because of a holiday. The owner wants to go full time now. What is the main problem with this evidence?

A. One holiday month may not show normal, steady demand.
B. The owner should ignore all sales numbers.
C. Strong sales in one month prove the business will always keep growing.
D. Holiday sales are not real money.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q4
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.02 (local)

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Two plans: Plan A keeps a job and grows slowly. Plan B goes full time with 2 months of savings and no steady sales yet. The owner's stated priority is never missing rent. Which plan fits that priority?

A. Neither plan, because small businesses never earn enough to cover rent
B. Plan A, because the job keeps rent covered while the business grows
C. Plan B, because full time grows faster
D. Plan B, because savings always last

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q5
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.02 (local)

Set 3: Four ways to sell: services, products, digital, content

Outcome ENT.START.03: Classify a business idea as a service, physical product, digital product or content business, and name what each needs

Module: Foundation 1: Start here

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Jada offers house cleaning for 30 dollars an hour. What kind of business is this?

A. A digital product
B. A content business
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q1/5 · Outcome ENT.START.03 (local)

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Ken sells a printable budget planner that buyers download. What kind of business is this?

A. A content business
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q2/5 · Outcome ENT.START.03 (local)

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Which business must plan for stock, packaging and shipping?

A. Running a cooking video channel
B. Tutoring students over video calls
C. Selling an online course
D. Selling handmade soap online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q3
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q3/5 · Outcome ENT.START.03 (local)

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Ola posts free gardening videos and earns money when brands sponsor them. What kind of business is this?

A. A content business
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q4/5 · Outcome ENT.START.03 (local)

Learn
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What usually limits how much a one-person SERVICE business can earn?

A. Platform sponsorship rules
B. Shipping costs for each item
C. The owner's available hours
D. The number of downloads allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q5/5 · Outcome ENT.START.03 (local)

Learn
Ask one question: what does the customer get? If they get your time and skill, like a haircut, it is a service. If they get an item they can hold, like a mug, it is a physical product. If they get a file or online access, like an e-book or an app, it is a digital product. If people watch, read or listen for free and money comes from sponsors, ads, affiliates or the creator's own products, it is content.

A customer receives a haircut. What do they get?

A. Someone's time and skill
B. An item to hold
C. A file to download
D. Free videos paid for by sponsors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.03 (local)

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A customer receives a mug in the mail. What kind of sale is this?

A. Content
B. A service
C. A digital product sent as a file
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.03 (local)

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A customer pays for access to an online course. What kind of sale is this?

A. Content paid for by sponsors
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q3
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A podcast is free to listen to and earns from ads. What kind of business is it?

A. A service
B. A physical product
C. A digital product sold to listeners
D. Content

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.START.03 (local)

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A tutor also sells a printed workbook. Which two kinds of selling is the tutor doing?

A. A service and a physical product
B. Two services
C. Two digital products
D. A digital product and a content business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q5
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Ben wants to sell custom T-shirts and ship them across the country. Which need should he plan for first?

A. Sponsorship rules for videos
B. Travel time between appointments at customers' homes
C. Stock or printing, packaging and shipping costs
D. Software updates for users

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.START.03 (local)

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Fatima sells an online quiz app. Which ongoing need fits her business best?

A. Customer support and app updates
B. Travel between client homes
C. Packaging materials
D. Restocking boxes of inventory in a storage room

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.START.03 (local)

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Raj runs a lawn-care service alone. He is fully booked. What is the main way to earn more without adding hours?

A. Buy more inventory
B. Post more free videos about lawn care online
C. Raise prices or offer higher-value services
D. Sell more downloads

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q3
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Lucy makes cooking videos and wants income that does not depend only on sponsors. Which option fits a content business best?

A. Remove all links and product mentions from her videos
B. Only accept more sponsors
C. Stop posting videos
D. Sell her own recipe e-book to her audience

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q4
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Which business can sell the same item many times without making a new copy each time?

A. A dog-walking service
B. An e-book sold as a download
C. A cake bakery
D. A hand-painted portrait of a customer's pet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.START.03 (local)

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A yoga teacher runs classes, sells mats, and posts free videos with sponsors. Which statement is most accurate?

A. She mixes a service, a physical product and content.
B. Mixing several kinds of selling is not allowed for one owner.
C. She runs only a content business.
D. She runs only a service business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.03 (local)

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Tom thinks his digital course has no costs because "files are free to copy." Which cost is he most likely forgetting?

A. Restocking printed copies
B. Shipping printed boxes and workbooks to each new student
C. Course platform fees and time to answer student questions
D. Gas for driving to students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.03 (local)

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A creator has many viewers but no income. Which missing piece is most likely the problem?

A. Too many viewers
B. Too few service appointments booked with viewers each week
C. Not enough shipping options
D. No way to earn yet, such as sponsors, affiliates, ads or products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q3
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.START.03 (local)

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A baker wants to also sell a digital recipe book. Her stated goal is extra income without more baking hours. Which addition fits that goal?

A. A weekend market stall
B. The digital recipe book, sold as a download
C. A second oven so she can bake cakes much faster
D. More custom cakes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.03 (local)

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Which question best decides whether an idea is a service or a product?

A. Is the price above 50 dollars?
B. Is the idea popular with people on social media right now?
C. Does the customer receive time and skill, or an item or file?
D. Does the owner work from home?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.03 (local)

Set 4: Founder case: Ben & Jerry's starts small

Outcome ENT.CASE.01: Apply a documented early decision (learning a skill cheaply and starting with one small shop) to a new small business

Module: Foundation 1: Start here

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Learn
Documented history: Ben Cohen and Jerry Greenfield took a $5 correspondence (mail) course in ice cream making from Penn State. In 1978 they opened their first scoop shop in a renovated gas station in Burlington, Vermont. They had first thought about bagels, but the equipment cost too much. Lesson drawn by this course (an interpretation, not their words): learn the skill cheaply, pick an idea whose start-up costs you can afford, and begin with one small location. One success story does not guarantee the same result for another business.

According to the passage, how did the founders learn ice cream making?

A. Buying an existing ice cream company
B. Working several years in a big ice cream factory first
C. A degree in food science
D. A low-cost correspondence course from Penn State

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q1/5 · Outcome ENT.CASE.01 (local)

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Why does the passage say they did not start with bagels?

A. They could not find a building.
B. The bagel equipment cost too much.
C. Nobody in town liked bagels.
D. Bagels were not allowed in Vermont.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q2
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q2/5 · Outcome ENT.CASE.01 (local)

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Which lesson does this course draw from the case?

A. Pick a start you can afford and begin small.
B. Never take a course before starting.
C. Buying the most expensive equipment guarantees success.
D. Always open many locations at once.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q3
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Mo wants to sell smoothies. Applying the lesson, which first step fits best?

A. Skip learning and hope customers come
B. Take an affordable course and test sales at one small stand
C. Open three cafés in one month
D. Buy the most expensive commercial blender line before testing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q4
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q4/5 · Outcome ENT.CASE.01 (local)

Learn
Documented history: Ben Cohen and Jerry Greenfield took a $5 correspondence (mail) course in ice cream making from Penn State. In 1978 they opened their first scoop shop in a renovated gas station in Burlington, Vermont. They had first thought about bagels, but the equipment cost too much. Lesson drawn by this course (an interpretation, not their words): learn the skill cheaply, pick an idea whose start-up costs you can afford, and begin with one small location. One success story does not guarantee the same result for another business.

Which statement about the Ben & Jerry's case is accurate?

A. It shows founders must start in old gas stations to succeed.
B. It shows courses are never useful.
C. It shows one start, not a guaranteed result for other shops.
D. It proves any ice cream shop will succeed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q5/5 · Outcome ENT.CASE.01 (local)

Learn
A good lesson from a founder story uses what is documented, such as a course taken, a first location, or a choice between two ideas. Enthusiasm is different: a friend saying "your shop will be amazing" is a feeling, not evidence. When you study a case, separate the facts that are recorded from the hopes and from later success. Later fame does not prove that each early step was the reason; it only shows what happened in that case.

Which is documented in the passage about Ben & Jerry's?

A. They opened their first shop in a renovated gas station.
B. They knew from the first day that they would be very famous.
C. Every customer loved the first flavor.
D. They never had any doubts.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.01 (local)

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A friend says, "Your ice cream idea will definitely work." What is this?

A. A signed customer contract
B. Enthusiasm, not evidence
C. Proof of demand
D. A documented sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q2
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.01 (local)

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Which is the best evidence that people will buy your ice cream?

A. Many likes on a photo of a cone
B. Your family saying it tastes good
C. A famous national company also sells ice cream
D. Customers paying for scoops at a test stand

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q3
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.01 (local)

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Later fame of a company shows what?

A. That their first shop was the best possible location in the whole state
B. That every early choice was correct
C. That the company became successful, not that each early step caused it
D. That copying them guarantees success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q4
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.01 (local)

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When studying a founder story, what should you separate?

A. Recorded facts from hopes and opinions
B. Dates from names only
C. Good ice cream flavors from bad ice cream flavors
D. Ice cream from bagels

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q5
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Ivy wants to open a bike-repair business. Bike-shop rent is high in her town. Applying the lesson, what is the best start?

A. Sign a five-year lease on a large shop on the main street now
B. Learn repairs through an affordable class and start with mobile repairs
C. Open in three neighborhoods at once
D. Buy every tool before her first customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.01 (local)

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Two ideas: Idea A needs 20,000 dollars of equipment. Idea B needs 1,500 dollars. Owner savings are 3,000 dollars and her goal is to avoid debt. Which idea fits the lesson and her goal?

A. Neither, because all equipment is risky
B. Idea A, because bigger ideas earn more
C. Idea A, because expensive equipment always pays for itself
D. Idea B, because its start-up cost fits her savings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q2
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Sam wants to make candles. Which first step best matches "learn the skill cheaply"?

A. Buy a factory candle machine
B. Hire a candle expert full time
C. Follow a low-cost class and practice small batches
D. Skip practice and start selling candles to stores at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q3
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A food-truck owner wants to "start small." Which plan fits best?

A. Run the truck at one weekly market before adding more locations
B. Advertise in every city in the state
C. Buy three trucks before the first sale
D. Open a full restaurant and a food truck together in the first month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q4
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Which statement best applies the case to a new business without overclaiming?

A. Only ice cream businesses can start small.
B. Starting small and affordable lowers risk while you learn.
C. Taking a $5 course guarantees profit.
D. Starting a business in an old gas station guarantees success.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.01 (local)

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Lana copies the "start in an old gas station" idea for her bakery, but local zoning may not allow food businesses there. What should she check before signing?

A. Whether the old gas station building looks charming to visitors
B. Whether friends like the location
C. What year Ben & Jerry's opened
D. Local zoning and health permit rules for that building

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.01 (local)

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Why might "start with one small shop" fail for an online-only business?

A. An online business may not need a physical shop at all.
B. Online businesses must start big.
C. Online businesses cannot start small, so the lesson never applies.
D. Small shops are illegal online.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q2
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Raul says, "They took a $5 course, so I need no other training." What is the main problem?

A. Training is never needed.
B. His business may need more training, licenses or experience.
C. The $5 course was what caused all of their later success.
D. Courses always cost 5 dollars.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q3
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A town already has five ice cream shops. A new owner wants to copy the case exactly. What should be checked first?

A. Which year the founders met
B. How big the founders' very first sign over the shop door was at the opening
C. Whether there is enough demand for another shop and how it would differ
D. Whether the founders liked vanilla

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q4
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Which statement correctly separates history from the course's interpretation?

A. Both the location and the lesson are direct quotes from the two founders.
B. The lesson is a law that all founders follow.
C. The shop location is documented; "start small" is a lesson drawn from it.
D. Neither is documented.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.01 (local)

Set 5: Finding a real customer problem

Outcome ENT.CUST.01: Identify a specific, frequent problem that someone already spends time or money on

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A good business idea starts with a real problem. A real problem happens often, matters to the person, and is something they already spend time or money trying to solve. "People might like this" is weak. "Parents in my neighborhood drive 30 minutes twice a week to a tutor" is strong, because it describes a costly habit that already exists. Look for complaints, workarounds (homemade fixes), and money already being spent.

Which statement describes the strongest customer problem?

A. Some people might enjoy a new kind of phone case someday.
B. Restaurant owners spend hours each week fixing their online menus.
C. My friends said a glow-in-the-dark mug sounds kind of fun.
D. Everyone would probably like more free time in their lives, so it is a problem.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q1
Entrepreneurship, Set 5: Finding a real customer problem · MAIN · Q1/5 · Outcome ENT.CUST.01 (local)

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What is a "workaround"?

A. A product that has already solved the problem fully for everyone
B. A complaint posted online about a company's prices
C. A business rule that customers must follow before buying
D. A homemade fix people use because no good solution exists yet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q2
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Nina notices dog owners in her building tie their dogs outside the grocery store for 20 minutes. What does this suggest?

A. Nothing useful, because the owners have not complained yet
B. Proof that a dog-sitting business will certainly succeed
C. A real, repeated problem that a service might solve
D. A sign that dog owners do not care about their pets at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q3
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Which clue best shows people already spend money on a problem?

A. A news story says homework levels have changed over time.
B. Local parents pay 40 dollars an hour for help with math homework.
C. Students post jokes online about long homework assignments.
D. Parents say math homework is "annoying" whenever they are asked about it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q4
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Which is the best first question for finding a real problem?

A. Would you buy my new homework app if I built it for you someday?
B. How much would you pay for anything I decide to sell?
C. What tasks take up your time each week that you dislike?
D. Do you agree my idea is clever and worth trying out?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q5
Entrepreneurship, Set 5: Finding a real customer problem · MAIN · Q5/5 · Outcome ENT.CUST.01 (local)

Learn
Start with the problem, not your product. Think of a person stuck in a long line at a coffee shop every morning. The problem is wasted time. A product, like an order-ahead app, is one possible answer. If you start with "I want to build an app," you may build something nobody needs. If you start with "people wait 15 minutes every morning," you can test different answers and keep the one people choose. Problems come first; products come second.

People wait 15 minutes in line for coffee each morning. Which part is the problem?

A. The coffee shop's menu
B. The 15-minute wait
C. The price of coffee
D. An order-ahead app

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q1
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Which statement starts with a problem?

A. I will sell bright blue backpacks to everyone.
B. Many renters struggle to find quiet study spaces nearby.
C. My brand will have a lightning bolt logo.
D. I want to build an app with many cool features for people.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q2
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Why start with the problem?

A. So the product is as expensive as possible
B. So you can skip talking to customers completely
C. So you do not build something nobody needs
D. So you can choose a business name sooner

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An order-ahead app is one answer to long lines. Which is another possible answer?

A. Making the coffee cups larger than before
B. Adding a second cashier during rush hour
C. Raising the price of a large coffee
D. Changing the color of the store sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q4
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Which is a product, not a problem?

A. Workers with no time to cook dinner
B. Families wasting food every week
C. A meal-planning app
D. Shoppers forgetting items at the store

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q5
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Three problems a student heard about. Which is best to test first? (1) Neighbors pay a teen 20 dollars to carry groceries upstairs weekly. (2) A cousin wishes shoes came in more colors. (3) A friend says parking is annoying sometimes.

A. Problem 3, because parking is a common topic that comes up in towns
B. Problem 1, because people already pay to solve it every week
C. None, because none of these is a real problem at all
D. Problem 2, because more colors would be fun to design

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q1
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A small bakery owner spends 5 hours a week answering the same questions about allergies by phone. Which business idea targets this problem most directly?

A. A new line of colorful bakery boxes for cakes
B. A social media page with funny bakery jokes and memes for customers
C. A clear allergy guide and order form for bakeries
D. A discount coupon book for bakery customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q2
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Which observation most clearly shows a workaround?

A. Office workers buy lunch from three different nearby restaurants.
B. Office workers share one spreadsheet to track lunch orders.
C. Office workers prefer lunch at noon most days.
D. Office workers enjoy eating lunch together on Fridays.

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A landscaper hears one client say, once, that leaf blowers are loud. What is the best next step?

A. Ignore it, since only complaints written down in emails count
B. Launch a "quiet landscaping" brand next week
C. Buy quiet equipment for the whole crew today
D. Ask more clients whether noise is a repeated problem for them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q4
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Two problems: A happens once a year and costs 10 dollars. B happens weekly and costs 30 dollars each time. Over a year (52 weeks), how much does B cost a person?

A. 30 dollars
B. 520 dollars
C. 1,300 dollars
D. 1,560 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q5
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Many people say traffic is terrible, but none would pay for a service to avoid it. What does this show?

A. Every complaint can become a profitable business quickly.
B. A common complaint is not always a problem people will pay to solve.
C. People will always pay as soon as any service exists, without exception.
D. Traffic is not a real problem for anyone who drives to work.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q1
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Leah's idea solves a problem only she has. Before building it, what should she check?

A. Whether she can design a logo for it this week
B. Whether a big company already has a famous product like it
C. Whether other people have the same problem and spend on it
D. Whether her own problem bothers her a lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q2
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CUST.01 (local)

Learn
A good business idea starts with a real problem. A real problem happens often, matters to the person, and is something they already spend time or money trying to solve. "People might like this" is weak. "Parents in my neighborhood drive 30 minutes twice a week to a tutor" is strong, because it describes a costly habit that already exists. Look for complaints, workarounds (homemade fixes), and money already being spent.

A problem is frequent and annoying, but free tools already solve it well. What is the main thing to learn next?

A. How to make the free tools stop working well for people
B. Why someone would choose a paid option over the free ones
C. Whether the problem is frequent
D. Whether the problem exists at all in this market

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q3
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CUST.01 (local)

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Which piece of information is MISSING before deciding a problem is worth solving? The problem is frequent and people complain about it.

A. Whether people already spend time or money to fix it
B. Whether the founder enjoys thinking about it every day
C. Whether the problem was in the news this year
D. Whether the problem has a catchy name for marketing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q4
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.01 (local)

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A student found that dorm residents lose keys often. Replacing a key costs 25 dollars and happens to about 40 residents per term. What total amount do residents spend on replacements each term?

A. 40 dollars
B. 65 dollars
C. 250 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q5
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.01 (local)

Set 6: Naming a specific customer

Outcome ENT.CUST.02: Describe a specific customer group instead of "everyone"

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
"Everyone" is not a customer. A specific customer is a group you can describe and find: who they are, what situation they are in, and where they can be reached. "Busy people" is too broad. "Parents of children ages 6 to 10 who both work full time in our town" is specific. A specific customer helps you choose words, prices, and places to advertise. You can widen the group later, after you learn what works for the first group.

Which customer description is the most specific?

A. Small businesses of every kind everywhere in the whole world
B. Anyone in Texas who might want to buy things
C. People who like food and eat out sometimes
D. Owners of food trucks in Austin who take card payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q1
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q1/5 · Outcome ENT.CUST.02 (local)

Learn
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Why does a specific customer group help a new business?

A. It guides words, prices and where to advertise.
B. It guarantees that every customer will buy at once.
C. It removes the need to test the idea with anyone.
D. It means the business can never sell to others later.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q2
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q2/5 · Outcome ENT.CUST.02 (local)

Learn
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Rewrite "busy people" as a more specific customer. Which is best?

A. All adults who have jobs in any kind of field
B. Nurses working night shifts who have little time to cook
C. Busy people who use the internet every single day for work
D. People who are busy and want things to be easier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q3
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q3/5 · Outcome ENT.CUST.02 (local)

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A tutor writes, "My customers are students." What detail would make this most useful?

A. Students who like learning new things at school every week
B. Students who have smartphones and laptops
C. High-school juniors preparing for a specific math exam
D. Students of any age anywhere in the country

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q4
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q4/5 · Outcome ENT.CUST.02 (local)

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Which detail helps you FIND a specific customer group?

A. How many hours they usually sleep each night of the week
B. Their favorite color, if it is known
C. Whether they like your logo design
D. Where they gather, such as a local parents' group

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q5
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q5/5 · Outcome ENT.CUST.02 (local)

Learn
Narrowing works in steps. Start with "people who need meals." Add a situation: "people who need meals after surgery." Add a place: "in our city." Add who decides: "usually a family member who orders." Each step removes people who are unlikely to buy and keeps the ones with a clear need. A narrow group is not small thinking; it is a clear target you can actually reach and serve well.

Which step narrows "people who need meals" by situation?

A. People who eat food
B. People recovering from surgery
C. People who live on planet Earth
D. People who like meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q1
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.02 (local)

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Which step narrows a group by place?

A. In our city
B. Who order online
C. Who are adults
D. Who like good food

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q2
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.02 (local)

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Why narrow the customer group?

A. To find people with a clear need you can reach
B. To make all prices higher automatically for every buyer
C. To avoid all marketing
D. To sell to fewer people forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q3
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CUST.02 (local)

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"Family members ordering meals for someone after surgery in our city." How many narrowing steps does it include beyond "people"?

A. One: only the city
B. None at all
C. Three: situation, place and who orders
D. Ten different steps, one for each word in it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q4
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.02 (local)

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Which group is narrower?

A. People who have some animals living nearby them
B. Pet owners
C. Dog owners
D. Dog owners in one apartment complex who work late

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q5
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CUST.02 (local)

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Ray sells a scheduling tool. He can afford to reach only one group first. Which group is best to start with?

A. Independent hair stylists who book clients by text
B. Anyone who owns a smartphone in the country
C. People who think calendars are useful
D. All businesses that have any kind of schedule at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q1
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CUST.02 (local)

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Iris makes gluten-free cupcakes. Which first customer group best fits her product?

A. Anyone who likes eating sweet desserts on the weekends
B. Restaurants of every type
C. People who prefer salty snacks
D. Parents planning parties for children who cannot eat gluten

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q2
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CUST.02 (local)

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A fitness coach targets "people who want to be healthy." Signups are low. What change is most likely to help?

A. Charge the same price but add more fonts and colors
B. Target "everyone who breathes"
C. Focus on new parents who want 20-minute home workouts
D. Remove all descriptions of who it is for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q3
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Which detail matters MOST when choosing a customer group for a home-repair service?

A. Renters whose landlord fixes everything
B. Homeowners nearby who cannot do repairs themselves
C. People who live far outside the area the service covers
D. People who watch home TV shows

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q4
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A group has 2,000 people. A business expects 1 out of every 100 to buy. How many buyers is that?

A. 2
B. 20
C. 100
D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q5
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A seller picked "left-handed violinists in one small town." There are about 5 of them. What is the main risk?

A. The group may be too small to support the business.
B. The group is perfect because narrow is always better.
C. The group is too broad to reach at all.
D. The group must be wrong because violinists exist everywhere.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q1
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CUST.02 (local)

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A founder describes her customer clearly but has not spoken to any of them. What should she do next?

A. Talk to several people in that group to confirm the need
B. Build the full product right away
C. Pay for a large ad campaign immediately
D. Widen the group to everyone living anywhere in her state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q2
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Two possible groups for a laundry pickup service: students in one dorm (300 people, no cars, no convenient laundry in the building) or families in a suburb (3,000 people, most have washers). The goal is a quick first test. Which is the better first group?

A. Neither, because laundry is not a real need

B. The dorm students, because they lack easy laundry and cars and are close together

C. Both at once, to cover every possible customer

D. The suburb families, because their number is ten times larger than the dorm

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q3
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A business sells to small offices, but the person who uses the product is not the person who pays. Which detail should the customer description include?

A. The color of the office walls
B. What music the users like to listen to while they work
C. Who makes the buying decision in the office
D. How many windows the office has

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q4
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.02 (local)

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A group of 500 customers each buy once a month and spend 12 dollars. If 10 percent of them become your customers, what are your expected monthly sales?

A. 600 dollars
B. 50 dollars
C. 60 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q5
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.02 (local)

Set 7: Writing a clear offer

Outcome ENT.CUST.03: Write an offer (value proposition) that says who it is for, the problem and the result

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An offer (also called a value proposition) says, in plain words, who it is for, what problem it solves, and what result the customer gets. A simple pattern: "For [customer] who [problem], we [what you do] so you can [result]." For example: "For busy pet owners who work late, we walk your dog at lunch so it gets exercise and you do not rush home." A clear offer is specific, honest and easy to repeat. It avoids vague phrases like "best quality" that do not say what the customer gets.

Which offer is the clearest?

A. Our company has many years of fitness experience in sports.
B. We offer the very best fitness services and the highest quality for all of you.
C. Fitness for everyone, everywhere, always, at great prices.
D. For new runners, we create 8-week plans to help you finish your first 5K.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q1
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q1/5 · Outcome ENT.CUST.03 (local)

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What three parts should a clear offer include?

A. A slogan, a logo, and a list of the owner's hobbies
B. The customer, the problem, and the result they get
C. A discount, a deadline, and a free gift for every buyer
D. The founding date, the address, and the office hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q2
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q2/5 · Outcome ENT.CUST.03 (local)

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Why is "best quality cleaning" a weak offer?

A. It mentions cleaning, which customers usually find very boring.
B. It does not say who it is for or what result they get.
C. It is too short to be shown on a sign or website.
D. It is illegal to describe a service as good.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q3
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q3/5 · Outcome ENT.CUST.03 (local)

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Fill in the pattern for a meal-prep business: "For ___ who ___, we ___ so you can ___." Which is best?

A. Customers / want some food / have a kitchen at home / pay us money today

B. Our team / loves cooking / make meals / buy from us

C. Everyone / is hungry / sell food / be happy

D. Night-shift nurses / have no time to cook / deliver ready meals / eat well at work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q4
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q4/5 · Outcome ENT.CUST.03 (local)

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Which phrase states a RESULT for the customer?

A. so your taxes are filed on time without stress
B. we use the latest accounting software
C. our accountants have many certificates on the wall
D. we are open on weekdays until five

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q5
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q5/5 · Outcome ENT.CUST.03 (local)

Learn
An offer answers three questions a customer silently asks: "Is this for me?", "Does it fix my problem?", and "What will I get?" Think of a sign at a car wash: "Busy commuters: get your car washed in 10 minutes while you wait for coffee." It tells who (busy commuters), the problem (no time) and the result (a clean car in 10 minutes). If a sign only says "Quality car care," the customer cannot answer any of the three questions.

In "Busy commuters: car washed in 10 minutes," who is the customer?

A. The coffee shop
B. The car wash owner
C. Busy commuters
D. The cars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q1
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.03 (local)

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In the car wash sign in the passage, what is the result?

A. Quality car care for everyone
B. Coffee
C. A clean car in 10 minutes
D. Busy commuters

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q2
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.03 (local)

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Which question does an offer help a customer answer?

A. "Is this for me?"
B. "What year was the company founded?"
C. "Who designed the logo?"
D. "What is the owner's favorite food?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q3
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Which sign answers all three questions?

A. Diapers and more since 2010
B. Quality products for families who shop with us every week
C. New parents: we deliver diapers within 2 hours when you run low
D. The best store in town

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q4
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.03 (local)

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"Quality car care" fails to tell the customer what?

A. Who it is for, what problem it fixes, or what they get
B. Where the owner went to school
C. That the business washes cars at all for customers
D. The price of every service

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q5
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CUST.03 (local)

Learn
An offer (also called a value proposition) says, in plain words, who it is for, what problem it solves, and what result the customer gets. A simple pattern: "For [customer] who [problem], we [what you do] so you can [result]." For example: "For busy pet owners who work late, we walk your dog at lunch so it gets exercise and you do not rush home." A clear offer is specific, honest and easy to repeat. It avoids vague phrases like "best quality" that do not say what the customer gets.

A dog groomer's website says "Pampering pets with love." She mainly serves large dogs that are anxious at busy salons. Which rewrite is best?

A. The best grooming in the entire state of Ohio
B. Calm, one-on-one grooming for large, nervous dogs, with no waiting room
C. Grooming since 2015 with many happy tails
D. Pampering all pets with even more love and care every single day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q1
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CUST.03 (local)

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A bookkeeper's draft offer: "We do numbers." Which addition helps most?

A. More exclamation marks to show excitement
B. A bigger logo at the top of the page
C. Who she serves and what result they get, like on-time monthly records
D. A longer list of her favorite software brands and computer tools

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q2
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CUST.03 (local)

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Which offer is honest AND clear for a new tutor with no results data yet?

A. The top-rated tutor in the whole country, according to everyone who knows
B. Guaranteed A grades for every student who signs up
C. Tutoring that is simply better than all the others
D. For 7th graders behind in fractions: weekly 1-on-1 practice with a written plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q3
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CUST.03 (local)

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Two offers for a cleaning service. A: "Spotless homes." B: "For renters moving out: a deposit-ready clean in one day." The owner wants more move-out jobs. Which fits that goal?

A. Both are the same, because both mention cleaning
B. Neither, because offers do not affect bookings
C. Offer B, because it names move-out renters
D. Offer A, because shorter is always better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q4
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CUST.03 (local)

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Which phrase should be removed from an offer because it cannot be checked?

A. "with a written quote first"
B. "in 48 hours"
C. "for small restaurants"
D. "the world's best"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q5
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CUST.03 (local)

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An offer promises "results in 24 hours," but the owner usually needs 3 days. What is the best fix?

A. Keep the promise and apologize later
B. Promise even faster results so she can beat her competitors
C. Remove all timing so customers cannot complain
D. Change the promise to match the real delivery time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q1
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CUST.03 (local)

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A founder wrote a clear offer but has no idea if customers care about the stated result. What should she check?

A. Whether target customers say that result matters to them
B. Whether her family likes the wording
C. Whether the sentence has a nice rhythm when read aloud
D. Whether the font matches her logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q2
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CUST.03 (local)

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A web designer serves both restaurants and law firms with very different needs. One offer for both sounds vague. What is a sensible approach?

A. Stop serving one of the groups without checking demand
B. Keep one vague offer to cover everyone
C. Write a separate clear offer for each customer group
D. Remove all mention of who the service is for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q3
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CUST.03 (local)

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A competitor's offer is "fast delivery." Yours is the same. What should you check before deciding how to stand out?

A. How to copy the competitor's logo
B. What else your customers care about that you do well
C. Whether to remove delivery from your offer completely
D. How to claim you are faster without proof

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q4
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.03 (local)

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Which offer could mislead customers?

A. "Doctor-approved" when no doctor has reviewed the product
B. "Includes a printed instruction sheet" when it really does
C. "Ships within 2 business days" when it does
D. "For runners training for a first marathon"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q5
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.03 (local)

Set 8: Customer or user: who pays?

Outcome ENT.CUST.04: Tell the paying customer from the user and the decision-maker

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

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The CUSTOMER is the person or organization who pays. The USER is the person who uses the product or service. Sometimes they are the same; sometimes they are different. A parent pays for a child's piano lessons; the child is the user. A company pays for software its workers use. There may also be a DECISION-MAKER who chooses, like a manager who approves a purchase. To sell well, you must convince whoever pays and decides, while also making the product work for the user.

A school pays for a reading app that students use. Who is the paying customer?

A. The students who use the app every day
B. The app's designers who built the screens
C. The parents who never see the bill
D. The school

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q1
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q1/5 · Outcome ENT.CUST.04 (local)

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A dog-walking service. Who are the user and the customer?

A. The park is the customer and the owner is the user.
B. The walker is both the user and the customer here.
C. The dog uses the walks; the owner pays.
D. The owner uses the walks; the dog pays for them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q2
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q2/5 · Outcome ENT.CUST.04 (local)

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A manager must approve any new software her team uses. What is the manager's role?

A. The decision-maker
B. The competitor of the software company
C. The supplier of the software to the business
D. The user, since the manager tests the software daily

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q3
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q3/5 · Outcome ENT.CUST.04 (local)

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Why does it matter that the customer and user can be different?

A. It means you never need to talk to customers.
B. It means only the payer matters when designing the product.
C. It means only the user matters for sales.
D. You must persuade the payer while serving the user.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q4
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q4/5 · Outcome ENT.CUST.04 (local)

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A grandparent buys a video game for a grandchild. Who is the user?

A. The grandparent who paid for the game
B. The store clerk who rang up the sale
C. The grandchild
D. The game company that made the game

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q5
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q5/5 · Outcome ENT.CUST.04 (local)

Learn
Ask two questions about any sale: "Whose money pays for it?" and "Who actually uses it?" For a child's soccer camp, a parent's money pays and the child uses it. For a coffee you buy for yourself, the same person pays and uses. For office chairs, the company pays and the workers sit in them. Write down both answers every time; they guide who you talk to and what you build.

For a child's soccer camp, whose money pays?

A. The child's
B. The coach's
C. The field owner's
D. The parent's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q1
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.04 (local)

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You buy a coffee for yourself. Who is the user?

A. You
B. The café owner
C. The coffee farmer
D. The barista

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q2
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.04 (local)

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A company buys office chairs. Who uses them?

A. The chair maker
B. The workers
C. The bank
D. The delivery driver

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q3
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Which two questions separate customer and user?

A. "Who pays?" and "Who uses it?"
B. "Who built it?" and "Who sold it?"
C. "When?" and "Where?"
D. "What color?" and "What size?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q4
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.04 (local)

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A pet owner buys a cat toy. Who is the customer?

A. The pet store's landlord
B. The cat
C. The pet owner
D. The toy factory

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q5
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Lia sells an after-school coding club. Kids love it, but few sign up. Who should her marketing mainly speak to?

A. Kids only, since they enjoy the club most
B. Other coding clubs nearby
C. Teachers, since they grade homework
D. Parents, who pay and decide

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q1
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A company's IT manager approves software, but sales staff use it. Which feedback is MOST important when improving daily ease of use?

A. Feedback from the CEO's family
B. Feedback from the sales staff who use it daily
C. Feedback only from the IT manager
D. Feedback from a competitor's customers in another town

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q2
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A senior-care service is used by older adults, but adult children usually pay. Which detail should the website make clear for the payers?

A. A long history of the company's logo
B. The owner's favorite movies
C. Safety, schedules and how they will be kept informed
D. Games the care staff like to play on their breaks

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A dentist's office buys a booking tool. The receptionist uses it; the dentist pays. The receptionist says it is confusing. What is the risk to the seller?

A. The receptionist will become the payer
B. The office may cancel if the daily user struggles.
C. The tool will start working better by itself over time
D. No risk, because the dentist already paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q4
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A toy costs 30 dollars. A parent buys 2 for twins. How much does the customer pay?

A. 60 dollars
B. 30 dollars
C. 32 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q5
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A small business owner pays for payroll software, the accountant recommends it, and staff use it. Who has the final say on buying?

A. The owner, who pays and approves the purchase
B. The staff, because they use it
C. The software's salesperson
D. The accountant, because she was the one who suggested it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q1
Entrepreneurship, Set 8: Customer or user: who pays? · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CUST.04 (local)

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A seller pitches only to users, who love the product, but no one buys. Which detail is most likely missing?

A. A longer company history page
B. A brighter product color
C. Convincing the person who controls the budget
D. More features that the users did not ask for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q2
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A grant program pays for students' summer classes, and the students choose the class. Who is the paying customer?

A. The school building
B. The teacher
C. The grant program
D. The students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q3
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Before writing a sales message, what should a business check first in a new market?

A. What price ends in .99
B. Which font is most popular this year
C. How many likes competitors get
D. Who pays, who decides, and who uses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q4
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A daycare charges 200 dollars a week per child. A family enrolls 2 children for 4 weeks. How much does the family pay?

A. 1,600 dollars
B. 400 dollars
C. 800 dollars
D. 206 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q5
Entrepreneurship, Set 8: Customer or user: who pays? · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.04 (local)

Set 9: Founder case: Spanx and a problem the founder had

Outcome ENT.CASE.02: Apply a documented early decision (solving a problem you have and checking that others share it) to a new business

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: Sara Blakely cut the feet off control-top pantyhose to wear under white pants. She started Spanx in 2000 with $5,000 of her own savings. Several hosiery manufacturers turned her down before one agreed to make the product, and she got it into the Neiman Marcus department store. Lesson drawn by this course (an interpretation, not her words): a problem you have yourself can be a starting point, but you still need evidence that many others share it and will buy. One success story does not guarantee the same result.

According to the passage, what problem did Blakely start with?

A. She wanted to open a factory for making fabric.
B. She wanted cheaper shoes for running on trails.
C. She wanted a new kind of store for selling dresses.
D. She wanted a smooth look under white pants.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q1/5 · Outcome ENT.CASE.02 (local)

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How much of her own money does the passage say she started with?

A. $5,000
B. No money at all, only loans
C. $50,000
D. $500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q2/5 · Outcome ENT.CASE.02 (local)

Learn
Documented history: Sara Blakely cut the feet off control-top pantyhose to wear under white pants. She started Spanx in 2000 with $5,000 of her own savings. Several hosiery manufacturers turned her down before one agreed to make the product, and she got it into the Neiman Marcus department store. Lesson drawn by this course (an interpretation, not her words): a problem you have yourself can be a starting point, but you still need evidence that many others share it and will buy. One success story does not guarantee the same result.

Which lesson does this course draw?

A. Your own problem always proves a large market exists for it.
B. Big stores accept every new product quickly.
C. Manufacturers always say yes to new ideas.
D. Your own problem can be a start, but check that others share it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q3/5 · Outcome ENT.CASE.02 (local)

Learn
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Theo is annoyed that his bike lock is heavy. Applying the lesson, what should he do first?

A. Assume every cyclist feels exactly as he does about heavy locks
B. Order 5,000 lighter locks today
C. Ask other cyclists whether heavy locks bother them and what they use
D. Wait until a manufacturer calls him

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q4/5 · Outcome ENT.CASE.02 (local)

Learn
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Which statement about this case is accurate?

A. Her success guarantees others the same result.
B. Rejections came before a manufacturer agreed.
C. She started with a large outside investment.
D. The first manufacturer she asked said yes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q5/5 · Outcome ENT.CASE.02 (local)

Learn
Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

Your own frustration with a product is best described as what?

A. A clue worth checking
B. A guarantee of sales
C. Proof of a large market
D. A finished business plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.02 (local)

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What is a market, in plain words?

A. A building where products are sold
B. One person with a strong opinion
C. A list of your friends' favorite things to buy
D. Many people with the same need who will pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.02 (local)

Learn
Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

How do you check whether others share your problem?

A. Ask other people about their experience
B. Assume they all feel exactly the same as you do
C. Design a logo first
D. Buy inventory first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.02 (local)

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A "sample of one" means what?

A. Evidence from only one person
B. A product that sells once
C. A free sample given to one customer
D. A test with a thousand people

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.02 (local)

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Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

Which shows that others share a problem?

A. You personally feel very strongly about it
B. Many people describe it and already pay for fixes
C. Your friend nods politely
D. The idea sounds clever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.02 (local)

Learn
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Ana hates that her reusable water bottle leaks in her bag. Which first step best applies the lesson?

A. Post a logo and wait for orders
B. Ask only her mother whether bottles leak
C. Buy a bottle factory before telling anyone about the idea
D. Survey commuters about leaking bottles and what they do now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.02 (local)

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Ken's own frustration is finding parking at the gym. He asks 30 gym members, and 25 say it bothers them. What fraction said it bothers them?

A. 25 out of 100
B. 30 out of 25
C. 25 out of 30, which is about 83 percent
D. 5 out of 30, which is about 17 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.02 (local)

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Mei solved her own problem (tangled earbuds) with a clip. Ten friends tried it and liked it, but none would pay. What does this suggest?

A. Her friends' approval proves a market.
B. She should give up all ideas forever.
C. Liking it is not the same as paying; she needs more evidence.
D. She should order thousands of clips from a factory today.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.02 (local)

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Which plan follows the lesson with the least money at risk?

A. Order 10,000 units at a low bulk price
B. Make 20 samples and try selling them at one market
C. Sign a contract with a national store chain first
D. Hire a sales team before any sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.02 (local)

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Which description separates the documented fact from the lesson?

A. Fact: she started with $5,000 of savings. Lesson: check others share your problem.

B. Fact: she copied a competitor. Lesson: copying always works.

C. Fact: she had no rejections. Lesson: never ask for feedback.

D. Fact: everyone loves her product today. Lesson: using savings guarantees success.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.02 (local)

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Ben copies the "use my own savings" idea, but his savings are also his emergency fund for rent. What should he check first?

A. Whether savings are always better than loans for founders
B. Whether his logo is ready
C. Whether the founder used $5,000
D. How much he can spend without risking his living costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.02 (local)

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A product solved the founder's problem, but the founder's situation is unusual (very tall, needing special clothing). What is the main risk in assuming a large market?

A. Unusual problems always make the best businesses.
B. Tall people never buy clothing at all.
C. There is no risk if the product works.
D. Few other people may share the unusual problem.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.02 (local)

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Several manufacturers reject Pia's product. Using the case wisely, what should she do?

A. Stop immediately, because one round of rejections ends any idea for good

B. Ask why they said no, improve or adjust, and keep looking if the evidence supports it

C. Ignore their reasons and send the same pitch again

D. Assume rejection means guaranteed success later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.02 (local)

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A big store accepted Spanx. A new founder wants to skip testing and go straight to big stores. What is the main problem?

A. Without evidence of demand, big stores are unlikely to accept or reorder.
B. Big stores accept every new product.
C. There is no problem at all, because the case proves that it works.
D. Skipping tests always saves money in the end.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.02 (local)

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What is the most accurate takeaway from a single founder story?

A. It is useless because conditions differ.
B. It proves that the founder's exact steps caused her later success.
C. It shows one path and decisions to consider, not a guaranteed formula.
D. It is a formula that works for every product.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.02 (local)

Set 10: Customer interviews about past behavior

Outcome ENT.TEST.01: Plan interview questions about what people already do rather than what they say they would do

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A customer interview is a short conversation to learn about someone's real problems. The most useful questions ask about what people already DID, not what they say they WOULD do. "Tell me about the last time you looked for a babysitter" gives real facts: how long it took, what they paid, what went wrong. "Would you use my babysitting app?" invites polite guesses. Past behavior is better evidence than predictions, because people are often too kind or too hopeful about the future.

Which interview question gives the most reliable information?

A. Would you hire a tutor if I offered one next year?
B. Do you think tutoring is a good idea for most kids?
C. How much would you be willing to pay for my service?
D. When did you last hire a tutor, and how did you find one?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q1/5 · Outcome ENT.TEST.01 (local)

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Why are questions about the future weaker evidence?

A. People cannot remember anything about the past.
B. Future answers are always negative and unhelpful.
C. People often guess kindly or hopefully.
D. Future questions are against interview rules.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q2/5 · Outcome ENT.TEST.01 (local)

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Which question asks about past behavior?

A. Do you like the idea of tracking every expense?
B. What did you use last month to track your expenses?
C. Will you track expenses better next year, do you think?
D. Would you download an expense app if it were free?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q3
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An interviewer hears, "I spent 3 hours last week calling movers." What kind of information is this?

A. A real past cost of the problem
B. An opinion about the interviewer's idea
C. Proof that a moving business will succeed
D. A promise to buy from the interviewer soon

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q4/5 · Outcome ENT.TEST.01 (local)

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What should an interviewer mostly do?

A. Talk about the product as much as possible
B. Listen and ask follow-up questions
C. Ask only yes-or-no questions to save time
D. Argue when the person disagrees with the idea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q5/5 · Outcome ENT.TEST.01 (local)

Learn
Compare two questions about gyms. "Would you go to the gym three times a week?" Most people say yes, even if they rarely go. "How many times did you go to the gym last week?" gets a real number. The first question measures hope. The second measures behavior. When you test a business idea, behavior is what pays the bills, so ask "did" questions whenever you can.

"How many times did you go to the gym last week?" asks about what?

A. Past behavior
B. A price
C. A future plan
D. An opinion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.01 (local)

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"Would you go to the gym three times a week?" mostly measures what?

A. The gym's price
B. The person's age
C. Exact past behavior
D. Hope or intention

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.01 (local)

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Which word usually signals a past-behavior question?

A. "would"
B. "could"
C. "did"
D. "might"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q3
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.01 (local)

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Which answer is behavior, not hope?

A. "I might start next month."
B. "I plan to go every day."
C. "I would love to go more."
D. "I went twice last week."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.01 (local)

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Rewrite "Would you buy healthy snacks?" as a "did" question. Which is best?

A. "Would you like healthy snacks?"
B. "What snacks did you buy this week?"
C. "Do you agree snacks matter?"
D. "Might you buy snacks soon?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.01 (local)

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A founder plans a meal-kit service. Which question set is best?

A. Do you think meal kits are a smart idea for families?
B. How great would it be to never cook again, in your view?
C. What did you eat for dinner last night, and how did you decide?
D. Would you buy meal kits every week if they were tasty?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.01 (local)

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After the person says, "Finding a plumber was a nightmare last month," what is the best follow-up?

A. What made it hard, and what did you end up doing?
B. Can I sign you up for my newsletter now?
C. Do you agree plumbers are usually expensive?
D. Would you use my plumber app instead?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.01 (local)

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A founder interviewed 10 people. 9 said they "would definitely use" her app; 2 have ever paid for a similar tool. Which number is more meaningful?

A. The 9 who said they would definitely use it
B. The 2 who have paid for a similar tool
C. Both are equally meaningful for the decision
D. Neither, because interviews never help at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q3
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Which interview goal is most useful early on?

A. Show off every feature you have planned
B. Get each person to praise the idea
C. Learn how people handle the problem today
D. Convince each person to buy before they leave

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q4
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A founder asks 12 people about their last moving day. 8 say they hired help. What fraction hired help?

A. 2/3
B. 3/4
C. 8/20
D. 1/2

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.01 (local)

Learn
A customer interview is a short conversation to learn about someone's real problems. The most useful questions ask about what people already DID, not what they say they WOULD do. "Tell me about the last time you looked for a babysitter" gives real facts: how long it took, what they paid, what went wrong. "Would you use my babysitting app?" invites polite guesses. Past behavior is better evidence than predictions, because people are often too kind or too hopeful about the future.

A founder interviewed only her close friends, who all loved the idea. What is the main problem?

A. Friends always lie about everything.
B. Interviews should never include friends at all.
C. Ten friends is always enough evidence.
D. Friends may be kind and may not be typical customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.01 (local)

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People describe a problem in detail but have never tried to fix it. What should the founder check next?

A. Whether to build the full product now
B. Whether they liked the interviewer
C. Whether the problem matters enough that they would pay to fix it
D. Whether their answers were long enough to fill the notes page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.01 (local)

Learn
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A founder keeps explaining her app during interviews, and people keep saying "sounds great." What is the most likely issue?

A. People truly love the app.
B. Interviews do not work for apps.
C. The founder should talk even more about the app's features.
D. Pitching is pushing people toward polite agreement.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q3
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.01 (local)

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Which piece of information should an interview try to uncover about the current solution?

A. Whether they would recommend you to a friend someday
B. What it costs them in time or money now
C. Their opinion of the founder's logo
D. Their favorite color for the product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.01 (local)

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An interviewer records answers from 15 people. 6 already pay for a similar service at 20 dollars a month. What is the total those 6 already spend each month?

A. 26 dollars
B. 20 dollars
C. 300 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.01 (local)

Set 11: Avoiding leading questions

Outcome ENT.TEST.02: Recognize and rewrite leading or yes-pushing interview questions

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

Which question is leading?

A. How often do you eat homemade baked goods each month?
B. Don't you think our cookies taste better than store-bought ones?
C. Where do you usually buy desserts for family events?
D. What kind of cookies did you buy last time you shopped?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q1
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q1/5 · Outcome ENT.TEST.02 (local)

Learn
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Which is a neutral version of "Wouldn't a faster laundry service be great?"

A. You would use a faster service, right?
B. Isn't slow laundry the worst thing in the world?
C. How do you handle laundry now?
D. Wouldn't you love never doing laundry again?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q2
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

Why do leading questions cause problems in testing?

A. They make people refuse to answer anything.
B. They are always against the law to use.
C. They take too long to ask in an interview.
D. They make the idea look better than it really is.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q3
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q3/5 · Outcome ENT.TEST.02 (local)

Learn
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Which word pattern often signals a leading question?

A. Starting with "What" or "How"
B. Asking about last week
C. Starting with "Don't you..." or "Wouldn't it..."
D. Asking how often something happens in a normal month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q4
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q4/5 · Outcome ENT.TEST.02 (local)

Learn
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Which question is neutral?

A. Wouldn't online booking solve all your problems?
B. You hate waiting for haircuts too, right?
C. Isn't booking a haircut really frustrating these days?
D. What, if anything, frustrates you about booking a haircut?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q5
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q5/5 · Outcome ENT.TEST.02 (local)

Learn
Picture two ways to ask about a restaurant. "The food was amazing, wasn't it?" is a push: the polite answer is yes. "How was the food?" is an open door: the person can say anything. Leading questions often include the answer you hope for, or words like "right?", "don't you", or "wouldn't it". An open door question asks "what", "how", or "when" and lets the person choose their own words.

"The food was amazing, wasn't it?" is what kind of question?

A. A push (leading)
B. A math question
C. An open door (neutral)
D. A yes-or-no fact check

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q1
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.02 (local)

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Which is an open-door question?

A. "Don't you love this place?"
B. "How was the food?"
C. "It was great, right?"
D. "Best meal ever, wasn't it?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q2
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
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Which ending word often turns a question into a push?

A. "when?"
B. "what?"
C. "right?"
D. "how?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q3
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.02 (local)

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Why do open-door questions help?

A. They make people buy faster.
B. They are shorter to write.
C. They always get a yes answer from almost everyone.
D. People can give their own honest answer.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q4
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.02 (local)

Learn
Picture two ways to ask about a restaurant. "The food was amazing, wasn't it?" is a push: the polite answer is yes. "How was the food?" is an open door: the person can say anything. Leading questions often include the answer you hope for, or words like "right?", "don't you", or "wouldn't it". An open door question asks "what", "how", or "when" and lets the person choose their own words.

Which question includes the hoped-for answer?

A. "What app did you use most last week?"
B. "When did you last delete an app?"
C. "How do you find new apps?"
D. "Isn't this the easiest app you've used?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q5
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.02 (local)

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

A survey for a dog-walking idea asks, "How much do you love the idea of a reliable dog walker?" Which rewrite is best?

A. Who walks your dog on days you work late?
B. Wouldn't a reliable walker make your life better?
C. How much do you REALLY love reliable dog walkers?
D. You agree dogs need walks, don't you?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q1
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.02 (local)

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Which survey answer choices are balanced?

A. Amazing / Great / Good / Pretty good / Okay
B. Good / Very good / Excellent
C. Very easy / Easy / Neither / Hard / Very hard
D. Love it / Like it a lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q2
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
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A founder asks, "Our price of 10 dollars is fair, isn't it?" What is a better question?

A. Isn't 10 dollars a great deal?
B. You'd pay 10 dollars happily for this, wouldn't you, right?
C. Don't you agree 10 dollars is cheap?
D. What have you paid for similar services before?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q3
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A survey has 5 positive answer options and 1 negative option. What is the likely effect?

A. Results will look more negative than real feelings.
B. Results will look more positive than people really feel.
C. People will refuse to finish the survey.
D. Results will be perfectly accurate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q4
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.02 (local)

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Of 40 people asked a leading question, 36 said yes. Of 40 asked a neutral version, 14 said yes. How many more said yes to the leading version?

A. 22
B. 50
C. 36
D. 14

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q5
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A question names your product: "How useful is QuickClean for busy families?" What is the subtle problem?

A. There is no problem with this question.
B. It mentions families, which is never allowed in a survey question.
C. It assumes the product is useful and focuses on your idea.
D. It is too short to be clear.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q1
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.02 (local)

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Two surveys: A used leading questions and got 90 percent interest. B used neutral questions and got 30 percent. Which result should guide decisions?

A. Neither, because surveys are always useless
B. Survey B, because neutral questions are more trustworthy
C. Survey A, because higher interest is better news
D. The average of both, about 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q2
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.02 (local)

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A founder must survey customers quickly. Which approach best avoids leading?

A. Ask about recent behavior with balanced options
B. Skip neutral options to save space
C. Ask only questions that will make the idea look good
D. Tell people the answer you hope for first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q3
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Which question is neutral but still useful for pricing?

A. Wouldn't 50 dollars be a fair price?
B. Isn't our price lower than others?
C. You'd happily pay more for real quality, wouldn't you, right?
D. What did you pay the last time you hired this kind of help?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q4
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.02 (local)

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A founder realizes half her survey questions were leading. What should she do with the results?

A. Use all answers as if nothing were wrong
B. Report the leading results as proof of demand
C. Treat those answers with caution and re-ask neutrally if possible
D. Delete all of the results, including the answers to the neutral ones

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q5
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.02 (local)

Set 12: Competitors and alternatives

Outcome ENT.TEST.03: Identify direct competitors and the other ways customers solve the problem today

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Competitors are businesses selling something similar to the same customers. Alternatives are any other way customers solve the problem today, including doing it themselves, using a free tool, or doing nothing. A lawn-care business competes with other lawn services, but also with homeowners who mow their own lawns. Studying competitors and alternatives shows what customers already accept, what they pay, and what they complain about. "No competition" usually means you have not looked hard enough, or that few people want it.

A new tutoring service. Which is an ALTERNATIVE but not a direct competitor?

A. A tutoring company with the same subjects
B. Parents helping with homework themselves
C. Another tutoring service in the same town
D. A tutor who teaches the same grade level

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q1
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q1/5 · Outcome ENT.TEST.03 (local)

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A founder says, "I have no competition." What is the most likely truth?

A. Competitors are not allowed in this market.
B. The idea is guaranteed to succeed without much effort or marketing.
C. Alternatives do not matter to customers at all.
D. Customers solve the problem some other way, or few want it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q2
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q2/5 · Outcome ENT.TEST.03 (local)

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What can competitor reviews teach a new business?

A. What customers like and complain about
B. That customers never switch businesses
C. Which competitors will close next month
D. Exactly how much profit competitors make

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q3
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q3/5 · Outcome ENT.TEST.03 (local)

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Which is a direct competitor to a mobile car-wash service?

A. Another business that washes cars at customers' homes
B. A car rental agency at the airport
C. A company that changes engine oil
D. A shop near the highway that sells car air fresheners

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q4
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q4/5 · Outcome ENT.TEST.03 (local)

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"Doing nothing" counts as an alternative because...

A. it is a business that charges money.
B. customers can choose to live with the problem.
C. customers are not allowed to do nothing.
D. it only applies to very large companies.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q5
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q5/5 · Outcome ENT.TEST.03 (local)

Learn
Imagine you are hungry at lunch. You could buy from a restaurant (a direct competitor to a sandwich shop), bring food from home (an alternative), buy chips from a vending machine (another alternative), or skip lunch (doing nothing). A sandwich shop competes with ALL of these, not just other sandwich shops. Listing every way a customer could solve the problem shows what your offer must beat.

Bringing lunch from home is what, for a sandwich shop?

A. A direct competitor
B. A customer
C. An alternative
D. A supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q1
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.03 (local)

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Another sandwich shop next door is what?

A. A direct competitor
B. A partner
C. A supplier
D. An alternative only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q2
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.03 (local)

Learn
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Skipping lunch is which option?

A. A price
B. A direct competitor
C. A supplier
D. Doing nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q3
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.03 (local)

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Why list all the alternatives?

A. To see what your offer must beat
B. To raise your prices
C. To copy every one of them
D. To avoid talking to customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q4
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.03 (local)

Learn
Imagine you are hungry at lunch. You could buy from a restaurant (a direct competitor to a sandwich shop), bring food from home (an alternative), buy chips from a vending machine (another alternative), or skip lunch (doing nothing). A sandwich shop competes with ALL of these, not just other sandwich shops. Listing every way a customer could solve the problem shows what your offer must beat.

A vending machine is what, for a sandwich shop?

A. A direct competitor selling sandwiches
B. An alternative
C. A customer
D. A supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q5
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.03 (local)

Learn
Competitors are businesses selling something similar to the same customers. Alternatives are any other way customers solve the problem today, including doing it themselves, using a free tool, or doing nothing. A lawn-care business competes with other lawn services, but also with homeowners who mow their own lawns. Studying competitors and alternatives shows what customers already accept, what they pay, and what they complain about. "No competition" usually means you have not looked hard enough, or that few people want it.

Reviews of three local cleaners mostly complain about missed appointments. What is the best use of this?

A. Assume customers do not care about timing
B. Copy their prices exactly and say nothing else about the service
C. Make reliable, on-time scheduling a clear part of your offer
D. Post negative reviews about them online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q1
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.03 (local)

Learn
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A founder lists competitor prices: 40, 45 and 50 dollars per session. What is their average price?

A. 40 dollars
B. 135 dollars
C. 50 dollars
D. 45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q2
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.03 (local)

Learn
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Many homeowners mow their own lawns. A new lawn service wants customers who would rather pay. Which group is most promising?

A. Older homeowners or busy owners who find mowing hard to fit in
B. People who enjoy mowing as relaxing exercise
C. Apartment renters with no lawns at all
D. Owners who already bought brand-new riding mowers this year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q3
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TEST.03 (local)

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A free online tool already solves the problem. How can a paid product still compete?

A. Charge a higher price without offering anything extra to customers
B. Ask customers to stop using free tools
C. Pretend the free tool does not exist
D. Offer a clear benefit the free tool lacks, such as saved time or support

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q4
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.03 (local)

Learn
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Which competitor information is fair and useful to collect?

A. Fake customer calls pretending to be from a government office
B. Public prices, services and customer reviews
C. Their private customer list taken by a former employee
D. Their passwords guessed from public posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q5
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.03 (local)

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A town has no dog groomers. Before celebrating, what should a founder check first?

A. Whether the founder enjoys bathing dogs
B. Whether people drive to groomers elsewhere or groom at home
C. Whether the town likes dogs in general
D. Whether a dog groomer logo would be easy and cheap to design

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q1
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.03 (local)

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Ten competitors sell the same product and many seem busy. What does this most likely show?

A. You should copy the busiest competitor exactly, down to the menu.
B. You are guaranteed to win if you join.
C. There is demand, but you will need a reason to be chosen.
D. There is no demand at all.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q2
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.03 (local)

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A founder plans to beat competitors only by being cheaper. What should be checked first?

A. Whether the lower price still covers costs and time
B. Whether competitors will thank him
C. Whether cheap prices always win every customer
D. Whether the cheaper price looks nice on a sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q3
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.03 (local)

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Which statement correctly describes competitor research?

A. It is only needed after launching.
B. It replaces talking to customers yourself.
C. It proves exactly how many customers you will get.
D. It shows what customers accept today, not a full prediction.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q4
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.03 (local)

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Competitors charge 60 dollars. You plan 48 dollars, 20 percent less. Your cost per job is 50 dollars. What happens on each job?

A. You earn 12 dollars per job.
B. You lose 2 dollars per job.
C. You earn 10 dollars per job.
D. You break exactly even.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q5
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.03 (local)

Set 13: Testing a small version first

Outcome ENT.TEST.04: Choose a small, cheap test that answers one question about demand

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

Which is the best small test for a homemade granola idea?

A. Design packaging for 20 flavors right away
B. Wait a year to perfect the recipe in private
C. Sell 30 bags at a weekend farmers market
D. Rent a factory to make 50,000 bags first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q1
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q1/5 · Outcome ENT.TEST.04 (local)

Learn
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What makes a test "good"?

A. A clear question, small cost, time limit and success target
B. Deciding what success means only after seeing all of the results
C. No time limit so it can run forever
D. A big budget so the results look impressive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q2
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

A founder wants to know if people will pay for pet sitting. Which test answers that question?

A. Post a photo of a cute dog online
B. Ask friends if they like pets
C. Read several articles about the size of the pet industry
D. Offer paid visits to a few neighbors this month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q3
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q3/5 · Outcome ENT.TEST.04 (local)

Learn
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Why decide the success target BEFORE the test?

A. So you judge results honestly, not by hope
B. Because it makes the test cheaper to run
C. Because customers ask to see your target
D. Because targets can never be changed later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q4
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q4/5 · Outcome ENT.TEST.04 (local)

Learn
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A test cost 60 dollars and brought 4 paying customers. What was the cost per customer found?

A. 64 dollars
B. 15 dollars
C. 240 dollars
D. 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q5
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q5/5 · Outcome ENT.TEST.04 (local)

Learn
Think of opening a lemonade stand before building a juice company. The stand costs little, runs one afternoon, and answers a real question: will people stop and pay? If yes, you learn prices and favorite flavors. If no, you lost a few dollars, not your savings. A small test is the smallest step that teaches you something true about customers. Big plans can come after small tests show promise.

Why is a lemonade stand a good test before a juice company?

A. It is the only way to sell drinks.
B. It guarantees the juice company will succeed.
C. It costs little and shows whether people pay.
D. It needs no customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q1
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.04 (local)

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If the stand sells nothing, what did the owner lose?

A. A few dollars, not their savings
B. Everything they own
C. All future customers forever
D. Their right to start a business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q2
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
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Which is a "smallest step" test for a tutoring idea?

A. Open a tutoring center with ten staff
B. Buy a building for classes
C. Write a 300-page textbook
D. Tutor two paying students for a month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q3
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.04 (local)

Learn
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What does a successful small test give you?

A. Evidence to plan the next step
B. A guarantee of profit
C. Permission from the government
D. A finished company

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q4
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.04 (local)

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Which question could a one-day market stall answer?

A. Will my brand be famous worldwide?
B. Will every store carry my soap?
C. Will shoppers pay 6 dollars for my soap?
D. Will I be rich in ten years?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q5
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.04 (local)

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

Question: "Will office workers pre-order healthy lunches for delivery?" Which test fits best?

A. Open a full restaurant downtown
B. Take pre-orders for one week from two nearby offices
C. Ask workers if they like salads
D. Buy a delivery van and hire a driver before any orders arrive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q1
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.04 (local)

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A founder sets this target before a test: "At least 10 sign-ups from 100 visitors." The test gets 6 from 100. What should she conclude?

A. The test did not meet the target; rethink or adjust before scaling.
B. She should change the target to 5 now.
C. Tests never tell you anything useful.
D. The test succeeded, because 6 sign-ups is fairly close to 10 sign-ups.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q2
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
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Which test has the lowest cost for checking interest in a new online course?

A. Hiring a team of video editors to film every lesson
B. Buying a professional studio
C. A one-page description with a pre-sale or waitlist
D. Filming all 40 lessons first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q3
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TEST.04 (local)

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A test should have a time limit. Which is reasonable for testing a weekend car-detailing offer?

A. Four weekends
B. No limit at all
C. Ten years
D. One minute

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q4
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.04 (local)

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A soap maker spent 90 dollars to make 30 bars and sold 20 at 6 dollars. How much money came in from sales?

A. 180 dollars
B. 26 dollars
C. 90 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q5
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.04 (local)

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A test ran only during a holiday rush and sold out. What should the founder check before scaling up?

A. Whether holiday customers liked the colors
B. Whether sales hold up in a normal week
C. Whether to triple production at once
D. Whether to stop testing completely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q1
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.04 (local)

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A founder gave away free samples and everyone took one. What did this test fail to show?

A. Whether people would pay
B. Whether the founder can make samples
C. Whether people like free things
D. Whether the samples were tasty

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q2
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.04 (local)

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Two tests asked the same neutral question under comparable conditions. Test A asked 200 prospective target customers recruited independently; Test B asked 10 close friends. Both had a 50 percent yes rate. Which result is more trustworthy?

A. Test B, because friends are honest
B. Neither, because tests never work
C. Both equally, because the yes rate is the same in each group
D. Test A, because the group is larger and less biased

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q3
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.04 (local)

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A test met its target, but each customer cost far more to find than they paid. What does this suggest?

A. Everything is fine; scale it now.
B. The price should be lowered further so that more customers sign up.
C. Demand may exist, but the way of finding customers needs to change.
D. Customers do not exist at all.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q4
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.04 (local)

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A test spent 200 dollars on ads and gained 5 customers who each pay 30 dollars once. What is the result?

A. It spent 50 dollars more than it brought in.
B. It made 200 dollars.
C. It broke exactly even.
D. It made 150 dollars of profit from the ads.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q5
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.04 (local)

Set 14: Evidence of willingness to pay

Outcome ENT.TEST.05: Rank evidence of demand, with payments and pre-orders above opinions

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Which is the strongest evidence of demand?

A. Fifty people liked a photo of the product online.
B. Ten customers paid a deposit to reserve a spot.
C. A hundred people visited the website once.
D. Twenty people said "I would buy that" at a party.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q1/5 · Outcome ENT.TEST.05 (local)

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Rank from strongest to weakest: (1) email sign-up, (2) purchase, (3) compliment.

A. Sign-up, purchase, compliment
B. Sign-up, compliment, purchase
C. Purchase, sign-up, compliment
D. Compliment, sign-up, purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q2/5 · Outcome ENT.TEST.05 (local)

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Why is a pre-order strong evidence?

A. It is free for the customer to place.
B. The customer commits money before getting the product.
C. It guarantees the business will earn a profit later on.
D. It proves the product will be perfect.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q3
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q3/5 · Outcome ENT.TEST.05 (local)

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A booking that requires choosing a time and giving contact details is stronger than a "like" because...

A. it is easier than clicking a like.
B. it shows the person is a friend.
C. it costs the business nothing.
D. it takes real effort and commitment.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q4/5 · Outcome ENT.TEST.05 (local)

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Out of 80 visitors to a pre-order page, 4 paid a deposit. What percent paid?

A. 4 percent
B. 20 percent
C. 5 percent
D. 50 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q5/5 · Outcome ENT.TEST.05 (local)

Learn
A simple test for any signal: what did it cost the person? Clicking "like" costs a second. Saying "great idea" costs nothing. Typing an email costs a little effort. Booking a time costs planning. Paying costs money. The more a signal costs the person, the more you can trust it as evidence that they really want what you offer.

What does a "like" cost the person?

A. An hour of their time
B. About a second of effort
C. Real money
D. A signed contract

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.05 (local)

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Which signal costs the person the most?

A. Saying "great idea"
B. Typing an email address
C. Clicking like
D. Paying for the product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.05 (local)

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Why trust costly signals more?

A. Costly signals are easier to collect.
B. Free signals are always lies.
C. Costly signals come only from friends and family members who want to help.
D. People rarely give up money or effort for things they do not want.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q3
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.05 (local)

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Booking a time slot costs the person what?

A. A full payment always
B. Their email password
C. Planning and commitment
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.05 (local)

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"Great idea!" from a stranger is what kind of signal?

A. Weak, because it costs nothing
B. Proof of a sale
C. Strong, because strangers are honest
D. A legal agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.05 (local)

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A founder of a meal-prep service can run one test. Which gathers the strongest evidence?

A. Post a poll asking if people like healthy food
B. Take paid orders for next week's meals
C. Count likes on a meal photo
D. Ask friends to say it sounds good

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q1
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A crafts seller collected 200 email sign-ups but only 3 sales from them. What should she conclude?

A. Sales do not really matter when email sign-ups are this high.
B. Interest is mild; many sign-ups did not turn into buying.
C. Demand is huge because of 200 sign-ups.
D. She should stop selling completely now.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.05 (local)

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Which pre-launch offer gives the strongest signal for a new board game?

A. A free newsletter about games
B. A paid pre-order with a ship date
C. A contest to name the game
D. A survey about favorite colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q3
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Two tests: A got 500 likes and 0 sales. B got 40 likes and 12 sales. Which shows stronger demand?

A. Neither, because likes and sales are unrelated
B. Test A, because it got more likes
C. Test B, because 12 people paid
D. Both equally, because both got attention

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.05 (local)

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A deposit is 25 dollars. Eight customers paid a deposit. How much was committed in total?

A. 200 dollars
B. 8 dollars
C. 25 dollars
D. 33 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.05 (local)

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A founder's relatives made most of the early purchases. What should she be careful about?

A. Relatives' purchases prove that strangers will also buy the same product.
B. She should refuse to sell to relatives.
C. Relatives' money is not real money.
D. Relatives may buy to support her, not because they need it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.05 (local)

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Pre-orders came in, but the founder cannot deliver for 6 months and many customers asked for refunds. What does this show?

A. Interest existed, but delays can turn demand into refunds.
B. Pre-orders guarantee that customers will stay no matter how long they wait.
C. Delays never affect customers.
D. Refunds prove no one wanted it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.05 (local)

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A business got 30 sales, but all came with a 70 percent discount. What should be tested next?

A. Whether a 90 percent discount sells even more
B. Whether people buy at a price that covers costs
C. Whether the product color matters
D. Whether to stop selling for a year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q3
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A survey says 60 percent "would buy," but past tests show only about 1 in 10 people who say this actually buy. About what share of people will likely buy?

A. 60 percent
B. About 50 percent
C. About 10 percent
D. About 6 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q4
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Which missing information should a founder check before trusting a "200 pre-orders" claim from a partner?

A. Whether the partner likes the founder
B. What color the order form was
C. Whether the pre-orders were paid or just free reservations
D. How long the partner has used social media to promote other products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.05 (local)

Set 15: Likes and praise are not demand

Outcome ENT.TEST.06: Explain why likes, follows and compliments are weak demand signals

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Likes, follows, views and compliments feel good, but they are weak signs of demand. They cost people nothing, so many people give them freely. A post with 2,000 likes may lead to zero sales. Followers can also be people who enjoy your content but will never buy, or accounts that are not real people. To judge demand, look for actions that cost the person something: purchases, deposits, bookings, or replies asking how to buy. Treat likes as a sign of attention, not of buying.

A post about a new candle got 3,000 likes and 2 sales. What does this most likely show?

A. Many people noticed it, but few wanted to buy.
B. The likes prove sales will rise soon.
C. Demand is very strong because of the likes.
D. Likes and sales always move together.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q1/5 · Outcome ENT.TEST.06 (local)

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Why are compliments weak evidence of demand?

A. They are always insincere and untrue.
B. Customers never give compliments.
C. They cost nothing to give.
D. Compliments are illegal to collect.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q2
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Which action is the strongest sign of demand?

A. A new follower on a social account
B. A message asking how to place an order
C. A heart reaction on a product photo
D. A comment saying "so cute!"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q3
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A creator has 10,000 followers but sells almost nothing. Which is a likely reason?

A. Followers are the same as paying customers.
B. Sales are impossible on social media.
C. 10,000 followers always buy something.
D. Followers enjoy the content but are not buyers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q4
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q4/5 · Outcome ENT.TEST.06 (local)

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What should likes be treated as?

A. A sign of attention
B. A sign of guaranteed profit
C. A legal contract
D. A replacement for sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q5/5 · Outcome ENT.TEST.06 (local)

Learn
Think of a store window. Many people stop to look at a pretty display; that is attention. Far fewer walk in, and fewer still buy. Online, a like is the same as glancing at the window. A business needs the people who walk in and pay. When you measure an idea, count the people who acted with money or real effort, not the people who glanced.

People stopping to look at a store window show what?

A. Refunds
B. Attention
C. Profit
D. Purchases

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.06 (local)

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Online, a like is most like what?

A. Signing a lease
B. Paying for an item at the counter
C. Glancing at a store window
D. Returning an item

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q2
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.06 (local)

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Who matters most when measuring demand?

A. People who pay or make a real commitment
B. People who scroll by and never notice the post
C. People who glance
D. People who scroll past

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q3
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.06 (local)

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Which shows buying behavior?

A. A customer pays for an order
B. A person shares a meme
C. A person follows an account
D. A person likes a photo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q4
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Many look, few buy. What does this pattern describe?

A. A broken website
B. A guaranteed failure
C. A legal problem
D. Normal shopping behavior

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.06 (local)

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Two products: A got 900 likes and 5 orders. B got 120 likes and 30 orders. Which shows stronger demand?

A. Neither, since likes were low
B. Product A, because it got more likes
C. Product B
D. Both equally, since both got likes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q1
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A baker wants a better demand signal than likes. Which step helps most?

A. Buy a follower package to look popular
B. Post a pre-order link for Saturday pickup
C. Post more photos of the same cake
D. Ask followers to like the post more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q2
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A video got 50,000 views. 25 viewers bought the product. What fraction of viewers bought?

A. 1 in 2,000
B. 1 in 50
C. 1 in 200 people
D. 1 in 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q3
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Which comment is the most useful demand signal?

A. "Following for more posts like this one"
B. "So pretty"
C. "Do you ship to Ohio? I want two."
D. "Love this!!!"

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A founder plans to judge a launch by likes. What better measure fits the goal of sales?

A. Number of emoji reactions
B. Number of likes in the first hour
C. Number of shares by friends
D. Orders and sales in the first two weeks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.06 (local)

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A post went viral because of a funny mistake in the video, not the product. Sales did not change. What is the best conclusion?

A. The product must be terrible because sales stayed flat.
B. The attention was about the mistake, not demand for the product.
C. Viral posts always prove product demand.
D. The founder should repeat the mistake on purpose.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.06 (local)

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A seller bought 5,000 followers. Likes rose, sales did not. What is the main problem?

A. Sales never follow followers.
B. Buying followers always increases sales a lot over time.
C. Bought followers are often not real buyers, so the numbers mislead.
D. Followers are always real customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q2
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.06 (local)

Learn
Likes, follows, views and compliments feel good, but they are weak signs of demand. They cost people nothing, so many people give them freely. A post with 2,000 likes may lead to zero sales. Followers can also be people who enjoy your content but will never buy, or accounts that are not real people. To judge demand, look for actions that cost the person something: purchases, deposits, bookings, or replies asking how to buy. Treat likes as a sign of attention, not of buying.

Many friends praise a product idea online. Before investing, what should the founder check?

A. Whether people outside her circle will pay
B. Whether friends will keep praising it
C. Whether the post can get more hearts
D. Whether to buy more followers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q3
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.06 (local)

Learn
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An account has high engagement (many comments) but low sales. Which next test best checks demand?

A. Offer a limited paid pre-order and count buyers
B. Post more often each day without any offer or link
C. Ask for even more comments
D. Delete the account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q4
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.06 (local)

Learn
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A post with 4,000 likes sold 8 items at 15 dollars each. What were total sales?

A. 4,015 dollars
B. 120 dollars
C. 15 dollars
D. 60,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.06 (local)

Set 16: Continue, change or stop

Outcome ENT.TEST.07: Decide from stated test results whether to continue, change or stop an idea

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
After a test, decide: continue, change, or stop. CONTINUE when the results meet the target you set in advance. CHANGE (sometimes called a pivot) when part of the idea works but something important does not: a different customer, price, or offer might fit better. STOP when the results are far below the target and nothing points to a better version, or when the cost of continuing is too high. Stopping is not failing; it protects time and money for a better idea.

Target: 20 paid bookings in a month. Result: 26 bookings. What is the sensible decision?

A. Continue
B. Stop
C. Ignore the result
D. Change the target to 40 and call it a failure

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q1
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q1/5 · Outcome ENT.TEST.07 (local)

Learn
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Target: 20 bookings. Result: 3 bookings, and customers said the price was fine but the hours did not suit them. What fits best?

A. Stop, since all ideas with 3 bookings fail
B. Continue exactly as before
C. Raise the price immediately
D. Change the hours and test again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q2
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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Target: 30 sales. Result: 1 sale. No feedback suggests a better version, and costs keep rising. What fits best?

A. Call it a success because one person bought
B. Stop and move to a better idea
C. Continue with more money
D. Change only the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q3
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q3/5 · Outcome ENT.TEST.07 (local)

Learn
After a test, decide: continue, change, or stop. CONTINUE when the results meet the target you set in advance. CHANGE (sometimes called a pivot) when part of the idea works but something important does not: a different customer, price, or offer might fit better. STOP when the results are far below the target and nothing points to a better version, or when the cost of continuing is too high. Stopping is not failing; it protects time and money for a better idea.

What does "pivot" mean here?

A. Closing the business for good
B. Repeating the same test again with nothing changed at all
C. Changing an important part of the idea based on what you learned
D. Hiring a large team at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q4
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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Why is stopping sometimes the right decision?

A. It always earns money back.
B. It proves the founder made no mistakes.
C. It is required after any first test.
D. It saves time and money for a better idea.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q5
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q5/5 · Outcome ENT.TEST.07 (local)

Learn
Think of baking a new cookie for a school sale. If most cookies sell, keep making them (continue). If people love the taste but say the cookies are too big for the price, make them smaller (change). If almost no one buys and no one says why, try a different treat (stop). The decision follows the results and what people told you, not how much you hoped it would work.

Most cookies sold. What is the choice?

A. Change
B. Continue
C. Ignore it
D. Stop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q1
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.07 (local)

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People loved the taste but said cookies were too big for the price. What is the choice?

A. Stop selling cookies
B. Continue unchanged
C. Change the size
D. Double the price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q2
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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Almost no one bought, and no one said why. What is the choice?

A. Try a different treat
B. Keep going exactly the same
C. Raise the price
D. Make twice as many cookies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q3
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.07 (local)

Learn
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What should guide the choice?

A. What your friends prefer
B. The results and what people said
C. The color of the packaging
D. How much you hoped it would work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q4
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
Think of baking a new cookie for a school sale. If most cookies sell, keep making them (continue). If people love the taste but say the cookies are too big for the price, make them smaller (change). If almost no one buys and no one says why, try a different treat (stop). The decision follows the results and what people told you, not how much you hoped it would work.

"Change" means what?

A. Keep what works and adjust what does not
B. Start everything from zero with a brand-new idea
C. Close forever
D. Do nothing new

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q5
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.07 (local)

Learn
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A tutoring test set a target of 8 students. It got 9 students, but each needs 2 hours of travel. The tutor's goal is to earn at least 25 dollars per hour of total time. Each session pays 40 dollars for 1 hour of teaching. What should the tutor conclude?

A. Raise the target to 20 students
B. Stop, because tutoring never works
C. Continue unchanged, because the target of 8 students was met and passed
D. Demand is there, but travel time makes the pay too low; change the setup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q1
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.07 (local)

Learn
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A juice stand sold 70 cups against a target of 50, but lost money because cups cost too much. Best next step?

A. Ignore the loss because sales were high
B. Stop immediately, since it lost money
C. Continue selling but change the cost or price
D. Lower the price to sell even more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q2
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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An app test: target 100 sign-ups, result 95, and users who signed up used it every day. What fits best?

A. Delete the app and start over
B. Change everything about the app, from the name to the features
C. Continue; it is close to target and usage is strong
D. Stop, because 95 is below 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q3
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A dog-walking test got many requests, but almost all were for cat sitting. What change is most sensible?

A. Keep offering only dog walking
B. Test a cat-sitting offer
C. Stop all pet services
D. Raise dog-walking prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q4
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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A test cost 300 dollars and earned 120 dollars, far below the 400-dollar target, with no useful feedback. What is the most reasonable choice?

A. Spend 3,000 dollars more on the same plan
B. Change only the font on the flyer
C. Stop or test a clearly different idea
D. Call it a success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q5
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.07 (local)

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Results are mixed: half the customers loved it, half asked for refunds. What should the founder check before deciding?

A. What the happy and unhappy customers have in common
B. Whether to raise prices for every customer right away
C. Whether the logo is popular
D. Which group is louder online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q1
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.07 (local)

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A founder keeps lowering the success target after each weak test so she can "continue." What is the problem?

A. Targets should never be set at all.
B. Lower targets always lead to success in the end.
C. There is no problem with this.
D. Moving targets hides weak results and wastes time.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q2
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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A test met its target, but the founder has no time left because of a new job. What is a sensible option?

A. Grow quickly anyway
B. Pretend the test failed so there is no pressure to grow
C. Pause, or find help, before committing to growth
D. Double the target

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q3
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.07 (local)

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A test missed its target, but the founder discovers the payment link was broken for most of the test. What should she do?

A. Fix the link and run the test again
B. Stop the idea based on this result
C. Count the result as a success
D. Ignore the broken link

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q4
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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Target: at least 25 percent of visitors book. Result: 18 of 60 visitors booked. Should the founder continue by that target?

A. No, only 18 percent booked
B. It cannot be judged from these numbers
C. Yes, 30 percent booked, above the target
D. No, 18 is below 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q5
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.07 (local)

Set 17: Founder case: Zappos tests before buying stock

Outcome ENT.CASE.03: Apply a documented test (selling before holding inventory) to a new product idea, and see its limits

Module: Foundation 3: Testing demand

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Learn
Documented history: Zappos founder Nick Swinmurn tested whether people would buy shoes online before holding any inventory. He photographed shoes at local stores and posted them online; when someone ordered a pair, he bought it from the store at full price and shipped it. Lesson drawn by this course (an interpretation): you can test demand before investing in stock, even if each early sale earns little or loses money, because the goal of the test is to learn. One success story does not guarantee the same result for another business.

According to the passage, how did Swinmurn fill early orders?

A. He had a factory make each pair to order.
B. He shipped shoes from a large warehouse he owned.
C. He asked customers to pick up shoes at his home.
D. He bought the shoes from local stores and shipped them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q1/5 · Outcome ENT.CASE.03 (local)

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What question was this test designed to answer?

A. Would people buy shoes online?
B. Which shoe color is the most popular?
C. Which store has the best staff?
D. How cheaply can shoes be made?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
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Why might early sales have earned little money?

A. He gave every pair away free.
B. Customers paid twice the price.
C. He paid full store price for each pair.
D. He had no shipping costs at all on any order.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q3/5 · Outcome ENT.CASE.03 (local)

Learn
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Mara wants to sell imported tea online but cannot afford stock. Applying the lesson, what is a good first test?

A. Buy a full container of tea first
B. List a few teas, buy them only after orders arrive, and ship
C. Assume demand without any test
D. Wait until she can afford to rent a warehouse full of tea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
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Which statement fits the course's interpretation?

A. Holding large stock is the only real test.
B. Every early sale must be profitable.
C. This method guarantees success for any product.
D. Early tests aim to learn, not to maximize profit.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q5/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

Which approach takes orders first?

A. Hire staff before any orders
B. Bake only what customers ordered
C. Buy a bakery building first
D. Bake 200 loaves and hope

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

Why does taking orders first risk less?

A. Ingredients become free.
B. It avoids dealing with any customers at all.
C. Customers pay double.
D. You spend only after customers commit.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

What is a downside of baking only to order?

A. It can be slower and less efficient.
B. It needs a large warehouse for the bread.
C. It guarantees huge waste.
D. It is illegal.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.03 (local)

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Baking 200 loaves before any orders is what?

A. A pre-order
B. A refund
C. Spending before knowing demand
D. Testing demand first with real orders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

What does ordering first tell you?

A. Your future profit for sure
B. The best bakery name
C. Nothing useful
D. What people actually want

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.03 (local)

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Leo wants to sell custom phone stands. Which plan best applies the lesson?

A. Show photos of a sample, take orders, then make each stand
B. Skip samples and only post a logo
C. Rent a store before making a sample
D. Make 1,000 stands in a workshop before showing anyone a sample

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
Documented history: Zappos founder Nick Swinmurn tested whether people would buy shoes online before holding any inventory. He photographed shoes at local stores and posted them online; when someone ordered a pair, he bought it from the store at full price and shipped it. Lesson drawn by this course (an interpretation): you can test demand before investing in stock, even if each early sale earns little or loses money, because the goal of the test is to learn. One success story does not guarantee the same result for another business.

A seller buys each item at 20 dollars and sells at 22 dollars, plus pays 5 dollars shipping. What happens on each sale during this test?

A. She earns 2 dollars per sale.
B. She loses 3 dollars per sale.
C. She breaks even.
D. She earns 7 dollars per sale.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
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Given the loss above, why might the test still be worthwhile?

A. It proves the business will make a large profit later.
B. It shows whether people buy before investing in stock.
C. Losses are always good for a business.
D. Shipping costs do not matter in tests.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.03 (local)

Learn
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A test showed strong orders. What should come next before buying large stock?

A. Stop testing and ignore costs
B. Raise prices without checking demand
C. Keep losing money on every sale forever
D. Find a supplier price that leaves a profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
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Which product is LEAST suited to "buy only after an order"?

A. Books from a supplier
B. Printed posters made on demand after each order
C. Shoes from a nearby store
D. Fresh food that must be ready instantly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.03 (local)

Learn
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A store owner learns her product photos are being copied, without permission, to sell her shoes online. What should a founder using this tactic have done?

A. Hide where the shoes came from
B. Copy the store's brand name
C. Assume any photo of a store's shoes is free to use online
D. Ask permission to use the store's photos, or take his own

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
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Customers expect delivery in 2 days, but buying each item after an order takes 5 days. What is the main risk?

A. There is no risk if the item arrives eventually.
B. Customers prefer slow delivery.
C. Delivery time never matters online.
D. Slow delivery may cause cancellations and bad reviews.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.03 (local)

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Which detail should a founder check before copying the "buy after order" approach for a rare product?

A. Whether the founder of Zappos personally liked this kind of product
B. What year Zappos started
C. Whether the supplier will reliably have the item in stock
D. Whether competitors use the same font

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.03 (local)

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A founder ran the test, lost money on every sale, and kept going for two years without changing costs. What went wrong?

A. The test turned into a long-term loss without a plan to fix costs.
B. The test should have lasted five years.
C. Tests should never lose any money.
D. Nothing went wrong, because losses are part of every business forever.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.03 (local)

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Which is the most accurate statement about using a famous founder's tactic?

A. The tactic guarantees the same success for any founder who copies it.
B. The tactic may help, but your product, costs and customers must be checked.
C. Only shoe sellers may use it.
D. The tactic never works for anyone else.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.03 (local)

Set 18: Founder case: Dropbox shows a demo first

Outcome ENT.CASE.04: Apply a documented test (a demo with a sign-up list) and tell sign-ups from paying customers

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

According to the passage, what did Houston share before the product was public?

A. A finished product sold in stores
B. A short demo video
C. A printed catalog of features
D. A list of investors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

What did the video let viewers do?

A. Download the finished app
B. Buy a lifetime plan for the product immediately
C. Join a waiting list for the early version
D. Apply for a job at the company

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q2/5 · Outcome ENT.CASE.04 (local)

Learn
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Why does the passage avoid exact sign-up numbers?

A. The numbers were secret forever.
B. Different accounts give different numbers.
C. There were no sign-ups at all.
D. Numbers never matter in business stories like this one.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q3/5 · Outcome ENT.CASE.04 (local)

Learn
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Which lesson does the course draw?

A. Products must be fully finished before any test is run.
B. Sign-ups prove customers will pay.
C. Videos always go viral.
D. A demo can test interest, but sign-ups are not payment.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q4/5 · Outcome ENT.CASE.04 (local)

Learn
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Sofia is building a budgeting app. Applying the lesson, what is a good early test?

A. Spend a year building every feature first
B. Show a short demo and offer a waiting list
C. Skip any test and launch in app stores
D. Buy ads for an app that does not exist without explaining it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q5/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

A waiting-list sign-up measures what?

A. Payment
B. Profit
C. Refunds
D. Interest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
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Which measures commitment?

A. Liking a post
B. Watching a demo
C. Paying for early access
D. Joining an email list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

A large waiting list should lead to which next step?

A. Check how many will pay
B. Stop collecting emails
C. Assume all will pay
D. Delete the list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.04 (local)

Learn
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Why can a sign-up list overstate demand?

A. Sign-ups are illegal.
B. Many people sign up but never buy.
C. Sign-ups cost a lot of money.
D. Sign-ups are always fake.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

Which is stronger evidence?

A. 50 paid early-access customers
B. 50 likes
C. 5,000 video views
D. 500 email sign-ups for updates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.04 (local)

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

A designer has a template idea. Which test follows the lesson AND checks payment?

A. Show a demo only to friends
B. Show a demo, then offer paid early access at a discount
C. Build 100 templates before showing anyone a single example
D. Post a logo and wait

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
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A demo page got 1,200 visitors and 300 sign-ups. What percent signed up?

A. 40 percent
B. 12 percent
C. 30 percent
D. 25 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.04 (local)

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Of the 300 sign-ups, 15 paid for early access. What does this show?

A. Some real demand, much smaller than the sign-up list
B. No demand at all
C. All 300 will certainly pay later
D. Payments do not matter much if the number of sign-ups is high

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q3
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Which demo would be misleading?

A. A video clearly labeled "planned features"
B. A short screen recording that shows the current early version
C. A video showing a real early prototype
D. A video showing features that do not exist and are not planned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q4
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After a strong demo test, what should a founder do before promising a launch date?

A. Raise money without a plan
B. Promise the earliest possible date anyway to keep people excited
C. Check how long building the real product will take
D. Stop talking to people on the list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.04 (local)

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A founder's product is hard to show in a short video (for example, a new kind of accounting method). What is a sensible adaptation?

A. Copy Dropbox's video style exactly, scene by scene, for the method
B. Make a confusing video anyway
C. Skip testing entirely
D. Use a different test, such as a simple trial with a few customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.04 (local)

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A demo video went viral, but most viewers were outside the countries the founder can serve. What should she check?

A. The total view count only
B. Which country liked the video the most, judging by comments
C. How many sign-ups come from customers she can actually serve
D. The number of likes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.04 (local)

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A founder copies the demo approach but has no clear problem to show. What is the likely result?

A. Few people will care, because the demo shows no clear benefit.
B. Huge numbers of sign-ups, because demo videos always work well
C. Payment from everyone who watches
D. A guaranteed investor offer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.04 (local)

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Which statement correctly separates history from interpretation?

A. Neither is documented.

B. The video and waiting list are documented; "demos test interest" is a lesson drawn.

C. Both are quotes from the founder.

D. The exact number of sign-ups is documented and agreed on by every source.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.04 (local)

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A waiting list has 2,000 people. Past launches in this field turned about 3 percent of a list into paying customers. About how many paying customers might the founder expect?

A. About 600
B. About 2,000
C. About 60
D. About 6

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.04 (local)

Set 19: Business name, legal entity and brand

Outcome ENT.LEGAL.01: Tell a business name, a legal entity and a brand apart

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Three different things are easy to mix up. The LEGAL IDENTITY is the business as the law sees it, with its legal name. A sole proprietorship is not separate from its owner; an LLC (limited liability company) is a separate LEGAL ENTITY, with its official name on state records. The BUSINESS NAME customers see may be different, such as a trade name. The BRAND is how customers recognize and feel about the business: its logo, colors, voice and reputation. Example: "Rivera Services LLC" (entity) might operate as "Sparkle Clean" (name customers see) with a blue bubble logo (brand).

"Rivera Services LLC" operates as "Sparkle Clean" and uses a blue bubble logo. Which is the legal entity?

A. Rivera Services LLC
B. The blue bubble logo used on the website
C. Sparkle Clean, the name printed on the van doors
D. The owner, Ms. Rivera, as a private person

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q1/5 · Outcome ENT.LEGAL.01 (local)

Learn
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In the same example, what is "Sparkle Clean"?

A. The bank account where all the payments go
B. The name customers see
C. The legal entity registered with the state as an LLC
D. The tax number the business uses for filings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q2/5 · Outcome ENT.LEGAL.01 (local)

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Which is part of a BRAND?

A. The official filing number the state gave the LLC
B. The name of the registered agent on state records
C. The type of entity, such as an LLC or a corporation
D. The business's logo and the tone of its messages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q3
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q3/5 · Outcome ENT.LEGAL.01 (local)

Learn
Three different things are easy to mix up. The LEGAL IDENTITY is the business as the law sees it, with its legal name. A sole proprietorship is not separate from its owner; an LLC (limited liability company) is a separate LEGAL ENTITY, with its official name on state records. The BUSINESS NAME customers see may be different, such as a trade name. The BRAND is how customers recognize and feel about the business: its logo, colors, voice and reputation. Example: "Rivera Services LLC" (entity) might operate as "Sparkle Clean" (name customers see) with a blue bubble logo (brand).

Can a business's legal name and the name customers see be different?

A. No, the law always requires them to be identical everywhere
B. Only for very large public companies with many stores
C. Yes, often
D. Only if the owner changes the bank account first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q4/5 · Outcome ENT.LEGAL.01 (local)

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A customer says, "I love that company; they are always friendly." What is the customer describing?

A. The registered agent's office address in the state
B. The legal entity type listed in the state database
C. The owner's personal tax filing status this year
D. The brand

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q5/5 · Outcome ENT.LEGAL.01 (local)

Learn
Think about a person. Their legal name is on official papers: "Robert James Lee." Friends call him "Bobby": a nickname. People who know him say he is reliable and funny: his reputation. A business works the same way. The legal name is the one on official papers (for an LLC, the name of the separate legal entity). The business name customers see is like a nickname. The brand is like a reputation and style that customers recognize.

"Robert James Lee" on official papers is like a business's what?

A. Logo
B. Legal entity name
C. Brand and reputation with customers
D. Nickname used by friends and customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.01 (local)

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"Bobby" is like a business's what?

A. Name customers see
B. Legal entity on state records
C. Insurance policy
D. Tax identification number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.01 (local)

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"Reliable and funny" is like a business's what?

A. Mailing address
B. Legal entity
C. Brand
D. Bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q3
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Which belongs on official legal papers?

A. The legal entity name
B. A slogan
C. A customer review posted online
D. The logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.01 (local)

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Which can change without any legal filing in most cases?

A. The registered agent on file
B. The type of legal entity
C. The name of an LLC on state records
D. The colors on a logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q5
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"Kim Design LLC" operates as "Pixel Pine." Which name belongs on a contract the LLC signs?

A. The owner's first name only, Jenny
B. Pixel Pine only, with no mention of the LLC
C. Kim Design LLC
D. The logo image instead of any written name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.01 (local)

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Which name usually appears on store signs and the website?

A. The name customers see
B. The registered agent's company name
C. The state filing number for the entity
D. The bank's name for the business account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.01 (local)

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A baker changes her logo from pink to green. What has changed?

A. Her legal entity type, from LLC to corporation
B. Only part of the brand
C. Her state registration and filing number
D. Her tax classification with the IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q3
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An LLC wants customers to see a different name from its legal name. What should the owner check?

A. Whether the state or county requires registering that trade name
B. Whether the logo is pretty enough
C. Whether the bank account is open
D. Whether longtime customers liked the old name better than the new one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q4
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Which situation mixes up name and brand?

A. Keeping the same colors across the website and van
B. Checking whether a trade name must be registered
C. Thinking a new logo protects the business name from use by others
D. Using the LLC name on contracts and the trade name on signs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.01 (local)

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A customer's payment fails because the invoice shows only "Pixel Pine," but the bank account is in the name "Kim Design LLC." What would most likely help?

A. Show the legal name with the trade name, such as "Kim Design LLC dba Pixel Pine"

B. Ask the customer to pay the owner personally

C. Change the logo and colors so the invoice looks nicer and more professional

D. Remove all names from future invoices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.01 (local)

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An owner assumes that because her LLC name was approved by the state, no one else can use her brand name anywhere. What is wrong?

A. Names can never be protected in any way.
B. State approval of the LLC gives her worldwide ownership of the name.
C. Nothing; approval protects the brand everywhere.
D. State approval of an entity name is not the same as trademark rights.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.01 (local)

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Two owners argue about whether to rename the business. Which question should be answered first?

A. Which name is being changed: the legal entity name, the trade name, or the brand?

B. Whether to close the bank account

C. Which of the two possible names sounds more modern and catchy to customers today

D. Which owner chose the first logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q3
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.01 (local)

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A business operates under three trade names. What extra task does this most likely create?

A. Changing the tax classification for each name
B. Forming three separate legal entities automatically
C. Nothing at all; extra names never add work
D. Keeping each name's registrations and records straight

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.01 (local)

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Which statement is accurate?

A. A brand is the same thing as the legal entity.
B. One legal entity can use a different name with customers.
C. A trade name creates a new legal entity.
D. Logos must be registered with the state to be used.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.01 (local)

Set 20: Name and domain checks are not trademark rights

Outcome ENT.LEGAL.02: Explain that a free domain or state name approval does not grant trademark rights, and what to check

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Checking a name is not the same as owning it. A domain name you can buy, a social media handle that is free, or a state's approval of an LLC name only shows that THAT specific spot was available. It does not give trademark rights, and it does not mean the name is safe to use. Another business may already use the same or a similar name for similar goods or services, and could object. Before investing in a name, also search for businesses using it and consider a trademark search (US: the USPTO database). Rules: US, check current guidance.

Nia bought the domain "glowpaws.com." What does this show?

A. That domain was available to buy.
B. No other business anywhere may use the name "Glow Paws."
C. The state has approved "Glow Paws" as her legal entity.
D. She owns the trademark "Glow Paws" everywhere in the country.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q1
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q1/5 · Outcome ENT.LEGAL.02 (local)

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The state approved "Blue Fern LLC." What does this approval mean?

A. The name is guaranteed safe from any legal objection.
B. Nobody can ever sell products called Blue Fern.
C. She has a federal trademark on "Blue Fern" in all fifty states.
D. The LLC can use that entity name in that state's records.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q2
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q2/5 · Outcome ENT.LEGAL.02 (local)

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Which search best helps check whether a brand name might conflict with others?

A. Only checking whether the social media handle is free
B. Only checking whether the domain name is for sale
C. A trademark database search plus a web search
D. Only asking friends if they have heard of the name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q3
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q3/5 · Outcome ENT.LEGAL.02 (local)

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Why could a business object to a new company's name even if the domain was available?

A. Names cannot be used by two businesses for any reason.
B. It may already use a similar name for similar goods.
C. Domains are always illegal to buy.
D. Only the government can object to names.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q4
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Which statement is accurate?

A. A free handle gives the owner exclusive rights to the name.
B. A free handle proves no one else uses the name.
C. A free social media handle does not give trademark rights.
D. A free handle replaces the need for any search.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q5/5 · Outcome ENT.LEGAL.02 (local)

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Finding an empty parking spot means you can park there right now. It does not mean you own the land. Name checks work the same way. An available domain or handle is an empty spot on one website. A state approving your LLC name is an empty spot in that state's list. None of them is a deed that proves you own the name against everyone else. Ownership-like rights to a brand name come from trademark law, which is a separate system.

An available domain is most like what?

A. A building permit
B. An empty parking spot
C. A signed lease for ten years
D. A deed to land

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-B1-Q1
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Which gives ownership-like rights to a brand name?

A. Trademark law
B. Buying a domain
C. Getting a free social handle
D. Printing business cards

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A state approving an LLC name is most like what?

A. A federal trademark registration
B. A worldwide brand deed
C. A patent
D. An open spot on that state's list

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Does an empty parking spot mean you own the land?

A. Only if you park first
B. Yes, always
C. No
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-B1-Q4
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Which is a separate system from domain and state name checks?

A. Trademark law
B. Phone numbers
C. Email newsletters
D. Website hosting

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Ravi plans to print 5,000 bags with his new brand name. Domain and handle are free. What should he do before printing?

A. Register a second domain to be safe
B. Ask only his family if they like the name
C. Print right away, since the domain and handle were both free to register
D. Search trademark records and the web for similar names

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A search finds a company using "Bright Leaf" for tea in another state. Lina wants "Bright Leaf" for tea too. What is the most sensible next step?

A. Copy their logo as well
B. Treat it as a possible conflict and consider another name or advice
C. Ignore it, because that company sells tea only in another state far away
D. Assume her LLC filing protects her

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Which name choice carries the lowest conflict risk, based only on these search results?

A. A name used by a large company in the same industry
B. A name with no similar uses found in trademark or web searches
C. A name very similar to a famous brand
D. A name whose domain is available but used by a competitor offline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F1-Q3
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Which statement about a clear search is accurate?

A. It lowers risk but does not guarantee no conflict.
B. It guarantees no one can ever object.
C. It gives the owner a trademark automatically.
D. It is never worth doing.

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Who is the most appropriate person to ask about a possible trademark conflict?

A. A graphic designer
B. A website hosting company
C. A trademark attorney
D. A social media follower

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F1-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.02 (local)

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An owner says, "My LLC name was approved, I bought the domain, and I got the handle, so I own the name." What is the unsupported assumption?

A. That availability checks create trademark ownership
B. That domain names can be bought at all by small businesses
C. That LLCs need names
D. That handles can be registered

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q1
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.02 (local)

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A seller gets a letter saying her product name is too similar to another company's trademark. What is a sensible first step?

A. Post the letter online and mock the company
B. Read it carefully and get advice before responding
C. Ignore it, since her domain is valid
D. Immediately pay any amount demanded

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q2
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.02 (local)

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Two businesses have similar names but sell very different things (bakery versus car repair) in different towns. What should a founder understand?

A. Similar names can never conflict at all
B. Any similar name is always illegal
C. Only the older business may ever use any similar name for anything at all
D. Conflict risk depends on similarity, goods and markets; check carefully

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q3
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.02 (local)

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Which check is MISSING from this plan? "Name chosen, domain bought, logo designed, bags ordered."

A. A trademark and web search for similar names
B. A larger bag order
C. A second, more colorful logo design for the bags
D. A new email address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q4
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.02 (local)

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A name search costs 0 dollars online. Reprinting 5,000 bags costs 0.60 dollars each. How much could skipping the search cost if the name must change?

A. 60 dollars
B. 5,000 dollars total
C. 3,000 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.02 (local)

Set 21: Sole proprietorships and partnerships

Outcome ENT.LEGAL.03: Describe sole proprietorships and general partnerships, including personal responsibility for debts

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Jo starts selling crafts alone and registers no entity. What is her business most likely?

A. An LLC, created automatically when she makes a sale
B. A sole proprietorship
C. A partnership, because she has customers
D. A corporation, because she sells products to the public

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q1/5 · Outcome ENT.LEGAL.03 (local)

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What is the main risk of a sole proprietorship?

A. The owner is personally responsible for business debts.
B. It must have at least ten employees on payroll.
C. It can never earn a profit under the law.
D. It is always taxed as a large corporation.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Two friends start a painting business together, share profits, and form no entity. What is it most likely?

A. A sole proprietorship, since only one can own it
B. A nonprofit, because they are friends
C. An LLC, because two people are involved
D. A general partnership

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q3/5 · Outcome ENT.LEGAL.03 (local)

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In a general partnership, who can be personally responsible for business debts?

A. Only the partner who signed the most recent contract
B. No one, because the partnership is a separate shield
C. Usually each partner
D. Only the customers who owe the business money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q4/5 · Outcome ENT.LEGAL.03 (local)

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What is a main advantage of a sole proprietorship?

A. It is simple to start.
B. It must be approved by the federal government.
C. It always protects personal savings from lawsuits.
D. It guarantees lower taxes than other forms.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q5/5 · Outcome ENT.LEGAL.03 (local)

Learn
In a sole proprietorship, there is no wall between you and the business. Picture one wallet: business money and debts are legally yours. If the business owes a supplier, you owe the supplier. A general partnership is like several people sharing that same wallet: each can be on the hook for what the business owes. Forming an LLC or corporation is how some owners try to build a wall, but that is a separate step with its own limits.

In a sole proprietorship, whose debt is the business's debt?

A. The bank's
B. Only the customers'
C. The owner's
D. No one's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.03 (local)

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Is there a legal wall between a sole proprietor and the business?

A. Only on weekends
B. No
C. Yes, always
D. Only for small debts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.03 (local)

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A general partnership is like what?

A. One person with two wallets
B. A bank loan
C. A wall between owners and debts
D. Several people sharing one wallet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.03 (local)

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What do some owners form to try to build a wall?

A. A website
B. An LLC or corporation
C. A logo
D. A business card with a printed logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.03 (local)

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If a sole proprietor's business owes a supplier, who owes the supplier?

A. The local library
B. Nobody
C. The supplier's customers
D. The owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.03 (local)

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Mo tutors on his own, files nothing with the state, and a client sues him over a missed contract. Whose assets could be at risk?

A. Mo's personal assets, since he is a sole proprietor
B. No one's, because tutoring is too small to sue
C. Only the client's assets
D. Only the tutoring business's separate assets, protected from Mo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.03 (local)

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Two partners have no written agreement. One partner orders 3,000 dollars of supplies for the business without telling the other. What risk does this show?

A. Only the ordering partner can ever be responsible
B. Partnerships cannot buy supplies
C. Each partner can create debts that affect both
D. The order is automatically canceled by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Which business is most likely a sole proprietorship?

A. Two partners who formed an LLC together
B. A single dog walker who never registered an entity
C. Three cofounders who filed incorporation papers
D. A company with an LLC certificate from the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor has 2,000 dollars of business debt and 5,000 dollars of personal savings. If the business cannot pay, what could happen?

A. The debt disappears because the business closed.
B. Savings are always protected from business debts.
C. Creditors could seek payment from her personal savings.
D. Only 50 percent of the debt can ever be collected.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.03 (local)

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Which step changes a sole proprietorship into a different structure?

A. Hiring a first customer
B. Opening a business bank account in his own name at a local bank
C. Getting a logo designed
D. Forming an entity, such as an LLC, with the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.03 (local)

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Two friends call their joint business "just a hobby" but share profits from regular sales. What should they understand?

A. Hobbies cannot have profits by law
B. They become an LLC by sharing profits
C. Calling it a hobby removes all legal responsibility
D. The law may treat them as a partnership based on what they do

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor wants less personal risk but is unsure what to do. What is the best first step?

A. Learn about other structures and ask an attorney or accountant
B. Stop keeping records
C. Assume insurance is never needed for a small one-person business
D. Change the business logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Which is MISSING from a two-person business plan with no entity? "We split profits 50/50 and both buy supplies."

A. A second social media account for posting photos of their work
B. A third logo
C. A larger supply budget
D. A written agreement about roles, decisions and debts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor assumes local business licenses are not needed "because I am just one person." What should she check?

A. Only federal rules, since local rules never apply
B. Her city, county and state license and permit requirements
C. Nothing, one-person businesses never need licenses
D. Only whether her friends have licenses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.03 (local)

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Which statement is accurate?

A. Simple structures like this have no legal responsibilities at all.
B. Partnerships protect partners from all debts.
C. Being simple to start does not make a sole proprietorship risk-free.
D. Sole proprietors cannot be sued.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.03 (local)

Set 22: LLCs and corporations

Outcome ENT.LEGAL.04: Describe LLCs and corporations at a basic level, including what limited liability does and does not do

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A LIMITED LIABILITY COMPANY (LLC) is a business entity formed by filing with a state. Its main feature is limited liability: generally, business debts and lawsuits are the company's, not the owners' personal ones. A CORPORATION is also formed with the state; it is owned by shareholders and run with more formal rules. Both can help separate personal and business risk, but neither is total immunity: owners can still be personally responsible for their own wrongful acts, for personal guarantees they sign, or if they mix personal and business money. Source: SBA; state law varies.

How is an LLC created?

A. By buying a domain name with "LLC" in it
B. Automatically when a business makes its first sale
C. By opening a business bank account
D. By filing with a state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q1
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q1/5 · Outcome ENT.LEGAL.04 (local)

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What does "limited liability" generally mean?

A. The owners can never be sued for anything at all.
B. Business debts are generally the company's, not the owners'.
C. The company can only earn a limited amount of money.
D. The business never has to pay any taxes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q2
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q2/5 · Outcome ENT.LEGAL.04 (local)

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Which can still make an LLC owner personally responsible?

A. Signing a personal guarantee for a business loan
B. Using a logo on business cards
C. Paying the state filing fee on time
D. Choosing a business name with an LLC ending

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q3
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Who owns a corporation?

A. Its suppliers
B. Its customers
C. Its shareholders
D. The state that approved it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q4
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q4/5 · Outcome ENT.LEGAL.04 (local)

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Which statement about LLCs is accurate?

A. An LLC protects owners from every possible claim.
B. An LLC automatically lowers taxes for every owner.
C. An LLC means owners may mix personal and business money freely.
D. An LLC is not total immunity from personal responsibility.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q5
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q5/5 · Outcome ENT.LEGAL.04 (local)

Learn
Think of an LLC as a wall between the business and the owner's personal life. Most business debts stay on the business side. But the wall has doors that the owner can open: signing a personal guarantee, causing harm personally, or treating business money as personal money. Each of these can let business problems reach the owner. Forming an LLC builds the wall; careful habits keep the doors closed.

In this picture, what does forming an LLC do?

A. Pays taxes automatically
B. Builds a wall between business and personal life
C. Guarantees profit
D. Removes all business debts from existence at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q1
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.04 (local)

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Think of an LLC as a wall between the business and the owner's personal life. Most business debts stay on the business side. But the wall has doors that the owner can open: signing a personal guarantee, causing harm personally, or treating business money as personal money. Each of these can let business problems reach the owner. Forming an LLC builds the wall; careful habits keep the doors closed.

Which is a "door" through the wall?

A. Keeping separate bank accounts
B. Filing the LLC paperwork
C. Signing a personal guarantee
D. Using the LLC name on contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q2
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.04 (local)

Learn
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Mixing business and personal money does what?

A. Makes the wall stronger
B. Can weaken the wall
C. Creates a corporation
D. Has no effect at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q3
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Do most ordinary business debts stay on the business side?

A. Generally, yes
B. Only for corporations
C. Never
D. Only after five years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q4
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.04 (local)

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What keeps the doors closed?

A. Ignoring contracts
B. Posting about the business often on several social media accounts
C. Changing the logo often
D. Careful habits, like separate accounts and not guaranteeing debts personally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q5
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.04 (local)

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Lee's LLC owes a supplier 4,000 dollars and cannot pay. Lee signed nothing personally and kept money separate. Generally, whose debt is it?

A. The state's debt
B. The supplier's own debt
C. The LLC's debt
D. Lee's personal debt automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q1
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.04 (local)

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Same LLC, but Lee personally guaranteed a 10,000-dollar loan. If the LLC cannot repay, who may have to pay?

A. Only the LLC, never Lee
B. No one
C. The bank absorbs the loss automatically
D. Lee personally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q2
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.04 (local)

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An LLC owner pays personal rent from the business account every month and records nothing. What risk does this create?

A. It lowers the owner's taxes automatically
B. No risk; LLC money is the owner's to use any way
C. It can weaken the separation between owner and LLC
D. It turns the LLC into a corporation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q3
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Which business is a corporation?

A. One formed with the state that issues shares to owners
B. Two friends sharing profits with no filing
C. A single owner selling crafts at markets with no state filing at all
D. A brand name printed on a website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q4
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An LLC owner personally causes a car accident while driving for the business. What should the owner understand?

A. Accidents are never a business concern.

B. Personal wrongful acts can create personal responsibility, and insurance matters.

C. The LLC always shields the owner from any claim about any accident at all.

D. Only the other driver is ever responsible.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q5
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.04 (local)

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A friend says, "Form an LLC and you can never be sued." What is wrong with this?

A. Nothing is wrong, because LLC owners can never be sued for anything
B. Only corporations can be sued
C. People can still sue, and owners can still be responsible in some situations
D. LLCs make lawsuits illegal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q1
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.04 (local)

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A friend says, "An LLC automatically saves taxes." What should the owner check?

A. How the LLC will be taxed and whether it actually changes her taxes
B. Nothing, because forming an LLC always saves taxes for its owners
C. Only the LLC's logo design
D. Whether the bank likes LLCs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q2
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.04 (local)

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An owner forms an LLC but keeps signing contracts in her own name only. What risk might this create?

A. The state will cancel the LLC immediately
B. She may be personally bound by those contracts
C. None; the LLC covers anything she signs
D. The contracts become invalid automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q3
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Which detail should an owner verify before relying on LLC protection for a risky activity, such as running trampoline parties?

A. The number of social media followers the business has gained
B. The domain renewal date
C. Insurance coverage and how liability works for that activity
D. Logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q4
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.04 (local)

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Which statement is accurate?

A. An LLC is required for every business.
B. An LLC means its owners can safely ignore the contracts they sign.
C. An LLC replaces the need for insurance.
D. An LLC can help, but it works best with separate money and careful signing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q5
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.04 (local)

Set 23: Legal structure versus tax treatment

Outcome ENT.LEGAL.05: Separate an entity's legal form from how it is taxed

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Who sets a business's legal form?

A. The IRS, by assigning it a tax form
B. State law, through the entity's formation
C. Customers, by how they pay
D. The bank, when it opens an account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q1
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q1/5 · Outcome ENT.LEGAL.05 (local)

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By default, a single-owner LLC is usually taxed how for federal income tax?

A. Always as a large corporation with shareholders
B. As a partnership, even with one owner
C. Never taxed at all, since it is an LLC
D. With its owner ("disregarded")

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q2
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q2/5 · Outcome ENT.LEGAL.05 (local)

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By default, an LLC with three owners is usually taxed as what?

A. A sole proprietorship
B. A government agency
C. A partnership
D. A nonprofit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q3
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q3/5 · Outcome ENT.LEGAL.05 (local)

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Can an LLC choose to be taxed as a corporation?

A. Yes, by making an election
B. Only if it changes its name
C. No, never, under any circumstance
D. Only if it closes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q4/5 · Outcome ENT.LEGAL.05 (local)

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"My business is an LLC." What does this tell you for sure?

A. Exactly how it is taxed
B. Its legal form
C. How much tax it owes this year
D. That it pays no tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q5/5 · Outcome ENT.LEGAL.05 (local)

Learn
Think of a student with two labels: the school they attend (set by enrollment) and the sports team they play on (set by tryouts). Knowing the school does not tell you the team. A business also has two labels: its legal form (set by state filings) and its tax treatment (set by IRS rules and elections). Knowing one does not automatically tell you the other.

A business's legal form is like a student's what?

A. Shoe size
B. Sports team
C. Favorite food
D. School

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q1
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.05 (local)

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Tax treatment is like what?

A. The cafeteria lunch menu
B. The team, chosen separately
C. The bus route
D. The school

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q2
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.05 (local)

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Does knowing the legal form always tell you the tax treatment?

A. Only in summer
B. Yes, always
C. No
D. Only for big companies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q3
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.05 (local)

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Who decides tax treatment rules?

A. Federal IRS rules and the business's elections
B. The state alone, with no federal rules applying at all
C. The bank
D. Customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.05 (local)

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Which word means "choosing" a tax treatment?

A. Registration
B. Formation
C. Election
D. Reconciliation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q5
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Ana forms an LLC alone and makes no tax election. What are her legal form and default federal tax treatment?

A. Sole proprietorship; not taxed at all
B. Corporation; taxed as a corporation
C. Partnership; taxed as a partnership
D. LLC; taxed with Ana as a disregarded entity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q1
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Ben and Cal form an LLC together with no election. What is the default federal tax treatment?

A. Corporation automatically
B. Partnership
C. No tax ever
D. Disregarded with Ben only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q2
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An LLC elected to be taxed as a corporation. What is its legal form now?

A. A partnership
B. A corporation under state law automatically
C. Still an LLC
D. A sole proprietorship

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q3
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A friend says, "LLCs pay a special LLC tax rate." What is the best response?

A. Only states tax LLCs
B. Yes, every LLC in the country pays one special LLC tax rate
C. Tax depends on how the LLC is classified, not on "LLC" alone
D. LLCs never pay any tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q4
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Who is the best person to help decide whether an LLC should make a tax election?

A. A web designer
B. An accountant or tax professional
C. A social media manager for the business
D. A sign printer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.05 (local)

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An owner thinks forming an LLC changed her tax forms automatically into corporate forms. What should she check?

A. Her logo's file format
B. Her competitor's prices and the services they list online
C. Her domain renewal date
D. Her LLC's tax classification and what returns it must file

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q1
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Two owners disagree: one says their LLC is a partnership, the other says it is an LLC. What is the clearest way to put it?

A. Legally an LLC; by default taxed as a partnership
B. Neither, since it has two owners
C. Only a partnership, not an LLC
D. Only an LLC, which has no tax treatment of any kind

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q2
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Rules about elections and deadlines can change. What is the sensible approach for a beginner?

A. Assume the rules never change and rely on what a friend did years ago
B. Check current IRS guidance or ask a tax professional before choosing
C. Rely on an old blog post
D. Ask a competitor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q3
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Which statement is accurate?

A. Sole proprietorships are taxed as corporations.

B. All LLCs are taxed as corporations by default.

C. A sole proprietorship and a single-owner LLC can both be taxed with the owner by default.

D. A single-owner LLC can never be taxed together with its owner under any rule.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.05 (local)

Learn
A business's LEGAL FORM (sole proprietorship, partnership, LLC, corporation) is set by state law. Its TAX TREATMENT is how the IRS taxes it, which is a separate question. An LLC is a good example. By default, for federal income tax, a single-owner LLC is usually taxed with its owner (the IRS calls it "disregarded"), and a multi-owner LLC is usually taxed as a partnership. An LLC can choose (elect) to be taxed as a corporation. So "LLC" tells you the legal form, not automatically how it is taxed. Source: IRS; check current rules.

Which information is needed to know how an LLC is taxed?

A. Its logo and slogan
B. Its number of social media followers and likes
C. Its website color scheme
D. Its number of owners and whether it made an election

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.05 (local)

Set 24: Forming an LLC: state filing and registered agent

Outcome ENT.LEGAL.06: Order the conceptual steps of forming an LLC and explain the registered agent's role

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

What does a registered agent do?

A. Accepts official legal papers for the business
B. Opens and manages the business's bank account
C. Files the owner's personal tax return every spring
D. Designs the logo and picks brand colors for the LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q1/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Which step creates the LLC itself?

A. Printing business cards that say "LLC" on them
B. Buying a matching domain name for the website
C. Filing formation papers with the state
D. Opening a business bank account at a local bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Which order makes the most sense?

A. Print signs first, then pick a registered agent years later
B. Choose a name and agent, file with the state, then open a bank account
C. Apply for licenses before deciding what business it is
D. Open a bank account, then decide whether to form the LLC later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q3/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Many states do not accept which address for a registered agent?

A. The agent's own office address in the state
B. A street address where someone is present
C. A physical office address inside the state
D. A PO Box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q4/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Where should a founder confirm the exact steps and fees?

A. An old textbook from another country
B. A competitor's opinion about filing fees
C. The state's official business filing website
D. A random social media post about LLCs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q5/5 · Outcome ENT.LEGAL.06 (local)

Learn
Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

A registered agent is most like what?

A. A delivery truck that carries packages
B. A bank teller
C. An office front desk for legal papers
D. A logo designer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.06 (local)

Learn
Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

Why does the agent need a street address?

A. So customers can walk in and shop there in person
B. Someone must be able to deliver papers there
C. So the logo looks local
D. So taxes are lower

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

When must the agent usually be available?

A. Never
B. Only on holidays
C. Only late at midnight
D. During business hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.06 (local)

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Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

What does the agent receive?

A. Job applications
B. Customer orders
C. Official legal papers and notices
D. Product shipments from suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.06 (local)

Learn
Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

Which is a good choice for a registered agent?

A. An email address only
B. Someone with a reliable in-state street address
C. A friend who moves often and has no address
D. A PO Box in another state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Lia wants an LLC but works away from home all day and moves often. What registered agent choice fits best?

A. A PO Box near her apartment
B. Her email address
C. Her own home address, even though she is rarely there
D. A registered agent service with a stable in-state office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Ana filed her LLC papers. The state approved them. What is a sensible next step?

A. Choose a name the state will accept
B. Write an operating agreement and handle tax IDs and banking
C. File the formation papers again
D. Pick a registered agent for the very first time now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

A state charges a 125-dollar filing fee and a registered agent service costs 100 dollars a year. What is the first-year cost of these two items?

A. 100 dollars
B. 25 dollars
C. 225 dollars
D. 125 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.06 (local)

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Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Raj picked a name, but the state rejects it as too similar to an existing LLC. What should he do?

A. File anyway and hope it passes
B. Skip forming the LLC entirely
C. Choose a different name and check availability first
D. Use the rejected name anyway, but only on his website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Which item is NOT part of forming the LLC with the state?

A. Paying the state filing fee
B. Filing formation papers
C. Naming a registered agent
D. Designing the company logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Mo wants privacy and plans to list his PO Box as the registered agent address. What should he check first?

A. Whether the PO Box is cheap
B. Whether his state allows a PO Box for the registered agent
C. Whether his logo fits neatly in the space on the state form
D. Whether friends use PO Boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.06 (local)

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Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

An LLC's registered agent quits and the owner forgets to replace them. What is the main risk?

A. Official legal papers might not reach the business
B. The LLC automatically turns into a corporation
C. Taxes drop to zero
D. No risk; agents are optional

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

A website offers "LLC formation in 5 minutes" for 300 dollars plus the state fee. What should a founder understand?

A. Only paid services can file

B. Services guarantee lower taxes

C. The whole 300-dollar service fee is paid to the state as a tax

D. The state filing can often be done directly; services add their own fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

A founder plans to operate in a second state. What should she check?

A. Whether to dissolve the first LLC
B. Whether her logo is popular in that state
C. Whether that state requires registering the LLC there too
D. Nothing; one state filing automatically covers every other state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.06 (local)

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

Which statement is accurate?

A. Only federal law controls LLC formation.
B. Formation steps and fees vary by state.
C. LLCs never need a registered agent.
D. Every state has identical forms and fees.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.06 (local)

Set 25: Operating agreements and multiple owners

Outcome ENT.LEGAL.07: Identify what a written agreement among owners should cover

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An operating agreement is a written document among an LLC's owners (members) that sets the rules for running the business. It usually covers: who owns what percentage; who makes which decisions; how profits and losses are shared; what happens if an owner wants to leave, becomes unable to work, or dies; how new owners can join; and how disagreements are settled. Even a one-owner LLC can benefit from one. Some states require it. Writing it while everyone gets along prevents painful arguments later.

Which topic belongs in an operating agreement?

A. What happens if an owner wants to leave
B. The menu for the office holiday party
C. The color scheme for the company website
D. Which social media app to post on first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q1
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q1/5 · Outcome ENT.LEGAL.07 (local)

Learn
An operating agreement is a written document among an LLC's owners (members) that sets the rules for running the business. It usually covers: who owns what percentage; who makes which decisions; how profits and losses are shared; what happens if an owner wants to leave, becomes unable to work, or dies; how new owners can join; and how disagreements are settled. Even a one-owner LLC can benefit from one. Some states require it. Writing it while everyone gets along prevents painful arguments later.

Who are the parties to an LLC's operating agreement?

A. The LLC's customers who buy its products
B. The bank that holds the business account
C. The LLC's owners (members)
D. The state that approved the LLC filing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q2
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q2/5 · Outcome ENT.LEGAL.07 (local)

Learn
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When is the best time to write an operating agreement?

A. Never, because it is always unnecessary
B. Only after a serious argument begins
C. Only if the business becomes very large
D. At the start, while owners agree

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q3
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q3/5 · Outcome ENT.LEGAL.07 (local)

Learn
An operating agreement is a written document among an LLC's owners (members) that sets the rules for running the business. It usually covers: who owns what percentage; who makes which decisions; how profits and losses are shared; what happens if an owner wants to leave, becomes unable to work, or dies; how new owners can join; and how disagreements are settled. Even a one-owner LLC can benefit from one. Some states require it. Writing it while everyone gets along prevents painful arguments later.

Two owners each own 50 percent. Which topic is especially important to settle?

A. Which owner has the nicer handwriting
B. How tie votes are broken
C. Whose car is newer for deliveries
D. Which font the invoices use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q4
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q4/5 · Outcome ENT.LEGAL.07 (local)

Learn
An operating agreement is a written document among an LLC's owners (members) that sets the rules for running the business. It usually covers: who owns what percentage; who makes which decisions; how profits and losses are shared; what happens if an owner wants to leave, becomes unable to work, or dies; how new owners can join; and how disagreements are settled. Even a one-owner LLC can benefit from one. Some states require it. Writing it while everyone gets along prevents painful arguments later.

Does a one-owner LLC ever benefit from an operating agreement?

A. Only if it has more than 100 employees
B. Only if the owner changes the logo
C. No, never, under any circumstances at all
D. Yes, it can

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-M-Q5
Entrepreneurship, Set 25: Operating agreements and multiple owners · MAIN · Q5/5 · Outcome ENT.LEGAL.07 (local)

Learn
Think of roommates writing house rules: who pays which bills, who cleans, what happens if someone moves out, and how to settle arguments. Writing them on move-in day is easy; writing them during a fight is hard. An operating agreement is the house rules for the owners of an LLC: ownership, decisions, money, leaving, and disagreements.

An operating agreement is most like what?

A. Roommates' house rules
B. A daily weather report
C. A movie ticket
D. A grocery list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q1
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.07 (local)

Learn
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When are house rules easiest to write?

A. On move-in day
B. During an argument
C. Never
D. After someone moves out

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q2
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.07 (local)

Learn
Think of roommates writing house rules: who pays which bills, who cleans, what happens if someone moves out, and how to settle arguments. Writing them on move-in day is easy; writing them during a fight is hard. An operating agreement is the house rules for the owners of an LLC: ownership, decisions, money, leaving, and disagreements.

"What happens if someone moves out" matches which agreement topic?

A. Website design
B. An owner leaving the business
C. A list of product prices for the shop
D. Logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q3
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.07 (local)

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Think of roommates writing house rules: who pays which bills, who cleans, what happens if someone moves out, and how to settle arguments. Writing them on move-in day is easy; writing them during a fight is hard. An operating agreement is the house rules for the owners of an LLC: ownership, decisions, money, leaving, and disagreements.

"Who pays which bills" matches what?

A. Who designs the logo and the website
B. Who is the customer
C. Where to advertise
D. How money and responsibilities are shared

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q4
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.07 (local)

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"How to settle arguments" matches what?

A. Hiring a designer for the brand and website
B. Raising prices
C. Resolving disagreements between owners
D. Choosing a domain

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-B1-Q5
Entrepreneurship, Set 25: Operating agreements and multiple owners · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.07 (local)

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A two-owner LLC agreement covers ownership and profit split only. What important gap remains?

A. Holiday decorations
B. What happens if an owner leaves or cannot work
C. Which printer brand to buy for the office
D. The office plant schedule

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q1
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.07 (local)

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Owners own 60 and 40 percent. Profits are 10,000 dollars, split by ownership. How much goes to the 40-percent owner?

A. 4,000 dollars
B. 400 dollars
C. 5,000 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q2
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.07 (local)

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One owner does most of the daily work but owns 30 percent. What should the agreement make clear?

A. That work and pay never need to be discussed
B. That ownership must always equal hours worked
C. How work is paid separately from ownership
D. That the hard worker gets nothing extra ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q3
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.07 (local)

Learn
An operating agreement is a written document among an LLC's owners (members) that sets the rules for running the business. It usually covers: who owns what percentage; who makes which decisions; how profits and losses are shared; what happens if an owner wants to leave, becomes unable to work, or dies; how new owners can join; and how disagreements are settled. Even a one-owner LLC can benefit from one. Some states require it. Writing it while everyone gets along prevents painful arguments later.

An agreement says big purchases need both owners' approval. Which purchase most clearly needs it?

A. A 20,000-dollar delivery van
B. A 3-dollar coffee
C. A 5-dollar pack of pens
D. A 10-dollar shipping label

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q4
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.07 (local)

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A new person wants to buy into the LLC. Where should the rules for adding owners be?

A. In a customer invoice
B. On the company website
C. In a social media post
D. In the operating agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F1-Q5
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.07 (local)

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Two equal owners disagree on hiring and their agreement has no tie-break rule. What is a sensible step?

A. Use a mediator or add a tie-break process both accept
B. Ask customers to vote
C. Stop all business forever
D. Let the louder owner decide every disagreement from now on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q1
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.07 (local)

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An owner wants to sell her share to an outsider. The agreement gives other owners first chance to buy. What should she do first?

A. Sell to the outsider quietly without telling the other owners
B. Dissolve the LLC immediately
C. Ignore the agreement because it is old
D. Offer her share to the other owners as the agreement requires

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q2
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.07 (local)

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A template agreement from the internet does not fit the owners' real arrangement. What is the risk?

A. Templates are illegal
B. It may not match what they actually agreed or state law
C. It automatically guarantees the owners lower taxes
D. None; any template works

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q3
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.07 (local)

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Which detail should be checked before signing an operating agreement?

A. Whether a competitor approves
B. Whether it is longer than ten pages, since longer is better
C. Whether it covers decisions, money, exits and disputes
D. Whether the font is attractive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q4
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.07 (local)

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Who can help write or review an operating agreement for a complex situation?

A. A social media influencer
B. A web developer
C. A sign maker
D. A business attorney

REFERENCE LABEL: NOT PART OF THE QUESTION ID S25-F2-Q5
Entrepreneurship, Set 25: Operating agreements and multiple owners · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.07 (local)

Set 26: DBA (trade name) filings

Outcome ENT.LEGAL.08: Explain when a trade name (DBA) filing is used and what it does not do

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A DBA ("doing business as"), also called a trade name, assumed name or fictitious name, lets a business operate under a name different from its legal name. A sole proprietor named Maria Lopez who sells as "Sunny Bakes" may need to register that name; so may an LLC operating under a different name. Where it is filed (state, county or city) depends on the location. A DBA does NOT create a new entity, does NOT give liability protection, and does NOT give trademark rights. Check local rules.

Maria Lopez sells cakes as "Sunny Bakes." What does a DBA filing let her do?

A. Operate under the name "Sunny Bakes"
B. Turn her business into an LLC without other filings
C. Stop all others from using "Sunny Bakes" nationwide
D. Protect her house from business debts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q1
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q1/5 · Outcome ENT.LEGAL.08 (local)

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Does a DBA create a new legal entity?

A. Yes, it creates a corporation
B. No
C. Only for partnerships
D. Yes, it creates an LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q2
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q2/5 · Outcome ENT.LEGAL.08 (local)

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Which is another common term for a DBA?

A. Registered agent
B. Articles of organization
C. Trade name
D. Operating agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q3
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q3/5 · Outcome ENT.LEGAL.08 (local)

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Where is a DBA filed?

A. Always with the IRS only, in every location
B. Always with a bank
C. Never anywhere
D. It depends on the location: state, county or city

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q4
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q4/5 · Outcome ENT.LEGAL.08 (local)

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Which is TRUE about a DBA?

A. It replaces a business license.
B. It does not give liability protection.
C. It gives trademark rights everywhere.
D. It shields personal savings.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-M-Q5
Entrepreneurship, Set 26: DBA (trade name) filings · MAIN · Q5/5 · Outcome ENT.LEGAL.08 (local)

Learn
A DBA is like a name tag. If Robert wears a tag saying "Coach Bob," he is still Robert. The tag tells people what to call him at work; it does not make him a different person or give him special protection. A business with a DBA is still the same business, with the same owner, the same responsibilities and the same legal form. It simply uses another name with customers.

A DBA is most like what?

A. A shield
B. A trademark certificate
C. A new person
D. A name tag

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q1
Entrepreneurship, Set 26: DBA (trade name) filings · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.08 (local)

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Robert wearing a "Coach Bob" tag is still who?

A. Robert
B. A company
C. No one
D. A new person named Bob

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q2
Entrepreneurship, Set 26: DBA (trade name) filings · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.08 (local)

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Does a business with a DBA change its legal form?

A. Yes, always
B. Only for LLCs
C. No
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q3
Entrepreneurship, Set 26: DBA (trade name) filings · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.08 (local)

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Does a DBA give special protection?

A. Yes, from lawsuits
B. Yes, from debts
C. Yes, from taxes
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q4
Entrepreneurship, Set 26: DBA (trade name) filings · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.08 (local)

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What does a DBA tell customers?

A. The owner's salary
B. What name the business uses
C. Who the owner's doctor is
D. The bank balance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-B1-Q5
Entrepreneurship, Set 26: DBA (trade name) filings · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.08 (local)

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Lee, a sole proprietor, opens a bank account for "Lee's Lawns." The bank asks for a DBA certificate. Why?

A. The business name differs from Lee's legal name
B. Because banks issue DBAs
C. Because a DBA replaces the owner's driver's license
D. Because it creates an LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q1
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.08 (local)

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Which business most likely needs a DBA?

A. "Green Path LLC" selling under the name "Fresh Bowls"
B. "Green Path LLC" selling only as "Green Path LLC"
C. Jane Smith selling as "Jane Smith"
D. A business with no name at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q2
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.08 (local)

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A sole proprietor files a DBA to look more official. What does she still lack?

A. Customers
B. Permission to sell
C. A business name to use
D. Liability protection

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q3
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A DBA filing costs 25 dollars and must be renewed every 5 years. Over a 15-year window (the first filing now plus renewals at years 5 and 10), how much is spent, assuming the same fee?

A. 75 dollars
B. 25 dollars
C. 375 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q4
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.08 (local)

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Which step would actually give some liability protection?

A. Filing a DBA
B. Forming an LLC or corporation
C. Buying a domain
D. Ordering business cards with "LLC"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F1-Q5
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.08 (local)

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An owner believes his DBA means no one else can use "River Tees." What should he check?

A. Trademark records and whether anyone else already uses the name
B. Only his domain registrar
C. Nothing; the DBA protects the name everywhere in the nation
D. Only his county website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q1
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.08 (local)

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A business uses a DBA in two counties. What should the owner check?

A. Whether the logo needs a DBA
B. Whether each county requires its own filing
C. Whether one filing covers every country in the world
D. Whether DBAs are illegal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q2
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.08 (local)

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A customer contract is signed only as "Fresh Bowls" with no legal name. What is the risk?

A. None at all
B. It cancels the DBA
C. Confusion about which legal entity is responsible
D. Signing as Fresh Bowls creates a new LLC called Fresh Bowls

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q3
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.08 (local)

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A founder plans: "File DBA, then sell food from home." What else must be checked?

A. Only the font and layout of the printed DBA certificate
B. Nothing; the DBA is enough
C. Only competitor prices
D. Licenses, permits and local rules for selling food

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q4
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.08 (local)

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Which statement is accurate?

A. A DBA can be useful, but it is only a registered name.
B. A DBA lowers taxes.
C. A DBA is a trademark.
D. A DBA replaces the need to form an LLC for protection.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S26-F2-Q5
Entrepreneurship, Set 26: DBA (trade name) filings · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.08 (local)

Set 27: Liability limits and personal guarantees

Outcome ENT.LEGAL.09: Recognize how personal guarantees and personal actions can bypass limited liability

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Limited liability has gaps. A PERSONAL GUARANTEE is a promise you sign to pay a business debt yourself if the business cannot. Lenders, landlords and some suppliers often ask new business owners for one, because the business has little history. If you sign it, your personal savings and other assets can be used to pay that debt, even if you have an LLC. Personal guarantees can be hidden in long forms. Read before signing, ask what you are guaranteeing, and consider whether the amount is one you could pay personally.

What is a personal guarantee?

A. A promise to pay a business debt yourself if the business cannot
B. A promise by the bank to lend you more money later
C. A guarantee that the business will make a profit this year
D. A warranty you give customers on a product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q1
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q1/5 · Outcome ENT.LEGAL.09 (local)

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An LLC owner signed a personal guarantee on the shop lease. The business closes. Who may owe the rest of the lease?

A. The state
B. Only the landlord
C. The owner personally
D. No one, because the LLC closed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q2
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q2/5 · Outcome ENT.LEGAL.09 (local)

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Why do lenders often ask new owners for guarantees?

A. Because LLCs cannot sign contracts.
B. Because guarantees are required by every state.
C. Because guarantees lower the owner's taxes.
D. New businesses have little history.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q3
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q3/5 · Outcome ENT.LEGAL.09 (local)

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Where can a personal guarantee sometimes hide?

A. Only on billboards outside the bank
B. Inside a long application or contract
C. Only in the company logo
D. Only in social media ads

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q4
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q4/5 · Outcome ENT.LEGAL.09 (local)

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Before signing a guarantee, what should an owner ask?

A. Will signing this make my company logo look better?
B. How fast can I sign?
C. Could I pay this amount personally if needed?
D. Is the paper a nice color?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-M-Q5
Entrepreneurship, Set 27: Liability limits and personal guarantees · MAIN · Q5/5 · Outcome ENT.LEGAL.09 (local)

Learn
Imagine co-signing a friend's phone contract. If your friend stops paying, the phone company can ask you to pay. A personal guarantee for your business works the same way: you are co-signing for your own company. Your LLC may be the main borrower, but your signature means you will pay if it cannot. That is why it matters so much.

Co-signing means what?

A. You get a free phone
B. You own the company
C. You can never be asked to pay anything at all
D. You may have to pay if the main borrower does not

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q1
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.09 (local)

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A personal guarantee is like co-signing for whom?

A. A competitor down the street
B. Your own business
C. A stranger
D. The bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q2
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.09 (local)

Learn
Imagine co-signing a friend's phone contract. If your friend stops paying, the phone company can ask you to pay. A personal guarantee for your business works the same way: you are co-signing for your own company. Your LLC may be the main borrower, but your signature means you will pay if it cannot. That is why it matters so much.

If the LLC cannot pay a guaranteed debt, who may pay?

A. The state
B. The business's regular customers
C. Nobody
D. The person who signed the guarantee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q3
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Who is the main borrower on a business loan with a guarantee?

A. The guarantor only
B. The business
C. The landlord
D. The bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q4
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.09 (local)

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Does an LLC stop a guarantor from having to pay?

A. No
B. Only in summer
C. Only if small
D. Yes, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-B1-Q5
Entrepreneurship, Set 27: Liability limits and personal guarantees · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.09 (local)

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A supplier offers 30-day payment terms if the owner signs a personal guarantee up to 5,000 dollars. The owner has 1,000 dollars in savings. What is the main concern?

A. Payment terms are always free of risk
B. She could owe more than she could personally pay
C. Guarantees only apply to big companies
D. The supplier will never actually ask anyone for payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q1
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Two lease offers: A requires a personal guarantee; B costs 100 dollars more a month with no guarantee. The owner's priority is protecting her house. Which fits her priority?

A. Offer A, because it is cheaper
B. Neither, because all leases require guarantees
C. Offer B, without the guarantee
D. Offer A, because guarantees never get used

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q2
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A loan application has a page titled "Unconditional Guaranty." What should the owner do?

A. Read it and ask what it covers before signing
B. Ignore it because it is a standard form
C. Cross it out without telling the lender
D. Sign quickly so the loan closes faster

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q3
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A guarantee covers a 12,000-dollar loan. The business repays 9,000 dollars and then closes. How much might the guarantor owe, ignoring interest and fees?

A. 0 dollars
B. 9,000 dollars
C. 3,000 dollars
D. 12,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q4
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Which action can reduce guarantee risk?

A. Hiding the guarantee from a business partner so they do not worry
B. Ignoring the amount
C. Negotiating a limit or a time period on the guarantee
D. Signing several guarantees at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F1-Q5
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Two partners own an LLC equally. Only one signs a personal guarantee. What should the partners discuss?

A. Whether to change the logo
B. Nothing; guarantees are always shared automatically
C. Whether to stop keeping records
D. How they will share that risk fairly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q1
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.09 (local)

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An owner says, "I have an LLC, so the guarantee does not matter." What is wrong?

A. Guarantees expire when signed
B. The guarantee makes her personally responsible despite the LLC
C. Personal guarantees are illegal for anyone who owns an LLC
D. Nothing; the LLC overrides it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q2
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Which missing information should be checked before signing a guarantee?

A. The maximum amount and how long it lasts
B. How many employees the lender has
C. The lender's office paint color
D. Whether the lender likes your logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q3
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A business owner's spouse is asked to sign a guarantee too. What should the spouse understand?

A. Spouses can never be responsible
B. Signing only helps the credit score
C. It is just a formality that has no legal effect on the spouse
D. Their personal assets could also be used for the debt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q4
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Who is the best person to review a large guarantee before signing?

A. A social media follower
B. The lender only
C. A business attorney
D. A graphic designer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S27-F2-Q5
Entrepreneurship, Set 27: Liability limits and personal guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.09 (local)

Set 28: Licenses, permits, zoning and home businesses

Outcome ENT.LEGAL.10: Identify which local, state or industry permissions to check for an activity and location

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

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Lucy wants to sell homemade baked goods from her kitchen. What should she check?

A. Local and state rules for selling food made at home
B. Only whether her friends and neighbors like her cookies
C. Only how to post on social media
D. Only the price of flour at the store

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q1
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q1/5 · Outcome ENT.LEGAL.10 (local)

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What do zoning rules decide?

A. Which colors a business logo may use
B. How much tax the owner pays each year
C. Which bank the business must use
D. What activities are allowed at a location

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q2
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Which job most likely needs a professional license?

A. Dog photography at a park
B. Writing a personal blog for fun
C. Electrical wiring in customers' homes
D. Selling greeting cards online

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Who sets licensing and permit rules?

A. Only the business owner's friends
B. Only the bank that holds the account
C. It depends: city, county, state and sometimes federal agencies
D. Only the federal government, for every business in the country

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q4
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A tenant wants to run a business from an apartment. What else besides city rules should she check?

A. The weather forecast
B. Her favorite restaurant's hours
C. A competitor's logo
D. Her lease terms

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-M-Q5
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · MAIN · Q5/5 · Outcome ENT.LEGAL.10 (local)

Learn
Think of permission slips at school: one lets you go on a field trip, another lets you play a sport. A business may need several kinds: a general business license (permission to operate), a permit for a specific activity (like serving food), and approval that the location allows the activity (zoning). Some people also need a personal professional license, like a driver's license for a job. Each comes from the group in charge of that rule.

A general business license is like which permission slip?

A. Permission to drive a car
B. Permission to operate at all
C. Permission to skip class
D. Permission to change a logo

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A food permit covers what?

A. A specific activity: selling food
B. The owner's taxes
C. The company name
D. All business activity everywhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-B1-Q2
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.10 (local)

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Zoning approval is about what?

A. The owner's education level and degrees
B. Whether the location allows the activity
C. The website design
D. The product's price

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A hair stylist's license is which kind?

A. A zoning rule for the salon
B. A trademark
C. A DBA
D. A personal professional license

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Who issues each permission?

A. The group in charge of that rule
B. The business owner alone, by choice
C. Competitors
D. Customers

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Sam wants to run a home-based tutoring business with students visiting 4 evenings a week. Which checks fit best?

A. Only a trademark search
B. Only a social media account to advertise the tutoring sessions to local families
C. Only a food permit
D. City business license, zoning limits on home visits, and his lease or HOA rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F1-Q1
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A food truck plans to sell in two cities. What should the owner check?

A. Nothing, trucks are always exempt
B. Each city's permits and rules
C. Only the truck's paint color
D. One city's rules, since all cities match

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A city charges 50 dollars for a business license and 120 dollars for a sign permit. What is the total for both?

A. 170 dollars
B. 120 dollars
C. 70 dollars
D. 50 dollars

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An online-only digital product seller works from home with no visitors. Which check is still sensible?

A. A liquor license
B. Whether the city or state requires a general business license or registration
C. A food handler permit and a restaurant health inspection for the home kitchen
D. A construction permit

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Where is the best place to find local requirements?

A. The city or county government's business office or website
B. A random forum post
C. A competitor
D. The comment section under a video about business licenses

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A friend says, "Home businesses never need permits." What is wrong with this?

A. Nothing; it is always true
B. Rules depend on the activity and location
C. Only big businesses exist
D. Home businesses are illegal everywhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q1
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A dog groomer's city allows home businesses, but her homeowner association bans customer visits. What should she do?

A. Assume rules never get enforced
B. Ask customers to keep visits secret
C. Follow both sets of rules or find another location
D. Ignore the association because the city allows it

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Which missing check is the biggest risk in this plan? "Rent a shop, print signs, open next week."

A. Whether the printed signs are colorful enough to attract walkers
B. Whether competitors are nearby
C. Whether zoning and permits allow this use at the shop
D. Whether the website loads fast

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q3
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A license must be renewed each year. What is a sensible habit?

A. Put renewal dates on a deadline calendar
B. Wait for a reminder that may never come
C. Assume one license lasts forever
D. Renew only if inspected

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Which statement is accurate for this course?

A. Rules vary by place, so check the official sources where you operate.
B. New Jersey's rules apply the same way everywhere in the US.
C. Federal rules replace all local rules.
D. No business needs any permission.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S28-F2-Q5
Entrepreneurship, Set 28: Licenses, permits, zoning and home businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.10 (local)

Set 29: When a professional helps

Outcome ENT.LEGAL.11: Decide when a question needs an attorney, accountant or other professional, and prepare for the meeting

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Some questions are worth paying an expert to answer. An ATTORNEY helps with legal questions: contracts, entity choice, disputes, leases and trademarks. An ACCOUNTANT or tax professional helps with taxes, bookkeeping set-up, tax elections and estimated payments. An INSURANCE AGENT helps match coverage to risks. Get help when the stakes are high, the rules are complex, or a mistake would be hard to undo. Prepare: write your questions, bring documents, and ask about fees before you start.

Which professional best fits a question about a confusing lease clause?

A. A graphic designer who made the logo
B. A social media manager
C. An attorney
D. A delivery driver

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q1
Entrepreneurship, Set 29: When a professional helps · MAIN · Q1/5 · Outcome ENT.LEGAL.11 (local)

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Which professional best fits a question about whether to make a tax election?

A. A web developer who builds websites
B. An accountant or tax professional
C. A sign maker
D. A florist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q2
Entrepreneurship, Set 29: When a professional helps · MAIN · Q2/5 · Outcome ENT.LEGAL.11 (local)

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When is professional help most worth paying for?

A. When ordering pens
B. When stakes are high and mistakes are hard to undo
C. When picking a lunch spot
D. When choosing a font for the business's social media posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q3
Entrepreneurship, Set 29: When a professional helps · MAIN · Q3/5 · Outcome ENT.LEGAL.11 (local)

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What is a good way to prepare for a meeting with an expert?

A. Arrive with no questions to save time
B. Avoid asking about fees
C. Bring only a logo sketch
D. Write questions and bring documents

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q4
Entrepreneurship, Set 29: When a professional helps · MAIN · Q4/5 · Outcome ENT.LEGAL.11 (local)

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Which professional helps match coverage to business risks?

A. A trademark examiner at the agency
B. A banker
C. A copywriter
D. An insurance agent or broker

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-M-Q5
Entrepreneurship, Set 29: When a professional helps · MAIN · Q5/5 · Outcome ENT.LEGAL.11 (local)

Learn
Think of health: you see a dentist for teeth and an eye doctor for eyes. Business questions work the same way. Legal questions (contracts, leases, disputes) go to an attorney. Money and tax questions go to an accountant or tax professional. Coverage questions go to an insurance agent. Asking the right expert saves time and gets a better answer.

A contract question goes to whom?

A. A designer
B. An accountant
C. An insurance agent
D. An attorney

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q1
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.11 (local)

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A tax question goes to whom?

A. A dentist
B. An attorney only, never anyone else
C. An accountant or tax professional
D. A designer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q2
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.11 (local)

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An insurance coverage question goes to whom?

A. A chef
B. A tutor
C. A store cashier
D. An insurance agent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q3
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.11 (local)

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Why match the question to the expert?

A. To avoid all advice
B. To get a better answer faster
C. To confuse the expert on purpose
D. To pay more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q4
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.11 (local)

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A dentist for teeth is like what for a lease dispute?

A. An attorney
B. A house painter
C. A baker
D. A coach

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-B1-Q5
Entrepreneurship, Set 29: When a professional helps · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.11 (local)

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Mia is about to sign a 5-year commercial lease with a personal guarantee. What is the best step?

A. Have an attorney review it before signing
B. Ask a friend who once rented an apartment
C. Sign quickly before the landlord changes his mind
D. Skip reading the guarantee page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q1
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Jon needs to choose a font for his flyers. Does he need an attorney?

A. Yes, attorneys design flyers
B. Yes, every decision needs an attorney
C. No, this is a low-stakes design choice
D. Yes, fonts are legal contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q2
Entrepreneurship, Set 29: When a professional helps · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.11 (local)

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An attorney charges 200 dollars an hour. A lease review takes 1.5 hours. What is the cost?

A. 300 dollars
B. 201.5 dollars
C. 200 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q3
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Which question is best brought to a tax professional?

A. Which supplier has nicer boxes
B. How to write an Instagram caption
C. How to plan estimated tax payments for a new business
D. Which color to paint the shop's front door this spring

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q4
Entrepreneurship, Set 29: When a professional helps · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.11 (local)

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A founder can afford only one paid consultation this month. Which use is most valuable?

A. Reviewing the partnership agreement before both partners sign
B. Naming a product flavor
C. Picking a nice email signature for every message she sends
D. Choosing a logo color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F1-Q5
Entrepreneurship, Set 29: When a professional helps · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.11 (local)

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A free online article explains LLC rules but is from another state and five years old. What is the limit?

A. It fully replaces all professional advice for every owner
B. Articles can never be useful
C. It is always perfectly accurate
D. It may not match current rules where you operate

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q1
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.11 (local)

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A founder asks a lawyer friend casually at a party about a lawsuit threat. What is the concern?

A. The lawsuit will disappear
B. Lawyers never answer questions
C. Casual answers may be incomplete; a proper consultation is safer
D. No concern; advice given at a party is binding and complete

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q2
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.11 (local)

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Before hiring an accountant, which question should the owner ask?

A. Whether the accountant uses social media
B. What the fee is and what is included
C. Whether the accountant likes the logo
D. What the accountant's favorite movie is

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q3
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A founder uses an AI tool to draft a contract. What is the sensible next step for an important deal?

A. Assume AI drafts are legally verified
B. Sign it as written
C. Have a qualified professional review it
D. Delete all contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q4
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.11 (local)

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Which statement fits this course?

A. Professionals are never needed.

B. Education explains what to check; individual decisions may need professional advice.

C. Every question needs a lawyer.

D. This course gives each learner individual legal advice for their own business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S29-F2-Q5
Entrepreneurship, Set 29: When a professional helps · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.11 (local)

Set 30: What an EIN is

Outcome ENT.ID.01: Explain what an Employer Identification Number (EIN) is for and when to check whether one is needed

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An EIN (Employer Identification Number) is a nine-digit number the IRS (the federal tax agency) gives a business to identify it for federal taxes, much like a Social Security number identifies a person. Businesses that hire employees, most partnerships and corporations, and many LLCs need one. Banks often ask for it when opening a business account. Even a sole proprietor without employees may choose to get one so she can give clients the EIN instead of her Social Security number. The IRS says an EIN is free: you never have to pay a fee for one.

What is an EIN?

A. A registered trademark for a business name
B. A credit score assigned to new businesses
C. A state license that lets a business sell food
D. A federal tax ID number for a business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q1
Entrepreneurship, Set 30: What an EIN is · MAIN · Q1/5 · Outcome ENT.ID.01 (local)

Learn
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Which agency issues EINs?

A. The IRS
B. The US Postal Service
C. The patent and trademark office
D. The state's business licensing office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q2
Entrepreneurship, Set 30: What an EIN is · MAIN · Q2/5 · Outcome ENT.ID.01 (local)

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How much does the IRS charge for an EIN?

A. A fee set by each county
B. A 50-dollar filing fee paid online
C. Nothing; it is free
D. A yearly fee based on sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q3
Entrepreneurship, Set 30: What an EIN is · MAIN · Q3/5 · Outcome ENT.ID.01 (local)

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Which business most clearly needs an EIN?

A. A person who only buys from businesses
B. A shop that hires its first employee
C. A child selling lemonade one afternoon
D. A hobby blogger who earns no money at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q4
Entrepreneurship, Set 30: What an EIN is · MAIN · Q4/5 · Outcome ENT.ID.01 (local)

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Why might a sole proprietor with no employees still get an EIN?

A. Because it automatically creates an LLC for her
B. Because it protects her house from business debts
C. To give clients an EIN instead of her SSN
D. Because it removes the need to pay income tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-M-Q5
Entrepreneurship, Set 30: What an EIN is · MAIN · Q5/5 · Outcome ENT.ID.01 (local)

Learn
People have Social Security numbers so the government can match their tax records. A business can have its own ID number too: the EIN. When the business files taxes, pays employees, or opens a bank account, the EIN tells everyone which business it is. The number does not make the business legal or protect the owner; it is simply an ID, like a student ID number at school.

An EIN is most like which of these?

A. A shop's front sign
B. A house key
C. A bank loan
D. A student ID number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q1
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.01 (local)

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A person's tax ID is usually what?

A. A home street address
B. A zip code
C. A phone number
D. A Social Security number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q2
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.01 (local)

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What does the EIN tell the IRS?

A. Where to buy supplies
B. How good the products are
C. Which business the records belong to
D. The owner's favorite color and hobbies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q3
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.ID.01 (local)

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Does an EIN protect the owner from debts?

A. Yes, but only for LLC owners
B. Yes, from every debt
C. Yes, in every state
D. No, it is only an ID number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q4
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.01 (local)

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When might a bank ask for an EIN?

A. When checking the weather
B. When paying at a city parking meter
C. When opening a business bank account
D. When buying a coffee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-B1-Q5
Entrepreneurship, Set 30: What an EIN is · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.ID.01 (local)

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Dee runs a one-person bookkeeping service as a sole proprietor. Clients ask for a tax ID on forms. She does not want to share her SSN widely. What fits?

A. Refuse all clients who ask for a tax ID
B. Get a free EIN and give clients that number
C. Make up a nine-digit number for the forms
D. Pay a website 200 dollars, believing it is required

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q1
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.ID.01 (local)

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Raj is hiring two part-time workers for his food truck. What should he get?

A. Only a trademark for the truck's name
B. Only a new business email address
C. An EIN from the IRS
D. Only a PO Box for mail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q2
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.ID.01 (local)

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Which statement about an EIN is accurate?

A. It identifies the business for federal taxes.
B. It means the business has trademark rights.
C. It is issued by the bank that holds the account.
D. It replaces the business license from the city.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q3
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An EIN has how many digits?

A. Twelve
B. Nine
C. Four
D. Six

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Lena formed a two-owner LLC with her brother. What is the most likely situation?

A. The LLC can never have an EIN
B. Each owner must use the other's SSN
C. The LLC uses the state's phone number as its ID
D. The LLC will usually need an EIN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F1-Q5
Entrepreneurship, Set 30: What an EIN is · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.01 (local)

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A website charges 250 dollars to "obtain your EIN." What should a founder know?

A. Paying more gives a better EIN
B. The 250 dollars is the IRS's official fee
C. The IRS gives EINs for free
D. Only paid websites can request EINs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q1
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.01 (local)

Learn
An EIN (Employer Identification Number) is a nine-digit number the IRS (the federal tax agency) gives a business to identify it for federal taxes, much like a Social Security number identifies a person. Businesses that hire employees, most partnerships and corporations, and many LLCs need one. Banks often ask for it when opening a business account. Even a sole proprietor without employees may choose to get one so she can give clients the EIN instead of her Social Security number. The IRS says an EIN is free: you never have to pay a fee for one.

An owner thinks getting an EIN means she now has an LLC. What is the error?

A. An EIN is a tax ID, not a legal entity
B. There is no error; EINs create LLCs
C. EINs end the business's tax duties
D. EINs are only for corporations

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q2
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.01 (local)

Learn
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A sole proprietor shares her EIN on an invoice. Compared with sharing her SSN, what is the benefit?

A. Her invoices become legally binding contracts
B. Her Social Security number stays more private
C. She pays no income tax at all
D. Her business turns into a corporation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q3
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.01 (local)

Learn
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Which source is best to confirm whether a business needs an EIN?

A. A competitor's guess
B. A comment on a social media post
C. The IRS website
D. An old flyer from a print shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q4
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.01 (local)

Learn
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An owner loses track of her EIN. What is a sensible first step?

A. Use a random nine-digit number on forms until she finds it
B. Stop filing taxes until it turns up
C. Apply for many new EINs right away
D. Check earlier IRS letters or bank and tax records

REFERENCE LABEL: NOT PART OF THE QUESTION ID S30-F2-Q5
Entrepreneurship, Set 30: What an EIN is · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.01 (local)

Set 31: Applying from the official source

Outcome ENT.ID.02: Recognize the official free EIN application and unnecessary third-party charges

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. If the business will be an LLC or corporation, the IRS advises forming it with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

Where should an owner apply for an EIN to avoid unnecessary fees?

A. Through the city hall front desk
B. Through any website that appears first in an ad
C. Directly with the IRS
D. Through the business's bank teller

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q1
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q1/5 · Outcome ENT.ID.02 (local)

Learn
The IRS lets businesses apply for an EIN directly, including online, at no charge. The online application asks for a "responsible party": an individual who controls the business, with a Social Security number (SSN) or ITIN. It is for businesses located in the US or its territories, and it must be completed in one session. If the business will be an LLC or corporation, the IRS advises forming it with the state first; applying before the entity exists may delay things. Be careful with look-alike websites that charge fees.

What is the "responsible party" on the application?

A. An individual who controls the business
B. Any customer who bought something from the business
C. The state office that approved the LLC
D. The bank that will hold the business account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q2
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q2/5 · Outcome ENT.ID.02 (local)

Learn
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What must the responsible party have for the online application?

A. A college degree in business
B. An SSN or ITIN
C. A business credit card with a high limit
D. A registered trademark for the name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q3
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q3/5 · Outcome ENT.ID.02 (local)

Learn
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An owner is forming an LLC. What order does the IRS advise?

A. Apply for the EIN, then decide on a business later
B. Print invoices, then decide on the business form
C. Open a bank account, then form the LLC years later
D. Form the LLC with the state, then apply for the EIN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q4
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q4/5 · Outcome ENT.ID.02 (local)

Learn
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What does the IRS say about completing the online application?

A. It must be finished in one session
B. It must be signed in person at a bank
C. It can be saved for three weeks and resumed
D. It must be mailed in on paper afterward

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-M-Q5
Entrepreneurship, Set 31: Applying from the official source · MAIN · Q5/5 · Outcome ENT.ID.02 (local)

Learn
Imagine renewing a library card. You can go to the library desk and do it for free, or pay a stranger outside to stand in line for you. The stranger may help, but the library itself does not charge. Applying for an EIN is similar: the IRS is the official counter and does not charge. Websites that look official may add fees for doing the same thing.

In the story, who is the official counter?

A. The stranger outside
B. The library desk
C. A bookstore
D. The parking lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q1
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.02 (local)

Learn
Imagine renewing a library card. You can go to the library desk and do it for free, or pay a stranger outside to stand in line for you. The stranger may help, but the library itself does not charge. Applying for an EIN is similar: the IRS is the official counter and does not charge. Websites that look official may add fees for doing the same thing.

For an EIN, who is the official counter?

A. A competitor
B. A paid website
C. A friend
D. The IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q2
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.02 (local)

Learn
Imagine renewing a library card. You can go to the library desk and do it for free, or pay a stranger outside to stand in line for you. The stranger may help, but the library itself does not charge. Applying for an EIN is similar: the IRS is the official counter and does not charge. Websites that look official may add fees for doing the same thing.

Does the official counter charge for an EIN?

A. Yes, 100 dollars
B. Only on weekends
C. No
D. Yes, monthly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q3
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.ID.02 (local)

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What might a middleman website add?

A. A trademark
B. Its own fee
C. A free gift card
D. A business loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q4
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.02 (local)

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What is the safest way to avoid extra fees?

A. Pay whoever asks
B. Guess a number
C. Click the first ad you see
D. Use the official IRS site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-B1-Q5
Entrepreneurship, Set 31: Applying from the official source · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.ID.02 (local)

Learn
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Pat wants to apply online but has not decided who controls the business with his partner. What should he do first?

A. Decide who the responsible party is before starting
B. Apply twice, once for each partner
C. List a loyal customer as the responsible party instead
D. Start and leave the field blank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q1
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.ID.02 (local)

Learn
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A founder searched "get EIN" and found a site charging 199 dollars that looks official. What should she check?

A. Whether the site has nice colors
B. Whether the price is lower than another paid EIN website
C. Whether the site has many ads
D. Whether the web address is the IRS's official irs.gov site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q2
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.ID.02 (local)

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Kai plans to form an LLC next month. He wants an EIN today for the future LLC. What does the IRS advise?

A. Apply today; order never matters
B. Form the LLC first, then apply
C. Skip the EIN entirely for an LLC
D. Use his own SSN as the LLC's EIN forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q3
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.ID.02 (local)

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Which information should be ready before starting the online application?

A. The logo file, brand colors and a sample of the website
B. Next year's marketing plan
C. The business type and responsible party's SSN or ITIN
D. A list of competitors' prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q4
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.ID.02 (local)

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Nora saved 199 dollars by applying directly with the IRS instead of a paid site. If she had also avoided a 49-dollar "rush" add-on, how much did she save in total?

A. 199 dollars
B. 49 dollars
C. 150 dollars
D. 248 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F1-Q5
Entrepreneurship, Set 31: Applying from the official source · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.02 (local)

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A founder has no SSN or ITIN. What does the IRS page say about the online application?

A. It requires an SSN or ITIN, so another IRS method may be needed
B. She can never get an EIN
C. Anyone can apply online without any SSN or ITIN at all
D. She should use a friend's SSN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q1
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.02 (local)

Learn
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An email says, "Your EIN expires. Pay 75 dollars to renew." What should the owner do?

A. Reply with her bank details
B. Click the link and enter her SSN
C. Treat it as suspicious and check with the IRS directly
D. Pay quickly by card so the business does not lose its EIN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q2
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.02 (local)

Learn
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A business is located outside the US. What does the IRS online page say?

A. Foreign businesses get EINs from their bank
B. Every business located abroad must use only the online tool
C. Foreign businesses can never get an EIN
D. The online application is for businesses in the US or its territories

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q3
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.02 (local)

Learn
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An owner started the online form, left for lunch and came back. What might happen?

A. She gets two EINs
B. She may need to start again because it is one session
C. The IRS mails her the EIN anyway
D. Her progress is saved for several months automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q4
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.02 (local)

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Which statement is accurate?

A. Rules on the IRS site can change, so check it when applying.
B. Paid websites set IRS rules.
C. IRS rules never change.
D. Banks decide which businesses are allowed to get an EIN.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S31-F2-Q5
Entrepreneurship, Set 31: Applying from the official source · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.02 (local)

Set 32: EIN, state tax ID and registration

Outcome ENT.ID.03: Tell an EIN, a state tax account and a business registration apart, and their usual order

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

Which ID is the federal tax ID?

A. The state sales tax permit
B. The EIN
C. The DBA certificate number
D. The city business license number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q1
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q1/5 · Outcome ENT.ID.03 (local)

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A shop will collect sales tax. Which ID is it most likely to need from the state?

A. Only a trademark registration
B. Only a domain name registration for the site
C. Only an EIN from the IRS
D. A state tax account or sales tax permit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q2
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q2/5 · Outcome ENT.ID.03 (local)

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What does business registration (like forming an LLC) do?

A. Replaces all business licenses
B. Collects sales tax for the state
C. Records the business with the state
D. Gives a federal tax ID number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q3
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q3/5 · Outcome ENT.ID.03 (local)

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Does an EIN replace a city business license?

A. No, they do different jobs
B. Yes, if the business has an LLC
C. Yes, but only for food businesses
D. Yes, an EIN covers every permission

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q4
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q4/5 · Outcome ENT.ID.03 (local)

Learn
Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

According to the SBA launch steps, how are federal and state tax IDs treated?

A. As the same as a trademark
B. As separate steps
C. As one single combined number
D. As optional for all businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-M-Q5
Entrepreneurship, Set 32: EIN, state tax ID and registration · MAIN · Q5/5 · Outcome ENT.ID.03 (local)

Learn
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

Why can't a gym card be used at the library?

A. Gym cards are illegal
B. Each card is for a different place
C. Gym cards are too big to fit in slots
D. Libraries are closed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q1
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.ID.03 (local)

Learn
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The EIN is the card for which office?

A. The city
B. The post office
C. The state tax agency
D. The IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q2
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.ID.03 (local)

Learn
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

A state tax account is the card for which office?

A. The IRS
B. The bank
C. The state tax agency
D. The trademark office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q3
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.ID.03 (local)

Learn
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

A license is like which wallet card?

A. A coupon
B. A photo
C. A pass letting you do something
D. A store receipt from shopping

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q4
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.ID.03 (local)

Learn
Picture a wallet with a library card, a driver's license and a gym card. Each card is for a different place; the library will not accept your gym card. A business also carries several IDs and papers: a federal tax ID (EIN) for the IRS, a state tax account for state taxes, a registration showing it exists, and licenses giving permission to operate. Each is for a different office.

Can one business ID replace all the others?

A. Yes, the DBA
B. Yes, the EIN
C. No
D. Yes, any card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-B1-Q5
Entrepreneurship, Set 32: EIN, state tax ID and registration · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.ID.03 (local)

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Different numbers and filings do different jobs. The EIN is the FEDERAL tax ID from the IRS. A STATE tax ID or account may be needed for state taxes, such as collecting sales tax or paying state payroll taxes; it comes from the state's tax agency. BUSINESS REGISTRATION (forming an LLC, or filing a DBA) records the business or its name with the state or local government. A LICENSE gives permission to operate. Having one does not replace the others. The SBA lists getting federal and state tax IDs as separate launch steps.

Mara is opening a retail gift shop LLC with one employee. Which list is most complete?

A. EIN only
B. LLC registration, EIN, state tax account, local license
C. DBA and logo only
D. A local license only, with no tax IDs or LLC filing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q1
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.ID.03 (local)

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Theo got an EIN and thinks he is ready to collect sales tax. What is missing?

A. A state sales tax permit or account
B. A new domain name
C. Nothing, the EIN covers sales tax
D. A trademark search

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q2
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.ID.03 (local)

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Which item gives permission to operate in the city?

A. The EIN
B. The DBA filing
C. A city business license
D. The state tax account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q3
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.ID.03 (local)

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A business owner counts 4 required items and has finished 3. What fraction is done?

A. 3/4
B. 1/4
C. 4/3
D. 3/7

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q4
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.ID.03 (local)

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Which source lists federal and state tax IDs as launch steps?

A. A competitor's social media page
B. An old print advertisement
C. A random online forum
D. The SBA's launch guide

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F1-Q5
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.ID.03 (local)

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An owner gives a state tax form her EIN in the box for her state account number. What is the problem?

A. The EIN and state account number are different IDs
B. The state only needs her logo
C. No problem; the federal and state numbers are always identical
D. The state form needs a trademark

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q1
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.ID.03 (local)

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A seller thinks a DBA filing gives her a state tax account. What is the error?

A. DBAs are federal IDs
B. No error; a DBA filing also opens a state tax account
C. A DBA registers a name, not a tax account
D. DBAs replace the EIN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q2
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.ID.03 (local)

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A business moves to a new state. Which items should it check?

A. Only its logo colors
B. Only the EIN, which must be replaced
C. Nothing; every state registration and license transfers automatically
D. State registration, state tax accounts and local licenses there

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q3
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.ID.03 (local)

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Which statement is accurate?

A. No business needs a state ID.

B. Requirements depend on the state, the activity and whether there are employees.

C. Every business in every state needs exactly the same IDs and filings.

D. Only big companies need IDs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q4
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.ID.03 (local)

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Where should a founder check state tax ID needs?

A. The IRS only
B. A neighbor's guess
C. The comment section under a business video
D. The state tax agency's official website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S32-F2-Q5
Entrepreneurship, Set 32: EIN, state tax ID and registration · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.ID.03 (local)

Set 33: A separate business bank account

Outcome ENT.BANK.01: Explain why business money belongs in a separate account

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A separate business bank account keeps business money apart from personal money. All business income goes in and all business expenses come out of it. This makes bookkeeping and taxes easier, shows clearly what the business earns, and helps support the separation between an LLC or corporation and its owner. Mixing personal and business money in one account is called COMMINGLING. It makes records confusing and can weaken liability protection. The SBA lists opening a business bank account as a launch step.

What is commingling?

A. Keeping receipts in a folder by month
B. Paying taxes on time each quarter
C. Mixing personal and business money
D. Opening several savings accounts at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q1
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q1/5 · Outcome ENT.BANK.01 (local)

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What is one benefit of a separate business account?

A. The owner never needs to keep receipts
B. Bookkeeping and taxes are easier
C. The business pays no taxes at all
D. Customers must pay in cash only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q2
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q2/5 · Outcome ENT.BANK.01 (local)

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Which money should go into the business account?

A. All business income
B. Only the owner's birthday gifts
C. Nothing; it should stay empty
D. Only cash from personal savings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q3
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q3/5 · Outcome ENT.BANK.01 (local)

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How can commingling affect an LLC owner?

A. It removes the need for licenses
B. It always lowers the owner's taxes
C. It makes the LLC a trademark
D. It can weaken liability protection

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q4
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q4/5 · Outcome ENT.BANK.01 (local)

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Which purchase belongs on the business account?

A. The owner's gym membership
B. A family vacation
C. Packaging supplies for orders
D. The owner's groceries

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-M-Q5
Entrepreneurship, Set 33: A separate business bank account · MAIN · Q5/5 · Outcome ENT.BANK.01 (local)

Learn
Imagine two jars on a shelf: one labeled HOME and one labeled BUSINESS. Money from customers goes in the BUSINESS jar, and business supplies are paid from it. Money for groceries and rent comes from the HOME jar. If you pour both into one jar, you cannot tell how much the business earned. A separate business bank account is the BUSINESS jar.

Customer payments go in which jar?

A. Neither jar
B. The BUSINESS jar
C. The HOME jar
D. A third secret jar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q1
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.01 (local)

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Groceries are paid from which jar?

A. The BUSINESS jar
B. No jar
C. Both jars equally
D. The HOME jar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q2
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.01 (local)

Learn
Imagine two jars on a shelf: one labeled HOME and one labeled BUSINESS. Money from customers goes in the BUSINESS jar, and business supplies are paid from it. Money for groceries and rent comes from the HOME jar. If you pour both into one jar, you cannot tell how much the business earned. A separate business bank account is the BUSINESS jar.

What happens if both jars are poured into one?

A. You cannot tell what the business earned
B. Nothing changes
C. Taxes disappear
D. The business automatically earns more money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q3
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.01 (local)

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A business bank account is like which jar?

A. The HOME jar for family money
B. The BUSINESS jar
C. A broken jar
D. A cookie jar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q4
Entrepreneurship, Set 33: A separate business bank account · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.01 (local)

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Business supplies are paid from which jar?

A. A neighbor's jar
B. The HOME jar
C. The BUSINESS jar
D. No jar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-B1-Q5
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Gia's client pays 600 dollars for a design project. Where should it be deposited?

A. The business account
B. Her personal savings for safekeeping
C. Her child's school account
D. Split randomly between accounts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q1
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Ben pays for his personal phone and his business software from one personal card. What is the issue?

A. Nothing, one card is always best
B. Phones are illegal for businesses
C. Software is never a business cost
D. Business and personal costs are mixed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q2
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In a month, the business account shows deposits of 3,200 dollars and expenses of 2,450 dollars. What is the net change?

A. 750 dollars less
B. 2,450 dollars more
C. 750 dollars more
D. 5,650 dollars more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q3
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Which is commingling?

A. Paying the LLC's web hosting from the LLC account
B. Paying the owner's rent from the LLC account
C. Paying supplier invoices from the LLC account
D. Depositing client payments in the LLC account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q4
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A new freelancer has no LLC. Is a separate account still useful?

A. Yes, it keeps records clearer
B. No, it raises taxes automatically
C. No, freelancers cannot open them
D. No, only corporations may have one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F1-Q5
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Ava accidentally paid a 40-dollar personal dinner with the business card. What is a sensible fix?

A. Close the business account
B. Ignore it, since small mistakes on business cards never matter
C. Record it and repay the business from personal money
D. Call it a business expense anyway

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q1
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.01 (local)

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A customer pays by a payment app linked to the owner's personal account. What should the owner change?

A. Link the payment app to the business account
B. Nothing, apps never matter
C. Delete all records
D. Ask customers to stop paying through the app

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q2
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An owner pays herself from the business by moving money to her personal account and noting it. Is that commingling?

A. Yes, owners can never be paid
B. Yes, every transfer from business to owner is illegal
C. Only if done on Mondays
D. No, a recorded transfer to the owner is a normal step

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q3
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Which habit best prevents commingling?

A. Pay all costs in untracked cash
B. Use whichever card is closest
C. Use business cards and accounts only for business
D. Keep one shared card for both kinds of spending

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q4
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Which statement is accurate?

A. A separate account by itself makes the owner immune to every lawsuit and every business debt.

B. A separate account removes the need for bookkeeping.

C. A separate account helps, but it does not by itself guarantee liability protection.

D. A separate account eliminates taxes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S33-F2-Q5
Entrepreneurship, Set 33: A separate business bank account · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.01 (local)

Set 34: Opening the account: documents, fees, signers

Outcome ENT.BANK.02: Identify documents a bank may ask for, account fees and who may sign

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Banks set their own rules, but opening a business account usually requires: the business's formation papers (for an LLC or corporation), the EIN (or an SSN for some sole proprietors), a DBA certificate if using a trade name, and personal ID for each signer. A SIGNER is a person allowed to use the account. Compare accounts: monthly fees, minimum balance needed to avoid fees, transaction limits, cash deposit fees and online tools. Read the fee schedule before choosing; a "free" account may have conditions.

What is a signer on a bank account?

A. The bank employee who opened the account
B. A customer who pays the business by check
C. A person allowed to use the account
D. The state office that approved the LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q1
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q1/5 · Outcome ENT.BANK.02 (local)

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Which document does a bank commonly ask for when opening an LLC account?

A. The company's logo file
B. A competitor's price list
C. The owner's high school report card
D. The LLC's formation papers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q2
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q2/5 · Outcome ENT.BANK.02 (local)

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A sole proprietor uses the trade name "Pine Cleaners." What may the bank ask for?

A. A trademark from another country
B. A DBA certificate
C. A food permit
D. An operating agreement only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q3
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q3/5 · Outcome ENT.BANK.02 (local)

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An account is "free" if the balance stays above 1,500 dollars. What should an owner check?

A. Whether she can keep that minimum balance
B. Whether the bank's logo is attractive
C. Whether the lobby has coffee
D. Whether her friends bank there

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q4
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q4/5 · Outcome ENT.BANK.02 (local)

Learn
Banks set their own rules, but opening a business account usually requires: the business's formation papers (for an LLC or corporation), the EIN (or an SSN for some sole proprietors), a DBA certificate if using a trade name, and personal ID for each signer. A SIGNER is a person allowed to use the account. Compare accounts: monthly fees, minimum balance needed to avoid fees, transaction limits, cash deposit fees and online tools. Read the fee schedule before choosing; a "free" account may have conditions.

Which is part of comparing business accounts?

A. The color of the debit card only
B. How tall the bank building is
C. The bank's TV ads
D. Monthly fees and transaction limits

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-M-Q5
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · MAIN · Q5/5 · Outcome ENT.BANK.02 (local)

Learn
Opening a business account is like checking in for a flight: you bring the right papers or you get sent back. Bring proof the business exists (formation papers or a DBA certificate), the tax ID (EIN), and a photo ID for each person who will use the account. Then, like comparing airline baggage fees, compare the account's fees before you choose.

What happens if you arrive without the right papers?

A. Nothing at all
B. You may be sent back
C. You get a free account
D. The bank guesses for you

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q1
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.02 (local)

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Which shows the business exists?

A. A social media page for the business
B. A photo of the shop
C. Formation papers or a DBA certificate
D. A business card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q2
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.02 (local)

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Which ID does each account user bring?

A. A personal photo ID
B. A coupon
C. A gym card
D. A library card only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q3
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.02 (local)

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Comparing account fees is like comparing what?

A. Airline baggage fees
B. Paint colors at a hardware store
C. Movie plots
D. Song lyrics

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q4
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.02 (local)

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Which tax ID do you bring?

A. A license plate
B. A zip code
C. The EIN
D. A phone number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-B1-Q5
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BANK.02 (local)

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Account A costs 15 dollars a month. Account B costs 5 dollars a month plus 0.50 dollars per deposit after 20 deposits. A business makes 30 deposits a month. Which costs less?

A. Account B (10 dollars)
B. Account B (20 dollars)
C. They cost the same
D. Account A (15 dollars)

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q1
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BANK.02 (local)

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Tia's LLC has two owners who will both write checks. What must the bank set up?

A. Only Tia, while her partner uses Tia's card
B. A customer as a signer
C. No signers; the LLC signs itself
D. Both owners as signers with ID

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q2
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.02 (local)

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An account waives its 12-dollar monthly fee if the balance stays above 1,000 dollars. Ken's balance usually drops to 400 dollars. What yearly fee should he expect?

A. 144 dollars
B. 12 dollars
C. 0 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q3
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Which document is the bank LEAST likely to require?

A. Formation papers
B. The business's marketing plan
C. The EIN
D. A photo ID for each signer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q4
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.02 (local)

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A cash-heavy food truck compares accounts. Which fee matters most to it?

A. International wire fees
B. Check-printing designs
C. Branch decor
D. Cash deposit fees

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F1-Q5
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.02 (local)

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A partner leaves the business but is still a signer. What should the remaining owner do?

A. Close every account immediately
B. Share the password with the former partner
C. Ask the bank to remove that signer
D. Nothing; old signers lose access automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q1
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.02 (local)

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A bank ad says "Free business checking." What should the owner do before opening?

A. Read the fee schedule and conditions
B. Assume all banks are the same
C. Ask a stranger online
D. Open it right away; free means no fees ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q2
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An owner gives her bookkeeper her own online banking password. What is a better option?

A. Use the same password for everything
B. Post the password where every staff member can see it
C. Share her ID card too
D. Ask the bank about separate access for the bookkeeper

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q3
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The bank asks for documents the owner did not expect. What is the reason most likely?

A. The bank is breaking the law
B. Banks set their own rules for opening accounts
C. The IRS controls bank forms
D. The business is not allowed to exist in that state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q4
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Which statement is accurate?

A. Every bank charges exactly the same monthly and deposit fees.
B. Banks never ask for ID.
C. No bank ever charges business fees.
D. Account requirements and fees vary by bank, so compare before choosing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S34-F2-Q5
Entrepreneurship, Set 34: Opening the account: documents, fees, signers · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.02 (local)

Set 35: Debit, credit and payment processing

Outcome ENT.BANK.03: Tell debit cards, credit cards and payment processors apart, including when money arrives

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A business DEBIT card takes money straight from the business account. A business CREDIT card borrows money that must be repaid; unpaid balances usually charge interest. A PAYMENT PROCESSOR is a company that lets the business accept card or app payments from customers; it charges a fee, often a percentage plus a small fixed amount per sale, and deposits the rest into the business account, usually a day or more later. Know which tool moves money in, and which moves money out.

Where does a business debit card take money from?

A. The business bank account
B. A loan that must be repaid with interest
C. The customer's bank account directly
D. The owner's personal savings account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q1
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What happens if a credit card balance is not paid in full?

A. The bank pays the balance for the business
B. Interest is usually charged
C. The card becomes a debit card
D. The balance is forgiven after a month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q2
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What does a payment processor do?

A. Files the business's yearly tax return
B. Registers the business name with the state
C. Designs the online store
D. Lets the business accept customer card payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q3
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Which tool brings money IN from customers?

A. A business debit card
B. A business credit card
C. A payment processor
D. A checkbook

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q4
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When does the processor usually deposit the money?

A. Exactly one year later
B. A day or more after the sale
C. Before the customer buys anything
D. Never; it keeps the money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-M-Q5
Entrepreneurship, Set 35: Debit, credit and payment processing · MAIN · Q5/5 · Outcome ENT.BANK.03 (local)

Learn
Think of money moving through doors. A payment processor is an IN door: customers' card payments come through it into the business account, minus a fee. A debit card is an OUT door: money leaves the account immediately. A credit card is a borrowed OUT door: you spend now and must pay the card company back later, sometimes with interest.

A payment processor is which door?

A. An IN door
B. A locked door
C. No door
D. An OUT door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q1
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.03 (local)

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A debit card is which door?

A. A locked door
B. An IN door
C. An OUT door
D. A borrowed door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q2
Entrepreneurship, Set 35: Debit, credit and payment processing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.03 (local)

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A credit card is which door?

A. A locked door with no key
B. A borrowed OUT door
C. A free door
D. An IN door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q3
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What does the processor keep?

A. The customer's card
B. A fee
C. The whole sale
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q4
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What may you owe on a credit card later?

A. The balance and maybe interest
B. A free gift
C. Only a thank-you note to the card company
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-B1-Q5
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A processor charges 2.9 percent plus 0.30 dollars per sale. A sale is 50 dollars. What is the fee?

A. 1.75 dollars
B. 1.45 dollars
C. 3.20 dollars
D. 0.30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q1
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A processor charges 2.9 percent plus 0.30 dollars per sale. How much is deposited for a 50-dollar sale?

A. 50.00 dollars
B. 48.55 dollars
C. 48.25 dollars
D. 46.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q2
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Lou buys 300 dollars of supplies with a business credit card and pays the whole bill on time. What interest does he pay, assuming the card charges none when paid in full?

A. 30 dollars
B. 0 dollars
C. 3 dollars
D. 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q3
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A business wants to stop overspending money it does not have. Which card fits that goal?

A. A business debit card
B. A store credit account
C. Several new credit cards
D. A credit card with a high limit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q4
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A customer pays by card on Friday. The owner needs the cash Friday afternoon. What should she know?

A. Cash arrives in her wallet instantly
B. Card sales never deposit
C. Processor deposits often arrive a day or more later
D. Card deposits always arrive before the customer even pays

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F1-Q5
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An owner charges 2,000 dollars on a credit card and pays only the minimum each month. What is the main risk?

A. The purchase becomes free
B. No risk; minimum payments clear the debt quickly
C. The bank cancels the debt
D. Interest builds and the debt lasts a long time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q1
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Two processors: one charges 2.6 percent plus 0.15 dollars per sale, one charges 3 percent with no fixed fee. For a 10-dollar sale, which costs less?

A. 2.6 percent plus 0.15 dollars (0.41 dollars)
B. 3 percent (0.30 dollars)
C. They cost the same
D. 3 percent (3.00 dollars)

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q2
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A processor holds a new seller's deposits for a few days after a large sale. What is a sensible response?

A. Sign up for many processors at once to spread out sales
B. Stop recording sales
C. Assume the money is lost forever
D. Read the processor's terms and plan cash for delays

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q3
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An owner pays personal bills with the business credit card to earn rewards. What is the problem?

A. It mixes personal and business spending
B. Business cards cannot earn rewards
C. Nothing; rewards make it fine
D. Rewards are illegal

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Which statement is accurate?

A. Fees and rules differ by provider, so compare current terms.
B. Credit cards never charge interest on any unpaid balance.
C. Debit cards borrow money.
D. All processors charge the same.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S35-F2-Q5
Entrepreneurship, Set 35: Debit, credit and payment processing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.03 (local)

Set 36: Moving money between owner and business

Outcome ENT.BANK.04: Record owner contributions and owner withdrawals separately from sales and expenses

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Owners move money in and out of a business in a few ways. An OWNER CONTRIBUTION is money the owner puts in. An OWNER'S DRAW (also called a distribution) is an owner withdrawal for personal use; for sole proprietors and most LLCs, a draw is not a wage and is not a business expense, so it lowers the business's cash but does not reduce its profit. A LOAN from the owner to the business should be written down with how it will be repaid. In every case, move the money by transfer and record what it is, so the books show the truth.

Money an owner puts into the business is called what?

A. A refund to a customer
B. An owner's draw for personal use
C. A customer payment for a product
D. An owner contribution

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q1
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q1/5 · Outcome ENT.BANK.04 (local)

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Money an owner withdraws from the business for personal use is called what?

A. A loan from a bank
B. An owner's draw
C. A business expense for supplies
D. A sales tax payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q2
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q2/5 · Outcome ENT.BANK.04 (local)

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For a sole proprietor, is a draw a business expense?

A. Only in December
B. Only if over 1,000 dollars
C. No
D. Yes, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q3
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q3/5 · Outcome ENT.BANK.04 (local)

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An owner lends the business 2,000 dollars. What should be done?

A. Write it down with how it will be repaid
B. Keep it secret from any partners
C. Spend it without recording anything
D. Call it sales income

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q4
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q4/5 · Outcome ENT.BANK.04 (local)

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What is the best way to move money between owner and business?

A. Paying personal bills from the business card
B. Untracked cash from a drawer
C. Guessing amounts at year end
D. A recorded bank transfer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-M-Q5
Entrepreneurship, Set 36: Moving money between owner and business · MAIN · Q5/5 · Outcome ENT.BANK.04 (local)

Learn
Picture a family piggy bank with a notebook next to it. When you put money in, you write "Added 50." When you take money out, you write "Took 20." If you borrow from it, you write "Borrowed 30, will repay Friday." The notebook tells the true story. Owner contributions, draws and loans are the same idea: money moves in and out, and each move is written down.

Putting money in the piggy bank is like what?

A. A refund paid to a customer
B. An owner contribution
C. An owner's draw
D. A tax bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q1
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.04 (local)

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Taking money out is like what?

A. A business license
B. A contribution
C. A sale
D. An owner's draw

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q2
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.04 (local)

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Why keep the notebook?

A. For decoration
B. To make the piggy bank heavier
C. It tells the true story of the money
D. To hide the money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q3
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"Borrowed 30, will repay Friday" is like what?

A. A loan with repayment terms
B. A tax
C. A sale
D. A gift to a friend or cousin

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q4
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.04 (local)

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What happens if moves are not written down?

A. Nothing at all
B. No one knows the true balance
C. The money multiplies by itself
D. Taxes vanish

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-B1-Q5
Entrepreneurship, Set 36: Moving money between owner and business · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BANK.04 (local)

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Ivy moves 1,000 dollars from her savings into her new LLC account to buy supplies. How should it be recorded?

A. As an owner contribution

B. As an owner's draw

C. As sales revenue from customers

D. As a supply expense

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q1

Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BANK.04 (local)

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A sole proprietor's business has 5,000 dollars of cash available. The owner withdraws 1,500 dollars as a draw for personal use. With no other transactions, how much cash remains in the business?

A. 6,500 dollars
B. 5,000 dollars
C. 3,500 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q2
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.04 (local)

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Omar lends his business 3,000 dollars to be repaid 250 dollars a month. How many months to repay it?

A. 12 months
B. 10 months
C. 3 months
D. 25 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q3
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An owner takes 200 dollars cash from the register for personal use without recording it. What is the problem?

A. It becomes a business expense
B. The books will not match the real money
C. It counts as sales
D. No problem; owners can take any cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q4
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.04 (local)

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Which is NOT a business expense for a sole proprietor?

A. Web hosting
B. Shipping supplies
C. Business software
D. The owner's draw

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F1-Q5
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.04 (local)

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An owner takes large draws while the business owes suppliers. What is the risk?

A. Draws reduce taxes to zero
B. No risk; draws create more cash
C. The business may not have cash to pay its bills
D. Suppliers stop asking the business for payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q1
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.04 (local)

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Two equal LLC partners agreed to take draws equally. One takes 2,000 dollars and the other 500 dollars. What should they do?

A. Delete the records
B. Ignore it forever
C. Record it and fix the imbalance as their agreement says
D. Have their customers vote on which partner was right

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q2
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.04 (local)

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A corporation's owner who works in the business may be paid through payroll. Why does this differ from a sole proprietor's draw?

A. Corporations cannot pay owners
B. All owners are paid identically
C. Sole proprietors must always pay themselves through payroll
D. Business structure affects how owners are paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q3
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.04 (local)

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An owner put 2,000 dollars into the business but did not record whether it was a loan or a contribution. Why does the label matter?

A. Both labels mean the money counts as customer sales
B. Both labels mean the money is tax the business owes
C. A loan is a debt to repay; a contribution adds to owner equity
D. The label has no effect on the books or on repayment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q4
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.04 (local)

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Which statement is accurate?

A. Owners may never take money out.
B. Owner pay rules vary by structure, so check with a tax professional.
C. Every business owner must take a weekly salary through payroll.
D. Draws are always business expenses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S36-F2-Q5
Entrepreneurship, Set 36: Moving money between owner and business · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.04 (local)

Set 37: Reconciling transactions

Outcome ENT.BANK.05: Match business records against the bank statement and explain differences

Module: Foundation 5: EIN and business banking

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

What does reconciling mean?

A. Opening a second account at another bank
B. Comparing your records with the bank statement
C. Paying all bills on the same day
D. Asking the bank for a loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q1
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q1/5 · Outcome ENT.BANK.05 (local)

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Which is a common reason records and the bank differ?

A. A customer posted a review
B. The owner changed the logo colors
C. A bank fee that was not recorded
D. The website was redesigned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q2
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A check was written but has not cleared. What does that mean?

A. The bank closed the account
B. The check was never written at all
C. The money was refunded twice
D. The bank has not processed it yet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q3
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q3/5 · Outcome ENT.BANK.05 (local)

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An unknown 89-dollar charge appears. What should the owner do?

A. Report it to the bank quickly
B. Record it as sales
C. Delete it from the records
D. Ignore it, since small charges never matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q4
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q4/5 · Outcome ENT.BANK.05 (local)

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How often is reconciling commonly done?

A. Never
B. Monthly
C. Only when closing the business
D. Once every ten years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-M-Q5
Entrepreneurship, Set 37: Reconciling transactions · MAIN · Q5/5 · Outcome ENT.BANK.05 (local)

Learn
After shopping, you might compare the receipt with what is in the bag. If the receipt shows two milks but you have one, something is wrong. Reconciling is the same check for a business: your records are one list, the bank statement is the other, and you look for any item that appears on only one of them. Then you find out why.

In the shopping example, what is compared?

A. The receipt and the bag
B. Two stores
C. Coupons and ads
D. Prices and the weather

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q1
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BANK.05 (local)

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For a business, which two lists are compared?

A. Ads and reviews
B. Records and bank statement
C. Logo and website
D. Products and their colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q2
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BANK.05 (local)

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Two milks on the receipt but one in the bag means what?

A. Milk is free
B. The store closed
C. Everything is fine as it is
D. Something does not match

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q3
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BANK.05 (local)

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After finding a mismatch, what do you do?

A. Buy more milk
B. Find out why
C. Ignore it
D. Throw away the receipt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q4
Entrepreneurship, Set 37: Reconciling transactions · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BANK.05 (local)

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An item only on the bank statement could be what?

A. A fee you did not record
B. A paper coupon
C. A logo
D. A review a customer posted

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-B1-Q5
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Records show 2,450 dollars. The bank shows 2,435 dollars. The statement lists a 15-dollar monthly fee not in the records. What explains the difference?

A. Nothing; they match
B. A 150-dollar deposit error
C. A missing 2,435-dollar sale
D. The unrecorded 15-dollar fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q1
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Records show 1,800 dollars. A 200-dollar check to a supplier has not cleared. What will the bank likely show?

A. 2,000 dollars
B. 200 dollars
C. 1,600 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q2
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BANK.05 (local)

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A deposit of 350 dollars was recorded as 530 dollars. What is the difference?

A. 530 dollars
B. 180 dollars
C. 880 dollars
D. 350 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q3
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The statement shows two identical 45-dollar charges from one supplier on the same day. The owner made one purchase. What should she do?

A. Contact the supplier or bank about a possible duplicate
B. Record both as normal
C. Close the business
D. Delete both charges from her records and move on

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Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BANK.05 (local)

Learn
RECONCILING means comparing your own records with the bank statement to make sure they match. Each month, check every deposit and withdrawal. Differences usually come from: transactions the bank has not processed yet (such as a check that has not cleared), bank fees you did not record, mistakes in your records, or charges you do not recognize. Unknown charges may be errors or fraud and should be reported to the bank quickly. Reconciling catches problems while they are still small.

Which habit makes reconciling easier?

A. Keeping no receipts
B. Mixing in personal purchases now and then
C. Recording only at year end
D. Recording transactions as they happen

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F1-Q5
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BANK.05 (local)

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An owner has not reconciled for 8 months and finds an unknown charge from 7 months ago. What is the problem?

A. Waiting long can make disputes and recovery harder
B. The bank fixes any old charge automatically
C. No problem; any timing is fine
D. Old charges always disappear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q1
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BANK.05 (local)

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A small recurring 9.99-dollar charge appears for software the owner cancelled. What should she do?

A. Record it as revenue
B. Ignore it; it is small
C. Hide it from her accountant to keep the books simple
D. Cancel properly and dispute charges after cancellation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q2
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BANK.05 (local)

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The 9.99-dollar charge has continued for 12 months. How much has it cost?

A. 99.90 dollars
B. 119.88 dollars
C. 129.87 dollars
D. 9.99 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q3
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BANK.05 (local)

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Records and bank match exactly, but the owner forgot to record a customer refund paid in cash. What is true?

A. Cash never needs recording
B. All money is always perfect
C. Matching the bank does not catch cash moves outside the account
D. The bank automatically records the cash kept in her drawer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q4
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BANK.05 (local)

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Which statement is accurate?

A. Reconciling is only needed by large companies with many staff.
B. Reconciling regularly catches errors and fraud sooner.
C. Reconciling replaces keeping receipts.
D. Banks never make mistakes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S37-F2-Q5
Entrepreneurship, Set 37: Reconciling transactions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BANK.05 (local)

Set 38: Three kinds of business address

Outcome ENT.MAIL.01: Tell a mailing address, a physical business address and a registered-agent address apart

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A business can have different addresses for different jobs. The REGISTERED AGENT ADDRESS is where official legal papers are delivered; states usually require a physical street address in the state. The MAILING ADDRESS is where ordinary letters and bills go; it may be a PO Box in many cases. The PHYSICAL (or principal) ADDRESS is where the business actually operates. Some addresses appear in public state records, so a home-based owner may prefer not to use her home for every one. Each state sets its own rules; Washington, for example, does not allow a PO Box as the registered agent address.

Which address receives official legal papers?

A. The mailing address used for catalogs and bills
B. The address of the owner's favorite supplier
C. The address printed on the shipping boxes
D. The registered agent address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q1
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q1/5 · Outcome ENT.MAIL.01 (local)

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Where does the business actually operate?

A. Its website's domain name registrar
B. Its physical address
C. Its bank's main headquarters building
D. Its registered agent's office in every case

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q2
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q2/5 · Outcome ENT.MAIL.01 (local)

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Which address can often be a PO Box?

A. The physical place where customers visit
B. The kitchen where food is prepared
C. The mailing address
D. The registered agent address in Washington

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q3
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q3/5 · Outcome ENT.MAIL.01 (local)

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Why might a home-based owner avoid listing her home on every form?

A. Some addresses appear in public records
B. Home addresses are banned for every business
C. Using a home address doubles the tax owed
D. Mail cannot be delivered to houses at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q4
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q4/5 · Outcome ENT.MAIL.01 (local)

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Who sets the rules for registered agent addresses?

A. The owner's neighbors on the same street
B. Each state
C. Each customer who buys from the business
D. The business's favorite delivery company

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-M-Q5
Entrepreneurship, Set 38: Three kinds of business address · MAIN · Q5/5 · Outcome ENT.MAIL.01 (local)

Learn
Think of a house with different doors: the front door where guests ring the bell, a mail slot where letters drop, and the rooms inside where the family actually lives. A business also has different "doors": an official door for legal papers (the registered agent address), a slot for everyday mail (the mailing address), and the rooms where the work happens (the physical address). Sometimes all three are the same place; sometimes they are not.

The slot where letters drop matches which address?

A. The website address for online visitors
B. The registered agent address for papers
C. The physical address of the workshop
D. The mailing address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q1
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.01 (local)

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The rooms where the family lives match which address?

A. The physical address
B. The bank's branch address downtown
C. The mailing address on envelopes
D. The registered agent address only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q2
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.01 (local)

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The official door for legal papers matches which address?

A. The email address for customers
B. The physical address of a warehouse
C. The registered agent address
D. The mailing address for catalogs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q3
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.01 (local)

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Can all three addresses be the same place?

A. Only if the business has no customers
B. No, never under any state law
C. Only for companies with 500 workers
D. Yes, sometimes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q4
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.01 (local)

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How many kinds of address does the picture show?

A. Three
B. Two, mail and email
C. Ten, one for each room in the house
D. One, because a business has only one address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-B1-Q5
Entrepreneurship, Set 38: Three kinds of business address · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.01 (local)

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Ruth runs an online shop from her apartment in Washington and wants privacy. Which plan fits her state's rule?

A. Her PO Box as the registered agent address, and her home for mail
B. No address on any form at all
C. A made-up street address on every form
D. A registered agent service for legal papers, and a PO Box for mail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q1
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.01 (local)

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A bakery has a storefront where customers buy bread. What is its physical address?

A. The flour supplier's warehouse address
B. The storefront's street address
C. The owner's PO Box at the post office
D. The registered agent service's office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q2
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.01 (local)

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Which address should a supplier use to send a monthly bill?

A. The mailing address
B. A customer's home address
C. The registered agent address for lawsuits
D. The state filing office address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q3
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A registered agent service costs 125 dollars a year and a PO Box costs 90 dollars a year. What is the yearly total for both?

A. 90 dollars, the PO Box alone
B. 215 dollars
C. 125 dollars, the agent service alone
D. 35 dollars, the difference

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q4
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Kai lists his home as all three addresses. What is one tradeoff?

A. His home address may appear in public records
B. His taxes are automatically doubled
C. He can never receive any packages
D. His LLC automatically becomes invalid in the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F1-Q5
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An owner moves her business to a new building. Which records may need updating?

A. Only the logo on her social media page
B. Nothing, because addresses update themselves
C. State filings, bank, licenses and mailing lists
D. Only her personal library card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q1
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.01 (local)

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A friend in another state says PO Boxes are fine for registered agents everywhere. What should the owner do?

A. Follow the friend because all states match
B. Skip naming a registered agent
C. Use a PO Box and hope the state accepts it
D. Check her own state's official rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q2
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.01 (local)

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A registered agent service forwards legal papers by email. What should the owner do when one arrives?

A. Ignore it until year end
B. Delete it if the subject line looks boring or routine
C. Forward it to customers
D. Read it promptly, because legal papers can have deadlines

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q3
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.01 (local)

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Which statement about public records is accurate?

A. Some business addresses are visible to the public.
B. Every business address is always kept secret.
C. Only email addresses are public.
D. Public records never include addresses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q4
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.01 (local)

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Which source should confirm address rules for a filing?

A. A post on a neighborhood message board
B. The state's official filing office or website
C. A shipping company's ad
D. A guess based on another state's rule

REFERENCE LABEL: NOT PART OF THE QUESTION ID S38-F2-Q5
Entrepreneurship, Set 38: Three kinds of business address · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.01 (local)

Set 39: PO Boxes, private mailboxes and street addressing

Outcome ENT.MAIL.02: Compare a PO Box, a private mailbox and the PO Box street-addressing option

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A PO BOX is a locked mailbox rented at a Post Office. Some carriers (like private package companies) need a street address. At participating Post Offices, the "Street Addressing" option lets a box holder use the Post Office's street address with the box number, so those carriers can deliver; availability varies and the customer signs an agreement. A PRIVATE MAILBOX is rented from a private store called a Commercial Mail Receiving Agency (CMRA). To receive mail there, the customer completes USPS Form 1583 with identity documents; requirements have changed over time, so check the current form.

Where is a PO Box rented?

A. At a Post Office
B. At the state business filing office
C. At any coffee shop that sells stamps
D. At a bank branch near the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q1
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q1/5 · Outcome ENT.MAIL.02 (local)

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What does the Street Addressing option allow?

A. Skipping the box rental fee for a year
B. Receiving legal papers in every state
C. Using the Post Office's street address with the box number
D. Using any home address on the street as if it were the box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q2
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What is a CMRA?

A. A private business that receives mail for customers
B. A government agency that issues tax ID numbers to businesses
C. A state rule for registered agents
D. A type of business bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q3
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Which form is used so a CMRA can receive mail for a customer?

A. A state DBA certificate
B. USPS Form 1583
C. A city business license form
D. IRS Form SS-4 for an EIN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q4
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Is Street Addressing offered at every Post Office?

A. No; availability varies
B. Only at locations in large cities
C. Only for customers with no business
D. Yes, at every single location

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-M-Q5
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · MAIN · Q5/5 · Outcome ENT.MAIL.02 (local)

Learn
Think of renting a locker at a gym. A PO Box is like a locker at the post office: you get a key and your mail waits there. A private mailbox is like a locker at a private shop that holds mail for you, and you sign a form so the shop may accept your mail. Some delivery companies only drop off at a street address, so some post offices let you write their street address plus your locker number.

A PO Box is like a locker where?

A. At your house
B. At the post office
C. At the bank
D. At a private shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q1
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.02 (local)

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A private mailbox is like a locker where?

A. At the state office
B. At the post office
C. At a school
D. At a private shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q2
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.02 (local)

Learn
Think of renting a locker at a gym. A PO Box is like a locker at the post office: you get a key and your mail waits there. A private mailbox is like a locker at a private shop that holds mail for you, and you sign a form so the shop may accept your mail. Some delivery companies only drop off at a street address, so some post offices let you write their street address plus your locker number.

Why sign a form at the private shop?

A. To open a bank account at the shop
B. To get a discount
C. To change your name
D. So the shop may accept your mail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q3
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.02 (local)

Learn
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Why do some post offices offer a street address?

A. To lower taxes
B. Some carriers deliver only to street addresses
C. To make the lockers bigger for packages
D. To replace the key

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q4
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.02 (local)

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What do you add to the post office's street address?

A. Your birthday
B. Your phone number
C. Your box number
D. Your logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-B1-Q5
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.02 (local)

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Ana ships products and her suppliers use private package carriers that need a street address. She rents a PO Box. What should she ask her Post Office?

A. Whether it is open on holidays
B. Whether it can file her taxes
C. Whether it offers the Street Addressing option
D. Whether it sells padded envelopes in bulk at a discount

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q1
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.02 (local)

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Ben rents a box at a private mail store. What must he complete so the store may receive his mail?

A. A business license renewal
B. A trademark application
C. An IRS application for a new EIN number
D. USPS Form 1583 with identity documents

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q2
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.02 (local)

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A PO Box costs 40 dollars for 3 months. What is the cost for 12 months at the same rate?

A. 160 dollars
B. 40 dollars, the same as 3 months
C. 120 dollars, three times the fee
D. 480 dollars, twelve times the fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q3
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MAIL.02 (local)

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A private mailbox costs 25 dollars a month; a PO Box costs 160 dollars a year. How much more does the private mailbox cost per year?

A. 160 dollars, the PO Box alone
B. 140 dollars
C. 135 dollars, a small miscalculation
D. 300 dollars, the private box alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q4
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.02 (local)

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Which option is run by a private business?

A. PO Box Street Addressing
B. Home mail delivery by the Postal Service
C. A PO Box at the Post Office
D. A private mailbox at a CMRA

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F1-Q5
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.02 (local)

Learn
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An online article from several years ago explains Form 1583 steps. What is the concern?

A. Requirements have changed, so check the current form
B. Online articles are always newer than the official forms
C. Nothing; postal forms never change
D. The form no longer exists for anyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q1
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.02 (local)

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A PO BOX is a locked mailbox rented at a Post Office. Some carriers (like private package companies) need a street address. At participating Post Offices, the "Street Addressing" option lets a box holder use the Post Office's street address with the box number, so those carriers can deliver; availability varies and the customer signs an agreement. A PRIVATE MAILBOX is rented from a private store called a Commercial Mail Receiving Agency (CMRA). To receive mail there, the customer completes USPS Form 1583 with identity documents; requirements have changed over time, so check the current form.

An owner wants to use her private mailbox as her registered agent address in Washington. What is the issue?

A. It must be a PO Box instead
B. Private mailboxes cannot receive any mail or packages at all
C. No issue; any box works in every state
D. Washington does not allow private or virtual mailboxes for it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q2
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.02 (local)

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A box holder using Street Addressing gives a package carrier the address. What must be included?

A. Her home address instead
B. The box number with the Post Office street address
C. The Post Office's phone number
D. Only the Post Office street address with no box number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q3
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.02 (local)

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A mail store closes suddenly. What should an owner using it do first?

A. Do nothing; mail forwards itself forever
B. Close the business entirely
C. Update her mailing address with banks, customers and agencies
D. Wait a few months to see if her mail still arrives somewhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q4
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.02 (local)

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Which statement is accurate?

A. PO Boxes are free.
B. Availability and rules vary, so confirm with the Post Office or provider.
C. Every Post Office offers every service at the same price nationwide.
D. Private mailboxes need no paperwork.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S39-F2-Q5
Entrepreneurship, Set 39: PO Boxes, private mailboxes and street addressing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.02 (local)

Set 40: Which address each organization accepts

Outcome ENT.MAIL.03: Check which address a bank, state, platform or carrier will accept instead of assuming they are interchangeable

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Different organizations accept different addresses. The STATE often requires a physical in-state street address for the registered agent; Washington, for example, does not accept PO Boxes or private mailboxes there, though a PO Box may be listed as a separate mailing address. Some PACKAGE CARRIERS cannot deliver to a plain PO Box; Street Addressing at participating Post Offices can help. BANKS and some licensing offices may ask for a physical address. Before filing any form, read what kind of address it asks for.

In Washington, what can be listed separately as a mailing address?

A. A made-up address that sounds official
B. A PO Box
C. Nothing other than the agent's address
D. The address of another state's office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q1
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q1/5 · Outcome ENT.MAIL.03 (local)

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Why might a package carrier fail to deliver to a plain PO Box?

A. Some carriers need a street address
B. Package carriers deliver only to banks
C. PO Boxes are only for postcards and nothing else
D. Packages are not allowed for businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q2
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q2/5 · Outcome ENT.MAIL.03 (local)

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What should an owner do before filling in an address on a form?

A. Copy an address from a competitor's form
B. Use whichever address is shortest to write
C. Read what kind of address the form asks for
D. Leave the address line blank to stay private

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q3
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q3/5 · Outcome ENT.MAIL.03 (local)

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Which organization may require a physical address when opening an account?

A. A supplier of packing tape
B. A social media follower
C. A customer buying one product online
D. A bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q4
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which address does a state usually require for the registered agent?

A. A PO Box in any state
B. A physical in-state street address
C. A phone number with voicemail
D. Any email address the owner checks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-M-Q5
Entrepreneurship, Set 40: Which address each organization accepts · MAIN · Q5/5 · Outcome ENT.MAIL.03 (local)

Learn
Imagine a school. The office accepts official letters, the loading dock accepts big deliveries, and the classroom accepts homework. Sending a truck to the classroom does not work. Organizations are similar: the state wants a real street address for legal papers, some carriers need a street address for packages, and ordinary letters can go to a PO Box.

Where do big deliveries go at the school?

A. The classroom
B. The parking lot
C. The office mail tray
D. The loading dock

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q1
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.03 (local)

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Ordinary letters for a business can often go where?

A. A loading dock only
B. Nowhere
C. A PO Box
D. Only a registered agent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q2
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.03 (local)

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Legal papers usually need what kind of address?

A. A real street address
B. An email only
C. A phone number with voicemail
D. Any PO Box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q3
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.03 (local)

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Some packages need what kind of address?

A. A PO Box only
B. A street address
C. A website
D. A phone number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q4
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.03 (local)

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Sending a truck to a classroom is like what mistake?

A. Using a pen
B. Paying a bill
C. Writing a short letter to a friend
D. Using the wrong address type

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-B1-Q5
Entrepreneurship, Set 40: Which address each organization accepts · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.03 (local)

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Tom's Washington LLC form asks for the registered agent address and a mailing address. He has a PO Box and an agent service. What fits?

A. Agent service for mailing and PO Box for the agent
B. Leave both lines blank
C. Agent service address for the agent; PO Box for mailing
D. PO Box for both lines

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q1
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.03 (local)

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A supplier ships by a private carrier that cannot deliver to plain PO Boxes. The owner's Post Office offers Street Addressing. What should she give the supplier?

A. The Post Office street address with her box number
B. A neighbor's street address, without asking first
C. Her plain PO Box number only
D. The registered agent's address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q2
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.03 (local)

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Of 5 forms, 2 require a physical street address and the rest accept a PO Box. How many accept a PO Box?

A. 7, the two numbers added
B. 2, the forms needing a street address
C. 5, every one of the forms
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q3
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MAIL.03 (local)

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A bank form asks for the business's physical address. The owner works from home. What should she write?

A. The bank's own address
B. Her PO Box number, labeled on the form as her physical address
C. A fake address for privacy
D. Her actual home address, if that is where the business operates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q4
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which address type is most often accepted for ordinary bills and letters?

A. Only the registered agent address
B. Only a storefront address
C. A mailing address such as a PO Box
D. Only an overseas address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F1-Q5
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.03 (local)

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A state rejected a filing because the agent address was a private mailbox. What should the owner do?

A. Use a PO Box instead of the private mailbox and refile
B. Name an agent with a physical in-state address and refile
C. Give up on forming the LLC
D. File the same form again unchanged

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q1
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.03 (local)

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A licensing office asks for a physical address but the owner has only a PO Box. What should she do?

A. Write the PO Box anyway and call it her physical address
B. Use a random street address
C. Ask the office what address it accepts for her situation
D. Skip the license

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q2
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.03 (local)

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Which mistake is most likely to cause missed legal papers?

A. Using a business email for customers
B. Listing a PO Box as the ordinary mailing address
C. Listing an address where no one receives documents
D. Printing the address on invoices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q3
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An owner used three different addresses on her forms. Is that wrong?

A. Yes, it is always illegal
B. Yes, the bank will close her account
C. Yes, businesses may only have one address
D. Not necessarily, if each fits the form's request

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q4
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.03 (local)

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Which statement is accurate?

A. Only email addresses matter today.
B. Address rules depend on the organization and state, so read each form.
C. Every organization accepts a PO Box for every kind of address.
D. No organization accepts PO Boxes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S40-F2-Q5
Entrepreneurship, Set 40: Which address each organization accepts · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.03 (local)

Set 41: Mailbox practicalities

Outcome ENT.MAIL.04: Plan pickup access, forwarding or scanning, renewals and important notices for a business mailbox

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Practical choices matter once you have a mailbox. PO Boxes come in sizes and are rented for set periods, such as 3, 6 or 12 months; fees vary by location and size. Plan how often you will check it: important letters, such as tax notices or bills, can have deadlines. Decide who may pick up mail, keep keys safe, and ask how large packages are handled. When moving, update your address with banks, customers and agencies; forwarding may help for a while but does not replace updating records. Renew before the rental period ends.

Why plan how often to check a business mailbox?

A. Boxes must be emptied every hour by law
B. Checking often lowers the rental fee
C. Important letters can have deadlines
D. Mail disappears after exactly one day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q1
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q1/5 · Outcome ENT.MAIL.04 (local)

Learn
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What may happen if a box rental is not renewed?

A. The box can be closed and mail disrupted
B. The Post Office files the owner's taxes
C. The box becomes free for life
D. Mail is automatically sent to customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q2
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q2/5 · Outcome ENT.MAIL.04 (local)

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When moving, what should the owner do besides forwarding mail?

A. Cancel the business bank account
B. Update the address with banks, customers and agencies
C. Only change the logo on her website
D. Nothing, because forwarding fixes everything forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q3
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q3/5 · Outcome ENT.MAIL.04 (local)

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What do PO Box fees depend on?

A. How many products the business sells
B. The business's logo colors
C. The owner's age and height
D. Location and box size

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q4
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q4/5 · Outcome ENT.MAIL.04 (local)

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Which is a good practice for mailbox keys?

A. Give keys to any customer who asks
B. Keep them safe and decide who may use them
C. Never decide who picks up mail
D. Tape a spare key to the outside of the box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-M-Q5
Entrepreneurship, Set 41: Mailbox practicalities · MAIN · Q5/5 · Outcome ENT.MAIL.04 (local)

Learn
Renting a mailbox is like renting a small storage unit. You pick a size, pay for a set period, keep the key safe, and check on it regularly. If you forget to pay, the unit can be closed. If you move your things, you tell people your new location. A business mailbox works the same way, with letters and packages instead of boxes of belongings.

Choosing a mailbox size is like what?

A. Choosing a storage unit size
B. Choosing a movie to watch
C. Choosing a meal
D. Choosing a song

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q1
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MAIL.04 (local)

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What happens if you forget to pay for the unit?

A. Nothing at all
B. It becomes free
C. It gets bigger
D. It can be closed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q2
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.04 (local)

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Why check the unit regularly?

A. To make it heavier
B. To lower taxes
C. To find important items in time
D. To change the color of its door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q3
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.04 (local)

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What should you do with the key?

A. Leave it in the lock
B. Keep it safe
C. Share it with strangers
D. Lose it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q4
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.04 (local)

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If you move, what do you tell people?

A. A fake location
B. Your old location
C. Your new location
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-B1-Q5
Entrepreneurship, Set 41: Mailbox practicalities · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.04 (local)

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A small box costs 60 dollars for 6 months and a medium box costs 95 dollars for 6 months. How much more does the medium box cost per year?

A. 70 dollars
B. 190 dollars, the medium box per year
C. 120 dollars, the small box per year
D. 35 dollars, the 6-month difference

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q1
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.04 (local)

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Mia receives tax notices that give 30 days to respond. She checks her box once a month. What is a better plan?

A. Check once a year
B. Check only when she remembers
C. Never check; notices arrive by email
D. Check at least weekly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q2
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MAIL.04 (local)

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A box was rented on March 1 for 6 months. When does it need renewal?

A. By September 1
B. By March 1 next year
C. Never; rentals last forever
D. By April 1, one month later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q3
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An owner's employee picks up mail. What should the owner set up?

A. No rules about who collects mail
B. A key hidden under the doormat
C. A sign on the wall that lists the box's lock combination
D. Clear permission and a key for that employee only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q4
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MAIL.04 (local)

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A business moved and set up mail forwarding. Six months later some mail still goes to the old address. What is the fix?

A. Ignore the misdirected mail
B. Update the address directly with those senders
C. Rely on forwarding forever
D. Move the business back to the old address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F1-Q5
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.04 (local)

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A package is too large for the box. What should the owner ask the Post Office?

A. Whether packages are banned for businesses
B. Whether it can deliver to her neighbor without asking
C. How it handles packages that do not fit
D. Whether she must rent ten boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q1
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.04 (local)

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An owner travels for three weeks. What is a sensible plan for her business mail?

A. Let mail pile up and hope nothing is urgent
B. Ask customers to stop writing
C. Close the box for the trip
D. Arrange for a trusted person or a hold service

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q2
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.04 (local)

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A late fee notice arrived in the box two weeks ago, but she checked late. What lesson fits?

A. Mailboxes cause late fees
B. Bills never matter
C. Late fees are always forgiven if you ask
D. Regular checks prevent missed deadlines

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q3
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Box rent rises from 120 to 150 dollars a year. What is the percent increase?

A. 150 percent, the new price
B. 20 percent, based on the new price
C. 25 percent
D. 30 percent, the dollar change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q4
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.04 (local)

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Which statement is accurate?

A. Forwarding replaces updating records.
B. Every Post Office charges the same price for every box size.
C. Fees and services vary by location, so ask the specific Post Office.
D. Boxes never need renewal.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S41-F2-Q5
Entrepreneurship, Set 41: Mailbox practicalities · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.04 (local)

Set 42: Business email, phone and voicemail

Outcome ENT.MAIL.05: Separate business contact channels from personal ones and keep them reachable

Module: Foundation 6: Addresses and contact details

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

Which email address looks most established for a business called Lime Tree Pets?

A. xyz123@freemail.example
B. hello@limetreepets.example
C. catsrule99@freemail.example
D. limetreefan2003@freemail.example

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q1
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q1/5 · Outcome ENT.MAIL.05 (local)

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Why use a separate business phone number?

A. It separates business calls and protects privacy
B. It doubles the number of customers each month
C. It is required for every business by federal law
D. It removes the need for any email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q2
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q2/5 · Outcome ENT.MAIL.05 (local)

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What should a business voicemail greeting include?

A. Nothing; silence is professional
B. A long story about the founder
C. The business name and when to expect a reply
D. The owner's home address and birthday

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q3
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q3/5 · Outcome ENT.MAIL.05 (local)

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A greeting promises a reply within one business day. What builds trust?

A. Replying whenever convenient, even a week later
B. Deleting messages from unknown numbers
C. Changing the promise every week
D. Actually replying within one business day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q4
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q4/5 · Outcome ENT.MAIL.05 (local)

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What is a web domain?

A. The business's own website name, like yourshop.example
B. A type of business bank account
C. A shipping label format
D. A state filing that registers the business's legal name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-M-Q5
Entrepreneurship, Set 42: Business email, phone and voicemail · MAIN · Q5/5 · Outcome ENT.MAIL.05 (local)

Learn
A clean shop window and a bell that works tell customers someone is ready to help. Email, phone and voicemail are a modern shop's window and bell. A business email on the shop's own web name looks tidy; a separate phone keeps business calls from mixing with family calls; and a voicemail greeting says who you are and when you will call back.

A business email on its own web name is like what?

A. A broken shop bell
B. A dark sign
C. A clean shop window
D. A locked door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q1
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Why keep a separate business phone?

A. To avoid hearing from any customers at all
B. To keep business calls apart from family calls
C. To raise prices
D. To get more ads

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q2
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MAIL.05 (local)

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A voicemail greeting should say what?

A. A joke only
B. Your bank PIN and online password
C. Who you are and when you will call back
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q3
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MAIL.05 (local)

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A bell that works tells customers what?

A. Someone is ready to help
B. The owner left
C. The shop is closed for good
D. Prices went up

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q4
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MAIL.05 (local)

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Email, phone and voicemail are like what for a modern shop?

A. Its back parking lot
B. Its basement
C. Its roof
D. Its window and bell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-B1-Q5
Entrepreneurship, Set 42: Business email, phone and voicemail · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MAIL.05 (local)

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Rita's flyers list "rita.party.girl@freemail.example." She owns ritasbakes.example. What is the best change?

A. Remove all contact details from the flyer
B. Use an address like orders@ritasbakes.example
C. Keep the personal address on every flyer
D. List her home address instead of email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q1
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MAIL.05 (local)

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Leo answers business calls on his personal phone at family dinners. What helps most?

A. Answering every call at any hour
B. Never answering business calls
C. A separate business number with set hours
D. Giving customers his family's numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q2
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A business gets 40 voicemails a month and promises a same-day reply. It replies same day to 34. What percent met the promise?

A. 85 percent
B. 15 percent, the ones missed
C. 34 percent, the count itself
D. 6 percent, the number missed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q3
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Which voicemail greeting is best?

A. "You've reached Pine Cleaners. We reply within one business day."
B. "Call my cousin instead at home."
C. "Hey, it's me. Leave something after the beep, maybe I'll call."
D. "This number is unavailable forever."

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A customer emails on Saturday; the business replies Monday as its auto-reply promised. Was the promise kept?

A. No, weekends are banned for email
B. Only if the reply was very long
C. Yes, it matched what was promised
D. No, every email needs a reply in minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F1-Q5
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MAIL.05 (local)

Learn
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

Customers call at midnight. What is a reasonable boundary?

A. Answer every midnight call to keep them happy
B. State business hours in the greeting and reply then
C. Give out a personal number for night calls
D. Block all customer numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q1
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MAIL.05 (local)

Learn
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

An email claims to be from the owner's bank and asks for her password. What should she do?

A. Click the email link and log in to check
B. Contact the bank through its official number
C. Reply with the password quickly
D. Forward it to customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q2
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MAIL.05 (local)

Learn
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The owner's inbox gets 200 messages a week and replies are slipping. Which step helps most?

A. Stop listing any email address
B. Delete every message unread
C. Use folders or templates for common questions
D. Promise faster replies she cannot meet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q3
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MAIL.05 (local)

Learn
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A greeting promises a reply in one hour, but the owner is often away for half a day. What should change?

A. Promise a time she can actually meet
B. Keep the promise and miss it often
C. Remove the voicemail entirely
D. Never check messages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q4
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MAIL.05 (local)

Learn
Customers judge a business by how easy it is to reach. A BUSINESS EMAIL that uses the company's own web domain (like hello@yourshop.example) looks more established than a free personal address. A separate business phone number (a second line or a calling app) keeps personal and business calls apart and protects privacy. Record a short voicemail greeting with the business name and when callers can expect a reply. Then answer within the time you promise; a clear, kept promise builds trust.

Which statement is accurate?

A. Clear, realistic response promises build more trust than fast but broken ones.

B. Free email addresses are illegal for any business to use for customer messages.

C. A business must answer every call at any hour.

D. Customers never care about replies.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S42-F2-Q5
Entrepreneurship, Set 42: Business email, phone and voicemail · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MAIL.05 (local)

Set 43: One-time and recurring costs

Outcome ENT.COST.01: Classify costs as one-time or recurring

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Which is a one-time cost?

A. Renewing the business license every year
B. Buying a used oven to start a bakery
C. Paying for a website hosting plan each month
D. Paying the monthly rent for the bakery space

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q1
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q1/5 · Outcome ENT.COST.01 (local)

Learn
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Which is a recurring cost?

A. A software subscription paid monthly
B. A sewing machine bought on opening day
C. A single state filing fee to form the LLC
D. A logo designed once by a freelancer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q2
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q2/5 · Outcome ENT.COST.01 (local)

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

A phone plan costs 30 dollars a month. What is the yearly cost?

A. 390 dollars
B. 300 dollars
C. 360 dollars
D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q3
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q3/5 · Outcome ENT.COST.01 (local)

Learn
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Insurance costs 600 dollars a year. What is that per month?

A. 60 dollars
B. 600 dollars
C. 7,200 dollars
D. 50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q4
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q4/5 · Outcome ENT.COST.01 (local)

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Why convert recurring costs to the same period?

A. To make every cost look smaller than it is
B. To compare and add them fairly
C. Because one-time costs never matter
D. Because yearly costs are not real costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-M-Q5
Entrepreneurship, Set 43: One-time and recurring costs · MAIN · Q5/5 · Outcome ENT.COST.01 (local)

Learn
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

How many months are in a year?

A. 7
B. 10
C. 12
D. 52

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q1
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.01 (local)

Learn
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

20 dollars a month is how much per year?

A. 240 dollars
B. 120 dollars
C. 32 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q2
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.01 (local)

Learn
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

120 dollars a year is how much per month?

A. 12 dollars
B. 1,440 dollars
C. 108 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q3
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.01 (local)

Learn
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

To change a monthly amount to yearly, you do what?

A. Add 12
B. Divide by 12
C. Multiply by 12
D. Subtract 12

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q4
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.01 (local)

Learn
A year has 12 months. To turn a monthly amount into a yearly amount, multiply by 12. To turn a yearly amount into a monthly amount, divide by 12. Example: 25 dollars a month is 25 x 12 = 300 dollars a year, and 240 dollars a year is 240 / 12 = 20 dollars a month. Check: the yearly number should always be bigger than the monthly number.

15 dollars a month is how much per year?

A. 180 dollars
B. 150 dollars
C. 27 dollars
D. 165 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-B1-Q5
Entrepreneurship, Set 43: One-time and recurring costs · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.01 (local)

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Startup: a 400-dollar laptop and a 100-dollar filing fee. Recurring: 20 dollars a month for software. What is the total for the first year?

A. 240 dollars
B. 740 dollars
C. 500 dollars
D. 520 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q1
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.01 (local)

Learn
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Which cost will continue in year two?

A. The starter set of tools
B. The LLC formation fee
C. The first sign printed for opening
D. Monthly booth rent at a market

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q2
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.01 (local)

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over the first year?

A. A, at 420 dollars
B. They cost the same
C. B, at 300 dollars
D. A, at 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q3
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.01 (local)

Learn
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Website A costs 300 dollars once plus 10 dollars a month. Website B costs 25 dollars a month with no setup fee. Which costs less over 3 years (36 months)?

A. B, at 300 dollars
B. A, at 660 dollars
C. B, at 900 dollars
D. They cost the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q4
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.01 (local)

Learn
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A tutor lists costs: whiteboard (once), monthly ads, yearly license, textbooks (once). How many are recurring?

A. 2
B. 4
C. 1
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F1-Q5
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.01 (local)

Learn
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A "free" app charges 15 dollars a month after a 3-month trial. What is the cost in the first year?

A. 45 dollars
B. 0 dollars
C. 180 dollars
D. 135 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q1
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.01 (local)

Learn
Business costs come in two timing types. A ONE-TIME (startup) cost is paid once to get going: equipment, a first batch of supplies, a state filing fee, or a website design. A RECURRING cost repeats on a schedule: rent, software subscriptions, insurance, phone service, or a yearly license renewal. To compare them, convert recurring costs to the same period, such as per month or per year. In this course, all prices in questions are example assumptions, not real market prices.

An owner budgets the startup laptop but forgets a yearly antivirus renewal. What kind of cost was missed?

A. A recurring cost
B. An owner draw
C. A customer refund
D. A one-time cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q2
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.01 (local)

Learn
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A piece of equipment lasts about 3 years and costs 900 dollars. To plan for replacing it, about how much should be set aside each month?

A. 300 dollars
B. 900 dollars
C. 25 dollars
D. 75 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q3
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.01 (local)

Learn
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Which item is easiest to forget when listing recurring costs?

A. The first batch of business cards
B. The rent check the owner writes on the first of every month
C. Small subscriptions that renew automatically
D. The large oven bought on day one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q4
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.01 (local)

Learn
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Which statement is accurate?

A. All costs are recurring.
B. One-time costs never lead to other costs.
C. Recurring costs can safely be ignored by small businesses that are new.
D. A one-time cost today can lead to recurring costs later, like repairs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S43-F2-Q5
Entrepreneurship, Set 43: One-time and recurring costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.01 (local)

Set 44: Fixed and variable costs

Outcome ENT.COST.02: Classify costs as fixed or variable and use them in a small total

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Which is a variable cost for a bakery?

A. The monthly accounting software plan
B. Flour used for each batch of bread
C. Monthly rent for the bakery building
D. Yearly insurance for the shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q1
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q1/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Which is a fixed cost for an online T-shirt shop?

A. Payment fees taken from each sale
B. Blank shirts bought for each order
C. Shipping paid on each package
D. A monthly website plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q2
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q2/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Using the candle example, what does it cost to make 50 candles in a month?

A. 700 dollars
B. 900 dollars
C. 500 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q3
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q3/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

If the candle maker sells nothing in a month, what is the total cost?

A. 0 dollars
B. 504 dollars
C. 500 dollars
D. 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q4
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q4/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

What happens to variable costs when sales double?

A. They fall to zero
B. They stay exactly the same
C. They are cut in half
D. They roughly double

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-M-Q5
Entrepreneurship, Set 44: Fixed and variable costs · MAIN · Q5/5 · Outcome ENT.COST.02 (local)

Learn
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 100, cost per item 2, items 30. What is the total?

A. 60
B. 3,060
C. 160
D. 132

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q1
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.02 (local)

Learn
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Which step comes first in "fixed + rate x quantity"?

A. Subtract quantity
B. Multiply rate by quantity
C. Divide by fixed
D. Add the fixed cost and the rate

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q2
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.02 (local)

Learn
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 300, cost per item 5, items 20. What is the total?

A. 400
B. 325
C. 6,100
D. 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q3
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.02 (local)

Learn
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 50, cost per item 10, items 0. What is the total?

A. 0
B. 50
C. 500
D. 60

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q4
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.02 (local)

Learn
Total cost often follows one pattern: total = fixed + (cost per item x number of items). Do the multiplication first, then add. Example: fixed 200, cost per item 3, items 40: 3 x 40 = 120, then 200 + 120 = 320. A common mistake is adding first: (200 + 3) x 40 is wrong. Check that the total is never less than the fixed cost.

Fixed 250, cost per item 1.50, items 100. What is the total?

A. 400
B. 150
C. 25,150
D. 351.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-B1-Q5
Entrepreneurship, Set 44: Fixed and variable costs · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

A soap maker pays 300 dollars a month for a studio and 2 dollars of supplies per bar. What is the cost for 200 bars?

A. 302 dollars
B. 500 dollars
C. 700 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q1
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

A soap maker pays 300 dollars a month for a studio, which does not change with output, and 2 dollars of supplies per bar. How much more does it cost to make 300 bars than 200 bars?

A. 900 dollars
B. 100 dollars
C. 300 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q2
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

Which cost is variable for a mobile car wash?

A. Yearly business license
B. Soap and water used per car
C. The van loan payment
D. Monthly phone plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q3
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.02 (local)

Learn
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A dog walker has 60 dollars a month of fixed costs and 1 dollar of variable cost per walk. In a month with 80 walks, what is the average cost per walk?

A. 1.75 dollars
B. 140 dollars
C. 1.00 dollar
D. 0.75 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q4
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.02 (local)

Learn
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When sales rise, what happens to the fixed cost per item?

A. It becomes variable
B. It goes up
C. It goes down
D. It stays exactly the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F1-Q5
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.02 (local)

Learn
A FIXED cost stays about the same no matter how much you sell in a period: rent, insurance, a software plan. A VARIABLE cost goes up as you sell more: ingredients, packaging, shipping, or payment fees on each sale. Example: a candle maker pays 500 dollars of rent a month (fixed) and 4 dollars of wax and jar for each candle (variable). Making 100 candles costs 500 + 4 x 100 = 900 dollars. Knowing which is which helps you plan prices and see what happens when sales change.

A baker's rent is fixed, but if sales triple she must rent a second oven. What does this show?

A. Ovens are variable costs that rise with each loaf
B. Fixed costs never change at all
C. Rent is a variable cost
D. Fixed costs can step up at higher volumes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q1
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.02 (local)

Learn
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A shipping service charges 5 dollars per package up to 100 packages, then 4 dollars per package after that. What is the cost for 150 packages?

A. 200 dollars
B. 750 dollars
C. 700 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q2
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.02 (local)

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An owner counts her own hours as free. What cost is missing?

A. Supplies used for each item
B. Rent
C. The value of her time
D. Shipping

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q3
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.02 (local)

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A phone bill is 40 dollars a month plus overage charges in busy months. How should it be planned?

A. As a one-time cost
B. As mostly fixed with a variable part
C. As a fully variable cost for each sale
D. As free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q4
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.02 (local)

Learn
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Which statement is accurate?

A. Fixed costs are always larger than variable costs.
B. Every single cost is either perfectly fixed or perfectly variable, always.
C. Classifying costs is an estimate that helps planning, not an exact law.
D. Variable costs never matter for small sellers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S44-F2-Q5
Entrepreneurship, Set 44: Fixed and variable costs · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.02 (local)

Set 45: A realistic startup budget

Outcome ENT.COST.03: Build a small startup budget with a buffer and no missing items

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A STARTUP BUDGET lists what you expect to spend before and during the first months. List one-time costs (equipment, filing fees, first inventory) and recurring costs for several months, because sales often start slowly. Add a CONTINGENCY: an extra amount, often a percentage, for surprises such as a repair or a price increase. Write down your ASSUMPTIONS (for example, "rent stays 400 dollars a month") so you can check them later. Compare the total with the money available.

What is a contingency in a budget?

A. Money owed to customers for refunds
B. Extra money set aside for surprises
C. A tax paid to the state each month
D. The owner's profit for the first year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q1
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q1/5 · Outcome ENT.COST.03 (local)

Learn
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Why include several months of recurring costs?

A. It makes the budget look smaller
B. Banks require exactly twelve months listed
C. Recurring costs are paid only once
D. Sales often start slowly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q2
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q2/5 · Outcome ENT.COST.03 (local)

Learn
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One-time costs are 2,000 dollars and 3 months of recurring costs are 900 dollars. A 10 percent contingency is added. What is the total budget?

A. 3,100 dollars
B. 2,900 dollars
C. 3,190 dollars
D. 2,990 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q3
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q3/5 · Outcome ENT.COST.03 (local)

Learn
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What is an assumption in a budget?

A. A tax form filed with the IRS
B. A stated guess, like "rent stays 400 dollars a month"
C. A receipt from a supplier
D. A cost the owner has already paid in full to a supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q4
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q4/5 · Outcome ENT.COST.03 (local)

Learn
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A budget totals 5,000 dollars and the owner has 4,200 dollars. What is the gap?

A. 9,200 dollars
B. 800 dollars
C. 5,000 dollars
D. 4,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-M-Q5
Entrepreneurship, Set 45: A realistic startup budget · MAIN · Q5/5 · Outcome ENT.COST.03 (local)

Learn
To find a percent of an amount, change the percent to a decimal and multiply. 10 percent = 0.10, 15 percent = 0.15, 5 percent = 0.05. Example: 10 percent of 3,000 is 0.10 x 3,000 = 300. To ADD a percent, multiply by 1 plus the decimal: 3,000 x 1.10 = 3,300. Check: 10 percent is one tenth, so move the decimal point one place.

What is 10 percent of 500?

A. 5
B. 5,000
C. 50
D. 510

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q1
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.COST.03 (local)

Learn
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15 percent as a decimal is what?

A. 0.015
B. 1.5
C. 15.0
D. 0.15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q2
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.COST.03 (local)

Learn
To find a percent of an amount, change the percent to a decimal and multiply. 10 percent = 0.10, 15 percent = 0.15, 5 percent = 0.05. Example: 10 percent of 3,000 is 0.10 x 3,000 = 300. To ADD a percent, multiply by 1 plus the decimal: 3,000 x 1.10 = 3,300. Check: 10 percent is one tenth, so move the decimal point one place.

What is 500 increased by 10 percent?

A. 550
B. 510
C. 5,000
D. 50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q3
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.COST.03 (local)

Learn
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What is 5 percent of 2,000?

A. 2,005
B. 400
C. 10
D. 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q4
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.COST.03 (local)

Learn
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What is 20 percent of 150?

A. 30
B. 3
C. 170
D. 7.5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-B1-Q5
Entrepreneurship, Set 45: A realistic startup budget · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.COST.03 (local)

Learn
A STARTUP BUDGET lists what you expect to spend before and during the first months. List one-time costs (equipment, filing fees, first inventory) and recurring costs for several months, because sales often start slowly. Add a CONTINGENCY: an extra amount, often a percentage, for surprises such as a repair or a price increase. Write down your ASSUMPTIONS (for example, "rent stays 400 dollars a month") so you can check them later. Compare the total with the money available.

Ida's budget: equipment 1,500, first inventory 800, 3 months of rent at 350, no contingency. What is missing?

A. The cost of the first inventory
B. Rent
C. The equipment cost
D. A contingency for surprises

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q1
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.COST.03 (local)

Learn
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Ida's budget: equipment 1,500 dollars, first inventory 800 dollars, and 3 months of rent at 350 dollars. What is the total before any contingency?

A. 2,300 dollars
B. 3,350 dollars
C. 4,400 dollars
D. 2,650 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q2
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.COST.03 (local)

Learn
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If Ida adds a 15 percent contingency to 3,350 dollars, what is the new total?

A. 3,365 dollars
B. 3,850 dollars
C. 502.50 dollars
D. 3,852.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q3
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.COST.03 (local)

Learn
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An assumption says "supplies cost 2 dollars per unit." The supplier now charges 2.40 dollars. What should Ida do?

A. Update the assumption and recalculate
B. Delete the supplies line
C. Keep the old number; budgets never change
D. Double every cost to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q4
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.COST.03 (local)

Learn
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Which budget is most realistic for a new café?

A. One with no rent listed, because the first rent is due later
B. One listing only the espresso machine
C. One with equipment, several months of costs and a buffer
D. One assuming full sales on day one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F1-Q5
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.COST.03 (local)

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A budget needs 6,000 dollars; the owner has 4,500. Which option keeps risk lowest?

A. Borrow at a high rate without a repayment plan
B. Start smaller and cut nonessential costs
C. Skip rent payments for a while
D. Remove the contingency and hope

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q1
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.COST.03 (local)

Learn
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An owner's contingency is 5 percent but her equipment is old and breaks often. What should she consider?

A. Assuming nothing will break
B. No contingency at all
C. Removing equipment from the budget
D. A larger contingency

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q2
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.COST.03 (local)

Learn
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A budget used last year's prices. Prices rose about 8 percent. A 2,500-dollar line becomes about how much?

A. 2,508 dollars
B. 3,300 dollars
C. 2,700 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q3
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.COST.03 (local)

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Which mistake makes a budget look better than reality?

A. Including a buffer
B. Leaving out the owner's living costs while sales are slow
C. Writing down each assumption clearly
D. Listing recurring costs for several months ahead of time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q4
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.COST.03 (local)

Learn
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Which statement is accurate?

A. Budgets are only useful for large companies with many staff.
B. A budget is fixed and never changes.
C. A budget guarantees profit.
D. A budget is a plan to update as real numbers arrive.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S45-F2-Q5
Entrepreneurship, Set 45: A realistic startup budget · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.COST.03 (local)

Set 46: Price and cost per item

Outcome ENT.PRICE.01: Find cost per item and profit per item from a stated price

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A batch of 50 bracelets uses 75 dollars of beads and string. What is the cost per bracelet?

A. 3.75 dollars
B. 75.00 dollars
C. 1.50 dollars
D. 0.67 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q1
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q1/5 · Outcome ENT.PRICE.01 (local)

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

The cookie cost per item is 0.60 dollars. The price is 1.50 dollars. What does each sale contribute?

A. 0.60 dollars
B. 1.50 dollars
C. 2.10 dollars
D. 0.90 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q2
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q2/5 · Outcome ENT.PRICE.01 (local)

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

What happens if the price is below the cost per item?

A. Fixed costs disappear
B. Each sale loses money
C. Each sale makes more profit than before
D. Nothing changes at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q3
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q3/5 · Outcome ENT.PRICE.01 (local)

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

Which should be included in cost per item for a candle?

A. Wax, wick, jar and label
B. The owner's personal groceries
C. Only the label, since customers see it
D. Only the wax, since it is the main material

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q4
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q4/5 · Outcome ENT.PRICE.01 (local)

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A batch of 20 cards costs 8 dollars of paper and 2 dollars of envelopes. What is the cost per card?

A. 10.00 dollars
B. 0.50 dollars
C. 0.40 dollars
D. 0.10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-M-Q5
Entrepreneurship, Set 46: Price and cost per item · MAIN · Q5/5 · Outcome ENT.PRICE.01 (local)

Learn
To find the cost of one item from a batch, add up everything the batch cost, then divide by the number of items. Example: 30 dollars for 12 items: 30 / 12 = 2.50 dollars each. Check by multiplying back: 2.50 x 12 = 30. If the answer is bigger than the total, you probably divided the wrong way.

24 dollars for 8 items. What is the cost per item?

A. 0.33 dollars
B. 16 dollars
C. 3 dollars
D. 192 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q1
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.01 (local)

Learn
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How do you check 2.50 dollars per item for 12 items?

A. Subtract 12 from 30 and compare
B. Divide 12 by 2.50
C. Multiply 2.50 by 12 to get 30
D. Add 2.50 and 12

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q2
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.01 (local)

Learn
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45 dollars for 10 items. What is the cost per item?

A. 4.50 dollars
B. 0.22 dollars
C. 35 dollars
D. 450 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q3
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.01 (local)

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12 dollars of ingredients plus 3 dollars of boxes for 30 items. What is the cost per item?

A. 0.40 dollars
B. 0.50 dollars
C. 0.10 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q4
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.01 (local)

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A result of 240 dollars per item from a 60-dollar batch of 4 is a sign of what?

A. A missing item
B. Multiplying instead of dividing
C. A correct answer for the batch
D. A cheap batch

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-B1-Q5
Entrepreneurship, Set 46: Price and cost per item · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.01 (local)

Learn
COST PER ITEM (unit cost) is what it costs you to make or buy one item. If a batch of 40 cookies uses 20 dollars of ingredients and 4 dollars of bags, the cost per cookie is (20 + 4) / 40 = 0.60 dollars. PRICE is what the customer pays. The difference, price minus cost per item, is what each sale contributes toward fixed costs and profit. A price below the cost per item loses money on every sale. Include everything the item uses, such as packaging and labels, not just the main material.

A tote bag costs 6 dollars to make. Which price at least covers the cost per item?

A. 4 dollars
B. 5.50 dollars
C. 5 dollars
D. 9 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q1
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.01 (local)

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A baker makes 24 muffins with 18 dollars of ingredients and 6 dollars of liners and boxes. She prices muffins at 2 dollars. What does each muffin contribute?

A. 1.00 dollar
B. 1.25 dollars
C. 2.00 dollars
D. 0.75 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q2
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.01 (local)

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A printer charges 0.80 dollars per sticker plus 10 dollars per order. An order of 100 stickers costs how much per sticker?

A. 0.10 dollars
B. 0.90 dollars
C. 90 dollars
D. 0.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q3
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.01 (local)

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A seller forgot the 0.30-dollar label on each 2-dollar item. What is the true cost per item?

A. 1.70 dollars
B. 2.00 dollars
C. 2.30 dollars
D. 0.30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q4
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.01 (local)

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Two suppliers: A sells 100 jars for 120 dollars; B sells 60 jars for 66 dollars. Which is cheaper per jar?

A. B, at 1.10 dollars
B. They cost the same
C. A, at 1.10 dollars
D. A, at 1.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F1-Q5
Entrepreneurship, Set 46: Price and cost per item · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.01 (local)

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A baker makes 40 cookies but 4 break and cannot be sold. Ingredients cost 20 dollars. What is the cost per SOLD cookie, to the nearest cent?

A. 0.56 dollars
B. 5.00 dollars
C. 0.50 dollars
D. 0.45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q1
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.01 (local)

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A supplier requires a minimum order of 500 labels for 50 dollars, but the owner needs only 100 this month. What is the purchase cost per label?

A. 50 dollars
B. 0.10 dollars
C. 0.50 dollars
D. 5.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q2
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.01 (local)

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Ingredient prices rose 10 percent, raising cost per item from 2.00 to 2.20 dollars. Price stays 3.00 dollars. What is the new contribution per item?

A. 0.20 dollars
B. 2.20 dollars
C. 1.00 dollar
D. 0.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q3
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.01 (local)

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A seller computes cost per item but forgets shipping supplies used on every order. What happens?

A. Costs are overestimated by the seller
B. Nothing changes
C. Taxes disappear
D. The price may look profitable when it is not

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q4
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.01 (local)

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Which statement is accurate?

A. Cost per item is calculated once at the start and never changes after that.
B. Cost per item should be rechecked when supplier prices or waste change.
C. Waste never affects cost.
D. Only fixed costs matter for price.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S46-F2-Q5
Entrepreneurship, Set 46: Price and cost per item · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.01 (local)

Set 47: Revenue, profit and cash

Outcome ENT.CASH.01: Tell revenue, profit and cash available apart in a small example

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Three words get mixed up. REVENUE (sales) is all the money earned from customers before costs. PROFIT is revenue minus all expenses for the same period. CASH is the money actually in the bank right now. They can differ: a business can have revenue but no profit if costs are high; it can show a profit but little cash if customers have not paid yet or if money went into inventory. Watching all three tells the real story.

What is revenue?

A. Money earned from customers before costs
B. Money borrowed from a bank loan
C. Money left after paying every expense
D. Money sitting in the bank right now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q1
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q1/5 · Outcome ENT.CASH.01 (local)

Learn
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Revenue is 4,000 dollars and expenses are 3,100 dollars. What is the profit?

A. 3,100 dollars
B. 900 dollars
C. 7,100 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q2
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q2/5 · Outcome ENT.CASH.01 (local)

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How can a business show a profit but have little cash?

A. Expenses are counted twice
B. Profit always equals cash in the bank
C. Revenue is always zero
D. Customers have not paid their invoices yet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q3
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q3/5 · Outcome ENT.CASH.01 (local)

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What is cash?

A. Sales minus costs on paper for the month
B. All sales ever made
C. The value of the logo
D. Money actually available in the account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q4
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q4/5 · Outcome ENT.CASH.01 (local)

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Revenue is 2,000 dollars and expenses are 2,300 dollars. What is the result?

A. A loss of 2,000 dollars
B. A profit of 300 dollars
C. A profit of 4,300 dollars
D. A loss of 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-M-Q5
Entrepreneurship, Set 47: Revenue, profit and cash · MAIN · Q5/5 · Outcome ENT.CASH.01 (local)

Learn
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

The stand's revenue is what?

A. 12 dollars
B. 30 dollars
C. 18 dollars
D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q1
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASH.01 (local)

Learn
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

The stand's profit is what?

A. 48 dollars
B. 18 dollars
C. 12 dollars
D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q2
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASH.01 (local)

Learn
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

Why is there only 25 dollars of sales cash?

A. Profit for the day was negative
B. Lemons were free
C. A neighbor will pay tomorrow
D. Cups were stolen

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q3
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASH.01 (local)

Learn
A lemonade stand sells 30 cups at 1 dollar: revenue is 30 dollars. Lemons, sugar and cups cost 18 dollars: profit is 30 - 18 = 12 dollars. But if a neighbor bought 5 cups and promised to pay tomorrow, the cash box has only 25 dollars from sales today. Revenue is what you sold, profit is what is left after costs, and cash is what is in the box.

"What is in the box" means which word?

A. Expenses
B. Profit
C. Revenue
D. Cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q4
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASH.01 (local)

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"What is left after costs" means which word?

A. Profit
B. Cash
C. Sales
D. Revenue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-B1-Q5
Entrepreneurship, Set 47: Revenue, profit and cash · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASH.01 (local)

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A photographer did and billed 5,000 dollars of work in May. May expenses were 2,200 dollars. Clients have paid 3,500 dollars so far. Using accrual accounting (income counted when earned), what is the May profit?

A. 1,300 dollars
B. 3,500 dollars
C. 2,800 dollars
D. 5,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q1
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.01 (local)

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The photographer collected 3,500 dollars from clients and paid 2,200 dollars of expenses in May. What is cash received minus expenses paid?

A. 1,500 dollars
B. 1,300 dollars
C. 2,800 dollars
D. 5,700 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q2
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.01 (local)

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A shop spends 3,000 dollars on inventory it will sell next month. This month's cash drops. What happened to the money?

A. It turned into goods waiting to be sold
B. It was paid as taxes
C. It disappeared
D. It became profit for the month right away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q3
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.01 (local)

Learn
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Which month shows revenue but a loss?

A. Revenue 1,800, expenses 2,100
B. Revenue 1,800, expenses 1,200
C. Revenue 0, expenses 0
D. Revenue 2,500, expenses 2,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q4
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.01 (local)

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An owner says "We sold 10,000 dollars, so we have 10,000 dollars." What is wrong?

A. Revenue is a cost
B. Sales should be doubled
C. Sales are not cash or profit
D. Nothing; revenue always equals cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F1-Q5
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.01 (local)

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Sales are rising fast, but the owner must buy materials 60 days before customers pay. What risk grows?

A. Taxes vanishing
B. Revenue falling to zero
C. Running out of cash despite profits
D. Too much cash piling up in the bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q1
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.01 (local)

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A business is profitable on paper but cannot pay rent this week. Which action helps soonest?

A. Collect overdue invoices
B. Ignore the rent notice
C. Lower all prices
D. Buy more inventory today

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q2
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.01 (local)

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A business made 12,000 dollars of profit this year, all received in cash. The owner took 9,000 dollars in draws and paid 4,000 dollars in cash for equipment. With no other adjustments, how did cash change?

A. Down 13,000 dollars
B. Up 3,000 dollars
C. Down 1,000 dollars
D. Up 12,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q3
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.01 (local)

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Which number should an owner check before promising to pay a supplier on Friday?

A. Number of followers
B. Cash expected by Friday
C. Total revenue for the year
D. Profit last year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q4
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.01 (local)

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Which statement is accurate?

A. A business needs profit over time and cash at every moment.
B. Profit and cash are always identical.
C. Cash never matters for businesses that are profitable on paper.
D. Revenue is the only number that matters.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S47-F2-Q5
Entrepreneurship, Set 47: Revenue, profit and cash · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.01 (local)

Set 48: Markup and margin

Outcome ENT.PRICE.02: Compute markup and margin and explain why they differ

Module: Foundation 7: Costs, pricing and cash

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Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

Cost 5 dollars, price 8 dollars. What is the markup?

A. 3 percent
B. 60 percent
C. 37.5 percent
D. 160 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q1
Entrepreneurship, Set 48: Markup and margin · MAIN · Q1/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

Cost 5 dollars, price 8 dollars. What is the margin?

A. 37.5 percent
B. 60 percent
C. 62.5 percent
D. 3 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q2
Entrepreneurship, Set 48: Markup and margin · MAIN · Q2/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

Markup uses which base?

A. The price
B. The tax rate
C. The cost
D. The number sold

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q3
Entrepreneurship, Set 48: Markup and margin · MAIN · Q3/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

For an item with a positive cost sold above cost, which percentage is larger?

A. It depends on the tax rate
B. Margin
C. They are always equal
D. Markup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q4
Entrepreneurship, Set 48: Markup and margin · MAIN · Q4/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

Cost 20 dollars, a 50 percent markup. What is the price?

A. 25 dollars
B. 40 dollars
C. 30 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-M-Q5
Entrepreneurship, Set 48: Markup and margin · MAIN · Q5/5 · Outcome ENT.PRICE.02 (local)

Learn
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 2 of 8?

A. 4 percent
B. 25 percent
C. 400 percent
D. 2 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q1
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.02 (local)

Learn
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 6 of 10?

A. 60 percent
B. 167 percent
C. 6 percent
D. 16 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q2
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.02 (local)

Learn
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

In "3 is what percent of 12?", which number is the base?

A. 3
B. 100
C. 15
D. 12

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q3
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.02 (local)

Learn
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

What percent is 5 of 20?

A. 5 percent
B. 25 percent
C. 4 percent
D. 20 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q4
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.02 (local)

Learn
To find what percent one number is of another, divide the part by the whole and multiply by 100. Example: 3 out of 12 is 3 / 12 = 0.25 = 25 percent. The number you divide BY is the base. Changing the base changes the answer: 3 / 4 = 75 percent, but 3 / 12 = 25 percent. Always ask, "percent OF what?"

Why do 3 / 4 and 3 / 12 give different percents?

A. The base is different
B. One is wrong
C. The part is different
D. Percents are random

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B1-Q5
Entrepreneurship, Set 48: Markup and margin · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.02 (local)

Learn
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Markup compares the gap with what?

A. The tax
B. The customer
C. What you paid
D. The price tag

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q1
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q1/5 · Outcome ENT.PRICE.02 (local)

Learn
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Margin compares the gap with what?

A. What you paid
B. The rent
C. The weather
D. The price tag

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q2
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q2/5 · Outcome ENT.PRICE.02 (local)

Learn
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

In the example, what is the dollar gap?

A. 4 dollars
B. 10 dollars
C. 16 dollars
D. 6 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q3
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q3/5 · Outcome ENT.PRICE.02 (local)

Learn
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

"How much of the price tag do I keep?" is which idea?

A. Cash
B. Markup
C. Margin
D. Revenue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q4
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q4/5 · Outcome ENT.PRICE.02 (local)

Learn
Picture a price tag of 10 dollars on an item that cost 6 dollars. Markup asks, "How much did I add compared with what I paid?" (4 compared with 6). Margin asks, "How much of the price tag do I keep?" (4 out of 10). Same 4 dollars, different comparison. Remember: Markup looks at what you paid; Margin looks at the price tag.

Does the dollar gap change between markup and margin?

A. Yes, it halves
B. Yes, it becomes zero for margin
C. Yes, it doubles
D. No, only the comparison changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-B2-Q5
Entrepreneurship, Set 48: Markup and margin · BACKWARD 2 (concept simplification) · Q5/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

A reseller buys mugs for 8 dollars and wants a 40 percent margin. What price works, to the nearest cent?

A. 12.00 dollars
B. 13.33 dollars
C. 3.20 dollars
D. 11.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q1
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

An owner adds a 40 percent markup to a cost of 8 dollars, thinking it gives a 40 percent margin. What margin does she actually get, to one decimal place?

A. 11.2 percent
B. 40 percent
C. 28.6 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q2
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

Cost 12 dollars, price 20 dollars. What is the margin?

A. 8 percent
B. 67 percent
C. 60 percent
D. 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q3
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

A supplier says "Industry margin is 50 percent." Item cost is 15 dollars. What price gives a 50 percent margin?

A. 30 dollars
B. 22.50 dollars
C. 15 dollars
D. 7.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q4
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.02 (local)

Learn
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Which statement is correct for cost 6, price 10?

A. Both are 4 percent
B. Markup is about 67 percent and margin is 40 percent
C. Markup is 40 percent and margin is about 67 percent
D. Both are 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F1-Q5
Entrepreneurship, Set 48: Markup and margin · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

An item costs 10 dollars and sells for 20 dollars (50 percent margin). A 20 percent discount is offered. What is the new margin?

A. 30 percent
B. 37.5 percent
C. 50 percent
D. 20 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q1
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.02 (local)

Learn
MARKUP and MARGIN both describe the gap between cost and price, but they use different bases. MARKUP is the gap as a percent of COST: (price - cost) / cost. MARGIN is the gap as a percent of PRICE: (price - cost) / price. Example: cost 6 dollars, price 10 dollars. The gap is 4. Markup = 4 / 6, about 67 percent. Margin = 4 / 10 = 40 percent. For an item with a positive cost sold above cost, the markup percentage is greater than the margin percentage. Mixing them up can lead to prices that are too low.

A payment fee takes 3 percent of a 50-dollar price. Item cost is 30 dollars. What is the margin after the fee?

A. 40 percent
B. 43 percent
C. 3 percent
D. 37 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q2
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.02 (local)

Learn
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A business partner says "our markup is 25 percent" but means margin. Why does it matter?

A. Prices set from the wrong term can be too low

B. It never matters which word is used

C. Margin is only for taxes

D. Markup and margin are legally identical

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q3
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.02 (local)

Learn
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Which mistake leads to a lower price than intended?

A. Using a markup percent when a margin percent was intended
B. Using a margin percent when a margin percent was intended
C. Writing down the cost carefully
D. Including packaging in cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q4
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.02 (local)

Learn
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Which statement is accurate?

A. Always state whether a percent is markup or margin.
B. Markup and margin always give the same price.
C. Only margin is ever used in business.
D. Percents never need a base.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S48-F2-Q5
Entrepreneurship, Set 48: Markup and margin · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.02 (local)

Set 49: Break-even with stated assumptions

Outcome ENT.PRICE.03: Find a break-even quantity from fixed costs and profit per item

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Fixed costs 800 dollars, price 20 dollars, variable cost 10 dollars. What is break-even?

A. 40 sales
B. 27 sales
C. 80 sales
D. 8,000 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q1/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

What is profit exactly at break-even?

A. Equal to fixed costs
B. Zero
C. Negative
D. Equal to revenue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q2/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

What does each sale contribute toward fixed costs?

A. The whole price
B. Price plus variable cost
C. Fixed cost divided by price
D. Price minus variable cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q3/5 · Outcome ENT.PRICE.03 (local)

Learn
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Fixed costs 500 dollars, contribution 3 dollars per sale. What is break-even, rounded up?

A. 167 sales
B. 166 sales
C. 1,500 sales
D. 503 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q4/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

If the price drops and costs stay the same, what happens to break-even?

A. It becomes zero
B. It stays the same
C. It rises
D. It falls

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-M-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · MAIN · Q5/5 · Outcome ENT.PRICE.03 (local)

Learn
Break-even is a division: fixed costs divided by contribution per sale. If the answer is not a whole number, round UP to the next whole number, because a partial sale is not possible and rounding down would leave you short. Example: 250 / 6 = 41.67, so 42 sales. Check: 42 x 6 = 252, which covers 250; 41 x 6 = 246, which does not.

What is 300 / 7, rounded up?

A. 44
B. 2,100
C. 42
D. 43

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.03 (local)

Learn
Break-even is a division: fixed costs divided by contribution per sale. If the answer is not a whole number, round UP to the next whole number, because a partial sale is not possible and rounding down would leave you short. Example: 250 / 6 = 41.67, so 42 sales. Check: 42 x 6 = 252, which covers 250; 41 x 6 = 246, which does not.

Why round break-even UP?

A. Rounding does not matter
B. Rounding down leaves costs uncovered
C. Rounding up always gives the wrong answer
D. Partial sales are common

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.03 (local)

Learn
Break-even is a division: fixed costs divided by contribution per sale. If the answer is not a whole number, round UP to the next whole number, because a partial sale is not possible and rounding down would leave you short. Example: 250 / 6 = 41.67, so 42 sales. Check: 42 x 6 = 252, which covers 250; 41 x 6 = 246, which does not.

What is 400 / 8?

A. 50
B. 3,200
C. 408
D. 32

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.03 (local)

Learn
Break-even is a division: fixed costs divided by contribution per sale. If the answer is not a whole number, round UP to the next whole number, because a partial sale is not possible and rounding down would leave you short. Example: 250 / 6 = 41.67, so 42 sales. Check: 42 x 6 = 252, which covers 250; 41 x 6 = 246, which does not.

Does 41 x 6 cover 250?

A. No, it is 206
B. Yes, it is 256
C. No, it is 246
D. Yes, it is 250

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.03 (local)

Learn
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What is 1,000 / 9, rounded up?

A. 110
B. 111
C. 9,000
D. 112

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-B1-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

A food truck has fixed costs of 2,400 dollars a month. Each meal sells for 12 dollars and costs 4 dollars to make. How many meals per month to break even?

A. 200 meals
B. 300 meals
C. 150 meals
D. 600 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.03 (local)

Learn
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A food truck needs 300 meals a month to break even (2,400 dollars of fixed costs, a 12-dollar price, a 4-dollar cost per meal). It is open 25 days a month. About how many meals per day does it need to break even?

A. 12 meals
B. 8 meals
C. 25 meals
D. 300 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

The food truck must sell 12 meals a day for 25 days to break even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal). The owner expects 9 meals a day. What does that mean?

A. Break-even does not matter
B. Costs will fall automatically as the truck gets busier
C. The plan makes a large profit
D. The plan loses money unless something changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

The food truck has 2,400 dollars of fixed costs a month and a 4-dollar cost per meal. If it raises its price from 12 to 14 dollars, what is the new break-even per month?

A. 172 meals
B. 400 meals
C. 240 meals
D. 300 meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Which assumption should be written down with the food truck's break-even (2,400 dollars of fixed costs, 12-dollar price, 4-dollar cost per meal)?

A. The logo stays the same
B. The truck color
C. The owner's favorite meal
D. Meal cost stays 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F1-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

A studio's break-even was 50 classes using a 30-dollar price and 10-dollar cost (1,000 dollars fixed). Rent rises by 200 dollars. What is the new break-even?

A. 60 classes
B. 50 classes
C. 70 classes
D. 40 classes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q1
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

A seller forgot payment fees of 1 dollar per sale. Price 15, variable cost 5, fixed 600. What is the corrected break-even, rounded up?

A. 55 sales
B. 67 sales
C. 60 sales
D. 40 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q2
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Break-even is 200 units, but the market research suggests only about 120 buyers. What is the best response?

A. Rethink price, costs or the plan before launching
B. Launch anyway and hope that more buyers appear later
C. Ignore the research
D. Double the fixed costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q3
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Variable cost is 0 dollars for a digital download. Fixed costs are 900 dollars and price is 15 dollars. What is break-even?

A. 13,500 sales
B. 0 sales
C. 900 sales
D. 60 sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q4
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.03 (local)

Learn
The BREAK-EVEN point is the number of sales at which total revenue equals total cost, so profit is zero. Each sale contributes (price - variable cost per item) toward fixed costs. Break-even units = fixed costs / (price - variable cost). Example (assumptions): fixed costs 600 dollars a month, price 15 dollars, variable cost 5 dollars: 600 / 10 = 60 sales. Sales above break-even create profit; sales below create a loss. Write down the assumptions; if any change, recalculate. Round UP, because you cannot sell part of an item.

Which statement is accurate?

A. Break-even is only as good as its assumptions.
B. Break-even ignores fixed costs.
C. Break-even guarantees the business will succeed.
D. Break-even never changes once found.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S49-F2-Q5
Entrepreneurship, Set 49: Break-even with stated assumptions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.03 (local)

Set 50: Payment-processing fees

Outcome ENT.PRICE.04: Include a stated processing fee when finding what a sale brings in

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Using 2.9 percent + 0.30 dollars, what is the fee on a 100-dollar sale?

A. 2.90 dollars
B. 3.20 dollars
C. 0.30 dollars
D. 3.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q1
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q1/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Using the same fee, how much does the business receive from a 100-dollar sale?

A. 97.10 dollars
B. 99.70 dollars
C. 100.00 dollars
D. 96.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q2
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q2/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Why does the fixed part hurt small sales most?

A. Small sales have no percentage fee
B. It is charged only on large sales
C. It is a larger share of a small price
D. Processors waive fees on large sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q3
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q3/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

On a 3-dollar sale, what percent of the price is the 0.30-dollar fixed part?

A. 10 percent
B. 30 percent
C. 3 percent
D. 1 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q4
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Where should processing fees appear when setting prices?

A. Only in the yearly tax return
B. Only in the owner's personal budget
C. In the cost of each sale
D. Nowhere, because customers pay them separately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-M-Q5
Entrepreneurship, Set 50: Payment-processing fees · MAIN · Q5/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

What is 0.03 x 50 + 0.25?

A. 1.50
B. 0.28
C. 150.25
D. 1.75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q1
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

2 percent as a decimal is what?

A. 0.002
B. 0.02
C. 0.2
D. 2.0

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q2
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

What is 0.02 x 80 + 0.10?

A. 1.70
B. 0.12
C. 1.60
D. 160.10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q3
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

A fee of 25 dollars on a 20-dollar sale suggests what?

A. The fee is correct
B. The percent was not converted to a decimal
C. The fixed part of the fee was forgotten entirely
D. The sale was 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q4
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
Many fees follow "rate x amount + fixed." Change the percent to a decimal, multiply by the amount, then add the fixed part. Example: 3 percent of 50 plus 0.25: 0.03 x 50 = 1.50, then 1.50 + 0.25 = 1.75. A common mistake is forgetting the fixed part or using 3 instead of 0.03. Check: the fee should be much smaller than the sale.

What is 0.04 x 25 + 0.50?

A. 1.00
B. 0.54
C. 1.50
D. 100.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-B1-Q5
Entrepreneurship, Set 50: Payment-processing fees · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.04 (local)

Learn
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A seller's cost per item is 12 dollars and she charges 20 dollars. Fee is 2.9 percent + 0.30 dollars. What does each sale contribute after the fee?

A. 7.42 dollars
B. 8.00 dollars
C. 7.70 dollars
D. 7.12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q1
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.04 (local)

Learn
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A café sells 2-dollar cookies by card. Same fee. What is the fee per cookie?

A. 0.36 dollars
B. 0.58 dollars
C. 0.30 dollars
D. 0.06 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q2
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

To reduce the fee share on small items, which option fits?

A. Hide the fee from her records
B. Encourage bundles, like 3 cookies for one payment
C. Raise the fixed fee by choosing a new processor
D. Split every sale into smaller payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q3
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.04 (local)

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Monthly card sales are 4,000 dollars over 200 sales. Same fee. What are total fees?

A. 1,160 dollars
B. 60 dollars
C. 176 dollars
D. 116 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q4
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
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Processor A: 2.6 percent + 0.10 dollars. Processor B: 2.9 percent + 0.30 dollars. Which is cheaper for a 20-dollar sale?

A. B, at 0.88 dollars
B. A, at 0.52 dollars
C. They cost the same
D. A, at 0.62 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F1-Q5
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.04 (local)

Learn
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A processor also charges 15 dollars a month. A seller has 30 sales a month. How much does this add per sale?

A. 0.50 dollars
B. 0.15 dollars
C. 2.00 dollars
D. 15.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q1
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

An owner wants to add a card surcharge to customers. What should she check first?

A. Nothing; surcharges are always allowed
B. Laws and processor rules on surcharges
C. Only whether customers will notice
D. Whether her competitors like the idea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q2
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

An invoice of 1,000 dollars is paid by card at 2.9 percent + 0.30. What is received?

A. 971.00 dollars
B. 999.70 dollars
C. 1,000.00 dollars
D. 970.70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q3
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

A seller compares processors only on the percentage. What might she miss?

A. The weather
B. Her customers' names
C. Fixed and monthly fees
D. Her own logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q4
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.04 (local)

Learn
When customers pay by card or app, the payment processor keeps a fee. A common structure is a percentage of the sale plus a fixed amount per transaction, for example (an assumption, not a real quote) 2.9 percent + 0.30 dollars. On a 40-dollar sale that is 0.029 x 40 + 0.30 = 1.46 dollars, so the business receives 38.54 dollars. The fixed part hurts small sales most: on a 3-dollar sale, 0.30 dollars alone is 10 percent. Include fees in cost per sale when setting prices.

Which statement is accurate?

A. Every payment processor charges exactly 2.9 percent plus 0.30 dollars.
B. Fees vary by provider and plan, so read current terms.
C. Fees never change.
D. Fees only apply to large businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S50-F2-Q5
Entrepreneurship, Set 50: Payment-processing fees · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.04 (local)

Set 51: Refunds and discounts

Outcome ENT.PRICE.05: Find the effect of refunds and discounts on revenue and profit

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

A 25-dollar item costs 15 dollars. With a 20 percent discount, what is the new price?

A. 24.80 dollars
B. 5 dollars
C. 30 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q1
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q1/5 · Outcome ENT.PRICE.05 (local)

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

Same item. What is the contribution after the discount?

A. 20 dollars
B. 15 dollars
C. 5 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q2
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q2/5 · Outcome ENT.PRICE.05 (local)

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

What should a refund policy state?

A. Only the store's opening date
B. The time limit, return condition and who pays shipping
C. Nothing at all, because written policies only confuse customers
D. Only the owner's favorite products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q3
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q3/5 · Outcome ENT.PRICE.05 (local)

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

When should a refund policy be shown?

A. Before customers buy
B. Never
C. Only after a complaint
D. Only once a year in an email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q4
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q4/5 · Outcome ENT.PRICE.05 (local)

Learn
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A 10-dollar discount on an item with a 12-dollar contribution leaves what contribution?

A. 12 dollars
B. 2 dollars
C. 22 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-M-Q5
Entrepreneurship, Set 51: Refunds and discounts · MAIN · Q5/5 · Outcome ENT.PRICE.05 (local)

Learn
To take a percent off, multiply by (1 - the decimal). 20 percent off means multiply by 0.80; 15 percent off means multiply by 0.85. Example: 40 dollars with 25 percent off: 40 x 0.75 = 30 dollars. Or find the discount first: 0.25 x 40 = 10, then 40 - 10 = 30. Both ways give the same answer.

What is 50 with 20 percent off?

A. 10
B. 30
C. 49.80
D. 40

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q1
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.05 (local)

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15 percent off means multiply by what?

A. 85
B. 1.15
C. 0.85
D. 0.15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q2
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.05 (local)

Learn
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What is 60 with 25 percent off?

A. 15
B. 45
C. 35
D. 75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q3
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.05 (local)

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What is 10 percent of 30?

A. 0.3
B. 27
C. 3
D. 300

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q4
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.05 (local)

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What is 80 with 10 percent off?

A. 72
B. 88
C. 8
D. 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-B1-Q5
Entrepreneurship, Set 51: Refunds and discounts · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.05 (local)

Learn
Discounts and refunds reduce what a sale brings in, often more than people expect. A 20 percent discount on a 25-dollar item with a 15-dollar cost cuts the contribution from 10 dollars to 5 dollars: half the money from that sale. A REFUND gives money back; the item may come back damaged or not at all, and some processors do not return their fee. Write a clear refund policy (time limit, condition of returns, who pays shipping) and post it before customers buy.

A shop sells 100 shirts a month at 30 dollars with a 18-dollar cost. A 25 percent sale is planned. How many shirts must sell during the sale to earn the same total contribution, rounded up?

A. 200 shirts
B. 125 shirts
C. 100 shirts
D. 267 shirts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q1
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.05 (local)

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A customer returns a 50-dollar item for a full refund. The processor kept a 1.75-dollar fee and does not return it. The item can be resold. What did the return cost the business?

A. 0 dollars
B. 50 dollars
C. 1.75 dollars
D. 51.75 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q2
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.05 (local)

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A returned item arrives damaged and cannot be resold. Its cost was 18 dollars. The refund was 30 dollars. What is the loss compared with no sale?

A. 30 dollars
B. 48 dollars
C. 12 dollars
D. 18 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q3
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.05 (local)

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Which refund policy is clearest?

A. "No questions, no answers, contact us someday."
B. "Returns within 30 days, unused, buyer pays return shipping."
C. "Returns are maybe possible, depending on my mood that week."
D. "Ask a friend about our return rules."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q4
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.05 (local)

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A 10 percent discount for first-time buyers brings 40 new customers who keep buying later. Why might it be worth it?

A. First-time buyers never return
B. Repeat purchases can outweigh the one-time discount
C. Discounts always increase profit on every single sale
D. Discounts remove all costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F1-Q5
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.05 (local)

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A customer uses a 20 percent coupon on top of a 20 percent sale. What total discount does she get on a 50-dollar item, applied one after the other?

A. 36 percent
B. 20 percent
C. 4 percent
D. 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q1
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.05 (local)

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Many customers return items after wearing them once. What should the owner change?

A. Accept every return forever, in any condition
B. Add a clear "unused" condition to the policy
C. Accuse customers publicly
D. Stop selling online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q2
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.05 (local)

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A store says "all sales final" but the law where it sells may require some refunds. What should it check?

A. Only competitors' policies
B. Only its logo
C. Local consumer protection rules
D. Nothing; the store decides alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q3
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.05 (local)

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A 20-dollar item has a 6-dollar contribution, so its cost is 14 dollars. The owner offers 30 percent off. What is the contribution per sale now?

A. 14 dollars
B. 12 dollars
C. 6 dollars
D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q4
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.05 (local)

Learn
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Which statement is accurate?

A. Discounts should be checked against contribution before offering them.
B. Bigger discounts always mean more profit.
C. Discounts are always free marketing.
D. Refund policies are optional for online stores, so no one needs to post one.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S51-F2-Q5
Entrepreneurship, Set 51: Refunds and discounts · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.05 (local)

Set 52: Owner time and capacity

Outcome ENT.PRICE.06: Include the owner's time and limited capacity when judging a price

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn

An owner's time is limited, so it has a cost. CAPACITY is the most work the business can do in a period. If an owner can work 30 hours a week on paid tasks, that is her capacity. To find an effective HOURLY RATE, divide profit from a job by the total hours it takes, including travel, emails, invoices and setup, not just the visible work. A price that looks high can become a low hourly rate. When capacity is full, serving more customers safely takes qualified help or a better process. Raising prices is a separate choice: it manages demand and earns more per job, but it does not add capacity.

A job earns 120 dollars of profit and takes 4 hours in total. What is the effective hourly rate?

A. 40 dollars an hour

B. 124 dollars an hour

C. 30 dollars an hour

D. 480 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q1

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q1/5 · Outcome ENT.PRICE.06 (local)

Learn

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What is capacity?

A. The most work the business can do in a period

B. The size of the logo file

C. The number of followers on social media

D. The amount of money in savings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q2

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q2/5 · Outcome ENT.PRICE.06 (local)

Learn

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Which hidden time should be counted for a house-cleaning job?

A. Time spent sleeping at night

B. Time the owner spends on a personal hobby

C. Time a customer spends at work

D. Travel and invoicing time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q3

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q3/5 · Outcome ENT.PRICE.06 (local)

Learn

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A job pays 200 dollars of profit for 5 hours of work plus 3 hours of travel and email. What is the true hourly rate?

A. 40 dollars an hour

B. 25 dollars an hour

C. 66.67 dollars an hour

D. 1,600 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q4

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn

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Capacity is full. Which option lets the business complete more work safely?

A. Work 20 hours a day indefinitely

B. Ignore all new requests without replying

C. Take every new job and skip quality checks

D. Get qualified help or improve the process

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-M-Q5

Entrepreneurship, Set 52: Owner time and capacity · MAIN · Q5/5 · Outcome ENT.PRICE.06 (local)

Learn
A bus has a fixed number of seats. Once they are full, no more people can ride that trip, no matter how many wait. An owner's week is like the bus: it has a fixed number of working hours. Each job takes some seats, including the "hidden" seats for travel and paperwork. When the hours are full, a bigger bus (help) or more trips (more hours) carry more riders. A pricier ticket (higher prices) adds no seats, but it changes who rides and earns more per seat.

A full bus is like what?

A. A big savings account
B. An empty calendar
C. A full work week
D. A new logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q1
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PRICE.06 (local)

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The "hidden seats" are like what?

A. Customer reviews online
B. Travel and paperwork time
C. Free time
D. Extra profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q2
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PRICE.06 (local)

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A bigger bus is like what choice?

A. Doing nothing
B. Working more hours
C. Raising prices
D. Getting help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q3
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PRICE.06 (local)

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A pricier ticket is like what choice?

A. More trips
B. Lowering quality
C. Raising prices
D. Getting help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q4
Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PRICE.06 (local)

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Can more riders fit once all seats are full?

A. No, not on that trip

B. Only on weekends

C. Yes, always

D. Only if they stand on the roof

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-B1-Q5

Entrepreneurship, Set 52: Owner time and capacity · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PRICE.06 (local)

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Job A: 150 dollars profit, 3 hours total. Job B: 240 dollars profit, 6 hours total. Which pays more per hour?

A. B, at 40 dollars an hour

B. A, at 50 dollars an hour

C. They pay the same

D. B, at 240 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q1

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.06 (local)

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A tutor can work 25 hours a week. Each student takes 1.5 hours including prep. What is the most students per week, rounded down?

A. 16 students

B. 37 students

C. 25 students

D. 17 students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q2

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.06 (local)

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A baker charges 60 dollars for a custom cake with 20 dollars of ingredients. It takes 5 hours. What is the hourly rate on profit?

A. 12 dollars an hour

B. 40 dollars an hour

C. 4 dollars an hour

D. 8 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q3

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.06 (local)

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A custom cake takes 5 hours and uses 20 dollars of ingredients. The baker wants at least 20 dollars an hour of profit on it. What price is needed?

A. 25 dollars

B. 120 dollars

C. 100 dollars

D. 80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q4

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.06 (local)

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A photographer is fully booked for 2 months. What does this suggest?

A. She should lower prices further

B. She should stop marketing forever

C. Prices may be too low for the demand

D. Nothing; bookings never matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F1-Q5

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An owner works 70 hours a week to meet demand and feels exhausted. What is the main risk?

A. Customers will pay double automatically
B. Capacity grows by itself
C. More profit with no downside
D. Mistakes and burnout that hurt the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q1
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.06 (local)

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A job seems to pay 50 dollars an hour, but the client asks for many unpaid revisions, doubling the time. What is the real rate?

A. 75 dollars an hour

B. 25 dollars an hour

C. 100 dollars an hour

D. 50 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q2

Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.06 (local)

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What helps prevent unpaid revisions?

A. Charging nothing at all for the first job with a client
B. Stating how many revisions the price includes
C. Offering unlimited free changes
D. Never talking about revisions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q3
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.06 (local)

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A helper costs 20 dollars an hour and lets the owner take jobs earning 45 dollars an hour of profit before paying help. Ignoring other costs, what is left per helper hour?

A. 65 dollars
B. 45 dollars
C. 25 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q4
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.06 (local)

Learn
An owner's time is limited, so it has a cost. CAPACITY is the most work the business can do in a period. If an owner can work 30 hours a week on paid tasks, that is her capacity. To find an effective HOURLY RATE, divide profit from a job by the total hours it takes, including travel, emails, invoices and setup, not just the visible work. A price that looks high can become a low hourly rate. When capacity is full, serving more customers safely takes qualified help or a better process. Raising prices is a separate choice: it manages demand and earns more per job, but it does not add capacity.

Which statement is accurate?

A. Owner time is a real cost even when no one sends a bill for it.

B. Capacity never limits small businesses, because owners can always work more.

C. Hidden tasks take no time.

D. Owner time is always free.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S52-F2-Q5
Entrepreneurship, Set 52: Owner time and capacity · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.06 (local)

Set 53: Reviewing and raising prices

Outcome ENT.PRICE.07: Decide when a price needs review from stated costs, demand and capacity, and communicate a change

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Which is a sign a price may be too low?

A. Customers sometimes compliment the product
B. The owner bought a new phone
C. The owner is fully booked months ahead
D. The logo was redesigned recently

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Supplies rise from 4 to 5 dollars per item and price stays 12 dollars. What is the new contribution?

A. 17 dollars
B. 1 dollar
C. 8 dollars
D. 7 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

What is a respectful way to raise prices?

A. Give notice and a short reason
B. Raise prices every week
C. Blame customers for the change
D. Change prices without telling anyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

How often might a small business review prices?

A. Never, because prices are set permanently at opening
B. Every 6 or 12 months, or when costs change
C. Only once, on opening day
D. Every hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

After a raise, some customers leave. What should the owner check?

A. Only competitors' logos
B. Only whether anyone complained about the new price
C. Only the number of customers
D. Whether total contribution went up or down

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-M-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · MAIN · Q5/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

What is 50 raised by 10 percent?

A. 5
B. 50.10
C. 55
D. 60

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

From 20 to 25 dollars is what percent increase?

A. 25 percent
B. 5 percent
C. 125 percent
D. 20 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

A 15 percent raise means multiply by what?

A. 0.15
B. 1.15
C. 15
D. 0.85

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

What is 80 raised by 5 percent?

A. 85
B. 4
C. 80.05
D. 84

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
To raise a price by a percent, multiply by (1 + the decimal). A 10 percent raise is x 1.10; a 15 percent raise is x 1.15. Example: 40 dollars raised 15 percent is 40 x 1.15 = 46 dollars. To find the percent change between two prices, divide the change by the OLD price: from 40 to 46 is 6 / 40 = 0.15 = 15 percent.

To find a percent change, divide the change by which price?

A. The cost
B. The new price
C. The old price
D. Any price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-B1-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

A dog groomer has 50 clients at 40 dollars with a 15-dollar cost each. She raises the price to 48 dollars and 5 clients leave. What is the new total contribution?

A. 1,485 dollars
B. 2,160 dollars
C. 1,650 dollars
D. 1,250 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

A dog groomer had 50 clients at 40 dollars with a 15-dollar cost each. After she raised the price to 48 dollars, 45 clients stayed. Did the raise help?

A. No, because she lost 5 of her clients
B. Yes, contribution rose by 235 dollars
C. It made no difference
D. No, contribution fell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Which notice is best?

A. "From March 1, prices rise to 48 dollars due to higher supply costs."
B. "Prices might change sometime, maybe."
C. "Prices are higher now. Deal with it."
D. No notice at all; she should just charge more at checkout from now on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

A 40-dollar price raised by 12.5 percent becomes what?

A. 52.50 dollars
B. 5 dollars
C. 45 dollars
D. 40.13 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

A loyal client has booked monthly for 3 years. What is a thoughtful option during a raise?

A. Raise her price more than everyone else's price
B. Keep the old price for a short grace period
C. Hide the raise from her
D. Drop her as a client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F1-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PRICE.07 (local)

Learn
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An owner fears that any raise will lose all customers. What evidence would help?

A. Assuming the worst and never changing
B. Asking only family
C. Testing a modest raise and tracking results
D. Copying a random competitor's price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q1
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

A competitor charges less. The owner's costs are higher because she uses better materials. What fits?

A. Ignore costs entirely
B. Explain the value and price to cover her costs
C. Match the competitor's lower price, even if she loses money
D. Use worse materials secretly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q2
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PRICE.07 (local)

Learn
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Prices rose 20 percent but sales fell 40 percent. Contribution per sale went from 10 to 14 dollars. Was it a gain? (Start with 100 sales.)

A. No, contribution fell from 1,000 to 840 dollars

B. No change at all

C. Yes, contribution rose from 1,000 to 1,400 dollars

D. Yes, from 1,000 to 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q3
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Costs rose 10 percent but the owner has not reviewed prices in 3 years. What should she do?

A. Cut quality quietly to avoid any price raise
B. Stop tracking costs
C. Wait another 3 years
D. Recalculate costs and review prices now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q4
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PRICE.07 (local)

Learn
Prices should be reviewed regularly, for example every 6 or 12 months, or when costs change. Signs a price may be too low: costs have risen, you are fully booked, or your hourly rate is below what you need. To raise prices well, give current customers notice, explain briefly (for example, higher material costs), and consider keeping old prices for a short time for loyal clients. Some customers may leave; check whether the remaining sales bring in more total contribution.

Which statement is accurate?

A. Raises always double profit.
B. A price increase can raise total contribution even if some customers leave.
C. Losing any customer at all always means the business loses money overall.
D. Prices should never change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S53-F2-Q5
Entrepreneurship, Set 53: Reviewing and raising prices · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PRICE.07 (local)

Set 54: Cash timing, unpaid invoices and deposits

Outcome ENT.CASH.02: Track when cash actually arrives and leaves, and use deposits

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

What does "Net 30" mean?

A. The business must pay 30 dollars
B. A 30 percent discount for paying early
C. The customer may pay any time in the year
D. Payment is due 30 days after the invoice date

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q1/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

What is a deposit?

A. Money paid up front before work starts
B. A refund paid after a customer complaint
C. A bonus paid to employees
D. A tax paid to the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

An invoice dated June 1 is Net 30. When is it due?

A. August 1
B. June 2
C. July 1
D. June 30 of next year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

What are accounts receivable?

A. The value of equipment
B. Money customers owe the business
C. Cash in the owner's wallet
D. Money the business owes suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q4/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

Why ask for a deposit on a large custom order?

A. It reduces risk and helps pay for materials
B. It lowers the business's taxes
C. It replaces the need for an invoice
D. It guarantees the customer will love the order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-M-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · MAIN · Q5/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

Doing chores before being paid is like what?

A. Paying taxes
B. Getting a deposit up front from the customer
C. Working before an invoice is paid
D. Buying supplies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

Needing lunch money while waiting is like what?

A. A discount code for next time
B. Bills due before payment arrives
C. A refund
D. Extra profit for the whole month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

Getting part of the allowance first is like what?

A. An invoice
B. A refund
C. A deposit
D. A fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

What makes the waiting harder?

A. Longer payment terms
B. Shorter payment terms
C. Deposits
D. Reminders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASH.02 (local)

Learn
Imagine doing chores all month but receiving your allowance only at the end of the next month. Meanwhile, you still need money for lunch. Businesses face the same gap: they do the work, send an invoice, and wait for payment while bills keep coming. A deposit is like getting part of the allowance before you start the chores.

What helps close the gap?

A. Offering longer terms
B. Never sending reminders
C. Waiting longer to invoice
D. Deposits and prompt invoicing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-B1-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASH.02 (local)

Learn
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A designer finishes a 2,000-dollar project and invoices Net 30. Her rent of 900 dollars is due in 10 days. She has 500 dollars. What is the problem?

A. She is 400 dollars short for rent before the invoice is due
B. Rent is not her concern
C. She has plenty of cash right now to cover the rent easily
D. The invoice is already overdue

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

Which change would help her most on future projects?

A. Stop sending invoices
B. Offer Net 90 payment terms to all clients
C. Invoice only after 2 months
D. Ask for a 50 percent deposit at the start

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

A 50 percent deposit on a 2,000-dollar project is how much?

A. 500 dollars
B. 1,000 dollars
C. 1,500 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
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An invoice was due 15 days ago and is unpaid. What is a sensible first step?

A. Start a lawsuit today
B. Send a polite reminder with the invoice attached
C. Ignore it forever
D. Post the client's name online as a late payer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.02 (local)

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A business has receivables of 6,000 dollars, of which 1,500 dollars is over 60 days late. What fraction is very late?

A. 1/2
B. 1/6
C. 1/4
D. 3/4

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F1-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

A large client insists on Net 60 terms. The order is 10,000 dollars of materials and labor. What should the owner check?

A. Whether the logo will be on the client's site
B. Nothing; big clients always pay early
C. Whether she has cash to cover costs for 60 days
D. Only whether the client is famous

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q1
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

A client has missed three payment dates. What protects the business on future work?

A. Do more work on credit
B. Require payment or a deposit before starting
C. Remove invoices
D. Offer even longer payment terms to be kind

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q2
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

A contract allows a 1.5 percent monthly late fee where permitted. A 2,000-dollar invoice is one month late. What is the fee?

A. 30 dollars
B. 300 dollars
C. 1.50 dollars
D. 3 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q3
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

Before adding late fees, what should an owner check?

A. Only whether competitors in her area use late fees
B. Nothing; any fee is allowed
C. Only the invoice font
D. Whether local law allows them and the contract states them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q4
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.02 (local)

Learn
Cash often arrives later than work is done. An INVOICE is a bill sent to a customer; "Net 30" means payment is due 30 days after the invoice date. Meanwhile, the business may have to pay for materials and its own bills. A DEPOSIT is money paid up front before work starts; it reduces risk and helps buy materials. Track unpaid invoices (accounts receivable), send reminders on the due date, and set clear terms in writing, such as a late fee if allowed where you operate.

Which statement is accurate?

A. Clear written terms and early reminders reduce late payments.
B. Customers always pay on time without any reminders or written terms.
C. Deposits are illegal.
D. Invoices are optional for businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S54-F2-Q5
Entrepreneurship, Set 54: Cash timing, unpaid invoices and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.02 (local)

Set 55: A simple cash reserve

Outcome ENT.CASH.03: Size a simple cash reserve from stated monthly costs

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

What is a cash reserve?

A. Money set aside for slow months and surprises
B. Money owed to suppliers
C. Money used for the owner's vacation
D. Money spent on advertising and promotions each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q1
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q1/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

Essential expenses are 1,500 dollars a month. What is a 3-month reserve?

A. 1,500 dollars
B. 500 dollars
C. 4,500 dollars
D. 3,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q2
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q2/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

How can a reserve be built gradually?

A. Wait until a big emergency happens, then start saving
B. Move a percentage of each sale into savings
C. Spend everything and hope
D. Borrow the full amount at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q3
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q3/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

When should the reserve be used?

A. Never, not even in a real emergency
B. Only to pay the owner a yearly bonus
C. For slow months and surprises, then refilled
D. For any purchase the owner happens to want

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q4
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
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What can happen without a reserve?

A. Nothing ever goes wrong for the business
B. Taxes disappear
C. Profits always double
D. A surprise may force expensive borrowing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-M-Q5
Entrepreneurship, Set 55: A simple cash reserve · MAIN · Q5/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

10 percent of 3,000 dollars is what?

A. 300 dollars
B. 30 dollars
C. 2,700 dollars
D. 3,300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q1
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

Saving 250 dollars a month, how long to reach 1,000 dollars?

A. 3 months
B. 250 months
C. 40 months
D. 4 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q2
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

Saving 300 dollars a month, how long to reach 1,000 dollars, rounded up?

A. 4 months
B. 5 months
C. 3 months
D. 3.3 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q3
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

5 percent of 4,000 dollars is what?

A. 800 dollars
B. 20 dollars
C. 200 dollars
D. 4,005 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q4
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
To see how long a savings goal takes, find how much you save each period, then divide the goal by that amount. Example: save 10 percent of 2,000 dollars of monthly sales = 200 dollars a month. A 1,200-dollar goal takes 1,200 / 200 = 6 months. If the answer is not whole, round up to the next full month.

Why round up the number of months?

A. A partial month does not reach the goal
B. Months cannot be counted
C. Rounding down is always better for savings goals
D. It does not matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-B1-Q5
Entrepreneurship, Set 55: A simple cash reserve · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

A shop's essential costs are 2,000 dollars a month. It wants a 2-month reserve and saves 8 percent of 5,000 dollars of monthly sales. How many months to reach the goal?

A. 8 months
B. 25 months
C. 5 months
D. 10 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q1
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

Which account fits a reserve best?

A. A friend's account
B. A separate business savings account
C. The owner's personal checking account
D. A shoebox under the counter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q2
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASH.03 (local)

Learn
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The reserve target is 3,000 dollars. An oven repair uses 1,200 dollars of it. How much must be added to bring the reserve back to its target?

A. 3,000 dollars
B. 4,200 dollars
C. 1,200 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q3
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASH.03 (local)

Learn
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A seasonal ice cream stand earns most money in summer. What does that suggest for its reserve?

A. Save more in summer to cover winter
B. Borrow every winter as a plan
C. Spend all summer income right away
D. Ignore winter costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q4
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
A CASH RESERVE (emergency fund) is money the business keeps aside for slow months, repairs or late payments. A common planning approach is to save enough to cover a set number of months of essential expenses, such as 2 to 3 months; this is a planning assumption, not a rule. Build it gradually, for example by moving a percentage of each sale into a separate savings account. Use it for planned shortfalls such as slow months and for unexpected needs, then refill it. Without a reserve, one surprise can force expensive borrowing.

An owner uses the reserve to buy a new logo design. What is the problem?

A. Reserves must never be used
B. Logos are illegal
C. There is no problem
D. It is not an emergency

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F1-Q5
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASH.03 (local)

Learn
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An owner can either pay down a high-interest credit card or build a reserve. What is a balanced approach?

A. Take on more debt
B. Ignore both
C. Spend on extras first and decide about debt later
D. Build a small starter reserve, then focus on the debt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q1
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASH.03 (local)

Learn
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Sales drop 30 percent for 2 months. Essential costs stay 2,000 dollars and income falls to 1,400 dollars. How much reserve is used over both months?

A. 600 dollars
B. 1,200 dollars
C. 2,800 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q2
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASH.03 (local)

Learn
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A business has a 6-month reserve but keeps adding to it while equipment is failing. What should it consider?

A. Never touching the reserve, even for needed equipment
B. Closing the business
C. Whether part of the reserve should fund needed equipment
D. Selling the equipment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q3
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASH.03 (local)

Learn
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A reserve sits in an account the owner also uses for daily spending. What is the risk?

A. It gets spent without noticing
B. It becomes taxable twice each year
C. Nothing at all
D. It grows faster

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q4
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASH.03 (local)

Learn
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Which statement is accurate?

A. A reserve replaces insurance.

B. Every business needs exactly 3 months of expenses saved, no matter its risks or seasons.

C. Reserves are only for big companies.

D. The right reserve size depends on the business; months of expenses is a planning guide.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S55-F2-Q5
Entrepreneurship, Set 55: A simple cash reserve · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASH.03 (local)

Set 56: Founder case: HP's first product and first big customer

Outcome ENT.CASE.05: Apply a documented early decision (a customer asking for changes and placing an order) to a new business

Module: Foundation 7: Costs, pricing and cash

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

According to the passage, how much working capital did they start with?

A. 538 dollars
B. No money at all
C. 5,380 dollars
D. 53,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
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What was their first product?

A. A printer for offices
B. An audio oscillator for testing sound equipment
C. A home computer for families and schools
D. A film camera for studios

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
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What did Walt Disney Studios do?

A. Designed the product for HP
B. Refused to buy any product
C. Bought the whole company outright in its first year
D. Asked for changes and ordered eight of the modified model

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q3/5 · Outcome ENT.CASE.05 (local)

Learn
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Which lesson does this course draw?

A. Only sell to the general public
B. Never change a product, even for a serious customer
C. Solve a specific need and adapt to a serious customer
D. Always start with a large investment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Which statement about the HP case is accurate?

A. It shows a big customer is never risky.
B. It proves every business started in a garage will succeed.
C. It shows capital never matters.
D. It shows one start, not a promise for every garage business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-M-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · MAIN · Q5/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"They started with 538 dollars" is which part?

A. A rumor with no source
B. The lesson drawn
C. Documented history
D. A guarantee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"Adapt to a serious customer's request" is which part?

A. A legal rule for all businesses
B. Documented history from HP
C. A tax fact
D. The lesson drawn by the course

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

Does later fame prove each early step caused success?

A. Only for HP
B. Only in California
C. Yes, always
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

Why keep facts and lessons separate?

A. So you know what is recorded and what is opinion
B. Because facts never matter
C. Because lessons drawn from cases are always wrong
D. To confuse readers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.05 (local)

Learn
A case passage has two parts. The documented history is what records show: an amount of money, a first product, a customer order. The lesson drawn is this course's interpretation: an idea you might apply. Keep them separate. A later reputation does not prove each early step caused the success; it only shows what happened in that one case.

"Disney ordered eight units" is which part?

A. The lesson drawn
B. Documented history
C. A guess with no record
D. A promise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-B1-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.05 (local)

Learn
Documented history (HP's own history pages): Bill Hewlett and Dave Packard began part-time work in a garage in Palo Alto, California, with 538 dollars in working capital. Their first product was the HP 200A audio oscillator, an instrument used to test sound equipment. Walt Disney Studios asked for changes and ordered eight of the modified model, the 200B, for the film Fantasia. Lesson drawn by this course (an interpretation): start with little capital, solve a specific problem for professional users, and adapt to a serious customer's request. One success story does not guarantee the same result for another business.

Lena makes a sound-testing app for audio studios. A large studio asks for two specific features and offers to buy 10 licenses. Applying the lesson, what fits?

A. Promise any feature without checking cost
B. Refuse the order, because a product must never change after launch
C. Ignore the studio and target everyone
D. Check the cost of the changes and consider adapting for the order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.05 (local)

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Raj has 600 dollars to start. Which first step best follows the lesson?

A. Rent a large factory first
B. Wait until he has saved 100,000 dollars before starting
C. Build a simple tool for one specific professional need
D. Design ten products for everyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.05 (local)

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A customer asks for changes that would cost 2,000 dollars, and offers an order worth 1,500 dollars of contribution. What does the math suggest?

A. The order alone does not cover the change
B. It is clearly profitable
C. Costs do not matter
D. Accept the order and ignore the cost of changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.05 (local)

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A customer's requested changes would cost 2,000 dollars, and that customer's order brings 1,500 dollars of contribution. What could make the change worthwhile?

A. Never telling anyone
B. A nicer logo
C. Other customers also wanting the improved version
D. Lowering the price of the studio's order further

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.05 (local)

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Which detail is documented in the HP case and which is the course's lesson?

A. The lesson is documented by HP; the eight-unit order is only a guess
B. Both are guesses with no source
C. Both are documented quotes from the founders
D. Eight units ordered is documented; "adapt for a key customer" is the lesson

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F1-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.05 (local)

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A small maker gets 80 percent of its sales from one customer. What is the main risk?

A. Taxes will double
B. Losing that customer would cut most sales
C. No risk at all, since one customer is simpler to serve
D. Costs disappear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q1
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.05 (local)

Learn
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A big customer asks for a custom version at a discount. What should the owner check?

A. Whether the price still covers costs and time
B. Nothing; big orders are always good
C. Only whether the customer is famous in the industry
D. Only the logo placement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q2
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.05 (local)

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After adapting for one studio, the owner hopes others will buy. What should she do next?

A. Assume all studios will buy
B. Raise prices tenfold
C. Test whether other customers want the new version
D. Stop selling the old version immediately to every customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q3
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.05 (local)

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Someone says, "HP started in a garage, so I need a garage to succeed." What is wrong?

A. HP never used a garage
B. Nothing; garages guarantee success
C. The location is a detail, not the cause
D. Garages are illegal for businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q4
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.05 (local)

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Which statement is accurate?

A. The case shows one path; other businesses face different conditions.
B. Every business should copy HP exactly.
C. Big customers never cause problems.
D. Starting with small capital guarantees that a business will succeed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S56-F2-Q5
Entrepreneurship, Set 56: Founder case: HP's first product and first big customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.05 (local)

Set 57: Why bookkeeping and receipts matter

Outcome ENT.BOOK.01: Explain what bookkeeping is for and keep usable receipts

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
BOOKKEEPING is recording every money event in the business: sales, expenses, owner transfers and loans. Each record should show the date, amount, who it was with, and what it was for. A RECEIPT or invoice is the proof. Good records let you see whether you are making money, prepare taxes, answer questions from a tax agency, apply for loans, and catch mistakes or theft. Record transactions soon after they happen; trying to rebuild a year of records from memory is slow and unreliable.

What is bookkeeping?

A. Choosing which products to put on sale each week
B. Designing the shelves where the business keeps its books
C. Writing a business plan for investors once a year
D. Recording every money event in the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q1/5 · Outcome ENT.BOOK.01 (local)

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Which detail belongs on every record?

A. The date, amount, other party and purpose
B. The weather and the owner's mood on that day
C. Only the amount, rounded to the nearest hundred
D. Only the customer's favorite product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q2/5 · Outcome ENT.BOOK.01 (local)

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What does a receipt do?

A. Shows how many followers the business has online
B. Proves a transaction happened
C. Replaces the need to record the transaction at all
D. Guarantees the expense will be tax deductible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q3/5 · Outcome ENT.BOOK.01 (local)

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Which is a reason to keep good records?

A. To make the office look more organized to visitors
B. Because records automatically lower all prices
C. To see whether the business makes money
D. Because records replace the need for a bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q4/5 · Outcome ENT.BOOK.01 (local)

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When is the best time to record a transaction?

A. Soon after it happens
B. Never, if the amount is under 100 dollars
C. Once a year, from memory, just before taxes are due
D. Only when a tax agency asks a question about it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-M-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · MAIN · Q5/5 · Outcome ENT.BOOK.01 (local)

Learn
Bookkeeping is like keeping a diary, but only about money. Each entry says when, how much, with whom, and why: "May 3, paid 42 dollars to Paper Plus for boxes." A receipt is like a photo that proves the diary entry is true. If you skip the diary for months, you will not remember what each payment was for, and nobody can check your story.

Bookkeeping is like a diary about what?

A. Weather
B. Money
C. Favorite songs
D. Sports scores

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.01 (local)

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A receipt is like what in the diary picture?

A. A torn page
B. A blank page in the diary
C. A pen
D. A photo that proves the entry

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.01 (local)

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Which is a complete entry?

A. "Boxes"
B. "May 3, paid 42 dollars to Paper Plus for boxes"
C. "Spent some money at a store this week on things"
D. "42"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q3
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.01 (local)

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What happens if the diary is skipped for months?

A. Nothing changes at all
B. Taxes disappear
C. You forget what payments were for
D. Your money doubles by itself

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q4
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.01 (local)

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Why can someone else check a diary with photos?

A. Photos hide mistakes
B. Photos are pretty
C. The photos are proof
D. Photos replace numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-B1-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.01 (local)

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Sam writes "supplies 85" on a sticky note with no date or store. What should he add?

A. The date, store and what was bought
B. Nothing, because the amount is enough by itself
C. A smiley face to show it was a good purchase
D. The total of all his personal spending this month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q1
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A seller keeps receipts in a shoebox but records nothing for a year. What is the main problem?

A. Receipts expire after one month and become invalid
B. Shoeboxes are illegal for storing receipts
C. Rebuilding the records will be slow and error-prone
D. There is no problem as long as the receipts exist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.01 (local)

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Monthly records show sales of 3,400 dollars and expenses of 3,650 dollars. What do they reveal?

A. A profit of 7,050 dollars for the month
B. A loss of 250 dollars
C. Nothing useful about the business at all
D. A profit of 250 dollars for the month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q3
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Which habit makes receipts easier to keep?

A. Photographing each receipt the day you get it
B. Throwing receipts away once the item is used up
C. Asking stores never to give receipts at all
D. Keeping receipts only for purchases over 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q4
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A lender asks for a year of income records. Which owner is ready?

A. One with only a bank card and no statements
B. One who remembers roughly what she earned last year
C. One who kept records only for the first month
D. One with monthly records and receipts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F1-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.01 (local)

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A receipt for a 60-dollar business purchase is lost. What is a sensible step?

A. Use the bank or card statement and note what it was for
B. Delete the purchase from the records entirely
C. Make up a new receipt that looks like the old one
D. Record it as twice the amount to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q1
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.01 (local)

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An owner finds cash sales missing from records because they were never written down. What fix helps most?

A. Only record card sales from now on
B. Guess the total of cash sales at the end of each year
C. Stop accepting cash from any customers
D. Record every cash sale at the time with a simple log

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q2
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.01 (local)

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Records show 12 payments to an unknown vendor. What might that reveal?

A. Nothing; unknown vendors are always fine to ignore
B. That the bank account should be closed today
C. An error or possible fraud to investigate
D. A guaranteed tax refund for the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q3
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A tax agency asks about a deduction from two years ago. What helps the owner answer?

A. A memory of roughly how much she spent
B. Kept receipts and records for that year
C. A new receipt printed today for that year
D. A screenshot of a competitor's website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q4
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Which statement is accurate?

A. Receipts are only useful on the day of purchase.
B. Records are only needed by large companies with staff.
C. Bookkeeping means only counting cash once a year.
D. Good records are proof; memory alone is not.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S57-F2-Q5
Entrepreneurship, Set 57: Why bookkeeping and receipts matter · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.01 (local)

Set 58: Categorizing and a simple ledger

Outcome ENT.BOOK.02: Record transactions in a simple ledger with sensible categories

Module: Foundation 8: Bookkeeping and taxes

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Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

What is a ledger?

A. A bank's yearly report on interest rates
B. A list of every transaction with columns
C. A promotional flyer that lists product prices
D. A legal agreement among the owners of an LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
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Which category fits "paid 35 dollars for postage on orders"?

A. Rent for the workspace
B. Owner draws taken for personal use
C. Shipping
D. Sales from customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

Start 500, a sale of 200, supplies of 80. What is the balance?

A. 620
B. 780
C. 380
D. 220

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q3/5 · Outcome ENT.BOOK.02 (local)

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Why use consistent categories?

A. To make the ledger look longer and more impressive
B. Because each transaction needs a brand-new category
C. To avoid writing the amount of each transaction
D. To total each type and spot trends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q4/5 · Outcome ENT.BOOK.02 (local)

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Which tool can hold a simple ledger?

A. A spreadsheet
B. A product photo
C. A paper coffee cup
D. A billboard

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-M-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · MAIN · Q5/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Start 200, then +50. What is the balance?

A. 150
B. 250
C. 200
D. 50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.BOOK.02 (local)

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Start 250, then -70. What is the balance?

A. 170
B. 70
C. 180
D. 320

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.BOOK.02 (local)

Learn
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Start 100; +40; -25; +10. What is the balance?

A. 175
B. 125
C. 115
D. 75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.BOOK.02 (local)

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Opening 400, total in 300, total out 250. What is the closing balance?

A. 950
B. 350
C. 50
D. 450

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
A running balance adds money in and subtracts money out, one line at a time. Start with the opening amount. For each line: if money comes in, add; if money goes out, subtract. Example: start 300; +150 = 450; -60 = 390; -40 = 350. Check: opening + total in - total out = 300 + 150 - 100 = 350. Both ways should agree.

Money spent on supplies is added or subtracted?

A. Added
B. Ignored completely
C. Subtracted
D. Doubled

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-B1-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.BOOK.02 (local)

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A week: sales 120, 90, 150; supplies 45; shipping 30. What is the total of sales?

A. 360
B. 435
C. 270
D. 285

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.02 (local)

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A week: sales 120, 90 and 150; supplies 45; shipping 30. What is sales minus supplies and shipping?

A. 435
B. 75
C. 285
D. 360

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.02 (local)

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Which entry is categorized well?

A. "Stuff | 25" with no date or category given
B. "Something online, maybe 25, maybe 30"
C. "Jun 4 | Ad | Sales | in 25" for money paid out
D. "Jun 4 | Ad on local site | Advertising | out 25"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.02 (local)

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Shipping was 80 dollars in March and 140 dollars in April with the same sales. What does the category total reveal?

A. Shipping costs rose and should be checked
B. Sales doubled in April
C. Nothing; categories never reveal trends
D. Rent was paid twice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.02 (local)

Learn
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A payment to the owner's personal account is categorized as "supplies." What is wrong?

A. It should be deleted from the ledger
B. It should be categorized as an owner draw
C. It should be categorized as sales revenue
D. Nothing, because all money out is supplies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F1-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.02 (local)

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One store receipt has 60 dollars of business supplies and 20 dollars of personal snacks paid on the business card. How should it be recorded?

A. Supplies 80, since it was one receipt
B. Sales 80, since the card was used
C. Ignore it, since it was a mixed purchase
D. Supplies 60 and an owner draw of 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q1
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.02 (local)

Learn
A LEDGER is a list of every transaction with columns such as date, description, category, money in and money out. CATEGORIES group similar items: sales, supplies, shipping, rent, advertising, software, owner draws. Consistent categories let you total each type and spot trends, such as shipping costs rising. A spreadsheet or simple bookkeeping software works. Example running balance: start 500, sale +200 = 700, supplies -80 = 620.

An owner changes category names every month. What problem results?

A. Totals cannot be compared from month to month
B. The ledger becomes more accurate each month
C. Nothing; names never matter
D. Taxes are automatically reduced

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q2
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.02 (local)

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The ledger balance is 1,240 but the bank shows 1,190, and a 50-dollar fee is missing from the ledger. What should happen?

A. Change the bank balance to match the ledger
B. Delete a sale worth 50 dollars
C. Add the 50-dollar fee to the ledger
D. Ignore the 50-dollar difference forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q3
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.02 (local)

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A refund to a customer of 30 dollars is recorded as a new sale of 30 dollars. What is the effect?

A. Sales are overstated by 30 dollars only
B. Sales are overstated by 60 dollars
C. Sales are understated by 30 dollars
D. There is no effect on sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q4
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.02 (local)

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Which statement is accurate?

A. Any random category is fine as long as amounts are right.
B. Ledgers are needed only for businesses with employees.
C. Clear, consistent categories make records useful.
D. A ledger replaces the need for receipts.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S58-F2-Q5
Entrepreneurship, Set 58: Categorizing and a simple ledger · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.02 (local)

Set 59: Invoices, bills, money owed to you and by you

Outcome ENT.BOOK.03: Tell invoices from bills and accounts receivable from accounts payable

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

Money customers owe you is called what?

A. Accounts receivable
B. Retained cash in savings
C. Owner contributions to the business
D. Accounts payable owed to suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q1/5 · Outcome ENT.BOOK.03 (local)

Learn
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A supplier's bill you have not paid yet is what?

A. Accounts receivable from customers
B. An owner draw for personal use
C. Revenue earned from sales
D. Accounts payable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q2/5 · Outcome ENT.BOOK.03 (local)

Learn
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Which item should appear on an invoice?

A. A list of the owner's other customers
B. An invoice number and due date
C. The supplier's cost for the materials
D. The owner's personal bank password

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q3/5 · Outcome ENT.BOOK.03 (local)

Learn
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Receivables total 2,400 dollars and payables total 1,100 dollars. What is the difference?

A. 1,300 dollars
B. 1,100 dollars
C. 3,500 dollars
D. 2,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q4/5 · Outcome ENT.BOOK.03 (local)

Learn
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Why pay supplier bills on time?

A. It removes the need for any records
B. It guarantees customers will pay you sooner
C. It doubles your sales the next month
D. It protects your reputation with suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-M-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · MAIN · Q5/5 · Outcome ENT.BOOK.03 (local)

Learn
An IOU is a note that says "I owe you." In a business, IOUs go two ways. When you finish a job and send an invoice, the customer holds an IOU to you: that is a receivable. When a supplier sends you a bill, you hold an IOU to them: that is a payable. Keeping two lists, "owed to me" and "I owe," stops both kinds from being forgotten.

A customer who has not paid your invoice holds an IOU to whom?

A. To the supplier
B. To the bank
C. To you
D. To nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.03 (local)

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A supplier bill means you owe whom?

A. Yourself
B. The supplier
C. The state
D. The customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.03 (local)

Learn
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"Owed to me" is which list?

A. Draws
B. Expenses for the month
C. Receivables
D. Payables

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.03 (local)

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"I owe" is which list?

A. Sales
B. Assets
C. Receivables
D. Payables

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.03 (local)

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Why keep two lists?

A. To avoid paying
B. Because keeping only one list is illegal
C. To confuse the owner
D. So neither kind of IOU is forgotten

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-B1-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.03 (local)

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Invoice 104 for 600 dollars was paid; invoice 105 for 450 dollars is unpaid; invoice 106 for 300 dollars is unpaid. What are receivables?

A. 300 dollars
B. 750 dollars
C. 600 dollars
D. 1,350 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.03 (local)

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A supplier bill of 400 dollars is due in 5 days. Cash is 300 dollars and a 500-dollar receivable is due in 10 days. What is the best action?

A. Cancel the customer invoice
B. Ignore the bill and say nothing
C. Ask the supplier about timing before the due date
D. Pay 300 dollars and claim it was full payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.03 (local)

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Which invoice is missing something important?

A. One with no due date or payment method
B. One showing the customer and business names and an amount and due date
C. One with a number, date, items, amount, due date and method
D. One listing the work, total and how to pay by a due date

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.03 (local)

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A business owes three bills: 120, 85 and 240 dollars. What are payables?

A. 325 dollars
B. 205 dollars
C. 360 dollars
D. 445 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.03 (local)

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Why number invoices in order?

A. Because customers prefer large numbers on bills
B. To track each one and spot missing invoices
C. To change the amount owed later
D. To make each invoice look official only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F1-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.03 (local)

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A customer says an invoice was never received. What should the owner do?

A. Send the same invoice to all customers
B. Resend it and confirm the correct address
C. Double the amount as a penalty right away
D. Write it off without asking anything

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q1
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.03 (local)

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An owner paid the same supplier bill twice. What should she do?

A. Ask the supplier for a refund or credit
B. Record it as a sale
C. Stop buying from that supplier forever
D. Ignore it because the supplier will notice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q2
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.03 (local)

Learn
An INVOICE is a bill YOU send to a customer; until it is paid, it is money owed TO you, called ACCOUNTS RECEIVABLE. A BILL from a supplier is money YOU owe, called ACCOUNTS PAYABLE. A good invoice shows your business name, the customer, an invoice number, the date, what was provided, the amount, the due date and how to pay. Track both lists: who owes you, and whom you owe, with due dates. Paying bills on time protects your reputation with suppliers.

A customer disputes part of an invoice: 200 of 1,000 dollars. What is undisputed?

A. 1,200 dollars
B. 200 dollars
C. 800 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q3
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.03 (local)

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Receivables are large but cash is low. What does this suggest?

A. Payables should be ignored
B. The business has no customers at all
C. Prices should be cut immediately
D. Collecting from customers is the priority

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q4
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.03 (local)

Learn
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Which statement is accurate?

A. Receivables are money not yet in hand.
B. Receivables can be spent today like cash.
C. Payables are money customers owe.
D. Invoices are optional for all businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S59-F2-Q5
Entrepreneurship, Set 59: Invoices, bills, money owed to you and by you · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.03 (local)

Set 60: Owner contributions and draws in the books

Outcome ENT.BOOK.04: Keep owner money moves out of sales and expenses in the records

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
In the books, owner money is kept separate from income and expenses. An OWNER CONTRIBUTION increases the owner's stake (called owner's equity) but is NOT sales revenue. An OWNER DRAW decreases owner's equity but is NOT a business expense for a sole proprietor or most LLCs. A LOAN from the owner is recorded as money the business owes back. Mislabeling these makes profit look wrong: a contribution recorded as a sale inflates profit; a draw recorded as an expense hides it.

An owner puts 1,000 dollars into the business. Is it sales revenue?

A. Yes, but only if it is spent the same day
B. No, it is a business expense instead
C. Yes, it counts as sales for that month
D. No, it is an owner contribution

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q1/5 · Outcome ENT.BOOK.04 (local)

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What does an owner draw do to owner's equity?

A. Leaves it exactly unchanged
B. Decreases it
C. Turns it into revenue
D. Increases it each time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q2/5 · Outcome ENT.BOOK.04 (local)

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If a 1,000-dollar contribution is recorded as a sale, what happens to profit?

A. It looks 2,000 dollars too high
B. It looks 1,000 dollars too low
C. It looks 1,000 dollars too high
D. It looks exactly right

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q3
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q3/5 · Outcome ENT.BOOK.04 (local)

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How is a loan from the owner recorded?

A. As money the business owes back
B. As sales revenue for the month
C. As a supply expense
D. As an owner draw for personal use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q4
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q4/5 · Outcome ENT.BOOK.04 (local)

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A draw recorded as an expense does what to profit?

A. Makes it look too high
B. Makes it look too low
C. Doubles it
D. Has no effect on profit at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-M-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · MAIN · Q5/5 · Outcome ENT.BOOK.04 (local)

Learn
Picture a family bakery. When Grandma lends the bakery money, that is family money moving in, not a cake sale. When the baker takes money home, that is family money moving out, not the cost of flour. Only cake sales are revenue, and only business costs like flour are expenses. Mixing family moves with sales and costs gives a false picture of how the bakery is doing.

Grandma's loan to the bakery is what?

A. Family money moving in, not a sale
B. A flour expense for the cakes
C. A tax
D. A cake sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.04 (local)

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The baker taking money home is what?

A. A cake sale
B. Family money moving out, not an expense
C. The cost of flour for the week's cakes
D. A loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.04 (local)

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What counts as revenue?

A. Grandma's loan
B. Cake sales
C. A gift
D. Money taken home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q3
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.04 (local)

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What counts as an expense?

A. Flour for the cakes
B. Cake sales
C. Grandma's loan
D. Money taken home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q4
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.04 (local)

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Mixing family moves with sales gives what?

A. A true picture
B. More money
C. Lower taxes
D. A false picture

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-B1-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.04 (local)

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Records show sales of 5,000 dollars, including a 1,500-dollar owner contribution. Expenses are 3,000 dollars. What is the true profit?

A. 3,500 dollars
B. 1,500 dollars
C. 500 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.04 (local)

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Expenses of 4,200 dollars include 1,200 dollars of owner draws. Sales are 6,000 dollars. What is the true profit for a sole proprietor?

A. 3,000 dollars
B. 4,200 dollars
C. 1,800 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.04 (local)

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An owner lends 2,000 dollars and the business repays 500 dollars. What does the business still owe her?

A. 2,500 dollars
B. 500 dollars
C. 1,500 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q3
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Which label fits "moved 300 dollars from my savings to buy a printer for the shop"?

A. Refund to a customer
B. Owner contribution
C. Owner draw for personal use
D. Sales revenue from customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q4
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Why does correct labeling matter for a loan application?

A. Labels change the bank's interest rate directly
B. Lenders ignore records
C. Labels are only for taxes
D. Lenders look at true profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F1-Q5
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An owner moved 800 dollars into the business without saying whether it was a loan or a contribution. What should she do?

A. Record it as sales to be safe
B. Leave it unlabeled forever
C. Record it as an expense
D. Decide and document which it is

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q1
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.04 (local)

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Two partners contribute 1,000 and 3,000 dollars. They agreed contributions affect ownership. What share did the first partner contribute?

A. 33 percent
B. 25 percent
C. 50 percent
D. 75 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q2
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.04 (local)

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A corporation pays its owner-employee a salary through payroll. How does this differ from a sole proprietor's draw?

A. It is exactly the same as a draw
B. It is recorded as sales
C. Salary through payroll is usually a business expense
D. Salaries are never allowed for owners of any business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q3
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For the year, an owner's draws exceed the business's profit, with no new owner contributions or other equity changes. What happens to owner's equity?

A. It goes down
B. It becomes revenue
C. It goes up
D. It stays the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q4
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.04 (local)

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Which statement is accurate?

A. Owner money moves are recorded, but not as sales or (for draws) expenses.

B. Draws are always deductible expenses.

C. Owner money never needs to be recorded at all, since it is the owner's own money.

D. All owner money is revenue.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S60-F2-Q5
Entrepreneurship, Set 60: Owner contributions and draws in the books · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.04 (local)

Set 61: Cash and accrual basics

Outcome ENT.BOOK.05: Tell cash-basis from accrual-basis recording in a simple example

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

Under cash basis, when is income recorded?

A. When money is received
B. When the invoice is designed in software
C. When the customer first asks for a quote
D. When the work is advertised online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q1
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q1/5 · Outcome ENT.BOOK.05 (local)

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Under accrual basis, when is income recorded?

A. Only when the owner takes a draw
B. Only when cash arrives in the bank
C. Only at the end of each tax year
D. When it is earned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q2
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Work done in December, paid in January. Under accrual, which month gets the income?

A. January
B. December
C. Neither month
D. Both months equally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q3
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q3/5 · Outcome ENT.BOOK.05 (local)

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Same job under cash basis: which month?

A. Both months
B. December
C. Neither month
D. January

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q4
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q4/5 · Outcome ENT.BOOK.05 (local)

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Who should be asked about which method a business may use for taxes?

A. A social media follower
B. The supplier of packaging
C. A tax professional
D. A customer who likes the products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-M-Q5
Entrepreneurship, Set 61: Cash and accrual basics · MAIN · Q5/5 · Outcome ENT.BOOK.05 (local)

Learn
Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Counting when you finish the work is like which basis?

A. Accrual
B. Neither
C. Cash
D. Both

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q1
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.BOOK.05 (local)

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Counting when the grade comes back is like which basis?

A. Both
B. Cash
C. Neither
D. Accrual

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q2
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.BOOK.05 (local)

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Imagine counting a homework assignment as "done" either when you finish it or when the teacher hands back the grade. Accrual is like counting it when you finish the work. Cash basis is like counting it when the grade (the money) comes back. The same assignment just lands on a different day depending on which rule you use.

Does the amount of work change between methods?

A. No, only the timing
B. Yes, it halves
C. Yes, it doubles
D. Yes, it disappears

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q3
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.BOOK.05 (local)

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In the picture, the "grade coming back" stands for what?

A. Work finished
B. A late fee
C. Money received
D. A new assignment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q4
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.BOOK.05 (local)

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Why might the same job land in different months?

A. The job changed
B. One is illegal
C. Customers decide the month to use
D. The two methods use different moments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-B1-Q5
Entrepreneurship, Set 61: Cash and accrual basics · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.BOOK.05 (local)

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A plumber finishes a 900-dollar job on March 28 and is paid April 5. Under cash basis, how much March income does this job add?

A. 900 dollars
B. 5 dollars
C. 450 dollars
D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q1
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.05 (local)

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A shop receives a 300-dollar supply bill in June and pays it in July. Under accrual, when is the expense?

A. Never
B. August
C. June
D. July

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q2
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There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under cash basis, May income is?

A. 1,500 dollars
B. 2,500 dollars
C. 6,500 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q3
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.05 (local)

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

In May, a consultant earned and invoiced 4,000 dollars for May work and was paid 2,500 dollars of it in May. Under accrual, May income is?

A. 4,000 dollars
B. 2,500 dollars
C. 0 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q4
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.05 (local)

Learn
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Which method shows more clearly how much work was done each month?

A. Both always match
B. Cash
C. Neither method
D. Accrual

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F1-Q5
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.05 (local)

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An owner records some income when invoiced and some when paid. What is the problem?

A. It makes records more accurate
B. Taxes are automatically lower
C. Nothing; mixing methods is recommended
D. Income may be counted twice or missed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q1
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.05 (local)

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

Under cash basis, an owner prepays 12 months of insurance (1,200 dollars) in January. What does January show?

A. 100 dollars of expense
B. 2,400 dollars of expense
C. 1,200 dollars of expense
D. 0 dollars of expense

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q2
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.05 (local)

Learn
There are two common ways to record when income and expenses count. CASH BASIS records income when money is received and expenses when money is paid. ACCRUAL BASIS records income when it is earned (for example, when the work is done and invoiced) and expenses when they are incurred, even if payment happens later. Example: a job finished in December but paid in January counts as December income under accrual and January income under cash. Many small businesses start on cash basis; tax rules on which method may be used vary, so ask a tax professional.

Under accrual, the same 1,200-dollar insurance covers 12 months. About how much is recorded as each month's expense?

A. 100 dollars
B. 1,200 dollars
C. 0 dollars
D. 12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q3
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.05 (local)

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A business wants to change its tax accounting method. What should it do first?

A. Change it silently in the middle of the year
B. Ask a tax professional about the rules
C. Ask a customer
D. Use both methods at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q4
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.05 (local)

Learn
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Which statement is accurate?

A. Accrual ignores unpaid invoices.
B. Accrual always shows more profit.
C. Cash basis is illegal for every kind of business to use.
D. Cash and accrual differ in timing, not in total amounts over time.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S61-F2-Q5
Entrepreneurship, Set 61: Cash and accrual basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.05 (local)

Set 62: Profit and loss, balance sheet, cash flow

Outcome ENT.BOOK.06: Tell what a profit-and-loss statement, balance sheet and cash-flow summary each show

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which report shows profit over a month?

A. The balance sheet on one date
B. The cash flow statement only
C. The profit and loss statement
D. The supplier's price list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
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Which report shows what the business owns and owes on one date?

A. A marketing plan for the year
B. The cash flow statement
C. The profit and loss statement
D. The balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Assets are 10,000 dollars and liabilities are 4,000 dollars. What is equity?

A. 14,000 dollars
B. 6,000 dollars
C. 10,000 dollars
D. 4,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which is a liability?

A. An unpaid bank loan
B. Inventory on shelves
C. A delivery van owned
D. Cash in the business account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

Which report best shows where cash came from and went?

A. A customer review page
B. The cash flow statement
C. The profit and loss statement
D. The balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-M-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · MAIN · Q5/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Liabilities 2,000, equity 7,000. What are assets?

A. 7,000
B. 2,000
C. 5,000
D. 9,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 12,000, liabilities 5,000. What is equity?

A. 5,000
B. 17,000
C. 7,000
D. 12,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 6,000, equity 6,000. What are liabilities?

A. 12,000
B. 0
C. 6,000
D. 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Which equation is correct?

A. Liabilities = assets + equity
B. Equity = assets + liabilities
C. Assets = liabilities + equity
D. Assets = liabilities - equity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
The balance sheet equation is assets = liabilities + equity. If you know two of the numbers, you can find the third. To find equity: equity = assets - liabilities. To find assets: add liabilities and equity. Example: liabilities 3,000 and equity 5,000 means assets are 8,000. Check by adding back: if equity = assets - liabilities, then liabilities + equity must equal the assets you started with.

Assets 4,500, liabilities 1,500. What is equity?

A. 4,500
B. 6,000
C. 1,500
D. 3,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-B1-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

An owner wants to know if March was profitable. Which report?

A. The March profit and loss statement
B. The balance sheet from last year
C. A list of customer names
D. The supplier's catalog

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A lender wants to know how much the business owes in total today. Which report?

A. A tax receipt
B. The balance sheet
C. The profit and loss statement
D. A sales flyer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A P&L shows revenue 8,000 and expenses 6,500. What profit does it report?

A. 6,500 dollars
B. 14,500 dollars
C. 8,000 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
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Profit was 1,500 but cash fell by 700 because the owner bought equipment for 2,200. Which report shows this cash use clearly?

A. The logo guide
B. The profit and loss statement alone
C. The cash flow statement
D. A customer survey

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A balance sheet shows cash 2,000, equipment 3,000, a loan of 1,500 and unpaid bills of 500. What is equity?

A. 3,000 dollars
B. 2,000 dollars
C. 5,000 dollars
D. 7,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F1-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

The P&L shows a profit, but the bank balance fell. What could explain it?

A. The P&L must be fake
B. The bank made a mistake on every single statement
C. Profit and cash must always match
D. Cash was used for equipment, loan payments or draws

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q1
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

A balance sheet does not balance: assets 9,000, liabilities 3,000, equity 5,000. What is the gap?

A. 0 dollars
B. 8,000 dollars
C. 1,000 dollars
D. 9,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q2
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

What should the owner do about that gap?

A. Add 1,000 dollars of fake equity
B. Look for a missing or mislabeled record
C. Ignore it because reports never balance
D. Delete the balance sheet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q3
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.BOOK.06 (local)

Learn
Three common reports summarize the books. A PROFIT AND LOSS statement (P&L, or income statement) shows revenue, expenses and profit over a period, such as a month. A BALANCE SHEET shows, on one date, what the business owns (assets, like cash and equipment), what it owes (liabilities, like loans and unpaid bills), and the owner's equity: assets = liabilities + equity. A CASH FLOW statement shows where cash came from and went during a period. Each answers a different question.

An owner reads only the P&L and misses that a large loan is due next month. Which report would have shown the loan?

A. The balance sheet
B. The P&L alone
C. A customer list
D. A marketing report

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q4
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.BOOK.06 (local)

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Which statement is accurate?

A. Reports are only for big companies.
B. Cash flow and profit are the same report.
C. Each report answers a different question, so review all three.
D. One report tells everything an owner needs to know about a business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S62-F2-Q5
Entrepreneurship, Set 62: Profit and loss, balance sheet, cash flow · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.BOOK.06 (local)

Set 63: Deductions versus credits

Outcome ENT.TAX.01: Tell a tax deduction from a tax credit, and explain that a deduction does not make a purchase free

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

What does a deduction lower?

A. The income that tax is calculated on
B. The tax itself, dollar for dollar, after it is calculated
C. The price customers pay for each product
D. The interest rate on a business loan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q1
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

What does a credit lower?

A. Only the number of receipts the owner must keep
B. The tax itself, dollar for dollar
C. Only the sales tax collected from customers
D. Only the income that tax is calculated on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q2
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

With a made-up 20 percent rate, how much tax does a 500-dollar deduction save?

A. 500 dollars
B. 20 dollars
C. 100 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q3
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

With a made-up 20 percent rate, assume a 500-dollar credit is fully eligible and usable. How much tax does it save?

A. 500 dollars
B. 100 dollars
C. 20 dollars
D. 2,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q4
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Which expenses are commonly deductible for a business?

A. Only expenses over 10,000 dollars each
B. Ordinary and necessary business expenses
C. Any personal purchase the owner makes during the year
D. Only expenses paid in cash with no receipt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-M-Q5
Entrepreneurship, Set 63: Deductions versus credits · MAIN · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

A deduction is like which coupon?

A. One that expired
B. One that adds a fee
C. One that lowers the amount tax is figured on
D. One that comes straight off the final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q1
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

A credit is like which coupon?

A. One straight off the final bill
B. One for a free gift
C. One that lowers the base
D. One that raises the final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q2
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

For the same dollar amount, which usually saves more?

A. They always save the same
B. The credit
C. Neither saves anything
D. The deduction

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q3
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

What does "the amount tax is figured on" mean here?

A. The coupon's color
B. The store's name
C. Taxable income
D. The final bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q4
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Imagine two coupons. One lowers the price of the item before tax is added; the other takes money straight off the final bill. A deduction is like the first coupon: it shrinks the amount that tax is figured on. A credit is like the second: it comes straight off what you owe. For the same dollar amount, the second coupon usually saves you more.

"Straight off what you owe" describes what?

A. A credit
B. A deduction
C. A refund policy
D. A fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-B1-Q5
Entrepreneurship, Set 63: Deductions versus credits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Assume a 25 percent rate (an assumption for practice). A 2,000-dollar business expense is deductible. About how much tax does it save?

A. 25 dollars
B. 2,000 dollars
C. 1,500 dollars
D. 500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q1
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
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Assume a flat made-up 25 percent rate and that the credit is fully eligible and usable. Which saves more: a 1,000-dollar deduction or a 400-dollar credit?

A. The 400-dollar credit
B. They save exactly the same amount of tax
C. The 1,000-dollar deduction, since it is a bigger number
D. Neither one changes the tax owed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q2
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

An owner says, "Buying anything is free because it's a deduction." What is wrong?

A. Nothing; deductions refund the whole price
B. A deduction saves only part of the cost
C. Deductions are always illegal
D. Purchases cannot be deducted ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q3
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
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With a 25 percent assumed rate, a 600-dollar printer that is fully deductible really costs the owner about how much after tax savings?

A. 0 dollars
B. 150 dollars
C. 450 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q4
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
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Which is the best source to confirm which credits a business qualifies for?

A. A product advertisement promising "tax-free" purchases
B. A friend's guess based on a different year
C. A social media post with no source listed
D. A tax professional or official tax agency guidance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F1-Q5
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.01 (local)

Learn
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A seller claims a gadget "pays for itself through tax write-offs." What should a buyer understand?

A. Tax savings always exceed cost
B. The government reimburses the full price of the gadget to the buyer
C. A write-off reduces taxable income; it does not refund the price
D. Write-offs work for personal items too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q1
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

An owner deducts a family vacation as a business trip. What is the problem?

A. Deductions do not need a business purpose
B. Vacations are always deductible
C. No problem as long as she brings a laptop
D. Personal expenses are not business deductions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q2
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

The owner does not know her flat marginal rate, only that it is below 100 percent. Both items are fully eligible and the credit is fully usable. Can she still compare a deduction and a credit of the same size?

A. Yes; under these assumptions the credit saves at least as much

B. Only if the rate is zero

C. No, never without the exact rate

D. Yes; the deduction always saves more than a credit of the same size

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q3
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Credits and deductions available last year may have changed. What should the owner do?

A. Copy last year's return exactly
B. Assume tax law never changes
C. Check current rules each year
D. Skip deductions to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q4
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.01 (local)

Learn
Two tax words are often confused. A DEDUCTION lowers the income that tax is calculated on (taxable income). A CREDIT lowers the tax itself, dollar for dollar. Example with a made-up 20 percent rate: a 1,000-dollar deduction lowers taxable income by 1,000 and saves about 0.20 x 1,000 = 200 dollars of tax; a 1,000-dollar credit cuts the tax by 1,000 dollars. A credit applies only if the business is eligible, and some credits cannot reduce the tax below zero. Business expenses that are ordinary and necessary for the business are commonly deductible; which credits apply depends on current law, so check with a tax professional.

Which statement is accurate for this course?

A. The 25 percent rate is the real rate for everyone.
B. It teaches the idea, not current rates or credit amounts.
C. Deductions and credits are the same thing.
D. It lists every current tax credit and rate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S63-F2-Q5
Entrepreneurship, Set 63: Deductions versus credits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.01 (local)

Set 64: Business use versus personal use

Outcome ENT.TAX.02: Separate business and personal use of an item or account

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

A phone bill is 80 dollars and 25 percent of use is for business. What is the business portion?

A. 25 dollars
B. 60 dollars
C. 80 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q1
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
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What evidence supports business use of a car?

A. A mileage log
B. A photo of the car's paint color
C. A guess written at year end
D. The car's brand name on a website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q2
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Which item is most likely mixed-use?

A. Booth rent at a craft fair for selling
B. A family birthday cake for the owner's child
C. A cell phone used for clients and family
D. Packaging bought only for customer orders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q3
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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Generally, which part of a mixed-use cost may be a business expense?

A. None of it, ever
B. Double the business portion
C. The whole cost, always, with no split needed
D. The business-use portion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q4
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
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Where should an owner check home office rules?

A. Official guidance or a tax professional
B. A video comment from a stranger
C. A furniture store ad
D. A neighbor's opinion over the fence

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-M-Q5
Entrepreneurship, Set 64: Business use versus personal use · MAIN · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

What is 30 percent of 50?

A. 35
B. 1.5
C. 15
D. 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q1
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

Business share is 15 of a 50-dollar bill. What is the personal share?

A. 65
B. 35
C. 50
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q2
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
To find the business share of a bill, change the business-use percent to a decimal and multiply by the bill. 30 percent = 0.30; 0.30 x 90 = 27 dollars. The personal share is the rest: 90 - 27 = 63. Check: the two shares add back to the bill, 27 + 63 = 90. If business use is given as a fraction, like 3 of 10 trips, that is 30 percent.

4 of 10 trips were for business. What percent is that?

A. 40 percent
B. 14 percent
C. 4 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q3
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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What is 60 percent of 120?

A. 180
B. 60
C. 48
D. 72

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q4
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.TAX.02 (local)

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How do you check a business and personal split?

A. They must be equal
B. The two shares add back to the bill
C. They should multiply to the bill
D. The business share must be bigger

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-B1-Q5
Entrepreneurship, Set 64: Business use versus personal use · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
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A mileage log shows 3,000 business miles out of 12,000 total. What percent is business use?

A. 75 percent
B. 4 percent
C. 25 percent
D. 30 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q1
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Home internet is 70 dollars a month; a reasonable record shows 50 percent business use. What is the yearly business portion?

A. 840 dollars
B. 420 dollars
C. 35 dollars
D. 70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q2
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
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An owner claims 100 percent business use of a car she also drives to the grocery store. What is the issue?

A. No issue, because any business-use percent is allowed
B. Grocery trips are business trips
C. The claim does not match her actual mixed use
D. Cars are never business assets

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q3
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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Which record best supports a phone business-use percent?

A. A sample of call and data logs showing business use
B. A guess made at tax time
C. A photo of the phone's case and screen taken at tax time
D. The phone's purchase box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q4
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
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A laptop costing 900 dollars is used 80 percent for business. What is the business portion?

A. 900 dollars
B. 180 dollars
C. 80 dollars
D. 720 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F1-Q5
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.02 (local)

Learn
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An owner forgot to keep a mileage log for six months. What is a sensible step now?

A. Skip records from now on too
B. Claim 100 percent business use
C. Start a log now and reconstruct carefully from calendars
D. Make up a full log now using round numbers for each week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q1
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.02 (local)

Learn
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Business use of a phone rises from 30 to 60 percent mid-year. What should records show?

A. The change and when it happened
B. Only the lower percent
C. No percent at all
D. Only the higher percent for the whole year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q2
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.02 (local)

Learn
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A family member also uses the business laptop. What should the owner consider?

A. Whether the business-use percent should be lower
B. Raising the business percent
C. Hiding the family use
D. Nothing, because family use never matters for business items

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q3
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.02 (local)

Learn
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Rules for home offices are detailed. What is the safest approach?

A. Copy a friend's home office claim from last year
B. Assume any room counts
C. Read official guidance or ask a tax professional
D. Claim the whole home as an office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q4
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.02 (local)

Learn
Some items are used for both business and personal life: a car, a phone, a home internet plan, or part of a home. Generally only the BUSINESS-USE PORTION can be treated as a business expense. Keep evidence of the split: a mileage log for a car, or a reasonable record of phone use. Example: if a phone bill is 60 dollars and 40 percent of use is for business, the business portion is 0.40 x 60 = 24 dollars. Home office rules are specific; check official guidance or a tax professional.

Which statement is accurate?

A. Personal use never matters.
B. Records are optional for mixed-use items.
C. Mixed-use costs are split, and the split needs evidence.
D. Every purchase by an owner is fully deductible.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S64-F2-Q5
Entrepreneurship, Set 64: Business use versus personal use · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.02 (local)

Set 65: Sales tax versus income tax

Outcome ENT.TAX.03: Tell sales tax (collected from customers where required) from income tax (on profit)

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
SALES TAX is charged to customers on certain sales; the business collects it and sends it to the state or local government. It is not the business's money. Rules vary: some states have no general sales tax, and some items or services may be exempt. A business may need a permit or account before collecting.
INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Who pays sales tax in the end?

A. Nobody; it is optional for every sale
B. The customer, collected by the business
C. The business, out of its own profit
D. The supplier, before the item is shipped

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q1/5 · Outcome ENT.TAX.03 (local)

Learn
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What is income tax based on?

A. The size of the store sign
B. The number of employees only
C. Each customer's sales tax amount
D. Profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
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A 50-dollar taxable sale with a 6 percent sales tax (example rate). How much tax is collected?

A. 3 dollars
B. 0.30 dollars
C. 6 dollars
D. 53 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q3/5 · Outcome ENT.TAX.03 (local)

Learn
SALES TAX is charged to customers on certain sales; the business collects it and sends it to the state or local government. It is not the business's money. Rules vary: some states have no general sales tax, and some items or services may be exempt. A business may need a permit or account before collecting. INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Why keep collected sales tax separate?

A. It is extra profit the business can spend
B. It belongs to the government, not the business
C. It doubles if kept in savings
D. It must be given back to customers each week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q4/5 · Outcome ENT.TAX.03 (local)

Learn
SALES TAX is charged to customers on certain sales; the business collects it and sends it to the state or local government. It is not the business's money. Rules vary: some states have no general sales tax, and some items or services may be exempt. A business may need a permit or account before collecting. INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Do all states have the same sales tax rules?

A. No; rules vary
B. No state has sales tax
C. Yes; every state is identical
D. Yes; federal law sets one rate

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-M-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · MAIN · Q5/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

The coach's 5 dollars is like what?

A. Sales tax collected from customers
B. An owner draw
C. A refund
D. The business's own profit for the day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

Whose money is the coach's 5 dollars?

A. The friend's forever
B. Nobody's
C. Yours
D. The coach's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

Income tax is a tax on what?

A. Money held for others
B. Your shoes
C. What you earned as profit
D. Your friend's money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

What is the risk of mixing the 5 dollars with your own money?

A. Spending it by mistake
B. It disappears legally
C. It grows
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.03 (local)

Learn
Imagine a friend gives you 5 dollars to pass to the coach. That money is in your pocket, but it is not yours. Sales tax is like that: customers give it to you to pass to the government. Income tax is different: it is a tax on what you yourself earned as profit. Mixing the coach's 5 dollars with your own money can lead to spending it by mistake.

In this picture, the government is like whom?

A. You
B. The friend
C. The store
D. The coach

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-B1-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.03 (local)

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A shop sells 2,000 dollars of taxable goods in a month at a 7 percent example rate. How much sales tax should it set aside?

A. 2,140 dollars
B. 140 dollars
C. 70 dollars
D. 14 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.03 (local)

Learn
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Customers paid 1,060 dollars including 6 percent tax. How much was the sale before tax?

A. 996.40 dollars
B. 1,060 dollars
C. 63.60 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
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A new seller plans to start collecting sales tax. What should she do first?

A. Collect it right away and keep it as business profit
B. Check whether she needs a permit or account in her state
C. Pick any rate she likes
D. Wait to see if anyone complains

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.03 (local)

Learn
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A seller collected 300 dollars of sales tax and spent it on supplies. What problem does she face?

A. None; collected tax is hers to spend
B. She still owes 300 dollars to the tax agency
C. The tax is cancelled automatically
D. She owes nothing because she spent it on business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.03 (local)

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INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Which statement correctly separates the two taxes?

A. Income tax is collected from each customer
B. Sales tax is calculated from profit
C. Sales tax is collected on sales; income tax is on profit
D. Both taxes are really the same thing with two different names

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F1-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.03 (local)

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A seller ships to customers in several states. What should she check?

A. Only her own state, since others never apply
B. Each state's rules on when sales tax applies
C. Only the shipping company's policy
D. Nothing; online sales are never taxed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q1
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.03 (local)

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A service business wonders whether its services are taxable. What should it do?

A. Check the state's rules for that service
B. Assume no services are ever taxable
C. Ask a customer to decide
D. Assume every service is taxable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q2
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.03 (local)

Learn
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A customer claims to be tax-exempt. What should the business usually ask for?

A. Nothing; a verbal claim is always enough
B. The customer's bank password
C. A higher price instead
D. The documentation the state requires

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q3
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.03 (local)

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Sales tax of 450 dollars was collected but filed late. What might result?

A. The tax is forgiven
B. Penalties or interest under state rules
C. Nothing at all, ever
D. A bonus refund from the state for paying at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q4
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.03 (local)

Learn
SALES TAX is charged to customers on certain sales; the business collects it and sends it to the state or local government. It is not the business's money. Rules vary: some states have no general sales tax, and some items or services may be exempt. A business may need a permit or account before collecting. INCOME TAX is a tax on the business's profit (for many small businesses, reported on the owner's return). Keep collected sales tax separate so it is not spent by accident.

Which statement is accurate?

A. Sales tax rules depend on the place and the item or service, so check officially.

B. Sales tax is always the seller's profit.

C. There is one national sales tax rate.

D. Income tax and sales tax are filed together on one form in every state.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S65-F2-Q5
Entrepreneurship, Set 65: Sales tax versus income tax · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.03 (local)

Set 66: Self-employment tax and estimated payments

Outcome ENT.TAX.04: Explain the ideas of self-employment tax and paying estimated tax during the year

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

What does withheld mean for an employee's paycheck?

A. Her taxes are cancelled for the year
B. Her boss keeps her bonus as a reward
C. Her paycheck is held by the bank for a month
D. Taxes are taken out before she is paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q1/5 · Outcome ENT.TAX.04 (local)

Learn
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What does self-employment tax cover?

A. Sales tax collected from every customer
B. Social Security and Medicare on net earnings
C. Property tax on the owner's home
D. Import fees on goods from abroad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q2/5 · Outcome ENT.TAX.04 (local)

Learn
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Why might a self-employed person make estimated payments?

A. To earn interest from the tax agency on the money
B. Because they are optional gifts
C. To avoid keeping records
D. Tax is pay-as-you-go and nothing is withheld

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q3/5 · Outcome ENT.TAX.04 (local)

Learn
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Is self-employment tax based on total sales or net earnings?

A. The owner's age
B. Net earnings
C. The number of customers
D. Total sales before costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q4/5 · Outcome ENT.TAX.04 (local)

Learn
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Where should a person check current rates and deadlines?

A. A random blog from years ago
B. A customer
C. A competitor
D. The IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-M-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · MAIN · Q5/5 · Outcome ENT.TAX.04 (local)

Learn
Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

An employee's taxes are like what?

A. A pass that customers pay for on her behalf
B. A pass never paid
C. A pass topped up every paycheck by the employer
D. A free pass

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.04 (local)

Learn
Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

Who tops up for a self-employed person?

A. Their employer
B. The person themselves
C. Their regular customers
D. The bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.04 (local)

Learn
Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

What can happen if a self-employed person waits until the end?

A. The bill simply vanishes
B. A smaller bill
C. A large bill all at once
D. A free year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.04 (local)

Learn
Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

Estimated payments are like what?

A. Topping up the pass during the year
B. A refund
C. A fee charged to every customer
D. Skipping payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.04 (local)

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Think of a bus pass you top up every month versus waiting to pay for a whole year of rides at once. An employee's taxes are topped up every paycheck by the employer. A self-employed person has no one doing that, so they top up themselves with estimated payments during the year. Waiting until the end can mean a large bill all at once.

Why does the employee not need to top up alone?

A. Taxes are optional
B. Customers pay their taxes for them
C. Employees pay no tax
D. The employer withholds taxes from pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-B1-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.04 (local)

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

Ana left a job with withholding and now freelances full time. What changed about her taxes?

A. Her clients must pay her taxes for her
B. Nobody withholds tax, so she may need estimated payments
C. Freelancers never owe any tax at all
D. Her old employer still withholds tax for her each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.04 (local)

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Ben's side business earns net profit. He also has a job with withholding. What should he check?

A. Whether his withholding covers the extra tax
B. Only his customers' tax situations
C. Only his job's vacation policy
D. Nothing, because side income is never taxed at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.04 (local)

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Sales are 30,000 dollars and business expenses are 12,000 dollars. What are net earnings (ignoring other adjustments)?

A. 12,000 dollars
B. 18,000 dollars
C. 30,000 dollars
D. 42,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.04 (local)

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A freelancer plans to pay all tax once, at filing time, after a profitable year. What risk does she face?

A. No risk at all
B. A guaranteed refund
C. Lower taxes than everyone else who pays during the year
D. A large bill and possible penalties for not paying during the year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.04 (local)

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

Which record helps calculate net earnings?

A. A list of social media followers
B. A logo file
C. A ledger of sales and expenses
D. A photo of the workspace

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F1-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.04 (local)

Learn
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Income is very uneven: big in summer, small in winter. What helps with estimated payments?

A. Ignoring payments in good months
B. Paying a random amount once a year in December
C. Tracking income each quarter and adjusting
D. Stopping record keeping in winter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q1
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.04 (local)

Learn
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A freelancer missed an estimated payment. What is a sensible step?

A. Wait several years until someone from the IRS asks
B. Stop working to avoid taxes
C. Assume it is forgiven automatically
D. Pay as soon as possible and check IRS guidance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q2
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.04 (local)

Learn
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A friend tells her a specific self-employment tax rate from memory. What should she do?

A. Confirm it with the current IRS page
B. Ask a customer
C. Ignore self-employment taxes altogether
D. Use it without checking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q3
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.04 (local)

Learn
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Which situation most clearly needs a tax professional's help?

A. Choosing a font for invoices
B. Deciding on a logo color
C. Several income sources and big swings in profit
D. Picking a business email name for clients

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q4
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.04 (local)

Learn
An employee usually has taxes WITHHELD (taken out) from each paycheck. A self-employed person usually does not, so two ideas matter. SELF-EMPLOYMENT TAX covers Social Security and Medicare on net earnings from self-employment; an employer would normally pay part of these for an employee, but a self-employed person pays them. ESTIMATED TAX PAYMENTS: because tax is pay-as-you-go, a self-employed person may need to send payments during the year instead of waiting until the return. This course teaches the ideas; rates and deadlines change, so check the IRS.

Which statement is accurate for this course?

A. Self-employed people never pay Social Security or Medicare taxes.
B. It teaches why these taxes exist, not current rates or dates.
C. Estimated payments are only for corporations.
D. It gives the exact current tax rate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S66-F2-Q5
Entrepreneurship, Set 66: Self-employment tax and estimated payments · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.04 (local)

Set 67: Setting money aside for taxes

Outcome ENT.TAX.05: Set aside a stated share of profit for taxes using an assumed rate

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Because taxes for the self-employed are not withheld, a simple habit is to move a set percentage of each payment into a separate tax savings account. The right percentage depends on your situation; this course uses percentages like 25 or 30 percent only as PRACTICE ASSUMPTIONS, not as advice. Example with a 25 percent assumption: a 2,000-dollar payment means moving 500 dollars to tax savings. Check the amount with a tax professional or IRS tools, and adjust when income changes.

With a 25 percent assumption, how much of a 1,200-dollar payment goes to tax savings?

A. 1,200 dollars
B. 300 dollars
C. 900 dollars
D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q1/5 · Outcome ENT.TAX.05 (local)

Learn
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Why use a separate tax savings account?

A. Because tax agencies require a special account
B. Because it earns guaranteed high returns
C. So tax money is not spent by mistake
D. Because it lowers the tax owed automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q2/5 · Outcome ENT.TAX.05 (local)

Learn
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What does this course say about the 25 or 30 percent figures?

A. They never need checking
B. They are the official rate for every person
C. They are required by law
D. They are practice assumptions, not advice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q3/5 · Outcome ENT.TAX.05 (local)

Learn
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With a 30 percent assumption, how much of a 500-dollar payment is set aside?

A. 350 dollars
B. 150 dollars
C. 30 dollars
D. 170 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q4
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q4/5 · Outcome ENT.TAX.05 (local)

Learn
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When should the percentage be reviewed?

A. Never; set it once and keep it forever
B. Only every ten years
C. When income or circumstances change
D. Only when a customer asks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-M-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · MAIN · Q5/5 · Outcome ENT.TAX.05 (local)

Learn

If you set aside a share of a payment, you keep the rest. Set aside = percent x payment; keep = payment - set aside. With 25 percent of 800: set aside 0.25 x 800 = 200, keep 800 - 200 = 600. Shortcut: keep = payment x (1 - percent) = 800 x 0.75 = 600. Check: 200 + 600 = 800. The two parts always add back to the full payment.

Set aside 20 percent of 1,000. How much is set aside?

A. 1,200

B. 800

C. 20

D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q1

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.TAX.05 (local)

Learn

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Set aside 20 percent of 1,000. How much is kept?

A. 800

B. 200

C. 1,020

D. 980

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q2

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.TAX.05 (local)

Learn

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Keep = payment x (1 - percent). For 30 percent, multiply by what?

A. 1.30

B. 0.30

C. 0.70

D. 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q3

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.TAX.05 (local)

Learn

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Set aside 25 percent of 400. How much is set aside?

A. 300

B. 100

C. 425

D. 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q4

Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.TAX.05 (local)

Learn
If you set aside a share of a payment, you keep the rest. Set aside = percent x payment; keep = payment - set aside. With 25 percent of 800: set aside 0.25 x 800 = 200, keep 800 - 200 = 600. Shortcut: keep = payment x (1 - percent) = 800 x 0.75 = 600. Check: 200 + 600 = 800. The two parts always add back to the full payment.

How do you check the split?

A. Kept must be zero
B. They must be equal
C. Multiply the two parts together to check
D. Set-aside plus kept equals the payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-B1-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.TAX.05 (local)

Learn
Because taxes for the self-employed are not withheld, a simple habit is to move a set percentage of each payment into a separate tax savings account. The right percentage depends on your situation; this course uses percentages like 25 or 30 percent only as PRACTICE ASSUMPTIONS, not as advice. Example with a 25 percent assumption: a 2,000-dollar payment means moving 500 dollars to tax savings. Check the amount with a tax professional or IRS tools, and adjust when income changes.

A freelancer receives 1,500, 900 and 2,100 dollars in a month. With a 25 percent assumption, how much goes to tax savings?

A. 3,375 dollars
B. 4,500 dollars
C. 375 dollars
D. 1,125 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.05 (local)

Learn
Because taxes for the self-employed are not withheld, a simple habit is to move a set percentage of each payment into a separate tax savings account. The right percentage depends on your situation; this course uses percentages like 25 or 30 percent only as PRACTICE ASSUMPTIONS, not as advice. Example with a 25 percent assumption: a 2,000-dollar payment means moving 500 dollars to tax savings. Check the amount with a tax professional or IRS tools, and adjust when income changes.

A freelancer receives 1,500, 900 and 2,100 dollars in a month and sets aside 25 percent for taxes. How much is left for business and personal use?

A. 1,125 dollars
B. 3,375 dollars
C. 2,250 dollars
D. 4,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.05 (local)

Learn
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Which habit is most reliable?

A. Keep tax money in the everyday spending account
B. Move whatever is left at the end of the year
C. Wait until the tax bill arrives to look for money
D. Move the tax share as soon as each payment arrives

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.05 (local)

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A seller sets aside 25 percent of each sale's full price, but much of the price is sales tax and costs. What should she reconsider?

A. Setting aside nothing at all
B. Mixing sales tax into her own savings
C. Setting aside 100 percent of every sale's full price for taxes
D. Basing the set-aside on profit, with sales tax handled separately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q4
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.05 (local)

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Tax savings hold 2,400 dollars and an estimated payment of 1,800 dollars is due. What remains in savings?

A. 1,800 dollars
B. 4,200 dollars
C. 600 dollars
D. 2,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F1-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.05 (local)

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A slow month tempts the owner to use the tax savings for rent. What is the risk?

A. She may not have money when tax is due
B. None; tax savings are just extra money
C. The tax bill shrinks automatically
D. Rent counts as a tax payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q1
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.05 (local)

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Profit doubled this year. What should happen to the tax savings plan?

A. Keep the same dollar amount as before
B. Stop saving because profit is high
C. Spend the extra profit first
D. Review it, since tax may also rise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q2
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.05 (local)

Learn
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Using a 30 percent assumption on 18,000 dollars of profit gives what set-aside?

A. 540 dollars
B. 12,600 dollars
C. 5,400 dollars
D. 18,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q3
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.05 (local)

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An owner is unsure whether 25 percent is enough for her situation. What is the best next step?

A. Pick 5 percent instead, so she keeps more money
B. Check with a tax professional or IRS tools
C. Guess and never revisit it
D. Ask her customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q4
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.05 (local)

Learn
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Which statement is accurate?

A. Self-employed people never owe tax on their business profit.
B. 25 percent is always exactly right.
C. A set-aside habit is a plan; the right amount depends on the person.
D. Setting money aside is illegal.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S67-F2-Q5
Entrepreneurship, Set 67: Setting money aside for taxes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.05 (local)

Set 68: Records, tax forms and professional help

Outcome ENT.TAX.06: Keep records for the needed period, recognize payment-reporting forms as a concept, and know when to ask a tax professional

Module: Foundation 8: Bookkeeping and taxes

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

What does the IRS say is the general period for keeping supporting records?

A. 3 years, with longer periods in some situations
B. 1 month, after which records can be thrown away
C. Forever, for every single receipt in every case
D. Only until the money is spent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Which records should be kept?

A. Only social media posts about sales
B. Receipts, invoices, bank statements and mileage logs
C. Only the owner's favorite receipts
D. Only records of sales over 1,000 dollars each, and nothing else

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Which is a safe way to store records?

A. Thrown away after filing
B. One paper pile in a damp garage
C. Only in a phone with no backup
D. Scanned copies with a backup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

What do tax forms depend on?

A. The business structure
B. The owner's favorite color
C. The shop's paint
D. The number of social media posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

When should an owner ask a tax professional?

A. When the situation is complex or unclear
B. Only after a penalty arrives
C. Never, under any circumstance at all
D. Only to choose a logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-M-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · MAIN · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

Each folder in the box is for what?

A. One month only
B. One product
C. One year
D. One customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

What goes in a folder?

A. Only empty pages and blank tax forms from a store
B. Only ads
C. Only photos
D. That year's receipts, statements and return copy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

When may a folder be cleared out?

A. Never
B. After the period for that return has passed
C. The next day
D. Whenever the box gets full of papers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

A scanned copy is like what?

A. A tax bill
B. A new receipt
C. A recycling bin for paper
D. A spare box kept elsewhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
Picture a file box with one folder for each year. Each folder holds that year's receipts, invoices, bank statements and a copy of the tax return. When a folder is old enough that the period for that return has passed (generally 3 years, sometimes longer), it may be cleared out. Until then, it stays. A scanned copy is like a spare box kept somewhere else, in case the first one is lost.

What is the general period mentioned?

A. 3 years
B. 3 months
C. 3 days
D. 30 years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-B1-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

It is 2026. An owner wants to throw out receipts that support her 2025 return. What does the general rule suggest?

A. Keep them; the general period has not passed
B. Keep only half
C. Throw them out now
D. Throw out the copy of the 2025 return too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

A flood destroys an owner's paper records. Which habit would have helped most?

A. Remembering amounts
B. Keeping records in the same basement
C. Writing totals on a sticky note
D. Scanned copies stored with a backup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Which situation most needs a tax professional?

A. Updating the website photo
B. Ordering new business cards with the LLC name on them
C. Hiring first employees and changing to an LLC in the same year
D. Choosing a coffee supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

An owner has 3 years of records with about 400 receipts per year. How many receipts is that?

A. 400 receipts
B. 133 receipts
C. 1,200 receipts
D. 403 receipts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Which file name helps find records later?

A. "2026-03 receipts - supplies"
B. "misc final final v2 (new)"
C. "scan1"
D. "stuff"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F1-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Some records need to be kept longer than 3 years. What should an owner do if unsure?

A. Throw everything out after exactly 3 years
B. Keep nothing
C. Check IRS guidance or ask a tax professional
D. Ask a customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q1
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

Records for equipment the business still uses were bought 6 years ago. Why might they still matter?

A. They only matter for customers
B. They may support later tax items for that equipment
C. Equipment records are illegal to keep after five years
D. They never matter after purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q2
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

A tax agency asks about a year with missing receipts. What can help?

A. Bank statements and other records for that year
B. New receipts created today for that year
C. Nothing at all
D. A guess

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q3
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TAX.06 (local)

Learn
Keep records that support income, deductions or credits until the period of limitations for that tax return runs out. The IRS says this is generally 3 years, with longer periods in some situations, such as certain errors or employment tax records. Keep receipts, invoices, bank statements, mileage logs and copies of filed returns, stored safely (for example, scanned with a backup). Tax forms depend on the business structure. Ask a tax professional when your situation is complex or you are unsure which forms apply.

An owner's accountant moves away and the owner has no copies of past returns. What lesson applies?

A. Accountants must keep records forever for you
B. Keep your own copies of filed returns
C. Returns are never needed again
D. Copies are illegal to keep

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q4
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TAX.06 (local)

Learn
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Which statement is accurate?

A. Only paper records count.
B. Professionals are never needed for taxes.
C. Keep records at least for the general period, and longer when rules require it.
D. All records can be thrown out the day after the tax return is filed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S68-F2-Q5
Entrepreneurship, Set 68: Records, tax forms and professional help · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TAX.06 (local)

Set 69: Quotes and proposals

Outcome ENT.PAY.01: Write or judge a quote that states the work, price and what is not included

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What does a quote tell a customer?

A. How much the business paid for its last tax return
B. Which competitor charges the lowest price nearby
C. How many hours the owner slept last week
D. What a job will cost before work begins

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q1
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What should a clear quote state about scope?

A. What is included and what is not
B. Only the price, with no description of the work at all
C. Only the owner's years of experience in the field
D. A promise that every extra will be free of charge

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q2
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What does "valid for 30 days" mean on a quote?

A. The customer pays 30 percent more after accepting
B. The price holds for 30 days
C. The work must be finished within 30 minutes
D. The quote can never be accepted after the first day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q3
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

How should the price in a quote be built?

A. From whatever a friend charged years ago
B. From a quick guess on the spot
C. From costs and time
D. From the customer's budget alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q4
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

What does a proposal usually add beyond a quote?

A. A copy of the owner's personal bank statements
B. Nothing at all; they are always identical
C. A list of the owner's favorite hobbies and interests
D. The problem, deliverables and timeline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-M-Q5
Entrepreneurship, Set 69: Quotes and proposals · MAIN · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

Which menu line is clearer?

A. "Prices change every hour"
B. "Burger with fries, 12 dollars; cheese 1 dollar extra"
C. "Food, about 10 dollars, maybe more, depending on the day"
D. "Ask the cook what it costs"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q1
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

"Cheese 1 dollar extra" is like what in a quote?

A. A tax on all food
B. A discount
C. A free gift for every customer who orders
D. An item not included in the base price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q2
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

Why is "about 10, maybe more" a problem?

A. It is always cheaper
B. The customer cannot know the final price
C. It makes the cooking go faster in the kitchen
D. It is required by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q3
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

A clear quote should read like what?

A. A blank page
B. The good menu
C. The bad menu
D. A shopping list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q4
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A good menu says "Burger with fries, 12 dollars; cheese is 1 dollar extra." You know what you get and what costs more. A bad menu says "Food, about 10, maybe more." A quote should read like the good menu: what is included, what is extra, and the price, so nobody is surprised when the bill arrives.

What does a clear menu prevent?

A. Surprises when the bill arrives
B. Taxes being paid
C. Customers ordering food at all
D. The cook working

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-B1-Q5
Entrepreneurship, Set 69: Quotes and proposals · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A painter estimates 12 hours at 40 dollars an hour plus 180 dollars of paint. What should the quote total be?

A. 220 dollars
B. 180 dollars
C. 480 dollars
D. 660 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q1
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

Which quote is clearest?

A. "Rooms painted, price depends on my mood"
B. "Paint 2 bedrooms, walls only, 660 dollars, valid 30 days"
C. "Painting, around 600 or so, and we will see about the rest later"
D. "Whatever you think is fair for the painting"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q2
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A client asks whether ceilings are included. The quote said "walls only." What does the quote show?

A. Ceilings are included at no extra charge
B. The whole house is included
C. Ceilings are not included
D. The quote is no longer valid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q3
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A quote requires a 30 percent deposit on 660 dollars. How much is the deposit?

A. 220 dollars
B. 30 dollars
C. 462 dollars
D. 198 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q4
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A customer accepts a quote 45 days after it was sent; it was valid for 30 days and paint prices rose. What may the owner do?

A. Refuse to speak to the customer
B. Honor any old price forever
C. Double the price without any explanation to the customer
D. Update the quote, since the validity period passed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F1-Q5
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

An owner quoted 400 dollars, then realized the job will take twice as long as planned. What is a fair approach?

A. Abandon the job without notice
B. Explain early and agree on any change before doing extra work
C. Charge 800 dollars at the end without any warning to the client
D. Quietly do half the work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q1
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A client pressures for a quote on the spot without details. What is the best response?

A. Ask questions or give a range with clear assumptions
B. Refuse to ever quote
C. Promise unlimited work for one price
D. Give a firm low number right away just to win the job

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q2
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

A quote omitted travel time; travel adds 3 hours at 40 dollars. How much was underquoted?

A. 13 dollars
B. 120 dollars
C. 43 dollars
D. 40 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q3
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

Two quotes for the same job: one 30 percent cheaper with no scope listed. What should a customer consider?

A. Only the lower number
B. Only the company logo
C. Nothing else
D. What is actually included

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q4
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.01 (local)

Learn
A QUOTE (or estimate) tells a customer what a job will cost before work begins. A PROPOSAL adds more detail: the problem, what you will deliver, the timeline, the price and the terms. A clear quote lists what IS included and what is NOT, how long the price is valid (for example 30 days), and any deposit required. Build the price from your costs and time, not from a guess. Vague quotes ("about 500, maybe more") lead to arguments later.

Which statement is accurate?

A. Quotes are never binding in any way.
B. A clear quote protects both the customer and the business.
C. Exclusions should be hidden.
D. Vague quotes help businesses charge more fairly in the long run.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S69-F2-Q5
Entrepreneurship, Set 69: Quotes and proposals · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.01 (local)

Set 70: Invoices, payment terms and deposits

Outcome ENT.PAY.02: Read and set payment terms, due dates and deposits

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

When should payment terms be written down?

A. After the customer refuses to pay
B. Only if the job is under 10 dollars
C. Never; spoken promises are always enough
D. Before work starts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q1/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

What are milestone payments?

A. A single payment made a year after the job
B. A discount for paying in cash only
C. Payments split into parts at stages of a job
D. A fee for driving past a mile marker

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A 5,000-dollar job uses 30/40/30 milestones. How much is due at the midpoint?

A. 2,000 dollars
B. 1,500 dollars
C. 3,000 dollars
D. 5,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q3/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Which item belongs in payment terms?

A. The customer's home décor style
B. Accepted payment methods
C. The owner's favorite song
D. A list of competitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q4/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Before adding a late fee to terms, what should be checked?

A. Whether customers will like it
B. Whether it rhymes with the business name
C. Whether it is allowed where you operate
D. Nothing; any fee is always allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-M-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · MAIN · Q5/5 · Outcome ENT.PAY.02 (local)

Learn
To split a total into milestone payments, multiply the total by each percent. The percents must add up to 100. Example: 2,000 dollars at 25/50/25 gives 0.25 x 2,000 = 500, 0.50 x 2,000 = 1,000, and 500. Check: 500 + 1,000 + 500 = 2,000. If the parts do not add up to the total, a percent is wrong.

What is 25 percent of 4,000?

A. 250
B. 4,025
C. 3,000
D. 1,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PAY.02 (local)

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Do 30, 40 and 30 percent add to 100?

A. Yes
B. No, they add to 110
C. No, they add to 90
D. No, they add to 70

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
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1,200 at 50/50. What is each payment?

A. 50
B. 1,200
C. 600
D. 500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PAY.02 (local)

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A plan says 20/30/40 percent. What is wrong?

A. Percents cannot be used
B. The parts add to 110 percent
C. Nothing is wrong at all
D. The parts add to only 90 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PAY.02 (local)

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3,000 at 40/60. What is the second payment?

A. 600
B. 1,800
C. 1,200
D. 3,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-B1-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A web designer takes an 8-week, 6,000-dollar project and must buy software licenses at the start. Which terms fit?

A. A deposit up front with milestone payments
B. Full payment 90 days after finishing
C. No written terms, just trust
D. Payment only if the client is fully happy, someday

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Terms: 25 percent deposit, balance due on completion, for a 2,400-dollar job. What is the balance?

A. 600 dollars
B. 2,400 dollars
C. 2,375 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.02 (local)

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PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

A client wants to pay by a method the business does not accept. What helps avoid this?

A. Listing accepted methods in the terms
B. Accepting any method a stranger suggests
C. Changing methods after the work is done
D. Refusing to say how to pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.02 (local)

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Which written term is clearest?

A. "Payment expected at some point soon"
B. "Balance due within 15 days of the invoice date by bank transfer or card"
C. "Pay whenever you can, I guess, by however works best for you"
D. "We will talk about money later on"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.02 (local)

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A 3,000-dollar project at 30/40/30: the client paid the deposit and the midpoint. How much is still owed?

A. 3,000 dollars
B. 2,100 dollars
C. 900 dollars
D. 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F1-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.02 (local)

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A client has not paid the midpoint milestone but wants the next phase started. What does good practice suggest?

A. Delete the client's files

B. Pause the next phase until the milestone is paid, as the terms say

C. Double the price as punishment

D. Start the next phase anyway and simply hope the missing payment comes later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q1
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.02 (local)

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A client asks to change terms from Net 15 to Net 60 after signing. What should the owner do?

A. Stop all communication
B. Agree verbally and change nothing in the written terms
C. Accept every request automatically
D. Decide whether to agree, and put any change in writing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q2
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.02 (local)

Learn
PAYMENT TERMS say when and how the customer will pay. Write them in the quote or contract before work starts: the deposit amount, when the balance is due (for example "due on completion" or "Net 15"), accepted payment methods, and any late fee if allowed where you operate. For larger jobs, MILESTONE payments split the price into parts paid at stages, such as 30 percent to start, 40 percent at the midpoint, 30 percent at the end.

Terms say a 1.5 percent monthly late fee (where allowed). A 1,000-dollar balance is 2 months late. What is the simple total of the fees?

A. 30 dollars
B. 300 dollars
C. 3 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q3
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.02 (local)

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An owner forgot to write terms and the client pays 75 days later. What lesson applies?

A. Clients always pay on time
B. Terms only matter for big companies
C. Never work for clients again
D. Put terms in writing before starting

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q4
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.02 (local)

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Which statement is accurate?

A. Milestones are illegal for small jobs.
B. Late fees are allowed everywhere.
C. Written terms guarantee that every single client will always pay early.
D. Clear written terms make late payments less likely and easier to address.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S70-F2-Q5
Entrepreneurship, Set 70: Invoices, payment terms and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.02 (local)

Set 71: Cancellations, refunds and expectations

Outcome ENT.PAY.03: Write clear cancellation and refund terms and apply them consistently

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A CANCELLATION POLICY says what happens if a customer cancels: for example, "full refund if cancelled 7 days before; 50 percent refund within 7 days; no refund within 24 hours." Policies protect your time, because a last-minute cancellation leaves a slot you may not fill. Set EXPECTATIONS too: what the customer will receive, when, and how to contact you. Share the policy before booking, apply it consistently, and allow exceptions only on purpose, such as emergencies.

Why have a cancellation policy?

A. Last-minute cancellations leave slots you may not fill
B. Because the law requires the same policy everywhere
C. To stop customers from ever booking again
D. To avoid writing any expectations at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q1/5 · Outcome ENT.PAY.03 (local)

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Using the example policy, a 200-dollar booking is cancelled 3 days before. What is refunded?

A. 0 dollars
B. 50 dollars
C. 200 dollars
D. 100 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q2/5 · Outcome ENT.PAY.03 (local)

Learn
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When should the policy be shared?

A. Only to customers who complain
B. Never; it is private
C. Before booking
D. Only after a cancellation happens

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q3/5 · Outcome ENT.PAY.03 (local)

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What does applying a policy consistently mean?

A. Treating similar cases the same way
B. Applying it only to new customers
C. Changing the rules for every customer randomly
D. Ignoring the policy whenever it is inconvenient

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q4/5 · Outcome ENT.PAY.03 (local)

Learn
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Which is a reasonable planned exception?

A. A customer who is simply bored
B. Anyone who complains loudly
C. A documented emergency
D. A friend of a friend asking nicely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-M-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · MAIN · Q5/5 · Outcome ENT.PAY.03 (local)

Learn
When you buy a theater ticket, the theater holds a seat for you and turns other people away. If you cancel an hour before, the seat is probably empty. That is why tickets often have rules about refunds. A service business is similar: an appointment holds a slot of the owner's time. A cancellation policy is the ticket rules for that slot.

A booked appointment is like what?

A. A free gift for coming
B. A seat held at a show
C. A coupon
D. A tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.03 (local)

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Why do late cancellations hurt the theater?

A. The seat is probably left empty
B. The empty seat gets bigger
C. Tickets become free
D. The show gets longer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.03 (local)

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A cancellation policy is like what?

A. A map
B. A cooking recipe
C. A menu
D. Ticket refund rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.03 (local)

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What does the theater do when it holds your seat?

A. Sells it twice to two people
B. Closes early
C. Turns other people away
D. Gives it away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.03 (local)

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For a service business, the "seat" is what?

A. A slot of the owner's time
B. A parking spot
C. A product on a shelf
D. A chair in the waiting lobby

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-B1-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.03 (local)

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Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar session is cancelled 12 hours before. What is refunded?

A. 300 dollars
B. 75 dollars
C. 0 dollars
D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.03 (local)

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Policy: full refund 7+ days before; 50 percent within 7 days; none within 24 hours. A 300-dollar booking is cancelled 10 days before. What is refunded?

A. 300 dollars
B. 30 dollars
C. 150 dollars
D. 0 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.03 (local)

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A photographer loses 4 late-cancelled sessions a month at 150 dollars each. How much income is at risk without a policy?

A. 154 dollars
B. 37.50 dollars
C. 150 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.03 (local)

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Which expectation statement is clearest?

A. "Ask me later about what you get."
B. "You will get some photos at some point."
C. "You will receive 20 edited photos within 10 days by email."
D. "Photos come whenever they are ready, eventually, by some method."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.03 (local)

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A customer cancels because of a hospital emergency 6 hours before. The policy allows emergency exceptions. What fits?

A. Charge double for the trouble
B. Apply the planned exception
C. Refuse because rules are rules
D. Ignore the message

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F1-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.03 (local)

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A customer says she never saw the policy. What prevents this next time?

A. Changing the policy after booking
B. Requiring a checkbox or signature showing the policy was read
C. Never having a policy at all
D. Hiding the policy in tiny text at the very bottom of the site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q1
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.03 (local)

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One client cancels late every month. What is a reasonable step?

A. Insult the client online
B. Require a nonrefundable deposit for that client's bookings
C. Keep giving that client full refunds forever, no matter what
D. Stop working entirely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q2
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.03 (local)

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A 50 percent refund was promised but the owner refunds only 30 percent of 200 dollars. How much is still owed to the customer?

A. 100 dollars
B. 40 dollars
C. 60 dollars
D. 140 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q3
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.03 (local)

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Local consumer rules may override parts of a policy. What should the owner do?

A. Copy another state's policy
B. Ignore the rules
C. Check the rules where she operates
D. Assume her policy always wins

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q4
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.03 (local)

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Which statement is accurate?

A. Policies cause more disputes than they prevent.
B. Exceptions should be random.
C. Refunds are never required.
D. A clear policy shared in advance prevents many disputes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S71-F2-Q5
Entrepreneurship, Set 71: Cancellations, refunds and expectations · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.03 (local)

Set 72: Scope changes

Outcome ENT.PAY.04: Handle a request for extra work with a written change and new price

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
SCOPE is the work agreed in the quote or contract. SCOPE CREEP happens when extra requests keep being added without changing the price or timeline. Handle changes with a short CHANGE ORDER: a written note describing the new request, its added cost and time, approved by the customer before you start it. Small favors can be fine, but decide on purpose. Uncontrolled scope creep turns a profitable job into a loss.

What is scope creep?

A. A supplier raising prices every year
B. Extra requests added without changing price or time
C. A customer paying an invoice a little early
D. A slow increase in the business's advertising budget

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q1
Entrepreneurship, Set 72: Scope changes · MAIN · Q1/5 · Outcome ENT.PAY.04 (local)

Learn
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What is a change order?

A. A written note of a new request with its cost and time
B. A new order of supplies placed with a wholesaler
C. A refund paid when a customer cancels
D. An order to change the company name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q2
Entrepreneurship, Set 72: Scope changes · MAIN · Q2/5 · Outcome ENT.PAY.04 (local)

Learn
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When should the customer approve a change order?

A. Never; approval is not needed
B. Only if the change is free
C. Before the extra work starts
D. After the work is finished

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q3
Entrepreneurship, Set 72: Scope changes · MAIN · Q3/5 · Outcome ENT.PAY.04 (local)

Learn
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A 1,000-dollar job took 20 hours. Scope creep added 10 unpaid hours. What happened to the hourly earnings?

A. They fell by one third
B. They rose by 10 dollars an hour
C. They stayed exactly the same
D. They doubled because more work was done

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q4
Entrepreneurship, Set 72: Scope changes · MAIN · Q4/5 · Outcome ENT.PAY.04 (local)

Learn
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Are small favors ever acceptable?

A. Only for strangers
B. No, never under any circumstances
C. Yes, always, for every request
D. Yes, when decided on purpose

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-M-Q5
Entrepreneurship, Set 72: Scope changes · MAIN · Q5/5 · Outcome ENT.PAY.04 (local)

Learn
Imagine hiring a builder for a 2-room addition. Halfway through, you ask for a third room "while you're at it." A good builder writes down the extra room, its extra cost and extra time, and asks you to sign before starting. Without that note, the builder works for free or you get a surprise bill. A change order is that signed note.

The third room is like what?

A. A tax
B. The original plan
C. A scope change
D. A discount

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q1
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.04 (local)

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What does a good builder write down?

A. Nothing
B. Only the start date of the room
C. Only the color
D. The extra room, cost and time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q2
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.04 (local)

Learn
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Without a written note, what can happen?

A. Nothing at all
B. Faster building by the crew
C. Free work or a surprise bill
D. Lower taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q3
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.04 (local)

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When does the customer sign?

A. After it is built
B. Before the extra room is started
C. Never
D. Only when it rains on the site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q4
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.04 (local)

Learn
Imagine hiring a builder for a 2-room addition. Halfway through, you ask for a third room "while you're at it." A good builder writes down the extra room, its extra cost and extra time, and asks you to sign before starting. Without that note, the builder works for free or you get a surprise bill. A change order is that signed note.

The signed note is called what?

A. A deed
B. A license
C. A store receipt
D. A change order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-B1-Q5
Entrepreneurship, Set 72: Scope changes · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.04 (local)

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A designer agreed to 3 logo concepts for 900 dollars. The client asks for 2 more. Each concept takes 4 hours at 50 dollars. What should the change order add?

A. 400 dollars
B. 900 dollars
C. 100 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q1
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.04 (local)

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Which change order is clearest?

A. "Extra work, maybe extra money, maybe not"
B. "Add 2 logo concepts, 400 dollars, 4 extra days. Approved: ____"
C. "Some more stuff added, and we will figure out the cost later"
D. "Will do it, do not worry about cost"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q2
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.04 (local)

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A client says "Can you just quickly add a page?" to a website contract. What is the best first step?

A. Add it silently for free each time the client asks
B. Refuse to talk about it
C. Explain it is outside scope and offer a change order
D. Charge without telling the client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q3
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.04 (local)

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An original job is 2,000 dollars and change orders add 300 and 150 dollars. What is the new total?

A. 450 dollars
B. 2,300 dollars
C. 2,150 dollars
D. 2,450 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q4
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.04 (local)

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A tiny change takes 5 minutes, and the owner chooses to do it free. What makes this healthy rather than creep?

A. She hides it and hopes
B. She decided on purpose and tells the client it is a courtesy
C. She charges double later
D. She does every request the client makes for free, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F1-Q5
Entrepreneurship, Set 72: Scope changes · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.04 (local)

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A contract says "website design" with no details. Every request seems in scope to the client. What was missing?

A. A longer timeline only
B. A bigger logo on the contract
C. A lower price
D. A clear list of what is included

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q1
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.04 (local)

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A client refuses to pay for a change order she approved in writing. What supports the owner?

A. The signed change order
B. Nothing; approvals do not matter
C. A social media post
D. A memory of a phone call

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q2
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.04 (local)

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Scope creep added 15 hours to a job priced for 30 hours at an effective 40 dollars an hour. What is the new effective rate, to the nearest cent?

A. 20.00 dollars an hour
B. 26.67 dollars an hour
C. 40.00 dollars an hour
D. 60.00 dollars an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q3
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.04 (local)

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A request changes the deadline but not the work. Does it need a change order?

A. Yes, timeline changes should be written too
B. Only if the client is new
C. No, deadlines never change
D. No, only changes to the price ever matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q4
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.04 (local)

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Which statement is accurate?

A. Only large companies with big contracts need change orders.
B. Change orders insult clients.
C. Scope creep always helps profit.
D. Written change orders protect profit and the relationship.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S72-F2-Q5
Entrepreneurship, Set 72: Scope changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.04 (local)

Set 73: Subscriptions and recurring billing

Outcome ENT.PAY.05: Explain recurring billing terms customers need to see and how cancellations work

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A SUBSCRIPTION charges a customer on a schedule, such as monthly, until cancelled. Clear subscription terms state the price, how often it is charged, when renewal happens, how to cancel, and what happens after a free trial. Make cancelling easy and honest; hidden or difficult cancellation can break consumer rules and destroys trust. Plan for FAILED PAYMENTS (expired cards) with reminders. CHURN is the share of subscribers who cancel in a period; high churn means you must keep finding new customers.

What should subscription terms state?

A. Only the price, with no word about cancelling
B. Only the founder's name and photo
C. Price, frequency, renewal and how to cancel
D. Only the company's history and mission

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-M-Q1
Entrepreneurship, Set 73: Subscriptions and recurring billing · MAIN · Q1/5 · Outcome ENT.PAY.05 (local)

Learn
A SUBSCRIPTION charges a customer on a schedule, such as monthly, until cancelled. Clear subscription terms state the price, how often it is charged, when renewal happens, how to cancel, and what happens after a free trial. Make cancelling easy and honest; hidden or difficult cancellation can break consumer rules and destroys trust. Plan for FAILED PAYMENTS (expired cards) with reminders. CHURN is the share of subscribers who cancel in a period; high churn means you must keep finding new customers.

What is churn?

A. The share of subscribers who cancel in a period
B. The number of new products launched each year
C. The speed of the website checkout page
D. The price increase each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-M-Q2
Entrepreneurship, Set 73: Subscriptions and recurring billing · MAIN · Q2/5 · Outcome ENT.PAY.05 (local)

Learn
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A service has 200 subscribers and 10 cancel this month. What is the monthly churn?

A. 10 percent
B. 5 percent
C. 20 percent
D. 2 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-M-Q3
Entrepreneurship, Set 73: Subscriptions and recurring billing · MAIN · Q3/5 · Outcome ENT.PAY.05 (local)

Learn
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Why make cancelling easy?

A. Easy cancelling always doubles the number of subscribers
B. To avoid ever sending reminders
C. Hard cancellation can break rules and destroys trust
D. Because subscriptions are illegal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-M-Q4
Entrepreneurship, Set 73: Subscriptions and recurring billing · MAIN · Q4/5 · Outcome ENT.PAY.05 (local)

Learn
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What is a common cause of failed payments?

A. Customers liking the product too much
B. Expired cards
C. Too many reminders being sent
D. The logo changing color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-M-Q5
Entrepreneurship, Set 73: Subscriptions and recurring billing · MAIN · Q5/5 · Outcome ENT.PAY.05 (local)

Learn
Recurring revenue = subscribers x monthly price. If you have 150 subscribers at 12 dollars, that is 150 x 12 = 1,800 dollars a month. Churn percent = cancellations / starting subscribers. If 6 of 150 cancel, 6 / 150 = 0.04 = 4 percent. Losing subscribers lowers next month's revenue: 144 x 12 = 1,728. That is 72 dollars less every month.

100 subscribers at 15 dollars. What is monthly revenue?

A. 150
B. 15,000
C. 1,500
D. 115

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-B1-Q1
Entrepreneurship, Set 73: Subscriptions and recurring billing · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PAY.05 (local)

Learn
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8 of 200 cancel. What is churn?

A. 4 percent
B. 0.4 percent
C. 25 percent
D. 8 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-B1-Q2
Entrepreneurship, Set 73: Subscriptions and recurring billing · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PAY.05 (local)

Learn
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After 6 of 150 cancel, how many remain?

A. 156
B. 150
C. 6
D. 144

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-B1-Q3
Entrepreneurship, Set 73: Subscriptions and recurring billing · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PAY.05 (local)

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144 subscribers at 12 dollars. What is revenue?

A. 12
B. 156
C. 1,728
D. 1,800

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-B1-Q4
Entrepreneurship, Set 73: Subscriptions and recurring billing · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PAY.05 (local)

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Churn is calculated by dividing cancellations by what?

A. New subscribers that month
B. Starting subscribers
C. Revenue
D. The price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-B1-Q5
Entrepreneurship, Set 73: Subscriptions and recurring billing · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PAY.05 (local)

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A box costs 25 dollars a month; 300 subscribers; 6 percent churn. About how many cancel this month?

A. 18
B. 50
C. 282
D. 6

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F1-Q1
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Which terms are clearest?

A. "14 dollars a month, renews monthly, cancel anytime in your account."
B. "Free! (Charges later, see fine print.)"
C. "Small monthly fee, terms may apply somewhere."
D. "Call us during weekday business hours to discuss cancelling your plan."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F1-Q2
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.05 (local)

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A free 7-day trial converts to 20 dollars a month. What must customers be told before signing up?

A. Only the company's address
B. That they will be charged after the trial unless they cancel
C. Only the trial length
D. Nothing, because surprise charges are good for sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F1-Q3
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.05 (local)

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40 payments fail each month from expired cards. What helps recover them?

A. Cancelling those customers' accounts immediately
B. Ignoring the failures
C. Reminders asking customers to update their card
D. Charging a random other card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F1-Q4
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.05 (local)

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A subscription has 500 members at 10 dollars and churn rises from 3 to 8 percent. How many more members are lost per month?

A. 15
B. 40
C. 5
D. 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F1-Q5
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A competitor makes cancellation require a phone call during limited hours. Why should a new business avoid copying this?

A. It can break consumer rules and drives away trust
B. Customers actually prefer a difficult cancellation process
C. It always increases loyalty
D. Phones are illegal for businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F2-Q1
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.05 (local)

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A subscription price will rise next month. What should the business do?

A. Raise it quietly for loyal long-time members only
B. Raise it silently
C. Give advance notice with the new price and date
D. Hide it in a long email footer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F2-Q2
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.05 (local)

Learn
A SUBSCRIPTION charges a customer on a schedule, such as monthly, until cancelled. Clear subscription terms state the price, how often it is charged, when renewal happens, how to cancel, and what happens after a free trial. Make cancelling easy and honest; hidden or difficult cancellation can break consumer rules and destroys trust. Plan for FAILED PAYMENTS (expired cards) with reminders. CHURN is the share of subscribers who cancel in a period; high churn means you must keep finding new customers.

A customer is charged after cancelling because of a system error. What is the right fix?

A. Refund the charge promptly and fix the system
B. Charge again to test
C. Ask the customer to prove it twice
D. Keep the money since it was an accident

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F2-Q3
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.05 (local)

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Churn is 10 percent a month. Starting with 1,000 members and no new sign-ups, about how many remain after 2 months?

A. 980
B. 900
C. 810
D. 800

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F2-Q4
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.05 (local)

Learn
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Which statement is accurate?

A. Clear terms and easy cancellation support long-term subscriptions.
B. Hiding the cancellation option is a good long-term growth tactic.
C. Churn does not matter if prices are high.
D. Trials never need disclosure.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S73-F2-Q5
Entrepreneurship, Set 73: Subscriptions and recurring billing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.05 (local)

Set 74: Chargebacks and payment disputes

Outcome ENT.PAY.06: Explain a chargeback and gather evidence to respond

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A CHARGEBACK happens when a card customer disputes a charge with their card issuer (their bank). The merchant may lose the payment and pay a fee, but can usually respond with EVIDENCE by the deadline on the dispute notice; deadlines depend on the card network and reason. Useful evidence includes receipts, delivery tracking, signed agreements and messages. Prevent disputes with clear descriptions, a recognizable business name on card statements, fast responses to complaints, and a fair refund policy.

What is a chargeback?

A. A fee the business pays to open a bank account
B. A coupon the customer uses at checkout
C. A customer disputing a card charge with their bank
D. A refund the business chooses to give on its own

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-M-Q1
Entrepreneurship, Set 74: Chargebacks and payment disputes · MAIN · Q1/5 · Outcome ENT.PAY.06 (local)

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What can a merchant usually do in response?

A. Post the customer's card number online
B. Charge the customer again right away
C. Ignore it, since disputes always resolve for merchants
D. Submit evidence by the deadline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-M-Q2
Entrepreneurship, Set 74: Chargebacks and payment disputes · MAIN · Q2/5 · Outcome ENT.PAY.06 (local)

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Which is useful evidence for a shipped order?

A. A photo of the owner smiling at the shop
B. Delivery tracking showing it arrived
C. The business's logo file
D. A list of other happy customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-M-Q3
Entrepreneurship, Set 74: Chargebacks and payment disputes · MAIN · Q3/5 · Outcome ENT.PAY.06 (local)

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Which habit helps prevent disputes?

A. Hiding the refund policy
B. Slow replies to complaints
C. A confusing name customers do not recognize
D. A recognizable business name on card statements

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-M-Q4
Entrepreneurship, Set 74: Chargebacks and payment disputes · MAIN · Q4/5 · Outcome ENT.PAY.06 (local)

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What sets the response deadline?

A. The merchant's own preferred schedule for replying
B. There is never a deadline
C. The dispute notice, based on card network and reason
D. The customer's birthday

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-M-Q5
Entrepreneurship, Set 74: Chargebacks and payment disputes · MAIN · Q5/5 · Outcome ENT.PAY.06 (local)

Learn
Think of a sports referee. When one player says a goal should not count, the referee looks at the replay before deciding. In a chargeback, the customer's bank is like the referee. The customer says the charge should not count; the business shows its "replay": receipts, tracking and messages. Without a replay, the referee usually sides with the complaint.

In a chargeback, who is like the referee?

A. The shipping company that delivered
B. The business owner
C. The customer
D. The customer's card issuer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-B1-Q1
Entrepreneurship, Set 74: Chargebacks and payment disputes · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.06 (local)

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The business's "replay" is what?

A. A discount code for later use
B. A song
C. Receipts, tracking and messages
D. A logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-B1-Q2
Entrepreneurship, Set 74: Chargebacks and payment disputes · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.06 (local)

Learn
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Without a replay, what usually happens?

A. The game is cancelled
B. The business wins automatically
C. Nothing happens
D. The referee sides with the complaint

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-B1-Q3
Entrepreneurship, Set 74: Chargebacks and payment disputes · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.06 (local)

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The customer saying a charge should not count is like what?

A. A coach resting on the bench
B. A player disputing a goal
C. A fan cheering
D. A ticket sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-B1-Q4
Entrepreneurship, Set 74: Chargebacks and payment disputes · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.06 (local)

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What helps the business most in a dispute?

A. Getting angry
B. Guessing
C. Clear evidence
D. Ignoring it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-B1-Q5
Entrepreneurship, Set 74: Chargebacks and payment disputes · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.06 (local)

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A customer disputes a 120-dollar order as "not received." The owner has tracking showing delivery to the customer's address. What should she send?

A. Nothing; disputes always go her way
B. A new charge to the same card
C. The tracking record and order receipt by the deadline
D. An angry message to the customer's employer about the dispute

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F1-Q1
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.06 (local)

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The card statement shows "XQZ HOLDINGS 4471," but customers know the shop as "Maple Candle Co." What risk does this create?

A. No risk at all, because statement names never matter
B. Lower card fees
C. Higher sales automatically
D. Customers may not recognize the charge and dispute it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F1-Q2
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.06 (local)

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A chargeback of 80 dollars is lost and the processor charges a 15-dollar dispute fee (example amount). What is the total cost?

A. 95 dollars
B. 80 dollars
C. 65 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F1-Q3
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.06 (local)

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A customer emails a complaint before disputing. What response best prevents a chargeback?

A. Tell them to contact their bank
B. Block their email
C. Reply quickly and offer a fair fix
D. Wait two weeks to reply

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F1-Q4
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.06 (local)

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Which record helps most for a service dispute?

A. A competitor's price list
B. The signed agreement and messages confirming the work
C. A picture of the office plant
D. The company's mission statement and values page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F1-Q5
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.06 (local)

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An order uses a card that the real cardholder says was stolen. What does this show?

A. Fraud can cause chargebacks even when the item shipped
B. Shipping guarantees payment
C. Chargebacks only happen when the service was poor
D. The customer must always be lying

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F2-Q1
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.06 (local)

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A shop has many disputes from orders shipped to addresses that do not match billing. What precaution fits?

A. Ship faster to everyone
B. Refuse all card payments
C. Stop recording customers' shipping addresses
D. Review mismatched high-risk orders before shipping

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F2-Q2
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.06 (local)

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A business receives 4 disputes on 400 orders. What is the dispute rate?

A. 10 percent
B. 1 percent
C. 0.1 percent
D. 4 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F2-Q3
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.06 (local)

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The deadline on a dispute notice is close. The owner is missing some evidence. What should she do?

A. Submit the evidence she has before the deadline
B. Ignore the notice
C. Wait until everything is perfect, even past the deadline
D. Create fake receipts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F2-Q4
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.06 (local)

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Which statement is accurate?

A. Chargebacks are always just small fees, with no lost sale.
B. Rules and deadlines differ by card network, so read each notice.
C. Every dispute has the same deadline.
D. Merchants can never respond.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S74-F2-Q5
Entrepreneurship, Set 74: Chargebacks and payment disputes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.06 (local)

Set 75: Invoice and payment scams

Outcome ENT.PAY.07: Spot fraud signals in invoices, overpayments and changed payment details

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Small businesses are common targets for payment scams. FAKE INVOICES bill for things you never ordered, such as directory listings. CHANGED BANK DETAILS scams send an email that looks like a real supplier asking you to pay a new account. OVERPAYMENT scams send too much money (often by a check that later bounces) and ask you to send back the difference. Protection: match invoices to orders, confirm any bank-detail change by calling a known number (not one in the email), and never send back an "overpayment." A bank may make check funds available within days, yet the check can still be returned as fake weeks later, and the depositor owes the money.

An email from "your supplier" says their bank account changed. What should you do?

A. Call the supplier at a number you already know
B. Reply to the same email asking if it is real
C. Pay the new account right away to avoid late fees
D. Call the phone number listed in that email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-M-Q1
Entrepreneurship, Set 75: Invoice and payment scams · MAIN · Q1/5 · Outcome ENT.PAY.07 (local)

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What is an overpayment scam?

A. Someone sends too much and asks for the difference back
B. A bank charging a monthly fee
C. A customer paying exactly the invoiced amount on time
D. A supplier offering a bulk discount

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-M-Q2
Entrepreneurship, Set 75: Invoice and payment scams · MAIN · Q2/5 · Outcome ENT.PAY.07 (local)

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How can a business catch fake invoices?

A. Ignore all invoices
B. Pay every invoice that looks official
C. Match each invoice to a real order
D. Pay invoices under 100 dollars without checking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-M-Q3
Entrepreneurship, Set 75: Invoice and payment scams · MAIN · Q3/5 · Outcome ENT.PAY.07 (local)

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A customer's check for 1,500 dollars arrives for a 500-dollar order with a request to send back 1,000. What should the owner do?

A. Deposit the check and spend all 1,500 dollars right away
B. Send the 1,000 dollars back today, as the customer asks
C. Do not send the 1,000; check with your bank at a trusted number
D. Give the customer the business bank login to sort it out

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-M-Q4
Entrepreneurship, Set 75: Invoice and payment scams · MAIN · Q4/5 · Outcome ENT.PAY.07 (local)

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Why not use the phone number in a suspicious email?

A. Calling is illegal
B. It may lead to the scammer
C. Phones never work for business
D. It is always the correct number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-M-Q5
Entrepreneurship, Set 75: Invoice and payment scams · MAIN · Q5/5 · Outcome ENT.PAY.07 (local)

Learn
Imagine someone in a uniform knocks and says, "I'm from the water company; pay me the bill in cash today." The uniform looks real, but you would call the water company at the number on your last bill before handing over money. Payment scams work the same way: an email or invoice can look official. Check through a channel you already trust.

Why call the water company before paying?

A. Uniforms are illegal to wear
B. The uniform might be fake
C. Cash is always best
D. Water is free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-B1-Q1
Entrepreneurship, Set 75: Invoice and payment scams · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.07 (local)

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Which number should you call?

A. The one on your last real bill
B. A random number
C. The one the stranger gives
D. No number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-B1-Q2
Entrepreneurship, Set 75: Invoice and payment scams · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.07 (local)

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An official-looking email is like what?

A. A receipt
B. A bank deposit
C. A contract you signed
D. The uniform at the door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-B1-Q3
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What should you do before paying a surprise bill?

A. Check through a trusted channel
B. Ask the stranger if he is real
C. Pay quickly
D. Ignore all bills

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-B1-Q4
Entrepreneurship, Set 75: Invoice and payment scams · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.07 (local)

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What is the main lesson?

A. Trust uniforms
B. Pay in cash
C. Never pay any bill
D. Verify before paying

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-B1-Q5
Entrepreneurship, Set 75: Invoice and payment scams · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.07 (local)

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An invoice for 349 dollars arrives for an "online business directory listing" no one ordered. What should the owner do?

A. Pay it, because it looks official and has a logo
B. Forward it to every customer
C. Check records; if there is no order, do not pay it
D. Pay half to be safe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F1-Q1
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.07 (local)

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A supplier's email asks to send this month's 4,200-dollar payment to a new account "urgently." What is the safest response?

A. Reply asking for proof by email
B. Send it now because it is urgent
C. Split it between the old and new accounts to be safe
D. Confirm by calling the supplier's known number first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F1-Q2
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.07 (local)

Learn
Small businesses are common targets for payment scams. FAKE INVOICES bill for things you never ordered, such as directory listings. CHANGED BANK DETAILS scams send an email that looks like a real supplier asking you to pay a new account. OVERPAYMENT scams send too much money (often by a check that later bounces) and ask you to send back the difference. Protection: match invoices to orders, confirm any bank-detail change by calling a known number (not one in the email), and never send back an "overpayment." A bank may make check funds available within days, yet the check can still be returned as fake weeks later, and the depositor owes the money.

A buyer sends a 900-dollar check for a 300-dollar item and asks for 600 dollars back by gift card. What red flags appear?

A. Only that the item is cheap
B. Overpayment and a request for gift cards
C. None; this is a normal sale
D. Only that checks are old-fashioned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F1-Q3
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.07 (local)

Learn
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Which internal rule reduces scam risk most?

A. Never record bank details
B. Bank details can be changed by email request only
C. Two people approve any bank-detail change
D. Anyone can change bank details

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F1-Q4
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.07 (local)

Learn
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An email "from the owner" asks the bookkeeper to buy gift cards urgently. What should the bookkeeper do?

A. Buy them right away
B. Confirm with the owner in person or by a known number
C. Ignore the owner forever
D. Reply to the email with the gift card codes right away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F1-Q5
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.07 (local)

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An owner realizes she paid a fake invoice an hour ago. What is the first step?

A. Pay another invoice to balance it
B. Contact her bank immediately
C. Wait a week to see what happens
D. Delete the email and forget it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F2-Q1
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.07 (local)

Learn
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After a scam, what else should the owner do?

A. Blame the bank only
B. Stop using email entirely for the business
C. Keep it secret from staff
D. Report it and tighten payment checks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F2-Q2
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.07 (local)

Learn
Small businesses are common targets for payment scams. FAKE INVOICES bill for things you never ordered, such as directory listings. CHANGED BANK DETAILS scams send an email that looks like a real supplier asking you to pay a new account. OVERPAYMENT scams send too much money (often by a check that later bounces) and ask you to send back the difference. Protection: match invoices to orders, confirm any bank-detail change by calling a known number (not one in the email), and never send back an "overpayment." A bank may make check funds available within days, yet the check can still be returned as fake weeks later, and the depositor owes the money.

A real supplier truly changed banks. How should the change be confirmed?

A. By calling a known contact before updating records
B. By paying a test amount to the new account
C. By asking a customer
D. By trusting the email because it is real this time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F2-Q3
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.07 (local)

Learn
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The bank made the funds from a check available in 2 days, but later says the check was fake and reverses the deposit. What lesson does this teach?

A. Funds can be made available before a check is proven good
B. Checks always clear for good in exactly 2 days
C. Deposits are guaranteed once they show in the account
D. Banks never reverse a deposit after the funds are available

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F2-Q4
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.07 (local)

Learn
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Which statement is accurate?

A. Scammers only target large companies.
B. Urgency, new bank details and overpayments are common scam signs.
C. Official-looking invoices are always real.
D. Gift card payments are a normal way to pay supplier invoices.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S75-F2-Q5
Entrepreneurship, Set 75: Invoice and payment scams · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.07 (local)

Set 76: Supplier terms and communicating delays

Outcome ENT.PAY.08: Read supplier terms and tell customers about delays early and honestly

Module: Foundation 9: Selling and getting paid

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

What is lead time?

A. How long from order to delivery
B. The time until a loan is repaid
C. The time a customer spends reading an ad
D. The length of a business meeting

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-M-Q1
Entrepreneurship, Set 76: Supplier terms and communicating delays · MAIN · Q1/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

What is a minimum order quantity?

A. The fewest customers a business may serve each day
B. The lowest price a shop may charge
C. The smallest amount a supplier will sell in one order
D. The smallest box size available

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-M-Q2
Entrepreneurship, Set 76: Supplier terms and communicating delays · MAIN · Q2/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

A supplier's lead time is 3 weeks. When should an owner order for a sale starting June 22?

A. By June 21
B. On June 22
C. By June 15
D. By June 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-M-Q3
Entrepreneurship, Set 76: Supplier terms and communicating delays · MAIN · Q3/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

An order will be late. When should the customer be told?

A. Never, to avoid awkwardness
B. On the original delivery day
C. As soon as the owner knows
D. Only if the customer asks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-M-Q4
Entrepreneurship, Set 76: Supplier terms and communicating delays · MAIN · Q4/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

What should a delay message include?

A. Blame on the customer
B. Only an apology, with no new date or options
C. A promise with no plan
D. What happened, the new date and options

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-M-Q5
Entrepreneurship, Set 76: Supplier terms and communicating delays · MAIN · Q5/5 · Outcome ENT.PAY.08 (local)

Learn
If a friend is going to be 30 minutes late for dinner, a text saying "Running 30 minutes late, traffic, still coming—want to order without me?" feels fine. A friend who just never shows up and says nothing feels terrible. Businesses work the same way: a delay with an early, honest message keeps trust; silence breaks it.

Which message keeps trust?

A. A message after dinner ends
B. "Maybe I'll come, maybe not, we'll see"
C. "Running 30 minutes late, still coming"
D. No message at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-B1-Q1
Entrepreneurship, Set 76: Supplier terms and communicating delays · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PAY.08 (local)

Learn
If a friend is going to be 30 minutes late for dinner, a text saying "Running 30 minutes late, traffic, still coming—want to order without me?" feels fine. A friend who just never shows up and says nothing feels terrible. Businesses work the same way: a delay with an early, honest message keeps trust; silence breaks it.

What does silence make people assume?

A. The worst
B. Nothing
C. The best
D. A gift is coming

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-B1-Q2
Entrepreneurship, Set 76: Supplier terms and communicating delays · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PAY.08 (local)

Learn
If a friend is going to be 30 minutes late for dinner, a text saying "Running 30 minutes late, traffic, still coming—want to order without me?" feels fine. A friend who just never shows up and says nothing feels terrible. Businesses work the same way: a delay with an early, honest message keeps trust; silence breaks it.

"Want to order without me?" is like what in business?

A. Offering the customer options
B. Charging more
C. Cancelling the order silently
D. Hiding the delay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-B1-Q3
Entrepreneurship, Set 76: Supplier terms and communicating delays · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PAY.08 (local)

Learn
If a friend is going to be 30 minutes late for dinner, a text saying "Running 30 minutes late, traffic, still coming—want to order without me?" feels fine. A friend who just never shows up and says nothing feels terrible. Businesses work the same way: a delay with an early, honest message keeps trust; silence breaks it.

When should the late friend text?

A. After dinner ends
B. Next week
C. Never
D. As soon as they know

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-B1-Q4
Entrepreneurship, Set 76: Supplier terms and communicating delays · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PAY.08 (local)

Learn
If a friend is going to be 30 minutes late for dinner, a text saying "Running 30 minutes late, traffic, still coming—want to order without me?" feels fine. A friend who just never shows up and says nothing feels terrible. Businesses work the same way: a delay with an early, honest message keeps trust; silence breaks it.

"Traffic" in the message is like what?

A. A discount
B. A new price
C. Explaining what happened
D. Blaming the customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-B1-Q5
Entrepreneurship, Set 76: Supplier terms and communicating delays · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

A shop sells 40 mugs a week. The supplier's lead time is 2 weeks. About how many mugs must be on hand when ordering to avoid running out before delivery?

A. 80 mugs
B. 40 mugs
C. 42 mugs
D. 20 mugs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F1-Q1
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PAY.08 (local)

Learn
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A supplier's minimum order is 200 labels; the owner uses 50 a month. How many months will one order last?

A. 2 months
B. 4 months
C. 200 months
D. 50 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F1-Q2
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

Which delay notice is best?

A. "Your order is delayed by our supplier; new ship date May 9. Reply to cancel for a full refund."

B. "Not our fault. Wait."

C. No notice at all; just ship the order whenever the supplier's stock finally arrives

D. "There may be issues. We'll see."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F1-Q3
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PAY.08 (local)

Learn
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A supplier misses a delivery. The owner promised customers Friday. What is the first step?

A. Ship empty boxes on time
B. Wait until Friday and say nothing to the customers
C. Tell affected customers right away with a new estimate
D. Cancel all orders without asking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F1-Q4
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

Supplier terms are Net 30, and customers pay on delivery, which happens before day 30. Why does this help cash flow?

A. It means the supplier never needs to be paid for the goods
B. It doubles sales
C. It removes all costs
D. Customer money arrives before the supplier bill is due

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F1-Q5
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PAY.08 (local)

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A key supplier has been late 4 times in 6 months. What should the owner consider?

A. Stopping all sales
B. Ignoring the pattern
C. Promising customers faster delivery anyway
D. Finding a backup supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F2-Q1
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PAY.08 (local)

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Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

A backup supplier costs 10 percent more. A 500-dollar order would cost how much more?

A. 550 dollars
B. 5 dollars
C. 50 dollars
D. 10 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F2-Q2
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PAY.08 (local)

Learn
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A customer wants a firm date during a supplier delay. The owner is unsure. What is honest?

A. Make up a tracking number
B. Give a range and promise an update by a set day
C. Promise a firm date she cannot be sure of meeting
D. Refuse to answer at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F2-Q3
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PAY.08 (local)

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Ordering more stock to avoid delays ties up cash. What balance should the owner find?

A. Enough safety stock without draining cash
B. Order a year of stock at once regardless
C. Order only after customers complain
D. Never keep any stock

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F2-Q4
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PAY.08 (local)

Learn
Suppliers have terms too: minimum order quantities, lead time (how long from order to delivery), payment terms, and return rules. Plan orders so supplies arrive before you need them. When something will be late, from your supplier or from you, COMMUNICATE EARLY: tell the customer what happened, the new expected date, and what you will do (for example, offer a choice to wait or cancel). Silence makes customers assume the worst; honest updates keep trust.

Which statement is accurate?

A. Early, honest updates keep trust even when delays happen.
B. Delays always destroy a business.
C. Suppliers never change terms.
D. Customers prefer silence to hearing any bad news about orders.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S76-F2-Q5
Entrepreneurship, Set 76: Supplier terms and communicating delays · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PAY.08 (local)

Set 77: A clear offer and next action

Outcome ENT.WEB.01: Make a page say what is offered, for whom and what to do next

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

Which three questions should the top of a main page answer?

A. When the owner was born, where she grew up, and her hobbies
B. What, who it is for, and what to do next
C. How big the company hopes to grow over the next ten years
D. Which web host and font the site uses for its pages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-M-Q1
Entrepreneurship, Set 77: A clear offer and next action · MAIN · Q1/5 · Outcome ENT.WEB.01 (local)

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

What is a call to action?

A. A list of every product the business has ever sold
B. A legal notice about the site's privacy rules
C. A clear next step for the visitor
D. A phone call from the owner to every visitor who arrives

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-M-Q2
Entrepreneurship, Set 77: A clear offer and next action · MAIN · Q2/5 · Outcome ENT.WEB.01 (local)

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

Which headline is clearest?

A. "Welcome to our website, we hope you enjoy your visit"
B. "Excellence in everything we do, every day, for you"
C. "Passion, quality and dedication since we started"
D. "Dog walking for busy owners in Eastfield"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-M-Q3
Entrepreneurship, Set 77: A clear offer and next action · MAIN · Q3/5 · Outcome ENT.WEB.01 (local)

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

How many main calls to action should a page usually have?

A. One
B. Ten, so visitors have plenty of choices
C. None, so visitors decide entirely on their own
D. Five, all with the same size and color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-M-Q4
Entrepreneurship, Set 77: A clear offer and next action · MAIN · Q4/5 · Outcome ENT.WEB.01 (local)

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

Which call to action is clearest?

A. "Learn about our journey and our values"
B. "Submit"
C. "Book your first walk"
D. "Click here for more stuff and things"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-M-Q5
Entrepreneurship, Set 77: A clear offer and next action · MAIN · Q5/5 · Outcome ENT.WEB.01 (local)

Learn
Walking past a shop, you look for a sign saying what it sells and an open door. "Fresh bread, open now" tells you everything; a sign reading "Dreams" does not. A website's top section is the sign, and the call to action is the open door. If either is missing, people walk past, even if the shop is good.

A website's top section is like what?

A. The back storage room
B. The shop sign
C. The cash register drawer
D. The parking lot behind the shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-B1-Q1
Entrepreneurship, Set 77: A clear offer and next action · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.01 (local)

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The call to action is like what?

A. The roof of the building
B. A window with the curtains closed
C. A locked gate around the shop
D. The open door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-B1-Q2
Entrepreneurship, Set 77: A clear offer and next action · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.01 (local)

Learn
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Which sign is clearer?

A. "Dreams"
B. "Fresh bread, open now"
C. "We are here"
D. "Welcome to this place"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-B1-Q3
Entrepreneurship, Set 77: A clear offer and next action · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.01 (local)

Learn
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What happens if the sign and door are missing?

A. More people come inside
B. Rent goes down
C. The bread bakes faster
D. People walk past

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-B1-Q4
Entrepreneurship, Set 77: A clear offer and next action · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.01 (local)

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Can a good shop lose visitors because of a bad sign?

A. Yes
B. No, quality always shows from the street
C. Only if it rains
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-B1-Q5
Entrepreneurship, Set 77: A clear offer and next action · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.WEB.01 (local)

Learn
A visitor decides in seconds whether a website is useful. The top of the main page should answer three questions: WHAT do you offer, WHO is it for, and WHAT should the visitor do next? The next action is called a CALL TO ACTION, such as "Book a free 15-minute call" or "Order now." Use one main call to action per page, in plain words, easy to see. Example: "Dog walking for busy owners in Eastfield. Book your first walk." Vague slogans like "Excellence in everything" do not tell visitors what to do.

A tutor's page says "Unlock your potential." Which rewrite is best?

A. "Unlock your potential and reach for the stars every day."

B. "Math tutoring for grades 6-8 in Eastfield. Book a free first session."

C. "Tutoring. Things. Stuff. Call maybe if you want to."

D. "Welcome! Please read our long story about why we started this business years ago."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F1-Q1
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.WEB.01 (local)

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A bakery page has buttons for "Order," "Newsletter," "Careers," "Blog" and "Gallery," all the same size. What should change?

A. Add five more buttons of the same size
B. Make every button flash
C. Remove the "Order" button entirely
D. Make "Order" the clear main button

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F1-Q2
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.01 (local)

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A page gets 500 visitors and 10 click "Book now." What percent clicked?

A. 2 percent
B. 10 percent
C. 50 percent
D. 5 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F1-Q3
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.WEB.01 (local)

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Before a headline rewrite, 10 of 500 visitors clicked "Book now." After it, 25 of 500 visitors click. How many more clicks than before?

A. 35
B. 10
C. 15
D. 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F1-Q4
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.01 (local)

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Which detail best shows WHO the offer is for?

A. "for busy owners in Eastfield"
B. "and so much more"
C. "with lots of passion and care"
D. "since last spring"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F1-Q5
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.WEB.01 (local)

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A shop sells candles, soap and gift boxes. What is a good approach for the main page?

A. Lead with the main offer and link clearly to the others
B. Pick a random product each day
C. Show nothing until visitors scroll far down
D. List every product in tiny text with no headline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F2-Q1
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.01 (local)

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An owner wants visitors to call, email, book online and follow on social media, all equally. What is the risk?

A. More options always mean more sales for the business
B. Visitors may do nothing because no step stands out
C. Search engines ban the page
D. Visitors always do every step

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F2-Q2
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.01 (local)

Learn
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A call to action says "Get a quote," but the form asks for 15 fields. What might happen?

A. Every visitor finishes happily
B. Sales double automatically
C. Many visitors give up
D. Nothing changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F2-Q3
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.WEB.01 (local)

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A headline is clear but the page loads very slowly on phones. What should the owner check next?

A. The owner's biography
B. The footer color
C. The logo's font
D. Page speed on a phone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F2-Q4
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.01 (local)

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Which statement is accurate?

A. Slogans always work better than plain descriptions.
B. A clear offer and one main next step help visitors act.
C. More buttons always help.
D. Visitors read every word before deciding.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S77-F2-Q5
Entrepreneurship, Set 77: A clear offer and next action · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.01 (local)

Set 78: Trust signals, pricing, FAQ and policies

Outcome ENT.WEB.02: Choose truthful trust signals and the policies and answers a visitor needs

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Visitors need reasons to trust a new business. TRUST SIGNALS include real contact details, a short "about" section with a real person, genuine reviews used with permission, photos of actual work, and clear policies. Showing PRICES (or a starting price) saves everyone time. An FAQ (frequently asked questions) answers common worries such as delivery time or what happens if something goes wrong. Posting refund, privacy and shipping policies before purchase sets expectations. Never invent reviews or badges.

Which is an honest trust signal?

A. Genuine reviews used with permission
B. Stock photos labeled as the owner's own completed work
C. Made-up five-star reviews written by the owner herself
D. A "Best in the World" badge the owner designed for herself

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-M-Q1
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · MAIN · Q1/5 · Outcome ENT.WEB.02 (local)

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What is an FAQ?

A. A legal filing with the state each year
B. A list of the owner's favorite quotes
C. A fee charged for answering questions
D. Answers to common questions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-M-Q2
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · MAIN · Q2/5 · Outcome ENT.WEB.02 (local)

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Why show a price or starting price?

A. It hides the real cost from customers
B. It is required on every website by federal law
C. It saves visitors and the owner time
D. It guarantees that every visitor will buy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-M-Q3
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · MAIN · Q3/5 · Outcome ENT.WEB.02 (local)

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When should refund and shipping policies be visible?

A. Never; policies scare visitors
B. Only in a printed letter mailed later
C. Only after a complaint arrives
D. Before purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-M-Q4
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · MAIN · Q4/5 · Outcome ENT.WEB.02 (local)

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Which detail shows a real business behind the site?

A. Real contact details
B. A long list of buzzwords
C. A countdown timer on every page
D. A hidden email address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-M-Q5
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · MAIN · Q5/5 · Outcome ENT.WEB.02 (local)

Learn
Before hiring a new babysitter, parents want a real name, a way to reach them, references from families they helped, a clear hourly rate, and answers to "What if my child gets sick?" A website is the same first meeting. Real contact details, honest reviews, prices and answers to common worries help a stranger decide to trust you.

References from families are like what on a website?

A. A fancy logo
B. A long slogan
C. Genuine reviews
D. Bright colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-B1-Q1
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.02 (local)

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A clear hourly rate is like what?

A. A tax form
B. Showing prices
C. Hiding prices
D. A coupon

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-B1-Q2
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.02 (local)

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"What if my child gets sick?" is like what?

A. A logo
B. A sales pitch
C. An FAQ answer
D. A review

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-B1-Q3
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.02 (local)

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A way to reach the babysitter is like what?

A. No phone number listed
B. Real contact details
C. A fake address
D. A hidden email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-B1-Q4
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.02 (local)

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Why do parents want these things?

A. To waste time
B. To decide whether to trust a stranger
C. To pay more
D. To avoid hiring anyone at all, ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-B1-Q5
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.WEB.02 (local)

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A new cleaning service has no reviews yet. What is an honest option?

A. Write a few glowing reviews under made-up customer names
B. Ask early customers for permission to share their feedback
C. Copy reviews from a competitor
D. Buy reviews from a website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F1-Q1
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Customers often email asking about delivery time. What would reduce these emails?

A. Removing the email address from the website
B. An FAQ answer about delivery times
C. A popup advertisement on every page
D. Ignoring the emails

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F1-Q2
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.02 (local)

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Which "about" section builds the most trust?

A. "We are a world-leading enterprise of solutions."
B. "We prefer to stay anonymous."
C. "I'm Dana, I've cleaned homes in Eastfield for 6 years."
D. "About us: coming soon, check back."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F1-Q3
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.WEB.02 (local)

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A site shows "from 80 dollars" and gets 40 inquiries, 30 of which fit the budget. Before, without prices, 40 inquiries had only 12 that fit. How many more fitting inquiries?

A. 18
B. 12
C. 28
D. 30

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F1-Q4
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.02 (local)

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Which policy should a shop selling online post before checkout?

A. Its owner's diet
B. Its staff birthdays
C. Its office plant schedule
D. Its refund and shipping policy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F1-Q5
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A web designer offers to add a "Trusted by 10,000 customers" banner, but the shop has 40. What should the owner do?

A. Accept, since everyone exaggerates
B. Change it to 9,000
C. Refuse, because the claim is false
D. Hide it on another page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F2-Q1
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.02 (local)

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A competitor displays award badges from a contest that does not exist. What is the lesson?

A. Copy them to look equal
B. Invented badges are deceptive and risky
C. Badges never matter
D. Make an even bigger badge for her own site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F2-Q2
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.02 (local)

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A business prefers not to show exact prices because each job differs. What is a helpful middle ground?

A. Show no information at all about cost
B. Show a fake low price
C. Show a price meant for another service
D. Show a starting price or typical range

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F2-Q3
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A review mentions a customer's full name and address. What should the owner do before posting it?

A. Get permission and remove private details
B. Add even more details
C. Change the customer's words to sound better
D. Post it exactly as written

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F2-Q4
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Which statement is accurate?

A. Prices should always be hidden.
B. Fake reviews are harmless as long as they are positive and kind.
C. Honest signals build trust; invented ones risk trust and legal trouble.
D. Policies scare customers away.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S78-F2-Q5
Entrepreneurship, Set 78: Trust signals, pricing, FAQ and policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.02 (local)

Set 79: Readable on phones, accessible forms

Outcome ENT.WEB.03: Make pages readable on phones and forms usable by more people

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Many visitors use phones, so check every page on a small screen. Text should be large enough to read without zooming, buttons big enough to tap, and nothing should require sideways scrolling. ACCESSIBILITY means people with disabilities can use the site too: give images short text descriptions (alt text), keep strong contrast between text and background, label every form field, and make forms short. A form with 3 fields is usually finished more often than one with 12.

What is alt text?

A. A short text description of an image
B. A second, alternative website for older visitors
C. A secret password typed to edit the website
D. The large heading at the top of each page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-M-Q1
Entrepreneurship, Set 79: Readable on phones, accessible forms · MAIN · Q1/5 · Outcome ENT.WEB.03 (local)

Learn
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Which is a phone-friendly practice?

A. Tiny links packed tightly together
B. Pages that need sideways scrolling to read
C. Buttons big enough to tap
D. Text so small that zooming is required

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-M-Q2
Entrepreneurship, Set 79: Readable on phones, accessible forms · MAIN · Q2/5 · Outcome ENT.WEB.03 (local)

Learn
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Why label every form field?

A. So visitors must guess
B. So everyone knows what to type
C. So the form looks longer and more official
D. Because labels make pages load faster

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-M-Q3
Entrepreneurship, Set 79: Readable on phones, accessible forms · MAIN · Q3/5 · Outcome ENT.WEB.03 (local)

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Which is better for contrast?

A. Dark text on a light background
B. Light gray text on a white background
C. Yellow text on a white background
D. Dark blue text on a black background

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-M-Q4
Entrepreneurship, Set 79: Readable on phones, accessible forms · MAIN · Q4/5 · Outcome ENT.WEB.03 (local)

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Which form is usually finished more often?

A. One with 20 fields
B. One with no labels
C. One with 12 fields
D. One with 3 fields

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-M-Q5
Entrepreneurship, Set 79: Readable on phones, accessible forms · MAIN · Q5/5 · Outcome ENT.WEB.03 (local)

Learn
Imagine a menu with tiny gray letters in a dark restaurant: hard to read. Now imagine a menu with large dark letters on white paper and pictures described in words: easy for everyone, including someone with poor eyesight. A website on a phone is like that menu. Big clear text, labeled choices and descriptions of pictures help everyone order.

Tiny gray letters in the dark are like what?

A. Low-contrast small text on a phone
B. A short form
C. A clear, readable website on a phone
D. A big button

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-B1-Q1
Entrepreneurship, Set 79: Readable on phones, accessible forms · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.03 (local)

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Pictures described in words are like what?

A. Ads
B. Alt text
C. Hidden text
D. Passwords

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-B1-Q2
Entrepreneurship, Set 79: Readable on phones, accessible forms · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.03 (local)

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Who benefits from large dark letters?

A. Only the chef working in the kitchen tonight
B. Only children
C. Everyone, including people with poor eyesight
D. Nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-B1-Q3
Entrepreneurship, Set 79: Readable on phones, accessible forms · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.03 (local)

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Labeled choices on a menu are like what?

A. A long story
B. Labeled form fields
C. Hidden prices on the menu
D. Blank boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-B1-Q4
Entrepreneurship, Set 79: Readable on phones, accessible forms · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.03 (local)

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The website on a phone is like what?

A. The parking lot
B. The menu
C. The kitchen
D. The roof

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-B1-Q5
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An owner tests her booking page on a phone and must zoom to read the prices. What should change?

A. Remove the prices
B. Use lighter gray text
C. Increase the text size
D. Add more text to the same area

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F1-Q1
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A contact form asks for name, email, phone, address, birthday, company size, budget, favorite color and how they heard about you. What is the best fix?

A. Keep only the fields truly needed
B. Make it a 3-page form
C. Remove the labels
D. Add more optional fields at the end

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F1-Q2
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.03 (local)

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A form had 12 fields and 20 of 200 visitors finished it. After cutting to 4 fields, 50 of 200 finished. By how many percentage points did completion rise?

A. 10
B. 25
C. 30
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F1-Q3
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Which alt text is most useful for a photo of a blue ceramic mug?

A. "image123.jpg"
B. "Blue ceramic coffee mug, 12 ounces"
C. "Buy now buy now buy now today"
D. "Picture"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F1-Q4
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.03 (local)

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A button reads only "Go." What would make it clearer?

A. "Click"
B. "Send my booking request"
C. "Next thing, please, now"
D. "OK"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F1-Q5
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A designer wants pale gray text because it "looks elegant." What should the owner weigh?

A. Only what looks trendy this year
B. Only the designer's preference
C. Nothing; color never matters
D. Readability for all visitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F2-Q1
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.03 (local)

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An image contains important text, like the price list, with no other text version. What problem does this create?

A. It makes the site load faster
B. Search engines prefer it
C. Nothing, because images with text always work everywhere for everyone
D. Screen readers and some phones may not show the information clearly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F2-Q2
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.03 (local)

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A form fails without saying why. What should it do?

A. Erase all the visitor's entries silently
B. Close the page
C. Show a clear message about what to fix
D. Show only a red flash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F2-Q3
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The site works on the owner's large computer screen. What else should she test?

A. Only her own computer again
B. A phone and a slow connection
C. Nothing else
D. Only the logo file

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F2-Q4
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.03 (local)

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Which statement is accurate?

A. Clear, accessible pages help more people use the site.
B. Phones are rarely used to browse.
C. Accessibility only helps a tiny group of visitors, so it can wait.
D. Longer forms always get more sign-ups.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S79-F2-Q5
Entrepreneurship, Set 79: Readable on phones, accessible forms · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.03 (local)

Set 80: Domain, hosting and builders: who owns what

Outcome ENT.WEB.04: Tell a domain, hosting and a website builder apart, and keep ownership, renewals and recovery access

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A website has parts. The DOMAIN is the address (yourshop.example), rented yearly from a registrar. HOSTING is the service that stores the site and shows it to visitors. A WEBSITE BUILDER combines hosting and design tools. Check WHO OWNS each part: the domain should be registered in the business owner's name and account, not only a designer's. Keep the login details safe, turn on auto-renewal or a reminder, and know how to export your content if you switch builders.

What is a domain?

A. The computer that stores the website's files
B. A legal entity like an LLC
C. The website's address
D. The company that designs the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-M-Q1
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · MAIN · Q1/5 · Outcome ENT.WEB.04 (local)

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What is hosting?

A. The text on the homepage
B. The owner of the business
C. The address visitors type into a browser
D. The service that stores and shows the site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-M-Q2
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · MAIN · Q2/5 · Outcome ENT.WEB.04 (local)

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In whose account should the domain be registered?

A. A random friend's account
B. The business owner's
C. Only the web designer's personal account
D. Nobody's account at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-M-Q3
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · MAIN · Q3/5 · Outcome ENT.WEB.04 (local)

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Why turn on domain auto-renewal or a reminder?

A. So the business pays no taxes
B. So the website loads faster
C. So the address does not expire
D. So the logo changes color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-M-Q4
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · MAIN · Q4/5 · Outcome ENT.WEB.04 (local)

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Why know how to export content from a builder?

A. So the site looks fancier
B. So you can move if you switch builders
C. Because exports double the site's traffic
D. Because builders never close

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-M-Q5
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · MAIN · Q5/5 · Outcome ENT.WEB.04 (local)

Learn
Think of a shop. The street address is the domain: how people find it. The building is the hosting: where the shop actually sits. The furniture and decorations are the design. If the address is registered in someone else's name, they could redirect your customers. That is why the business owner should hold the address in her own name.

The street address is like what?

A. The design
B. The hosting
C. The logo
D. The domain

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-B1-Q1
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.04 (local)

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The building is like what?

A. The hosting
B. The domain
C. The design
D. The price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-B1-Q2
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.04 (local)

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The furniture is like what?

A. The bank
B. The hosting
C. The design
D. The domain

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-B1-Q3
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.04 (local)

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Think of a shop. The street address is the domain: how people find it. The building is the hosting: where the shop actually sits. The furniture and decorations are the design. If the address is registered in someone else's name, they could redirect your customers. That is why the business owner should hold the address in her own name.

What could happen if someone else holds your address?

A. Nothing at all would change for you
B. They could redirect your customers
C. Rent goes down
D. Sales double

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-B1-Q4
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.04 (local)

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Who should hold the address?

A. The business owner
B. Nobody
C. A stranger
D. A competitor down the street

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-B1-Q5
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.WEB.04 (local)

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A designer built Rosa's site and registered the domain in the designer's own account. What should Rosa do?

A. Buy a different domain and forget the old one
B. Share her bank password with the designer
C. Nothing, because designers always keep it safe
D. Ask to transfer the domain into her own account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F1-Q1
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.WEB.04 (local)

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Domain 15 dollars a year, builder 18 dollars a month. What is the yearly total?

A. 231 dollars
B. 195 dollars
C. 216 dollars
D. 33 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F1-Q2
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.04 (local)

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A domain expired because the card on file was out of date. What would have prevented this?

A. Fewer products
B. A longer homepage with more text
C. A new logo design
D. An updated card and a renewal reminder

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F1-Q3
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.WEB.04 (local)

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Which item should the business owner keep in a safe place?

A. A blank form
B. The login details for the registrar and host
C. A copy of a competitor's site and prices
D. An old newspaper ad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F1-Q4
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.04 (local)

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A builder plan costs 25 dollars a month, or 240 dollars if paid yearly. How much does yearly payment save?

A. 25 dollars
B. 300 dollars
C. 60 dollars
D. 240 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F1-Q5
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.WEB.04 (local)

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An owner wants to leave her builder but cannot export her product pages. What should she plan?

A. Deleting the domain
B. Nothing; everything moves automatically
C. Paying the builder forever regardless
D. Time to rebuild pages elsewhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F2-Q1
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A former helper still has the only login to the host. What is the risk?

A. Lower costs
B. Faster loading
C. The owner may lose control of the site
D. No risk, because helpers never leave or forget

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F2-Q2
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.04 (local)

Learn
A website has parts. The DOMAIN is the address (yourshop.example), rented yearly from a registrar. HOSTING is the service that stores the site and shows it to visitors. A WEBSITE BUILDER combines hosting and design tools. Check WHO OWNS each part: the domain should be registered in the business owner's name and account, not only a designer's. Keep the login details safe, turn on auto-renewal or a reminder, and know how to export your content if you switch builders.

A "free" builder places its ads on the site and uses its own address in the URL. What tradeoff exists?

A. Lower cost but less control and a less professional look
B. No tradeoff at all
C. It always ranks first in search results for the shop's name
D. It owns the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F2-Q3
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.WEB.04 (local)

Learn
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Which statement about domain ownership is accurate?

A. Whoever controls the registrar account controls the domain.
B. Domains last forever once bought.
C. The business always owns the domain automatically.
D. The host always owns the domain.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F2-Q4
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.04 (local)

Learn
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Before signing with a web designer, what should the owner ask?

A. Nothing; ownership never matters
B. Who will own the domain, hosting account and content
C. Only how many sites they have built for other clients
D. Only the designer's favorite color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S80-F2-Q5
Entrepreneurship, Set 80: Domain, hosting and builders: who owns what · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.04 (local)

Set 81: HTTPS, testing and backups

Outcome ENT.WEB.05: Check HTTPS, test links, forms and checkout, and keep backups

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
HTTPS encrypts the connection between the visitor and the site; most builders and hosts provide it, often free. Browsers show it differently, and Chrome replaced its padlock with a settings icon, so check that the address starts with "https://" or open the browser's site information to see that the connection is secure. TEST before launch and after changes: click every link, submit every form, place a test order, and check on a phone. BACKUPS are copies of the site and its data; keep them regularly and know how to restore one. A backup you have never tested may not work when you need it.

What does HTTPS do?

A. Removes the need for any passwords
B. Makes the site rank first in every search
C. Encrypts the connection with visitors
D. Designs a new logo for the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-M-Q1
Entrepreneurship, Set 81: HTTPS, testing and backups · MAIN · Q1/5 · Outcome ENT.WEB.05 (local)

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Which test should happen before launch?

A. Changing the logo color one more time
B. Turning off the contact form
C. Writing a longer company history
D. Placing a test order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-M-Q2
Entrepreneurship, Set 81: HTTPS, testing and backups · MAIN · Q2/5 · Outcome ENT.WEB.05 (local)

Learn
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What is a backup?

A. A spare logo file
B. An extra employee
C. A copy of the site and its data
D. A second domain name for the shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-M-Q3
Entrepreneurship, Set 81: HTTPS, testing and backups · MAIN · Q3/5 · Outcome ENT.WEB.05 (local)

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Why test restoring a backup?

A. Restoring always deletes the site
B. It is required daily by law
C. Testing makes backups expire
D. An untested backup may not work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-M-Q4
Entrepreneurship, Set 81: HTTPS, testing and backups · MAIN · Q4/5 · Outcome ENT.WEB.05 (local)

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How can a visitor check that HTTPS is on?

A. Check for "https://" or the browser's connection info
B. The site shows many large pictures on each page
C. A big red banner runs across the top of the page
D. The page has a long footer full of links

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-M-Q5
Entrepreneurship, Set 81: HTTPS, testing and backups · MAIN · Q5/5 · Outcome ENT.WEB.05 (local)

Learn
Sending a postcard lets anyone read it; a sealed envelope keeps it private. HTTPS is the sealed envelope for information sent to your site. A backup is like a spare house key kept with a trusted friend: if you lose yours, you can get back in. But you should try the spare once to make sure it actually fits the lock.

HTTPS is like what?

A. A shout
B. A postcard
C. A sealed envelope
D. A roadside billboard

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-B1-Q1
Entrepreneurship, Set 81: HTTPS, testing and backups · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.05 (local)

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A backup is like what?

A. A doorbell
B. A broken door lock
C. A new house
D. A spare house key

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-B1-Q2
Entrepreneurship, Set 81: HTTPS, testing and backups · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.05 (local)

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Why try the spare key once?

A. To make sure it fits
B. To lose it
C. To wear it out
D. To copy it publicly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-B1-Q3
Entrepreneurship, Set 81: HTTPS, testing and backups · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.05 (local)

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A postcard is like a site without what?

A. A logo
B. A price list
C. HTTPS
D. A domain

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-B1-Q4
Entrepreneurship, Set 81: HTTPS, testing and backups · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.05 (local)

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Where is the spare key kept?

A. With a trusted friend
B. Nowhere
C. Under the front doormat
D. In the lock

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-B1-Q5
Entrepreneurship, Set 81: HTTPS, testing and backups · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.WEB.05 (local)

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An owner's checkout page shows "Not secure" in the browser. What should she do first?

A. Add a bigger "Buy now" button to the checkout
B. Change the font
C. Turn on HTTPS through her host or builder
D. Ignore the warning

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F1-Q1
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.WEB.05 (local)

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A checklist has 20 items and 16 pass. What percent pass?

A. 16 percent
B. 80 percent
C. 4 percent
D. 20 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F1-Q2
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.05 (local)

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After editing the shop page, which test is most important?

A. Rereading the about page
B. Checking the footer year
C. Counting images
D. Placing a test order again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F1-Q3
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.WEB.05 (local)

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Backups run weekly. The site breaks on Friday; the last backup was Monday. How many days of changes could be lost?

A. 0 days
B. 7 days
C. 4 days
D. 1 day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F1-Q4
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.05 (local)

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Which backup habit is best?

A. Regular backups stored separately and tested
B. No backups to save time
C. Backups stored only on the same server
D. One backup made years ago

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F1-Q5
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.WEB.05 (local)

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A plugin update breaks the checkout. What helps recover fastest?

A. Waiting for customers to report problems
B. Restoring a recent tested backup
C. Deleting the domain
D. Rebuilding the whole site from memory

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F2-Q1
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.05 (local)

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Daily orders average 12. Checkout was broken for 3 days unnoticed. About how many orders may have been lost?

A. 12
B. 4
C. 36
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F2-Q2
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.05 (local)

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What would have caught the broken checkout sooner?

A. Never updating anything
B. Testing checkout after every update
C. Hiding the checkout page from visitors
D. Adding more pages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F2-Q3
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.WEB.05 (local)

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An owner's only backup is on the same server as the site, which fails. What is the lesson?

A. Make backups only yearly
B. Servers never fail
C. Backups are useless
D. Store backups separately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F2-Q4
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.05 (local)

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Which statement is accurate?

A. HTTPS makes a site impossible to break, so testing is not needed.
B. Testing is only needed once at launch.
C. Backups never need testing.
D. HTTPS, testing and tested backups reduce the damage from problems.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S81-F2-Q5
Entrepreneurship, Set 81: HTTPS, testing and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.05 (local)

Set 82: Search visibility basics

Outcome ENT.WEB.06: Improve how search engines and people understand a page, without promised rankings

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
SEARCH VISIBILITY means people can find your site when they search. Basics: use the words customers actually type (for example "dog walker Eastfield" rather than "canine companionship solutions"); give each page a clear title and heading; write useful, original text; and for local businesses, keep the business name, address and phone the same everywhere and set up free local business listings. Results take time. Be wary of anyone promising "number one on search in a week."

Which words should a page use?

A. Random popular words unrelated to the business
B. Only the owner's inside jokes
C. Words customers actually type
D. Fancy terms customers never use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-M-Q1
Entrepreneurship, Set 82: Search visibility basics · MAIN · Q1/5 · Outcome ENT.WEB.06 (local)

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Which phrase is a better page title for a local dog walker?

A. "Welcome Page Number One"
B. "Dog Walker in Eastfield"
C. "Canine Companionship Solutions"
D. "Home"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-M-Q2
Entrepreneurship, Set 82: Search visibility basics · MAIN · Q2/5 · Outcome ENT.WEB.06 (local)

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What should stay the same across local listings?

A. Only the logo color
B. Nothing; vary them for variety
C. Only the owner's nickname
D. Business name, address and phone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-M-Q3
Entrepreneurship, Set 82: Search visibility basics · MAIN · Q3/5 · Outcome ENT.WEB.06 (local)

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How quickly do search results usually improve?

A. Only if you pay to guarantee first place
B. Over time
C. Never, under any circumstances
D. Instantly, within an hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-M-Q4
Entrepreneurship, Set 82: Search visibility basics · MAIN · Q4/5 · Outcome ENT.WEB.06 (local)

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Someone promises "number one on search in a week." How should an owner react?

A. Be wary of the promise
B. Give them all passwords
C. Pay immediately before the offer ends
D. Trust it because it sounds confident

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-M-Q5
Entrepreneurship, Set 82: Search visibility basics · MAIN · Q5/5 · Outcome ENT.WEB.06 (local)

Learn
If you label storage boxes "Stuff," nobody can find the winter coats. If you label one "Winter coats - adults," people find it quickly. Search engines are like a giant storage room. Clear page titles and the words people really use are good labels. Fancy labels that nobody searches for leave your box unfound, even if what is inside is exactly what people want.

Which box label is easier to find?

A. "Misc"
B. "Box 7, shelf B, back row"
C. "Winter coats - adults"
D. "Stuff"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-B1-Q1
Entrepreneurship, Set 82: Search visibility basics · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.WEB.06 (local)

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Search engines are like what?

A. A trash can
B. A single small drawer
C. A locked safe
D. A giant storage room

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-B1-Q2
Entrepreneurship, Set 82: Search visibility basics · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.WEB.06 (local)

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Clear page titles are like what?

A. Good box labels
B. Broken, torn boxes
C. Hidden boxes
D. Blank boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-B1-Q3
Entrepreneurship, Set 82: Search visibility basics · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.WEB.06 (local)

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Fancy labels nobody searches for lead to what?

A. Instant sales
B. More visitors finding it
C. Lower rent
D. Your box going unfound

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-B1-Q4
Entrepreneurship, Set 82: Search visibility basics · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.WEB.06 (local)

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What makes a good label?

A. Random numbers and letters
B. The words people really use
C. Secret codes
D. Long jokes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-B1-Q5
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A bakery's homepage title is "Home." What is a better title?

A. "Home Page Welcome Hello - Our Site - Page 1"
B. "Fresh Bread and Cakes - Riverside Bakery, Eastfield"
C. "Untitled Document 1"
D. "Click Here Now Please"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F1-Q1
Entrepreneurship, Set 82: Search visibility basics · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.WEB.06 (local)

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The bakery's phone number differs on its site and two listings. What should it do?

A. Make the number the same everywhere
B. Remove the phone number entirely
C. Keep all three numbers for variety
D. Add a fourth number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F1-Q2
Entrepreneurship, Set 82: Search visibility basics · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.06 (local)

Learn
SEARCH VISIBILITY means people can find your site when they search. Basics: use the words customers actually type (for example "dog walker Eastfield" rather than "canine companionship solutions"); give each page a clear title and heading; write useful, original text; and for local businesses, keep the business name, address and phone the same everywhere and set up free local business listings. Results take time. Be wary of anyone promising "number one on search in a week."

A page gets 200 visits a month from search. After clearer titles, it gets 260. What is the percent increase?

A. 23 percent
B. 60 percent
C. 30 percent
D. 260 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F1-Q3
Entrepreneurship, Set 82: Search visibility basics · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.WEB.06 (local)

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Which content is most useful for search and customers?

A. An original page answering "How to order a custom cake"
B. An empty page with only a title
C. A page stuffed with "cake cake cake" repeated hundreds of times
D. A page copied from a competitor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F1-Q4
Entrepreneurship, Set 82: Search visibility basics · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.06 (local)

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A plumber serves Eastfield and Westvale. What might help local searchers?

A. Only a logo
B. Listing 50 cities he never visits
C. Hiding the service area
D. Clear mention of the areas served

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F1-Q5
Entrepreneurship, Set 82: Search visibility basics · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.WEB.06 (local)

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An agency offers to add hundreds of hidden keywords to the page. What should the owner consider?

A. It always guarantees first place
B. Hidden tricks can hurt trust and visibility
C. Hidden words are invisible, so harmless
D. Search engines reward hidden text

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F2-Q1
Entrepreneurship, Set 82: Search visibility basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.06 (local)

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After a month of improvements, search visits have not changed. What is a reasonable view?

A. Undo all improvements immediately
B. Pay for a guaranteed ranking
C. Search never works for small businesses, so stop trying
D. Results often take more time; keep improving and measuring

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F2-Q2
Entrepreneurship, Set 82: Search visibility basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.WEB.06 (local)

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A competitor posts fake listings with other addresses. What should the owner do?

A. Create fake listings with other addresses too, so the competitor is crowded out
B. Give up on listings
C. Keep her own listings accurate and report misuse through official channels
D. Copy their text

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F2-Q3
Entrepreneurship, Set 82: Search visibility basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.WEB.06 (local)

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Which is NOT a search basic from the passage?

A. Consistent business listings
B. Customer words
C. Clear page titles
D. Buying a guarantee of first place

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F2-Q4
Entrepreneurship, Set 82: Search visibility basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.06 (local)

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Which statement is accurate?

A. Search results are instant and permanent.

B. Free business listings never matter for local businesses like shops and plumbers.

C. Clear, useful pages and consistent listings help people find a business over time.

D. Copying content ranks best.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S82-F2-Q5
Entrepreneurship, Set 82: Search visibility basics · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.06 (local)

Set 83: Measuring useful actions

Outcome ENT.WEB.07: Choose measures that match a site's goal, such as inquiries or sales

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Count what matters. VISITS show how many people came, but USEFUL ACTIONS show whether the site works: bookings, orders, sign-ups, calls. CONVERSION RATE = visits that included at least one useful action / total visits. Example: 20 of 800 visits included an order, so 20 / 800 = 2.5 percent. Track where visitors came from, and change one thing at a time so you know what made the difference. A big number of visits with no actions means the page is not doing its job.

What is a useful action?

A. A like on a stock photo
B. A visit that lasts one second
C. A page loading
D. A booking, order, sign-up or call

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-M-Q1
Entrepreneurship, Set 83: Measuring useful actions · MAIN · Q1/5 · Outcome ENT.WEB.07 (local)

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What is conversion rate?

A. Useful actions times total visits
B. Converting visits divided by all visits
C. All visits divided by useful actions
D. All visits minus converting visits

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-M-Q2
Entrepreneurship, Set 83: Measuring useful actions · MAIN · Q2/5 · Outcome ENT.WEB.07 (local)

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30 of 1,200 visits included an order. What is the conversion rate?

A. 2.5 percent
B. 30 percent
C. 40 percent
D. 0.25 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-M-Q3
Entrepreneurship, Set 83: Measuring useful actions · MAIN · Q3/5 · Outcome ENT.WEB.07 (local)

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Why change one thing at a time?

A. Because many changes are illegal
B. Because one change always doubles sales
C. To know which change made the difference
D. To avoid tracking anything

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-M-Q4
Entrepreneurship, Set 83: Measuring useful actions · MAIN · Q4/5 · Outcome ENT.WEB.07 (local)

Learn
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Many visits but no actions suggests what?

A. The page is not doing its job
B. Visits are always bad
C. Tracking actions is unnecessary
D. The page is perfect

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-M-Q5
Entrepreneurship, Set 83: Measuring useful actions · MAIN · Q5/5 · Outcome ENT.WEB.07 (local)

Learn

A rate compares a part to a whole. Conversion rate = visits with an action / total visits, then times 100 for a percent. Example: 15 of 500 visits included a booking: 15 / 500 = 0.03 = 3 percent. To predict actions, multiply visits by the rate: 1,000 visits at 3 percent = 0.03 x 1,000 = 30. Check that the percent is reasonable: visits with an action cannot exceed total visits, so this rate cannot pass 100 percent.

12 of 400 visits included an action. What percent is that?

A. 0.3 percent

B. 3 percent

C. 12 percent

D. 33 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-B1-Q1

Entrepreneurship, Set 83: Measuring useful actions · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.WEB.07 (local)

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2,000 visits convert at 2 percent. How many visits include an action?

A. 2,002
B. 400
C. 20
D. 40

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-B1-Q2
Entrepreneurship, Set 83: Measuring useful actions · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.WEB.07 (local)

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50 of 1,000 visits included an action. What percent is that?

A. 20 percent
B. 5 percent
C. 50 percent
D. 0.5 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-B1-Q3
Entrepreneurship, Set 83: Measuring useful actions · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.WEB.07 (local)

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Using visits with an action / total visits, a rate of 120 percent means what?

A. A mistake, since this rate cannot exceed 100 percent
B. A tax
C. A normal result for most small business websites
D. A great result

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-B1-Q4
Entrepreneurship, Set 83: Measuring useful actions · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.WEB.07 (local)

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Which is the formula for conversion rate?

A. Visits with an action + total visits
B. Visits with an action - total visits
C. Total visits / visits with an action
D. Visits with an action / total visits

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-B1-Q5
Entrepreneurship, Set 83: Measuring useful actions · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.WEB.07 (local)

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Page A: 18 of 900 visits included an order. Page B: 16 of 400 visits included an order. Which converts better?

A. B, at 4 percent
B. They are equal
C. A, at 2 percent
D. A, because it has more visits

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F1-Q1
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Visitors from local listings convert at 6 percent; from social media at 1 percent. With 300 visits from each, how many more actions come from listings?

A. 5
B. 18
C. 15
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F1-Q2
Entrepreneurship, Set 83: Measuring useful actions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.WEB.07 (local)

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An owner changed the headline, photos and price on the same day, and orders rose. What can she conclude?

A. Orders rose, but she cannot tell which change caused it
B. Nothing changed at all
C. The new headline alone caused the whole increase
D. The photos alone caused it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F1-Q3
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A store wants 50 orders a month and converts at 2.5 percent. How many visits does it need?

A. 20,000
B. 2,000
C. 125
D. 1,250

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F1-Q4
Entrepreneurship, Set 83: Measuring useful actions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.WEB.07 (local)

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Which number best shows whether the site is helping the business?

A. Length of the homepage in words
B. Total page views
C. Bookings made through the site
D. Number of images

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F1-Q5
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Visits doubled after a viral post, but orders stayed the same. What happened to conversion rate?

A. It tripled
B. It was cut in half
C. It doubled along with visits
D. It stayed the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F2-Q1
Entrepreneurship, Set 83: Measuring useful actions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.WEB.07 (local)

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A test ran for one day with 30 visits. One version got 2 orders, the other 1. What is the problem?

A. Tests always need only one day
B. Version B should be deleted now
C. Version A is proven better forever
D. The sample is too small to trust

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F2-Q2
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A tracking code was installed twice, so every visit counts double. Reported conversion is 1.5 percent. What is the true rate?

A. 3 percent
B. 1.5 percent
C. 6 percent
D. 0.75 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F2-Q3
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Sign-ups rose but almost none of them buy. What should the owner measure too?

A. Nothing else
B. Only page views
C. How many sign-ups become paying customers
D. Only the sign-up count each week and month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F2-Q4
Entrepreneurship, Set 83: Measuring useful actions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.WEB.07 (local)

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Which statement is accurate?

A. Conversion rates can exceed 100 percent.
B. Visits are the only number that matters.
C. Changing many things at once shows the cause clearly.
D. Useful actions and their rate tell more than visits alone.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S83-F2-Q5
Entrepreneurship, Set 83: Measuring useful actions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.WEB.07 (local)

Set 84: Founder case: Amazon starts with books

Outcome ENT.CASE.06: Apply a documented early decision (starting with one product category chosen for clear reasons) to a new online business

Module: Foundation 10: Website essentials

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (HistoryLink, a Washington State history encyclopedia): Amazon.com launched in July 1995 as an online bookstore, started from a rented house in Bellevue, Washington. Jeff Bezos chose books from a short list of possible products because of the huge number of titles in print and broad demand. Lesson drawn by this course (an interpretation): start online with one focused category that suits the web's strengths, such as offering more choice than a physical store. One success story does not guarantee the same result for another business.

According to the passage, what did Amazon.com sell when it launched?

A. Books
B. Groceries, clothing and electronics all at once
C. Streaming movies and music subscriptions
D. Cloud computing services for businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-M-Q1
Entrepreneurship, Set 84: Founder case: Amazon starts with books · MAIN · Q1/5 · Outcome ENT.CASE.06 (local)

Learn
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Why does the passage say books were chosen?

A. Books had no competition anywhere
B. Bezos had never read any other kind of product
C. Many titles in print and broad demand
D. Books were the only product that could be shipped

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-M-Q2
Entrepreneurship, Set 84: Founder case: Amazon starts with books · MAIN · Q2/5 · Outcome ENT.CASE.06 (local)

Learn
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Where was the company started?

A. A university laboratory in California
B. A rented house in Bellevue, Washington
C. A shopping mall in Seattle
D. A large office tower in New York

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-M-Q3
Entrepreneurship, Set 84: Founder case: Amazon starts with books · MAIN · Q3/5 · Outcome ENT.CASE.06 (local)

Learn
Documented history (HistoryLink, a Washington State history encyclopedia): Amazon.com launched in July 1995 as an online bookstore, started from a rented house in Bellevue, Washington. Jeff Bezos chose books from a short list of possible products because of the huge number of titles in print and broad demand. Lesson drawn by this course (an interpretation): start online with one focused category that suits the web's strengths, such as offering more choice than a physical store. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Start with one focused category that suits the web
B. Choose products with the fewest options
C. Always sell every product on the first day
D. Avoid the internet for new businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-M-Q4
Entrepreneurship, Set 84: Founder case: Amazon starts with books · MAIN · Q4/5 · Outcome ENT.CASE.06 (local)

Learn
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Which statement about the Amazon case is accurate?

A. It shows every new business must start in a rented house.
B. It shows focus never matters.
C. It shows one path, not proof that every online store will grow.
D. It proves any online bookstore will become huge.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-M-Q5
Entrepreneurship, Set 84: Founder case: Amazon starts with books · MAIN · Q5/5 · Outcome ENT.CASE.06 (local)

Learn
A physical bookstore can hold only so many books on its shelves. A website is not limited by shelf space: it can list far more titles than any single store. That is one way to see why books fit the web well. The documented facts are the launch, the category and the reason given; the explanation of shelf space is this course's way of making the reason concrete.

What limits a physical bookstore's selection?

A. The color of the walls
B. The owner's age
C. Shelf space
D. The weather outside

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-B1-Q1
Entrepreneurship, Set 84: Founder case: Amazon starts with books · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.06 (local)

Learn
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Why can a website list more titles?

A. It sells only one book
B. It has no customers
C. It never ships anything to anyone
D. It is not limited by shelf space

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-B1-Q2
Entrepreneurship, Set 84: Founder case: Amazon starts with books · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.06 (local)

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"Amazon launched as an online bookstore" is which kind of statement?

A. Course interpretation
B. A promise
C. Documented fact
D. A rumor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-B1-Q3
Entrepreneurship, Set 84: Founder case: Amazon starts with books · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.06 (local)

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The shelf-space explanation is which kind of statement?

A. A documented quote from Bezos
B. The course's explanation
C. A legal rule
D. A tax fact

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-B1-Q4
Entrepreneurship, Set 84: Founder case: Amazon starts with books · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.06 (local)

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What matched books to the web, according to the passage?

A. Free shipping
B. Low weight of books only
C. Many titles and broad demand
D. No taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-B1-Q5
Entrepreneurship, Set 84: Founder case: Amazon starts with books · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.06 (local)

Learn
Documented history (HistoryLink, a Washington State history encyclopedia): Amazon.com launched in July 1995 as an online bookstore, started from a rented house in Bellevue, Washington. Jeff Bezos chose books from a short list of possible products because of the huge number of titles in print and broad demand. Lesson drawn by this course (an interpretation): start online with one focused category that suits the web's strengths, such as offering more choice than a physical store. One success story does not guarantee the same result for another business.

Kai wants to sell online and can afford one category. Which choice best applies the lesson?

A. Rare houseplant seeds with many varieties hard to find locally
B. Fresh milk that must arrive cold within an hour of ordering
C. Every product a big department store sells
D. A single common item sold in every corner shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F1-Q1
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.06 (local)

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A local shop stocks 200 knitting patterns; an online catalog could list 5,000. How many more patterns online?

A. 200
B. 25
C. 4,800
D. 5,200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F1-Q2
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.06 (local)

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Which question tests whether a category suits online selling?

A. Is the logo the right shade of orange for an online store?
B. Is the owner's house large?
C. Can we sell everything on day one?
D. Does the web let us offer something stores cannot, like more choice?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F1-Q3
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A seller plans to start with 12 unrelated product types. What does the lesson suggest?

A. Add even more product types for safety
B. Sell only in person forever
C. Start with one focused category first
D. Avoid selling online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F1-Q4
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.06 (local)

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Which detail is documented, not interpreted?

A. Focus guarantees success
B. Books are the best product for anyone
C. Every founder should start in a house
D. Amazon.com launched in July 1995

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F1-Q5
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.06 (local)

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Someone says, "Amazon started with books, so I should sell books online." What is the flaw?

A. There is no flaw, because books always work online
B. Amazon never sold books
C. Books are illegal to sell online
D. The lesson is the reasoning, not the exact product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F2-Q1
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.06 (local)

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A category has many options online but very high shipping costs compared with the price. What should a founder check?

A. Whether costs still allow a profit
B. Only the founder's location
C. Nothing; more options always win
D. Only the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F2-Q2
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Big competitors already sell your planned category online. What might still help a new seller?

A. A narrower niche they serve poorly
B. Copying them exactly
C. Giving up immediately
D. Selling at a loss forever to win buyers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F2-Q3
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Which claim goes beyond what the passage documents?

A. "It launched in 1995."
B. "Starting in a house caused Amazon's success."
C. "It began as a bookstore."
D. "Books had a huge number of titles in print."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F2-Q4
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Which statement is accurate?

A. The case suggests focus and fit; other businesses must test their own markets.

B. Focus guarantees success.

C. Starting small never works.

D. Every online store that starts focused eventually becomes a giant.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S84-F2-Q5
Entrepreneurship, Set 84: Founder case: Amazon starts with books · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.06 (local)

Set 85: Choosing a channel

Outcome ENT.MKT.01: Choose a marketing channel by where the stated customers already are

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A MARKETING CHANNEL is a way of reaching customers: a social media platform, email, local flyers, a market stall, search, word of mouth, or partnerships with other businesses. Choose a channel by asking: Where do my target customers already spend time? What can I keep doing every week with my time and budget? Can I measure results? Starting with one or two channels done well usually beats a little effort on seven. A channel that works for one business may not work for another.

What is a marketing channel?

A. A television station the business must own itself
B. A way of reaching customers
C. The bank account where sales are deposited
D. A legal filing that registers the brand name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-M-Q1
Entrepreneurship, Set 85: Choosing a channel · MAIN · Q1/5 · Outcome ENT.MKT.01 (local)

Learn
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What is the first question when choosing a channel?

A. Where do my target customers already spend time?
B. Which channel do celebrities use most often?
C. Which channel has the most colorful logo?
D. Which channel did a friend's different business use?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-M-Q2
Entrepreneurship, Set 85: Choosing a channel · MAIN · Q2/5 · Outcome ENT.MKT.01 (local)

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Why start with one or two channels?

A. Because one channel always reaches every customer
B. Because measuring results is never useful
C. Because using more than two channels is illegal
D. Doing a few well usually beats spreading thin

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-M-Q3
Entrepreneurship, Set 85: Choosing a channel · MAIN · Q3/5 · Outcome ENT.MKT.01 (local)

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Which is a reason to prefer a channel?

A. It is popular with people outside your market
B. Results can be measured
C. Nobody in the target market uses it
D. It needs more time than the owner has

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-M-Q4
Entrepreneurship, Set 85: Choosing a channel · MAIN · Q4/5 · Outcome ENT.MKT.01 (local)

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A channel worked great for a gym. Will it work for a bookkeeping service?

A. No, bookkeepers can never market at all
B. Yes, every channel works the same for all businesses
C. Not necessarily; customers differ
D. Yes, if the bookkeeper copies the gym's logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-M-Q5
Entrepreneurship, Set 85: Choosing a channel · MAIN · Q5/5 · Outcome ENT.MKT.01 (local)

Learn
An old saying goes, "Fish where the fish are." A fancy rod is useless in an empty pond. Marketing channels work the same way: the best channel is where your particular customers already gather, not the newest or most famous one. And just as a person can only watch so many fishing lines, an owner can only keep up a few channels well.

"Fish where the fish are" means what for marketing?

A. Reach customers where they already are
B. Market everywhere at once, on every app
C. Buy the fanciest tools
D. Avoid all customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-B1-Q1
Entrepreneurship, Set 85: Choosing a channel · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.01 (local)

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A fancy rod in an empty pond is like what?

A. A big sale
B. A shop that is already full of eager customers
C. A good plan
D. A great ad on a channel your customers never use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-B1-Q2
Entrepreneurship, Set 85: Choosing a channel · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.01 (local)

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Why watch only a few fishing lines?

A. One person can only keep up a few well
B. More lines always catch nothing at all
C. Fish dislike lines
D. Lines are expensive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-B1-Q3
Entrepreneurship, Set 85: Choosing a channel · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.01 (local)

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The "pond" stands for what?

A. A bank
B. A product on sale
C. A tax
D. A marketing channel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-B1-Q4
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The "fish" stand for what?

A. Your taxes
B. Your target customers
C. Your suppliers
D. Your nearby competitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-B1-Q5
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A mobile pet groomer serves one town. Owners are mostly local families. Which first channel fits best?

A. A podcast for software engineers worldwide
B. Local community groups and flyers at vet offices
C. Billboards in another state
D. A national TV advertisement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F1-Q1
Entrepreneurship, Set 85: Choosing a channel · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.01 (local)

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A freelancer can spend 3 hours a week on marketing. Which plan is most realistic?

A. No marketing until she has more time
B. Seven channels, posting daily on each
C. One channel done consistently each week
D. A new channel every week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F1-Q2
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Flyers cost 60 dollars and brought 3 clients. Online posts took 5 hours and brought 6 clients. Which brought more clients?

A. Online posts, with 6
B. Neither brought any
C. They brought the same
D. Flyers, with 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F1-Q3
Entrepreneurship, Set 85: Choosing a channel · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.01 (local)

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Flyers cost 60 dollars and brought 3 clients. What was the flyer cost per client?

A. 3 dollars
B. 20 dollars
C. 60 dollars
D. 180 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F1-Q4
Entrepreneurship, Set 85: Choosing a channel · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.01 (local)

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A seller of business software for dentists is choosing a channel. Which fits best?

A. A dental trade newsletter or association
B. A teen gaming forum
C. A local playground bulletin board for parents
D. A cooking video channel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F1-Q5
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A new app is very popular, but the owner's customers are mostly over 60 and do not use it. What should she do?

A. Move all her marketing to the new app right now
B. Stop marketing entirely
C. Copy a teen influencer's style
D. Stay with channels her customers actually use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F2-Q1
Entrepreneurship, Set 85: Choosing a channel · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.01 (local)

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A channel brought customers last year but results have fallen for 6 months. What is a sensible step?

A. Test another channel while measuring both
B. Quit all marketing
C. Double spending on the falling channel immediately
D. Keep doing exactly the same thing without measuring

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F2-Q2
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An owner cannot tell which channel brought new customers. What would help?

A. Stopping all channels at once to see what changes
B. Guessing based on feelings
C. Asking new customers how they heard about the business
D. Ignoring the question

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F2-Q3
Entrepreneurship, Set 85: Choosing a channel · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.01 (local)

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Two channels each cost 100 dollars a month. A brings 10 customers, B brings 4. Ignoring other factors, which is cheaper per customer?

A. They are equal
B. A, at 10 dollars per customer
C. B, at 25 dollars per customer
D. A, at 100 dollars per customer

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Which statement is accurate?

A. The best channel depends on the customers and the owner's capacity.
B. Measuring channels is a waste of time.
C. More channels always mean more sales.
D. One channel is always best for every kind of business everywhere.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S85-F2-Q5
Entrepreneurship, Set 85: Choosing a channel · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.01 (local)

Set 86: Useful content and a clear next step

Outcome ENT.MKT.02: Write marketing that is useful, consistent and ends with a clear next action

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

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Useful marketing content helps the reader before asking for anything: a short tip, an answer to a common question, a before-and-after photo of real work, or a simple how-to. Each piece should end with one clear NEXT STEP, such as "Book a call" or "See this week's menu." Write for one type of reader, use plain words, and be specific. "5 ways to keep your houseplants alive in winter" is more useful than "We love plants!"

What makes content useful?

A. It uses as many complicated words as possible
B. It talks only about how great the owner is
C. It helps the reader before asking for anything
D. It repeats "buy now" as many times as possible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-M-Q1
Entrepreneurship, Set 86: Useful content and a clear next step · MAIN · Q1/5 · Outcome ENT.MKT.02 (local)

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Useful marketing content helps the reader before asking for anything: a short tip, an answer to a common question, a before-and-after photo of real work, or a simple how-to. Each piece should end with one clear NEXT STEP, such as "Book a call" or "See this week's menu." Write for one type of reader, use plain words, and be specific. "5 ways to keep your houseplants alive in winter" is more useful than "We love plants!"

Which post is more useful?

A. "We love plants so much!"
B. "Plants are cool, right?"
C. "Buy plants. Buy plants. Buy plants."
D. "5 ways to keep houseplants alive in winter"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-M-Q2
Entrepreneurship, Set 86: Useful content and a clear next step · MAIN · Q2/5 · Outcome ENT.MKT.02 (local)

Learn
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What should each piece of content end with?

A. No next step at all
B. One clear next step
C. A long legal disclaimer only
D. Five unrelated links to choose from

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-M-Q3
Entrepreneurship, Set 86: Useful content and a clear next step · MAIN · Q3/5 · Outcome ENT.MKT.02 (local)

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Who should content be written for?

A. Only the owner's family members
B. Every person on earth at once
C. One type of reader
D. Competitors only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-M-Q4
Entrepreneurship, Set 86: Useful content and a clear next step · MAIN · Q4/5 · Outcome ENT.MKT.02 (local)

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Which is a clear next step?

A. "See this week's menu"
B. "Click"
C. "Stuff and things"
D. "Maybe check something"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-M-Q5
Entrepreneurship, Set 86: Useful content and a clear next step · MAIN · Q5/5 · Outcome ENT.MKT.02 (local)

Learn
Think of a neighbor who knows a lot about gardening. She shares tips freely, and when you need a garden designed, you think of her first. Useful content works the same way: you help people with small, specific tips, and they remember you. At the end, you mention one simple way to work with you, not ten.

Why do people think of the helpful neighbor first?

A. She hides her skills
B. She has helped them before
C. She is the cheapest
D. She shouts the loudest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-B1-Q1
Entrepreneurship, Set 86: Useful content and a clear next step · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.02 (local)

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Her free tips are like what?

A. Taxes
B. Invoices
C. Ads with no information
D. Useful content

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-B1-Q2
Entrepreneurship, Set 86: Useful content and a clear next step · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.02 (local)

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Mentioning one simple way to work with her is like what?

A. A secret
B. A clear next step
C. No offer at all
D. Ten different offers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-B1-Q3
Entrepreneurship, Set 86: Useful content and a clear next step · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.02 (local)

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Are her tips vague or specific?

A. Vague
B. Specific
C. Random ones
D. Secret

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-B1-Q4
Entrepreneurship, Set 86: Useful content and a clear next step · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.02 (local)

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What does the neighbor avoid?

A. Sharing tips
B. Helping people
C. Being remembered by anyone
D. Pushing ten offers at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-B1-Q5
Entrepreneurship, Set 86: Useful content and a clear next step · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MKT.02 (local)

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A bakery posts "Best bakery ever!!!" with no details. Which rewrite is more useful?

A. "Best bakery ever, really, truly, the very best in the whole town!!!"
B. "How to keep sourdough fresh for 3 days. Order Friday's loaves here."
C. "Follow us for no reason at all."
D. "Bread."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F1-Q1
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.02 (local)

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A post ends with links to the shop, blog, newsletter, survey and careers page. What should change?

A. Choose the one most important next step
B. Remove every link
C. Add five more links
D. Make all the links blinking and bright

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F1-Q2
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.02 (local)

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A tutor's readers are parents of 7th graders. Which topic fits best?

A. "Why we love our logo"
B. "3 signs your 7th grader needs math help"
C. "Advanced calculus proofs for researchers"
D. "Our office furniture choices"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F1-Q3
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A post got 400 views and 12 people clicked "Book a call." What percent clicked?

A. 12 percent
B. 33 percent
C. 0.3 percent
D. 3 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F1-Q4
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.02 (local)

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Which detail makes content more believable?

A. A stock photo of a stranger's work labeled as her own
B. An unrelated celebrity photo
C. A real before-and-after photo of the owner's work
D. A made-up statistic

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F1-Q5
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MKT.02 (local)

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An owner posts 5 times a day but each post is filler. What might help more?

A. Fewer, more useful posts
B. Posting 10 times a day instead
C. Copying competitors' posts word for word
D. Stopping all posts forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F2-Q1
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.02 (local)

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A how-to post gives advice that could be unsafe if followed wrongly. What should the owner do?

A. Post it without any warnings, since readers are adults
B. Exaggerate the benefits
C. Delete all content
D. Add clear safety notes or recommend a professional where needed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F2-Q2
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.02 (local)

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Posts with tips get 30 clicks each; pure ads get 5. How many more clicks do 4 tip posts bring than 4 ads?

A. 25
B. 100
C. 120
D. 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F2-Q3
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.02 (local)

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A competitor's post is very popular. The owner wants to copy it word for word. What is the problem?

A. It improves search results
B. Copying guarantees more clicks
C. Copying can violate rights and is not original
D. No problem; posts are always free to copy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F2-Q4
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.02 (local)

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Which statement is accurate?

A. Useful, specific content with one next step tends to work better than vague hype.

B. Vague hype always beats specific help.

C. Content should never include a next step, because readers dislike being asked.

D. More posts always mean more sales.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S86-F2-Q5
Entrepreneurship, Set 86: Useful content and a clear next step · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.02 (local)

Set 87: Email lists: permission and unsubscribing

Outcome ENT.MKT.03: Build an email list with permission and honor unsubscribe requests

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An EMAIL LIST lets you contact people who asked to hear from you. Build it with PERMISSION: a sign-up form where people choose to join. Under the US CAN-SPAM Act, commercial emails must not use misleading headers or subject lines, must tell recipients how to opt out, must honor opt-out requests, and must include a valid physical postal address (which can be a registered PO Box or private mailbox). The rules cover business-to-business email too. Buying lists of strangers' addresses damages trust and deliverability.

How should an email list be built?

A. By copying addresses from other companies' websites
B. By buying a list of strangers' addresses online
C. With permission, through a sign-up form
D. By guessing addresses at popular email providers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-M-Q1
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · MAIN · Q1/5 · Outcome ENT.MKT.03 (local)

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What must a commercial email tell recipients?

A. The owner's home phone number
B. How to opt out
C. The owner's favorite products
D. The business's bank balance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-M-Q2
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Which address may be used as the required postal address?

A. Only a made-up address that sounds official
B. No address is ever needed
C. An email address instead of a postal one
D. A registered PO Box or private mailbox

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-M-Q3
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Do the rules cover emails sent to other businesses?

A. No, only emails to consumers
B. Yes
C. Only on weekends
D. Only for large companies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-M-Q4
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · MAIN · Q4/5 · Outcome ENT.MKT.03 (local)

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Which subject line is NOT allowed?

A. A misleading one, like "Re: your order" when there was no order
B. "Spring sale: 20 percent off all planters and pots this weekend"
C. "New class dates for May"
D. "Our monthly gardening tips"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-M-Q5
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · MAIN · Q5/5 · Outcome ENT.MKT.03 (local)

Learn
Think of a party. People you invited are glad to come. People who show up uninvited annoy everyone. An email list is your guest list: people who said "yes, invite me." When a guest says "please stop inviting me," you take them off the list. Sending emails to people who never signed up is like inviting gate-crashers.

An email list is like what?

A. A list of strangers' addresses
B. A guest list of people who said yes
C. A shopping list
D. A phone book

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-B1-Q1
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.03 (local)

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A guest saying "please stop inviting me" is like what?

A. A purchase
B. A new sign-up
C. An unsubscribe request
D. A complaint about food

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-B1-Q2
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.03 (local)

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What should you do when a guest asks to stop?

A. Sell their name
B. Take them off the list
C. Invite them twice as often
D. Ignore them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-B1-Q3
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.03 (local)

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Emailing people who never signed up is like what?

A. Inviting gate-crashers
B. Paying bills
C. Sending thank-you notes
D. Inviting friends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-B1-Q4
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.03 (local)

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Who is glad to come to the party?

A. Competitors from across town
B. Nobody
C. People you invited who said yes
D. Strangers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-B1-Q5
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MKT.03 (local)

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Mei's newsletter has no unsubscribe link. What should she add?

A. A bigger logo
B. More product photos
C. A clear way to opt out
D. A countdown timer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F1-Q1
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.03 (local)

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An owner wants privacy and does not want her home address in emails. What option fits the rule?

A. Use a registered PO Box or private mailbox
B. Leave out any postal address in the email
C. Use only a phone number
D. Use a fake address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F1-Q2
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.03 (local)

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A list has 800 subscribers. 16 unsubscribe after one email. What percent unsubscribed?

A. 50 percent
B. 16 percent
C. 0.2 percent
D. 2 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F1-Q3
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.03 (local)

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A vendor offers 10,000 email addresses for 50 dollars. What is the main problem?

A. Nothing at all
B. Those people never gave permission
C. The price is too low to be worth it
D. 10,000 is too few

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F1-Q4
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.03 (local)

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Which subject line is honest for a sale email?

A. "Urgent tax notice"
B. "Re: our meeting yesterday about your account"
C. "Weekend sale: 15 percent off all candles"
D. "Your account is suspended"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F1-Q5
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MKT.03 (local)

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Someone unsubscribed but still gets emails because the owner forgot to update the list. What should she do?

A. Keep emailing them anyway
B. Ask them to unsubscribe again later
C. Move them to a second list
D. Remove them promptly and fix the process

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F2-Q1
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.03 (local)

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An owner collected business cards at a fair and wants to add everyone to her newsletter. What is the better approach?

A. Never contact them
B. Sell the list of card addresses to other businesses at the fair
C. Add them all silently
D. Send one message inviting them to join, or ask permission first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F2-Q2
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.03 (local)

Learn
An EMAIL LIST lets you contact people who asked to hear from you. Build it with PERMISSION: a sign-up form where people choose to join. Under the US CAN-SPAM Act, commercial emails must not use misleading headers or subject lines, must tell recipients how to opt out, must honor opt-out requests, and must include a valid physical postal address (which can be a registered PO Box or private mailbox). The rules cover business-to-business email too. Buying lists of strangers' addresses damages trust and deliverability.

An email's "From" name says a famous company the owner does not represent. What rule does this break?

A. Only the image size rule
B. Only the color rule
C. Headers must not be misleading
D. No rule; any name is fine

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F2-Q3
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.03 (local)

Learn
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A list of 1,000 had 300 sign-ups from a contest with unrelated prizes; few read emails. What might improve results?

A. Focus on people who joined for the actual topic
B. Email 5 times a day
C. Run even bigger contests with unrelated prizes
D. Buy more addresses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F2-Q4
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.03 (local)

Learn
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Which statement is accurate?

A. Permission, honest subject lines and working opt-outs are basic email duties.
B. An address is never required.
C. Buying lists is the best way to grow.
D. Emails sent to other businesses are exempt from all of these rules.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S87-F2-Q5
Entrepreneurship, Set 87: Email lists: permission and unsubscribing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.03 (local)

Set 88: Local outreach, referrals and networking

Outcome ENT.MKT.04: Plan local outreach and referral relationships that help both sides

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Local businesses often grow through people. LOCAL OUTREACH means showing up where customers are: farmers markets, community events, partnerships with nearby businesses. REFERRALS are recommendations from happy customers; you can ask for them directly and make it easy ("Tell a friend; you both get 10 percent off"). NETWORKING means building real relationships with people who serve the same customers, like a wedding photographer and a florist. Follow up, keep promises, and give before you ask.

What is a referral?

A. A tax form sent to the state
B. A discount the owner gives only to herself
C. A paid ad on a billboard
D. A recommendation from a happy customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-M-Q1
Entrepreneurship, Set 88: Local outreach, referrals and networking · MAIN · Q1/5 · Outcome ENT.MKT.04 (local)

Learn
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Which partnership makes sense?

A. A wedding photographer and a florist
B. A plumber and a video game studio
C. A bakery and a car wash in another state
D. A dentist and a tire shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-M-Q2
Entrepreneurship, Set 88: Local outreach, referrals and networking · MAIN · Q2/5 · Outcome ENT.MKT.04 (local)

Learn
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How can an owner make referrals easier?

A. Only accept referrals sent by mailed letter to the shop
B. Ask directly and offer a simple reward for both people
C. Never mention referrals to anyone
D. Require a long form to refer a friend

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-M-Q3
Entrepreneurship, Set 88: Local outreach, referrals and networking · MAIN · Q3/5 · Outcome ENT.MKT.04 (local)

Learn
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What does "give before you ask" mean in networking?

A. Give away all products free forever
B. Never help anyone
C. Ask for favors immediately
D. Help others first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-M-Q4
Entrepreneurship, Set 88: Local outreach, referrals and networking · MAIN · Q4/5 · Outcome ENT.MKT.04 (local)

Learn
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Which is local outreach?

A. A secret social media account
B. A stall at the farmers market
C. Hiding the shop address
D. An email to a bought list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-M-Q5
Entrepreneurship, Set 88: Local outreach, referrals and networking · MAIN · Q5/5 · Outcome ENT.MKT.04 (local)

Learn
If a friend says, "Try the pasta at Luca's, it's great," you are more likely to go than if you saw an ad. That is a referral. Now imagine Luca's gives your friend and you a free dessert for the recommendation: that is a referral reward. And if Luca's chef is friends with the wine shop next door, they send customers to each other: that is networking.

A friend recommending Luca's is like what?

A. A tax
B. A recipe
C. A referral
D. A billboard

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-B1-Q1
Entrepreneurship, Set 88: Local outreach, referrals and networking · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.04 (local)

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The free dessert is like what?

A. A tax
B. A fine
C. A referral reward
D. A refund of the meal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-B1-Q2
Entrepreneurship, Set 88: Local outreach, referrals and networking · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.04 (local)

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The chef and wine shop sending customers to each other is like what?

A. Ignoring each other
B. Competing
C. Networking
D. Advertising on TV

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-B1-Q3
Entrepreneurship, Set 88: Local outreach, referrals and networking · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.04 (local)

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Why do people trust a friend's tip more than an ad?

A. Friends are paid actors
B. Ads cost nothing
C. Ads are illegal
D. They trust the friend

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-B1-Q4
Entrepreneurship, Set 88: Local outreach, referrals and networking · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.04 (local)

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Who benefits from the wine shop partnership?

A. Both businesses
B. Only the chef
C. Only the customer
D. Neither

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-B1-Q5
Entrepreneurship, Set 88: Local outreach, referrals and networking · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MKT.04 (local)

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A new house cleaner has 10 happy clients. Which first step uses referrals well?

A. Ask clients to write fake reviews
B. Wait quietly and hope clients mention her to friends someday
C. Ask each client to tell a friend, with 10 percent off for both
D. Buy a national TV ad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F1-Q1
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.04 (local)

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A referral reward gives 10 percent off a 120-dollar cleaning to both people. What is the total discount given?

A. 24 dollars
B. 10 dollars
C. 12 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F1-Q2
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.04 (local)

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If that referral brings a client who books 10 cleanings a year at 120 dollars, what is the yearly revenue from that client?

A. 24 dollars
B. 12,000 dollars
C. 120 dollars
D. 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F1-Q3
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.04 (local)

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A photographer meets a florist at a networking event. Which follow-up builds the relationship?

A. Criticize the florist's work publicly to look more expert
B. Send a short note and share one of the florist's posts
C. Ask for 20 referrals immediately
D. Never contact the florist again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F1-Q4
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.04 (local)

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A booth at a market costs 50 dollars and brings 5 new customers. What is the cost per customer?

A. 5 dollars
B. 250 dollars
C. 10 dollars
D. 50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F1-Q5
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MKT.04 (local)

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A partner business receives many referrals from the owner but never sends any back. What is a sensible step?

A. Post complaints about them online
B. Start sending fake referrals
C. Keep sending referrals forever without saying anything
D. Talk openly about how the partnership can work for both

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F2-Q1
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.04 (local)

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An owner promised a free consultation to anyone she met at an event, then forgot. What is the risk?

A. Broken promises damage trust and referrals
B. It lowers taxes
C. It increases demand
D. No risk, because people at events forget too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F2-Q2
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.04 (local)

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A referral program pays 50 dollars per referral, but most referred people buy a 40-dollar item once. What is the problem?

A. Nothing, because referral rewards always pay off
B. The reward is too small
C. Customers buy too much
D. Each referral costs more than it brings in

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F2-Q3
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A networking group requires paid membership, but members serve very different customers. What should the owner weigh?

A. Nothing, because all networking groups help equally
B. Whether the members connect to her customers
C. Only the meeting snacks
D. Only the group's logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F2-Q4
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.04 (local)

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Which statement is accurate?

A. Local marketing never works online.

B. Referrals only come from paid ads.

C. Referrals and partnerships work best when both sides benefit and promises are kept.

D. Networking means asking new contacts for favors immediately after meeting.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S88-F2-Q5
Entrepreneurship, Set 88: Local outreach, referrals and networking · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.04 (local)

Set 89: Testimonials and reviews with permission

Outcome ENT.MKT.05: Use real testimonials with permission and ask for honest reviews

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Reviews and testimonials are powerful because they come from customers, so they must be REAL. Ask customers for permission before quoting them, use their actual words (fixing only small typos), and do not show a review as typical if it is not. Never write fake reviews, pay for positive reviews, or use AI to invent customer experiences; the FTC treats fake reviews and testimonials as deceptive. Respond calmly and helpfully to negative reviews; do not threaten or pay reviewers to remove them.

What should an owner do before quoting a customer on the website?

A. Ask the customer for permission
B. Make up a name to protect privacy and add details
C. Quote them without asking, since the review is public
D. Change their words to sound more exciting

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-M-Q1
Entrepreneurship, Set 89: Testimonials and reviews with permission · MAIN · Q1/5 · Outcome ENT.MKT.05 (local)

Learn
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Which is deceptive?

A. Fixing a small typo in a real review
B. Replying politely to a negative review
C. Writing reviews under made-up customer names
D. Quoting a real customer with permission

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-M-Q2
Entrepreneurship, Set 89: Testimonials and reviews with permission · MAIN · Q2/5 · Outcome ENT.MKT.05 (local)

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Can AI be used to invent customer reviews?

A. Yes, for small businesses only
B. Yes, if only positive ones are written
C. Yes, if they sound realistic
D. No, invented experiences are deceptive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-M-Q3
Entrepreneurship, Set 89: Testimonials and reviews with permission · MAIN · Q3/5 · Outcome ENT.MKT.05 (local)

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How should an owner respond to a negative review?

A. By paying them to remove it
B. By threatening the reviewer
C. Calmly and helpfully
D. By posting their private details

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-M-Q4
Entrepreneurship, Set 89: Testimonials and reviews with permission · MAIN · Q4/5 · Outcome ENT.MKT.05 (local)

Learn
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A review describes results most customers do not get. What should the owner avoid?

A. Keeping it on file
B. Presenting it as typical
C. Thanking the reviewer
D. Reading it carefully

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-M-Q5
Entrepreneurship, Set 89: Testimonials and reviews with permission · MAIN · Q5/5 · Outcome ENT.MKT.05 (local)

Learn
When you apply for a job, a teacher might write a reference letter. It is valuable because it comes from someone else who knows your work. If you wrote the letter yourself and signed the teacher's name, it would be fake and could get you in serious trouble. Reviews are reference letters for a business: valuable only when they really come from customers.

Why is a reference letter valuable?

A. It is long
B. It is printed on thick, colorful paper
C. It comes from someone who knows your work
D. You wrote it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-B1-Q1
Entrepreneurship, Set 89: Testimonials and reviews with permission · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.05 (local)

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Writing your own letter and signing the teacher's name is like what?

A. A fake review
B. A thank-you note
C. A real review
D. A receipt

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-B1-Q2
Entrepreneurship, Set 89: Testimonials and reviews with permission · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.05 (local)

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A business review is like what?

A. A reference letter from a customer
B. A logo
C. A tax return filed by the owner
D. An invoice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-B1-Q3
Entrepreneurship, Set 89: Testimonials and reviews with permission · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.05 (local)

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When are reviews valuable?

A. When they are bought
B. When AI invents them
C. When the owner writes them herself
D. When they really come from customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-B1-Q4
Entrepreneurship, Set 89: Testimonials and reviews with permission · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.05 (local)

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What could happen with a faked letter?

A. A gift
B. Serious trouble
C. A job promotion
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-B1-Q5
Entrepreneurship, Set 89: Testimonials and reviews with permission · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MKT.05 (local)

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A friend offers to post five 5-star reviews for an owner's new café that she has never visited. What should the owner do?

A. Accept, but only three reviews
B. Accept, because friends are allowed to help a new business look popular
C. Ask her to use different names
D. Decline, because those reviews would not reflect real experiences

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F1-Q1
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.05 (local)

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A customer emails praise. Which next step is right before posting it?

A. Post it with a fake name
B. Post her phone number and email with it
C. Ask permission and use her actual words
D. Rewrite it to add more praise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F1-Q2
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.05 (local)

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A shop has 40 reviews averaging 4.5 stars. After asking all recent customers, it gets 10 more 3-star reviews. What is the new average?

A. 4.5 stars
B. 3.0 stars
C. 3.75 stars
D. 4.2 stars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F1-Q3
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.05 (local)

Learn
Reviews and testimonials are powerful because they come from customers, so they must be REAL. Ask customers for permission before quoting them, use their actual words (fixing only small typos), and do not show a review as typical if it is not. Never write fake reviews, pay for positive reviews, or use AI to invent customer experiences; the FTC treats fake reviews and testimonials as deceptive. Respond calmly and helpfully to negative reviews; do not threaten or pay reviewers to remove them.

A negative review says an order arrived late. Which reply is best?

A. "Sorry about the delay. Please email us so we can make it right."
B. "You're lying and we will sue you."
C. No reply, then pay someone to bury it
D. "Delete this review now or we will post your home address online."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F1-Q4
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.05 (local)

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Which practice is honest?

A. Asking only the customers who seem likely to give 5 stars
B. Hiding all negative reviews
C. Asking every customer for a review, not just happy ones
D. Offering money only for positive reviews

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F1-Q5
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MKT.05 (local)

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An owner offers a discount for leaving a review "of any kind." What should the review show to stay honest?

A. That the reviewer received an incentive
B. Only positive reviews should be accepted
C. Nothing; incentives never need mention
D. The reviewer's home address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F2-Q1
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.05 (local)

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A testimonial says "I lost 30 pounds in a week" for a supplement. What is the concern?

A. It lacks emojis
B. No concern, because any real customer quote is fine to use
C. It is too short
D. It may suggest unrealistic results as typical

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F2-Q2
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.05 (local)

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An agency offers to "remove bad reviews" by flooding the page with fake positive ones. What should the owner do?

A. Refuse, because fake reviews are deceptive
B. Accept for a short time
C. Accept the offer, since everyone else does it
D. Ask for fewer fake reviews

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F2-Q3
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.05 (local)

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A customer approved a quote but later asks to withdraw it. What should the owner do?

A. Post it twice
B. Remove it
C. Keep it, since permission was given once
D. Edit it to be anonymous without asking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F2-Q4
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.05 (local)

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Which statement is accurate?

A. Negative reviews should be threatened away or paid off quickly.
B. Reviews and testimonials must reflect real customers' honest experiences.
C. Paying for positive reviews is normal.
D. AI-written reviews are fine if realistic.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S89-F2-Q5
Entrepreneurship, Set 89: Testimonials and reviews with permission · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.05 (local)

Set 90: Disclosing sponsorships and affiliate links

Outcome ENT.MKT.06: Recognize when a paid or affiliate relationship must be disclosed clearly

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
If someone promoting a product has a MATERIAL CONNECTION to the business (they were paid, given free products, or earn a commission), that connection should be DISCLOSED clearly. An AFFILIATE LINK pays the promoter a commission when someone buys. Clear disclosures are short, plain and placed where people will see them before clicking or buying, such as "Ad," "Sponsored," or "I earn a commission if you buy." A platform's built-in disclosure tool is not automatically enough. Businesses should tell the people promoting them to disclose.

What is a material connection?

A. A friendship with no money or gifts involved at all
B. A broken internet connection
C. The material a product is made from
D. A payment, free product or commission tied to the promotion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-M-Q1
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · MAIN · Q1/5 · Outcome ENT.MKT.06 (local)

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What is an affiliate link?

A. A broken link that leads nowhere
B. A link that pays the promoter a commission on purchases
C. A link to the business's own privacy policy page
D. A link to a government website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-M-Q2
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · MAIN · Q2/5 · Outcome ENT.MKT.06 (local)

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Where should a disclosure appear?

A. At the very bottom after 40 hashtags
B. Nowhere, if the post is short
C. Only on a separate page that nobody visits
D. Where people will see it before clicking or buying

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-M-Q3
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · MAIN · Q3/5 · Outcome ENT.MKT.06 (local)

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Is a platform's built-in disclosure tool always enough?

A. Yes, if the post has a photo
B. No, disclosures are banned
C. Yes, it always replaces any other disclosure
D. Not automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-M-Q4
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · MAIN · Q4/5 · Outcome ENT.MKT.06 (local)

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Which disclosure is clearest?

A. "I earn a commission if you buy through this link."
B. "Thanks to my friends at the shop for everything!"
C. "#sp #collab #thx"
D. No disclosure at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-M-Q5
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · MAIN · Q5/5 · Outcome ENT.MKT.06 (local)

Learn
If a friend recommends a phone and you later learn the store paid her for every phone she helped sell, you might feel misled. It does not mean the phone is bad; you just would have wanted to know. Disclosures tell people about the connection up front, so they can decide how much weight to give the recommendation.

Why might you feel misled?

A. She was rude
B. You did not know she was paid
C. The phone she chose was free
D. The store closed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-B1-Q1
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.MKT.06 (local)

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If a friend recommends a phone and you later learn the store paid her for every phone she helped sell, you might feel misled. It does not mean the phone is bad; you just would have wanted to know. Disclosures tell people about the connection up front, so they can decide how much weight to give the recommendation.

Does a paid recommendation mean the product is bad?

A. Only on weekends
B. Yes, always
C. No, not necessarily
D. Only for phones

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-B1-Q2
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.06 (local)

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What does a disclosure let people do?

A. Buy without thinking
B. Ignore all ads
C. Decide how much weight to give the recommendation
D. Get a refund automatically from the store later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-B1-Q3
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.06 (local)

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When should people learn about the connection?

A. Only if they ask
B. After buying
C. Up front
D. Never

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-B1-Q4
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.06 (local)

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The store paying the friend is like what?

A. A material connection
B. A refund of the meal
C. A paper coupon
D. A tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-B1-Q5
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A skincare shop sends free products to an influencer who posts a glowing review. What should the post include?

A. Nothing, because no cash was paid
B. Only a hashtag buried at the end
C. A clear note that the products were free from the shop
D. A note saying the opinion is completely unbiased

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F1-Q1
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.06 (local)

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A blogger earns 8 percent commission on a 50-dollar item through an affiliate link. What does she earn per sale?

A. 42 dollars
B. 8 dollars
C. 0.40 dollars
D. 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F1-Q2
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Which disclosure placement is best on a short video?

A. Said aloud and shown on screen early
B. Only in a comment reply days later
C. Only in the last second
D. Only in a profile bio

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F1-Q3
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A business runs a program paying people to promote it. What should the business do?

A. Tell promoters to hide payments so posts look natural
B. Ignore what promoters post
C. Ask promoters to use fake names
D. Tell promoters to disclose and check that they do

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F1-Q4
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.06 (local)

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Which phrase is a clear disclosure for a paid post?

A. "Thanks, LTP!"
B. "Paid partnership with Lime Tree Pets"
C. "#blessed"
D. "Check them out maybe, if you like"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F1-Q5
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An influencer says, "I only post things I love, so I don't need to disclose payments." What is wrong?

A. Disclosures are only for TV
B. Payment should be disclosed regardless of opinion
C. Nothing; honest opinions need no disclosure
D. Payments are always obvious

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F2-Q1
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.06 (local)

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An owner's employee praises the shop online without saying she works there. What should she add?

A. That she works for the shop
B. Nothing; employees are customers too
C. A discount code only
D. A fake name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F2-Q2
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A disclosure is written in tiny light-gray text. What is the problem?

A. It is too clear
B. Gray text is illegal
C. People may not notice it
D. It is too long

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F2-Q3
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A promoter refuses to disclose after being asked. What should the business do?

A. Disclose nothing either
B. Pay more to stay quiet
C. Keep paying and say nothing
D. Stop working with that promoter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F2-Q4
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Which statement is accurate?

A. Material connections should be disclosed clearly where people will see them.
B. Only cash payments count as connections.
C. Businesses have no role at all in whether their promoters disclose payments.
D. Hashtags at the end are always enough.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S90-F2-Q5
Entrepreneurship, Set 90: Disclosing sponsorships and affiliate links · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.06 (local)

Set 91: Organic versus paid; a small ad test

Outcome ENT.MKT.07: Plan a small paid test with a stated budget and measure

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
ORGANIC marketing reaches people without paying the platform for each view: posts, word of mouth, search. It costs time and builds slowly. PAID marketing (ads) buys reach quickly, but stops when the money stops. Before spending much, run a SMALL AD TEST: set a fixed budget you can afford to lose (for example 50 dollars), one clear goal (such as sign-ups), one audience, and a set time. Then compare cost per result: total spend / results. Example: 50 dollars and 10 sign-ups = 5 dollars per sign-up.

What is organic marketing?

A. A legal filing for a brand name
B. Reaching people without paying per view
C. Ads that cost the most money per click
D. Marketing that uses only farm products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-M-Q1
Entrepreneurship, Set 91: Organic versus paid; a small ad test · MAIN · Q1/5 · Outcome ENT.MKT.07 (local)

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What happens to paid reach when spending stops?

A. It doubles for free
B. It grows by itself every month
C. It becomes organic forever
D. It stops too

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-M-Q2
Entrepreneurship, Set 91: Organic versus paid; a small ad test · MAIN · Q2/5 · Outcome ENT.MKT.07 (local)

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A 60-dollar test brings 12 sign-ups. What is the cost per sign-up?

A. 0.20 dollars
B. 72 dollars
C. 5 dollars
D. 12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-M-Q3
Entrepreneurship, Set 91: Organic versus paid; a small ad test · MAIN · Q3/5 · Outcome ENT.MKT.07 (local)

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What budget should a first ad test use?

A. An amount the owner can afford to lose
B. No budget limit at all
C. All of the business's savings at once
D. A loan taken out just for ads

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-M-Q4
Entrepreneurship, Set 91: Organic versus paid; a small ad test · MAIN · Q4/5 · Outcome ENT.MKT.07 (local)

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Why test with one goal and one audience?

A. So no results are measured
B. So the result is clear
C. Because more goals are illegal
D. Because one audience always buys

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-M-Q5
Entrepreneurship, Set 91: Organic versus paid; a small ad test · MAIN · Q5/5 · Outcome ENT.MKT.07 (local)

Learn
Cost per result = total spent / number of results. Example: 80 dollars for 16 clicks is 80 / 16 = 5 dollars per click. Compare two tests by their cost per result: lower is cheaper for the same kind of result. Check: cost per result x results should equal total spent (5 x 16 = 80). If results are 0, cost per result cannot be calculated: the test found nothing.

100 dollars for 20 results. What is the cost per result?

A. 2,000 dollars
B. 20 dollars
C. 5 dollars
D. 0.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-B1-Q1
Entrepreneurship, Set 91: Organic versus paid; a small ad test · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.MKT.07 (local)

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45 dollars for 9 results. What is the cost per result?

A. 4 dollars
B. 405 dollars
C. 9 dollars
D. 5 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-B1-Q2
Entrepreneurship, Set 91: Organic versus paid; a small ad test · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.MKT.07 (local)

Learn
Cost per result = total spent / number of results. Example: 80 dollars for 16 clicks is 80 / 16 = 5 dollars per click. Compare two tests by their cost per result: lower is cheaper for the same kind of result. Check: cost per result x results should equal total spent (5 x 16 = 80). If results are 0, cost per result cannot be calculated: the test found nothing.

Test A: 4 dollars per result. Test B: 6 dollars per result. Which is cheaper?

A. They are the same
B. Test A
C. Test B
D. Cannot tell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-B1-Q3
Entrepreneurship, Set 91: Organic versus paid; a small ad test · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.MKT.07 (local)

Learn
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How do you check 5 dollars per result for 16 results?

A. 16 / 5 = 3.2, the cost each
B. 5 x 16 = 80, the total spent
C. 5 + 16 = 21
D. 5 - 16

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-B1-Q4
Entrepreneurship, Set 91: Organic versus paid; a small ad test · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.MKT.07 (local)

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120 dollars for 8 results. What is the cost per result?

A. 8 dollars
B. 960 dollars
C. 15 dollars
D. 12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-B1-Q5
Entrepreneurship, Set 91: Organic versus paid; a small ad test · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.MKT.07 (local)

Learn
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A candle maker has 40 dollars to test ads. Which plan is best?

A. Five audiences, three goals and no end date, for 40 dollars
B. No goal; just see what happens
C. Spend 400 dollars on credit
D. One audience, one goal (orders), 7 days, 40 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F1-Q1
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.07 (local)

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Ad A: 50 dollars, 5 orders. Ad B: 50 dollars, 2 orders. What is Ad A's cost per order?

A. 5 dollars
B. 25 dollars
C. 10 dollars
D. 250 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F1-Q2
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.07 (local)

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Each order brings 14 dollars of contribution. Ad A costs 10 dollars per order. Does Ad A pay for itself on the first order?

A. No, it loses 4 dollars per order
B. Yes, by 4 dollars per order
C. It breaks exactly even
D. Cannot tell from the numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F1-Q3
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.07 (local)

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Ad B costs 25 dollars per order with the same 14-dollar contribution. What happens on each order?

A. It breaks even
B. It earns 39 dollars
C. It earns 11 dollars
D. It loses 11 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F1-Q4
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.07 (local)

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Organic posts brought 6 orders this month at no ad cost but took 8 hours. What should the owner also consider?

A. The value of her time
B. Only the logo
C. Nothing; organic is always free
D. Only competitors' ad budgets

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F1-Q5
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.MKT.07 (local)

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An ad got 2,000 likes but 0 orders. The goal was orders. How should the owner judge it?

A. It did not meet the goal
B. It cannot be judged
C. It succeeded because likes are high
D. It doubled sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F2-Q1
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.07 (local)

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A test ran for 1 day with 3 dollars spent and 1 order. What is the problem with scaling up now?

A. Small tests are illegal
B. Nothing; one order proves everything
C. The test is too small to trust
D. Ads always work after one day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F2-Q2
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.07 (local)

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A platform's ad dashboard shows 40 "conversions," but the shop recorded only 22 orders from that ad. What should the owner rely on?

A. Her own order records, after checking the definitions
B. Only the platform's number
C. The bigger of the two numbers, to feel good about it
D. Neither, guess instead

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F2-Q3
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Ads stopped and orders fell from 30 to 8 a month. What does this suggest?

A. Organic marketing was doing most of the work
B. Ads had no effect
C. Prices doubled
D. Most orders depended on paid reach

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F2-Q4
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.07 (local)

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Which statement is accurate?

A. Big untested spends are always safer than small tests.
B. Likes always equal sales.
C. Organic marketing costs nothing at all.
D. Testing small first is safer than a big untested spend.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S91-F2-Q5
Entrepreneurship, Set 91: Organic versus paid; a small ad test · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.07 (local)

Set 92: Reach, leads, sales and conversion rate

Outcome ENT.MKT.08: Compute and compare reach, leads, sales and conversion rates

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Marketing results can be followed in steps. REACH is how many people saw your message. LEADS are people who showed interest, such as signing up or asking a question. SALES are people who paid. Each step has a CONVERSION RATE: leads / reach, and sales / leads. Example: 2,000 reached, 100 leads (5 percent), 20 sales (20 percent of leads). Finding the step where most people drop off shows what to improve: the message, the offer or the follow-up.

What is a lead?

A. A heavy metal used in old pipes
B. A person who showed interest
C. A person who never saw the message
D. A person who has already paid twice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-M-Q1
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · MAIN · Q1/5 · Outcome ENT.MKT.08 (local)

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2,000 reached and 100 leads. What is the lead rate?

A. 2 percent
B. 100 percent
C. 20 percent
D. 5 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-M-Q2
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · MAIN · Q2/5 · Outcome ENT.MKT.08 (local)

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100 leads and 20 sales. What is the sales rate from leads?

A. 5 percent
B. 80 percent
C. 20 percent
D. 1 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-M-Q3
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · MAIN · Q3/5 · Outcome ENT.MKT.08 (local)

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Why find the step where most people drop off?

A. It proves marketing never works
B. It doubles reach automatically
C. It removes the need to measure
D. It shows what to improve

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-M-Q4
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · MAIN · Q4/5 · Outcome ENT.MKT.08 (local)

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What is reach?

A. How far the shop is from customers
B. How many asked questions
C. How many people saw the message
D. How many people paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-M-Q5
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · MAIN · Q5/5 · Outcome ENT.MKT.08 (local)

Learn
When results pass through steps, multiply the rates. If 5 percent of 2,000 people become leads, that is 0.05 x 2,000 = 100 leads. If 20 percent of leads buy, that is 0.20 x 100 = 20 sales. You can also multiply the rates first: 0.05 x 0.20 = 0.01, so 1 percent of the people reached buy: 0.01 x 2,000 = 20. Both ways give the same answer.

10 percent of 500 reached become leads. How many leads?

A. 50
B. 510
C. 5
D. 10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-B1-Q1
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.MKT.08 (local)

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20 percent of 50 leads buy. How many sales?

A. 70
B. 10
C. 2.5
D. 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-B1-Q2
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.MKT.08 (local)

Learn

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What is 0.10 x 0.20?

A. 0.2
B. 0.30
C. 2
D. 0.02

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-B1-Q3
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.MKT.08 (local)

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2 percent of 500 reached buy. How many sales?

A. 10
B. 2
C. 100
D. 250

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-B1-Q4
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Do the step-by-step and combined-rate methods agree?

A. No, never
B. Yes, both give the same sales
C. Only for small numbers of people
D. Only for large numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-B1-Q5
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Campaign A: 5,000 reached, 50 leads, 25 sales. Campaign B: 1,000 reached, 100 leads, 10 sales. Which has the better lead rate?

A. They are equal
B. A, at 1 percent
C. B, at 10 percent
D. A, at 50 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F1-Q1
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.MKT.08 (local)

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Campaign A: 50 leads, 25 sales. Campaign B: 100 leads, 10 sales. Which has the better sales rate from leads?

A. B, at 100 percent
B. A, at 50 percent
C. B, at 10 percent
D. They are equal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F1-Q2
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.MKT.08 (local)

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Campaign B gets many leads but few buy. Which step should it improve?

A. Nothing; it is perfect
B. Reach, by showing the same ads to many more people
C. The logo colors
D. The follow-up or offer after someone shows interest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F1-Q3
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.MKT.08 (local)

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A shop reaches 3,000 people, gets 4 percent as leads and 25 percent of leads buy. How many sales?

A. 30
B. 120
C. 12
D. 750

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F1-Q4
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.MKT.08 (local)

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An owner wants 40 sales. Her lead rate is 5 percent and sales rate is 20 percent of leads. What reach does she need?

A. 800
B. 40,000
C. 4,000
D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F1-Q5
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Reach doubled but sales stayed flat. What might be happening?

A. Sales must have doubled too, unseen
B. The new viewers are not good leads
C. Reach always equals sales
D. The math is impossible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F2-Q1
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.08 (local)

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Leads wait 5 days for a reply and many buy elsewhere. Which step needs work?

A. Follow-up speed
B. The logo design
C. Reach
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F2-Q2
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.08 (local)

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A post reached 10,000 people but only 0.1 percent became leads. How many leads?

A. 1
B. 1,000
C. 100
D. 10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F2-Q3
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.08 (local)

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An owner reports only reach to investors. What is missing?

A. Nothing, because reach alone is enough
B. Leads and sales that show real results
C. A longer report
D. A larger font

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F2-Q4
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.08 (local)

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Which statement is accurate?

A. Watching each step shows where people drop off.
B. Leads and sales are the same thing.
C. Reach is the only number that really matters.
D. Sales rates never change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S92-F2-Q5
Entrepreneurship, Set 92: Reach, leads, sales and conversion rate · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.08 (local)

Set 93: Fake followers, audience ownership and algorithm changes

Outcome ENT.MKT.09: Explain why bought followers mislead and why owning a direct contact list reduces platform risk

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Big numbers can mislead. FAKE FOLLOWERS (bought or bot accounts) inflate counts but never buy, and can hurt how a platform shows your posts. AUDIENCE OWNERSHIP: on social platforms, the platform controls who sees your posts and can change its rules or ALGORITHM (the system that decides what people see) at any time, or suspend accounts. An email list or customer list that people joined with permission is closer to an audience you control. Build some of both, and never rely on a single platform.

Why are fake followers harmful?

A. They lower ad costs automatically
B. They buy more than real followers
C. They inflate counts but never buy
D. They are required for success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-M-Q1
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · MAIN · Q1/5 · Outcome ENT.MKT.09 (local)

Learn
Big numbers can mislead. FAKE FOLLOWERS (bought or bot accounts) inflate counts but never buy, and can hurt how a platform shows your posts. AUDIENCE OWNERSHIP: on social platforms, the platform controls who sees your posts and can change its rules or ALGORITHM (the system that decides what people see) at any time, or suspend accounts. An email list or customer list that people joined with permission is closer to an audience you control. Build some of both, and never rely on a single platform.

What is an algorithm on a social platform?

A. A list of the owner's account passwords
B. A type of business license
C. A tax on posts
D. The system that decides what people see

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-M-Q2
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · MAIN · Q2/5 · Outcome ENT.MKT.09 (local)

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Which audience is closer to one the business controls?

A. Bought followers from a website
B. Viewers of one viral video
C. An email list people joined with permission
D. Followers on a single social app, however many

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-M-Q3
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What can a platform do at any time?

A. Hand you its customer data
B. Pay all your bills
C. Guarantee your reach for as long as you post
D. Change its rules or suspend accounts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-M-Q4
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What is the safest approach?

A. Build some of both and do not rely on one platform
B. Put everything on one app
C. Avoid all platforms
D. Buy followers on one app to look popular fast

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-M-Q5
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · MAIN · Q5/5 · Outcome ENT.MKT.09 (local)

Learn
Selling on a social platform is like renting a stall in someone else's market. The market owner decides where your stall goes, how many people walk past, and whether you can stay. Your email list is like your own address book of customers who asked to hear from you. If the market closes or moves you to a corner, you can still write to your address book.

A social platform is like what?

A. Your own building on your own land
B. A tax office
C. A rented stall in someone else's market
D. A bank vault

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-B1-Q1
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Who decides how many people walk past the stall?

A. Customers only
B. The market owner
C. You alone
D. Nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-B1-Q2
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.09 (local)

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An email list is like what?

A. Your own address book of customers
B. A billboard
C. A rented stall in the town market
D. A coupon

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-B1-Q3
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.MKT.09 (local)

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If the market closes, what can you still do?

A. Write to your address book
B. Use the same stall
C. Force the market to open again
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-B1-Q4
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.MKT.09 (local)

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What is the lesson of the picture?

A. Address books are useless for selling
B. Markets never close
C. Never sell at markets
D. Do not depend only on a rented stall

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-B1-Q5
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.MKT.09 (local)

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Account A has 20,000 followers and 3 sales a month. Account B has 900 followers and 40 sales. Which audience is more valuable for sales?

A. A, because the count is bigger
B. B
C. They are equal
D. Neither

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F1-Q1
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A service offers 10,000 followers for 30 dollars. What is the best response?

A. Buy 5,000 as a test
B. Ask for 20,000 instead
C. Decline; fake followers do not buy and can hurt reach
D. Buy them, since looking popular attracts real buyers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F1-Q2
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An owner gets 90 percent of sales from one platform. What risk does she face?

A. No risk, because platforms never change their rules
B. A rule change or suspension could cut most sales
C. Taxes vanish
D. Sales will double

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F1-Q3
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Which step reduces that risk?

A. Buying followers
B. Posting more on the same platform only
C. Deleting the account
D. Inviting buyers to join an email list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F1-Q4
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A post reaches 8,000 of 40,000 followers. What percent of followers saw it?

A. 80 percent
B. 20 percent
C. 5 percent
D. 8 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F1-Q5
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Reach dropped by half after a platform changed its algorithm. What is a sensible response?

A. Assume the business is over
B. Test new formats and strengthen other channels
C. Do nothing forever
D. Buy fake followers to recover the lost reach quickly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F2-Q1
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.09 (local)

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An account is suspended by mistake. What would help the business keep selling meanwhile?

A. Only the suspended account, once it returns
B. Fake accounts
C. Nothing could help
D. An email list and a website it controls

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F2-Q2
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An influencer with 100,000 followers offers a paid post, but her comments look like bots. What should the owner check?

A. Whether her audience is real and matches the target customers
B. Nothing, because big follower counts are always real people
C. Only her profile photo
D. Only her follower count

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An email list of 1,200 gives about 30 sales per campaign. A platform of 12,000 followers gives about 15. What does this suggest?

A. Lists never work
B. Followers equal sales
C. The smaller owned list produces more sales here
D. The platform is always better because it has more followers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F2-Q4
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Which statement is accurate?

A. Email lists are illegal to build.
B. Platforms promise permanent reach to every account that posts often.
C. Fake followers help sales.
D. Engaged audiences beat big counts, and no platform is guaranteed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S93-F2-Q5
Entrepreneurship, Set 93: Fake followers, audience ownership and algorithm changes · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.09 (local)

Set 94: Scheduling content and following platform rules

Outcome ENT.MKT.10: Plan a sustainable posting schedule and follow each platform's rules

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Consistency beats bursts. A CONTENT CALENDAR plans what to post and when, for example two useful posts a week on set days. Batch work: write several posts in one session, then schedule them. Each platform has its own RULES (community guidelines and terms): limits on contests, restricted products, copyrighted music and images, and what ads may claim. Read the rules for each platform you use; breaking them can get posts removed or accounts suspended. Use only images and music you have the right to use.

What is a content calendar?

A. A plan of what to post and when
B. A list of customer birthdays only
C. A tax deadline schedule
D. A wall calendar of the owner's holidays

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-M-Q1
Entrepreneurship, Set 94: Scheduling content and following platform rules · MAIN · Q1/5 · Outcome ENT.MKT.10 (local)

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Why batch content?

A. Batches always go viral
B. Writing several posts in one session saves time
C. Batching posts is required by platform law
D. It avoids having any plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-M-Q2
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What can happen if platform rules are broken?

A. Nothing, ever
B. A free advertising credit
C. Posts removed or accounts suspended
D. Automatic promotion to more viewers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-M-Q3
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Which images may a business use?

A. Screenshots of other people's art
B. Images it has the right to use
C. Any image found online
D. A famous brand's photos without permission

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-M-Q4
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Which plan is more sustainable for a busy owner?

A. Posting only when inspired
B. Hourly posting with no plan
C. Two useful posts a week on set days
D. Twenty posts on Monday, then nothing for a month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-M-Q5
Entrepreneurship, Set 94: Scheduling content and following platform rules · MAIN · Q5/5 · Outcome ENT.MKT.10 (local)

Learn
Some people cook meals for the week on Sunday, then just heat them up. Batching content works the same way: write several posts in one sitting, then schedule them for the week. A content calendar is the meal plan. And just as a kitchen has safety rules, each platform has rules about what you can post.

Batching content is like what?

A. Cooking meals for the week on Sunday
B. Buying a new oven
C. Skipping meals
D. Eating out at a restaurant every meal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-B1-Q1
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A content calendar is like what?

A. A meal plan
B. A dishwasher
C. A grocery receipt
D. A recipe book

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-B1-Q2
Entrepreneurship, Set 94: Scheduling content and following platform rules · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.MKT.10 (local)

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Kitchen safety rules are like what?

A. Grocery prices
B. Table manners
C. Recipe tips
D. Platform rules

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Why prep on Sunday?

A. To use more pans
B. To waste food
C. To save time during a busy week
D. To avoid ever cooking again

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Heating up a prepared meal is like what?

A. Breaking a rule
B. Deleting a post
C. Writing a new post from scratch
D. A scheduled post going live

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-B1-Q5
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An owner plans 2 posts a week for 4 weeks and writes them in batches of 4. How many batch sessions does she need?

A. 2
B. 1
C. 4
D. 8

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F1-Q1
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Each post takes 25 minutes to write. How long for a month of 8 posts?

A. 33 minutes
B. 25 minutes
C. 200 minutes
D. 100 minutes

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An owner wants to run a giveaway on a platform. What should she check first?

A. Only what a competitor did
B. Only the prize color
C. Nothing; giveaways are always allowed
D. That platform's contest rules

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A video uses a popular song without a license. What is the risk?

A. The video may be removed or muted
B. More views guaranteed by the song
C. No risk at all
D. A free music license

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Which calendar entry is most useful?

A. "Post some stuff sometime this week, maybe about sweaters or other things"
B. "Be creative"
C. "Tue: tip on caring for wool sweaters; Fri: customer photo with permission"
D. "Maybe Tuesday"

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A supplement seller wants to post "cures colds." What should she consider?

A. Bigger health claims bring more sales safely and quickly
B. Health claims are restricted and must be truthful and supported
C. Platforms never review claims
D. Any claim is fine on social media

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F2-Q1
Entrepreneurship, Set 94: Scheduling content and following platform rules · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.MKT.10 (local)

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The owner missed two weeks of posts while sick. What is a sensible approach?

A. Resume the calendar and keep a few backup posts ready
B. Post 20 times in one day to catch up on missed weeks
C. Quit posting forever
D. Apologize in ten posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F2-Q2
Entrepreneurship, Set 94: Scheduling content and following platform rules · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.MKT.10 (local)

Learn
Consistency beats bursts. A CONTENT CALENDAR plans what to post and when, for example two useful posts a week on set days. Batch work: write several posts in one session, then schedule them. Each platform has its own RULES (community guidelines and terms): limits on contests, restricted products, copyrighted music and images, and what ads may claim. Read the rules for each platform you use; breaking them can get posts removed or accounts suspended. Use only images and music you have the right to use.

A post was removed for using another company's logo. What should the owner do next time?

A. Use the logo again but smaller
B. Use only her own images or licensed ones
C. Use a different company's logo instead
D. Ignore the removal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F2-Q3
Entrepreneurship, Set 94: Scheduling content and following platform rules · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.MKT.10 (local)

Learn
Consistency beats bursts. A CONTENT CALENDAR plans what to post and when, for example two useful posts a week on set days. Batch work: write several posts in one session, then schedule them. Each platform has its own RULES (community guidelines and terms): limits on contests, restricted products, copyrighted music and images, and what ads may claim. Read the rules for each platform you use; breaking them can get posts removed or accounts suspended. Use only images and music you have the right to use.

Platform A allows contests; Platform B restricts them. The owner posts the same contest on both. What is the problem?

A. No problem; rules are identical
B. It doubles prizes
C. Contests are illegal everywhere
D. It may break Platform B's rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F2-Q4
Entrepreneurship, Set 94: Scheduling content and following platform rules · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.MKT.10 (local)

Learn
Consistency beats bursts. A CONTENT CALENDAR plans what to post and when, for example two useful posts a week on set days. Batch work: write several posts in one session, then schedule them. Each platform has its own RULES (community guidelines and terms): limits on contests, restricted products, copyrighted music and images, and what ads may claim. Read the rules for each platform you use; breaking them can get posts removed or accounts suspended. Use only images and music you have the right to use.

Which statement is accurate?

A. All platforms share one rulebook.
B. Copyright does not apply online.
C. Each platform has its own rules, so read them for each one you use.
D. Posting more often always fixes any problems with rules.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S94-F2-Q5
Entrepreneurship, Set 94: Scheduling content and following platform rules · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.MKT.10 (local)

Set 95: Founder case: Blue Ribbon Sports sells at track meets

Outcome ENT.CASE.07: Apply a documented early decision (selling where the customers gather) to a new business

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

According to the passage, what did Blue Ribbon Sports first do?

A. Manufacture its own shoes in a large factory
B. Sell clothing in department stores
C. Run a chain of gyms
D. Distribute Onitsuka Tiger running shoes from Japan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-M-Q1
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · MAIN · Q1/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Where did Knight sell shoes?

A. From his car at regional track meets
B. Only through a website
C. Only in a big-city storefront
D. Only by mail to other countries

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-M-Q2
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · MAIN · Q2/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

What else was Knight doing at the time?

A. Managing a large company
B. Working other jobs
C. Running for political office
D. Studying full time abroad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-M-Q3
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · MAIN · Q3/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Go in person where interested customers gather
B. Wait for customers to find you online
C. Quit every other job on day one
D. Only sell to people who are not runners

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-M-Q4
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · MAIN · Q4/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Which statement about the Blue Ribbon Sports case is accurate?

A. It shows imported goods never work.
B. It shows part-time starts are impossible.
C. It proves selling from a car at events always succeeds.
D. It shows one start, not a promise for other in-person sellers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-M-Q5
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · MAIN · Q5/5 · Outcome ENT.CASE.07 (local)

Learn
A track meet gathers many runners in one place on one day. Runners care about shoes and can compare and talk about them. Going there is like a farmer selling apples at a farmers market rather than on an empty road. The documented fact is where Knight sold; the reason it fit is this course's explanation.

Who gathers at a track meet?

A. Mostly bankers
B. Many runners
C. Mostly chefs
D. Nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-B1-Q1
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.07 (local)

Learn
A track meet gathers many runners in one place on one day. Runners care about shoes and can compare and talk about them. Going there is like a farmer selling apples at a farmers market rather than on an empty road. The documented fact is where Knight sold; the reason it fit is this course's explanation.

Why do runners care about the product?

A. They sell shoes
B. They mostly collect hats
C. They avoid shoes
D. They need good running shoes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-B1-Q2
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.07 (local)

Learn
A track meet gathers many runners in one place on one day. Runners care about shoes and can compare and talk about them. Going there is like a farmer selling apples at a farmers market rather than on an empty road. The documented fact is where Knight sold; the reason it fit is this course's explanation.

Selling apples at a farmers market rather than an empty road shows what?

A. Go where buyers already are
B. Roads are illegal for selling
C. Markets are free
D. Apples are better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-B1-Q3
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.07 (local)

Learn
A track meet gathers many runners in one place on one day. Runners care about shoes and can compare and talk about them. Going there is like a farmer selling apples at a farmers market rather than on an empty road. The documented fact is where Knight sold; the reason it fit is this course's explanation.

"Knight sold at track meets" is which kind of statement?

A. A rumor
B. Documented fact
C. A promise
D. Course explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-B1-Q4
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.07 (local)

Learn
A track meet gathers many runners in one place on one day. Runners care about shoes and can compare and talk about them. Going there is like a farmer selling apples at a farmers market rather than on an empty road. The documented fact is where Knight sold; the reason it fit is this course's explanation.

"Track meets fit because runners gather there" is which kind of statement?

A. A legal rule
B. A documented quote from Knight
C. A tax fact
D. The course's explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-B1-Q5
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Ana makes grips for rock climbers and has a full-time job. Which first step best applies the lesson?

A. Wait for climbers to email her
B. Run ads to everyone in the country
C. Sell at climbing gym events on weekends
D. Quit her job and open a mall store

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F1-Q1
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

At one event Ana sells 18 grips at 15 dollars each. What is her revenue?

A. 33 dollars
B. 270 dollars
C. 180 dollars
D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F1-Q2
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

At an event Ana sells 18 grips at 15 dollars each. The booth costs 40 dollars and each grip costs 6 dollars to make. What is her profit from the event?

A. 270 dollars
B. 162 dollars
C. 230 dollars
D. 122 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F1-Q3
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.07 (local)

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Which detail from the case is a surface detail, not the lesson?

A. Going where customers gather
B. Starting part time
C. Selling from a car
D. Meeting interested buyers in person

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F1-Q4
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

A baker's customers are mostly busy commuters. Applying the lesson, where might she sell?

A. At a quiet park at midnight
B. At a track meet
C. Near a busy train station in the morning
D. Only online, with no promotion at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F1-Q5
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Someone says, "Knight sold from his car, so I should sell everything from my car." What is wrong?

A. Knight never had a car
B. The car was a detail; the lesson is meeting customers where they gather
C. Nothing, because selling from a car is what guarantees success
D. Cars are illegal for business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F2-Q1
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Ana's climbing events happen only once a month. What should she consider adding?

A. Quitting immediately
B. Fake reviews
C. Nothing, because one event a month is plenty of reach
D. Another channel to reach climbers between events

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F2-Q2
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Selling at events needs permits in some places. What should Ana check?

A. The event's and city's vendor rules
B. Only her logo
C. Nothing; events never need permits
D. Only competitors' prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F2-Q3
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Ana works 10 hours at an event to earn 122 dollars of profit. What is her hourly profit?

A. 1.22 dollars
B. 10.00 dollars
C. 12.20 dollars
D. 122.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F2-Q4
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.07 (local)

Learn
Documented history (Britannica): Phil Knight and his former coach Bill Bowerman formed Blue Ribbon Sports in 1964 to distribute Onitsuka Tiger running shoes from Japan. Knight sold shoes from his car at regional track meets while working other jobs. The Nike brand and its Swoosh logo appeared in 1971, and the company later took the Nike name; accounts of the break with Onitsuka differ in their details. Lesson drawn by this course (an interpretation): go in person to the places where your most interested customers already gather, and start part time if you need income. One success story does not guarantee the same result for another business.

Which statement is accurate?

A. Part-time starts always fail.
B. The case suggests a way to start; results depend on the product and market.
C. Every in-person seller at events eventually becomes a global brand.
D. Events are the only channel that works.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S95-F2-Q5
Entrepreneurship, Set 95: Founder case: Blue Ribbon Sports sells at track meets · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.07 (local)

Set 96: Founder case: Madam C. J. Walker builds distribution

Outcome ENT.CASE.08: Apply a documented early decision (training sales agents and reaching customers directly) to a new business

Module: Foundation 11: Marketing, sales and social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

According to the passage, how did Walker first sell products?

A. Only to other companies
B. Only through television ads
C. Door to door
D. Only in large department stores

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-M-Q1
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · MAIN · Q1/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

Where did she advertise?

A. On billboards across Europe
B. Nowhere at all
C. On radio in every state
D. In African American newspapers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-M-Q2
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · MAIN · Q2/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

What did she do with sales agents?

A. Trained and recruited them
B. Replaced them all with machines
C. Paid them to stay home
D. Refused to work with any

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-M-Q3
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · MAIN · Q3/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Avoid advertising entirely
B. Rely on one person doing every sale forever
C. Build several direct channels and train others to sell
D. Sell only to strangers who never use the product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-M-Q4
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · MAIN · Q4/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

Which statement about the Madam C. J. Walker case is accurate?

A. It shows one approach, not a guarantee for other sellers.
B. It proves door-to-door sales always succeed for products.
C. It shows advertising is useless.
D. It shows training agents never helps.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-M-Q5
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · MAIN · Q5/5 · Outcome ENT.CASE.08 (local)

Learn
One teacher can teach only so many students in a day. A school with many trained teachers can teach thousands. Walker's recruiting and training of agents and her beauty school are documented. This course's explanation is that training others let the business reach more customers than one person could reach alone. Facts are recorded; explanations are interpretations.

Why can a school teach more students than one teacher?

A. It has many trained teachers
B. It charges less
C. It has longer days
D. It has bigger desks and rooms

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-B1-Q1
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.08 (local)

Learn
One teacher can teach only so many students in a day. A school with many trained teachers can teach thousands. Walker's recruiting and training of agents and her beauty school are documented. This course's explanation is that training others let the business reach more customers than one person could reach alone. Facts are recorded; explanations are interpretations.

Trained sales agents are like what?

A. One tired teacher
B. A locked door
C. Many teachers in a school
D. An empty classroom at night

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-B1-Q2
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.08 (local)

Learn
One teacher can teach only so many students in a day. A school with many trained teachers can teach thousands. Walker's recruiting and training of agents and her beauty school are documented. This course's explanation is that training others let the business reach more customers than one person could reach alone. Facts are recorded; explanations are interpretations.

"Walker recruited and trained agents" is which kind of statement?

A. A rumor
B. Documented fact
C. A promise
D. Course explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-B1-Q3
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.08 (local)

Learn
One teacher can teach only so many students in a day. A school with many trained teachers can teach thousands. Walker's recruiting and training of agents and her beauty school are documented. This course's explanation is that training others let the business reach more customers than one person could reach alone. Facts are recorded; explanations are interpretations.

"Training let the business reach more customers" is which kind?

A. The course's explanation
B. A documented quote from Walker
C. A tax rule
D. A contract

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-B1-Q4
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.08 (local)

Learn
One teacher can teach only so many students in a day. A school with many trained teachers can teach thousands. Walker's recruiting and training of agents and her beauty school are documented. This course's explanation is that training others let the business reach more customers than one person could reach alone. Facts are recorded; explanations are interpretations.

What limits a business that depends on one person?

A. That person's time
B. The weather
C. The color of the logo
D. The number of chairs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-B1-Q5
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

Lena sells handmade soap at markets alone and is booked every weekend. Which step best applies the lesson?

A. Work every night alone with no help at all
B. Train a helper to run a second market stall
C. Sell only to her family
D. Stop advertising

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F1-Q1
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.08 (local)

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Lena pays a trained helper 20 percent commission on 500 dollars of weekend sales. What is the commission?

A. 50 dollars
B. 20 dollars
C. 100 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F1-Q2
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.08 (local)

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Lena pays a helper 20 percent commission on 500 dollars of weekend sales. After commission, how much of the 500 dollars remains for her costs and profit?

A. 400 dollars
B. 500 dollars
C. 100 dollars
D. 480 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F1-Q3
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.08 (local)

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Which channel mix reflects the case?

A. Billboards in a different country
B. No channels at all; just wait for word of mouth
C. Markets, a community newsletter ad and mail orders
D. One market stall only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F1-Q4
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.08 (local)

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Before a helper sells for her, what should Lena provide?

A. Her bank password
B. A script with exaggerated claims
C. Nothing, because anyone can sell any product without help
D. Training on the products and how to talk about them honestly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F1-Q5
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.08 (local)

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A new agent makes promises about the soap that are not true. What should Lena do?

A. Ignore it, since sales are sales either way
B. Encourage bigger claims
C. Hide it from customers
D. Correct the claims and retrain the agent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F2-Q1
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.08 (local)

Learn
Documented history (Indiana Historical Society): Madam C. J. Walker sold her hair-care products door to door, advertised in African American newspapers, trained and recruited sales agents, ran a mail-order business and a beauty school, and incorporated her company in Indianapolis in 1910. Lesson drawn by this course (an interpretation): build several channels that reach your customers directly, and train other people to sell and teach, so the business is not limited to one person's time. One success story does not guarantee the same result for another business.

An agent arrangement requires agents to pay a large fee before selling anything. What should Lena consider?

A. Hiding the fee
B. Requiring even larger fees
C. Whether the arrangement is fair and focused on real sales to customers
D. Nothing, because bigger upfront fees are always better for everyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F2-Q2
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.08 (local)

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Someone says, "Walker sold door to door, so door-to-door is the secret." What is wrong?

A. The lesson is many direct channels, not one method
B. Door-to-door selling is illegal everywhere today
C. Walker never sold door to door
D. Nothing; door-to-door always works

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F2-Q3
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.08 (local)

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Is a helper an employee or contractor? What should Lena check?

A. Nothing, because the label in the agreement decides everything
B. Current federal and state rules on worker classification
C. Only her competitor's choice
D. Only what the helper prefers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F2-Q4
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.08 (local)

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Which statement is accurate?

A. One channel is always enough.
B. Training sales agents guarantees that a business will succeed.
C. The case shows one path; other businesses must test what works for them.
D. Advertising never matters.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S96-F2-Q5
Entrepreneurship, Set 96: Founder case: Madam C. J. Walker builds distribution · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.08 (local)

Set 97: Useful jobs for AI tools

Outcome ENT.AI.01: Choose tasks where an AI tool helps (drafts, outlines, ideas, summaries)

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
AI tools (programs that generate text, images or summaries from a request) can save time on DRAFTING and ORGANIZING work: a first draft of a product description, a summary of long notes, ideas for a social post, a list of questions to ask a supplier, or reformatting a price list. They are weaker at work that needs verified facts, legal or tax certainty, or knowledge of your specific customers. A good rule: let the tool draft, and let a person who knows the business check and decide.

Which task suits an AI tool well?

A. Drafting a first version of a product description
B. Confirming this year's exact tax rules with certainty
C. Knowing which local customers will definitely buy
D. Deciding the final legal structure for the business alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-M-Q1
Entrepreneurship, Set 97: Useful jobs for AI tools · MAIN · Q1/5 · Outcome ENT.AI.01 (local)

Learn
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Which task is AI weaker at?

A. Reformatting a price list neatly
B. Giving verified legal or tax certainty
C. Summarizing long meeting notes
D. Suggesting ideas for a social post

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-M-Q2
Entrepreneurship, Set 97: Useful jobs for AI tools · MAIN · Q2/5 · Outcome ENT.AI.01 (local)

Learn
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What is the good rule from the passage?

A. Let the tool decide everything without review
B. Let customers check the drafts for you
C. Never use any tools for any task
D. Let the tool draft; a person checks and decides

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-M-Q3
Entrepreneurship, Set 97: Useful jobs for AI tools · MAIN · Q3/5 · Outcome ENT.AI.01 (local)

Learn
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Which is an organizing task?

A. Summarizing long notes into key points
B. Signing a lease on the owner's behalf
C. Choosing who to hire without review
D. Approving a refund automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-M-Q4
Entrepreneurship, Set 97: Useful jobs for AI tools · MAIN · Q4/5 · Outcome ENT.AI.01 (local)

Learn
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Why is an AI tool weak at knowing your customers?

A. Customers are illegal to describe
B. It always knows every customer personally
C. It does not have your specific customer knowledge
D. It refuses to write about customers ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-M-Q5
Entrepreneurship, Set 97: Useful jobs for AI tools · MAIN · Q5/5 · Outcome ENT.AI.01 (local)

Learn
Imagine hiring a very fast assistant on their first day. They can type a draft letter in minutes and tidy a messy list, but they do not know your customers, your prices, or the law, and they sometimes guess confidently. You would let them draft, then read it before anything is sent. An AI tool is like that assistant: helpful for drafts, not a replacement for your judgment.

What is the new assistant good at?

A. Knowing all the laws
B. Fast drafts and tidying lists
C. Knowing every customer by name
D. Never making mistakes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-B1-Q1
Entrepreneurship, Set 97: Useful jobs for AI tools · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.01 (local)

Learn
Imagine hiring a very fast assistant on their first day. They can type a draft letter in minutes and tidy a messy list, but they do not know your customers, your prices, or the law, and they sometimes guess confidently. You would let them draft, then read it before anything is sent. An AI tool is like that assistant: helpful for drafts, not a replacement for your judgment.

What does the new assistant not know?

A. How to write short letters to people
B. How to list items
C. Your customers, prices and the law
D. How to type

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-B1-Q2
Entrepreneurship, Set 97: Useful jobs for AI tools · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.01 (local)

Learn
Imagine hiring a very fast assistant on their first day. They can type a draft letter in minutes and tidy a messy list, but they do not know your customers, your prices, or the law, and they sometimes guess confidently. You would let them draft, then read it before anything is sent. An AI tool is like that assistant: helpful for drafts, not a replacement for your judgment.

What would you do before a letter is sent?

A. Read and check it
B. Send it unread
C. Throw it away
D. Ask a stranger to read it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-B1-Q3
Entrepreneurship, Set 97: Useful jobs for AI tools · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.01 (local)

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Imagine hiring a very fast assistant on their first day. They can type a draft letter in minutes and tidy a messy list, but they do not know your customers, your prices, or the law, and they sometimes guess confidently. You would let them draft, then read it before anything is sent. An AI tool is like that assistant: helpful for drafts, not a replacement for your judgment.

An AI tool is most like what?

A. A licensed attorney
B. A tax agency
C. An owner
D. A fast new assistant

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-B1-Q4
Entrepreneurship, Set 97: Useful jobs for AI tools · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.01 (local)

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Why check the assistant's work?

A. They are always perfect on day one
B. They never type
C. They sometimes guess confidently
D. Checking is illegal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-B1-Q5
Entrepreneurship, Set 97: Useful jobs for AI tools · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.01 (local)

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AI tools (programs that generate text, images or summaries from a request) can save time on DRAFTING and ORGANIZING work: a first draft of a product description, a summary of long notes, ideas for a social post, a list of questions to ask a supplier, or reformatting a price list. They are weaker at work that needs verified facts, legal or tax certainty, or knowledge of your specific customers. A good rule: let the tool draft, and let a person who knows the business check and decide.

A bakery owner spends 2 hours a week writing product descriptions. Which use of AI fits best?

A. Let AI decide the prices of every product
B. Let AI reply to complaints without review
C. Draft descriptions, then the owner edits them
D. Let AI choose the business structure

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F1-Q1
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.01 (local)

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Drafting with AI cuts writing from 120 minutes to 45 minutes a week. How many minutes are saved each week?

A. 165
B. 75
C. 45
D. 120

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F1-Q2
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.01 (local)

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Drafting with AI cuts writing from 120 minutes to 45 minutes a week. Over 4 weeks, how many hours does that save?

A. 300 hours
B. 3 hours
C. 75 hours
D. 5 hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F1-Q3
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.01 (local)

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Which request is a poor fit for AI alone?

A. "Tell me exactly what I owe in taxes this year."
B. "Reformat this price list as a neat table with two columns."
C. "List 10 ideas for a spring post."
D. "Summarize these customer emails."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F1-Q4
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.01 (local)

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An owner asks AI for supplier questions before a meeting. What should she do with the list?

A. Use it unread
B. Send it to the supplier as a signed contract
C. Review it and add questions only she would know
D. Delete it without looking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F1-Q5
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.01 (local)

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An owner uses AI for everything and stops reading outputs. What is the main risk?

A. Errors reach customers without anyone noticing
B. Sales double automatically
C. Nothing, because AI output is always right
D. Taxes disappear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F2-Q1
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.01 (local)

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Fixing AI drafts takes longer than writing from scratch for one task. What should the owner conclude?

A. AI must always be used anyway, even if slower
B. Writing is never needed
C. The task should be abandoned
D. AI is not saving time for that task

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F2-Q2
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.01 (local)

Learn
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A tool produces a social post with a claim the owner cannot support. What should she do?

A. Remove or correct the claim before posting
B. Blame the tool publicly
C. Post it unchanged, since the tool wrote it
D. Add more unsupported claims

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F2-Q3
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.01 (local)

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Which statement about responsibility is accurate?

A. The tool maker is responsible for every message a business sends.
B. Customers are responsible for checking drafts.
C. Nobody is responsible for AI text.
D. The business is responsible for what it sends, even if a tool drafted it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F2-Q4
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Which statement is accurate?

A. AI outputs need no review.
B. AI tools never help small businesses.
C. AI tools help most with drafts and organizing, with a person checking.
D. AI tools fully replace all professional advice for small businesses.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S97-F2-Q5
Entrepreneurship, Set 97: Useful jobs for AI tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.01 (local)

Set 98: Asking clearly: task, context, audience

Outcome ENT.AI.02: Write a clear request with task, context and audience, and improve it step by step

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An AI tool works better with a clear request (often called a PROMPT). Include: the TASK ("write a 50-word product description"), the CONTEXT (what the product is, price, who makes it), the AUDIENCE ("busy parents"), and any LIMITS (tone, length, words to avoid, facts that must be included). Vague requests like "write something good" give vague results. If the first answer is off, refine the request with specific feedback.

Which request is clearest?

A. "Do marketing."
B. "Write something good about our soap for people, please, thanks."
C. "Make it nice."
D. "Write a 50-word description of our 12-dollar lavender soap for busy parents."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-M-Q1
Entrepreneurship, Set 98: Asking clearly: task, context, audience · MAIN · Q1/5 · Outcome ENT.AI.02 (local)

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What is "context" in a request?

A. Details like the product and its price
B. The color of the computer screen being used
C. The tool's company history
D. The time of day the owner types

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-M-Q2
Entrepreneurship, Set 98: Asking clearly: task, context, audience · MAIN · Q2/5 · Outcome ENT.AI.02 (local)

Learn
An AI tool works better with a clear request (often called a PROMPT). Include: the TASK ("write a 50-word product description"), the CONTEXT (what the product is, price, who makes it), the AUDIENCE ("busy parents"), and any LIMITS (tone, length, words to avoid, facts that must be included). Vague requests like "write something good" give vague results. If the first answer is off, refine the request with specific feedback.

Which is a limit?

A. "Write a description"
B. "For busy parents"
C. "Keep it under 60 words and avoid medical claims"
D. "Our soap is lavender scented and handmade"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-M-Q3
Entrepreneurship, Set 98: Asking clearly: task, context, audience · MAIN · Q3/5 · Outcome ENT.AI.02 (local)

Learn
An AI tool works better with a clear request (often called a PROMPT). Include: the TASK ("write a 50-word product description"), the CONTEXT (what the product is, price, who makes it), the AUDIENCE ("busy parents"), and any LIMITS (tone, length, words to avoid, facts that must be included). Vague requests like "write something good" give vague results. If the first answer is off, refine the request with specific feedback.

The first answer is too formal. What should the owner do?

A. Give up on the tool forever
B. Post the formal version anyway
C. Type the same request again unchanged and hope
D. Ask again with specific feedback

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-M-Q4
Entrepreneurship, Set 98: Asking clearly: task, context, audience · MAIN · Q4/5 · Outcome ENT.AI.02 (local)

Learn
An AI tool works better with a clear request (often called a PROMPT). Include: the TASK ("write a 50-word product description"), the CONTEXT (what the product is, price, who makes it), the AUDIENCE ("busy parents"), and any LIMITS (tone, length, words to avoid, facts that must be included). Vague requests like "write something good" give vague results. If the first answer is off, refine the request with specific feedback.

Why do vague requests give vague results?

A. Vague requests are illegal
B. The tool has little to work with
C. Tools only answer long questions
D. Tools punish vague users

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-M-Q5
Entrepreneurship, Set 98: Asking clearly: task, context, audience · MAIN · Q5/5 · Outcome ENT.AI.02 (local)

Learn
If you say "a sandwich," you might get anything. If you say "turkey on wheat, no mayo, toasted, cut in half," you get what you wanted. The order includes what (task), how (limits), and for whom (maybe "for my child, small size"). A clear AI request works the same way. If the sandwich comes out wrong, you tell the person exactly what to fix.

"A sandwich" is like what kind of request?

A. A vague one
B. A clear one
C. A paid one
D. A rude one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-B1-Q1
Entrepreneurship, Set 98: Asking clearly: task, context, audience · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.02 (local)

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"No mayo" is like what part of a request?

A. The audience
B. The task
C. A limit
D. The context

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-B1-Q2
Entrepreneurship, Set 98: Asking clearly: task, context, audience · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.02 (local)

Learn
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"For my child, small size" is like what part?

A. The audience
B. A price
C. A limit only
D. The task

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-B1-Q3
Entrepreneurship, Set 98: Asking clearly: task, context, audience · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.02 (local)

Learn
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If the sandwich is wrong, what do you do?

A. Leave without a word
B. Eat it unhappily forever
C. Say exactly what to fix
D. Order the same vague thing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-B1-Q4
Entrepreneurship, Set 98: Asking clearly: task, context, audience · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.02 (local)

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A clear order gets what?

A. Nothing
B. A bigger bill
C. Something random
D. What you wanted

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-B1-Q5
Entrepreneurship, Set 98: Asking clearly: task, context, audience · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.02 (local)

Learn
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Rewrite "help with email." Which version is best?

A. "Draft a polite 80-word reply to a customer whose order is 3 days late."
B. "Help with my email again, but make it much better this time, please."
C. "Do my emails for me forever."
D. "Email."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F1-Q1
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.02 (local)

Learn
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A request lacks the audience. What should be added?

A. The owner's favorite color for emails
B. The tool's price
C. Who the message is for
D. A random number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F1-Q2
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.02 (local)

Learn
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An owner wants a description that must mention "handmade in Ohio." Where does that belong in the request?

A. Nowhere; the tool will guess it
B. In the limits or required facts
C. Only after posting
D. In a separate email to customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F1-Q3
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.02 (local)

Learn
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Three tries with vague requests took 15 minutes; one clear request took 5 minutes. How much time did clarity save?

A. 5 minutes
B. 15 minutes
C. 20 minutes
D. 10 minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F1-Q4
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.02 (local)

Learn
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The tool wrote 200 words when 50 were needed. What feedback is best?

A. "Shorten to 50 words, keep the price and key benefit."
B. "Wrong. Again."
C. "Make it different somehow, but similar to before."
D. "Try harder."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F1-Q5
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.02 (local)

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An owner asks AI to "write 10 glowing customer reviews." What is the problem?

A. The number should be 20
B. Reviews must be long
C. Nothing; reviews are just text
D. Invented reviews would be deceptive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F2-Q1
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.02 (local)

Learn
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A request includes a customer's full name, address and card number. What should the owner do instead?

A. Ignore privacy because tools are safe
B. Remove private details before using the tool
C. Include even more personal details
D. Post the details publicly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F2-Q2
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.02 (local)

Learn
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The tool gives a confident answer about a local permit rule. What should the owner do?

A. Ignore permits
B. Share it as legal advice
C. Check it with the official local source
D. Trust it fully because it sounds sure

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F2-Q3
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.02 (local)

Learn
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Which request leaves out the most important part for a price-list task?

A. "Make a table" with no prices given
B. "Use these 5 items and prices"
C. "Table with columns item and price"
D. "Table of 5 items with prices"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F2-Q4
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.02 (local)

Learn
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Which statement is accurate?

A. A clear request always guarantees a perfect answer.
B. Requests never need context.
C. Vague requests work best.
D. Clear requests help, but the owner still checks facts.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S98-F2-Q5
Entrepreneurship, Set 98: Asking clearly: task, context, audience · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.02 (local)

Set 99: Made-up answers and checking facts

Outcome ENT.AI.03: Explain that AI tools can state false things confidently, and check output against trusted sources

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
AI tools can produce answers that sound confident but are wrong or invented, sometimes called HALLUCINATIONS: a fake statistic, a law that does not exist, a made-up source, or a wrong price. Check any fact that matters: numbers, dates, laws, prices, names and quotations. Use the original or official source, not another AI answer. If a source is given, open it and confirm it says what was claimed. When you cannot verify a fact, leave it out.

What is a hallucination in AI output?

A. A slow internet connection
B. A picture the tool draws of someone's dream
C. A confident answer that is wrong or invented
D. A password reset email

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-M-Q1
Entrepreneurship, Set 99: Made-up answers and checking facts · MAIN · Q1/5 · Outcome ENT.AI.03 (local)

Learn
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Which facts should be checked?

A. Only facts the owner already knows by heart
B. Numbers, dates, laws, prices, names and quotes
C. Only the font of the answer
D. Nothing; tools never err

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-M-Q2
Entrepreneurship, Set 99: Made-up answers and checking facts · MAIN · Q2/5 · Outcome ENT.AI.03 (local)

Learn
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What is the best way to verify a law mentioned by AI?

A. Read the official government source
B. Ask the same tool if it is sure
C. Ask another AI tool
D. Assume it is right if it sounds formal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-M-Q3
Entrepreneurship, Set 99: Made-up answers and checking facts · MAIN · Q3/5 · Outcome ENT.AI.03 (local)

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An AI answer cites a source. What should the owner do?

A. Share it without reading
B. Open the source and confirm it says that
C. Trust it because a source is listed
D. Delete the source

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-M-Q4
Entrepreneurship, Set 99: Made-up answers and checking facts · MAIN · Q4/5 · Outcome ENT.AI.03 (local)

Learn
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A fact cannot be verified. What does the passage advise?

A. Double the number to be safe
B. Make it sound more certain
C. Leave it out
D. Use it anyway, boldly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-M-Q5
Entrepreneurship, Set 99: Made-up answers and checking facts · MAIN · Q5/5 · Outcome ENT.AI.03 (local)

Learn
Some people answer every question confidently, even when they are guessing: "Oh yes, the store closes at 9." Sometimes they are right, sometimes not. You would check the store's own hours before driving there. AI tools can be like that friend. A confident tone is not proof; checking the original source is. That one extra step can save a wasted trip.

Is a confident tone proof that an answer is right?

A. No
B. Only on weekdays
C. Yes, always
D. Only for numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-B1-Q1
Entrepreneurship, Set 99: Made-up answers and checking facts · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.03 (local)

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How would you check the store's closing time?

A. Drive and hope
B. Look at the store's own hours
C. Ask the same friend again
D. Guess

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-B1-Q2
Entrepreneurship, Set 99: Made-up answers and checking facts · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.03 (local)

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The confident friend is like what?

A. A receipt
B. A store's sign
C. An AI tool that sometimes guesses
D. A government website page of laws

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-B1-Q3
Entrepreneurship, Set 99: Made-up answers and checking facts · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.03 (local)

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What is the "original source" in the story?

A. The confident friend
B. A map
C. The store's own hours
D. A rumor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-B1-Q4
Entrepreneurship, Set 99: Made-up answers and checking facts · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.03 (local)

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What should you do with an important AI fact?

A. Check the original source
B. Repeat it louder to others
C. Ignore it
D. Trust its tone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-B1-Q5
Entrepreneurship, Set 99: Made-up answers and checking facts · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.03 (local)

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An AI draft says "73 percent of shoppers prefer handmade soap," with no source. What should the owner do?

A. Keep it, because it sounds convincing to readers
B. Change it to 90 percent
C. Remove the claim unless a real source confirms it
D. Add "studies show" to it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F1-Q1
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.03 (local)

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An AI tool says the state filing fee is 50 dollars. The official site says 125 dollars. Which should the owner use?

A. An average of the two, 87.50 dollars
B. 50 dollars, from the tool
C. Neither; skip filing
D. 125 dollars, from the official site

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F1-Q2
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.03 (local)

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A draft quotes a famous founder. The owner cannot find the quote anywhere reliable. What should she do?

A. Leave the quote out
B. Attribute it to someone else
C. Keep it and add a date
D. Make it longer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F1-Q3
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.03 (local)

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An AI summary of a supplier contract says delivery is 10 days; the contract says 21. How many days off is the summary?

A. 21 days
B. 11 days
C. 10 days
D. 31 days

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F1-Q4
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.03 (local)

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Which items in a draft press release most need checking?

A. The number of commas
B. The font choice
C. The paragraph spacing
D. Prices, dates and names

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F1-Q5
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.03 (local)

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An AI draft gets the price right but the store hours wrong. What does this show?

A. One correct fact does not mean all facts are correct
B. Store hours never matter
C. The whole draft must be reliable then, including hours
D. Prices are always wrong

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F2-Q1
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.03 (local)

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Two AI tools give the same wrong answer. Is that verification?

A. Yes, if both sound confident
B. No, verification needs an original source
C. Only if a third agrees
D. Yes, two tools always confirm truth

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F2-Q2
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.03 (local)

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A tool invents a regulation and the owner posts it. A customer points it out. What should the owner do?

A. Ignore it
B. Correct the post and thank the customer
C. Delete the customer's comment quietly
D. Argue that the tool said so

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F2-Q3
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.03 (local)

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An AI sales forecast says revenue will grow 300 percent next year. What should the owner treat it as?

A. A legal promise
B. An unsupported guess until checked against real data
C. A bank statement
D. A guaranteed result for next year's sales planning

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F2-Q4
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.03 (local)

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AI tools can produce answers that sound confident but are wrong or invented, sometimes called HALLUCINATIONS: a fake statistic, a law that does not exist, a made-up source, or a wrong price. Check any fact that matters: numbers, dates, laws, prices, names and quotations. Use the original or official source, not another AI answer. If a source is given, open it and confirm it says what was claimed. When you cannot verify a fact, leave it out.

Which statement is accurate?

A. Checking facts wastes time.
B. AI never invents sources.
C. If an answer sounds formal and certain, then it must be true.
D. Confident AI answers can still be wrong, so check facts that matter.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S99-F2-Q5
Entrepreneurship, Set 99: Made-up answers and checking facts · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.03 (local)

Set 100: Confidential data and tool terms

Outcome ENT.AI.04: Keep private customer and business data out of tools whose terms do not allow it

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Before putting information into an AI tool, think about who could see it. Some tools may store what you type or use it to improve their systems, depending on the tool's TERMS and settings. Do not paste CONFIDENTIAL information unless you know how it is handled: customer names with contact details, card numbers, passwords, private health details, or a client's secret plans. Read the tool's privacy terms, check business settings, and remove or replace personal details (for example "Customer A") when you can.

What may some AI tools do with what you type?

A. Send it back to you as a printed letter
B. Turn it into a legal contract automatically for you to sign
C. Store it or use it to improve their systems, depending on terms
D. Delete it before you finish typing, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-M-Q1
Entrepreneurship, Set 100: Confidential data and tool terms · MAIN · Q1/5 · Outcome ENT.AI.04 (local)

Learn
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Which should NOT be pasted into a tool without knowing how it is handled?

A. A draft headline for a post
B. A public holiday schedule
C. A customer's card number
D. A generic list of product colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-M-Q2
Entrepreneurship, Set 100: Confidential data and tool terms · MAIN · Q2/5 · Outcome ENT.AI.04 (local)

Learn
Before putting information into an AI tool, think about who could see it. Some tools may store what you type or use it to improve their systems, depending on the tool's TERMS and settings. Do not paste CONFIDENTIAL information unless you know how it is handled: customer names with contact details, card numbers, passwords, private health details, or a client's secret plans. Read the tool's privacy terms, check business settings, and remove or replace personal details (for example "Customer A") when you can.

What is a safer way to ask about a customer complaint?

A. Paste the customer's login password
B. Attach the customer's card photo
C. Include the full name, address and phone
D. Replace names and details with "Customer A"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-M-Q3
Entrepreneurship, Set 100: Confidential data and tool terms · MAIN · Q3/5 · Outcome ENT.AI.04 (local)

Learn
Before putting information into an AI tool, think about who could see it. Some tools may store what you type or use it to improve their systems, depending on the tool's TERMS and settings. Do not paste CONFIDENTIAL information unless you know how it is handled: customer names with contact details, card numbers, passwords, private health details, or a client's secret plans. Read the tool's privacy terms, check business settings, and remove or replace personal details (for example "Customer A") when you can.

Where can an owner learn how a tool handles data?

A. A random forum guess
B. The tool's privacy terms and settings
C. The tool's logo
D. A competitor's opinion of the tool

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-M-Q4
Entrepreneurship, Set 100: Confidential data and tool terms · MAIN · Q4/5 · Outcome ENT.AI.04 (local)

Learn
Before putting information into an AI tool, think about who could see it. Some tools may store what you type or use it to improve their systems, depending on the tool's TERMS and settings. Do not paste CONFIDENTIAL information unless you know how it is handled: customer names with contact details, card numbers, passwords, private health details, or a client's secret plans. Read the tool's privacy terms, check business settings, and remove or replace personal details (for example "Customer A") when you can.

Which information is confidential?

A. The business's public website text
B. A public store address
C. A posted price list
D. A client's secret product launch plans

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-M-Q5
Entrepreneurship, Set 100: Confidential data and tool terms · MAIN · Q5/5 · Outcome ENT.AI.04 (local)

Learn
You would not read a customer's credit card number out loud in a crowded café, because strangers might hear. Typing into an online tool can be similar: depending on its terms, what you type may be stored or seen. Talk about general ideas freely, but keep private details private, or replace them with placeholders like "Customer A."

Why not read a card number aloud in a café?

A. Strangers might hear
B. Coffee gets cold
C. Cafés ban numbers
D. It is too long

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-B1-Q1
Entrepreneurship, Set 100: Confidential data and tool terms · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.04 (local)

Learn
You would not read a customer's credit card number out loud in a crowded café, because strangers might hear. Typing into an online tool can be similar: depending on its terms, what you type may be stored or seen. Talk about general ideas freely, but keep private details private, or replace them with placeholders like "Customer A."

Typing into an online tool can be like what?

A. Whispering alone at home
B. Thinking silently
C. Talking in a crowded café
D. Writing in a locked diary

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-B1-Q2
Entrepreneurship, Set 100: Confidential data and tool terms · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.04 (local)

Learn
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What can be discussed freely?

A. Card numbers
B. General ideas
C. Health details
D. Passwords

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-B1-Q3
Entrepreneurship, Set 100: Confidential data and tool terms · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.04 (local)

Learn
You would not read a customer's credit card number out loud in a crowded café, because strangers might hear. Typing into an online tool can be similar: depending on its terms, what you type may be stored or seen. Talk about general ideas freely, but keep private details private, or replace them with placeholders like "Customer A."

What is a placeholder?

A. A stand-in like "Customer A"
B. A signature
C. A password
D. A real phone number in full

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-B1-Q4
Entrepreneurship, Set 100: Confidential data and tool terms · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.04 (local)

Learn
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What should stay private?

A. Store hours
B. Private customer details
C. A blog title
D. Product colors and sizes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-B1-Q5
Entrepreneurship, Set 100: Confidential data and tool terms · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.04 (local)

Learn
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A bookkeeper wants AI to summarize a client's bank statements. What should she check first?

A. Only the summary length
B. Only the tool's colors
C. The tool's data terms and her client agreement
D. Nothing, because summaries are always private

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F1-Q1
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.04 (local)

Learn
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Which prompt is safest?

A. "Reply to Jane Lee, 14 Elm St, card 4111..."
B. "Here is my admin password; fix my site."
C. "Here are all customer emails and phone numbers; write to them."
D. "Draft a polite reply to a customer upset about a late order."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F1-Q2
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.04 (local)

Learn
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A business tool plan says data is not used for training; the free plan says it may be. Which fits confidential work better?

A. The free plan, since it costs less each month
B. Neither; tools are illegal
C. The business plan, after confirming its terms
D. Either; terms never matter

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F1-Q3
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.04 (local)

Learn
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An owner pastes 120 customer emails into a tool by mistake. What is a sensible first step?

A. Check the tool's deletion options and terms, and stop sharing more
B. Paste the rest of the customer emails too, since the first batch is already in
C. Paste the rest too
D. Ignore it entirely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F1-Q4
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.04 (local)

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Which detail can usually be replaced with a placeholder?

A. The product type
B. The customer's name
C. The tone wanted
D. The question being asked

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F1-Q5
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.04 (local)

Learn
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A client contract says their information must not be shared with outside services. What should the owner do?

A. Hide it from the client
B. Not paste their information into outside tools
C. Ask the tool for permission
D. Paste it anyway, since tools are helpful

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F2-Q1
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.04 (local)

Learn
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A helper uses a personal AI account for business documents. What should the owner set?

A. A ban on all computers
B. No rules at all
C. Rules only for the owner, not for helpers
D. Clear rules on which tools and data are allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F2-Q2
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.04 (local)

Learn
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A tool's terms change. What should a business that relies on it do?

A. Stop reading terms forever after this
B. Review the new terms and settings
C. Assume nothing changed
D. Share more data

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F2-Q3
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.04 (local)

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Which item is never appropriate to paste?

A. A public product name
B. A generic question
C. A draft headline
D. A password

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F2-Q4
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.04 (local)

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Which statement is accurate?

A. Terms never change.

B. Every AI tool keeps everything private.

C. Customer data is fine to share with any tool, as long as it is useful.

D. How a tool handles data depends on its terms and settings, so check before sharing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S100-F2-Q5
Entrepreneurship, Set 100: Confidential data and tool terms · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.04 (local)

Set 101: Human approval before it matters

Outcome ENT.AI.05: Keep a person responsible for consequential actions, and tell automation from judgment

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Some actions should never happen without a person checking first. Require HUMAN APPROVAL before AI-assisted work reaches customers or creates obligations: sending emails or posts, changing prices, issuing refunds, signing or sending contracts, making hiring decisions, or giving advice about health, money or law. The higher the stakes, the more careful the review. A simple rule is: "Draft by tool, decision by person," with the reviewer named for each type of task.

Which action needs human approval first?

A. Sorting notes into a list for yourself
B. Brainstorming ten slogan ideas
C. Sending a refund to a customer
D. Drafting a private to-do list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-M-Q1
Entrepreneurship, Set 101: Human approval before it matters · MAIN · Q1/5 · Outcome ENT.AI.05 (local)

Learn
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What is the simple rule from the passage?

A. "Never use tools for drafts"
B. "Draft by tool, decision by person"
C. "Let customers decide everything"
D. "Decide by tool, never review"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-M-Q2
Entrepreneurship, Set 101: Human approval before it matters · MAIN · Q2/5 · Outcome ENT.AI.05 (local)

Learn
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How should review change as stakes rise?

A. It should become random
B. It should stop entirely
C. It should be done by the tool
D. It should become more careful

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-M-Q3
Entrepreneurship, Set 101: Human approval before it matters · MAIN · Q3/5 · Outcome ENT.AI.05 (local)

Learn
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Which is a high-stakes area?

A. Choosing an emoji for a post
B. Advice about health, money or law
C. Picking a background color
D. Naming a playlist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-M-Q4
Entrepreneurship, Set 101: Human approval before it matters · MAIN · Q4/5 · Outcome ENT.AI.05 (local)

Learn
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Why name a reviewer for each task type?

A. So the tool can sign
B. So reviews never happen
C. So it is clear who must approve
D. So nobody has to be responsible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-M-Q5
Entrepreneurship, Set 101: Human approval before it matters · MAIN · Q5/5 · Outcome ENT.AI.05 (local)

Learn
A student can write a draft quickly, but the teacher reads it before it counts. In a business, AI can write a draft quickly, but a person reads it before it reaches a customer. The bigger the consequence, like a final exam versus a practice quiz, the more carefully the teacher checks. The student still learns from the feedback.

Who reads the draft before it counts?

A. The teacher
B. The draft itself
C. Nobody
D. A random stranger

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-B1-Q1
Entrepreneurship, Set 101: Human approval before it matters · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.05 (local)

Learn
A student can write a draft quickly, but the teacher reads it before it counts. In a business, AI can write a draft quickly, but a person reads it before it reaches a customer. The bigger the consequence, like a final exam versus a practice quiz, the more carefully the teacher checks. The student still learns from the feedback.

In business, who is like the teacher?

A. The customer who will receive the message later
B. A person who approves before it reaches customers
C. The AI tool
D. A competitor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-B1-Q2
Entrepreneurship, Set 101: Human approval before it matters · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.05 (local)

Learn
A student can write a draft quickly, but the teacher reads it before it counts. In a business, AI can write a draft quickly, but a person reads it before it reaches a customer. The bigger the consequence, like a final exam versus a practice quiz, the more carefully the teacher checks. The student still learns from the feedback.

A final exam versus a practice quiz is like what?

A. High stakes versus low stakes
B. Two kinds of pens for writing
C. Two equal tasks
D. Two lunch options

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-B1-Q3
Entrepreneurship, Set 101: Human approval before it matters · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.05 (local)

Learn
A student can write a draft quickly, but the teacher reads it before it counts. In a business, AI can write a draft quickly, but a person reads it before it reaches a customer. The bigger the consequence, like a final exam versus a practice quiz, the more carefully the teacher checks. The student still learns from the feedback.

When does the teacher check most carefully?

A. Only on Friday afternoons
B. Never
C. When bored
D. When the consequence is bigger

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-B1-Q4
Entrepreneurship, Set 101: Human approval before it matters · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.05 (local)

Learn
A student can write a draft quickly, but the teacher reads it before it counts. In a business, AI can write a draft quickly, but a person reads it before it reaches a customer. The bigger the consequence, like a final exam versus a practice quiz, the more carefully the teacher checks. The student still learns from the feedback.

The AI tool is like whom in the picture?

A. The principal of the whole school
B. The parent
C. The student writing a quick draft
D. The teacher

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-B1-Q5
Entrepreneurship, Set 101: Human approval before it matters · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.05 (local)

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A shop uses AI to draft replies to reviews. Which rule fits?

A. The owner approves each reply before posting
B. Customers approve the replies
C. Replies post automatically with no review
D. Replies are never posted

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F1-Q1
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.05 (local)

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An AI tool suggests raising all prices 25 percent. What should happen?

A. Customers vote on it
B. The owner reviews the reasoning and decides
C. The suggestion is ignored without reading
D. Prices change automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F1-Q2
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.05 (local)

Learn
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A refund rule: tool drafts, owner approves. The owner approves 18 of 20 drafts. How many needed changes?

A. 2
B. 20
C. 38
D. 18

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F1-Q3
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.05 (local)

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Which task can usually run with lighter review?

A. Issuing refunds
B. Giving tax advice to a customer
C. Sorting the owner's own notes
D. Sending a contract to a client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F1-Q4
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.05 (local)

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An AI tool screens job applications and ranks them. What should the owner do?

A. Hire the top-ranked person without reading
B. Let the tool send rejection letters unreviewed
C. Reject everyone the tool ranked low without review
D. Review the applications herself before deciding

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F1-Q5
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.05 (local)

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A busy owner wants to skip review "just this week." What is the risk?

A. An error could reach customers when no one is checking
B. No risk, because tools never make errors during busy weeks
C. Sales double
D. Taxes vanish

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F2-Q1
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.05 (local)

Learn
Some actions should never happen without a person checking first. Require HUMAN APPROVAL before AI-assisted work reaches customers or creates obligations: sending emails or posts, changing prices, issuing refunds, signing or sending contracts, making hiring decisions, or giving advice about health, money or law. The higher the stakes, the more careful the review. A simple rule is: "Draft by tool, decision by person," with the reviewer named for each type of task.

An automation sends AI-written emails to all customers when stock arrives. What safeguard fits?

A. Hide it from staff
B. Approve the template and test it before it goes live
C. Let it send anything it writes without review
D. Turn off all emails forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F2-Q2
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.05 (local)

Learn
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An AI reply promised a customer a refund the policy does not allow. What should the owner do?

A. Blame the tool and refuse to discuss it with the customer
B. Ignore the customer
C. Promise even more
D. Decide fairly, honor or explain, and fix the approval step

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F2-Q3
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.05 (local)

Learn
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Reviewing each reply takes 2 minutes and there are 30 replies a week. How long is review each week?

A. 30 minutes
B. 32 minutes
C. 60 minutes
D. 15 minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F2-Q4
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.05 (local)

Learn
Some actions should never happen without a person checking first. Require HUMAN APPROVAL before AI-assisted work reaches customers or creates obligations: sending emails or posts, changing prices, issuing refunds, signing or sending contracts, making hiring decisions, or giving advice about health, money or law. The higher the stakes, the more careful the review. A simple rule is: "Draft by tool, decision by person," with the reviewer named for each type of task.

Which statement is accurate?

A. Customer-facing or binding actions need a person's approval.
B. High stakes need less review.
C. Human review is only needed for large businesses with staff.
D. Tools may sign contracts alone.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S101-F2-Q5
Entrepreneurship, Set 101: Human approval before it matters · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.05 (local)

Set 102: Measuring benefit and choosing tools

Outcome ENT.AI.06: Choose AI tools by task, cost and measured results, and track subscriptions

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A tool is worth using only if it helps. MEASURE the benefit: time saved, errors reduced, or sales gained, compared with the cost (subscription price plus time spent learning and checking). Example: a 20-dollar-a-month tool that saves 3 hours a month is worth it if your time is worth more than about 6.67 dollars an hour. Try a tool on one task first, compare before and after, and drop tools that do not help. Check terms, data handling and whether you can export your work.

Which is a cost of a tool besides its price?

A. Time spent learning and checking its work
B. The number of its employees worldwide
C. Its company slogan
D. The color of its logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-M-Q1
Entrepreneurship, Set 102: Measuring benefit and choosing tools · MAIN · Q1/5 · Outcome ENT.AI.06 (local)

Learn
A tool is worth using only if it helps. MEASURE the benefit: time saved, errors reduced, or sales gained, compared with the cost (subscription price plus time spent learning and checking). Example: a 20-dollar-a-month tool that saves 3 hours a month is worth it if your time is worth more than about 6.67 dollars an hour. Try a tool on one task first, compare before and after, and drop tools that do not help. Check terms, data handling and whether you can export your work.

A 30-dollar-a-month tool saves 5 hours a month. What is the cost per hour saved?

A. 0.17 dollars
B. 150 dollars
C. 25 dollars
D. 6 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-M-Q2
Entrepreneurship, Set 102: Measuring benefit and choosing tools · MAIN · Q2/5 · Outcome ENT.AI.06 (local)

Learn
A tool is worth using only if it helps. MEASURE the benefit: time saved, errors reduced, or sales gained, compared with the cost (subscription price plus time spent learning and checking). Example: a 20-dollar-a-month tool that saves 3 hours a month is worth it if your time is worth more than about 6.67 dollars an hour. Try a tool on one task first, compare before and after, and drop tools that do not help. Check terms, data handling and whether you can export your work.

How should a new tool be tried first?

A. By reading ads only
B. On every task at once with no measuring
C. On one task, comparing before and after
D. Only after paying for a year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-M-Q3
Entrepreneurship, Set 102: Measuring benefit and choosing tools · MAIN · Q3/5 · Outcome ENT.AI.06 (local)

Learn
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What should happen to a tool that does not help?

A. Keep paying forever
B. Drop it
C. Buy a second copy
D. Hide it from the budget

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-M-Q4
Entrepreneurship, Set 102: Measuring benefit and choosing tools · MAIN · Q4/5 · Outcome ENT.AI.06 (local)

Learn
A tool is worth using only if it helps. MEASURE the benefit: time saved, errors reduced, or sales gained, compared with the cost (subscription price plus time spent learning and checking). Example: a 20-dollar-a-month tool that saves 3 hours a month is worth it if your time is worth more than about 6.67 dollars an hour. Try a tool on one task first, compare before and after, and drop tools that do not help. Check terms, data handling and whether you can export your work.

Besides price, what should be checked before choosing?

A. Only the logo
B. Only its number of social media followers
C. Terms, data handling and export options
D. Only the website color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-M-Q5
Entrepreneurship, Set 102: Measuring benefit and choosing tools · MAIN · Q5/5 · Outcome ENT.AI.06 (local)

Learn
To judge a tool, divide its monthly cost by the hours it saves each month. Example: 24 dollars / 4 hours saved = 6 dollars per hour saved. If your time is worth more than that per hour, the tool pays off. Include checking time: if the tool saves 4 hours but checking takes 1 hour, the net saving is 3 hours, so 24 / 3 = 8 dollars per hour saved.

20 dollars a month saves 4 hours. What is the cost per hour saved?

A. 80 dollars
B. 16 dollars
C. 5 dollars
D. 0.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-B1-Q1
Entrepreneurship, Set 102: Measuring benefit and choosing tools · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.AI.06 (local)

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A tool saves 6 hours but checking takes 2. What is the net saving?

A. 2 hours
B. 8 hours
C. 6 hours
D. 4 hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-B1-Q2
Entrepreneurship, Set 102: Measuring benefit and choosing tools · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.AI.06 (local)

Learn
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36 dollars a month with a 4-hour net saving. What is the cost per hour saved?

A. 144 dollars
B. 32 dollars
C. 9 dollars
D. 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-B1-Q3
Entrepreneurship, Set 102: Measuring benefit and choosing tools · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.AI.06 (local)

Learn
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If time is worth 15 dollars an hour and the cost per hour saved is 9 dollars, does the tool pay off?

A. Yes
B. No
C. Cannot tell
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-B1-Q4
Entrepreneurship, Set 102: Measuring benefit and choosing tools · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.AI.06 (local)

Learn
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Why include checking time?

A. It does not matter
B. It reduces the real time saved
C. It makes the tool free
D. It increases the time saved

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-B1-Q5
Entrepreneurship, Set 102: Measuring benefit and choosing tools · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.AI.06 (local)

Learn
A tool is worth using only if it helps. MEASURE the benefit: time saved, errors reduced, or sales gained, compared with the cost (subscription price plus time spent learning and checking). Example: a 20-dollar-a-month tool that saves 3 hours a month is worth it if your time is worth more than about 6.67 dollars an hour. Try a tool on one task first, compare before and after, and drop tools that do not help. Check terms, data handling and whether you can export your work.

Tool A costs 15 dollars and saves a net 3 hours a month. Tool B costs 40 dollars and saves a net 5 hours. Which costs less per hour saved?

A. B, at 8 dollars per hour
B. They are equal
C. B, at 5 dollars per hour
D. A, at 5 dollars per hour

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F1-Q1
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.06 (local)

Learn
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Before a tool, invoices took 4 hours a month with 6 errors. After, 2 hours with 1 error. How many errors were avoided?

A. 5
B. 7
C. 6
D. 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F1-Q2
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.06 (local)

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A tool claims to "save 20 hours a week," but the owner measured 1 hour. What should she rely on?

A. Nothing
B. Her own measurement
C. The tool's advertisement
D. A guess halfway between

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F1-Q3
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.06 (local)

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Three tools cost 12, 18 and 25 dollars a month. The owner uses only the 18-dollar one. How much could she save each month by dropping the others?

A. 43 dollars
B. 55 dollars
C. 18 dollars
D. 37 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F1-Q4
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.06 (local)

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A tool helps a lot but cannot export the owner's work. What risk should she weigh?

A. No risk, because tools never change or close
B. Faster work forever
C. Lower taxes
D. Being stuck if the tool changes or closes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F1-Q5
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.06 (local)

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A "free" tool requires 3 hours of fixing its errors each week. What is its real cost?

A. Only electricity
B. The owner's time spent fixing errors
C. Only its logo
D. Nothing, because free means no cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F2-Q1
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.06 (local)

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A tool's price rises from 10 to 25 dollars a month. It saves a net 2 hours. What is the new cost per hour saved?

A. 5.00 dollars
B. 12.50 dollars
C. 25.00 dollars
D. 50.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F2-Q2
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.06 (local)

Learn
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Everyone online says a new tool is "a must." The owner's trial showed no benefit. What should she do?

A. Trust her trial results
B. Buy three of them
C. Buy it because everyone says so
D. Ignore her own data

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F2-Q3
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.06 (local)

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A tool saves time but its terms allow using her client data for training. Her contract forbids sharing client data. What fits?

A. Do not use it for client data
B. Hide it from clients
C. Ask the tool to promise privacy
D. Use it anyway

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F2-Q4
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.06 (local)

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Which statement is accurate?

A. Free tools have no costs.
B. Every popular tool pays off.
C. A tool is worth keeping only if measured benefits exceed its full costs.
D. Measuring a tool's benefit is impossible for a small business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S102-F2-Q5
Entrepreneurship, Set 102: Measuring benefit and choosing tools · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.06 (local)

Set 103: No fake testimonials or false claims

Outcome ENT.AI.07: Refuse AI-made testimonials, fake reviews and claims the business cannot support

Module: Foundation 12: AI as a practical helper

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
AI makes it easy to create text and images, which makes it easy to deceive by accident or on purpose. Never use AI to invent customer testimonials or reviews, create fake "before and after" photos, imply endorsements that did not happen, or make claims you cannot support, such as "clinically proven" or "number one in the state." The FTC treats fake reviews and testimonials as deceptive. Use AI to draft honest descriptions of what your product actually does, and label AI-generated images where it would affect a buyer's decision.

Which use of AI is deceptive?

A. Fixing grammar in a real review with permission
B. Drafting an honest product description
C. Summarizing real customer feedback accurately
D. Inventing customer testimonials

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-M-Q1
Entrepreneurship, Set 103: No fake testimonials or false claims · MAIN · Q1/5 · Outcome ENT.AI.07 (local)

Learn
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Which claim needs support before it is used?

A. "Ships in 3 business days by mail"
B. "Available in 4 colors"
C. "Clinically proven to reduce wrinkles"
D. "Made with lavender oil"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-M-Q2
Entrepreneurship, Set 103: No fake testimonials or false claims · MAIN · Q2/5 · Outcome ENT.AI.07 (local)

Learn
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What does the FTC say about fake reviews and testimonials?

A. They are deceptive
B. They are fine if positive
C. They are allowed if AI writes them
D. They are required for new businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-M-Q3
Entrepreneurship, Set 103: No fake testimonials or false claims · MAIN · Q3/5 · Outcome ENT.AI.07 (local)

Learn
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When should an AI-generated image be labeled?

A. Never, under any circumstances at all
B. When it would affect a buyer's decision
C. Only if it is blue
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-M-Q4
Entrepreneurship, Set 103: No fake testimonials or false claims · MAIN · Q4/5 · Outcome ENT.AI.07 (local)

Learn
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What is a good use of AI here?

A. Creating fake before-and-after photos of results
B. Implying a celebrity endorsement
C. Inventing awards
D. Drafting honest descriptions of what the product does

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-M-Q5
Entrepreneurship, Set 103: No fake testimonials or false claims · MAIN · Q5/5 · Outcome ENT.AI.07 (local)

Learn
Imagine a used-car ad where the seller edits out the dents and rust. Buyers drive over, see the real car and feel cheated. AI can make that kind of edit in seconds. The rule stays the same as before AI: show the product as it really is and say only what you can back up.

Editing dents out of a car photo is what?

A. Misleading buyers
B. A free repair
C. Honest marketing
D. Required by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-B1-Q1
Entrepreneurship, Set 103: No fake testimonials or false claims · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.AI.07 (local)

Learn
Imagine a used-car ad where the seller edits out the dents and rust. Buyers drive over, see the real car and feel cheated. AI can make that kind of edit in seconds. The rule stays the same as before AI: show the product as it really is and say only what you can back up.

How do buyers feel when they see the real car?

A. Delighted
B. Cheated
C. Indifferent
D. Grateful

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-B1-Q2
Entrepreneurship, Set 103: No fake testimonials or false claims · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.AI.07 (local)

Learn
Imagine a used-car ad where the seller edits out the dents and rust. Buyers drive over, see the real car and feel cheated. AI can make that kind of edit in seconds. The rule stays the same as before AI: show the product as it really is and say only what you can back up.

Does AI change the honesty rule?

A. Yes, AI edits are always allowed
B. Yes, rules vanish online
C. Only for cars
D. No, the same rule applies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-B1-Q3
Entrepreneurship, Set 103: No fake testimonials or false claims · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.AI.07 (local)

Learn
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What should a product photo show?

A. An imagined better version
B. A competitor's product
C. The product as it really is
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-B1-Q4
Entrepreneurship, Set 103: No fake testimonials or false claims · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.AI.07 (local)

Learn
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What should a claim be?

A. Copied from rivals
B. Something you can back up
C. As exciting as possible
D. Made up if needed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-B1-Q5
Entrepreneurship, Set 103: No fake testimonials or false claims · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.AI.07 (local)

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An AI draft for a candle shop includes "Loved by 50,000 customers," but the shop has 600. What should the owner do?

A. Replace it with a true statement or remove it
B. Change it to 40,000
C. Add "approximately"
D. Keep it, because big numbers sound good

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F1-Q1
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.AI.07 (local)

Learn
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An AI image shows a cake far more elaborate than the bakery makes. What should the owner use instead?

A. The AI image, without any label on it
B. No photos ever
C. A competitor's cake photo
D. Photos of cakes the bakery actually made

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F1-Q2
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.AI.07 (local)

Learn
AI makes it easy to create text and images, which makes it easy to deceive by accident or on purpose. Never use AI to invent customer testimonials or reviews, create fake "before and after" photos, imply endorsements that did not happen, or make claims you cannot support, such as "clinically proven" or "number one in the state." The FTC treats fake reviews and testimonials as deceptive. Use AI to draft honest descriptions of what your product actually does, and label AI-generated images where it would affect a buyer's decision.

A draft says "Number one plumber in the state." The owner has no ranking data. What should she write instead?

A. "Licensed, 8 years serving Eastfield"
B. Write "best ever" in capitals
C. Write "number one in the country"
D. Keep "number one" because many plumbers say it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F1-Q3
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.AI.07 (local)

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A shop has 12 real reviews. An AI tool offers to write 30 more. If it did, what fraction of all reviews would be fake?

A. 12/42
B. 30/42
C. 30/12
D. 12/30

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F1-Q4
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.AI.07 (local)

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Which use of AI with real reviews is honest?

A. Rewriting them to sound more positive
B. Adding fake names to them
C. Inventing extra reviews in the same style as the real ones
D. Summarizing common themes from real reviews accurately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F1-Q5
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.AI.07 (local)

Learn
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A competitor uses AI-made testimonials and seems to sell more. What should the owner do?

A. Buy reviews instead
B. Stay honest and build real reviews
C. Copy the competitor's tactic to keep up
D. Write even more fake reviews

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F2-Q1
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.AI.07 (local)

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A "sample testimonial" written by AI is placed on the site as a design placeholder and forgotten. What is the risk?

A. It is required
B. Visitors may think it is a real customer
C. No risk; placeholders are invisible
D. It improves trust

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F2-Q2
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.AI.07 (local)

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A product claim was true last year but the formula changed. What should the owner do?

A. Keep it; it was true once
B. Make the claim stronger
C. Update or remove the claim
D. Hide the formula change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F2-Q3
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.AI.07 (local)

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An AI tool suggests saying a product is "FDA approved," but it is not. What should the owner do?

A. Make it in small print
B. Ask the AI again
C. Make it only on social media
D. Not make the claim

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F2-Q4
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.AI.07 (local)

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Which statement is accurate?

A. AI-written reviews are acceptable as long as they sound realistic.
B. Claims need no support online.
C. With or without AI, claims must be real and supportable.
D. Images never mislead.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S103-F2-Q5
Entrepreneurship, Set 103: No fake testimonials or false claims · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.AI.07 (local)

Set 104: Simple procedures and scheduling

Outcome ENT.OPS.01: Write a short repeatable procedure and schedule work realistically

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A PROCEDURE (or checklist) writes down the steps for a task that repeats, such as opening the shop, packing an order, or closing out the day. Written steps reduce mistakes, make work faster, and let a helper do the task the same way. Keep each checklist short, in order, and updated when something changes. A simple SCHEDULE blocks time for paid work, for admin (invoices, email, bookkeeping) and for rest, so important tasks are not always pushed to "later."

What is a procedure in a small business?

A. A legal filing that registers the business
B. Written steps for a task that repeats
C. A one-time speech the owner gives on opening day
D. A medical operation for the business owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-M-Q1
Entrepreneurship, Set 104: Simple procedures and scheduling · MAIN · Q1/5 · Outcome ENT.OPS.01 (local)

Learn
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Which task most needs a written checklist?

A. Packing an order the same way every time
B. Choosing a new logo once every ten years
C. Picking a favorite song for the shop
D. Deciding what to eat for lunch today

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-M-Q2
Entrepreneurship, Set 104: Simple procedures and scheduling · MAIN · Q2/5 · Outcome ENT.OPS.01 (local)

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Why block time for admin?

A. Because admin never needs any time at all
B. So customers can do the admin instead
C. Because admin tasks are illegal during work hours
D. So admin is not always pushed to "later"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-M-Q3
Entrepreneurship, Set 104: Simple procedures and scheduling · MAIN · Q3/5 · Outcome ENT.OPS.01 (local)

Learn
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When should a checklist be updated?

A. Only when a customer complains loudly
B. Every hour, whether or not anything changed
C. When something in the task changes
D. Never, once it is written

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-M-Q4
Entrepreneurship, Set 104: Simple procedures and scheduling · MAIN · Q4/5 · Outcome ENT.OPS.01 (local)

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A PROCEDURE (or checklist) writes down the steps for a task that repeats, such as opening the shop, packing an order, or closing out the day. Written steps reduce mistakes, make work faster, and let a helper do the task the same way. Keep each checklist short, in order, and updated when something changes. A simple SCHEDULE blocks time for paid work, for admin (invoices, email, bookkeeping) and for rest, so important tasks are not always pushed to "later."

How does a checklist help a new helper?

A. They can change the prices freely
B. They can do the task the same way
C. They can skip steps they dislike
D. They no longer need any training at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-M-Q5
Entrepreneurship, Set 104: Simple procedures and scheduling · MAIN · Q5/5 · Outcome ENT.OPS.01 (local)

Learn
A recipe card lists ingredients and steps in order, so anyone in the family can make the dish the same way. If a step changes, like a new oven temperature, you update the card. A business checklist is a recipe card for a work task: short, in order, and kept up to date. A weekly schedule is like a meal plan: it decides when each thing gets done.

A business checklist is like what?

A. A recipe card
B. A grocery receipt
C. A menu price list
D. A shopping bag

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-B1-Q1
Entrepreneurship, Set 104: Simple procedures and scheduling · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.01 (local)

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Why can anyone make the dish from the card?

A. The dish is always simple
B. The card is colorful
C. Everyone already knows it
D. The steps are written in order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-B1-Q2
Entrepreneurship, Set 104: Simple procedures and scheduling · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.01 (local)

Learn
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A new oven temperature means what for the card?

A. Ignore the change
B. Update it
C. Throw it away
D. Hide it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-B1-Q3
Entrepreneurship, Set 104: Simple procedures and scheduling · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.01 (local)

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A weekly schedule is like what?

A. A recipe card
B. A dish soap
C. A meal plan
D. A fridge

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-B1-Q4
Entrepreneurship, Set 104: Simple procedures and scheduling · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.01 (local)

Learn
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What should a good card be?

A. Secret
B. Long and random
C. Blank
D. Short and in order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-B1-Q5
Entrepreneurship, Set 104: Simple procedures and scheduling · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.01 (local)

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An Etsy seller forgets to include care cards in about 1 in 10 orders. What helps most?

A. Packing faster so she has no time to forget
B. A packing checklist that includes the care card
C. Asking customers to remind her
D. Removing care cards entirely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F1-Q1
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.01 (local)

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She ships 60 orders a month and misses the card in 1 of 10. How many orders a month miss it?

A. 1
B. 6
C. 16
D. 10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F1-Q2
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.01 (local)

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Which checklist step order makes sense for packing?

A. Seal, then check the item inside
B. Record shipment before packing
C. Label first, then decide which item goes in the box
D. Check item, add care card, seal, label, record shipment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F1-Q3
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.01 (local)

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An owner works 40 hours a week and wants 15 percent of it for admin. How many hours is that?

A. 4 hours
B. 34 hours
C. 6 hours
D. 15 hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F1-Q4
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.01 (local)

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Invoices are always sent late because there is "no time." What change fits the passage?

A. Wait until there is free time
B. Ask clients to invoice themselves
C. Stop invoicing small jobs
D. Block a fixed weekly time for invoicing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F1-Q5
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.01 (local)

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A helper follows an old checklist that uses a shipping service the shop no longer uses. What went wrong?

A. The checklist was not updated after a change
B. Shipping services never change
C. The helper ignored good, current instructions
D. Checklists never work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F2-Q1
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.01 (local)

Learn
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A checklist has 40 detailed steps for a 5-minute task, and helpers skip it. What is a better approach?

A. Remove the checklist entirely
B. Shorten it to the key steps
C. Punish anyone who skips it
D. Add 20 more steps

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F2-Q2
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.01 (local)

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Paid work fills 48 of 50 scheduled hours, leaving 2 hours for admin that needs 6. How many hours short?

A. 8 hours
B. 2 hours
C. 4 hours
D. 6 hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F2-Q3
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.01 (local)

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Each week, paid work leaves 4 fewer hours than the admin work needs. Which change is most sustainable?

A. Ignore admin indefinitely
B. Skip all rest every week
C. Work 90 hours a week permanently instead
D. Reduce booked work or get help with admin

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F2-Q4
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.01 (local)

Learn
A PROCEDURE (or checklist) writes down the steps for a task that repeats, such as opening the shop, packing an order, or closing out the day. Written steps reduce mistakes, make work faster, and let a helper do the task the same way. Keep each checklist short, in order, and updated when something changes. A simple SCHEDULE blocks time for paid work, for admin (invoices, email, bookkeeping) and for rest, so important tasks are not always pushed to "later."

Which statement is accurate?

A. Checklists never need changes.
B. Short, current checklists reduce mistakes.
C. Admin can always wait.
D. Written steps slow every business down a lot.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S104-F2-Q5
Entrepreneurship, Set 104: Simple procedures and scheduling · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.01 (local)

Set 105: Inventory and reorder points

Outcome ENT.OPS.02: Compute a reorder point from stated daily sales and delivery time

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

What is safety stock?

A. Inventory locked in a safe for security reasons only
B. Items set aside to be thrown away later
C. A small extra cushion of inventory
D. Stock the owner keeps for personal use at home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-M-Q1
Entrepreneurship, Set 105: Inventory and reorder points · MAIN · Q1/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

Daily use 5, lead time 8 days, safety stock 12. What is the reorder point?

A. 25
B. 100
C. 40
D. 52

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-M-Q2
Entrepreneurship, Set 105: Inventory and reorder points · MAIN · Q2/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

What is a risk of too much inventory?

A. Prices automatically double
B. Customers can never find anything at all to buy
C. Cash is tied up and items may spoil or go out of style
D. The business pays no rent at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-M-Q3
Entrepreneurship, Set 105: Inventory and reorder points · MAIN · Q3/5 · Outcome ENT.OPS.02 (local)

Learn
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What is lead time?

A. Days a customer waits to pay
B. Time spent on marketing
C. Days for an order to arrive
D. Hours a store is open each day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-M-Q4
Entrepreneurship, Set 105: Inventory and reorder points · MAIN · Q4/5 · Outcome ENT.OPS.02 (local)

Learn
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Why count stock regularly?

A. Because records are always perfect anyway
B. So records match what is really on the shelf
C. Because counting raises prices
D. So suppliers can visit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-M-Q5
Entrepreneurship, Set 105: Inventory and reorder points · MAIN · Q5/5 · Outcome ENT.OPS.02 (local)

Learn

Reorder point uses the order of operations: multiply first, then add. Daily use x lead time tells how many items sell while you wait for delivery. Then add safety stock. Example: 6 a day x 7 days = 42, plus 8 safety = 50. A common mistake is adding first: (6 + 7) x 8 = 104, which is wrong. Check by asking whether the answer is about one delivery-wait of sales plus a little extra.

What is 3 x 9 + 5?

A. 42

B. 27

C. 17

D. 32

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-B1-Q1

Entrepreneurship, Set 105: Inventory and reorder points · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.OPS.02 (local)

Learn

Reorder point uses the order of operations: multiply first, then add. Daily use x lead time tells how many items sell while you wait for delivery. Then add safety stock. Example: 6 a day x 7 days = 42, plus 8 safety = 50. A common mistake is adding first: (6 + 7) x 8 = 104, which is wrong. Check by asking whether the answer is about one delivery-wait of sales plus a little extra.

Which step comes first in "use x lead time + safety"?

A. Multiply use by lead time

B. Add lead time and safety

C. Divide by safety stock

D. Subtract use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-B1-Q2

Entrepreneurship, Set 105: Inventory and reorder points · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.OPS.02 (local)

Learn

Reorder point uses the order of operations: multiply first, then add. Daily use x lead time tells how many items sell while you wait for delivery. Then add safety stock. Example: 6 a day x 7 days = 42, plus 8 safety = 50. A common mistake is adding first: (6 + 7) x 8 = 104, which is wrong. Check by asking whether the answer is about one delivery-wait of sales plus a little extra.

What is 6 x 7 + 8?

A. 42

B. 21

C. 104

D. 50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-B1-Q3

Entrepreneurship, Set 105: Inventory and reorder points · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.OPS.02 (local)

Learn

Reorder point uses the order of operations: multiply first, then add. Daily use x lead time tells how many items sell while you wait for delivery. Then add safety stock. Example: 6 a day x 7 days = 42, plus 8 safety = 50. A common mistake is adding first: (6 + 7) x 8 = 104, which is wrong. Check by asking whether the answer is about one delivery-wait of sales plus a little extra.

What is 10 x 4 + 15?

A. 29

B. 55

C. 40

D. 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-B1-Q4

Entrepreneurship, Set 105: Inventory and reorder points · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.OPS.02 (local)

Learn

Reorder point uses the order of operations: multiply first, then add. Daily use x lead time tells how many items sell while you wait for delivery. Then add safety stock. Example: 6 a day x 7 days = 42, plus 8 safety = 50. A common mistake is adding first: (6 + 7) x 8 = 104, which is wrong. Check by asking whether the answer is about one delivery-wait of sales plus a little extra.

What does "use x lead time" represent?

A. The safety stock

B. Total yearly sales of the whole shop

C. The price per item

D. Items sold while waiting for delivery

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-B1-Q5

Entrepreneurship, Set 105: Inventory and reorder points · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

A tea shop sells 3 tins a day. The supplier takes 14 days. Safety stock is 9. What is the reorder point?

A. 26 tins
B. 42 tins
C. 51 tins
D. 378 tins

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F1-Q1
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

The shop has 60 tins and sells 3 a day. In how many days will it reach the 51-tin reorder point?

A. 3 days
B. 17 days
C. 9 days
D. 20 days

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F1-Q2
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

Records show 80 candles; a count finds 72. What is the difference?

A. 80 candles
B. 72 candles
C. 8 candles
D. 152 candles

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F1-Q3
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

What should the owner do about that difference?

A. Keep the old number so the records look better
B. Ignore it since it is small
C. Order 8 extra without checking
D. Update the records and look for the cause

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F1-Q4
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

A seasonal holiday item sells only in December. What is the risk of a large order in January?

A. It will sell out immediately in January anyway
B. Cash tied up in stock that will not sell for months
C. There is no risk at all
D. The supplier will refuse to deliver

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F1-Q5
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

The supplier's lead time grows from 10 to 20 days. Daily use is 4 and safety stock 10. What is the new reorder point?

A. 800
B. 90
C. 34
D. 50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F2-Q1
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

Sales jump after a viral post. What should happen to the reorder point?

A. Recalculate it with the new daily use
B. Set it to zero
C. Keep the old one forever, unchanged
D. Double the price instead

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F2-Q2
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

An owner orders far more than needed to get a bulk discount, then cannot pay rent. What lesson applies?

A. Rent can always wait
B. Inventory equals cash
C. Bulk discounts are always worth any cash they use
D. A discount is not worth it if it drains needed cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F2-Q3
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

Daily use 2.5, lead time 9 days, safety 6. What is the reorder point, rounded up to whole items?

A. 22.5
B. 18
C. 29
D. 28

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F2-Q4
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.02 (local)

Learn
INVENTORY is the stock of goods or materials you hold to sell. Too little and you run out; too much ties up cash and risks damage or items going out of style. A REORDER POINT tells you when to order more: reorder point = average daily use x lead time (days to arrive) + SAFETY STOCK (a small extra cushion). Example: you sell 4 mugs a day, delivery takes 10 days, safety stock is 10: reorder point = 4 x 10 + 10 = 50 mugs. Count stock regularly so records match the shelf.

Which statement is accurate?

A. More inventory is always safer.
B. Counting stock by hand is unnecessary once software is used.
C. Reorder points should be updated when sales or lead times change.
D. Reorder points never change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S105-F2-Q5
Entrepreneurship, Set 105: Inventory and reorder points · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.02 (local)

Set 106: Subscriptions, free trials and cancellation dates

Outcome ENT.OPS.03: Track software subscriptions and free-trial end dates

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

What should a subscription list include?

A. Only the service names, with nothing else at all
B. Only the owner's favorite apps
C. Only services that are free forever
D. Service, cost, cycle, renewal date, card, login owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-M-Q1
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · MAIN · Q1/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

When should a trial end date go on the calendar?

A. On the day after it ends
B. Never; trials always cancel themselves
C. A few days before it ends
D. Only if the trial is very expensive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-M-Q2
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · MAIN · Q2/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

Five tools cost 9, 12, 15, 20 and 29 dollars a month. What is the monthly total?

A. 85 dollars
B. 75 dollars
C. 17 dollars
D. 29 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-M-Q3
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · MAIN · Q3/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

Five tools cost a total of 85 dollars a month. What is that total per year?

A. 850 dollars
B. 1,105 dollars
C. 1,020 dollars
D. 85 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-M-Q4
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · MAIN · Q4/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

What should happen to unused subscriptions?

A. Cancel them
B. Keep them just in case forever
C. Hide them from the budget
D. Move them to a personal card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-M-Q5
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · MAIN · Q5/5 · Outcome ENT.OPS.03 (local)

Learn
Many people discover they still pay for a magazine they stopped reading years ago. A small monthly charge is easy to forget. Businesses collect these too: tools, storage plans and trials that quietly turned paid. A simple list with dates works like checking your mailbox for magazines you no longer read, then cancelling them. Reviewing the list every few months keeps it short.

Why are small monthly charges easy to forget?

A. They are small and automatic
B. They only ever come by mail
C. They are illegal
D. They are always huge

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-B1-Q1
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.03 (local)

Learn
Many people discover they still pay for a magazine they stopped reading years ago. A small monthly charge is easy to forget. Businesses collect these too: tools, storage plans and trials that quietly turned paid. A simple list with dates works like checking your mailbox for magazines you no longer read, then cancelling them. Reviewing the list every few months keeps it short.

A forgotten business tool is like what?

A. A paid invoice from a paper supplier
B. A new customer
C. An unread magazine still being paid for
D. A refund

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-B1-Q2
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.03 (local)

Learn
Many people discover they still pay for a magazine they stopped reading years ago. A small monthly charge is easy to forget. Businesses collect these too: tools, storage plans and trials that quietly turned paid. A simple list with dates works like checking your mailbox for magazines you no longer read, then cancelling them. Reviewing the list every few months keeps it short.

A trial that "quietly turned paid" means what?

A. It deleted itself
B. It started charging after the free period
C. It stayed free forever after the trial
D. It paid you

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-B1-Q3
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.03 (local)

Learn
Many people discover they still pay for a magazine they stopped reading years ago. A small monthly charge is easy to forget. Businesses collect these too: tools, storage plans and trials that quietly turned paid. A simple list with dates works like checking your mailbox for magazines you no longer read, then cancelling them. Reviewing the list every few months keeps it short.

What helps catch these charges?

A. Ignoring statements
B. A list with dates
C. More subscriptions
D. Hiding the card

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-B1-Q4
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.03 (local)

Learn
Many people discover they still pay for a magazine they stopped reading years ago. A small monthly charge is easy to forget. Businesses collect these too: tools, storage plans and trials that quietly turned paid. A simple list with dates works like checking your mailbox for magazines you no longer read, then cancelling them. Reviewing the list every few months keeps it short.

What do you do with a magazine you no longer read?

A. Hide it
B. Buy two copies
C. Keep paying
D. Cancel it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-B1-Q5
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

An audit finds 3 unused tools at 14, 22 and 9 dollars a month. How much is saved per year by cancelling them?

A. 540 dollars
B. 585 dollars
C. 450 dollars
D. 45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F1-Q1
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A 14-day trial started March 3. When does it end?

A. March 31
B. April 3
C. March 14
D. March 17

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F1-Q2
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A 14-day trial started March 3 and ends March 17. When should the reminder for that trial be set?

A. April 1
B. A few days earlier, around March 14
C. No reminder needed
D. March 18, the day after it ends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F1-Q3
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A tool bills yearly at 240 dollars on a date the owner forgot. What would have helped?

A. A second email address for the business owner
B. More free trials
C. A bigger logo
D. A renewal date on the subscription list and calendar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F1-Q4
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A former helper's login owns a paid tool. What should the list show?

A. Who owns each login
B. Only the price
C. Nothing about logins
D. Only the tool's logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F1-Q5
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A service makes cancelling difficult and keeps charging. What should the owner do?

A. Follow its cancellation steps, keep proof, then contact the card issuer
B. Ignore the charges
C. Close the business
D. Keep paying forever, since cancelling the service is so hard

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F2-Q1
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

Business subscriptions are on a personal card. What problem does this cause?

A. Taxes disappear
B. No problem at all
C. Business and personal costs get mixed
D. The charges become free for her

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F2-Q2
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

Two team members accidentally signed up for the same tool at 15 dollars a month each. The license needs only one, and one of the charges can be cancelled. How much does the unused duplicate waste per year?

A. 30 dollars
B. 180 dollars
C. 15 dollars
D. 360 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F2-Q3
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

A business card expires and a key service fails to renew. What prevents surprise outages?

A. Ignoring card expiry dates
B. Updating the card on the list when it changes
C. Using many different cards randomly for each tool
D. Never renewing anything

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F2-Q4
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.03 (local)

Learn
Small recurring charges add up. A business may pay for software, storage, design tools, a website plan, and several FREE TRIALS that turn into paid plans. Keep a SUBSCRIPTION LIST with each service, its cost, how often it bills, the renewal date, the card it uses, and who owns the login. Put trial end dates and renewal dates on a calendar a few days early, review the list every few months, and cancel what you no longer use.

Which statement is accurate?

A. Small charges never add up.
B. Trials always end for free.
C. Only big companies need subscription lists at all.
D. A dated subscription list prevents surprise renewals.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S106-F2-Q5
Entrepreneurship, Set 106: Subscriptions, free trials and cancellation dates · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.03 (local)

Set 107: Passwords, two-step login and backups

Outcome ENT.OPS.04: Protect accounts with unique passwords, multifactor authentication and backups

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Business accounts (bank, email, website, payment processor) are valuable targets. Basics: use a long, UNIQUE password for each account, stored in a PASSWORD MANAGER (a secure app that remembers passwords). Turn on TWO-STEP LOGIN (also called two-factor authentication), which asks for a second proof, such as a code from an app, so a stolen password alone is not enough. Keep BACKUPS of important files in a separate place and test that you can restore them. Be wary of messages asking for codes or passwords.

What does two-step login add?

A. An automatic backup of every file
B. A longer username for the account
C. A second password that is the same as the first
D. A second proof, so a stolen password alone is not enough

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-M-Q1
Entrepreneurship, Set 107: Passwords, two-step login and backups · MAIN · Q1/5 · Outcome ENT.OPS.04 (local)

Learn
Business accounts (bank, email, website, payment processor) are valuable targets. Basics: use a long, UNIQUE password for each account, stored in a PASSWORD MANAGER (a secure app that remembers passwords). Turn on TWO-STEP LOGIN (also called two-factor authentication), which asks for a second proof, such as a code from an app, so a stolen password alone is not enough. Keep BACKUPS of important files in a separate place and test that you can restore them. Be wary of messages asking for codes or passwords.

Why use a unique password for each account?

A. One leaked password cannot open the others
B. It makes logins faster
C. Unique passwords are easier to remember
D. Sites require the same password

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-M-Q2
Entrepreneurship, Set 107: Passwords, two-step login and backups · MAIN · Q2/5 · Outcome ENT.OPS.04 (local)

Learn
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What is a password manager?

A. A secure app that remembers passwords
B. A sticky note on the monitor
C. A list emailed to everyone
D. A person who guesses passwords for you

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-M-Q3
Entrepreneurship, Set 107: Passwords, two-step login and backups · MAIN · Q3/5 · Outcome ENT.OPS.04 (local)

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A message asks for the code sent to your phone "to verify your account." What should you do?

A. Share it with anyone who asks politely by email
B. Post the code online
C. Not share it and check through the official site
D. Reply with the code quickly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-M-Q4
Entrepreneurship, Set 107: Passwords, two-step login and backups · MAIN · Q4/5 · Outcome ENT.OPS.04 (local)

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Why test restoring a backup?

A. Restoring erases backups
B. Tests are required daily by law
C. Backups never fail
D. To be sure it actually works

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-M-Q5
Entrepreneurship, Set 107: Passwords, two-step login and backups · MAIN · Q5/5 · Outcome ENT.OPS.04 (local)

Learn
A password is like a door key. If someone copies your key, they can walk in. Two-step login is like a guard who also checks your face: a copied key alone is not enough. Using the same key for your house, car and office means one lost key opens everything. A backup is a copy of your important papers kept somewhere else, in case of fire.

A password is like what?

A. A guard
B. A fire
C. A glass window
D. A door key

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-B1-Q1
Entrepreneurship, Set 107: Passwords, two-step login and backups · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.04 (local)

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Two-step login is like what?

A. A doorbell
B. A spare key hidden under the mat
C. A guard who also checks your face
D. An open door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-B1-Q2
Entrepreneurship, Set 107: Passwords, two-step login and backups · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.04 (local)

Learn
A password is like a door key. If someone copies your key, they can walk in. Two-step login is like a guard who also checks your face: a copied key alone is not enough. Using the same key for your house, car and office means one lost key opens everything. A backup is a copy of your important papers kept somewhere else, in case of fire.

Using one key for everything means what?

A. Nothing changes
B. One lost key opens everything
C. Fewer locks are needed overall
D. Better security

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-B1-Q3
Entrepreneurship, Set 107: Passwords, two-step login and backups · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.04 (local)

Learn
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A backup is like what?

A. Copies of papers kept somewhere else
B. A single original
C. Papers burned in a fire
D. A locked drawer at home, nowhere else

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-B1-Q4
Entrepreneurship, Set 107: Passwords, two-step login and backups · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.04 (local)

Learn
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Why keep copies somewhere else?

A. To confuse yourself
B. It is required
C. To share the copies with strangers
D. In case the first place is damaged

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-B1-Q5
Entrepreneurship, Set 107: Passwords, two-step login and backups · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.04 (local)

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An owner uses "Shop2024" for email, bank and website. What should she change first?

A. Change only the website password
B. Add "!" to the end of the same password everywhere
C. Use unique passwords and turn on two-step login
D. Write it on the shop door

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F1-Q1
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.04 (local)

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Which account should get two-step login first?

A. A newsletter she reads that has no login at all
B. The business email, which can reset other passwords
C. A free recipe website
D. A game account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F1-Q2
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.04 (local)

Learn
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Backups run every 7 days. A laptop is stolen 5 days after the last backup. Up to how many days of work could be lost?

A. 5 days
B. 7 days
C. 2 days
D. 12 days

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F1-Q3
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.04 (local)

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Which backup plan is strongest?

A. Automatic backups kept elsewhere and tested
B. No backup, just being careful with the laptop
C. A backup made once years ago
D. One copy on the same laptop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F1-Q4
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.04 (local)

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A password manager asks for one strong main password. What should that password be?

A. The business name
B. The same as the email password
C. Long and used nowhere else
D. "password"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F1-Q5
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.04 (local)

Learn
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A site the owner uses reports a data breach. What should she do?

A. Change that password and any others that reused it
B. Nothing, because breaches never matter to small shops
C. Post her new password online
D. Delete her email account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F2-Q1
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.04 (local)

Learn
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A helper finds two-step login annoying and wants it off. What is the best response?

A. Use the owner's phone for everyone's codes
B. Share one code with all staff
C. Turn it off for everyone
D. Keep it on and make it easier with an app

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F2-Q2
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.04 (local)

Learn
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Restoring last month's backup fails because the files are corrupted. What lesson applies?

A. Never back up
B. Test backups regularly
C. Backups are useless
D. Only back up yearly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F2-Q3
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.04 (local)

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An email claims to be from the bank and links to a login page. What is safest?

A. Forward it to customers
B. Click the link in the email and log in right away
C. Go to the bank site by typing its address yourself
D. Reply with the password

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F2-Q4
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.04 (local)

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Which statement is accurate?

A. Small businesses are never targeted.
B. Unique passwords, two-step login and backups reduce risk.
C. One strong password reused everywhere is enough.
D. Backups never need testing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S107-F2-Q5
Entrepreneurship, Set 107: Passwords, two-step login and backups · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.04 (local)

Set 108: Access for owners and helpers

Outcome ENT.OPS.05: Give helpers only the access they need and keep owner control

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Give each person their OWN login rather than sharing one password, and give only the ACCESS they need for their job (called least privilege): a helper who packs orders may need the order list, not the bank account. Keep a list of who has access to what. The owner should hold the main (administrator) account for key services. When someone leaves or changes roles, remove or change their access the same day.

What does least privilege mean?

A. Giving only the access a person needs for their job
B. Never giving anyone any access
C. Giving the owner the least access
D. Giving everyone full access to everything in the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-M-Q1
Entrepreneurship, Set 108: Access for owners and helpers · MAIN · Q1/5 · Outcome ENT.OPS.05 (local)

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Why give each person their own login?

A. It makes passwords easier to share
B. It is required for free accounts only, not paid
C. Access can be tracked and removed individually
D. It hides who did what

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-M-Q2
Entrepreneurship, Set 108: Access for owners and helpers · MAIN · Q2/5 · Outcome ENT.OPS.05 (local)

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Who should hold the main administrator account?

A. A customer
B. Whoever set up the site
C. A temporary helper
D. The owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-M-Q3
Entrepreneurship, Set 108: Access for owners and helpers · MAIN · Q3/5 · Outcome ENT.OPS.05 (local)

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When should a departing helper's access be removed?

A. Only if they ask
B. Never
C. A few months later, when convenient
D. The same day they leave

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-M-Q4
Entrepreneurship, Set 108: Access for owners and helpers · MAIN · Q4/5 · Outcome ENT.OPS.05 (local)

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A packing helper needs which access?

A. The domain registrar
B. The tax account
C. The order list
D. The bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-M-Q5
Entrepreneurship, Set 108: Access for owners and helpers · MAIN · Q5/5 · Outcome ENT.OPS.05 (local)

Learn
In an office building, a cleaner may have keys to the hallways and the kitchen but not the safe. The manager has the master key. Each person signs for their own keys, and when someone leaves, their keys are returned the same day. Business accounts work the same way: separate keys, only the rooms each person needs, and a master key the owner keeps.

The cleaner's keys are like what?

A. No access
B. Access only to what the job needs
C. A master key to every single room
D. Full access

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-B1-Q1
Entrepreneurship, Set 108: Access for owners and helpers · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.05 (local)

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The master key is like what?

A. The administrator account the owner keeps
B. A guest pass
C. A helper's login
D. A customer's password for the online shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-B1-Q2
Entrepreneurship, Set 108: Access for owners and helpers · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.05 (local)

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Why does each person sign for their own keys?

A. So it is clear who has which key
B. To lose keys
C. To slow everyone down on purpose
D. To share keys freely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-B1-Q3
Entrepreneurship, Set 108: Access for owners and helpers · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.05 (local)

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When are keys returned?

A. Next year
B. The same day someone leaves
C. Whenever it is convenient
D. Never

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-B1-Q4
Entrepreneurship, Set 108: Access for owners and helpers · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.05 (local)

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Does the cleaner need the safe key?

A. Yes, always
B. Only if asked
C. No
D. Only on Fridays

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-B1-Q5
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A shop has 3 helpers sharing the owner's login to the store platform. What is the best fix?

A. Remove all helpers' access to orders
B. Keep sharing, but change the password monthly
C. Give helpers the bank password too
D. Give each helper a separate, limited login

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F1-Q1
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.05 (local)

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An access list has 5 people with full admin rights, but only the owner needs them. How many should be reduced?

A. 4
B. 0
C. 1
D. 5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F1-Q2
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.05 (local)

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A bookkeeper needs to see bank transactions but not move money. What access fits?

A. The owner's personal login
B. View-only access
C. No access at all
D. Full access to transfer funds

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F1-Q3
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A helper leaves on Friday. Which checklist item matters most that day?

A. Remove their logins and change any shared codes
B. Update the logo
C. Send a thank-you card to them next month
D. Order new supplies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F1-Q4
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.05 (local)

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What should the access list record?

A. Only everyone's passwords written in plain text
B. Only first names
C. Each person, each service and their access level
D. Only the owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F1-Q5
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.05 (local)

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A designer set up the store under her own admin account and stopped replying. What could the owner have done?

A. Avoided having a store
B. Given the designer even more access to everything
C. Nothing could prevent it
D. Kept the admin account in her own name from the start

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F2-Q1
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.05 (local)

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A helper moves from packing to marketing. What should happen to access?

A. Share the owner's login
B. Add marketing access and remove unneeded packing access
C. Keep all the old access and add the new access
D. Remove all access

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F2-Q2
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.05 (local)

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A review finds an ex-helper still has access 6 months after leaving. What should the owner do?

A. Ask them to stop logging in
B. Give them more access
C. Leave it alone, since nothing bad has happened
D. Remove it now and check activity on that account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F2-Q3
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.05 (local)

Learn
Give each person their OWN login rather than sharing one password, and give only the ACCESS they need for their job (called least privilege): a helper who packs orders may need the order list, not the bank account. Keep a list of who has access to what. The owner should hold the main (administrator) account for key services. When someone leaves or changes roles, remove or change their access the same day.

Reviewing access takes 15 minutes each quarter. How many minutes per year?

A. 15 minutes
B. 60 minutes
C. 180 minutes
D. 45 minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F2-Q4
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.05 (local)

Learn
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Which statement is accurate?

A. Sharing one login is safer.
B. Access never needs review.
C. Separate, limited logins make access easier to control.
D. Everyone on the team should be an administrator.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S108-F2-Q5
Entrepreneurship, Set 108: Access for owners and helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.05 (local)

Set 109: Organizing records and file names

Outcome ENT.OPS.06: Name and store business files so they can be found later

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Which file name sorts best by date?

A. "scan0047.pdf"
B. "2026-03-14 Invoice 104 Lopez.pdf"
C. "invoice final final Lopez.pdf"
D. "March 14 invoice.pdf"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-M-Q1
Entrepreneurship, Set 109: Organizing records and file names · MAIN · Q1/5 · Outcome ENT.OPS.06 (local)

Learn
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Which folder structure does the passage suggest?

A. Random folders for each day
B. All files in one big folder
C. By the color of each document
D. By year, then by type

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-M-Q2
Entrepreneurship, Set 109: Organizing records and file names · MAIN · Q2/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Why put the date first as year-month-day?

A. Files then sort in date order
B. Computers require it by law
C. It looks more official
D. It hides the file

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-M-Q3
Entrepreneurship, Set 109: Organizing records and file names · MAIN · Q3/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Which documents should especially be kept?

A. Originals and important signed documents
B. Only blank forms
C. Only duplicate copies
D. Only advertisements received in the mail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-M-Q4
Entrepreneurship, Set 109: Organizing records and file names · MAIN · Q4/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

What does good naming save later?

A. Rent
B. Taxes owed
C. Time spent searching
D. Shipping costs each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-M-Q5
Entrepreneurship, Set 109: Organizing records and file names · MAIN · Q5/5 · Outcome ENT.OPS.06 (local)

Learn
Imagine a kitchen where every jar is unlabeled. Finding the sugar means opening each jar. Labeled jars, arranged by type on shelves, make it quick. Digital files work the same way: folders are the shelves and file names are the labels. A clear label that starts with the date is like writing "packed March 2026" on a jar.

Unlabeled jars are like what?

A. A tidy folder
B. Well-named files with dates
C. A backup
D. Files with meaningless names

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-B1-Q1
Entrepreneurship, Set 109: Organizing records and file names · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.06 (local)

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Shelves in the kitchen are like what?

A. Folders
B. Passwords
C. File names
D. Printers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-B1-Q2
Entrepreneurship, Set 109: Organizing records and file names · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.06 (local)

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Labels on jars are like what?

A. Invoices sent
B. File names
C. Folders
D. Backups

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-B1-Q3
Entrepreneurship, Set 109: Organizing records and file names · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.06 (local)

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"Packed March 2026" on a jar is like what?

A. A date in the file name
B. A price
C. A secret password on a jar
D. A recipe

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-B1-Q4
Entrepreneurship, Set 109: Organizing records and file names · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.06 (local)

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What do labels save?

A. Space
B. Time spent searching
C. Sugar
D. Money spent on jars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-B1-Q5
Entrepreneurship, Set 109: Organizing records and file names · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Rename "IMG_8831.jpg," a receipt for printer ink bought April 2, 2026. Which name is best?

A. "ink.jpg"
B. "2026-04-02 Receipt printer ink.jpg"
C. "April receipt maybe ink thing.jpg"
D. "IMG_8831 copy.jpg"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F1-Q1
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Where should a signed 2026 client contract go?

A. A personal photos folder
B. 2026 / Contracts
C. 2026 / Receipts
D. Desktop with other random files

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F1-Q2
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

An owner spends 20 minutes a week searching for files. Good naming cuts it to 5. How many minutes are saved over 52 weeks?

A. 260
B. 1,040
C. 15
D. 780

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F1-Q3
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.06 (local)

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Which name sorts correctly before "2026-11-05 Invoice.pdf"?

A. "2026-02-14 Invoice.pdf"
B. "2026-12-01 Invoice.pdf"
C. "2027-01-01 Invoice.pdf"
D. "2026-11-30 Invoice.pdf"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F1-Q4
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Receipts are scanned into folders. What else should happen?

A. Rename every file in them to just "scan"
B. Email them to customers
C. Back up the folders to a separate place
D. Delete the folders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F1-Q5
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.06 (local)

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Three years of files are messy. What is a practical approach?

A. Rename every old file in one long night this week
B. Use the new system now and sort old files over time
C. Delete all old files
D. Ignore it forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F2-Q1
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Two helpers name files differently. What helps?

A. Each person invents their own naming style
B. Only the owner saves files
C. A short written naming rule everyone follows
D. No file names at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F2-Q2
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

A shared folder contains customers' personal data. What should be checked?

A. Nothing; folders are always private
B. Only the file count
C. Who has access to it
D. Only the folder color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F2-Q3
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.06 (local)

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A file named "Contract FINAL v3 really final.pdf" sits beside "Contract FINAL v4.pdf." What naming habit would prevent confusion?

A. Date the versions and keep one marked as the signed copy
B. Name them randomly
C. Delete both
D. Add more "final" words to the newest one, to be clear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F2-Q4
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.06 (local)

Learn
Records you cannot find are almost as bad as no records. Use a simple FOLDER STRUCTURE, for example by year, then by type: 2026 / Receipts, 2026 / Invoices, 2026 / Contracts, 2026 / Tax. Use consistent FILE NAMES that sort well, with the date first in year-month-day order: "2026-03-14 Invoice 104 Lopez.pdf." Keep originals and important signed documents, and store backups separately. A few minutes of naming now saves hours of searching later.

Which statement is accurate?

A. Folders and dated names make records easy to find.
B. Backups replace the need for organization.
C. One giant folder is best.
D. File names never matter.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S109-F2-Q5
Entrepreneurship, Set 109: Organizing records and file names · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.06 (local)

Set 110: A deadline calendar for filings and renewals

Outcome ENT.OPS.07: Keep one calendar of filings, renewals and other deadlines

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Businesses have recurring deadlines: state annual reports, license and permit renewals, sales tax filings, estimated tax payments, insurance renewals, domain renewals, and registered agent fees. Missing one can bring late fees, penalties, or even a business being marked inactive by the state. Keep one DEADLINE CALENDAR with each item, its due date, how often it repeats, where to file, and a reminder set early enough to gather what you need, such as two weeks before.

Which is a recurring business deadline?

A. A holiday sale idea
B. A state annual report
C. A customer's birthday
D. A one-time logo design

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-M-Q1
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · MAIN · Q1/5 · Outcome ENT.OPS.07 (local)

Learn
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What can happen if a state annual report is missed?

A. Nothing ever happens
B. A tax refund
C. Automatic renewal for free the next year
D. Fees or the business being marked inactive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-M-Q2
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · MAIN · Q2/5 · Outcome ENT.OPS.07 (local)

Learn
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What should each calendar entry include?

A. Item, due date, frequency, where to file, reminder
B. Only the fee amount
C. Only a color code for each type of deadline
D. Only the item name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-M-Q3
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · MAIN · Q3/5 · Outcome ENT.OPS.07 (local)

Learn
Businesses have recurring deadlines: state annual reports, license and permit renewals, sales tax filings, estimated tax payments, insurance renewals, domain renewals, and registered agent fees. Missing one can bring late fees, penalties, or even a business being marked inactive by the state. Keep one DEADLINE CALENDAR with each item, its due date, how often it repeats, where to file, and a reminder set early enough to gather what you need, such as two weeks before.

Why set reminders about two weeks early?

A. To file twice
B. To pay extra fees
C. To gather what is needed in time
D. Because filings always open late

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-M-Q4
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · MAIN · Q4/5 · Outcome ENT.OPS.07 (local)

Learn
Businesses have recurring deadlines: state annual reports, license and permit renewals, sales tax filings, estimated tax payments, insurance renewals, domain renewals, and registered agent fees. Missing one can bring late fees, penalties, or even a business being marked inactive by the state. Keep one DEADLINE CALENDAR with each item, its due date, how often it repeats, where to file, and a reminder set early enough to gather what you need, such as two weeks before.

Why keep one calendar instead of several notes?

A. All deadlines are in one place
B. Several notes are required
C. It hides deadlines
D. Calendars cause penalties

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-M-Q5
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · MAIN · Q5/5 · Outcome ENT.OPS.07 (local)

Learn
Families often keep one calendar on the fridge: doctor visits, school events, bills. If every person kept their own scraps of paper, things would be missed. A business deadline calendar works the same way: one place, every important date, with a note written a couple of weeks before so nothing sneaks up. Everyone in the business can look in the same place.

A fridge calendar is like what?

A. A business deadline calendar
B. A grocery store receipt slip
C. A logo
D. A menu

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-B1-Q1
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.07 (local)

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What happens with scattered scraps of paper?

A. Everything is remembered
B. Taxes drop
C. Things get missed
D. Nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-B1-Q2
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.07 (local)

Learn
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A note written two weeks before is like what?

A. A refund
B. A signed contract
C. A late fee
D. An early reminder

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-B1-Q3
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.07 (local)

Learn
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Why put every important date in one place?

A. So nothing is missed
B. To make the fridge heavier
C. It is required
D. To confuse people

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-B1-Q4
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.07 (local)

Learn
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A bill due date on the calendar is like what?

A. A grocery list
B. A movie
C. A renewal or filing deadline
D. A birthday party invitation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-B1-Q5
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.07 (local)

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A license renews on June 30. A two-week reminder should be set for which date?

A. June 2
B. June 16
C. July 14
D. June 30

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F1-Q1
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.07 (local)

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Sales tax is filed quarterly. How many filings a year?

A. 12
B. 3
C. 4
D. 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F1-Q2
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.07 (local)

Learn
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A late fee is 50 dollars per missed filing. Missing 2 quarterly filings costs how much in late fees?

A. 100 dollars
B. 25 dollars
C. 50 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F1-Q3
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.07 (local)

Learn
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Which items belong on the calendar?

A. Only supplier birthdays
B. Only the owner's vacation dates and public holidays
C. Only social media posts
D. Annual report, license, estimated tax and domain dates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F1-Q4
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.07 (local)

Learn
Businesses have recurring deadlines: state annual reports, license and permit renewals, sales tax filings, estimated tax payments, insurance renewals, domain renewals, and registered agent fees. Missing one can bring late fees, penalties, or even a business being marked inactive by the state. Keep one DEADLINE CALENDAR with each item, its due date, how often it repeats, where to file, and a reminder set early enough to gather what you need, such as two weeks before.

Where should the owner confirm actual due dates?

A. A competitor
B. The official agency or provider for each item
C. A friend's business calendar from last year
D. A guess

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F1-Q5
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.07 (local)

Learn
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The owner moves the business to a new state. What should she do with the calendar?

A. Add the new state's filings; drop old ones as they end
B. Guess new dates
C. Keep only the old state's dates on the calendar
D. Delete the calendar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F2-Q1
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.07 (local)

Learn
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A filing was missed last month. What is the best first step?

A. Pay a random amount
B. Wait to see whether anyone at the state notices
C. Never file again
D. File as soon as possible and check what fees apply

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F2-Q2
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.07 (local)

Learn
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A reminder fires, but the owner is traveling. What helps?

A. Ignoring the reminder
B. Early reminders and a named backup person
C. Removing all reminders while traveling
D. Filing a year late

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F2-Q3
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.07 (local)

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A state changes its annual report due date. What should the owner do?

A. Update the calendar entry and source note
B. Stop filing
C. Keep the old date
D. Assume nothing changed at all this year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F2-Q4
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.07 (local)

Learn
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Which statement is accurate?

A. One calendar with early reminders prevents many fees.
B. Reminders on the due day are enough.
C. States never mark businesses inactive for missed reports.
D. Deadlines never change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S110-F2-Q5
Entrepreneurship, Set 110: A deadline calendar for filings and renewals · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.07 (local)

Set 111: Official notices versus paid solicitations

Outcome ENT.OPS.08: Tell an official government notice from a look-alike paid offer and verify it

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
New businesses receive official-looking letters. Some are real: tax agency notices, state filing reminders. Others are PAID SOLICITATIONS designed to look official, offering to file your annual report or provide a "certificate" for a large fee, or charging for things that are free, like an EIN from the IRS. Check the sender's name, look for small print saying "this is not a government agency," and verify by going to the official website or calling a number you find yourself. Never pay just because a letter looks urgent.

What is a paid solicitation in this context?

A. A customer's payment
B. An offer designed to look official that charges a fee
C. A supplier invoice for goods the business received
D. A real tax bill from the IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-M-Q1
Entrepreneurship, Set 111: Official notices versus paid solicitations · MAIN · Q1/5 · Outcome ENT.OPS.08 (local)

Learn
New businesses receive official-looking letters. Some are real: tax agency notices, state filing reminders. Others are PAID SOLICITATIONS designed to look official, offering to file your annual report or provide a "certificate" for a large fee, or charging for things that are free, like an EIN from the IRS. Check the sender's name, look for small print saying "this is not a government agency," and verify by going to the official website or calling a number you find yourself. Never pay just because a letter looks urgent.

What small print may reveal a solicitation?

A. "Thank you for your order"
B. "Printed on recycled paper stock"
C. "Page 1 of 2"
D. "This is not a government agency"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-M-Q2
Entrepreneurship, Set 111: Official notices versus paid solicitations · MAIN · Q2/5 · Outcome ENT.OPS.08 (local)

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A letter charges 150 dollars to get an EIN. What should the owner know?

A. The IRS issues EINs for free
B. The fee is required by law
C. EINs always cost 150 dollars
D. Only letters can issue EINs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-M-Q3
Entrepreneurship, Set 111: Official notices versus paid solicitations · MAIN · Q3/5 · Outcome ENT.OPS.08 (local)

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How should a notice be verified?

A. By guessing
B. By calling only the phone number printed on the letter
C. Through the official website or a number you find yourself
D. By replying with a check

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-M-Q4
Entrepreneurship, Set 111: Official notices versus paid solicitations · MAIN · Q4/5 · Outcome ENT.OPS.08 (local)

Learn
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Why not pay just because a letter looks urgent?

A. Urgent letters are always real
B. Urgency is a common pressure tactic
C. Paying fast lowers fees
D. Agencies require same-day payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-M-Q5
Entrepreneurship, Set 111: Official notices versus paid solicitations · MAIN · Q5/5 · Outcome ENT.OPS.08 (local)

Learn
Anyone can buy a costume that looks like a police uniform. The uniform alone does not prove who someone is; you would check a badge number with the station. Official-looking letters are similar: a seal, a serious font and "FINAL NOTICE" in red do not prove a letter is from the government. Check the source yourself.

Does a uniform prove who someone is?

A. Only at night
B. Only if it is blue
C. Yes, always
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-B1-Q1
Entrepreneurship, Set 111: Official notices versus paid solicitations · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.08 (local)

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A seal and serious font on a letter are like what?

A. A costume uniform
B. A verified badge
C. A signed receipt
D. A bank statement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-B1-Q2
Entrepreneurship, Set 111: Official notices versus paid solicitations · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.08 (local)

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How would you check the person in uniform?

A. Ask them only
B. Call the station with a number you know
C. Trust the uniform you can clearly see
D. Ignore it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-B1-Q3
Entrepreneurship, Set 111: Official notices versus paid solicitations · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.08 (local)

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"FINAL NOTICE" in red proves what?

A. That you owe money
B. That it is free
C. Nothing by itself
D. That it is official

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-B1-Q4
Entrepreneurship, Set 111: Official notices versus paid solicitations · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.08 (local)

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What is the lesson?

A. Pay quickly
B. Ignore all mail forever
C. Check the source yourself
D. Trust fonts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-B1-Q5
Entrepreneurship, Set 111: Official notices versus paid solicitations · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.08 (local)

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A letter titled "Annual Minutes Requirement" asks for 125 dollars, from "Business Compliance Services," with small print "not affiliated with any government agency." What is it?

A. A customer order
B. A tax refund
C. An official state bill
D. A paid solicitation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F1-Q1
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.08 (local)

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A letter says it is from the state and the annual report is due. What should the owner do?

A. Check the due date on the state's official website
B. Throw it away unread
C. Call the number in the letter only
D. Pay the letter's company directly without checking

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F1-Q2
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.08 (local)

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The state fee is 20 dollars; a look-alike service charges 175 dollars to file the same report. How much more is the service?

A. 175 dollars
B. 20 dollars
C. 195 dollars
D. 155 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F1-Q3
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.08 (local)

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Which sign most suggests a real IRS notice?

A. It can be confirmed through official IRS channels
B. It demands gift cards
C. It threatens arrest within an hour unless she pays
D. It uses lots of red ink

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F1-Q4
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.08 (local)

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A "trademark registry" letter offers to list the business name for 900 dollars. What should the owner check?

A. Whether it is an official office or a private listing service
B. Nothing; pay to protect the name
C. Only whether the 900-dollar fee must be paid by today
D. Only the letter's paper quality

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F1-Q5
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.08 (local)

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An owner already paid a look-alike service. What should she do?

A. Pay again to be safe
B. Ignore it
C. Check that the real filing was done; dispute the charge if needed
D. Assume everything is properly filed because she already paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F2-Q1
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.08 (local)

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A helper opens mail and pays "bills." What rule helps?

A. New payees need the owner's approval after checking
B. Let suppliers decide
C. Pay anything that looks official and urgent
D. Pay nothing ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F2-Q2
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.08 (local)

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A real tax notice arrives with a deadline. What should the owner not do?

A. Read it carefully
B. Ask a tax professional if unsure
C. Ignore it
D. Verify it officially

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F2-Q3
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.08 (local)

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Five letters arrive: 2 are confirmed official, 3 are solicitations. What fraction are solicitations?

A. 5/3
B. 3/5
C. 3/2
D. 2/5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F2-Q4
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Which statement is accurate?

A. Paying quickly is always safest.
B. Looking official is not proof, so verify independently.
C. All business mail is a scam.
D. All official-looking letters are real government mail.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S111-F2-Q5
Entrepreneurship, Set 111: Official notices versus paid solicitations · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.08 (local)

Set 112: Lost phone, lost account and continuity

Outcome ENT.OPS.09: Plan recovery for a lost phone or account and who can act if the owner is unavailable

Module: Foundation 13: Operations and overlooked admin

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A business should keep running if something goes wrong: a lost phone, a hacked email, a sick owner. Prepare RECOVERY OPTIONS: backup codes for two-step login stored safely, an up-to-date recovery email and phone, and knowledge of how to reach each service's support. Write a short CONTINUITY PLAN: where key information is, who can step in for urgent tasks, and how customers will be told about delays. Test the plan once, for example by logging in with backup codes.

What are backup codes for two-step login?

A. Discount codes for customers
B. Codes that turn off two-step security forever
C. One-time codes to sign in if the phone is lost
D. Codes for the office alarm

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-M-Q1
Entrepreneurship, Set 112: Lost phone, lost account and continuity · MAIN · Q1/5 · Outcome ENT.OPS.09 (local)

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What does a continuity plan cover?

A. Only the owner's vacation photos and her travel plans
B. Only next year's marketing
C. Only the business's logo design
D. Where key information is, who steps in, what customers hear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-M-Q2
Entrepreneurship, Set 112: Lost phone, lost account and continuity · MAIN · Q2/5 · Outcome ENT.OPS.09 (local)

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Where should backup codes be kept?

A. Emailed to customers
B. Somewhere safe and separate from the phone
C. On the same phone, and nowhere else
D. Posted on social media

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-M-Q3
Entrepreneurship, Set 112: Lost phone, lost account and continuity · MAIN · Q3/5 · Outcome ENT.OPS.09 (local)

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A business should keep running if something goes wrong: a lost phone, a hacked email, a sick owner. Prepare RECOVERY OPTIONS: backup codes for two-step login stored safely, an up-to-date recovery email and phone, and knowledge of how to reach each service's support. Write a short CONTINUITY PLAN: where key information is, who can step in for urgent tasks, and how customers will be told about delays. Test the plan once, for example by logging in with backup codes.

Why test the plan once?

A. Testing breaks accounts
B. It is required daily
C. To find problems before a real emergency
D. Plans never need any testing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-M-Q4
Entrepreneurship, Set 112: Lost phone, lost account and continuity · MAIN · Q4/5 · Outcome ENT.OPS.09 (local)

Learn
A business should keep running if something goes wrong: a lost phone, a hacked email, a sick owner. Prepare RECOVERY OPTIONS: backup codes for two-step login stored safely, an up-to-date recovery email and phone, and knowledge of how to reach each service's support. Write a short CONTINUITY PLAN: where key information is, who can step in for urgent tasks, and how customers will be told about delays. Test the plan once, for example by logging in with backup codes.

What should be up to date for account recovery?

A. The office plants
B. The shop's holiday schedule
C. The logo file
D. The recovery email and phone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-M-Q5
Entrepreneurship, Set 112: Lost phone, lost account and continuity · MAIN · Q5/5 · Outcome ENT.OPS.09 (local)

Learn
Many people leave a spare key with a trusted neighbor and tell them which plants need water if they are away. If they lose their own key, they can still get in; if they are sick, the neighbor can help. Backup codes are the spare key. A continuity plan is the note telling the neighbor what to do.

Backup codes are like what?

A. A spare house key
B. A broken door lock
C. A new house
D. A doorbell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-B1-Q1
Entrepreneurship, Set 112: Lost phone, lost account and continuity · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.OPS.09 (local)

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Many people leave a spare key with a trusted neighbor and tell them which plants need water if they are away. If they lose their own key, they can still get in; if they are sick, the neighbor can help. Backup codes are the spare key. A continuity plan is the note telling the neighbor what to do.

The note for the neighbor is like what?

A. A bill
B. A weekly grocery list
C. A receipt
D. A continuity plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-B1-Q2
Entrepreneurship, Set 112: Lost phone, lost account and continuity · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.OPS.09 (local)

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Many people leave a spare key with a trusted neighbor and tell them which plants need water if they are away. If they lose their own key, they can still get in; if they are sick, the neighbor can help. Backup codes are the spare key. A continuity plan is the note telling the neighbor what to do.

Who keeps the spare key?

A. Nobody
B. The mail carrier
C. A stranger
D. A trusted neighbor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-B1-Q3
Entrepreneurship, Set 112: Lost phone, lost account and continuity · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.OPS.09 (local)

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What can happen if you lose your own key?

A. Rent doubles
B. You can never get in
C. The house simply disappears overnight
D. You can still get in with the spare

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-B1-Q4
Entrepreneurship, Set 112: Lost phone, lost account and continuity · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.OPS.09 (local)

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Many people leave a spare key with a trusted neighbor and tell them which plants need water if they are away. If they lose their own key, they can still get in; if they are sick, the neighbor can help. Backup codes are the spare key. A continuity plan is the note telling the neighbor what to do.

Why tell the neighbor which plants need water?

A. It is required
B. To sell the plants while you are away
C. So they can help while you are away
D. To confuse them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-B1-Q5
Entrepreneurship, Set 112: Lost phone, lost account and continuity · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.OPS.09 (local)

Learn
A business should keep running if something goes wrong: a lost phone, a hacked email, a sick owner. Prepare RECOVERY OPTIONS: backup codes for two-step login stored safely, an up-to-date recovery email and phone, and knowledge of how to reach each service's support. Write a short CONTINUITY PLAN: where key information is, who can step in for urgent tasks, and how customers will be told about delays. Test the plan once, for example by logging in with backup codes.

An owner's phone holds her two-step codes and is lost. Which preparation would have helped most?

A. A longer password on the lost phone only
B. Backup codes stored safely elsewhere
C. More apps
D. A new phone case

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F1-Q1
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.OPS.09 (local)

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A plan names a backup person for urgent orders. What should that person have?

A. Nothing at all
B. Limited access and written steps for urgent tasks
C. The owner's full bank login
D. Every password written on one sticky note

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F1-Q2
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.OPS.09 (local)

Learn
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The owner is sick for 5 days with 8 orders a day due. How many orders must be handled or delayed?

A. 13
B. 8
C. 5
D. 40

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F1-Q3
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.OPS.09 (local)

Learn
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Which customer message fits a short delay?

A. "Orders this week will ship by Monday. Thank you for your patience."
B. "We may or may not ship your order ever, sorry about that, bye."
C. "Your order is your problem."
D. No message at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F1-Q4
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.OPS.09 (local)

Learn
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A test login with backup codes fails. What should the owner do?

A. Ignore it until a real emergency happens
B. Turn off all security
C. Generate new codes and store them correctly
D. Delete the account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F1-Q5
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.OPS.09 (local)

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The business email is hacked and sending scams to customers. What is the first step?

A. Wait for it to stop by itself
B. Recover the account officially, then warn customers
C. Create a new email address and never mention it
D. Pay the hacker

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F2-Q1
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.OPS.09 (local)

Learn
A business should keep running if something goes wrong: a lost phone, a hacked email, a sick owner. Prepare RECOVERY OPTIONS: backup codes for two-step login stored safely, an up-to-date recovery email and phone, and knowledge of how to reach each service's support. Write a short CONTINUITY PLAN: where key information is, who can step in for urgent tasks, and how customers will be told about delays. Test the plan once, for example by logging in with backup codes.

Only the owner knows where key information is. What is the risk?

A. Lower taxes
B. More privacy for the owner, always a good thing
C. No risk at all
D. If she is unavailable, no one can keep things running

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F2-Q2
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.OPS.09 (local)

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A recovery email is an old address the owner no longer checks. What should she do?

A. Delete recovery options
B. Use a customer's email
C. Update it to a current address
D. Leave it; it rarely matters

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F2-Q3
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.OPS.09 (local)

Learn
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A continuity plan takes 1 hour to write and 30 minutes to test. How many minutes total?

A. 30 minutes
B. 90 minutes
C. 130 minutes
D. 60 minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F2-Q4
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.OPS.09 (local)

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Which statement is accurate?

A. Small businesses never need plans.
B. Customers prefer silence during delays and problems.
C. Recovery options and a tested plan keep a business running.
D. Backup codes can be stored on the same phone safely.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S112-F2-Q5
Entrepreneurship, Set 112: Lost phone, lost account and continuity · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.OPS.09 (local)

Set 113: Insurance categories and exclusions

Outcome ENT.RISK.01: Match common business risks to insurance categories and check exclusions

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Insurance moves some financial risk to an insurer in exchange for a PREMIUM (the price of the policy). Common business categories include GENERAL LIABILITY (injuries or property damage to others, such as a customer slipping), PROFESSIONAL LIABILITY (mistakes in advice or services), PROPERTY (your equipment and inventory), and COMMERCIAL AUTO. Policy terms can include LIMITS (the most it pays), a DEDUCTIBLE (what you pay first on a covered claim), and EXCLUSIONS (what it does not cover). Read the exclusions and ask a licensed agent which coverage fits your activities.

A customer slips on a wet floor in the shop. Which category usually applies?

A. Commercial auto coverage for vehicles
B. General liability
C. Property coverage for the owner's equipment
D. Professional liability for advice mistakes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-M-Q1
Entrepreneurship, Set 113: Insurance categories and exclusions · MAIN · Q1/5 · Outcome ENT.RISK.01 (local)

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A bookkeeper's error costs a client money. Which category usually applies?

A. Commercial auto coverage for deliveries
B. Property coverage for inventory
C. General liability for slips and falls
D. Professional liability

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-M-Q2
Entrepreneurship, Set 113: Insurance categories and exclusions · MAIN · Q2/5 · Outcome ENT.RISK.01 (local)

Learn
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What is a deductible?

A. The most the insurer will ever pay
B. The yearly price of the policy itself
C. The amount you pay before the insurer pays
D. A list of things the policy excludes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-M-Q3
Entrepreneurship, Set 113: Insurance categories and exclusions · MAIN · Q3/5 · Outcome ENT.RISK.01 (local)

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What are exclusions?

A. Situations the policy does not cover
B. The insurer's office locations
C. Extra benefits added for free each year
D. Discounts for paying the premium early

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-M-Q4
Entrepreneurship, Set 113: Insurance categories and exclusions · MAIN · Q4/5 · Outcome ENT.RISK.01 (local)

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A claim is 5,000 dollars with a 1,000-dollar deductible. Within limits, about how much does the insurer pay?

A. 6,000 dollars
B. 5,000 dollars
C. 4,000 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-M-Q5
Entrepreneurship, Set 113: Insurance categories and exclusions · MAIN · Q5/5 · Outcome ENT.RISK.01 (local)

Learn
Insurance is like an umbrella you pay for. It keeps you dry from some kinds of rain, but it is only so big (the limit), you still get a little wet before it opens (the deductible), and it has a few holes in known places (the exclusions). Before a storm, you want to know where the holes are, not discover them while you are getting soaked.

The size of the umbrella stands for what?

A. The premium price of the policy
B. The deductible you pay first
C. The insurer's name and logo
D. The policy limit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-B1-Q1
Entrepreneurship, Set 113: Insurance categories and exclusions · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.01 (local)

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Getting a little wet before it opens is like what?

A. An exclusion in the policy
B. The deductible
C. A refund from the insurer
D. The policy limit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-B1-Q2
Entrepreneurship, Set 113: Insurance categories and exclusions · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.01 (local)

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Holes in known places are like what?

A. Exclusions
B. Premiums paid monthly
C. Extra coverage for free
D. Discounts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-B1-Q3
Entrepreneurship, Set 113: Insurance categories and exclusions · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.01 (local)

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When should you learn where the holes are?

A. Only after filing a claim
B. Before the storm
C. Never; holes do not matter
D. During the storm while getting soaked

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-B1-Q4
Entrepreneurship, Set 113: Insurance categories and exclusions · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.01 (local)

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Paying for the umbrella is like what?

A. The deductible
B. An exclusion
C. The premium
D. A claim payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-B1-Q5
Entrepreneurship, Set 113: Insurance categories and exclusions · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.RISK.01 (local)

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A dog walker takes dogs to parks. Which coverage is most relevant to ask about?

A. Only commercial auto for a truck she does not have
B. No coverage, since dogs are friendly
C. Only property coverage for her phone
D. Liability that covers dogs in her care

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F1-Q1
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.RISK.01 (local)

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A policy has a 10,000-dollar limit. A covered claim is 14,000 dollars with a 500-dollar deductible. What might the owner pay?

A. 14,000 dollars
B. 4,500 dollars
C. 4,000 dollars
D. 500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F1-Q2
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.01 (local)

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Policy A: 600 dollars a year, 2,000-dollar deductible. Policy B: 900 dollars a year, 500-dollar deductible. Suppose one covered loss of 5,000 dollars happens this year, both limits are adequate, and there are no other costs. Which has the lower total cost to the owner that year?

A. A, at 2,600 dollars
B. B, at 1,400 dollars
C. A, at 600 dollars
D. They are equal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F1-Q3
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Policy A costs 600 dollars a year and Policy B costs 900 dollars a year. With no claim that year, which policy costs less?

A. A, at 600 dollars
B. B, at 900 dollars
C. They are equal
D. B, at 500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F1-Q4
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.RISK.01 (local)

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A baker's policy excludes food poisoning claims. What should she do?

A. Hide the exclusion from customers
B. Stop reading exclusions
C. Assume it is covered anyway because she has a policy
D. Ask an agent about coverage for that risk

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F1-Q5
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.RISK.01 (local)

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An owner starts offering a new service not listed on her policy. What should she do?

A. Hide the new service
B. Tell her agent and check whether it is covered
C. Assume the old policy covers everything new
D. Cancel all insurance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F2-Q1
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.01 (local)

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A cheaper policy has many more exclusions. What should the owner compare?

A. What is actually covered, not only the price
B. Only how fast the website loads
C. Only the insurer's logo color
D. Only the price, since cheaper is always better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F2-Q2
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.01 (local)

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Insurance moves some financial risk to an insurer in exchange for a PREMIUM (the price of the policy). Common business categories include GENERAL LIABILITY (injuries or property damage to others, such as a customer slipping), PROFESSIONAL LIABILITY (mistakes in advice or services), PROPERTY (your equipment and inventory), and COMMERCIAL AUTO. Policy terms can include LIMITS (the most it pays), a DEDUCTIBLE (what you pay first on a covered claim), and EXCLUSIONS (what it does not cover). Read the exclusions and ask a licensed agent which coverage fits your activities.

A claim is denied because of an exclusion the owner never read. What lesson applies?

A. Insurance never pays anything
B. Claims should never be filed
C. Exclusions are always unfair, so they can be ignored
D. Read exclusions before you need the policy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F2-Q3
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.RISK.01 (local)

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Premiums rose from 800 to 920 dollars. What is the percent increase?

A. 120 percent
B. 13 percent
C. 15 percent
D. 8 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F2-Q4
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.RISK.01 (local)

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Which statement is accurate?

A. One policy covers every possible business risk at once.
B. Insurance covers specific risks within limits.
C. Deductibles are paid by the insurer.
D. Exclusions never matter.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S113-F2-Q5
Entrepreneurship, Set 113: Insurance categories and exclusions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.01 (local)

Set 114: Limits of personal and home policies

Outcome ENT.RISK.02: Recognize that personal or home policies may not cover business activity, and when to ask an agent

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Many owners assume their HOMEOWNERS or RENTERS insurance covers a home business. Often it does not, or covers very little: business equipment and inventory may have low limits, and injuries to customers visiting the home for business may be excluded. A PERSONAL AUTO policy may not cover driving for business deliveries. Ask your insurer directly: "Does this policy cover my business activities?" Options can include a home-business add-on (often called an endorsement) or a separate business policy.

Does a homeowners policy always cover a home business?

A. Yes, but only if the business is profitable
B. Not necessarily; coverage may be limited or excluded
C. No home policy can ever be changed
D. Yes, every home policy covers any business fully

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-M-Q1
Entrepreneurship, Set 114: Limits of personal and home policies · MAIN · Q1/5 · Outcome ENT.RISK.02 (local)

Learn
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Which risk is often excluded under a home policy?

A. Theft of the family's personal TV
B. Damage to the home from a covered fire
C. A broken window from a storm
D. Injuries to customers visiting for business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-M-Q2
Entrepreneurship, Set 114: Limits of personal and home policies · MAIN · Q2/5 · Outcome ENT.RISK.02 (local)

Learn
Many owners assume their HOMEOWNERS or RENTERS insurance covers a home business. Often it does not, or covers very little: business equipment and inventory may have low limits, and injuries to customers visiting the home for business may be excluded. A PERSONAL AUTO policy may not cover driving for business deliveries. Ask your insurer directly: "Does this policy cover my business activities?" Options can include a home-business add-on (often called an endorsement) or a separate business policy.

What may a personal auto policy not cover?

A. Driving to a doctor visit
B. Driving to the grocery store
C. Driving for business deliveries
D. Driving to visit family

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-M-Q3
Entrepreneurship, Set 114: Limits of personal and home policies · MAIN · Q3/5 · Outcome ENT.RISK.02 (local)

Learn
Many owners assume their HOMEOWNERS or RENTERS insurance covers a home business. Often it does not, or covers very little: business equipment and inventory may have low limits, and injuries to customers visiting the home for business may be excluded. A PERSONAL AUTO policy may not cover driving for business deliveries. Ask your insurer directly: "Does this policy cover my business activities?" Options can include a home-business add-on (often called an endorsement) or a separate business policy.

What is an endorsement?

A. An add-on that changes a policy's coverage
B. A signature on the business license
C. A celebrity promoting the insurer
D. A tax deduction for premiums

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-M-Q4
Entrepreneurship, Set 114: Limits of personal and home policies · MAIN · Q4/5 · Outcome ENT.RISK.02 (local)

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What question should an owner ask the insurer?

A. "Are all claims always paid instantly, every time?"
B. "What color is your company logo?"
C. "Can I skip reading the policy?"
D. "Does this policy cover my business activities?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-M-Q5
Entrepreneurship, Set 114: Limits of personal and home policies · MAIN · Q5/5 · Outcome ENT.RISK.02 (local)

Learn
Imagine using the family car to drive paying passengers. The family car insurance was priced for school runs and grocery trips, not for business driving all day. The insurer may say the business use was never part of the deal. Home and personal policies work the same way: they were priced for personal life, so business activities may fall outside them.

Why might the car insurer refuse a taxi claim?

A. The car was red
B. Passengers were too polite
C. Business driving was not part of the policy
D. The trip was too short to count as driving

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-B1-Q1
Entrepreneurship, Set 114: Limits of personal and home policies · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.02 (local)

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What was the family policy priced for?

A. Personal trips like school runs
B. Racing at a track
C. Deliveries for a company all day
D. All-day paid driving

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-B1-Q2
Entrepreneurship, Set 114: Limits of personal and home policies · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.02 (local)

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A home policy is like what in this picture?

A. A bus ticket
B. The family car policy
C. A taxi company policy
D. A racing license

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-B1-Q3
Entrepreneurship, Set 114: Limits of personal and home policies · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.02 (local)

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What could help the taxi driver?

A. Hiding the business use from the insurer
B. Driving faster
C. A new car color
D. A policy that covers business driving

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-B1-Q4
Entrepreneurship, Set 114: Limits of personal and home policies · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.02 (local)

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What is the main lesson?

A. All policies are the same
B. Business use is always covered by personal policies
C. Personal policies may not cover business activities
D. Insurance never pays

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-B1-Q5
Entrepreneurship, Set 114: Limits of personal and home policies · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.RISK.02 (local)

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A home baker stores 3,000 dollars of equipment. Her home policy covers business property up to 500 dollars. How much is uncovered?

A. 3,500 dollars
B. 500 dollars
C. 3,000 dollars
D. 2,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F1-Q1
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.RISK.02 (local)

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A tutor has students visit her home. What should she ask her insurer about?

A. Only coverage for her personal jewelry
B. Nothing, since students are young
C. Liability for business visitors
D. Only coverage for her car stereo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F1-Q2
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.02 (local)

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A florist uses her personal car for weddings deliveries. What should she check?

A. Only the car's fuel economy
B. Whether her auto policy covers business deliveries
C. Nothing, because cars are always covered for any use
D. Only the flowers' prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F1-Q3
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.RISK.02 (local)

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An endorsement costs 150 dollars a year and covers 5,000 dollars of business equipment. What is the cost per 1,000 dollars of coverage?

A. 30 dollars
B. 5 dollars
C. 150 dollars
D. 750 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F1-Q4
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.RISK.02 (local)

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Which owner most needs to ask about coverage?

A. One with no business at all
B. One who writes a blog for fun with no customers
C. One who only buys personal groceries
D. One with customers visiting and inventory at home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F1-Q5
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.RISK.02 (local)

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An owner does not tell her insurer about her home business, hoping to keep premiums low. What is the risk?

A. A business-related claim could be denied
B. The business becomes an LLC
C. No risk, because insurers never ask about business use
D. Premiums will drop to zero

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F2-Q1
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.02 (local)

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A renter thinks her landlord's insurance covers her business inventory. What should she know?

A. Inventory never needs insurance
B. The landlord's policy usually covers only the building
C. Renters cannot get insurance
D. Landlords always insure their tenants' business inventory

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F2-Q2
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.02 (local)

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A home business grows and now has a part-time helper working there. What should the owner review?

A. Only the helper's favorite snacks
B. Only the logo design
C. Whether her coverage still fits, including for workers
D. Nothing, because coverage never needs review once bought

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F2-Q3
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.RISK.02 (local)

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A separate business policy costs 700 dollars; a home endorsement costs 200 but covers less. What should guide the choice?

A. Only which agent is friendlier
B. Only the lowest price, whatever the coverage
C. Only the policy's page count
D. Which risks each covers for her real activities

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F2-Q4
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.RISK.02 (local)

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Which statement is accurate?

A. Personal policies may not cover business use unless confirmed.
B. Insurers never need to know about business use.
C. Personal auto always covers deliveries.
D. Home policies cover all home businesses automatically.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S114-F2-Q5
Entrepreneurship, Set 114: Limits of personal and home policies · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.02 (local)

Set 115: What a written agreement covers

Outcome ENT.RISK.03: Check an agreement for scope, payment, responsibilities, cancellation and ownership of work

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A written AGREEMENT (contract) records what both sides promised, so there is less room for "I thought you meant..." A simple service or sales agreement usually covers: who the parties are; what will be delivered (scope); price and payment terms; timeline; what happens if plans change, including cancellation and refunds; who owns the finished work; and how disagreements will be handled. Use plain words, keep a signed copy, and have important or unusual agreements reviewed by an attorney.

Why put an agreement in writing?

A. It replaces the need to do the work
B. It records what both sides promised
C. It makes any promise automatically legal everywhere
D. It hides the price from the customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-M-Q1
Entrepreneurship, Set 115: What a written agreement covers · MAIN · Q1/5 · Outcome ENT.RISK.03 (local)

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Which item belongs in a simple service agreement?

A. A list of competitors
B. The owner's favorite color
C. The customer's home décor style
D. Who owns the finished work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-M-Q2
Entrepreneurship, Set 115: What a written agreement covers · MAIN · Q2/5 · Outcome ENT.RISK.03 (local)

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What is "scope" in an agreement?

A. The price per hour only
B. The name of the business bank
C. What will be delivered
D. The length of the document

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-M-Q3
Entrepreneurship, Set 115: What a written agreement covers · MAIN · Q3/5 · Outcome ENT.RISK.03 (local)

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Who should review important or unusual agreements?

A. An attorney
B. A graphic designer
C. The customer's friend
D. A social media follower

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-M-Q4
Entrepreneurship, Set 115: What a written agreement covers · MAIN · Q4/5 · Outcome ENT.RISK.03 (local)

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What should be kept after signing?

A. Nothing, once the work starts
B. A signed copy
C. Only the first page
D. Only a photo of the pen

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-M-Q5
Entrepreneurship, Set 115: What a written agreement covers · MAIN · Q5/5 · Outcome ENT.RISK.03 (local)

Learn
Friends planning a trip write down who is coming, where they are going, what it costs, who pays for what, what happens if someone cancels, and how they will decide if they disagree. Without the note, everyone remembers it differently. A business agreement is the written plan for a job, so both sides remember the same thing.

Why write down the trip plan?

A. To make the trip longer
B. Because notes are required by law
C. To avoid going
D. So everyone remembers the same thing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-B1-Q1
Entrepreneurship, Set 115: What a written agreement covers · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.03 (local)

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"Who pays for what" is like which part of an agreement?

A. The parties' names
B. Ownership of the work
C. Price and payment terms
D. Scope of work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-B1-Q2
Entrepreneurship, Set 115: What a written agreement covers · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.03 (local)

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"What happens if someone cancels" is like which part?

A. Timeline
B. Ownership of the work
C. Scope
D. Cancellation and refunds

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-B1-Q3
Entrepreneurship, Set 115: What a written agreement covers · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.03 (local)

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"How to decide if they disagree" is like which part?

A. Parties
B. Scope
C. Handling disagreements
D. Payment terms and dates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-B1-Q4
Entrepreneurship, Set 115: What a written agreement covers · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.03 (local)

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"Who is coming" is like which part?

A. The deadline
B. The parties
C. The deliverables
D. The price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-B1-Q5
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A web design agreement lists price and timeline but not what happens if the client cancels halfway. What should be added?

A. Cancellation and refund terms
B. The designer's hobbies
C. More pictures of websites
D. A longer company history

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F1-Q1
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Which clause best describes scope?

A. "Web stuff."
B. "Design 5 pages: Home, About, Services, Gallery, Contact."
C. "Do whatever is needed on the website forever, for one price."
D. "Make a nice website."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F1-Q2
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.03 (local)

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The agreement says 2,400 dollars, half due at signing. How much is due at signing?

A. 1,200 dollars
B. 1,000 dollars
C. 2,400 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F1-Q3
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.RISK.03 (local)

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The draft says nothing about who owns the final logo files. What risk does this create?

A. No risk; ownership is always obvious
B. A later dispute about who may use the files
C. The logo will look worse
D. The price automatically doubles

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F1-Q4
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.RISK.03 (local)

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Which agreement most needs attorney review?

A. A thank-you card
B. A note confirming a coffee meeting
C. A one-time 40-dollar flyer design for a yard sale
D. A 3-year exclusive supply deal with large penalties

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F1-Q5
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.RISK.03 (local)

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A client verbally adds two pages after signing. What should happen?

A. Do it free and say nothing
B. Put the change in writing with any new price and date
C. Refuse to discuss changes ever
D. Change the original contract without telling the client

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F2-Q1
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.03 (local)

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A template from another country uses legal terms the owner does not understand. What should she do?

A. Add more confusing terms
B. Never use written agreements again for any job
C. Sign it as is
D. Adapt it to her situation and get it reviewed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F2-Q2
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.03 (local)

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Both parties signed different versions. What problem arises?

A. The work is finished automatically
B. The price becomes zero
C. It is unclear which terms apply
D. None; both are valid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F2-Q3
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An agreement has no plan for disagreements. A dispute arises. What would have helped?

A. A longer deadline
B. More signatures on the last page
C. A clause on how disputes are handled
D. A bigger font

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F2-Q4
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Which statement is accurate?

A. Written agreements cause most disputes.
B. Clear written agreements prevent many misunderstandings.
C. Verbal promises are always enough.
D. Online templates fit every situation without changes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S115-F2-Q5
Entrepreneurship, Set 115: What a written agreement covers · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.03 (local)

Set 116: Signed documents and customer information

Outcome ENT.RISK.04: Keep signed documents and protect customer information

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Keep SIGNED DOCUMENTS (contracts, waivers, change orders) where you can find them, with a backup. Collect only the CUSTOMER INFORMATION you need, such as name, contact details and what they ordered. Protect it: limit who can see it, do not leave lists in public places, never store full card numbers yourself (let the payment processor handle them), and delete what you no longer need. If you promise privacy in a policy, keep that promise. Some kinds of data, such as health details, have special rules.

What customer information should be collected?

A. Only what the business needs
B. Customers' full card numbers in a notebook
C. Everything possible, just in case
D. Customers' passwords to other sites

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-M-Q1
Entrepreneurship, Set 116: Signed documents and customer information · MAIN · Q1/5 · Outcome ENT.RISK.04 (local)

Learn
Keep SIGNED DOCUMENTS (contracts, waivers, change orders) where you can find them, with a backup. Collect only the CUSTOMER INFORMATION you need, such as name, contact details and what they ordered. Protect it: limit who can see it, do not leave lists in public places, never store full card numbers yourself (let the payment processor handle them), and delete what you no longer need. If you promise privacy in a policy, keep that promise. Some kinds of data, such as health details, have special rules.

Who should store full card numbers?

A. A shared email folder
B. The owner in a spreadsheet
C. A helper in a notebook
D. The payment processor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-M-Q2
Entrepreneurship, Set 116: Signed documents and customer information · MAIN · Q2/5 · Outcome ENT.RISK.04 (local)

Learn
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What should happen to data no longer needed?

A. Sell it to anyone
B. Post it online for safekeeping
C. Delete it safely
D. Keep it forever in a public folder

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-M-Q3
Entrepreneurship, Set 116: Signed documents and customer information · MAIN · Q3/5 · Outcome ENT.RISK.04 (local)

Learn
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If a business promises privacy in its policy, what must it do?

A. Remove the policy without notice
B. Change it secretly
C. Ignore it when convenient
D. Keep that promise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-M-Q4
Entrepreneurship, Set 116: Signed documents and customer information · MAIN · Q4/5 · Outcome ENT.RISK.04 (local)

Learn
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Why keep a backup of signed documents?

A. To change their terms later without asking
B. So they are not lost if the original is damaged
C. Because originals are illegal
D. To share them publicly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-M-Q5
Entrepreneurship, Set 116: Signed documents and customer information · MAIN · Q5/5 · Outcome ENT.RISK.04 (local)

Learn
If a friend gives you their spare key, you keep it safe, you do not lend it to others, and you give it back when you no longer need it. Customer information is like that key: customers trust you with it. Take only what you need, protect it, do not share it carelessly, and let go of it when it is no longer needed.

Customer information is like what?

A. A friend's spare key you were trusted with
B. Public information for anyone
C. Your own property to sell to others
D. Trash to throw anywhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-B1-Q1
Entrepreneurship, Set 116: Signed documents and customer information · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.04 (local)

Learn
If a friend gives you their spare key, you keep it safe, you do not lend it to others, and you give it back when you no longer need it. Customer information is like that key: customers trust you with it. Take only what you need, protect it, do not share it carelessly, and let go of it when it is no longer needed.

What do you do with the key?

A. Copy it for everyone
B. Leave it in the door
C. Keep it safe
D. Lend it to strangers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-B1-Q2
Entrepreneurship, Set 116: Signed documents and customer information · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.04 (local)

Learn
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When do you give the key back?

A. Only if the friend asks twice
B. Never
C. When you lose it
D. When you no longer need it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-B1-Q3
Entrepreneurship, Set 116: Signed documents and customer information · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.04 (local)

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Taking only the key you need is like what?

A. Selling data
B. Posting data
C. Collecting only needed data
D. Collecting everything possible

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-B1-Q4
Entrepreneurship, Set 116: Signed documents and customer information · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.04 (local)

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Why do you protect the key?

A. Keys are rare
B. Your friend trusted you with it
C. It is shiny
D. The law says keys are gold

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-B1-Q5
Entrepreneurship, Set 116: Signed documents and customer information · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.RISK.04 (local)

Learn
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A shop writes customer card numbers on order slips "for refunds." What should change?

A. Stop writing card numbers; refund through the processor
B. Email them to staff
C. Keep them in a locked drawer forever, just in case
D. Write them more neatly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F1-Q1
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.RISK.04 (local)

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An order form asks for birthday, income and favorite color for a candle purchase. What should change?

A. Make all of the questions required to order
B. Sell the answers
C. Remove questions the business does not need
D. Add more questions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F1-Q2
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.04 (local)

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A signed waiver is needed for a climbing class. Where should it be kept?

A. Thrown away after class
B. In an organized file with a backup
C. In the instructor's car glove box
D. Posted on social media

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F1-Q3
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.RISK.04 (local)

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A list of 200 customers is left on a café table. What is the problem?

A. Coffee will spill
B. The list will get longer
C. Nothing, because customer lists are public anyway
D. Customer information could be seen by strangers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F1-Q4
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.RISK.04 (local)

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An old customer list has 400 people, of whom 150 have not bought in 6 years and are no longer needed. How many records remain if those are deleted?

A. 400
B. 550
C. 250
D. 150

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F1-Q5
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.RISK.04 (local)

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A fitness coach collects clients' health conditions. What should she check?

A. Only her logo
B. Only her prices
C. Whether special rules apply to that kind of data
D. Nothing, because health data has no special rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F2-Q1
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.04 (local)

Learn
Keep SIGNED DOCUMENTS (contracts, waivers, change orders) where you can find them, with a backup. Collect only the CUSTOMER INFORMATION you need, such as name, contact details and what they ordered. Protect it: limit who can see it, do not leave lists in public places, never store full card numbers yourself (let the payment processor handle them), and delete what you no longer need. If you promise privacy in a policy, keep that promise. Some kinds of data, such as health details, have special rules.

A helper emails the customer list to the wrong person. What should the owner do?

A. Ignore it
B. Blame the customers
C. Send the list to more people so it seems normal and routine
D. Ask for deletion, review what was shared, follow notice rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F2-Q2
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.04 (local)

Learn
Keep SIGNED DOCUMENTS (contracts, waivers, change orders) where you can find them, with a backup. Collect only the CUSTOMER INFORMATION you need, such as name, contact details and what they ordered. Protect it: limit who can see it, do not leave lists in public places, never store full card numbers yourself (let the payment processor handle them), and delete what you no longer need. If you promise privacy in a policy, keep that promise. Some kinds of data, such as health details, have special rules.

A privacy policy says "we never share your data," but the owner plans to share emails with a partner. What should she do?

A. Share secretly
B. Not share without updating the policy and getting consent
C. Share anyway
D. Delete the privacy policy quietly first, then share

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F2-Q3
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.RISK.04 (local)

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A signed contract cannot be found during a dispute. What habit would have helped?

A. Filing signed documents with a backup
B. Remembering the terms
C. Writing a new contract now
D. Asking the client to remember the terms

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F2-Q4
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.RISK.04 (local)

Learn
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Which statement is accurate?

A. More customer data is always better.
B. Collect only needed data, protect it and keep signed copies.
C. Privacy promises can be ignored later if plans change.
D. Card numbers are safe in spreadsheets.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S116-F2-Q5
Entrepreneurship, Set 116: Signed documents and customer information · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.04 (local)

Set 117: Permission to use images, music, code and names

Outcome ENT.RISK.05: Recognize copyright and trademark issues and get permission or use licensed material

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Things you find online are usually owned by someone. Using another person's PHOTO, MUSIC, ARTWORK, written text or software CODE in your business generally needs PERMISSION, a LICENSE (written terms of use), or a source that clearly allows your kind of use. Public-domain works are free to use, and fair use is a narrow legal exception decided case by case; credit alone is not permission. "I found it on Google" is not permission. Read license terms: some allow only personal use, or require credit. Using another business's NAME or LOGO in a way that confuses customers can infringe trademark rights. Registering a business name, DBA or domain is not the same as trademark rights.

Is "I found it on Google" permission to use a photo?

A. Yes, anything online is free to use
B. Yes, for businesses only
C. Yes, if the photo is small
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-M-Q1
Entrepreneurship, Set 117: Permission to use images, music, code and names · MAIN · Q1/5 · Outcome ENT.RISK.05 (local)

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Things you find online are usually owned by someone. Using another person's PHOTO, MUSIC, ARTWORK, written text or software CODE in your business generally needs PERMISSION, a LICENSE (written terms of use), or a source that clearly allows your kind of use. Public-domain works are free to use, and fair use is a narrow legal exception decided case by case; credit alone is not permission. "I found it on Google" is not permission. Read license terms: some allow only personal use, or require credit. Using another business's NAME or LOGO in a way that confuses customers can infringe trademark rights. Registering a business name, DBA or domain is not the same as trademark rights.

What is a license?

A. A driver's permit for driving the delivery vans
B. A logo design file
C. A business tax ID number
D. Written terms that say how something may be used

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-M-Q2
Entrepreneurship, Set 117: Permission to use images, music, code and names · MAIN · Q2/5 · Outcome ENT.RISK.05 (local)

Learn
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A license allows "personal use only." Can a business use it in ads?

A. Not under that license
B. Yes, ads are personal
C. Yes, if the ad is short
D. Yes, with a smaller image

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-M-Q3
Entrepreneurship, Set 117: Permission to use images, music, code and names · MAIN · Q3/5 · Outcome ENT.RISK.05 (local)

Learn
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Does registering a DBA give trademark rights?

A. Yes, for domains too
B. No, they are separate
C. Yes, nationwide automatically
D. Yes, but only for logos

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-M-Q4
Entrepreneurship, Set 117: Permission to use images, music, code and names · MAIN · Q4/5 · Outcome ENT.RISK.05 (local)

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Which use of another business's logo is risky?

A. Not using it at all
B. Designing your own different logo
C. Referring to it in a short factual review
D. Using it so customers think you are connected

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-M-Q5
Entrepreneurship, Set 117: Permission to use images, music, code and names · MAIN · Q5/5 · Outcome ENT.RISK.05 (local)

Learn
If a neighbor's ladder is leaning against their house, you would not just take it because you can see it. You would ask, and maybe agree on when to return it. Photos, music and code online are like that ladder: being able to see them does not mean you may use them. A license is the neighbor's "yes" with the rules attached.

Seeing the ladder means what?

A. Nothing about permission
B. It is free
C. You may take it
D. The neighbor gave it away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-B1-Q1
Entrepreneurship, Set 117: Permission to use images, music, code and names · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.05 (local)

Learn
If a neighbor's ladder is leaning against their house, you would not just take it because you can see it. You would ask, and maybe agree on when to return it. Photos, music and code online are like that ladder: being able to see them does not mean you may use them. A license is the neighbor's "yes" with the rules attached.

A license is like what?

A. The neighbor's "yes" with rules
B. Buying a new house
C. Taking the ladder quietly at night
D. A broken ladder

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-B1-Q2
Entrepreneurship, Set 117: Permission to use images, music, code and names · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.05 (local)

Learn
If a neighbor's ladder is leaning against their house, you would not just take it because you can see it. You would ask, and maybe agree on when to return it. Photos, music and code online are like that ladder: being able to see them does not mean you may use them. A license is the neighbor's "yes" with the rules attached.

Online photos are like what?

A. Your own ladder
B. Trash on the street
C. The neighbor's ladder
D. Free public air

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-B1-Q3
Entrepreneurship, Set 117: Permission to use images, music, code and names · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.05 (local)

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What should you do before using something?

A. Just take it quietly
B. Change the color
C. Hide it
D. Ask or check the license

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-B1-Q4
Entrepreneurship, Set 117: Permission to use images, music, code and names · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.05 (local)

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Agreeing when to return the ladder is like what?

A. A refund policy
B. License terms
C. A logo
D. A tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-B1-Q5
Entrepreneurship, Set 117: Permission to use images, music, code and names · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.RISK.05 (local)

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An owner wants a popular song in a promotional video. What should she do?

A. Get a license or use music that allows commercial use
B. Use it because the clip is short
C. Use it on one platform only
D. Use it and credit the artist in the caption only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F1-Q1
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.RISK.05 (local)

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A stock photo site license allows commercial use with credit. What must the owner do?

A. Nothing at all
B. Remove the watermark and skip credit
C. Give the required credit
D. Pay the photographer twice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F1-Q2
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.05 (local)

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A developer copies code from a website into the store's app. What should be checked?

A. The code's license terms
B. Only how long the code is
C. Nothing; code online is always free
D. Only the font

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F1-Q3
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.RISK.05 (local)

Learn
Things you find online are usually owned by someone. Using another person's PHOTO, MUSIC, ARTWORK, written text or software CODE in your business generally needs PERMISSION, a LICENSE (written terms of use), or a source that clearly allows your kind of use. Public-domain works are free to use, and fair use is a narrow legal exception decided case by case; credit alone is not permission. "I found it on Google" is not permission. Read license terms: some allow only personal use, or require credit. Using another business's NAME or LOGO in a way that confuses customers can infringe trademark rights. Registering a business name, DBA or domain is not the same as trademark rights.

Licensing 4 photos at 12 dollars each costs how much?

A. 3 dollars
B. 16 dollars
C. 12 dollars
D. 48 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F1-Q4
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.RISK.05 (local)

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An owner names her coffee shop very similar to a famous chain. What risk does this create?

A. Lower rent
B. Customer confusion and a trademark dispute
C. Automatic free advertising
D. No risk if her state approved the name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F1-Q5
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A photographer asks a shop to remove her photo it used without a license. What should the shop do?

A. Post it more widely
B. Argue that it was online, so anyone may use it
C. Remove it promptly and resolve it fairly
D. Ignore the request

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F2-Q1
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.05 (local)

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A designer gives the owner a logo but the contract does not say who owns it. What should she get?

A. A written transfer or license of the logo rights
B. A new color
C. A bigger file size
D. Nothing; paying means owning automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F2-Q2
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.05 (local)

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A free image site says images are free for commercial use but some show recognizable people. What should the owner consider?

A. Whether the people agreed to commercial use of their image
B. Only the image color
C. Nothing, because free means anything goes for any use
D. Only the image size

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F2-Q3
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.RISK.05 (local)

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An AI tool generates an image very similar to a famous character. What is the concern?

A. AI images are always free of rights issues
B. Characters cannot be owned
C. Similar is always fine
D. It may still infringe someone's rights

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F2-Q4
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.RISK.05 (local)

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Which statement is accurate?

A. A DBA filing gives the business trademark rights.
B. Use others' work only with a valid legal basis, such as a license.
C. Giving credit always replaces asking for permission.
D. Anything visible online is free for any business to use.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S117-F2-Q5
Entrepreneurship, Set 117: Permission to use images, music, code and names · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.05 (local)

Set 118: Truthful advertising and handling complaints

Outcome ENT.RISK.06: Keep claims supportable and handle complaints promptly and fairly

Module: Foundation 14: Insurance, contracts and risk

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Advertising must be TRUTHFUL and not misleading, and claims that need proof must be supported before they are made. This includes prices ("from 20 dollars" must be available), comparisons ("cheaper than X" must be accurate), environmental claims ("eco-friendly"), and fake urgency ("only 2 left" when there are 200). Fake reviews and testimonials are deceptive. When customers COMPLAIN, respond quickly and calmly, find out what happened, fix what you can, and keep a record. Complaints often show where to improve.

Which claim is misleading?

A. "Handmade in Ohio" when it is
B. "Ships in 3 days" when that is the usual time
C. "Only 2 left!" when there are 200
D. "From 20 dollars" when 20-dollar items exist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-M-Q1
Entrepreneurship, Set 118: Truthful advertising and handling complaints · MAIN · Q1/5 · Outcome ENT.RISK.06 (local)

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When must a claim be supported?

A. Before it is made
B. Only after a complaint
C. Never
D. Only if the ad is large

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-M-Q2
Entrepreneurship, Set 118: Truthful advertising and handling complaints · MAIN · Q2/5 · Outcome ENT.RISK.06 (local)

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What should a business do when a customer complains?

A. Argue publicly with the customer to defend the shop
B. Delete all records
C. Ignore it until it goes away
D. Respond quickly and calmly and find out what happened

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-M-Q3
Entrepreneurship, Set 118: Truthful advertising and handling complaints · MAIN · Q3/5 · Outcome ENT.RISK.06 (local)

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Why keep a record of complaints?

A. They show where to improve
B. To blame customers
C. To post them as ads
D. Because records lower taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-M-Q4
Entrepreneurship, Set 118: Truthful advertising and handling complaints · MAIN · Q4/5 · Outcome ENT.RISK.06 (local)

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A shop advertises "cheaper than Big Mart" without checking prices. What is the problem?

A. Big Mart must prove it
B. Comparisons need no checking
C. It is always true
D. The comparison may be false

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-M-Q5
Entrepreneurship, Set 118: Truthful advertising and handling complaints · MAIN · Q5/5 · Outcome ENT.RISK.06 (local)

Learn
If a lemonade stand sign says "Fresh squeezed, 1 dollar," customers expect fresh juice for a dollar. If it is powdered mix for 2 dollars, they feel tricked, even if it tastes fine. An ad is a promise on a sign. And when someone complains, listening calmly is like checking whether your lemonade really was what the sign said.

An ad is like what?

A. A secret note
B. A tax form
C. A promise on a sign
D. A weekly grocery list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-B1-Q1
Entrepreneurship, Set 118: Truthful advertising and handling complaints · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.RISK.06 (local)

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If a lemonade stand sign says "Fresh squeezed, 1 dollar," customers expect fresh juice for a dollar. If it is powdered mix for 2 dollars, they feel tricked, even if it tastes fine. An ad is a promise on a sign. And when someone complains, listening calmly is like checking whether your lemonade really was what the sign said.

Why do customers feel tricked by powdered mix?

A. Powder is illegal
B. The sign promised fresh juice
C. Lemonade is always bad
D. The price was much too low

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-B1-Q2
Entrepreneurship, Set 118: Truthful advertising and handling complaints · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.RISK.06 (local)

Learn
If a lemonade stand sign says "Fresh squeezed, 1 dollar," customers expect fresh juice for a dollar. If it is powdered mix for 2 dollars, they feel tricked, even if it tastes fine. An ad is a promise on a sign. And when someone complains, listening calmly is like checking whether your lemonade really was what the sign said.

If the sign says 1 dollar but they charge 2, what is wrong?

A. The price claim was false
B. The cups were small
C. The weather changed that day
D. Nothing is wrong

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-B1-Q3
Entrepreneurship, Set 118: Truthful advertising and handling complaints · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.RISK.06 (local)

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Listening to a complaint is like what?

A. Painting the stand
B. Closing early
C. Making a bigger batch of lemonade for the next day
D. Checking whether the lemonade matched the sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-B1-Q4
Entrepreneurship, Set 118: Truthful advertising and handling complaints · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.RISK.06 (local)

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What should the sign always do?

A. Promise everything customers want
B. Exaggerate
C. Tell the truth about the product
D. Hide prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-B1-Q5
Entrepreneurship, Set 118: Truthful advertising and handling complaints · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.RISK.06 (local)

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An ad says "Eco-friendly packaging," but only the box is recyclable; the filler is plastic. What should change?

A. State exactly what is recyclable
B. Add "very" to the eco-friendly claim
C. Remove the box
D. Keep the broad claim

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F1-Q1
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A sale ad says "Prices from 10 dollars," but no item is under 25 dollars. What should the owner do?

A. Add one 10-dollar item no one can buy
B. Hide the prices
C. Keep it to attract clicks
D. Change the ad to the real starting price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F1-Q2
Entrepreneurship, Set 118: Truthful advertising and handling complaints · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.RISK.06 (local)

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A complaint says a mug arrived broken. Which reply is best?

A. "Not our problem."
B. No reply
C. "You must have broken it yourself after it arrived, not us."
D. "Sorry it arrived broken. Could you send a photo? We will replace it."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F1-Q3
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In a month, 6 of 300 orders bring complaints about late shipping. What percent is that?

A. 0.2 percent
B. 2 percent
C. 50 percent
D. 6 percent

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Most complaints mention slow replies. What should the owner improve first?

A. Ad budget
B. Product colors and sizes
C. Response time to messages
D. The logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F1-Q5
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A customer posts an angry complaint that is partly wrong. What is the best response?

A. Insult the customer publicly
B. Reply calmly with facts; offer to resolve it privately
C. Threaten legal action immediately in a public reply
D. Post the customer's address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F2-Q1
Entrepreneurship, Set 118: Truthful advertising and handling complaints · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.RISK.06 (local)

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A supplier says its cream "removes wrinkles in 3 days" and offers no proof. What should the reseller do?

A. Not repeat the claim without support
B. Add a celebrity photo
C. Repeat it since the supplier said it
D. Make the claim stronger

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F2-Q2
Entrepreneurship, Set 118: Truthful advertising and handling complaints · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.RISK.06 (local)

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A countdown timer resets every time the page loads. What is the problem?

A. None; timers are always fine
B. It is too slow
C. It is too colorful
D. It creates fake urgency

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F2-Q3
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A business resolves 45 of 50 complaints within 2 days. What percent is that?

A. 45 percent
B. 5 percent
C. 90 percent
D. 10 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F2-Q4
Entrepreneurship, Set 118: Truthful advertising and handling complaints · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.RISK.06 (local)

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Which statement is accurate?

A. Complaints should be ignored.
B. Exaggeration is always allowed in ads for small shops.
C. Fake urgency is a harmless tactic.
D. Ads must be truthful, and complaints help fix problems.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S118-F2-Q5
Entrepreneurship, Set 118: Truthful advertising and handling complaints · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.RISK.06 (local)

Set 119: Doing it yourself or getting help

Outcome ENT.HELP.01: Decide whether to do a task or get help, and define a clear deliverable

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Owners often try to do everything themselves to save money. Compare the cost of HIRING HELP with the value of your own time and the risk of mistakes. Example: if you can earn 50 dollars an hour on paid work and a bookkeeper charges 35 dollars an hour, paying the bookkeeper may free time for better-paid work. Get help for tasks that are complex, risky, or that you do slowly; keep tasks that are simple and central to your business. Start small, for example a few hours a month.

Earning 50 dollars an hour, an owner can pay a 35-dollar bookkeeper. What is the difference per hour?

A. 85 dollars
B. 50 dollars
C. 15 dollars
D. 35 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-M-Q1
Entrepreneurship, Set 119: Doing it yourself or getting help · MAIN · Q1/5 · Outcome ENT.HELP.01 (local)

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Which task is a good candidate for help?

A. A complex task the owner does slowly
B. The owner's core skill that customers pay for
C. A task that takes one minute a month
D. A simple task central to the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-M-Q2
Entrepreneurship, Set 119: Doing it yourself or getting help · MAIN · Q2/5 · Outcome ENT.HELP.01 (local)

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What should be compared before hiring help?

A. Only the color of the helper's website
B. Nothing, since owners should always do everything themselves
C. Cost of help versus value of the owner's time and risk
D. Only the helper's favorite tools

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-M-Q3
Entrepreneurship, Set 119: Doing it yourself or getting help · MAIN · Q3/5 · Outcome ENT.HELP.01 (local)

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How can an owner start getting help?

A. Small, such as a few hours a month
B. By signing a long contract without testing
C. By hiring ten full-time staff at once
D. By never trying

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-M-Q4
Entrepreneurship, Set 119: Doing it yourself or getting help · MAIN · Q4/5 · Outcome ENT.HELP.01 (local)

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Why might doing everything yourself cost more than it saves?

A. Doing things yourself is always free of any cost
B. Owners never make mistakes
C. Help is always more expensive
D. Mistakes and lost time can cost more than help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-M-Q5
Entrepreneurship, Set 119: Doing it yourself or getting help · MAIN · Q5/5 · Outcome ENT.HELP.01 (local)

Learn

To compare doing a task yourself with paying someone, look at the value per hour. If you can earn 40 dollars an hour on paid work and a helper charges 25 dollars an hour, each hour you hand off can free you to earn 40 instead. The net gain per hour is 40 - 25 = 15 dollars, if you really fill the freed hour with paid work. If you cannot, the gain is smaller.

You earn 60 dollars an hour; help costs 30. What is the net gain per freed hour?

A. 2 dollars

B. 30 dollars

C. 90 dollars

D. 60 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-B1-Q1

Entrepreneurship, Set 119: Doing it yourself or getting help · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.HELP.01 (local)

Learn

To compare doing a task yourself with paying someone, look at the value per hour. If you can earn 40 dollars an hour on paid work and a helper charges 25 dollars an hour, each hour you hand off can free you to earn 40 instead. The net gain per hour is 40 - 25 = 15 dollars, if you really fill the freed hour with paid work. If you cannot, the gain is smaller.

Net gain 20 dollars per hour for 5 hours. What is the total gain?

A. 20 dollars

B. 4 dollars

C. 25 dollars

D. 100 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-B1-Q2

Entrepreneurship, Set 119: Doing it yourself or getting help · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.HELP.01 (local)

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You earn 25 dollars an hour; help costs 35. What is the net per hour?

A. A gain of 10 dollars

B. A loss of 10 dollars

C. A gain of 60 dollars

D. No difference

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-B1-Q3

Entrepreneurship, Set 119: Doing it yourself or getting help · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.HELP.01 (local)

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If the freed hour is not used for paid work, what happens to the gain?

A. It becomes a tax

B. It doubles

C. It is smaller or zero

D. It stays exactly the same

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-B1-Q4

Entrepreneurship, Set 119: Doing it yourself or getting help · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.HELP.01 (local)

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Help costs 30 an hour for 4 hours. What is the total cost?

A. 120 dollars

B. 34 dollars

C. 7.50 dollars

D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-B1-Q5

Entrepreneurship, Set 119: Doing it yourself or getting help · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.HELP.01 (local)

Learn
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A photographer spends 8 hours a month on bookkeeping and earns 60 dollars an hour shooting. A bookkeeper does it in 3 hours at 40 dollars. What does the bookkeeper cost?

A. 43 dollars
B. 320 dollars
C. 480 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F1-Q1
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.HELP.01 (local)

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A photographer who earns 60 dollars an hour shooting frees 8 hours a month by handing off bookkeeping. If she fills those hours with shoots, what does she earn in that time?

A. 480 dollars
B. 360 dollars
C. 120 dollars
D. 68 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F1-Q2
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.HELP.01 (local)

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A bookkeeper takes over 8 hours a month of bookkeeping for 120 dollars (3 hours at 40 dollars). The photographer fills the freed 8 hours with shoots at 60 dollars an hour. What is her net gain from handing off bookkeeping?

A. 120 dollars
B. 480 dollars
C. 600 dollars
D. 360 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F1-Q3
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.HELP.01 (local)

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Which task should the photographer most likely keep?

A. Filing simple paperwork she dislikes
B. Editing tax forms she finds confusing
C. Taking the photos clients hire her for
D. Bookkeeping she does slowly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F1-Q4
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.HELP.01 (local)

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A baker wants help but cash is tight. What is a sensible start?

A. Borrow to hire five people
B. Hire help for a few hours a month on one task
C. Hire a full-time manager immediately to run everything
D. Never get help

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F1-Q5
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.01 (local)

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An owner hires help but uses the freed hours for unpaid tasks. What happens to the financial gain?

A. It may be small or negative
B. It always doubles
C. It is the same as before
D. The helper pays her

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F2-Q1
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.01 (local)

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A helper makes many mistakes the owner must fix. What should she weigh?

A. Hiring three more helpers just like that one
B. Nothing; mistakes are free
C. Whether training or a different helper is needed
D. Never giving feedback

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F2-Q2
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.01 (local)

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An owner enjoys bookkeeping and finds it restful. Should she hand it off?

A. No business should ever hire help
B. Not necessarily; value is not only money
C. Yes, because enjoyment is irrelevant
D. Yes, always, regardless of preference

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F2-Q3
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Help costs 300 dollars a month and saves 10 hours. What is the cost per hour saved?

A. 10 dollars
B. 3,000 dollars
C. 300 dollars
D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F2-Q4
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.HELP.01 (local)

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Which statement is accurate?

A. Help always costs more than it gives.
B. Help can pay off when freed time is used well.
C. Owner time has no value.
D. Doing everything yourself always saves the most money.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S119-F2-Q5
Entrepreneurship, Set 119: Doing it yourself or getting help · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.01 (local)

Set 120: Contractor or employee is not just a label

Outcome ENT.HELP.02: Explain that worker classification depends on the real working relationship and current rules

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Whether a worker is an EMPLOYEE or an INDEPENDENT CONTRACTOR depends on the actual working relationship, not on the label in a contract. Factors often include how much control the business has over how and when the work is done, whether the worker can profit or lose based on their own decisions, whether they work for other clients, who provides tools, and whether the work is ongoing. Federal rules have changed several times, and states may use stricter tests. Misclassification can bring back taxes and penalties, so check current rules or ask a professional.

What decides whether a worker is an employee or contractor?

A. The actual working relationship
B. Only what the worker prefers to be called
C. Only the size of the paycheck
D. Only the title written in the contract

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-M-Q1
Entrepreneurship, Set 120: Contractor or employee is not just a label · MAIN · Q1/5 · Outcome ENT.HELP.02 (local)

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Which factor suggests an employee relationship?

A. The worker serves many other clients
B. The worker provides all of her own tools and equipment
C. The worker sets her own prices
D. The business controls how and when the work is done

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-M-Q2
Entrepreneurship, Set 120: Contractor or employee is not just a label · MAIN · Q2/5 · Outcome ENT.HELP.02 (local)

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Which factor suggests an independent contractor?

A. The business trains her on its methods
B. The business sets a fixed daily schedule
C. The worker has other clients and her own tools
D. The work is ongoing and full time for one business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-M-Q3
Entrepreneurship, Set 120: Contractor or employee is not just a label · MAIN · Q3/5 · Outcome ENT.HELP.02 (local)

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What can misclassification bring?

A. Back taxes and penalties
B. Lower insurance costs
C. Automatic trademark rights
D. A tax refund for the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-M-Q4
Entrepreneurship, Set 120: Contractor or employee is not just a label · MAIN · Q4/5 · Outcome ENT.HELP.02 (local)

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Why check current rules?

A. Rules never change
B. Rules are the same in every country and state
C. Federal rules have changed and states may be stricter
D. Only customers decide

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-M-Q5
Entrepreneurship, Set 120: Contractor or employee is not just a label · MAIN · Q5/5 · Outcome ENT.HELP.02 (local)

Learn
If you put a sign saying "cat" on a dog, it still barks. Writing "independent contractor" on a contract does not change the work if the business sets the hours, provides the tools, trains the worker and directs every step. Rules look at what the relationship is really like, the same way you would look at the animal rather than the sign.

A "cat" sign on a dog does what?

A. Makes it a cat in the eyes of the law
B. Makes it quieter
C. Makes it meow
D. Nothing to change the animal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-B1-Q1
Entrepreneurship, Set 120: Contractor or employee is not just a label · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.HELP.02 (local)

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The sign is like what in hiring?

A. The tools
B. The label in a contract
C. The actual work done
D. The paycheck

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-B1-Q2
Entrepreneurship, Set 120: Contractor or employee is not just a label · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.HELP.02 (local)

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The animal itself is like what?

A. The real working relationship
B. The title written in the contract
C. The business name
D. The logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-B1-Q3
Entrepreneurship, Set 120: Contractor or employee is not just a label · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.HELP.02 (local)

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What do rules look at?

A. Only the font
B. What the relationship is really like
C. Only what the sign on the animal says
D. Only the date

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-B1-Q4
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Setting hours and directing every step suggests what?

A. A supplier
B. A contractor relationship for sure
C. A customer
D. An employee-like relationship

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-B1-Q5
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A café calls a barista a contractor but sets her shifts, gives her an apron and trains her on recipes. What does this suggest?

A. She is a supplier
B. She is a customer
C. The relationship looks like employment
D. She is clearly a contractor because of the label

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F1-Q1
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A web developer works for 6 clients, sets her own price and uses her own computer. What does this suggest?

A. An employee relationship for each client
B. A business partnership with each client
C. A volunteer role
D. An independent contractor relationship

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F1-Q2
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Of 5 listed factors, 4 point toward employment. What fraction points toward employment?

A. 4/5
B. 4/1
C. 1/5
D. 5/4

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F1-Q3
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An owner is unsure how to classify a helper. What is the best step?

A. Let the helper decide
B. Ignore classification
C. Check current federal and state rules, or ask a professional
D. Pick whichever label is cheapest for the business this year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F1-Q4
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Which factor is LEAST useful by itself?

A. Who provides tools
B. Who controls the schedule
C. The job title written in the contract
D. Whether the worker has other clients

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F1-Q5
Entrepreneurship, Set 120: Contractor or employee is not just a label · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.02 (local)

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A contractor starts working 40 hours a week only for one business, following its schedule. What should the owner do?

A. Hide the hours
B. Review whether the classification still fits
C. Nothing; the original label lasts forever
D. Change the label word only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F2-Q1
Entrepreneurship, Set 120: Contractor or employee is not just a label · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.02 (local)

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The federal test and the state test give different answers. What should the owner do?

A. Ask the worker to pick
B. Choose only the friendlier test for the business
C. Ignore both
D. Comply with the stricter rule that applies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F2-Q2
Entrepreneurship, Set 120: Contractor or employee is not just a label · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.02 (local)

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Misclassification back taxes are 2,400 dollars and penalties add 25 percent. What is the total?

A. 3,000 dollars
B. 600 dollars
C. 2,425 dollars
D. 2,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F2-Q3
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An article from 2019 explains the federal test. What is the concern?

A. The rule has changed since, so it may be outdated
B. Old articles about labor rules are always correct
C. Articles replace professionals
D. Federal rules never change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F2-Q4
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Which statement is accurate?

A. A contract label always decides how a worker is classified.
B. States always follow federal rules exactly.
C. The real relationship and current rules decide, not the label.
D. Misclassification has no consequences.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S120-F2-Q5
Entrepreneurship, Set 120: Contractor or employee is not just a label · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.02 (local)

Set 121: Payroll responsibilities (the idea)

Outcome ENT.HELP.03: Describe the ideas of payroll withholding and employer responsibilities

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Hiring an EMPLOYEE brings PAYROLL duties. In general terms, an employer withholds certain taxes from the employee's pay, pays its own share of some payroll taxes, sends the money and reports to tax agencies on schedule, follows minimum wage and overtime rules, and gives the employee year-end tax forms. Many states also require registration and may require workers' compensation insurance. This course teaches the idea; rates, forms and deadlines vary. Many small businesses use a payroll service or an accountant.

What does withholding mean for an employer?

A. Holding back the employee's whole paycheck as a penalty
B. Taking taxes out of pay and sending them to the agency
C. Keeping the employee's tools
D. Refusing to pay overtime

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-M-Q1
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · MAIN · Q1/5 · Outcome ENT.HELP.03 (local)

Learn
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Which is an employer duty?

A. Paying the employee's personal rent
B. Filing the employee's personal return
C. Following minimum wage and overtime rules
D. Choosing the employee's lunch

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-M-Q2
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · MAIN · Q2/5 · Outcome ENT.HELP.03 (local)

Learn
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What does the employer give employees at year end?

A. A refund of all taxes
B. A new employment contract every single year
C. A list of customers
D. Tax forms showing pay and withholding

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-M-Q3
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · MAIN · Q3/5 · Outcome ENT.HELP.03 (local)

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What may many states require of employers?

A. Nothing at all
B. Registration and workers' compensation insurance
C. A new LLC formed for each employee hired
D. A trademark filing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-M-Q4
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · MAIN · Q4/5 · Outcome ENT.HELP.03 (local)

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What do many small businesses use for payroll?

A. A payroll service or an accountant
B. Guesswork each pay period
C. Nothing; payroll is optional
D. The employee to calculate her own taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-M-Q5
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · MAIN · Q5/5 · Outcome ENT.HELP.03 (local)

Learn
Imagine a cashier who collects a small amount from each sale for a charity and must send it in every month. The money passes through the cashier but belongs to the charity. Withheld payroll taxes are similar: the employer holds them briefly and must send them on time. Spending them on rent is like spending the charity's money.

The charity money belongs to whom?

A. The store owner
B. The customer forever
C. The cashier
D. The charity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-B1-Q1
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.HELP.03 (local)

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Withheld payroll taxes are like what?

A. The employer's profit
B. A gift from the employee
C. The charity money in the box
D. A bonus for the employer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-B1-Q2
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.HELP.03 (local)

Learn
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When must the charity money be sent?

A. Never
B. On schedule
C. Whenever convenient
D. After ten years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-B1-Q3
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.HELP.03 (local)

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Spending withheld taxes on rent is like what?

A. Spending the charity's money
B. Paying a fair bill on time
C. Saving money
D. A tax refund

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-B1-Q4
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.HELP.03 (local)

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What is the cashier's role?

A. Hide the money
B. Spend the money
C. Collect and pass on the money
D. Keep the money for yourself

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-B1-Q5
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.HELP.03 (local)

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An owner hires her first employee. Which step should come first?

A. Pay cash with no records
B. Learn the federal and state employer requirements
C. Wait until year end to think about taxes
D. Call the employee a contractor to skip payroll entirely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F1-Q1
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.HELP.03 (local)

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An employee earns 18 dollars an hour for 20 hours a week. What is weekly gross pay?

A. 360 dollars
B. 38 dollars
C. 180 dollars
D. 900 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F1-Q2
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.HELP.03 (local)

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A payroll service costs 45 dollars a month. What is the yearly cost?

A. 450 dollars
B. 540 dollars
C. 585 dollars
D. 45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F1-Q3
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.HELP.03 (local)

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An owner withheld taxes but used the money for supplies. What problem does she face?

A. She still owes those taxes to the agency
B. The taxes are cancelled
C. None, because withheld money is hers to spend
D. The employee owes them now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F1-Q4
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.HELP.03 (local)

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Which detail varies by place and should be checked?

A. Whether employees need to be paid at all
B. Whether records matter
C. Minimum wage and state payroll requirements
D. Whether taxes exist

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F1-Q5
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.03 (local)

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A payroll deposit was missed. What is a sensible step?

A. Ignore it until someone from the tax agency notices it
B. Ask the employee to pay
C. Skip the next one too
D. Make it right away and check penalties or ask a professional

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F2-Q1
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.03 (local)

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An employee works 45 hours in a week where overtime applies after 40. How many overtime hours?

A. 45
B. 85
C. 5
D. 40

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F2-Q2
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.03 (local)

Learn
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An employee works 5 overtime hours, and overtime pays 1.5 times a 20-dollar rate. What is the overtime pay for those hours?

A. 150 dollars
B. 100 dollars
C. 30 dollars
D. 900 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F2-Q3
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.HELP.03 (local)

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An owner thinks payroll is too complex to handle alone. What is reasonable?

A. Avoid payroll by paying cash secretly
B. Use a payroll service or accountant
C. Guess each period
D. Stop paying the employee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F2-Q4
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.HELP.03 (local)

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Which statement is accurate?

A. Withheld taxes belong to the employer.
B. Employers have no reporting duties.
C. Employers must withhold, pay and report on schedule.
D. Payroll rules are identical in every state and city.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S121-F2-Q5
Entrepreneurship, Set 121: Payroll responsibilities (the idea) · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.03 (local)

Set 122: Onboarding and offboarding helpers

Outcome ENT.HELP.04: Plan access, files and handover when a helper starts or leaves

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
ONBOARDING sets up a new helper to succeed and keeps the business safe: a written role description, any required paperwork, training with the checklists, their own logins with limited access, and who to ask for help. OFFBOARDING happens when someone leaves: remove their access the same day, collect keys and equipment, transfer any files or customer conversations they handled, settle final pay as required, and thank them. Both are easier with a simple checklist.

What is onboarding?

A. Setting up a new helper to succeed
B. Removing a helper's access
C. Loading boxes onto a delivery truck
D. Filing an annual report

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-M-Q1
Entrepreneurship, Set 122: Onboarding and offboarding helpers · MAIN · Q1/5 · Outcome ENT.HELP.04 (local)

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Which belongs in onboarding?

A. The owner's bank password
B. Full access to every business account
C. No training at all
D. Their own logins with limited access

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-M-Q2
Entrepreneurship, Set 122: Onboarding and offboarding helpers · MAIN · Q2/5 · Outcome ENT.HELP.04 (local)

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When should a departing helper's access be removed?

A. Only if they ask
B. The same day
C. Never
D. Next month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-M-Q3
Entrepreneurship, Set 122: Onboarding and offboarding helpers · MAIN · Q3/5 · Outcome ENT.HELP.04 (local)

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Which belongs in offboarding?

A. Hiring their replacement before anything else
B. Collecting keys and transferring their files
C. Giving them more access
D. Deleting all customer records

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-M-Q4
Entrepreneurship, Set 122: Onboarding and offboarding helpers · MAIN · Q4/5 · Outcome ENT.HELP.04 (local)

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What makes both processes easier?

A. Guesswork
B. Skipping steps
C. A simple checklist
D. Memory alone, with no notes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-M-Q5
Entrepreneurship, Set 122: Onboarding and offboarding helpers · MAIN · Q5/5 · Outcome ENT.HELP.04 (local)

Learn
When you move into an apartment, you get keys, learn where things are, and sign papers. When you move out, you return the keys, take your things, and leave a forwarding address. Starting and ending work with a helper is the same pair of steps: give access and information at the start, then take back access and pass on their work at the end.

Getting keys when moving in is like what?

A. A complaint
B. Giving a new helper logins
C. Removing all their access
D. Final pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-B1-Q1
Entrepreneurship, Set 122: Onboarding and offboarding helpers · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.HELP.04 (local)

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Returning keys when moving out is like what?

A. A promotion to manager
B. Training
C. Hiring
D. Removing a helper's access

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-B1-Q2
Entrepreneurship, Set 122: Onboarding and offboarding helpers · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.HELP.04 (local)

Learn
When you move into an apartment, you get keys, learn where things are, and sign papers. When you move out, you return the keys, take your things, and leave a forwarding address. Starting and ending work with a helper is the same pair of steps: give access and information at the start, then take back access and pass on their work at the end.

Learning where things are is like what?

A. Advertising
B. Paying taxes
C. Training
D. Firing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-B1-Q3
Entrepreneurship, Set 122: Onboarding and offboarding helpers · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.HELP.04 (local)

Learn
When you move into an apartment, you get keys, learn where things are, and sign papers. When you move out, you return the keys, take your things, and leave a forwarding address. Starting and ending work with a helper is the same pair of steps: give access and information at the start, then take back access and pass on their work at the end.

Leaving a forwarding address is like what?

A. Passing on their work and contacts
B. Deleting everything
C. Taking the customers with them
D. Keeping secrets

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-B1-Q4
Entrepreneurship, Set 122: Onboarding and offboarding helpers · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.HELP.04 (local)

Learn
When you move into an apartment, you get keys, learn where things are, and sign papers. When you move out, you return the keys, take your things, and leave a forwarding address. Starting and ending work with a helper is the same pair of steps: give access and information at the start, then take back access and pass on their work at the end.

How many main stages are in the picture?

A. Two: moving in and moving out
B. One: moving in, and nothing else
C. Zero
D. Ten

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-B1-Q5
Entrepreneurship, Set 122: Onboarding and offboarding helpers · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.HELP.04 (local)

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A new helper starts Monday. Which item is most urgent to prepare?

A. A login with only the access her role needs
B. Nothing until she asks
C. Full admin rights to every account
D. A copy of the owner's personal tax return

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F1-Q1
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.HELP.04 (local)

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An onboarding checklist has 10 items and 7 are done. How many remain?

A. 17
B. 7
C. 3
D. 10

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F1-Q2
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.HELP.04 (local)

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A helper leaves and was handling 12 customer conversations. What should happen?

A. Let the departing helper keep them
B. Transfer them to someone else with notes
C. Let them go unanswered
D. Delete them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F1-Q3
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.HELP.04 (local)

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A helper still has a shop key after leaving. What should the owner do?

A. Collect it, or change the lock if it cannot be returned
B. Give them another key
C. Post about it online and wait for the key to come back
D. Ignore it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F1-Q4
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.HELP.04 (local)

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Which onboarding item helps a helper know who to ask?

A. A blank page
B. A secret password
C. A competitor's phone number
D. A named contact for questions

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F1-Q5
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.04 (local)

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A helper quits suddenly by text. What is the first step?

A. Give them more access to finish
B. Remove access immediately
C. Ignore it
D. Wait a week to see if they return

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F2-Q1
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.04 (local)

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After a departure, customers report unanswered emails. What would have prevented this?

A. Hiring nobody ever
B. Changing the logo
C. Deleting the helper's email account entirely
D. Transferring conversations as part of offboarding

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F2-Q2
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.04 (local)

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Final pay rules vary by state. What should the owner do?

A. Ask the helper to wait indefinitely
B. Pay the final wages whenever convenient
C. Check the state's rules for final pay timing
D. Skip final pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F2-Q3
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.HELP.04 (local)

Learn
ONBOARDING sets up a new helper to succeed and keeps the business safe: a written role description, any required paperwork, training with the checklists, their own logins with limited access, and who to ask for help. OFFBOARDING happens when someone leaves: remove their access the same day, collect keys and equipment, transfer any files or customer conversations they handled, settle final pay as required, and thank them. Both are easier with a simple checklist.

A new helper was given no training and made errors on 6 of 30 orders. What percent had errors?

A. 20 percent
B. 30 percent
C. 5 percent
D. 6 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F2-Q4
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.HELP.04 (local)

Learn
ONBOARDING sets up a new helper to succeed and keeps the business safe: a written role description, any required paperwork, training with the checklists, their own logins with limited access, and who to ask for help. OFFBOARDING happens when someone leaves: remove their access the same day, collect keys and equipment, transfer any files or customer conversations they handled, settle final pay as required, and thank them. Both are easier with a simple checklist.

Which statement is accurate?

A. Everyone should get full access on their first day.
B. Simple checklists make starting and ending work safer.
C. Offboarding can wait months.
D. Training is never needed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S122-F2-Q5
Entrepreneurship, Set 122: Onboarding and offboarding helpers · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.04 (local)

Set 123: Partners: roles, ownership and disagreements

Outcome ENT.HELP.05: Separate ownership percentages from work roles and plan for disagreements

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Starting with a PARTNER can add skills, money and support, but disagreements are a common reason partnerships fail. Before starting, agree in writing on: each person's ROLE and time commitment, ownership percentages and money contributed, how decisions are made (and how ties are broken), how profits are shared, what happens if someone wants to leave or stops contributing, and how to resolve disagreements. Talk openly about goals, risk tolerance and money. Friendship is not a substitute for a written agreement.

Which topic should partners agree on in writing?

A. Which music plays in the office
B. Their favorite lunch spots
C. How ties are broken
D. The color of business cards

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-M-Q1
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · MAIN · Q1/5 · Outcome ENT.HELP.05 (local)

Learn
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Why put a partnership agreement in writing?

A. Because friends never disagree
B. Because writing makes profits higher
C. To avoid ever talking
D. To reduce later disagreements

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-M-Q2
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · MAIN · Q2/5 · Outcome ENT.HELP.05 (local)

Learn
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What should partners discuss openly?

A. Goals, risk tolerance and money
B. Nothing important
C. Only who sits where in the office
D. Only the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-M-Q3
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · MAIN · Q3/5 · Outcome ENT.HELP.05 (local)

Learn
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Is friendship a substitute for a written agreement?

A. Only for family
B. No
C. Yes, always
D. Only for small businesses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-M-Q4
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · MAIN · Q4/5 · Outcome ENT.HELP.05 (local)

Learn
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What should the agreement say about someone leaving?

A. What happens to their share and duties
B. Nothing; leaving never happens
C. That they must stay forever
D. That the business closes automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-M-Q5
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · MAIN · Q5/5 · Outcome ENT.HELP.05 (local)

Learn
Before a long road trip, friends decide who drives when, how gas money is split, and what happens if one wants to stop early. Without that talk, small annoyances grow into big fights by day three. A business partnership is a much longer trip with more money at stake, so the same planning matters even more.

Who drives when is like what?

A. The profit split
B. Exit rule
C. Each partner's role
D. Logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-B1-Q1
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.HELP.05 (local)

Learn
Before a long road trip, friends decide who drives when, how gas money is split, and what happens if one wants to stop early. Without that talk, small annoyances grow into big fights by day three. A business partnership is a much longer trip with more money at stake, so the same planning matters even more.

How gas money is split is like what?

A. Who drives
B. The music choice in the car
C. Exit rules
D. How money and profits are shared

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-B1-Q2
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.HELP.05 (local)

Learn
Before a long road trip, friends decide who drives when, how gas money is split, and what happens if one wants to stop early. Without that talk, small annoyances grow into big fights by day three. A business partnership is a much longer trip with more money at stake, so the same planning matters even more.

One friend wanting to stop early is like what?

A. A tax bill
B. A partner wanting to leave
C. A new customer arriving
D. A supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-B1-Q3
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.HELP.05 (local)

Learn
Before a long road trip, friends decide who drives when, how gas money is split, and what happens if one wants to stop early. Without that talk, small annoyances grow into big fights by day three. A business partnership is a much longer trip with more money at stake, so the same planning matters even more.

What happens without the planning talk?

A. Small annoyances can grow into big fights
B. The trip gets shorter
C. Gas becomes free
D. Everything goes smoothly anyway, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-B1-Q4
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.HELP.05 (local)

Learn
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Why does planning matter more for a business?

A. It is shorter
B. Money never matters
C. Friends never disagree about money
D. It lasts longer with more money at stake

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-B1-Q5
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.HELP.05 (local)

Learn
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Partner A puts in 6,000 dollars and Partner B puts in 4,000 dollars. If ownership follows money, what is A's share?

A. 6 percent
B. 50 percent
C. 60 percent
D. 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F1-Q1
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.HELP.05 (local)

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B works full time and A works 5 hours a week, but ownership follows money only. What should they discuss?

A. Whether pay for work should be separate from ownership
B. Only the logo
C. Nothing, because the split is obviously fair already
D. Only the office décor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F1-Q2
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.HELP.05 (local)

Learn
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Two equal partners disagree on a key hire. Their agreement names a trusted mentor to break ties. What should they do?

A. Let the louder partner decide
B. Stop talking to each other
C. Ask the mentor, as agreed
D. Close the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F1-Q3
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.HELP.05 (local)

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Profit is 18,000 dollars, split 60/40. How much goes to the 40-percent partner?

A. 9,000 dollars
B. 7,200 dollars
C. 720 dollars
D. 10,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F1-Q4
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.HELP.05 (local)

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Which question best reveals different risk tolerance?

A. "What is your favorite color?"
B. "Which font do you like?"
C. "How much of our savings are we willing to lose if this fails?"
D. "Where should we eat today, and who is paying for it?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F1-Q5
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.05 (local)

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A partner stops contributing work for months. The agreement covers this. What should happen?

A. Lock them out of everything without any notice
B. Follow the agreement's process for non-contribution
C. Ignore it and resent them
D. Post about it online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F2-Q1
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.05 (local)

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A partner wants to sell her share to a stranger. What should the others check?

A. Only the logo
B. Nothing, because anyone can join any business
C. What the agreement says about selling shares
D. Only the stranger's car

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F2-Q2
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.05 (local)

Learn
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Partners never wrote an agreement and now disagree about profit shares. What is likely?

A. An easy, quick resolution
B. Automatic equal shares everywhere, always
C. The business pays no taxes
D. A difficult dispute with no agreed rule

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F2-Q3
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.HELP.05 (local)

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A mediator costs 150 dollars an hour for 4 hours, and the two partners split the cost equally. What does each partner pay?

A. 600 dollars
B. 300 dollars
C. 75 dollars
D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F2-Q4
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Which statement is accurate?

A. Ownership always equals hours worked.
B. Good friends never need written partnership agreements.
C. Partnerships never fail.
D. Written agreements help partnerships survive disagreements.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S123-F2-Q5
Entrepreneurship, Set 123: Partners: roles, ownership and disagreements · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.05 (local)

Set 124: Mentors, accountants, attorneys and free help

Outcome ENT.HELP.06: Match a question to the right kind of advisor or free resource

Module: Foundation 15: Help, delegation and partners

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Help comes in different forms. MENTORS share experience and can spot blind spots. SCORE, an SBA resource partner, offers free volunteer mentoring (some workshops charge fees). SMALL BUSINESS DEVELOPMENT CENTERS (SBDCs) offer free or low-cost consulting through host institutions. Libraries and local chambers of commerce may run workshops. For specific legal decisions, a licensed ATTORNEY gives advice for your situation; for tax decisions, a CPA, an ENROLLED AGENT or another qualified tax professional. Free help is valuable, but check the person's experience and whether they are qualified for your question.

What does SCORE offer?

A. Free volunteer mentoring
B. Free business loans for every owner
C. Free tax filing for all businesses
D. Free legal representation in court

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-M-Q1
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · MAIN · Q1/5 · Outcome ENT.HELP.06 (local)

Learn
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What do SBDCs offer?

A. Payroll processing
B. Free or low-cost consulting
C. Guaranteed grants
D. Trademark registrations for free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-M-Q2
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · MAIN · Q2/5 · Outcome ENT.HELP.06 (local)

Learn
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Who should answer a specific tax decision?

A. A social media follower who posts tax tips
B. A competitor who runs a similar small business
C. A friendly mentor who works in another field
D. A CPA, enrolled agent or other qualified tax pro

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-M-Q3
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · MAIN · Q3/5 · Outcome ENT.HELP.06 (local)

Learn
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What should an owner check about free help?

A. Their experience and qualifications for the question
B. Only their website colors
C. Nothing, because free help is always right for any question
D. Only how fast they reply

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-M-Q4
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · MAIN · Q4/5 · Outcome ENT.HELP.06 (local)

Learn
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What can a mentor help with?

A. Signing contracts for you
B. Spotting blind spots from experience
C. Filing your taxes by law
D. Guaranteeing that the business succeeds

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-M-Q5
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · MAIN · Q5/5 · Outcome ENT.HELP.06 (local)

Learn
If you are lost, a local resident can point the way, which is free and often good. For a complicated trip through a mountain pass in winter, you might want a licensed guide. Business help is similar: mentors and free programs give useful directions, and licensed professionals handle the risky, specific routes such as contracts and taxes.

A helpful local resident is like what?

A. A licensed attorney in court
B. A mentor or free program
C. A tax agency
D. A bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-B1-Q1
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.HELP.06 (local)

Learn
If you are lost, a local resident can point the way, which is free and often good. For a complicated trip through a mountain pass in winter, you might want a licensed guide. Business help is similar: mentors and free programs give useful directions, and licensed professionals handle the risky, specific routes such as contracts and taxes.

A licensed mountain guide is like what?

A. A random stranger
B. A paper map with no roads drawn on it
C. A licensed professional for risky decisions
D. A friend's guess

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-B1-Q2
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.HELP.06 (local)

Learn
If you are lost, a local resident can point the way, which is free and often good. For a complicated trip through a mountain pass in winter, you might want a licensed guide. Business help is similar: mentors and free programs give useful directions, and licensed professionals handle the risky, specific routes such as contracts and taxes.

When do you want the licensed guide?

A. For a short walk to the store
B. For a risky, complicated route
C. Only on sunny days
D. Never

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-B1-Q3
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.HELP.06 (local)

Learn
If you are lost, a local resident can point the way, which is free and often good. For a complicated trip through a mountain pass in winter, you might want a licensed guide. Business help is similar: mentors and free programs give useful directions, and licensed professionals handle the risky, specific routes such as contracts and taxes.

Contracts and taxes are like what in the picture?

A. The risky mountain pass
B. A parking lot near the trail
C. A coffee break
D. A short walk

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-B1-Q4
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.HELP.06 (local)

Learn
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Is free help useful?

A. Never
B. Only for experts
C. Only when paid later
D. Yes, often

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-B1-Q5
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.HELP.06 (local)

Learn
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A new owner wants feedback on her business plan at no cost. Which option fits best?

A. A free mentoring program such as SCORE
B. A paid attorney for a full lawsuit
C. A social media poll of strangers
D. A competitor's opinion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F1-Q1
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.HELP.06 (local)

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An owner must decide how to structure a large investor deal. Who fits best?

A. A random forum
B. A licensed attorney
C. A library workshop alone
D. A friend who once sold cookies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F1-Q2
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.HELP.06 (local)

Learn
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A workshop costs 25 dollars and an attorney consultation costs 200. How much more is the consultation?

A. 175 dollars
B. 225 dollars
C. 200 dollars
D. 8 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F1-Q3
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.HELP.06 (local)

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A mentor gives confident tax advice outside her field. What should the owner do?

A. Follow it without checking with anyone
B. Ignore all mentors forever
C. Post it online as fact
D. Confirm it with a tax professional

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F1-Q4
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.HELP.06 (local)

Learn
Help comes in different forms. MENTORS share experience and can spot blind spots. SCORE, an SBA resource partner, offers free volunteer mentoring (some workshops charge fees). SMALL BUSINESS DEVELOPMENT CENTERS (SBDCs) offer free or low-cost consulting through host institutions. Libraries and local chambers of commerce may run workshops. For specific legal decisions, a licensed ATTORNEY gives advice for your situation; for tax decisions, a CPA, an ENROLLED AGENT or another qualified tax professional. Free help is valuable, but check the person's experience and whether they are qualified for your question.

Where else might an owner find local workshops?

A. Only private, paid online courses
B. Libraries and chambers of commerce
C. Only abroad
D. Nowhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F1-Q5
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.HELP.06 (local)

Learn
Help comes in different forms. MENTORS share experience and can spot blind spots. SCORE, an SBA resource partner, offers free volunteer mentoring (some workshops charge fees). SMALL BUSINESS DEVELOPMENT CENTERS (SBDCs) offer free or low-cost consulting through host institutions. Libraries and local chambers of commerce may run workshops. For specific legal decisions, a licensed ATTORNEY gives advice for your situation; for tax decisions, a CPA, an ENROLLED AGENT or another qualified tax professional. Free help is valuable, but check the person's experience and whether they are qualified for your question.

Two mentors give opposite advice. What should the owner do?

A. Ask each for reasons and test against her own evidence
B. Flip a coin
C. Ignore both and guess
D. Follow whichever mentor happened to speak to her last

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F2-Q1
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.HELP.06 (local)

Learn
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A "free" advisor pushes the owner to buy his own expensive program. What should she consider?

A. Only his website
B. Buying immediately
C. Whether the advice is influenced by his sales interest
D. Nothing, because free advice is always unbiased

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F2-Q2
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.HELP.06 (local)

Learn
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An owner can afford one hour with an accountant. Which question is the best use?

A. Which logo color to choose for the new shop
B. Which coffee to stock
C. What to name her cat
D. How to plan for taxes given her business structure

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F2-Q3
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.HELP.06 (local)

Learn
Help comes in different forms. MENTORS share experience and can spot blind spots. SCORE, an SBA resource partner, offers free volunteer mentoring (some workshops charge fees). SMALL BUSINESS DEVELOPMENT CENTERS (SBDCs) offer free or low-cost consulting through host institutions. Libraries and local chambers of commerce may run workshops. For specific legal decisions, a licensed ATTORNEY gives advice for your situation; for tax decisions, a CPA, an ENROLLED AGENT or another qualified tax professional. Free help is valuable, but check the person's experience and whether they are qualified for your question.

A mentor helped her avoid a 1,500-dollar mistake. The mentoring was free. What was the net value of that advice?

A. 0 dollars
B. 3,000 dollars
C. 1,500 dollars
D. 750 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F2-Q4
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.HELP.06 (local)

Learn
Help comes in different forms. MENTORS share experience and can spot blind spots. SCORE, an SBA resource partner, offers free volunteer mentoring (some workshops charge fees). SMALL BUSINESS DEVELOPMENT CENTERS (SBDCs) offer free or low-cost consulting through host institutions. Libraries and local chambers of commerce may run workshops. For specific legal decisions, a licensed ATTORNEY gives advice for your situation; for tax decisions, a CPA, an ENROLLED AGENT or another qualified tax professional. Free help is valuable, but check the person's experience and whether they are qualified for your question.

Which statement is accurate?

A. Mentors can replace attorneys and accountants for any question.
B. Free help is always wrong.
C. Free help is valuable; licensed pros handle legal and tax decisions.
D. Professionals are never needed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S124-F2-Q5
Entrepreneurship, Set 124: Mentors, accountants, attorneys and free help · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.HELP.06 (local)

Set 125: Bootstrapping and using savings

Outcome ENT.FUND.01: Compare paying for a business from savings and early sales with outside money

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
BOOTSTRAPPING means starting and growing with your own money and the business's own sales, without loans or investors. It keeps you in control and avoids debt, but growth may be slower. If you use personal SAVINGS, decide in advance how much you can afford to lose without harming your household, such as rent, food and an emergency fund. Start with the smallest version that can test demand, and reinvest early profits rather than spending them.

What does bootstrapping mean?

A. Selling part of the business to investors on day one
B. Buying expensive boots for every employee in the shop
C. Growing with your own money and sales, without loans or investors
D. Borrowing as much as possible from several banks at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-M-Q1
Entrepreneurship, Set 125: Bootstrapping and using savings · MAIN · Q1/5 · Outcome ENT.FUND.01 (local)

Learn
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What is a benefit of bootstrapping?

A. You never need to make a single sale to survive
B. You keep control and avoid debt
C. Growth is always faster than with any outside money
D. Your personal savings can never be at risk at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-M-Q2
Entrepreneurship, Set 125: Bootstrapping and using savings · MAIN · Q2/5 · Outcome ENT.FUND.01 (local)

Learn
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What should an owner decide before using savings?

A. How quickly she can spend every dollar she has saved
B. How much her neighbors spent on their own businesses
C. Which bank has the nicest-looking logo and branches
D. How much she can afford to lose without harming her household

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-M-Q3
Entrepreneurship, Set 125: Bootstrapping and using savings · MAIN · Q3/5 · Outcome ENT.FUND.01 (local)

Learn
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An owner has 12,000 dollars in savings and keeps 7,000 for a household emergency fund. How much could she put in?

A. 7,000 dollars
B. 5,000 dollars
C. 12,000 dollars
D. 19,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-M-Q4
Entrepreneurship, Set 125: Bootstrapping and using savings · MAIN · Q4/5 · Outcome ENT.FUND.01 (local)

Learn
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What should happen with early profits when bootstrapping?

A. Reinvest them in the business
B. Hide them so no records show them
C. Spend them all on personal luxuries right away
D. Give them to competitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-M-Q5
Entrepreneurship, Set 125: Bootstrapping and using savings · MAIN · Q5/5 · Outcome ENT.FUND.01 (local)

Learn
Before risking savings, subtract what must stay safe. Safe amount = monthly household costs x number of months you want covered. Example: costs of 2,000 a month for 4 months = 8,000. If savings are 11,000, the amount you could risk is 11,000 - 8,000 = 3,000. If savings are less than the safe amount, there is nothing to risk yet.

Monthly costs 1,500 for 3 months. What is the safe amount?

A. 4,500 per month
B. 1,500
C. 500
D. 4,500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-B1-Q1
Entrepreneurship, Set 125: Bootstrapping and using savings · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.FUND.01 (local)

Learn
Before risking savings, subtract what must stay safe. Safe amount = monthly household costs x number of months you want covered. Example: costs of 2,000 a month for 4 months = 8,000. If savings are 11,000, the amount you could risk is 11,000 - 8,000 = 3,000. If savings are less than the safe amount, there is nothing to risk yet.

Savings 10,000, safe amount 6,000. How much could be risked?

A. 6,000
B. 10,000
C. 4,000
D. 16,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-B1-Q2
Entrepreneurship, Set 125: Bootstrapping and using savings · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.FUND.01 (local)

Learn
Before risking savings, subtract what must stay safe. Safe amount = monthly household costs x number of months you want covered. Example: costs of 2,000 a month for 4 months = 8,000. If savings are 11,000, the amount you could risk is 11,000 - 8,000 = 3,000. If savings are less than the safe amount, there is nothing to risk yet.

Savings 5,000, safe amount 6,000. How much could be risked?

A. Nothing yet
B. 11,000
C. 1,000 (the difference)
D. 5,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-B1-Q3
Entrepreneurship, Set 125: Bootstrapping and using savings · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.FUND.01 (local)

Learn
Before risking savings, subtract what must stay safe. Safe amount = monthly household costs x number of months you want covered. Example: costs of 2,000 a month for 4 months = 8,000. If savings are 11,000, the amount you could risk is 11,000 - 8,000 = 3,000. If savings are less than the safe amount, there is nothing to risk yet.

Monthly costs 2,200 for 6 months. What is the safe amount?

A. 8,200
B. 366.67
C. 2,200
D. 13,200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-B1-Q4
Entrepreneurship, Set 125: Bootstrapping and using savings · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.FUND.01 (local)

Learn
Before risking savings, subtract what must stay safe. Safe amount = monthly household costs x number of months you want covered. Example: costs of 2,000 a month for 4 months = 8,000. If savings are 11,000, the amount you could risk is 11,000 - 8,000 = 3,000. If savings are less than the safe amount, there is nothing to risk yet.

Which step comes first?

A. Add costs to savings
B. Divide savings by monthly costs, and stop there
C. Find the safe amount, then subtract it from savings
D. Spend first, then count

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-B1-Q5
Entrepreneurship, Set 125: Bootstrapping and using savings · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.FUND.01 (local)

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A tutor needs 300 dollars for materials and a simple website. She has 900 dollars she can afford to lose. What fits best?

A. Wait years until she can afford an office
B. Borrow 20,000 dollars to start big
C. Start small with 300 dollars and test demand
D. Spend all 900 dollars on ads on day one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F1-Q1
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.FUND.01 (local)

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Month 1 profit is 400 dollars. She reinvests 75 percent. How much is reinvested?

A. 400 dollars
B. 100 dollars
C. 75 dollars
D. 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F1-Q2
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.FUND.01 (local)

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Bootstrapping limits her to 5 clients now. A loan would allow 15. What is the main tradeoff?

A. Slower growth versus avoiding debt
B. Bootstrapping is illegal
C. Loans never need repaying
D. No tradeoff exists between the two choices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F1-Q3
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.FUND.01 (local)

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Her household needs 1,800 a month and she wants 3 months covered. Savings are 7,000. How much could she risk?

A. 1,600 dollars
B. 7,000 dollars
C. 3,600 dollars
D. 5,400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F1-Q4
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.FUND.01 (local)

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Which purchase best fits a bootstrapped start?

A. The newest top-model equipment on credit
B. A large office before any clients
C. Used equipment that covers the basic need
D. Custom uniforms for future staff

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F1-Q5
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.FUND.01 (local)

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After 6 months, the owner has used her whole emergency fund on the business. What is the risk?

A. No risk, because the business will surely succeed
B. A household emergency could force bad decisions
C. Her business automatically becomes an LLC
D. Her taxes will go to zero

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F2-Q1
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.FUND.01 (local)

Learn
BOOTSTRAPPING means starting and growing with your own money and the business's own sales, without loans or investors. It keeps you in control and avoids debt, but growth may be slower. If you use personal SAVINGS, decide in advance how much you can afford to lose without harming your household, such as rent, food and an emergency fund. Start with the smallest version that can test demand, and reinvest early profits rather than spending them.

The business needs 2,000 dollars more but she set a loss limit she has reached. What is a sensible step?

A. Max out personal credit cards without a plan
B. Spend the rent money too
C. Pause and reassess before spending more
D. Ignore the limit she set

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F2-Q2
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.FUND.01 (local)

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Sales grow 10 percent a month from 1,000 dollars. About what are sales in month 3 (two increases)?

A. 1,210 dollars
B. 1,200 dollars
C. 1,300 dollars
D. 1,100 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F2-Q3
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.FUND.01 (local)

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A friend says bootstrapping is "too slow to work." What is a balanced reply?

A. It can be slower but keeps control and avoids debt
B. It requires investors at the start
C. It never works for anyone
D. It is always faster than borrowing or investors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F2-Q4
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.FUND.01 (local)

Learn
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Which statement is accurate?

A. Debt is required to start any business.
B. All savings should be risked at once to grow faster.
C. Set a loss limit and grow from sales where possible.
D. Bootstrapping means no sales are needed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S125-F2-Q5
Entrepreneurship, Set 125: Bootstrapping and using savings · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.FUND.01 (local)

Set 126: Loans: interest, repayment and guarantees

Outcome ENT.FUND.02: Compute simple loan costs from stated terms and spot personal guarantees

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

What is interest?

A. A discount the lender gives for borrowing
B. The cost of borrowing money
C. A tax the state charges on all sales
D. The owner's personal hobby or passion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-M-Q1
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · MAIN · Q1/5 · Outcome ENT.FUND.02 (local)

Learn
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A loan has 24 payments of 250 dollars. What is the total repaid?

A. 274 dollars
B. 5,000 dollars
C. 250 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-M-Q2
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · MAIN · Q2/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

A 5,000-dollar loan is repaid with 24 payments of 250 dollars (6,000 dollars in total). How much interest was paid?

A. 1,000 dollars
B. 6,000 dollars
C. 11,000 dollars
D. 250 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-M-Q3
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · MAIN · Q3/5 · Outcome ENT.FUND.02 (local)

Learn
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What usually happens with a longer term?

A. The loan never needs repaying
B. Lower monthly payments but more total interest
C. Higher monthly payments and less total interest
D. No interest is charged at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-M-Q4
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · MAIN · Q4/5 · Outcome ENT.FUND.02 (local)

Learn
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What is collateral?

A. A free gift from the bank
B. A coworker who helps the owner with the loan paperwork
C. A discount on the interest rate
D. Property the lender can take if the loan is not repaid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-M-Q5
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · MAIN · Q5/5 · Outcome ENT.FUND.02 (local)

Learn
To find what a loan really costs, multiply the monthly payment by the number of payments to get the total repaid. Then subtract the amount borrowed to find the interest. Example: 36 payments of 150 = 5,400 total; borrowed 4,500; interest = 900. Comparing two loans by total repaid shows which costs more, even if one has a lower monthly payment.

12 payments of 100. What is the total repaid?

A. 1,000
B. 112
C. 1,200
D. 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-B1-Q1
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.FUND.02 (local)

Learn
To find what a loan really costs, multiply the monthly payment by the number of payments to get the total repaid. Then subtract the amount borrowed to find the interest. Example: 36 payments of 150 = 5,400 total; borrowed 4,500; interest = 900. Comparing two loans by total repaid shows which costs more, even if one has a lower monthly payment.

Total repaid 1,200; borrowed 1,000. What is the interest?

A. 2,200
B. 1,000
C. 1,200
D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-B1-Q2
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.FUND.02 (local)

Learn
To find what a loan really costs, multiply the monthly payment by the number of payments to get the total repaid. Then subtract the amount borrowed to find the interest. Example: 36 payments of 150 = 5,400 total; borrowed 4,500; interest = 900. Comparing two loans by total repaid shows which costs more, even if one has a lower monthly payment.

36 payments of 150. What is the total repaid?

A. 5,400
B. 186
C. 150
D. 4,500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-B1-Q3
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.FUND.02 (local)

Learn
To find what a loan really costs, multiply the monthly payment by the number of payments to get the total repaid. Then subtract the amount borrowed to find the interest. Example: 36 payments of 150 = 5,400 total; borrowed 4,500; interest = 900. Comparing two loans by total repaid shows which costs more, even if one has a lower monthly payment.

Loan A total 5,400; Loan B total 5,100. Which costs less?

A. They are equal
B. Cannot tell
C. Loan A
D. Loan B

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-B1-Q4
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.FUND.02 (local)

Learn
To find what a loan really costs, multiply the monthly payment by the number of payments to get the total repaid. Then subtract the amount borrowed to find the interest. Example: 36 payments of 150 = 5,400 total; borrowed 4,500; interest = 900. Comparing two loans by total repaid shows which costs more, even if one has a lower monthly payment.

Why compare total repaid rather than monthly payment alone?

A. Lenders forbid it
B. A lower payment can hide a higher total cost
C. Totals are not real money
D. Monthly payment always shows total cost

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-B1-Q5
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

Loan A: 12 payments of 450. Loan B: 24 payments of 240. Both lend 5,000. Which has the lower total cost?

A. B, because its payment is lower
B. B, at 5,760 total
C. A, at 5,400 total
D. They are equal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F1-Q1
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

Loan A needs 450 dollars a month; Loan B needs 240 dollars a month. The owner's cash flow can safely cover only 300 dollars a month. Which loan fits her cash flow?

A. B, at 240 a month
B. Both fit easily
C. A, at 450 a month
D. Neither could ever fit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F1-Q2
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

Both loans lend 5,000 dollars. Loan A: 12 payments of 450 dollars. Loan B: 24 payments of 240 dollars. How much more interest does B cost than A?

A. 210 dollars
B. 360 dollars
C. 400 dollars
D. 760 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F1-Q3
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

A lender requires a personal guarantee. What does it mean for the owner?

A. She may have to repay personally if the business cannot
B. The loan becomes free
C. Nothing, because an LLC always protects her from it
D. The lender guarantees her profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F1-Q4
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.FUND.02 (local)

Learn
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What is the best use of a loan?

A. Buying things that do not help sales
B. A plan that can realistically repay from cash flow
C. Covering ongoing losses with no plan to fix them
D. Personal vacations

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F1-Q5
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.FUND.02 (local)

Learn
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An online lender offers "fast cash, small daily payments" with no clear total cost. What should the owner do?

A. Ask for the total repaid and the rate before deciding
B. Sign without reading
C. Assume small payments mean low cost
D. Accept quickly before the fast-cash offer ends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F2-Q1
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

Daily payments of 40 dollars for 150 business days on a 5,000-dollar advance. What is the total repaid?

A. 4,000 dollars
B. 190 dollars
C. 6,000 dollars
D. 5,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F2-Q2
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.FUND.02 (local)

Learn
A LOAN gives money now that must be repaid with INTEREST (the cost of borrowing) over a set TERM. Compare loans by the total cost, not just the monthly payment: total repaid = monthly payment x number of payments. A longer term usually lowers the monthly payment but raises total interest. Lenders may require a PERSONAL GUARANTEE or COLLATERAL (property the lender can take if you do not repay). Borrow only for a plan that can realistically repay from cash flow.

A loan would cover a slow season, but sales have been falling for a year with no plan to fix it. What is the concern?

A. The bank pays the debt
B. The loan may only delay a bigger problem
C. No concern; loans fix falling sales
D. Interest will be negative

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F2-Q3
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.FUND.02 (local)

Learn
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A 6,000-dollar loan at 8 percent simple interest for one year costs how much interest?

A. 4,800 dollars
B. 6,480 dollars
C. 80 dollars
D. 480 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F2-Q4
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.FUND.02 (local)

Learn
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Which statement is accurate?

A. Loans never need guarantees.
B. Compare total cost; borrow only what cash flow can repay.
C. The lowest monthly payment is always the cheapest loan.
D. Borrowing more fixes almost any business problem.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S126-F2-Q5
Entrepreneurship, Set 126: Loans: interest, repayment and guarantees · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.FUND.02 (local)

Set 127: Grants and their limits

Outcome ENT.FUND.03: Explain that grants are competitive, limited and come with conditions

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A GRANT is money that does not have to be repaid, usually from a government agency, foundation or company, for specific purposes. Grants for starting a general small business are less common than many people think; many target research, specific industries, places or groups. Applications take time, have deadlines and rules about how money is spent, and may require reports. Be wary of offers that charge a fee to "guarantee" a grant. Free help finding real programs is available from SBDCs and similar organizations.

What is a grant?

A. Money for specific purposes that is not repaid
B. A loan with a very low interest rate from a bank
C. An investment that buys part of the business
D. A tax that small businesses must pay each year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-M-Q1
Entrepreneurship, Set 127: Grants and their limits · MAIN · Q1/5 · Outcome ENT.FUND.03 (local)

Learn
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Are grants for starting any general small business common?

A. Yes, if you pay a fee to a website
B. No grants exist anywhere at all
C. Yes, every new business gets one automatically
D. Less common than many people think

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-M-Q2
Entrepreneurship, Set 127: Grants and their limits · MAIN · Q2/5 · Outcome ENT.FUND.03 (local)

Learn
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What do grants often require?

A. Nothing at all after receiving the money
B. Giving up ownership of the business
C. Following rules on spending and sending reports
D. Repaying the full amount with interest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-M-Q3
Entrepreneurship, Set 127: Grants and their limits · MAIN · Q3/5 · Outcome ENT.FUND.03 (local)

Learn
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A website charges 199 dollars to "guarantee" a grant. What should the owner do?

A. Give the site her bank login to speed things up
B. Pay twice for a bigger grant
C. Be wary; real programs do not sell guarantees
D. Pay quickly to secure the grant

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-M-Q4
Entrepreneurship, Set 127: Grants and their limits · MAIN · Q4/5 · Outcome ENT.FUND.03 (local)

Learn
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Where can an owner get free help finding real programs?

A. A paid "guaranteed grant" website
B. An SBDC or similar organization
C. A random social media ad
D. A competitor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-M-Q5
Entrepreneurship, Set 127: Grants and their limits · MAIN · Q5/5 · Outcome ENT.FUND.03 (local)

Learn
A grant is like a scholarship: free money, but only for people who fit the rules, apply on time, and use it as promised. Not every student gets a scholarship, and you would be suspicious of anyone who charged you to "guarantee" one. Grants work the same way for businesses: real, but limited, with rules to follow.

A grant is like what?

A. A loan from a friend
B. A paycheck from work
C. A parking ticket
D. A scholarship

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-B1-Q1
Entrepreneurship, Set 127: Grants and their limits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.FUND.03 (local)

Learn
A grant is like a scholarship: free money, but only for people who fit the rules, apply on time, and use it as promised. Not every student gets a scholarship, and you would be suspicious of anyone who charged you to "guarantee" one. Grants work the same way for businesses: real, but limited, with rules to follow.

Who gets a scholarship?

A. Whoever pays a fee
B. Nobody ever
C. Everyone automatically, without applying
D. Those who fit the rules and apply on time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-B1-Q2
Entrepreneurship, Set 127: Grants and their limits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.FUND.03 (local)

Learn
A grant is like a scholarship: free money, but only for people who fit the rules, apply on time, and use it as promised. Not every student gets a scholarship, and you would be suspicious of anyone who charged you to "guarantee" one. Grants work the same way for businesses: real, but limited, with rules to follow.

Someone charging to "guarantee" a scholarship is what?

A. Suspicious
B. Required by schools
C. Normal and helpful
D. A government rule

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-B1-Q3
Entrepreneurship, Set 127: Grants and their limits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.FUND.03 (local)

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A grant is like a scholarship: free money, but only for people who fit the rules, apply on time, and use it as promised. Not every student gets a scholarship, and you would be suspicious of anyone who charged you to "guarantee" one. Grants work the same way for businesses: real, but limited, with rules to follow.

Must the scholarship be used as promised?

A. Only if asked
B. Yes
C. Only in summer
D. No, any use is fine

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-B1-Q4
Entrepreneurship, Set 127: Grants and their limits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.FUND.03 (local)

Learn
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Does every student get a scholarship?

A. Only seniors
B. Only if they ask nicely
C. Yes, always
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-B1-Q5
Entrepreneurship, Set 127: Grants and their limits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.FUND.03 (local)

Learn
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A grant funds "rural food businesses" up to 5,000 dollars. A city tech startup applies. What is the likely issue?

A. The amount is too small to matter
B. No issue; grants fit everyone
C. It does not fit the grant's purpose
D. Grants never fund food

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F1-Q1
Entrepreneurship, Set 127: Grants and their limits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.FUND.03 (local)

Learn
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Preparing an application takes 20 hours. The owner values her time at 30 dollars an hour. What is the time cost?

A. 600 dollars
B. 30 dollars
C. 50 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F1-Q2
Entrepreneurship, Set 127: Grants and their limits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.FUND.03 (local)

Learn
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The grant is 5,000 dollars with a 1-in-10 chance of winning. What is the expected value?

A. 50 dollars
B. 500 dollars
C. 10 dollars
D. 5,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F1-Q3
Entrepreneurship, Set 127: Grants and their limits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.FUND.03 (local)

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Comparing 500 dollars of expected value with 600 dollars of time cost, what does the math suggest alone?

A. The expected value is lower than the time cost
B. The odds are 100 percent
C. Time has no value
D. The grant is a guaranteed gain for her time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F1-Q4
Entrepreneurship, Set 127: Grants and their limits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.FUND.03 (local)

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A grant requires spending only on equipment, with receipts. The owner wants to pay rent with it. What should she do?

A. Ignore the reports
B. Spend it on rent and hope
C. Hide the receipts
D. Follow the spending rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F1-Q5
Entrepreneurship, Set 127: Grants and their limits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.FUND.03 (local)

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An owner plans her whole launch around winning a grant she has not received. What is the risk?

A. Grants arrive instantly
B. The plan fails if the grant does not come
C. She must repay it twice
D. No risk, because grants are certain once applied for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F2-Q1
Entrepreneurship, Set 127: Grants and their limits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.FUND.03 (local)

Learn
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A caller says she "won a federal business grant" but must pay a processing fee first. What should she do?

A. Give her bank login
B. Pay the fee quickly so she can receive the grant
C. Treat it as a likely scam and verify independently
D. Share her SSN

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F2-Q2
Entrepreneurship, Set 127: Grants and their limits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.FUND.03 (local)

Learn
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A grant requires a 25 percent matching contribution on 8,000 dollars. How much must the owner contribute?

A. 8,000 dollars
B. 10,000 dollars
C. 25 dollars
D. 2,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F2-Q3
Entrepreneurship, Set 127: Grants and their limits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.FUND.03 (local)

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A grant's report is due but the owner lost receipts. What could happen?

A. The grant doubles
B. Receipts are never needed
C. Nothing, because grant reports are always optional
D. She may have to repay or lose future eligibility

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F2-Q4
Entrepreneurship, Set 127: Grants and their limits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.FUND.03 (local)

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Which statement is accurate?

A. Grants are targeted and should not be the only plan.
B. Paying a fee guarantees a grant.
C. Every business qualifies for free startup grants.
D. Grants never require reports.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S127-F2-Q5
Entrepreneurship, Set 127: Grants and their limits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.FUND.03 (local)

Set 128: Investors and crowdfunding

Outcome ENT.FUND.04: Compare repaying money with giving up ownership, and see that most businesses do not fit investor funding

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
INVESTORS give money in exchange for EQUITY: a share of ownership, and often a say in decisions. If an investor pays 20,000 dollars for 20 percent of the company after the deal, the implied post-money value is 100,000 dollars and the founder now owns less of it (DILUTION). Investors expect a return, usually from growth. CROWDFUNDING raises money from many people online; reward crowdfunding gives backers a product or perk, and backers expect delivery. Equity crowdfunding sells ownership and has legal rules. Read terms carefully and get advice.

What do investors usually receive?

A. Repayment with fixed interest only
B. A share of ownership (equity)
C. Nothing at all in return
D. The founder's personal home

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-M-Q1
Entrepreneurship, Set 128: Investors and crowdfunding · MAIN · Q1/5 · Outcome ENT.FUND.04 (local)

Learn
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An investor pays 20,000 dollars for 20 percent of the company after the deal. What post-money value does this imply?

A. 20,000 dollars
B. 4,000 dollars
C. 400,000 dollars
D. 100,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-M-Q2
Entrepreneurship, Set 128: Investors and crowdfunding · MAIN · Q2/5 · Outcome ENT.FUND.04 (local)

Learn
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What is dilution?

A. Adding water to a product
B. Getting a grant
C. Paying off a business loan earlier than planned
D. The founder owning a smaller share after selling equity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-M-Q3
Entrepreneurship, Set 128: Investors and crowdfunding · MAIN · Q3/5 · Outcome ENT.FUND.04 (local)

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What do reward crowdfunding backers expect?

A. Nothing at all
B. Interest payments every month
C. Delivery of the product or perk promised
D. Ownership shares in the company they backed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-M-Q4
Entrepreneurship, Set 128: Investors and crowdfunding · MAIN · Q4/5 · Outcome ENT.FUND.04 (local)

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Why is equity crowdfunding more complex?

A. It requires no paperwork
B. It sells ownership and has legal rules
C. It is always free of any legal rules at all
D. It only sells T-shirts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-M-Q5
Entrepreneurship, Set 128: Investors and crowdfunding · MAIN · Q5/5 · Outcome ENT.FUND.04 (local)

Learn
If a founder owns 100 percent and sells 25 percent of the company from her own shares, with no new shares issued, she keeps 100 - 25 = 75 percent. If instead the company ISSUES NEW SHARES so an investor owns 25 percent after the deal, every earlier stake shrinks by the same factor: a founder who owned 80 percent keeps 80 x 0.75 = 60 percent (DILUTION). Post-money value implied by an investment = amount invested / percent bought. Example: 30,000 for 15 percent means 30,000 / 0.15 = 200,000.

A founder owns 100 percent and sells 30 percent of the company from her own shares. What does she keep?

A. 30 percent
B. 130 percent
C. 70 percent
D. 100 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-B1-Q1
Entrepreneurship, Set 128: Investors and crowdfunding · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.FUND.04 (local)

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10,000 dollars buys 10 percent. What is the implied post-money value?

A. 1,000
B. 100,000
C. 10,000
D. 110,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-B1-Q2
Entrepreneurship, Set 128: Investors and crowdfunding · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.FUND.04 (local)

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30,000 dollars buys 15 percent. What is the implied post-money value?

A. 200,000
B. 30,000
C. 4,500
D. 45,000

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-B1-Q3
Entrepreneurship, Set 128: Investors and crowdfunding · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.FUND.04 (local)

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A founder owns 80 percent and sells 25 percentage points of the whole company from her existing shares, with no new shares issued. What does she keep?

A. 105 percent
B. 25 percent
C. 80 percent
D. 55 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-B1-Q4
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Implied post-money value is found by dividing the investment by what?

A. The percent bought, as a decimal
B. The interest rate
C. The number of employees on payroll
D. The founder's age

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-B1-Q5
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An investor offers 50,000 dollars for 25 percent of the company after the deal. What post-money value does this imply?

A. 75,000 dollars
B. 200,000 dollars
C. 50,000 dollars
D. 12,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F1-Q1
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.FUND.04 (local)

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The investor gets 25 percent of the company through new shares, and the founder owned 100 percent before the deal. What percent does the founder keep?

A. 100 percent
B. 25 percent
C. 75 percent
D. 50 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F1-Q2
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.FUND.04 (local)

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The investor also wants a vote on all big decisions. What should the founder consider?

A. Whether she is comfortable sharing control
B. Nothing; investors never affect decisions
C. Only the investor's car
D. Only the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F1-Q3
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A reward campaign promises 300 backers a lamp each. Making and shipping each lamp costs 32 dollars. What is the total cost?

A. 32 dollars
B. 960 dollars
C. 332 dollars
D. 9,600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F1-Q4
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The campaign raised 12,000 dollars and the platform keeps 5 percent. How much does the owner receive?

A. 12,000 dollars
B. 11,400 dollars
C. 600 dollars
D. 11,950 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F1-Q5
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.FUND.04 (local)

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After fees, the campaign leaves 11,400 dollars but lamps cost 9,600 to deliver. How much is left for everything else?

A. 21,000 dollars
B. 11,400 dollars
C. 9,600 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F2-Q1
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.FUND.04 (local)

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Manufacturing costs rise and lamps will be late. What should the owner do?

A. Launch another campaign to cover it secretly
B. Update backers honestly with a new timeline
C. Stay silent and hope
D. Cancel without refunds

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F2-Q2
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.FUND.04 (local)

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A founder sells 30 percent, then later another 30 percent of the company from her shares. What does she own now?

A. 0 percent
B. 70 percent
C. 40 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F2-Q3
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.FUND.04 (local)

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An equity crowdfunding platform requires disclosures. Why?

A. To make campaigns slower for fun
B. Because rewards are illegal
C. Selling ownership is regulated to protect investors
D. Disclosures are optional decoration for the page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F2-Q4
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.FUND.04 (local)

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Which statement is accurate?

A. Backers expect nothing in return.
B. Investors buy ownership; crowdfunding promises must be kept.
C. Selling equity never reduces the founder's ownership share.
D. Investors never expect a return.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S128-F2-Q5
Entrepreneurship, Set 128: Investors and crowdfunding · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.FUND.04 (local)

Set 129: Money raised is not profit

Outcome ENT.FUND.05: Separate money from loans or investors from revenue and profit

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Is a 30,000-dollar loan profit?

A. Yes, all cash received is profit
B. Yes, if spent within a month
C. No, it must be repaid
D. Only if the bank is local

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-M-Q1
Entrepreneurship, Set 129: Money raised is not profit · MAIN · Q1/5 · Outcome ENT.FUND.05 (local)

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Which of these adds operating profit for a small shop?

A. Selling products for more than they cost
B. Moving the owner's savings into the account
C. Borrowing 10,000 dollars from a bank
D. Selling part ownership to an investor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-M-Q2
Entrepreneurship, Set 129: Money raised is not profit · MAIN · Q2/5 · Outcome ENT.FUND.05 (local)

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What is burn rate?

A. The interest rate charged on a business loan
B. The tax rate on profit
C. The temperature of the oven
D. How much cash the business uses each month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-M-Q3
Entrepreneurship, Set 129: Money raised is not profit · MAIN · Q3/5 · Outcome ENT.FUND.05 (local)

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Cash is 24,000 and monthly burn is 3,000. What is the runway?

A. 3 months
B. 72,000 months
C. 8 months
D. 21,000 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-M-Q4
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A business raised 50,000 dollars but loses 2 dollars on every sale. What is true?

A. It still loses money on each sale
B. Each sale now makes money
C. Losses disappear with funding
D. It is profitable because it raised money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-M-Q5
Entrepreneurship, Set 129: Money raised is not profit · MAIN · Q5/5 · Outcome ENT.FUND.05 (local)

Learn
Runway = cash / monthly burn. Example: 18,000 cash with 2,000 burned per month gives 18,000 / 2,000 = 9 months. If the result is not whole, round DOWN, because a partial month of cash will not cover a full month: 10,000 / 3,000 = 3.33, so about 3 full months. If burn rises, runway falls; if burn drops, runway grows.

15,000 cash, 3,000 burn. What is the runway?

A. 12,000 months
B. 5 months
C. 3 months
D. 45,000 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-B1-Q1
Entrepreneurship, Set 129: Money raised is not profit · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.FUND.05 (local)

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10,000 cash, 3,000 burn. How many full months?

A. 7
B. 4
C. 3.33
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-B1-Q2
Entrepreneurship, Set 129: Money raised is not profit · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.FUND.05 (local)

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Why round runway down?

A. Rounding up is always the safer choice here
B. It does not matter
C. A partial month of cash will not cover a full month
D. Months cannot be counted

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-B1-Q3
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If burn rises, what happens to runway?

A. It doubles
B. It stays the same
C. It rises
D. It falls

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-B1-Q4
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20,000 cash, 2,500 burn. What is the runway?

A. 17,500 months
B. 8 months
C. 2.5 months
D. 50,000 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-B1-Q5
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A startup has 40,000 dollars from investors and loses 5,000 a month. How many months of runway?

A. 8 months
B. 5 months
C. 35,000 months
D. 200,000 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F1-Q1
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The founder says, "We have 40,000, so we are profitable." What is wrong?

A. Raised money is not profit; it loses money monthly
B. Losses are a type of profit
C. Nothing; cash always means profit
D. Investors always guarantee profit to the founders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F1-Q2
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If burn is cut from 5,000 to 4,000 a month, what is the new runway on 40,000?

A. 9 months
B. 4 months
C. 8 months
D. 10 months

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A shop sells an item for 15 dollars that costs 18 dollars to make and ship. Raising more money will do what?

A. Remove the costs
B. Fund more losses unless price or cost changes
C. Turn the loss on each sale into a profit
D. Make each sale profitable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F1-Q4
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A 25,000-dollar loan arrives and the bank balance rises. What should the books show?

A. Cash up and a loan owed, with no profit from it
B. 25,000 dollars of profit earned for the month
C. 25,000 dollars of sales
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F1-Q5
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.FUND.05 (local)

Learn
Cash received is not automatically PROFIT. Loans and money from owners or investors are FINANCING: loans must be repaid, and investors own part of the business. Grants and crowdfunding must be classified by their terms; reward crowdfunding backers, for example, are owed the promised products. PROFIT = recognized income minus expenses; for most small businesses it comes from selling for more than costs. A business can raise a lot of money and still lose money on every sale. Track BURN RATE (how much cash the business uses each month) and RUNWAY (months until cash runs out = cash / monthly burn).

A reward crowdfunding campaign raised 20,000 dollars by promising each backer a product. The owner wants to spend it on a launch party. What is the problem?

A. No problem, because campaign money is profit
B. Parties are always tax free
C. Backers expect nothing
D. The money is owed to backers as products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F2-Q1
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.FUND.05 (local)

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Runway is 6 months. When should the owner act to raise more or cut costs?

A. Never; it will work out
B. In the last week
C. Well before cash runs out
D. After cash hits zero

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F2-Q2
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.FUND.05 (local)

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Burn is 6,000 a month, cash is 30,000, and sales add 1,500 a month of net cash. What is the runway using net burn?

A. 20 months
B. 6 full months
C. 5 full months
D. 4 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F2-Q3
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.FUND.05 (local)

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Investors ask for a profit plan. What should it show?

A. How sales will exceed costs over time
B. Only the logo and website
C. How much more money to raise forever
D. Only the founder's salary

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F2-Q4
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.FUND.05 (local)

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Which statement is accurate?

A. Loans count as profit.
B. Raising money is the same as earning it from customers.
C. Loans and investor money add cash but are financing, not profit.
D. Runway grows when burn increases.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S129-F2-Q5
Entrepreneurship, Set 129: Money raised is not profit · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.FUND.05 (local)

Set 130: Unit economics

Outcome ENT.GROW.01: Compute profit per customer or per order from stated numbers

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
UNIT ECONOMICS looks at whether one sale (or one customer) makes money. For one order: price minus all costs that come with that order (product, packaging, shipping, payment fees, and any discount) gives the CONTRIBUTION per order. If you pay to get customers, compare CUSTOMER ACQUISITION COST (CAC: marketing spend / new customers) with how much contribution a customer brings over time. Growing a business with negative unit economics grows the losses.

Price 40; product 15, packaging 2, shipping 8, fees 1.50. What is the contribution per order?

A. 25.00 dollars
B. 26.50 dollars
C. 13.50 dollars
D. 40.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-M-Q1
Entrepreneurship, Set 130: Unit economics · MAIN · Q1/5 · Outcome ENT.GROW.01 (local)

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What is customer acquisition cost?

A. Marketing spend divided by new customers
B. Total sales for the year
C. The cost of shipping each order to customers
D. Price minus cost per item

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-M-Q2
Entrepreneurship, Set 130: Unit economics · MAIN · Q2/5 · Outcome ENT.GROW.01 (local)

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Marketing spend 600 dollars brings 20 new customers. What is CAC?

A. 620 dollars
B. 12,000 dollars
C. 20 dollars
D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-M-Q3
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What happens when a business grows with negative unit economics?

A. Its losses grow
B. Costs disappear
C. Its losses shrink automatically
D. It becomes profitable from size alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-M-Q4
Entrepreneurship, Set 130: Unit economics · MAIN · Q4/5 · Outcome ENT.GROW.01 (local)

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A customer brings 13.50 per order and orders once. CAC is 30. Does the first order cover CAC?

A. It breaks exactly even
B. No, it falls short by 16.50
C. Cannot be known
D. Yes, with 16.50 left over

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-M-Q5
Entrepreneurship, Set 130: Unit economics · MAIN · Q5/5 · Outcome ENT.GROW.01 (local)

Learn
Imagine a lemonade stand earning 50 cents of profit per cup but paying a friend 1 dollar for every new customer he brings. If each customer buys only one cup, the stand loses 50 cents per customer, and the busier it gets, the more it loses. If customers come back for 3 cups, the stand earns 3 x 0.50 = 1.50 per customer before the referral cost, so 1.50 - 1 = 0.50 is left after paying the friend, and the deal works.

The 1 dollar paid per new customer is like what?

A. The lemon cost
B. The price per cup of lemonade
C. Customer acquisition cost
D. A tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-B1-Q1
Entrepreneurship, Set 130: Unit economics · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.GROW.01 (local)

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With one cup per customer, what happens?

A. It breaks even
B. It earns 1 dollar
C. It earns 50 cents for each new customer
D. The stand loses 50 cents per customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-B1-Q2
Entrepreneurship, Set 130: Unit economics · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.GROW.01 (local)

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With three cups per customer, how much is left per customer after paying the 1-dollar referral cost?

A. 1.00 dollar
B. 3.00 dollars
C. 0.50 dollars
D. 1.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-B1-Q3
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If one-cup customers keep coming, what happens as the stand gets busier?

A. It loses more
B. It earns more
C. Lemons get cheaper
D. Nothing changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-B1-Q4
Entrepreneurship, Set 130: Unit economics · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.GROW.01 (local)

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What makes the deal work?

A. Customers coming back for more
B. Charging nothing
C. Paying the friend more per customer
D. Fewer cups

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-B1-Q5
Entrepreneurship, Set 130: Unit economics · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.GROW.01 (local)

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A subscription box earns 9 dollars of contribution per month. Customers stay 6 months on average. What is contribution per customer?

A. 1.50 dollars
B. 54 dollars
C. 15 dollars
D. 9 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F1-Q1
Entrepreneurship, Set 130: Unit economics · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.GROW.01 (local)

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Expected contribution is 9 dollars a month for an average stay of 6 months, so 9 x 6 = 54 dollars per customer. CAC is 40 dollars. On average, is a customer worth acquiring?

A. Neither, because the two amounts are equal

B. No, because 40 is more than 54

C. Yes, on average, because 54 is more than 40

D. It cannot be told from these numbers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F1-Q2
Entrepreneurship, Set 130: Unit economics · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.GROW.01 (local)

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Expected contribution per customer is 54 dollars and CAC is 40 dollars. By how much does contribution exceed CAC per customer?

A. 14 dollars
B. 94 dollars
C. 40 dollars
D. 54 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F1-Q3
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A subscription box brings 9 dollars of contribution a month. Shipping rises by 3 dollars per box. What is the new monthly contribution?

A. 12 dollars
B. 9 dollars
C. 3 dollars
D. 6 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F1-Q4
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With 6 dollars a month for 6 months and CAC 40, what happens?

A. Each still earns 14 dollars, as before
B. Each customer now loses 4 dollars
C. Each earns 36 dollars
D. It breaks exactly even

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F1-Q5
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Contribution per order ignores returns. 10 percent of orders return and lose 20 dollars each. What is the average return cost per order?

A. 10 dollars
B. 0.20 dollars
C. 2 dollars
D. 20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F2-Q1
Entrepreneurship, Set 130: Unit economics · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.GROW.01 (local)

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An owner plans to "make it up on volume" while losing money on each sale. What is wrong?

A. Losses become profit after 100 sales
B. Volume lowers taxes to zero
C. Nothing; volume always fixes losses
D. More volume multiplies the loss

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F2-Q2
Entrepreneurship, Set 130: Unit economics · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.GROW.01 (local)

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CAC from ads is 25 dollars, but referrals bring customers at 8 dollars. Overall CAC averages 18. What should the owner study?

A. Only the logo
B. Nothing, because averages tell everything needed
C. Which channels bring profitable customers
D. Only the overall average

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F2-Q3
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Free shipping raised orders but cut contribution per order to 1 dollar. What should the owner check?

A. Only the number of orders
B. Whether total contribution actually rose
C. Only customer compliments
D. Nothing; more orders is always better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F2-Q4
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Which statement is accurate?

A. Shipping and payment fees can safely be left out of unit economics.
B. CAC never matters for small shops that sell online.
C. Growth always fixes losses, whatever each sale earns.
D. Growth is more likely to help when contribution per customer exceeds CAC.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S130-F2-Q5
Entrepreneurship, Set 130: Unit economics · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.GROW.01 (local)

Set 131: Getting customers, keeping customers, repeat sales

Outcome ENT.GROW.02: Compare the cost of getting a customer with what a returning customer brings

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Getting a new customer usually costs more effort than keeping one. RETENTION is the share of customers who come back. REPEAT SALES come from good products, reliable service, easy reordering, and staying in touch with permission (an email list, a loyalty card, a reminder when a refill is due). A business that loses most customers after one purchase must keep finding new ones. Track how many customers buy again within a set period, such as 90 days.

What is retention?

A. A type of business loan
B. Holding back an employee's pay
C. The number of new ads placed each month
D. The share of customers who come back

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-M-Q1
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · MAIN · Q1/5 · Outcome ENT.GROW.02 (local)

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Of 200 customers, 60 buy again within 90 days. What is the 90-day repeat rate?

A. 3 percent
B. 30 percent
C. 70 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-M-Q2
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · MAIN · Q2/5 · Outcome ENT.GROW.02 (local)

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Which habit encourages repeat sales?

A. Ignoring past customers
B. A reminder when a refill is due, sent with permission
C. Changing quality randomly
D. Making reordering harder so customers try new things

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-M-Q3
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · MAIN · Q3/5 · Outcome ENT.GROW.02 (local)

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Why does retention matter?

A. Retention lowers product quality
B. New customers are always free
C. It replaces the need for any new sales or marketing at all
D. Keeping customers usually costs less than finding new ones

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-M-Q4
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · MAIN · Q4/5 · Outcome ENT.GROW.02 (local)

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A business loses most customers after one purchase. What must it do?

A. Nothing different
B. Raise prices for the few customers left
C. Stop marketing
D. Keep finding new customers constantly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-M-Q5
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · MAIN · Q5/5 · Outcome ENT.GROW.02 (local)

Learn
Many people return to the same barber for years because the cut is good, booking is easy, and the barber remembers them. The barber does not need to find a brand-new customer every time. Each happy, returning customer saves the effort and cost of attracting someone new, and may bring friends. Over years, that loyalty adds up to a steady business.

Why do people return to the barber?

A. The shop is far away
B. Prices change a lot at every single visit
C. Good cuts, easy booking and being remembered
D. The barber is rude

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-B1-Q1
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.GROW.02 (local)

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What does a returning customer save the barber?

A. The cost of attracting someone new
B. Rent
C. Taxes
D. The cost of buying new scissors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-B1-Q2
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.GROW.02 (local)

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Easy booking is like what in business?

A. Easy reordering
B. A long wait
C. A hidden phone number
D. A complicated form

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-B1-Q3
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.GROW.02 (local)

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Being remembered is like what?

A. Staying in touch with customers
B. Forgetting customers after one visit
C. Ignoring complaints
D. Raising prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-B1-Q4
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What extra benefit can happy regulars bring?

A. More complaints
B. Referrals of friends
C. Lower quality
D. Higher rent for the shop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-B1-Q5
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.GROW.02 (local)

Learn
Getting a new customer usually costs more effort than keeping one. RETENTION is the share of customers who come back. REPEAT SALES come from good products, reliable service, easy reordering, and staying in touch with permission (an email list, a loyalty card, a reminder when a refill is due). A business that loses most customers after one purchase must keep finding new ones. Track how many customers buy again within a set period, such as 90 days.

A coffee bean seller's customers run out in about 30 days. Which step encourages reorders?

A. Making the reorder page hard to find on the site
B. No contact after the first sale
C. A reminder at day 120
D. A reminder email around day 25, with permission

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F1-Q1
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.GROW.02 (local)

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Repeat rate rises from 20 to 35 percent of 400 customers. How many more customers buy again?

A. 60
B. 140
C. 15
D. 80

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F1-Q2
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.GROW.02 (local)

Learn
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Each repeat order brings 12 dollars of contribution. What do those 60 extra repeat orders bring?

A. 72 dollars
B. 60 dollars
C. 720 dollars
D. 12 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F1-Q3
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.GROW.02 (local)

Learn
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A loyalty card gives the 10th coffee free at 4 dollars. What is the discount spread over 10 coffees, per coffee?

A. 40 dollars
B. 0.40 dollars
C. 0.04 dollars
D. 4.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F1-Q4
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.GROW.02 (local)

Learn
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Customers say reordering requires creating a new account each time. What should change?

A. Ignore the feedback
B. Add more steps
C. Remove the reorder option
D. Make reordering easy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F1-Q5
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.GROW.02 (local)

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Repeat sales fall after the owner switched to a cheaper supplier. What should she check?

A. Only the logo
B. Whether quality dropped
C. Only competitors' ads
D. Nothing; price is all customers notice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F2-Q1
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.GROW.02 (local)

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A loyalty discount is so big that repeat orders barely break even. What should the owner do?

A. Adjust the reward so repeat orders stay profitable
B. Increase the discount further to win more loyalty
C. Remove all contact with customers
D. Ignore the math

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F2-Q2
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.GROW.02 (local)

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An email list sends daily promotions and many unsubscribe. What might help?

A. Hiding the unsubscribe link
B. Buying a new list
C. Even more daily emails
D. Fewer, more useful messages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F2-Q3
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Of 500 customers last quarter, 150 returned this quarter. What percent did not return?

A. 35 percent
B. 150 percent
C. 70 percent
D. 30 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F2-Q4
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.GROW.02 (local)

Learn
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Which statement is accurate?

A. Repeat customers lower the effort and cost of growth.
B. New customers are always cheaper to get.
C. Bigger discounts always build loyalty profitably.
D. Retention never matters for small shops.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S131-F2-Q5
Entrepreneurship, Set 131: Getting customers, keeping customers, repeat sales · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.GROW.02 (local)

Set 132: Growing after evidence, protecting quality

Outcome ENT.GROW.03: Decide when growth is supported by evidence and capacity

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Grow AFTER evidence, not before. Signs a business is ready to grow: steady demand you are turning away, positive unit economics, reliable processes, and enough cash to handle the step. Grow in small steps, such as one helper, one new product or one new location, and measure the result. Protect QUALITY: if growth causes late orders, mistakes or unhappy customers, slow down and fix the process. Growing too fast can break what made the business work.

Which is a sign a business is ready to grow?

A. A competitor growing quickly
B. A friend saying it should grow
C. One very good day last year
D. Steady demand it is turning away

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-M-Q1
Entrepreneurship, Set 132: Growing after evidence, protecting quality · MAIN · Q1/5 · Outcome ENT.GROW.03 (local)

Learn
Grow AFTER evidence, not before. Signs a business is ready to grow: steady demand you are turning away, positive unit economics, reliable processes, and enough cash to handle the step. Grow in small steps, such as one helper, one new product or one new location, and measure the result. Protect QUALITY: if growth causes late orders, mistakes or unhappy customers, slow down and fix the process. Growing too fast can break what made the business work.

What does growing in small steps mean?

A. Never changing anything
B. Doubling everything overnight
C. Adding one helper, product or location and measuring
D. Opening five locations at once with no testing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-M-Q2
Entrepreneurship, Set 132: Growing after evidence, protecting quality · MAIN · Q2/5 · Outcome ENT.GROW.03 (local)

Learn
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What should happen if growth causes many late orders?

A. Grow even faster to catch up
B. Slow down and fix the process
C. Lower quality further
D. Ignore the complaints

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-M-Q3
Entrepreneurship, Set 132: Growing after evidence, protecting quality · MAIN · Q3/5 · Outcome ENT.GROW.03 (local)

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Which is NOT a sign of readiness?

A. Steady unmet demand
B. Enough cash for the step
C. Losing money on each sale
D. Reliable processes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-M-Q4
Entrepreneurship, Set 132: Growing after evidence, protecting quality · MAIN · Q4/5 · Outcome ENT.GROW.03 (local)

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Why can growing too fast hurt?

A. Fast growth is always safe for small businesses
B. Customers prefer chaos
C. It can break what made the business work
D. Quality never changes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-M-Q5
Entrepreneurship, Set 132: Growing after evidence, protecting quality · MAIN · Q5/5 · Outcome ENT.GROW.03 (local)

Learn
A builder does not add a fifth floor before checking that the foundation can hold it. Each floor is added after the ones below are solid. A business grows the same way: each step rests on proven demand, working processes and enough cash. Adding floors on a weak foundation risks the whole building, including the floors that were already safe.

The foundation is like what in business?

A. A competitor
B. Proven demand, processes and cash
C. A new logo
D. A big opening party for friends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-B1-Q1
Entrepreneurship, Set 132: Growing after evidence, protecting quality · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.GROW.03 (local)

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Adding a floor is like what?

A. A complaint
B. A tax filing
C. A refund
D. A growth step

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-B1-Q2
Entrepreneurship, Set 132: Growing after evidence, protecting quality · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.GROW.03 (local)

Learn
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What does the builder check first?

A. The paint color
B. The view from the new roof deck at night
C. Whether the foundation can hold the floor
D. The neighbor's opinion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-B1-Q3
Entrepreneurship, Set 132: Growing after evidence, protecting quality · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.GROW.03 (local)

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What happens with a weak foundation?

A. Rent goes down
B. It grows stronger with each floor
C. The whole building is at risk
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-B1-Q4
Entrepreneurship, Set 132: Growing after evidence, protecting quality · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.GROW.03 (local)

Learn
A builder does not add a fifth floor before checking that the foundation can hold it. Each floor is added after the ones below are solid. A business grows the same way: each step rests on proven demand, working processes and enough cash. Adding floors on a weak foundation risks the whole building, including the floors that were already safe.

When is each floor added?

A. All at once, on the very first day
B. Randomly
C. Before planning
D. After the ones below are solid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-B1-Q5
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A bakery turns away about 30 custom-cake orders a month, has positive contribution and 3 months of cash. Which step fits?

A. Do nothing despite demand
B. Hire one part-time baker and measure results
C. Open three new shops at once across town
D. Cut quality to bake faster

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F1-Q1
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Each custom cake brings 25 dollars of contribution. 30 extra cakes would bring how much a month?

A. 55 dollars
B. 25 dollars
C. 750 dollars
D. 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F1-Q2
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.GROW.03 (local)

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Each custom cake brings 25 dollars of contribution. A part-time baker costing 600 dollars a month would allow 30 extra cakes. What is the net gain if all 30 are made?

A. 600 dollars
B. 1,350 dollars
C. 750 dollars
D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F1-Q3
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.GROW.03 (local)

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After hiring, late orders rise from 2 to 9 a month. What should the owner do?

A. Pause growth and fix training or scheduling
B. Raise prices to hide it
C. Ignore the late orders
D. Hire three more bakers immediately to catch up

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F1-Q4
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.GROW.03 (local)

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Which evidence is strongest before opening a second location?

A. A cheap lease offer in that area, alone
B. A cousin's encouragement
C. A waiting list of customers near that area
D. A dream about expansion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F1-Q5
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An investor pushes the owner to open 5 stores this year, but the first store is barely profitable. What should she weigh?

A. Only the store colors
B. Nothing; growth is always right
C. Only the investor's excitement about growing fast
D. Whether the first store's results support expansion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F2-Q1
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.GROW.03 (local)

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A big retailer offers a large order that would need all production for 3 months, stopping regular customers. What is the risk?

A. Regular customers never leave
B. Losing regular customers and depending on one buyer
C. No risk, because big orders are always good news
D. Production capacity is unlimited

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F2-Q2
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A growth step costs 4,000 dollars and adds 500 dollars a month of contribution. How many months to recover the cost?

A. 4 months
B. 500 months
C. 8 months
D. 12 months

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F2-Q3
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.GROW.03 (local)

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Customer complaints doubled after growth. What is the lesson?

A. Complaints are always fine
B. Grow faster so complaints become a smaller share
C. Growth strained quality and needs fixing
D. Stop reading complaints

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Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.GROW.03 (local)

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Which statement is accurate?

A. Grow in steps after evidence; slow down if quality slips.
B. Bigger leaps are always safer.
C. Quality does not matter during growth.
D. Evidence is unnecessary before deciding to grow.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S132-F2-Q5
Entrepreneurship, Set 132: Growing after evidence, protecting quality · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.GROW.03 (local)

Set 133: Burnout and a sustainable pace

Outcome ENT.GROW.04: Plan workload and limits that a person can keep up

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Owners often work long hours without breaks, which can lead to BURNOUT: exhaustion, mistakes and loss of motivation. A burned-out owner is a risk to the business. A SUSTAINABLE PACE means planning work hours the owner can keep up, protecting sleep and days off, saying no to work that does not fit, raising prices when demand exceeds capacity, and getting help. Watch warning signs such as constant tiredness, more mistakes, and dreading work, and act early.

What is burnout?

A. A marketing strategy for fast growth
B. A kitchen fire in the shop
C. A tax penalty for late filing
D. Exhaustion and mistakes from overwork

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-M-Q1
Entrepreneurship, Set 133: Burnout and a sustainable pace · MAIN · Q1/5 · Outcome ENT.GROW.04 (local)

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Which is a warning sign?

A. More mistakes and constant tiredness
B. Feeling rested after time off
C. Steady, kept schedules
D. Enjoying most days of work and rest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-M-Q2
Entrepreneurship, Set 133: Burnout and a sustainable pace · MAIN · Q2/5 · Outcome ENT.GROW.04 (local)

Learn
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Which choice supports a sustainable pace?

A. Saying yes to every request
B. Never taking a break for months
C. Protecting days off
D. Answering messages at 3 a.m. every night

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-M-Q3
Entrepreneurship, Set 133: Burnout and a sustainable pace · MAIN · Q3/5 · Outcome ENT.GROW.04 (local)

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Demand exceeds capacity. Which option helps both income and pace?

A. Raising prices
B. Skipping sleep
C. Working 20 hours a day
D. Lowering prices to attract more work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-M-Q4
Entrepreneurship, Set 133: Burnout and a sustainable pace · MAIN · Q4/5 · Outcome ENT.GROW.04 (local)

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Why is a burned-out owner a business risk?

A. Customers prefer tired, overworked owners
B. Mistakes and poor decisions become more likely
C. Burnout increases profit
D. It has no effect

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-M-Q5
Entrepreneurship, Set 133: Burnout and a sustainable pace · MAIN · Q5/5 · Outcome ENT.GROW.04 (local)

Learn
A phone works well when charged, but if you never charge it, it slows down and shuts off at the worst moment. An owner is like that battery: work drains energy, and rest recharges it. Running on 1 percent all the time leads to mistakes and sudden shutdowns. Planning regular charging is not laziness; it keeps the phone, and the business, working.

What recharges the owner?

A. Skipping meals
B. More work without breaks
C. Late-night emails
D. Rest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-B1-Q1
Entrepreneurship, Set 133: Burnout and a sustainable pace · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.GROW.04 (local)

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A phone works well when charged, but if you never charge it, it slows down and shuts off at the worst moment. An owner is like that battery: work drains energy, and rest recharges it. Running on 1 percent all the time leads to mistakes and sudden shutdowns. Planning regular charging is not laziness; it keeps the phone, and the business, working.

Running on 1 percent is like what?

A. A vacation
B. Being well rested and alert
C. Working while exhausted
D. A day off

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-B1-Q2
Entrepreneurship, Set 133: Burnout and a sustainable pace · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.GROW.04 (local)

Learn
A phone works well when charged, but if you never charge it, it slows down and shuts off at the worst moment. An owner is like that battery: work drains energy, and rest recharges it. Running on 1 percent all the time leads to mistakes and sudden shutdowns. Planning regular charging is not laziness; it keeps the phone, and the business, working.

What happens if the phone is never charged?

A. It works faster than before
B. Nothing
C. It charges itself
D. It shuts off at a bad moment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-B1-Q3
Entrepreneurship, Set 133: Burnout and a sustainable pace · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.GROW.04 (local)

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Is planned charging laziness?

A. Only on weekends
B. No, it keeps things working
C. Only for big businesses
D. Yes, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-B1-Q4
Entrepreneurship, Set 133: Burnout and a sustainable pace · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.GROW.04 (local)

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The owner is like what in the picture?

A. The screen
B. The charger cable
C. The phone battery
D. The phone case

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-B1-Q5
Entrepreneurship, Set 133: Burnout and a sustainable pace · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.GROW.04 (local)

Learn
Owners often work long hours without breaks, which can lead to BURNOUT: exhaustion, mistakes and loss of motivation. A burned-out owner is a risk to the business. A SUSTAINABLE PACE means planning work hours the owner can keep up, protecting sleep and days off, saying no to work that does not fit, raising prices when demand exceeds capacity, and getting help. Watch warning signs such as constant tiredness, more mistakes, and dreading work, and act early.

An owner works 70 hours a week and makes 4 order mistakes a week. Which change fits first?

A. Stop sleeping to catch up
B. Cut hours by declining poor-fit work or getting help
C. Ignore the mistakes
D. Add 10 more hours each week to fix the mistakes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F1-Q1
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.GROW.04 (local)

Learn
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She wants to cut from 70 to 50 hours a week. How many hours must be removed or delegated?

A. 50
B. 70
C. 20
D. 120

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F1-Q2
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.GROW.04 (local)

Learn
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A price increase of 15 percent on 3,000 dollars of weekly sales with 10 percent fewer jobs. Assuming revenue scales with jobs, what is the new weekly revenue?

A. 3,450 dollars
B. 3,105 dollars
C. 2,700 dollars
D. 3,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F1-Q3
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.GROW.04 (local)

Learn
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Which boundary is realistic for a solo owner?

A. "Messages answered 9 a.m. to 6 p.m. on weekdays."
B. "I never reply to anyone."
C. "I reply instantly at any hour, every day."
D. "Replies whenever I remember."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F1-Q4
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.GROW.04 (local)

Learn
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A client always demands rush work at night for normal prices. What is a reasonable step?

A. Set rush fees or decline poor-fit requests
B. Work every night forever
C. Ignore the client entirely
D. Always accept the rush work for free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F1-Q5
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.GROW.04 (local)

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An owner feels guilty taking a day off. What perspective helps?

A. Guilt proves she is right
B. Days off always harm a small business and its customers
C. Rest prevents mistakes and keeps the business running
D. Rest is only for employees

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F2-Q1
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.GROW.04 (local)

Learn
Owners often work long hours without breaks, which can lead to BURNOUT: exhaustion, mistakes and loss of motivation. A burned-out owner is a risk to the business. A SUSTAINABLE PACE means planning work hours the owner can keep up, protecting sleep and days off, saying no to work that does not fit, raising prices when demand exceeds capacity, and getting help. Watch warning signs such as constant tiredness, more mistakes, and dreading work, and act early.

Burnout signs appear during a growth push. What should she do?

A. Quit without a plan
B. Hide the signs from everyone
C. Push harder to finish the growth push faster
D. Slow the push and add support before continuing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F2-Q2
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.GROW.04 (local)

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A helper costs 400 dollars a month and frees 25 hours. What is the cost per freed hour?

A. 16 dollars
B. 25 dollars
C. 10,000 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F2-Q3
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.GROW.04 (local)

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An owner says, "I'll rest after the business succeeds." What is the risk?

A. Rest is never needed
B. Burnout may arrive before success does
C. No risk; success always comes first
D. Success removes all stress

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F2-Q4
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.GROW.04 (local)

Learn
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Which statement is accurate?

A. Longer hours always mean more success for owners.
B. Burnout only affects big companies.
C. A sustainable pace protects the owner and the business.
D. Warning signs should be ignored.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S133-F2-Q5
Entrepreneurship, Set 133: Burnout and a sustainable pace · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.GROW.04 (local)

Set 134: Winding down honestly

Outcome ENT.GROW.05: List the obligations to handle when closing or pausing a business

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Sometimes the right decision is to CLOSE or pause a business. Winding down honestly means: finish or refund customer orders and prepaid services; tell customers and suppliers clearly; pay what you owe as far as possible; cancel subscriptions and licenses; file final tax returns and any state DISSOLUTION papers for an LLC or corporation; and keep records for the required period. Closing well protects your reputation and your future options.

What should happen to prepaid orders when closing?

A. Ship empty boxes to close the orders
B. Keep the money and say nothing to anyone
C. Ask customers to forget the orders
D. Fulfill them or refund the customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-M-Q1
Entrepreneurship, Set 134: Winding down honestly · MAIN · Q1/5 · Outcome ENT.GROW.05 (local)

Learn
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What is dissolution?

A. The state filing that formally ends an LLC or corporation
B. Mixing a drink with water
C. A new business license
D. A sale of all remaining inventory at a big discount

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-M-Q2
Entrepreneurship, Set 134: Winding down honestly · MAIN · Q2/5 · Outcome ENT.GROW.05 (local)

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Which step belongs in winding down?

A. Opening new subscriptions
B. Filing final tax returns
C. Ignoring supplier bills
D. Deleting all records immediately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-M-Q3
Entrepreneurship, Set 134: Winding down honestly · MAIN · Q3/5 · Outcome ENT.GROW.05 (local)

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Why keep records after closing?

A. To restart secretly
B. Because records are profitable
C. Records are never needed after closing
D. They may be needed for the required period

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-M-Q4
Entrepreneurship, Set 134: Winding down honestly · MAIN · Q4/5 · Outcome ENT.GROW.05 (local)

Learn
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Why does closing well matter?

A. It has no benefits
B. It guarantees a refund from the state
C. It protects reputation and future options
D. It cancels all debts automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-M-Q5
Entrepreneurship, Set 134: Winding down honestly · MAIN · Q5/5 · Outcome ENT.GROW.05 (local)

Learn
When you move out, you give notice, pay the last rent, return the keys, clean up, and forward your mail. If you just disappear, the landlord is stuck, you may lose your deposit, and it is harder to rent next time. Closing a business is similar: notice, payments, paperwork and records, so you leave on good terms.

Giving notice is like what in a business?

A. Raising prices
B. Telling customers and suppliers
C. Opening a new store
D. Hiding the closure from everyone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-B1-Q1
Entrepreneurship, Set 134: Winding down honestly · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.GROW.05 (local)

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Paying the last rent is like what?

A. Ignoring the final bills that arrive
B. Paying what the business owes
C. A refund to yourself
D. Buying inventory

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-B1-Q2
Entrepreneurship, Set 134: Winding down honestly · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.GROW.05 (local)

Learn
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Returning the keys is like what?

A. Selling keys
B. Cancelling licenses and accounts
C. Making copies
D. Keeping every account open just in case

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-B1-Q3
Entrepreneurship, Set 134: Winding down honestly · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.GROW.05 (local)

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What happens if you just disappear?

A. Others are stuck and future options suffer
B. Nothing happens
C. Rent becomes free for everyone involved
D. You get a bonus

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-B1-Q4
Entrepreneurship, Set 134: Winding down honestly · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.GROW.05 (local)

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Forwarding your mail is like what?

A. Throwing mail away
B. Ignoring mail
C. Making sure final notices still reach you
D. Changing your name to avoid the mail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-B1-Q5
Entrepreneurship, Set 134: Winding down honestly · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.GROW.05 (local)

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A shop closing has 12 prepaid orders it cannot fulfill, averaging 45 dollars. How much must be refunded?

A. 57 dollars
B. 450 dollars
C. 540 dollars
D. 45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F1-Q1
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Which closing message to customers is best?

A. "Closed. Good luck."
B. "We may be back, maybe, eventually."
C. No message at all; the website just quietly goes offline
D. "Closing June 30. Orders ship by June 20; others get refunds."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F1-Q2
Entrepreneurship, Set 134: Winding down honestly · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.GROW.05 (local)

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The business is an LLC. What state step is often needed?

A. Filing dissolution papers
B. Applying for a new EIN
C. Registering a new trademark
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F1-Q3
Entrepreneurship, Set 134: Winding down honestly · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.GROW.05 (local)

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Subscriptions cost 18, 25 and 40 dollars a month. If not cancelled, what would they cost over 6 months?

A. 83 dollars
B. 996 dollars
C. 498 dollars
D. 415 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F1-Q4
Entrepreneurship, Set 134: Winding down honestly · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.GROW.05 (local)

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Cash is 2,000 dollars and supplier bills are 2,600 dollars. What is a responsible step?

A. Spend the cash on new inventory
B. Contact suppliers about a payment plan
C. Ignore the bills
D. Pay one supplier and hide from others

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F1-Q5
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An owner wants to pause for a year, not close. What should she check?

A. Only the logo
B. Nothing; paused businesses have no duties
C. Only her email signature
D. Which filings and fees continue while paused

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F2-Q1
Entrepreneurship, Set 134: Winding down honestly · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.GROW.05 (local)

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A sole proprietor closes with unpaid business debts. What should she understand?

A. All debts vanish when she closes
B. She may still be personally responsible
C. Suppliers cannot ask for payment
D. Closing the business cancels any taxes owed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F2-Q2
Entrepreneurship, Set 134: Winding down honestly · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.GROW.05 (local)

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An owner deletes all records the day she closes. What problem could arise?

A. She may need them for taxes or questions later
B. None; records are useless after closing
C. It speeds up refunds
D. It is required by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F2-Q3
Entrepreneurship, Set 134: Winding down honestly · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.GROW.05 (local)

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Final payroll, taxes and reports are due. Who can help with complex final filings?

A. An accountant or tax professional
B. A customer
C. Nobody; skip them
D. A random forum post about taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F2-Q4
Entrepreneurship, Set 134: Winding down honestly · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.GROW.05 (local)

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Which statement is accurate?

A. Customers do not need notice.
B. Closing a business cancels all of its obligations at once.
C. Records can be deleted immediately.
D. Closing well means honoring orders, paying debts and filing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S134-F2-Q5
Entrepreneurship, Set 134: Winding down honestly · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.GROW.05 (local)

Set 135: Founder case: Wrigley follows what customers wanted

Outcome ENT.CASE.09: Apply a documented change of offer (switching to the item customers preferred) to a new business

Module: Funding, growth and limits

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

According to the passage, what did Wrigley first sell in Chicago?

A. Candy bars and chocolate
B. Soap
C. Chewing gum from the very start
D. Newspapers and magazines

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-M-Q1
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · MAIN · Q1/5 · Outcome ENT.CASE.09 (local)

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What was a premium in this story?

A. A free extra given with a purchase
B. A tax on gum
C. A higher price for luxury buyers
D. An insurance payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-M-Q2
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · MAIN · Q2/5 · Outcome ENT.CASE.09 (local)

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Why did he switch from soap to baking powder?

A. Soap became illegal to sell
B. A competitor forced him
C. Baking powder proved more popular
D. Baking powder was free to make

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-M-Q3
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · MAIN · Q3/5 · Outcome ENT.CASE.09 (local)

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Which lesson does this course draw?

A. Ignore which extras customers like
B. Give away your main product for free forever
C. Never change your first product
D. Watch what customers prefer and be willing to change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-M-Q4
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · MAIN · Q4/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

What does the passage say about the exact years?

A. They differ between sources
B. They are certain and agreed everywhere
C. They were all in 1891
D. They are secret

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-M-Q5
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · MAIN · Q5/5 · Outcome ENT.CASE.09 (local)

Learn
At a school bake sale, you might bring cookies but notice everyone asks for the lemonade you brought as an extra. Next time, you bring more lemonade. That is following evidence: what people actually choose matters more than what you planned. The documented Wrigley facts are the switches; the lesson about following evidence is this course's interpretation.

What did people keep asking for at the bake sale?

A. The cookies only
B. The lemonade extra
C. Nothing at all
D. The table

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-B1-Q1
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.09 (local)

Learn
At a school bake sale, you might bring cookies but notice everyone asks for the lemonade you brought as an extra. Next time, you bring more lemonade. That is following evidence: what people actually choose matters more than what you planned. The documented Wrigley facts are the switches; the lesson about following evidence is this course's interpretation.

What do you do next time?

A. Hide the lemonade
B. Bring nothing
C. Bring more lemonade
D. Bring only cookies again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-B1-Q2
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.09 (local)

Learn
At a school bake sale, you might bring cookies but notice everyone asks for the lemonade you brought as an extra. Next time, you bring more lemonade. That is following evidence: what people actually choose matters more than what you planned. The documented Wrigley facts are the switches; the lesson about following evidence is this course's interpretation.

"Wrigley switched to baking powder" is which kind of statement?

A. Documented fact
B. Course interpretation
C. A promise
D. A rumor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-B1-Q3
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.09 (local)

Learn
At a school bake sale, you might bring cookies but notice everyone asks for the lemonade you brought as an extra. Next time, you bring more lemonade. That is following evidence: what people actually choose matters more than what you planned. The documented Wrigley facts are the switches; the lesson about following evidence is this course's interpretation.

"Follow what customers choose" is which kind?

A. A documented quote from Wrigley
B. A tax rule
C. The course's interpretation
D. A law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-B1-Q4
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.09 (local)

Learn
At a school bake sale, you might bring cookies but notice everyone asks for the lemonade you brought as an extra. Next time, you bring more lemonade. That is following evidence: what people actually choose matters more than what you planned. The documented Wrigley facts are the switches; the lesson about following evidence is this course's interpretation.

What matters more than your plan?

A. Your first idea, always
B. What people actually choose
C. Your table color
D. Your logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-B1-Q5
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

A candle shop gives a small free wax melt with each candle. Customers keep asking to buy the melts. What fits the lesson?

A. Raise candle prices only
B. Stop giving melts so people focus on candles
C. Ignore the requests
D. Test selling melts as a main product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F1-Q1
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Last month: 120 candles sold and 300 people asked about melts. What is the ratio of melt requests to candle sales?

A. 2.5 to 1
B. 420 to 1
C. 180 to 1
D. 1 to 2.5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F1-Q2
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Melts cost 1 dollar to make and could sell for 4 dollars. What is the contribution per melt?

A. 5 dollars
B. 3 dollars
C. 4 dollars
D. 1 dollar

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F1-Q3
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Before switching fully, what should the owner do?

A. Ask only her family
B. Close the candle line immediately and switch
C. Run a small test sale of melts and measure
D. Order 10,000 melts at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F1-Q4
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Which detail is documented, not interpreted?

A. Wrigley offered baking powder as a premium with soap
B. Following customer evidence always guarantees success
C. Gum is always the best product
D. Every switch makes money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F1-Q5
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Three customers ask for very different products. What should the owner do?

A. Ask only one customer
B. Switch products for each individual customer request
C. Ignore all customers forever
D. Look for patterns across many customers before changing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F2-Q1
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

The new product is popular but earns less contribution than the old one. What should the owner weigh?

A. Only the logo
B. Total contribution, not just popularity
C. Nothing; popular means profitable
D. Only popularity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F2-Q2
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Someone says, "Wrigley switched products, so I should change mine every month." What is wrong?

A. Nothing, because constant change always works for businesses
B. Follow clear evidence; do not change constantly
C. Changes are illegal
D. Wrigley never switched

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F2-Q3
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Free extras cost 0.50 dollars each across 400 sales. What do the extras cost in total?

A. 400 dollars
B. 800 dollars
C. 0.50 dollars
D. 200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F2-Q4
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.09 (local)

Learn
Documented history (Britannica): William Wrigley Jr. moved to Chicago in 1891 selling soap and offered baking powder as a premium (a free extra). Baking powder proved more popular, so he switched to selling it and offered chewing gum as a premium. The gum proved more popular, and he turned to selling chewing gum. (Exact years of each switch differ between sources.) Lesson drawn by this course (an interpretation): watch what customers actually prefer and be willing to change your main product. One success story does not guarantee the same result for another business.

Which statement is accurate?

A. Original plans should never change.
B. Free premiums always cause a business to succeed.
C. The case suggests following evidence; test your own market.
D. Gum is the right product for every new business owner.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S135-F2-Q5
Entrepreneurship, Set 135: Founder case: Wrigley follows what customers wanted · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.09 (local)

Set 136: Estimating a service job

Outcome ENT.SVC.01: Estimate a job from stated hours, rate, materials and travel

Module: Path: services, freelancing & local businesses

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

Which time should be included in an estimate?

A. Only the minutes spent doing the main task itself
B. Only travel, since the work is the easy part
C. Only the time the customer can see you working
D. All of it: setup, travel, cleanup, messages and the work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-M-Q1
Entrepreneurship, Set 136: Estimating a service job · MAIN · Q1/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

5 hours at 40 dollars plus 50 dollars of materials. What is the subtotal?

A. 2,050 dollars
B. 200 dollars
C. 95 dollars
D. 250 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-M-Q2
Entrepreneurship, Set 136: Estimating a service job · MAIN · Q2/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

Add 10 percent contingency to 250 dollars. What is the estimate?

A. 275 dollars
B. 250 dollars
C. 260 dollars
D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-M-Q3
Entrepreneurship, Set 136: Estimating a service job · MAIN · Q3/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

Why compare actual time with the estimate afterward?

A. Because estimates never matter
B. To improve future estimates
C. To charge the customer extra secretly
D. To delete old records

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-M-Q4
Entrepreneurship, Set 136: Estimating a service job · MAIN · Q4/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

What is contingency in an estimate?

A. A separate fee charged for travel only
B. The materials cost
C. The customer's tip
D. A small extra amount for surprises

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-M-Q5
Entrepreneurship, Set 136: Estimating a service job · MAIN · Q5/5 · Outcome ENT.SVC.01 (local)

Learn
An estimate combines multiplication and addition: (hours x rate) + materials, then add the contingency percent. Example: 3 hours at 50 = 150; + 30 materials = 180; x 1.10 = 198. Do the steps in order. A common mistake is applying the percent before adding materials, which leaves the materials uncovered by the buffer. Checking each step on paper avoids that slip.

4 hours at 35 dollars. What is the labor cost?

A. 140
B. 8.75
C. 35
D. 39

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-B1-Q1
Entrepreneurship, Set 136: Estimating a service job · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.SVC.01 (local)

Learn
An estimate combines multiplication and addition: (hours x rate) + materials, then add the contingency percent. Example: 3 hours at 50 = 150; + 30 materials = 180; x 1.10 = 198. Do the steps in order. A common mistake is applying the percent before adding materials, which leaves the materials uncovered by the buffer. Checking each step on paper avoids that slip.

Labor 140 plus materials 40. What is the subtotal?

A. 140
B. 100
C. 180
D. 5,600

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-B1-Q2
Entrepreneurship, Set 136: Estimating a service job · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.SVC.01 (local)

Learn
An estimate combines multiplication and addition: (hours x rate) + materials, then add the contingency percent. Example: 3 hours at 50 = 150; + 30 materials = 180; x 1.10 = 198. Do the steps in order. A common mistake is applying the percent before adding materials, which leaves the materials uncovered by the buffer. Checking each step on paper avoids that slip.

180 plus 10 percent. What is the total?

A. 198
B. 180
C. 190
D. 18

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-B1-Q3
Entrepreneurship, Set 136: Estimating a service job · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.SVC.01 (local)

Learn
An estimate combines multiplication and addition: (hours x rate) + materials, then add the contingency percent. Example: 3 hours at 50 = 150; + 30 materials = 180; x 1.10 = 198. Do the steps in order. A common mistake is applying the percent before adding materials, which leaves the materials uncovered by the buffer. Checking each step on paper avoids that slip.

Which order is correct?

A. Add hours to rate
B. Materials times rate
C. Percent first, then labor, then materials last
D. Labor, then add materials, then add the percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-B1-Q4
Entrepreneurship, Set 136: Estimating a service job · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.SVC.01 (local)

Learn
An estimate combines multiplication and addition: (hours x rate) + materials, then add the contingency percent. Example: 3 hours at 50 = 150; + 30 materials = 180; x 1.10 = 198. Do the steps in order. A common mistake is applying the percent before adding materials, which leaves the materials uncovered by the buffer. Checking each step on paper avoids that slip.

2.5 hours at 60 dollars. What is the labor cost?

A. 62.5
B. 150
C. 120
D. 24

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-B1-Q5
Entrepreneurship, Set 136: Estimating a service job · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

A painter estimates 7 hours of painting, 1 hour of setup, 1 hour of cleanup and 1 hour of travel at 45 dollars, plus 120 dollars of paint. What is the subtotal before contingency?

A. 165 dollars
B. 450 dollars
C. 570 dollars
D. 435 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F1-Q1
Entrepreneurship, Set 136: Estimating a service job · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

A painter's estimate subtotal is 570 dollars. With 10 percent contingency, what is the estimate?

A. 627 dollars
B. 57 dollars
C. 570 dollars
D. 580 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F1-Q2
Entrepreneurship, Set 136: Estimating a service job · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

The job actually took 12 hours instead of 10. What is the labor overrun at 45 dollars an hour?

A. 45 dollars
B. 540 dollars
C. 90 dollars
D. 2 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F1-Q3
Entrepreneurship, Set 136: Estimating a service job · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

The estimate included a 57-dollar contingency, and the labor overrun was 90 dollars. Did the contingency cover the overrun?

A. Yes, exactly
B. Cannot tell
C. Yes, with 33 dollars to spare
D. No, it fell 33 dollars short

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F1-Q4
Entrepreneurship, Set 136: Estimating a service job · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

What should the painter do on future similar jobs?

A. Keep the same estimate for the next job
B. Stop tracking time
C. Remove the contingency
D. Estimate more time for this kind of job

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F1-Q5
Entrepreneurship, Set 136: Estimating a service job · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

A job has unknowns, such as hidden water damage. What is a fair way to estimate?

A. Promise no changes to the price no matter what
B. Give one low number and hope
C. Refuse to estimate any job
D. Give a range and explain what could change it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F2-Q1
Entrepreneurship, Set 136: Estimating a service job · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

A client says another provider quoted much lower. What should the owner check first?

A. Only the other provider's logo
B. Only how friendly the client is
C. Whether the other quote includes the same work
D. Nothing, because she should match the lower quote instantly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F2-Q2
Entrepreneurship, Set 136: Estimating a service job · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

Over 5 jobs, actual hours were 10 percent above estimates on average. Next job estimates 20 hours. What adjusted estimate fits?

A. 30 hours
B. 18 hours
C. 22 hours
D. 20 hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F2-Q3
Entrepreneurship, Set 136: Estimating a service job · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

An owner never counts travel time in estimates. What happens over many jobs?

A. Her rate rises automatically
B. She works many unpaid hours
C. Nothing at all
D. Customers pay extra anyway

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F2-Q4
Entrepreneurship, Set 136: Estimating a service job · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.SVC.01 (local)

Learn
To estimate a service job, list every part of the work and estimate time for each, including setup, travel, cleanup and communication. Multiply total hours by your hourly rate, add materials, and add a small CONTINGENCY for surprises (for example 10 percent). Example: 6 hours at 45 dollars = 270, plus 60 dollars of materials = 330, plus 10 percent = 363 dollars. Afterward, compare actual time with the estimate and adjust future estimates.

Which statement is accurate?

A. Contingency is dishonest.
B. Estimates never need adjusting.
C. Estimates should only count the visible work done on site.
D. Good estimates include all time, materials and a buffer.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S136-F2-Q5
Entrepreneurship, Set 136: Estimating a service job · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.SVC.01 (local)

Set 137: Appointment capacity and travel time

Outcome ENT.SVC.02: Compute how many appointments fit with travel and setup

Module: Path: services, freelancing & local businesses

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A service business sells time, so CAPACITY depends on how many appointments fit in a day. Count appointment length, TRAVEL between appointments, and a small BUFFER for delays. Example: a 9-hour day with 1.5-hour appointments plus 30 minutes of travel each fits 9 / 2 = 4.5, so 4 appointments. Grouping clients by area (ROUTING) reduces travel and increases capacity. Track no-shows and late cancellations, which waste capacity.

A day has 8 hours. Each appointment is 1 hour plus 30 minutes of travel. How many full appointments fit?

A. 5
B. 6
C. 8
D. 4

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-M-Q1
Entrepreneurship, Set 137: Appointment capacity and travel time · MAIN · Q1/5 · Outcome ENT.SVC.02 (local)

Learn
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What is routing?

A. A computer network for the office
B. Grouping clients by area to reduce travel
C. Cancelling clients who live far away
D. Charging more for far-away clients only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-M-Q2
Entrepreneurship, Set 137: Appointment capacity and travel time · MAIN · Q2/5 · Outcome ENT.SVC.02 (local)

Learn
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Why include a buffer?

A. To take more appointments
B. Because buffers are required by law for services
C. To charge for unused time
D. To handle delays without making later clients wait

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-M-Q3
Entrepreneurship, Set 137: Appointment capacity and travel time · MAIN · Q3/5 · Outcome ENT.SVC.02 (local)

Learn
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What wastes capacity?

A. Accurate scheduling
B. No-shows and late cancellations
C. Clients who arrive on time
D. Grouping by area

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-M-Q4
Entrepreneurship, Set 137: Appointment capacity and travel time · MAIN · Q4/5 · Outcome ENT.SVC.02 (local)

Learn
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Cutting travel from 30 to 15 minutes per appointment in an 8-hour day with 1-hour appointments allows how many?

A. 6
B. 7
C. 8
D. 5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-M-Q5
Entrepreneurship, Set 137: Appointment capacity and travel time · MAIN · Q5/5 · Outcome ENT.SVC.02 (local)

Learn
To find how many appointments fit, divide the available hours by the time each one takes, including travel. Then round DOWN, because a partial appointment cannot be sold. Example: 7 hours / 1.25 hours = 5.6, so 5 appointments. Convert minutes to hours first: 45 minutes = 0.75 hours, 30 minutes = 0.5 hours, 15 minutes = 0.25 hours. Then add the parts before dividing.

45 minutes is how many hours?

A. 1.5
B. 0.45
C. 0.25
D. 0.75

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-B1-Q1
Entrepreneurship, Set 137: Appointment capacity and travel time · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.SVC.02 (local)

Learn
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6 hours / 1.5 hours per slot. How many slots?

A. 9
B. 7.5
C. 4
D. 4.5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-B1-Q2
Entrepreneurship, Set 137: Appointment capacity and travel time · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.SVC.02 (local)

Learn
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7 hours / 1.25 hours, rounded down?

A. 8.75
B. 5
C. 5.6
D. 6

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-B1-Q3
Entrepreneurship, Set 137: Appointment capacity and travel time · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.SVC.02 (local)

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Why round down?

A. Hours are fake
B. A partial appointment cannot be sold
C. It does not matter
D. Rounding up is always better for the owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-B1-Q4
Entrepreneurship, Set 137: Appointment capacity and travel time · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.SVC.02 (local)

Learn
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1 hour plus 15 minutes travel is how many hours?

A. 0.75
B. 1.15
C. 1.25
D. 16

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-B1-Q5
Entrepreneurship, Set 137: Appointment capacity and travel time · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.SVC.02 (local)

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A mobile groomer works 9 hours. Each groom is 1.5 hours with 30 minutes of driving. How many grooms fit?

A. 4
B. 5
C. 6
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F1-Q1
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.SVC.02 (local)

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Routing cuts driving to 15 minutes each. How many grooms fit now?

A. 4
B. 5
C. 6
D. 7

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F1-Q2
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.SVC.02 (local)

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A mobile groomer works 9 hours a day; each groom takes 1.5 hours. Routing cuts driving between grooms from 30 to 15 minutes, so grooms rise from 4 to 5 a day. Each groom earns 70 dollars. How much more per day does routing allow?

A. 350 dollars
B. 280 dollars
C. 140 dollars
D. 70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F1-Q3
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.SVC.02 (local)

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Two no-shows a week at 70 dollars each cost how much over 4 weeks?

A. 140 dollars
B. 280 dollars
C. 560 dollars
D. 70 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F1-Q4
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.SVC.02 (local)

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Which policy helps reduce no-shows?

A. Reminder messages and a deposit for bookings
B. Booking clients across the whole state each day
C. Removing the cancellation policy
D. No reminders at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F1-Q5
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.SVC.02 (local)

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An owner books 6 appointments in a day that fits 4 with travel. What is the likely result?

A. Everything goes perfectly on time
B. More free time
C. Late arrivals and rushed work
D. Lower costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F2-Q1
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.SVC.02 (local)

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Clients across town request the same day. What helps?

A. Refuse all far clients forever
B. Drive back and forth across town all day
C. Assign days to areas so routes stay short
D. Charge nothing for travel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F2-Q2
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.SVC.02 (local)

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A 10-hour day fits 5 appointments at 2 hours each with no buffer. Adding a 20-minute buffer to each, how many fit?

A. 4
B. 5
C. 6
D. 3

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F2-Q3
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.SVC.02 (local)

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Fewer appointments with buffers earn less per day. What can offset that?

A. Nothing, because buffers are always wasted time
B. Fewer delays, happier clients and fewer cancellations
C. Lower prices
D. Skipping lunch daily

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F2-Q4
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.SVC.02 (local)

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Which statement is accurate?

A. More bookings always mean more income, even if overbooked.
B. Buffers are never useful.
C. Travel time does not affect capacity.
D. Capacity depends on length, travel and buffers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S137-F2-Q5
Entrepreneurship, Set 137: Appointment capacity and travel time · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.SVC.02 (local)

Set 138: Service scope and deposits

Outcome ENT.SVC.03: Write service scope and deposit terms that prevent disputes

Module: Path: services, freelancing & local businesses

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Service jobs go wrong when SCOPE is vague. Before starting, write what is included (for example "deep clean of kitchen and 2 bathrooms"), what is not ("windows and inside the oven are extra"), how many visits or revisions are included, and what happens with extras. Take a DEPOSIT for bookings or custom work, especially if you buy materials or reserve a date; state whether it is refundable. Confirm changes in writing before doing extra work.

Which scope statement is clearest?

A. "Cleaning, more or less"
B. "Clean the house nicely"
C. "Do whatever needs doing around the whole house"
D. "Deep clean of kitchen and 2 bathrooms; windows extra"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-M-Q1
Entrepreneurship, Set 138: Service scope and deposits · MAIN · Q1/5 · Outcome ENT.SVC.03 (local)

Learn
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Why take a deposit for a reserved date?

A. It is always fully refundable by law in every case
B. It protects the business if the client cancels
C. It is a tip for good service
D. It replaces the final payment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-M-Q2
Entrepreneurship, Set 138: Service scope and deposits · MAIN · Q2/5 · Outcome ENT.SVC.03 (local)

Learn
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What should be stated about a deposit?

A. Nothing at all
B. Only its color
C. Whether it is refundable
D. Only the owner's name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-M-Q3
Entrepreneurship, Set 138: Service scope and deposits · MAIN · Q3/5 · Outcome ENT.SVC.03 (local)

Learn
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A client asks for an extra room during the job. What should happen first?

A. Refuse to discuss it
B. Do it free without mention
C. Confirm the extra and its price in writing
D. Add it to the final bill later as a surprise

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-M-Q4
Entrepreneurship, Set 138: Service scope and deposits · MAIN · Q4/5 · Outcome ENT.SVC.03 (local)

Learn
Service jobs go wrong when SCOPE is vague. Before starting, write what is included (for example "deep clean of kitchen and 2 bathrooms"), what is not ("windows and inside the oven are extra"), how many visits or revisions are included, and what happens with extras. Take a DEPOSIT for bookings or custom work, especially if you buy materials or reserve a date; state whether it is refundable. Confirm changes in writing before doing extra work.

How many revisions does a scope usually need to state?

A. Unlimited revisions, always, for any price
B. How many are included in the price
C. It never matters
D. None are ever allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-M-Q5
Entrepreneurship, Set 138: Service scope and deposits · MAIN · Q5/5 · Outcome ENT.SVC.03 (local)

Learn
A salon menu might say "Cut and style, 45 dollars; coloring extra; one free touch-up within 7 days." You know what you get and what costs more. If the stylist added coloring without asking and charged you, you would be upset. A service scope is the menu for one job: included work, extras, limits, and agreement before anything extra is done.

"Coloring extra" is like what in a scope?

A. A tip
B. An item already included in the price
C. A tax
D. An excluded item that costs more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-B1-Q1
Entrepreneurship, Set 138: Service scope and deposits · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.SVC.03 (local)

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"One free touch-up within 7 days" is like what?

A. A discount code
B. A cancellation fee for no-shows
C. A stated limit on included revisions
D. Unlimited free work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-B1-Q2
Entrepreneurship, Set 138: Service scope and deposits · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.SVC.03 (local)

Learn
A salon menu might say "Cut and style, 45 dollars; coloring extra; one free touch-up within 7 days." You know what you get and what costs more. If the stylist added coloring without asking and charged you, you would be upset. A service scope is the menu for one job: included work, extras, limits, and agreement before anything extra is done.

Adding coloring without asking is like what?

A. A deposit
B. A refund
C. A normal service that is included
D. Doing extra work without agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-B1-Q3
Entrepreneurship, Set 138: Service scope and deposits · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.SVC.03 (local)

Learn
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Why do you know what you get?

A. Prices are hidden
B. The menu lists it clearly
C. You read minds
D. The salon guesses what you want

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-B1-Q4
Entrepreneurship, Set 138: Service scope and deposits · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.SVC.03 (local)

Learn
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A service scope is like what for one job?

A. The mirror
B. The chair
C. The menu
D. The parking lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-B1-Q5
Entrepreneurship, Set 138: Service scope and deposits · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.SVC.03 (local)

Learn
Service jobs go wrong when SCOPE is vague. Before starting, write what is included (for example "deep clean of kitchen and 2 bathrooms"), what is not ("windows and inside the oven are extra"), how many visits or revisions are included, and what happens with extras. Take a DEPOSIT for bookings or custom work, especially if you buy materials or reserve a date; state whether it is refundable. Confirm changes in writing before doing extra work.

A photographer books a 4-hour wedding for 1,600 dollars with a 25 percent nonrefundable deposit. What is the deposit?

A. 400 dollars
B. 1,600 dollars
C. 1,200 dollars
D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F1-Q1
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.SVC.03 (local)

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Extra hours cost 300 dollars each. The client asks for 1.5 extra hours. What is the extra charge?

A. 600 dollars
B. 300 dollars
C. 301.5 dollars
D. 450 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F1-Q2
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.SVC.03 (local)

Learn
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Which scope line prevents a common dispute?

A. "Photos as needed"
B. "Some pictures, we will see"
C. "Includes 200 edited photos delivered within 3 weeks"
D. "Includes lots of photos, delivered eventually"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F1-Q3
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.SVC.03 (local)

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The client cancels 2 months before. The deposit is nonrefundable as agreed. What should happen?

A. Charge the full 1,600 dollars
B. Ignore the client
C. Keep the deposit as the signed terms say
D. Refund it secretly and also charge more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F1-Q4
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.SVC.03 (local)

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A cleaner's scope says "kitchen and 2 bathrooms." The client asks for the garage. What should she do?

A. Offer the garage as a priced extra
B. Clean it and surprise-bill double
C. Clean it free and say nothing
D. Refuse to speak about it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F1-Q5
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.SVC.03 (local)

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A client insists windows were included, but the written scope says they were extra. What helps resolve it?

A. Doing the windows free to avoid talking
B. Arguing loudly on social media
C. Pointing calmly to the written scope
D. Refusing to finish the job

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F2-Q1
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.SVC.03 (local)

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A deposit was taken but the scope never said whether it was refundable. What problem arises?

A. The job is free
B. No problem; deposits are always kept
C. The deposit doubles
D. A dispute about returning it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F2-Q2
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.SVC.03 (local)

Learn
Service jobs go wrong when SCOPE is vague. Before starting, write what is included (for example "deep clean of kitchen and 2 bathrooms"), what is not ("windows and inside the oven are extra"), how many visits or revisions are included, and what happens with extras. Take a DEPOSIT for bookings or custom work, especially if you buy materials or reserve a date; state whether it is refundable. Confirm changes in writing before doing extra work.

Materials of 220 dollars must be bought before a job. The deposit is 150 dollars. How much must the owner front?

A. 70 dollars
B. 370 dollars
C. 220 dollars
D. 150 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F2-Q3
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.SVC.03 (local)

Learn
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A client adds small extras every visit. What is a fair approach?

A. Refuse all requests
B. Track extras and agree on how they are priced
C. Ignore all extras forever
D. Raise all prices later without explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F2-Q4
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.SVC.03 (local)

Learn
Service jobs go wrong when SCOPE is vague. Before starting, write what is included (for example "deep clean of kitchen and 2 bathrooms"), what is not ("windows and inside the oven are extra"), how many visits or revisions are included, and what happens with extras. Take a DEPOSIT for bookings or custom work, especially if you buy materials or reserve a date; state whether it is refundable. Confirm changes in writing before doing extra work.

Which statement is accurate?

A. Deposits never need terms.
B. A vague scope protects the business from disputes.
C. Clear scope and deposit terms prevent many disputes.
D. Extras should always be free.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S138-F2-Q5
Entrepreneurship, Set 138: Service scope and deposits · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.SVC.03 (local)

Set 139: Repeat clients and scheduling them

Outcome ENT.SVC.04: Plan for repeat clients and recurring appointments

Module: Path: services, freelancing & local businesses

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Many service businesses grow through REPEAT CLIENTS: weekly cleaning, monthly lawn care, regular tutoring. Recurring clients make income more predictable and reduce marketing effort. Offer a simple recurring schedule, book the next visit before leaving, send reminders, and keep notes on each client's preferences. Plan capacity so regulars get reliable slots, and decide how far ahead to book and how to handle holidays.

Why are recurring clients valuable?

A. They never need any reminders or attention at all
B. They pay twice as much automatically
C. They replace the need for quality
D. Income is steadier and less marketing is needed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-M-Q1
Entrepreneurship, Set 139: Repeat clients and scheduling them · MAIN · Q1/5 · Outcome ENT.SVC.04 (local)

Learn
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Which habit helps keep regulars?

A. Changing their time every week randomly
B. Forgetting their preferences
C. Waiting for clients to remember to call
D. Booking the next visit before leaving

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-M-Q2
Entrepreneurship, Set 139: Repeat clients and scheduling them · MAIN · Q2/5 · Outcome ENT.SVC.04 (local)

Learn
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A cleaner has 12 weekly clients at 90 dollars. What is weekly recurring revenue?

A. 90 dollars
B. 1,080 dollars
C. 102 dollars
D. 7.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-M-Q3
Entrepreneurship, Set 139: Repeat clients and scheduling them · MAIN · Q3/5 · Outcome ENT.SVC.04 (local)

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Why keep notes on each client?

A. To raise prices secretly
B. To share them publicly
C. To remember preferences and serve them well
D. Because client notes are required by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-M-Q4
Entrepreneurship, Set 139: Repeat clients and scheduling them · MAIN · Q4/5 · Outcome ENT.SVC.04 (local)

Learn
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What should be decided about holidays?

A. Cancel all clients for the month
B. How regular visits move when a holiday falls on them
C. Only the owner's vacation photos
D. Nothing, because holidays never affect service schedules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-M-Q5
Entrepreneurship, Set 139: Repeat clients and scheduling them · MAIN · Q5/5 · Outcome ENT.SVC.04 (local)

Learn
A newspaper carrier delivers to the same houses on the same days. Because the route is regular, the carrier knows the income, plans the time, and only needs new customers when someone moves away. A service business with recurring clients works like a route: predictable, efficient, and built on reliability. Keeping the route is easier than building a new one.

Why does the carrier know the income?

A. Nobody pays
B. Income changes randomly each week
C. Papers are free
D. The same houses are served regularly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-B1-Q1
Entrepreneurship, Set 139: Repeat clients and scheduling them · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.SVC.04 (local)

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When does the carrier need new customers?

A. Never
B. Every single day, nonstop
C. When someone moves away
D. Only in summer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-B1-Q2
Entrepreneurship, Set 139: Repeat clients and scheduling them · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.SVC.04 (local)

Learn
A newspaper carrier delivers to the same houses on the same days. Because the route is regular, the carrier knows the income, plans the time, and only needs new customers when someone moves away. A service business with recurring clients works like a route: predictable, efficient, and built on reliability. Keeping the route is easier than building a new one.

A route is like what for a service business?

A. A one-time job for a stranger
B. A set of recurring clients
C. A single ad
D. A tax form

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-B1-Q3
Entrepreneurship, Set 139: Repeat clients and scheduling them · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.SVC.04 (local)

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What makes the route work?

A. Late papers
B. Changing days randomly
C. Skipping houses
D. Reliability

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-B1-Q4
Entrepreneurship, Set 139: Repeat clients and scheduling them · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.SVC.04 (local)

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Why is the route efficient?

A. It is random
B. It changes daily without a plan
C. It has no plan
D. The carrier can plan time and travel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-B1-Q5
Entrepreneurship, Set 139: Repeat clients and scheduling them · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.SVC.04 (local)

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A lawn service has 20 monthly clients at 60 dollars and adds 5 more. What is the new monthly recurring revenue?

A. 1,200 dollars
B. 85 dollars
C. 1,500 dollars
D. 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F1-Q1
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.SVC.04 (local)

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A tutor books the next session before each lesson ends. What is the main benefit?

A. Fewer gaps and more predictable income
B. Clients never cancel
C. Lessons become free
D. No need for any reminders ever again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F1-Q2
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.SVC.04 (local)

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Weekly clients: 15 at 80 dollars. Two leave and three join. What is the new weekly revenue?

A. 1,040 dollars
B. 1,200 dollars
C. 1,280 dollars
D. 1,360 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F1-Q3
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.SVC.04 (local)

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A regular prefers no strong cleaning scents. Where should this be kept?

A. In the client's notes
B. Nowhere; memory is enough
C. On public social media
D. In a random notebook

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F1-Q4
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.SVC.04 (local)

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Regulars fill 30 of 35 weekly slots. How many slots remain for new clients?

A. 30
B. 5
C. 35
D. 65

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F1-Q5
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.SVC.04 (local)

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One client is 40 percent of all revenue. What is the risk?

A. Revenue doubles
B. No risk, because big clients never leave
C. Taxes vanish
D. Losing that client would cut income sharply

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F2-Q1
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.SVC.04 (local)

Learn
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A holiday falls on Thursday, a regular's day. What is a good approach?

A. Skip without telling them
B. Offer a nearby day in advance
C. Charge double for the week
D. Cancel them permanently

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F2-Q2
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.SVC.04 (local)

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Regulars fill every slot and new inquiries keep coming. What could the owner consider?

A. Lowering prices
B. Turning away all the regular clients
C. A waitlist, a price increase or adding help
D. Overbooking regular slots

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F2-Q3
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.SVC.04 (local)

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Monthly churn of regulars is 5 percent of 40 clients. About how many leave each month?

A. 2
B. 20
C. 5
D. 8

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F2-Q4
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.SVC.04 (local)

Learn
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Which statement is accurate?

A. One big client is always safest.
B. Recurring clients help, but avoid depending on one.
C. Scheduling does not matter for regular clients at all.
D. Recurring clients never leave.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S139-F2-Q5
Entrepreneurship, Set 139: Repeat clients and scheduling them · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.SVC.04 (local)

Set 140: Founder case: Airbnb starts with its founders' own apartment

Outcome ENT.CASE.10: Apply a documented early test (serving a few real guests during a known demand spike) to a new service

Module: Path: services, freelancing & local businesses

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Wharton/Knowledge at Wharton): In 2007 Brian Chesky and Joe Gebbia rented air mattresses in their San Francisco apartment to people attending a design conference when hotels were booked. The idea was first called AirBed & Breakfast, and Nathan Blecharczyk joined as a cofounder to build the website. Lesson drawn by this course (an interpretation): test a service idea first with resources you already have, during a moment of clear demand, before investing heavily. One success story does not guarantee the same result for another business.

According to the passage, what did the founders first rent out?

A. Air mattresses in their own apartment
B. Office space downtown
C. Cars to conference visitors
D. A chain of hotels they had bought

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-M-Q1
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · MAIN · Q1/5 · Outcome ENT.CASE.10 (local)

Learn
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Why was there demand at that moment?

A. Hotels were booked during a design conference
B. They advertised heavily on national television
C. Rent was free that week
D. A law required it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-M-Q2
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · MAIN · Q2/5 · Outcome ENT.CASE.10 (local)

Learn
Documented history (Wharton/Knowledge at Wharton): In 2007 Brian Chesky and Joe Gebbia rented air mattresses in their San Francisco apartment to people attending a design conference when hotels were booked. The idea was first called AirBed & Breakfast, and Nathan Blecharczyk joined as a cofounder to build the website. Lesson drawn by this course (an interpretation): test a service idea first with resources you already have, during a moment of clear demand, before investing heavily. One success story does not guarantee the same result for another business.

What was the idea first called?

A. RoomNow
B. AirBed & Breakfast
C. HotelShare Rooms
D. CouchCity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-M-Q3
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · MAIN · Q3/5 · Outcome ENT.CASE.10 (local)

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Which lesson does this course draw?

A. Test with what you have during clear demand
B. Avoid moments of high demand
C. Never use your own space
D. Buy many properties first, before running any test

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-M-Q4
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · MAIN · Q4/5 · Outcome ENT.CASE.10 (local)

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Documented history (Wharton/Knowledge at Wharton): In 2007 Brian Chesky and Joe Gebbia rented air mattresses in their San Francisco apartment to people attending a design conference when hotels were booked. The idea was first called AirBed & Breakfast, and Nathan Blecharczyk joined as a cofounder to build the website. Lesson drawn by this course (an interpretation): test a service idea first with resources you already have, during a moment of clear demand, before investing heavily. One success story does not guarantee the same result for another business.

Which statement about the Airbnb case is accurate?

A. It shows conferences always create businesses.
B. It proves every rental idea will grow into a huge company.
C. It shows one test, not proof that every rental idea will work.
D. It shows websites are unnecessary.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-M-Q5
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · MAIN · Q5/5 · Outcome ENT.CASE.10 (local)

Learn
If you notice a sudden rainstorm outside a busy station, you might sell a few spare umbrellas you already own. You test demand without buying a shop. The documented Airbnb facts are the conference, the air mattresses and the original name. Comparing it to umbrellas in the rain is this course's explanation of why the timing and low cost mattered.

Selling spare umbrellas you own is like what?

A. Testing with resources you already have
B. Waiting for sunshine
C. Buying a whole umbrella factory first
D. Ignoring demand

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-B1-Q1
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.10 (local)

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The rainstorm is like what in the case?

A. A tax deadline
B. A slow season with no visitors
C. The booked-up conference week
D. A holiday sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-B1-Q2
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.10 (local)

Learn
If you notice a sudden rainstorm outside a busy station, you might sell a few spare umbrellas you already own. You test demand without buying a shop. The documented Airbnb facts are the conference, the air mattresses and the original name. Comparing it to umbrellas in the rain is this course's explanation of why the timing and low cost mattered.

"They rented air mattresses in 2007" is which kind of statement?

A. Documented fact
B. A guarantee
C. Course explanation
D. A rumor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-B1-Q3
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.10 (local)

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The umbrella comparison is which kind?

A. The course's explanation
B. A law
C. A documented fact from records
D. A contract

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-B1-Q4
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.10 (local)

Learn
If you notice a sudden rainstorm outside a busy station, you might sell a few spare umbrellas you already own. You test demand without buying a shop. The documented Airbnb facts are the conference, the air mattresses and the original name. Comparing it to umbrellas in the rain is this course's explanation of why the timing and low cost mattered.

Why test without buying a shop?

A. Shops are illegal
B. To learn about demand cheaply
C. Umbrellas are free to everyone
D. Rain never stops

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-B1-Q5
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.10 (local)

Learn
Documented history (Wharton/Knowledge at Wharton): In 2007 Brian Chesky and Joe Gebbia rented air mattresses in their San Francisco apartment to people attending a design conference when hotels were booked. The idea was first called AirBed & Breakfast, and Nathan Blecharczyk joined as a cofounder to build the website. Lesson drawn by this course (an interpretation): test a service idea first with resources you already have, during a moment of clear demand, before investing heavily. One success story does not guarantee the same result for another business.

A town hosts a large marathon and hotels fill up. Ana has a spare room. Applying the lesson, what fits?

A. Ignore the event
B. Buy three apartments before the race weekend
C. Wait for next year without testing
D. Offer the room to visitors that weekend as a test

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F1-Q1
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.10 (local)

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She charges 80 dollars a night for 3 nights and spends 30 dollars on cleaning supplies. What is her profit?

A. 210 dollars
B. 240 dollars
C. 30 dollars
D. 110 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F1-Q2
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.10 (local)

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Before renting, what should Ana check?

A. Nothing, because short rentals are always allowed
B. Local rules, her lease or HOA, and insurance
C. Only competitors' photos
D. Only the room's paint color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F1-Q3
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.10 (local)

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A dog owner sees many neighbors asking for pet sitting during a holiday week. Which test fits the lesson?

A. Do nothing
B. Advertise nationally
C. Pet-sit a few pets that week from home
D. Lease a large kennel building first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F1-Q4
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.10 (local)

Learn
Documented history (Wharton/Knowledge at Wharton): In 2007 Brian Chesky and Joe Gebbia rented air mattresses in their San Francisco apartment to people attending a design conference when hotels were booked. The idea was first called AirBed & Breakfast, and Nathan Blecharczyk joined as a cofounder to build the website. Lesson drawn by this course (an interpretation): test a service idea first with resources you already have, during a moment of clear demand, before investing heavily. One success story does not guarantee the same result for another business.

Which detail from the case is documented?

A. Testing small always works
B. Every founder should rent out air mattresses
C. Conferences guarantee success
D. The idea was first called AirBed & Breakfast

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F1-Q5
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.10 (local)

Learn
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Ana's room was full for the marathon weekend but empty for the next 6 weeks. What should she conclude?

A. She should buy more property today
B. Rentals never work
C. One busy weekend does not prove steady demand
D. Demand is now guaranteed every week of the year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F2-Q1
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.10 (local)

Learn
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Someone says, "Airbnb used air mattresses, so I should too." What is wrong?

A. The lesson is a cheap test, not the mattress
B. Nothing, because air mattresses are the secret
C. Mattresses are illegal
D. Airbnb never used mattresses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F2-Q2
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.10 (local)

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A guest damages property worth 150 dollars. What would have reduced the risk?

A. Hiding the room's condition from guests
B. Charging nothing
C. No rules at all
D. A deposit, clear rules and checking insurance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F2-Q3
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.10 (local)

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Over 10 weekends, the room is booked 3. What is the occupancy rate?

A. 30 percent
B. 70 percent
C. 3 percent
D. 10 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F2-Q4
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.10 (local)

Learn
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Which statement is accurate?

A. One busy event proves a business will work.
B. Testing is unnecessary.
C. Test cheaply, then confirm demand over time.
D. Every rental succeeds.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S140-F2-Q5
Entrepreneurship, Set 140: Founder case: Airbnb starts with its founders' own apartment · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.10 (local)

Set 141: Suppliers, samples and reliability

Outcome ENT.PROD.01: Compare suppliers by samples, terms and reliability, not price alone

Module: Path: physical products & e-commerce

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A product business depends on SUPPLIERS. Before a big order, request SAMPLES to check quality, compare at least two or three suppliers, and ask about minimum order quantity, price breaks, lead time, defect policy and payment terms. Start with a small order to test RELIABILITY: did it arrive on time, as described, with few defects? Keep a backup supplier for key items. The cheapest supplier is not always the best value if quality or delivery is poor.

Why request samples before a big order?

A. To avoid paying for anything
B. To check quality before committing
C. To get free products forever
D. Because samples replace contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-M-Q1
Entrepreneurship, Set 141: Suppliers, samples and reliability · MAIN · Q1/5 · Outcome ENT.PROD.01 (local)

Learn
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What should be asked about a supplier's defects?

A. Nothing; defects never happen
B. Their favorite color
C. Their office decor
D. Their policy for defective items

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-M-Q2
Entrepreneurship, Set 141: Suppliers, samples and reliability · MAIN · Q2/5 · Outcome ENT.PROD.01 (local)

Learn
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Why start with a small order?

A. To test reliability before larger commitments
B. To confuse the supplier
C. Large orders are illegal at first
D. Small orders are always cheaper per item

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-M-Q3
Entrepreneurship, Set 141: Suppliers, samples and reliability · MAIN · Q3/5 · Outcome ENT.PROD.01 (local)

Learn
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Why keep a backup supplier?

A. So a key item can still be sourced if the main one fails
B. To avoid all contracts
C. Because having one supplier is illegal for shops
D. To pay twice for everything

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-M-Q4
Entrepreneurship, Set 141: Suppliers, samples and reliability · MAIN · Q4/5 · Outcome ENT.PROD.01 (local)

Learn
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Supplier A sells at 4.00 with 10 percent defects; B at 4.30 with 1 percent defects. Which is cheaper per good item?

A. B, about 4.34
B. They are equal
C. A, about 4.44
D. A, at 4.00 exactly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-M-Q5
Entrepreneurship, Set 141: Suppliers, samples and reliability · MAIN · Q5/5 · Outcome ENT.PROD.01 (local)

Learn
If some items arrive defective, the real cost of each usable item is higher. Cost per good item = price per item / share that is good. Example: 5 dollars each with 20 percent defective means 80 percent good: 5 / 0.80 = 6.25 dollars per good item. Compare suppliers using this number, not just the listed price. The lowest sticker price can hide the highest real cost.

10 percent defective means what share is good?

A. 100 percent
B. 10 percent
C. 90 percent
D. 80 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-B1-Q1
Entrepreneurship, Set 141: Suppliers, samples and reliability · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PROD.01 (local)

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6 dollars each, 75 percent good. What is the cost per good item?

A. 7.50 dollars
B. 8 dollars
C. 4.50 dollars
D. 6 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-B1-Q2
Entrepreneurship, Set 141: Suppliers, samples and reliability · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PROD.01 (local)

Learn
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5 dollars each, 80 percent good. What is the cost per good item?

A. 6.25 dollars
B. 5.00 dollars
C. 4.00 dollars
D. 5.80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-B1-Q3
Entrepreneurship, Set 141: Suppliers, samples and reliability · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PROD.01 (local)

Learn
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Why divide by the good share?

A. To make prices look lower
B. Only good items can be sold, so they carry the cost
C. It is a tax rule
D. Because defective items are free to replace

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-B1-Q4
Entrepreneurship, Set 141: Suppliers, samples and reliability · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PROD.01 (local)

Learn

If some items arrive defective, the real cost of each usable item is higher. Cost per good item = price per item / share that is good. Example: 5 dollars each with 20 percent defective means 80 percent good: 5 / 0.80 = 6.25 dollars per good item. Compare suppliers using this number, not just the listed price. The lowest sticker price can hide the highest real cost.

Which is cheaper per good item: 3.00 at 60 percent good or 4.00 at 100 percent good?

A. Cannot tell

B. They are equal

C. 3.00 at 60 percent good

D. 4.00 at 100 percent good

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-B1-Q5

Entrepreneurship, Set 141: Suppliers, samples and reliability · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PROD.01 (local)

Learn
A product business depends on SUPPLIERS. Before a big order, request SAMPLES to check quality, compare at least two or three suppliers, and ask about minimum order quantity, price breaks, lead time, defect policy and payment terms. Start with a small order to test RELIABILITY: did it arrive on time, as described, with few defects? Keep a backup supplier for key items. The cheapest supplier is not always the best value if quality or delivery is poor.

A candle maker gets samples from three jar suppliers. One sample cracked in shipping. What should she do?

A. Ignore the crack
B. Order 5,000 jars immediately to get the lowest price
C. Ask about packaging and test a small order first
D. Choose based only on price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F1-Q1
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PROD.01 (local)

Learn
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Minimum order is 500 jars at 1.20 dollars. What is the minimum spend?

A. 600 dollars
B. 500 dollars
C. 120 dollars
D. 1.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F1-Q2
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PROD.01 (local)

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A small first order of 50 arrives 10 days late and 6 are cracked. What fraction is defective?

A. 12 percent
B. 10 percent
C. 50 percent
D. 6 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F1-Q3
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PROD.01 (local)

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Which question matters most before relying on a supplier for a holiday rush?

A. What music do you play in your office?
B. Do you like my logo?
C. Can you deliver this quantity by this date?
D. How old is your website?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F1-Q4
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PROD.01 (local)

Learn
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A key supplier is reliable but the only source. What is the next step?

A. Do nothing; it will always be fine
B. Find and test a backup supplier
C. Cancel the reliable supplier
D. Stockpile a year of inventory regardless of cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F1-Q5
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PROD.01 (local)

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A supplier's quality drops after 6 months. What should the owner do first?

A. Hide defects from customers
B. Say nothing and keep selling defects
C. Cancel all orders instantly without talking
D. Document the issue and raise it with the supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F2-Q1
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PROD.01 (local)

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A supplier raises prices 15 percent from 8 dollars. What is the new price?

A. 9.20 dollars
B. 8.15 dollars
C. 1.20 dollars
D. 23 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F2-Q2
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PROD.01 (local)

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The cheapest supplier is often late, causing refunds. What is the real issue?

A. Refunds are free
B. Low price can cost more through late orders
C. Customers never notice delays
D. There is no issue, because cheapest is always best

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F2-Q3
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PROD.01 (local)

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A sample was excellent, but production items differ. What lesson applies?

A. Samples always match the production items exactly
B. Never order samples
C. Quality never changes
D. Check production quality, not just samples

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F2-Q4
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PROD.01 (local)

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Which statement is accurate?

A. Judge suppliers on quality, reliability and total cost.
B. One supplier is always enough.
C. The lowest listed price is always the best value overall.
D. Samples guarantee every future order.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S141-F2-Q5
Entrepreneurship, Set 141: Suppliers, samples and reliability · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PROD.01 (local)

Set 142: Packaging and damage

Outcome ENT.PROD.02: Choose packaging that protects items, and price in damage

Module: Path: physical products & e-commerce

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

What does packaging do besides protect the item?

A. Removes shipping costs
B. Shapes the customer's first impression
C. Replaces the product description
D. Lowers all taxes owed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-M-Q1
Entrepreneurship, Set 142: Packaging and damage · MAIN · Q1/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

Which is a good packaging test?

A. Shake the empty box
B. Ask a box supplier's opinion and nothing else
C. Never test; just ship
D. Ship a few packed items to yourself or a friend

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-M-Q2
Entrepreneurship, Set 142: Packaging and damage · MAIN · Q2/5 · Outcome ENT.PROD.02 (local)

Learn
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What is damage rate?

A. The cost of one box
B. The shipping speed
C. Damaged orders divided by total orders
D. Total orders minus refunds given

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-M-Q3
Entrepreneurship, Set 142: Packaging and damage · MAIN · Q3/5 · Outcome ENT.PROD.02 (local)

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8 of 400 orders arrive damaged. What is the damage rate?

A. 0.2 percent
B. 2 percent
C. 8 percent
D. 50 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-M-Q4
Entrepreneurship, Set 142: Packaging and damage · MAIN · Q4/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

Which costs belong in packaging cost per item?

A. Only the owner's time on social media
B. Only the product
C. Box, filler, tape and labels
D. Only the box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-M-Q5
Entrepreneurship, Set 142: Packaging and damage · MAIN · Q5/5 · Outcome ENT.PROD.02 (local)

Learn
Damage rate = damaged orders / total orders. Cost of damage = damaged orders x replacement cost. Example: 300 orders with 12 damaged is 12 / 300 = 4 percent; at 18 dollars to replace each, damage costs 12 x 18 = 216 dollars. Compare this with the extra cost of better packaging across all orders. The cheaper total wins, and fewer unhappy customers is a bonus.

15 damaged of 500. What is the damage rate?

A. 3 percent
B. 33 percent
C. 15 percent
D. 0.3 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-B1-Q1
Entrepreneurship, Set 142: Packaging and damage · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PROD.02 (local)

Learn
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15 damaged at 20 dollars each. What is the damage cost?

A. 0.75 dollars
B. 20 dollars
C. 35 dollars
D. 300 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-B1-Q2
Entrepreneurship, Set 142: Packaging and damage · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PROD.02 (local)

Learn
Damage rate = damaged orders / total orders. Cost of damage = damaged orders x replacement cost. Example: 300 orders with 12 damaged is 12 / 300 = 4 percent; at 18 dollars to replace each, damage costs 12 x 18 = 216 dollars. Compare this with the extra cost of better packaging across all orders. The cheaper total wins, and fewer unhappy customers is a bonus.

Better packaging costs 0.50 more on 500 orders. What is the extra cost?

A. 500.50 dollars
B. 1,000 dollars
C. 250 dollars
D. 0.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-B1-Q3
Entrepreneurship, Set 142: Packaging and damage · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PROD.02 (local)

Learn
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If better packaging cuts damage cost from 300 to 40, what is the net saving after 250 extra?

A. 10 dollars
B. 250 dollars
C. 290 dollars
D. 260 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-B1-Q4
Entrepreneurship, Set 142: Packaging and damage · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PROD.02 (local)

Learn
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Which number shows how often damage happens?

A. Number of tape rolls
B. Damage rate
C. Box price
D. Shipping speed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-B1-Q5
Entrepreneurship, Set 142: Packaging and damage · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

A ceramic mug shop has 20 damaged of 400 orders. Replacing each costs 22 dollars. What does damage cost?

A. 20 dollars
B. 22 dollars
C. 8,800 dollars
D. 440 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F1-Q1
Entrepreneurship, Set 142: Packaging and damage · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PROD.02 (local)

Learn
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A mug shop ships 400 orders; replacing a damaged order costs 22 dollars. Double-boxing adds 0.80 dollars per order and cuts damage to 4 orders. What is the new total of packaging extra plus damage?

A. 408 dollars
B. 440 dollars
C. 88 dollars
D. 320 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F1-Q2
Entrepreneurship, Set 142: Packaging and damage · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

Without double-boxing, damage costs 440 dollars; with it, packaging extra plus damage costs 408 dollars. Is double-boxing worth it on cost alone?

A. No, it costs more
B. Yes, slightly: 408 is less than 440
C. It is exactly equal either way
D. Cannot tell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F1-Q3
Entrepreneurship, Set 142: Packaging and damage · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PROD.02 (local)

Learn
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Besides cost, what else does fewer damaged orders improve?

A. Only the logo
B. Nothing else at all improves
C. Customer experience and reviews
D. Taxes owed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F1-Q4
Entrepreneurship, Set 142: Packaging and damage · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PROD.02 (local)

Learn
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A flat art print arrives bent in a soft envelope. Which change fits?

A. A stiff mailer with a backing board
B. Faster shipping only
C. A bigger soft envelope with tape
D. No packaging

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F1-Q5
Entrepreneurship, Set 142: Packaging and damage · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PROD.02 (local)

Learn
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Customers ask for less plastic. What should the owner check before switching?

A. Nothing, because any paper packaging works fine
B. That new materials still protect items, by testing
C. Only the color of the paper
D. Only competitors' choices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F2-Q1
Entrepreneurship, Set 142: Packaging and damage · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

A carrier crushed boxes several times. Besides packaging, what can help?

A. Never shipping again
B. Ignoring the pattern
C. Blaming customers for all of the damage
D. Filing claims and reviewing carrier options

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F2-Q2
Entrepreneurship, Set 142: Packaging and damage · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PROD.02 (local)

Learn
PACKAGING protects products in shipping and shapes the customer's first impression. Match packaging to the item: fragile items need cushioning and a sturdy box; flat items need stiff mailers. Test by packing a few items and shipping them to yourself or a friend. Include packaging cost (box, filler, tape, labels) in cost per item. Track DAMAGE RATE: damaged orders / total orders. A small increase in packaging cost can be worth it if it cuts expensive replacements.

Packaging is 1.50 per order and the item contributes 6 dollars before packaging. What is contribution after packaging?

A. 6.00 dollars
B. 4.50 dollars
C. 1.50 dollars
D. 7.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F2-Q3
Entrepreneurship, Set 142: Packaging and damage · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PROD.02 (local)

Learn
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Fancy packaging doubles cost but customers do not notice. What should the owner consider?

A. Whether the extra cost adds real value
B. Fancier is always better
C. Packaging cost never matters to profit
D. Remove all packaging

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F2-Q4
Entrepreneurship, Set 142: Packaging and damage · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PROD.02 (local)

Learn
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Which statement is accurate?

A. Testing packaging wastes time.
B. The cheapest packaging is always best.
C. Damage rate does not matter.
D. Good packaging balances protection and cost.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S142-F2-Q5
Entrepreneurship, Set 142: Packaging and damage · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PROD.02 (local)

Set 143: Returns and fulfillment

Outcome ENT.PROD.03: Plan returns, restocking and order fulfillment

Module: Path: physical products & e-commerce

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

What is fulfillment?

A. Only the tax filing after a sale
B. Everything from order to delivery
C. Only the product photo
D. Only the marketing before an order

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-M-Q1
Entrepreneurship, Set 143: Returns and fulfillment · MAIN · Q1/5 · Outcome ENT.PROD.03 (local)

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

What should a returns process state?

A. Nothing; returns are handled case by case, in secret, by the owner
B. Only the owner's phone number
C. Only that returns are possible
D. Request steps, time limit, condition, shipping and refund timing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-M-Q2
Entrepreneurship, Set 143: Returns and fulfillment · MAIN · Q2/5 · Outcome ENT.PROD.03 (local)

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

Why track return reasons?

A. To fix the causes of returns
B. To argue with customers
C. Because reasons never matter
D. To raise prices secretly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-M-Q3
Entrepreneurship, Set 143: Returns and fulfillment · MAIN · Q3/5 · Outcome ENT.PROD.03 (local)

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

What should happen to sellable returned items?

A. Sell them as new without checking
B. Inspect and restock them
C. Throw them all away
D. Keep them forever unopened

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-M-Q4
Entrepreneurship, Set 143: Returns and fulfillment · MAIN · Q4/5 · Outcome ENT.PROD.03 (local)

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

"Ships in 2 business days" is what kind of promise?

A. A delivery guarantee from the carrier
B. A refund policy
C. A discount
D. A processing time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-M-Q5
Entrepreneurship, Set 143: Returns and fulfillment · MAIN · Q5/5 · Outcome ENT.PROD.03 (local)

Learn
A library has a clear checkout process and a clear return process: due dates, condition expectations, and what happens to books that come back damaged. Returned books are checked and put back on shelves. A product business needs the same two desks: one for getting orders out correctly and one for handling what comes back.

The checkout desk is like what?

A. Taxes
B. The return desk
C. Fulfillment
D. Marketing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-B1-Q1
Entrepreneurship, Set 143: Returns and fulfillment · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PROD.03 (local)

Learn
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The return desk is like what?

A. Hiring
B. The returns process
C. Fulfillment of orders
D. Pricing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-B1-Q2
Entrepreneurship, Set 143: Returns and fulfillment · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PROD.03 (local)

Learn
A library has a clear checkout process and a clear return process: due dates, condition expectations, and what happens to books that come back damaged. Returned books are checked and put back on shelves. A product business needs the same two desks: one for getting orders out correctly and one for handling what comes back.

What happens to returned books?

A. They are thrown away at once
B. They are hidden
C. They are sold
D. They are checked and reshelved

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-B1-Q3
Entrepreneurship, Set 143: Returns and fulfillment · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PROD.03 (local)

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Due dates are like what in returns?

A. The return time limit
B. The product photo
C. The price
D. The shipping label

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-B1-Q4
Entrepreneurship, Set 143: Returns and fulfillment · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PROD.03 (local)

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A library has a clear checkout process and a clear return process: due dates, condition expectations, and what happens to books that come back damaged. Returned books are checked and put back on shelves. A product business needs the same two desks: one for getting orders out correctly and one for handling what comes back.

Why have clear rules at both desks?

A. To charge late fines to readers only
B. So everyone knows what to expect
C. To confuse readers
D. Rules are decoration

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-B1-Q5
Entrepreneurship, Set 143: Returns and fulfillment · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PROD.03 (local)

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A shop promises 2-day processing but ships in 5. What should it change?

A. Keep the false promise
B. Remove all shipping information from the site
C. Meet the promise or change it to a realistic time
D. Blame the carrier always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F1-Q1
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PROD.03 (local)

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Of 60 returns, 36 say "too small." What percent cite size?

A. 60 percent
B. 36 percent
C. 40 percent
D. 24 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F1-Q2
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PROD.03 (local)

Learn
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What fix best addresses "too small" returns?

A. Ignoring the reason
B. Removing the return option entirely
C. Charging for every return
D. A clearer size chart with measurements

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F1-Q3
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PROD.03 (local)

Learn
FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

Returned items: 40, of which 30 are sellable at 25 dollars. What value is recovered?

A. 25 dollars
B. 250 dollars
C. 750 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F1-Q4
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PROD.03 (local)

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A customer asks where her order is. What step in fulfillment helps most?

A. Shipping without labels
B. Hiding tracking numbers
C. Sending tracking when the order ships
D. Waiting for her to ask a second time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F1-Q5
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PROD.03 (local)

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Holiday orders triple and processing time slips. What should the shop do?

A. Stop taking orders without notice
B. Update the stated processing time and add help
C. Keep the old promise and simply miss it
D. Ship incomplete orders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F2-Q1
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PROD.03 (local)

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FULFILLMENT is everything from order to delivery: picking the item, packing, labeling, shipping and confirming. Set a clear processing time (for example "ships in 2 business days") and meet it. RETURNS need a clear process: how customers request a return, the time limit, the condition required, who pays return shipping, and how quickly refunds are issued. Inspect returned items, restock what is sellable, and track return reasons to fix causes.

Some customers return items clearly used. What should the policy include?

A. Public shaming
B. A condition requirement such as "unused, with tags"
C. No conditions at all
D. A ban on all returns of any kind, for any reason

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F2-Q2
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PROD.03 (local)

Learn
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Return shipping costs the shop 7 dollars per return on 50 returns. What is the total?

A. 3,500 dollars
B. 7 dollars
C. 57 dollars
D. 350 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F2-Q3
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PROD.03 (local)

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Refunds take 4 weeks and customers complain. What is a better practice?

A. Stop offering refunds secretly
B. Refund promptly after inspection, within a stated time
C. Refund only if customers complain at least twice
D. Take even longer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F2-Q4
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PROD.03 (local)

Learn
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Which statement is accurate?

A. Clear shipping and return rules build trust.
B. Processing time promises can be ignored.
C. Return reasons are not useful.
D. Returned items are always worthless.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S143-F2-Q5
Entrepreneurship, Set 143: Returns and fulfillment · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PROD.03 (local)

Set 144: Choosing selling channels

Outcome ENT.PROD.04: Compare selling channels by fees, control and customers reached

Module: Path: physical products & e-commerce

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

What is wholesale?

A. Selling only at farmers markets
B. Selling one item at full price online to a shopper
C. Selling in bulk at a lower price to stores that resell
D. Giving items away for free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-M-Q1
Entrepreneurship, Set 144: Choosing selling channels · MAIN · Q1/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

What does an online marketplace usually provide?

A. Free sales with no rules
B. Access to buyers, with fees and rules
C. Guaranteed profits
D. Full control of all customer data

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-M-Q2
Entrepreneurship, Set 144: Choosing selling channels · MAIN · Q2/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

What is a tradeoff of your own website?

A. No costs of any kind
B. Visitors arrive automatically, with no work
C. No control at all
D. More control, but you must bring visitors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-M-Q3
Entrepreneurship, Set 144: Choosing selling channels · MAIN · Q3/5 · Outcome ENT.PROD.04 (local)

Learn
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A 40-dollar retail item sells wholesale at about half. What is the wholesale price?

A. 10 dollars
B. 20 dollars
C. 40 dollars
D. 80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-M-Q4
Entrepreneurship, Set 144: Choosing selling channels · MAIN · Q4/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

What should be compared across channels?

A. Only the logo on each channel
B. Only the color scheme
C. Contribution per sale after channel costs
D. Only how popular each channel is with sellers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-M-Q5
Entrepreneurship, Set 144: Choosing selling channels · MAIN · Q5/5 · Outcome ENT.PROD.04 (local)

Learn
For each channel, contribution = price - product cost - channel fees. Fees may be a percent (marketplace commission) or a fixed amount (booth fee per item). Example: price 30, cost 12, marketplace fee 15 percent (4.50): 30 - 12 - 4.50 = 13.50. Wholesale at 15 with cost 12: 3 dollars per unit but many units at once. Multiply by units to compare totals.

15 percent of 30 is what?

A. 4.50
B. 15
C. 34.50
D. 0.45

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-B1-Q1
Entrepreneurship, Set 144: Choosing selling channels · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.PROD.04 (local)

Learn
For each channel, contribution = price - product cost - channel fees. Fees may be a percent (marketplace commission) or a fixed amount (booth fee per item). Example: price 30, cost 12, marketplace fee 15 percent (4.50): 30 - 12 - 4.50 = 13.50. Wholesale at 15 with cost 12: 3 dollars per unit but many units at once. Multiply by units to compare totals.

Price 30, cost 12, fee 4.50. What is the contribution?

A. 18.00
B. 4.50
C. 25.50
D. 13.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-B1-Q2
Entrepreneurship, Set 144: Choosing selling channels · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.PROD.04 (local)

Learn
For each channel, contribution = price - product cost - channel fees. Fees may be a percent (marketplace commission) or a fixed amount (booth fee per item). Example: price 30, cost 12, marketplace fee 15 percent (4.50): 30 - 12 - 4.50 = 13.50. Wholesale at 15 with cost 12: 3 dollars per unit but many units at once. Multiply by units to compare totals.

Wholesale price 15, cost 12. What is the contribution per unit?

A. 12
B. 3
C. 15
D. 27

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-B1-Q3
Entrepreneurship, Set 144: Choosing selling channels · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.PROD.04 (local)

Learn
For each channel, contribution = price - product cost - channel fees. Fees may be a percent (marketplace commission) or a fixed amount (booth fee per item). Example: price 30, cost 12, marketplace fee 15 percent (4.50): 30 - 12 - 4.50 = 13.50. Wholesale at 15 with cost 12: 3 dollars per unit but many units at once. Multiply by units to compare totals.

200 wholesale units at 3 dollars contribution. What is the total?

A. 66.67
B. 203
C. 3
D. 600

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-B1-Q4
Entrepreneurship, Set 144: Choosing selling channels · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.PROD.04 (local)

Learn
For each channel, contribution = price - product cost - channel fees. Fees may be a percent (marketplace commission) or a fixed amount (booth fee per item). Example: price 30, cost 12, marketplace fee 15 percent (4.50): 30 - 12 - 4.50 = 13.50. Wholesale at 15 with cost 12: 3 dollars per unit but many units at once. Multiply by units to compare totals.

Price 25, cost 10, fee 20 percent. What is the contribution?

A. 10
B. 20
C. 5
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-B1-Q5
Entrepreneurship, Set 144: Choosing selling channels · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A soap costs 3 dollars to make. Own site: price 10, fees 0.60. Marketplace: price 10, fees 1.80. What is the own-site contribution?

A. 5.20 dollars
B. 10.00 dollars
C. 6.40 dollars
D. 7.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F1-Q1
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A soap costs 3 dollars and sells for 10 dollars. Fees are 0.60 dollars on the own site and 1.80 dollars on the marketplace. The own site sells 40 a month; the marketplace sells 150. Which brings more total contribution?

A. The own site, at 400 dollars
B. They are equal
C. The own site, at 256 dollars
D. The marketplace, at 780 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F1-Q2
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A soap costs 3 dollars to make. A shop wants 300 soaps wholesale at 5 dollars each. What is the total contribution?

A. 600 dollars
B. 1,500 dollars
C. 2,100 dollars
D. 900 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F1-Q3
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

Which is a risk of relying only on one marketplace?

A. A rule or fee change can hurt sales suddenly
B. Fees always fall
C. No risk, because marketplaces never change rules
D. Sales are guaranteed forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F1-Q4
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A craft fair booth costs 80 dollars and she expects 40 sales at 7 dollars contribution each. What is the net?

A. 360 dollars
B. 200 dollars
C. 80 dollars
D. 280 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F1-Q5
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A store buying wholesale asks the maker not to sell cheaper online. What should she consider?

A. Raising wholesale prices secretly
B. Undercutting the store online anyway
C. Keeping prices consistent across channels
D. Ignoring the request

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F2-Q1
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

A large wholesale order would use all production for a month. What should she check?

A. Only the store's decor
B. Whether she can still serve her other channels
C. Only the logo
D. Nothing, because bigger orders are always better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F2-Q2
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

Marketplace fees rise from 12 to 18 percent on a 20-dollar item. How much more per sale in fees?

A. 3.60 dollars
B. 6.00 dollars
C. 2.40 dollars
D. 1.20 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F2-Q3
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

Consignment means the shop pays only when items sell. What is the main risk?

A. The shop pays twice
B. Consigned items always sell instantly
C. No risk at all
D. Unsold items tie up stock and cash

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F2-Q4
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PROD.04 (local)

Learn
A product can be sold through different CHANNELS: your own website, an online marketplace, local markets and fairs, wholesale to shops, or consignment. Each has different fees, reach and control. A marketplace may bring buyers but charges fees and sets rules; your own site gives control but you must bring the visitors; WHOLESALE sells in bulk at a lower price (often around half of retail) to stores that resell. Compare contribution per sale after channel costs.

Which statement is accurate?

A. One channel is always enough.
B. All channels earn the same per sale.
C. Channels differ in fees, reach and control, so compare them.
D. Wholesale buyers always pay the full retail price.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S144-F2-Q5
Entrepreneurship, Set 144: Choosing selling channels · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PROD.04 (local)

Set 145: Shipping costs and return addresses

Outcome ENT.PROD.05: Include shipping costs and a reliable return address in an online product plan

Module: Path: physical products & e-commerce

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

What can make a large, light box cost more to ship?

A. Having a logo on the box
B. Dimensional weight pricing
C. Shipping on a Monday
D. Using a darker color tape

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-M-Q1
Entrepreneurship, Set 145: Shipping costs and return addresses · MAIN · Q1/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

What is "free shipping built into prices"?

A. Raising product prices to cover shipping
B. The carrier ships for free
C. Shipping is removed from the business's costs
D. Customers pay twice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-M-Q2
Entrepreneurship, Set 145: Shipping costs and return addresses · MAIN · Q2/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Free shipping over 50 dollars. An order is 42 dollars. How much more to qualify?

A. 92 dollars
B. 50 dollars
C. 42 dollars
D. 8 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-M-Q3
Entrepreneurship, Set 145: Shipping costs and return addresses · MAIN · Q3/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Can a PO Box be used as a return address?

A. Only for international mail
B. No, never, under any carrier's rules
C. Only for large boxes
D. Yes, it can work as a return address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-M-Q4
Entrepreneurship, Set 145: Shipping costs and return addresses · MAIN · Q4/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Why weigh and measure packed items?

A. To decorate the box
B. Because carriers require photos
C. To estimate shipping cost accurately
D. To avoid any packaging

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-M-Q5
Entrepreneurship, Set 145: Shipping costs and return addresses · MAIN · Q5/5 · Outcome ENT.PROD.05 (local)

Learn
A pillow is light but big; a book is small but heavy. Carriers care about both, so a big pillow box can cost more than you expect. Choosing the smallest box that protects the item can lower cost. And the return address is like the "return to sender" note: it should go somewhere you reliably check.

Why can the pillow box cost a lot?

A. Pillows are heavy
B. It is big even though it is light
C. It has no address
D. Pillows are illegal to mail in boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-B1-Q1
Entrepreneurship, Set 145: Shipping costs and return addresses · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.PROD.05 (local)

Learn
A pillow is light but big; a book is small but heavy. Carriers care about both, so a big pillow box can cost more than you expect. Choosing the smallest box that protects the item can lower cost. And the return address is like the "return to sender" note: it should go somewhere you reliably check.

What can lower shipping cost?

A. Extra empty space
B. The biggest box possible, for extra room
C. No box at all
D. The smallest box that still protects the item

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-B1-Q2
Entrepreneurship, Set 145: Shipping costs and return addresses · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.PROD.05 (local)

Learn
A pillow is light but big; a book is small but heavy. Carriers care about both, so a big pillow box can cost more than you expect. Choosing the smallest box that protects the item can lower cost. And the return address is like the "return to sender" note: it should go somewhere you reliably check.

The book is small but what?

A. Huge
B. Free
C. Heavy
D. Light

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-B1-Q3
Entrepreneurship, Set 145: Shipping costs and return addresses · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.PROD.05 (local)

Learn
A pillow is light but big; a book is small but heavy. Carriers care about both, so a big pillow box can cost more than you expect. Choosing the smallest box that protects the item can lower cost. And the return address is like the "return to sender" note: it should go somewhere you reliably check.

The return address should go where?

A. A random address you never visit
B. A competitor's shop
C. Somewhere you reliably check
D. Nowhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-B1-Q4
Entrepreneurship, Set 145: Shipping costs and return addresses · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.PROD.05 (local)

Learn
A pillow is light but big; a book is small but heavy. Carriers care about both, so a big pillow box can cost more than you expect. Choosing the smallest box that protects the item can lower cost. And the return address is like the "return to sender" note: it should go somewhere you reliably check.

Carriers price by what two things here?

A. Size and weight
B. Color and font
C. Day and mood
D. Logo and price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-B1-Q5
Entrepreneurship, Set 145: Shipping costs and return addresses · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Average shipping costs 7 dollars per order. Product price is 28. With free shipping built in, what price covers it?

A. 28 dollars
B. 35 dollars
C. 21 dollars
D. 7 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F1-Q1
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

A flat rate of 6 dollars is charged but average cost is 8.50. How much is lost per order?

A. 2.50 dollars
B. 6.00 dollars
C. 8.50 dollars
D. 14.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F1-Q2
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

A flat shipping rate falls 2.50 dollars short of the average cost on each order. Over 300 orders, what does that shortfall cost?

A. 2.50 dollars
B. 120 dollars
C. 750 dollars
D. 302.50 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F1-Q3
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

A box measures large but the item is light. What could cut costs?

A. A smaller box that still protects it
B. A larger box with more space for safety
C. Removing the label
D. Adding weight

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F1-Q4
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

A carrier needs a street address for returns, but the owner uses a PO Box. What might help where available?

A. Using a neighbor's address without asking
B. PO Box Street Addressing
C. No return address at all
D. Using a fake street address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F1-Q5
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Shipping to far zones costs much more than nearby ones. What pricing approach handles this?

A. Refuse all far orders
B. Charge actual shipping or zone-based rates
C. Free shipping everywhere with no price change
D. One tiny flat rate for every distance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F2-Q1
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Carrier rates rise 8 percent on an average 9-dollar label. What is the new average?

A. 0.72 dollars
B. 17 dollars
C. 9.72 dollars
D. 9.08 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F2-Q2
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Free-over-50 raised average order size from 38 to 52 dollars. Shipping costs 8. What changed in revenue per order before shipping?

A. 8 dollars more
B. No change
C. 52 dollars more
D. 14 dollars more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F2-Q3
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Returns arrive at an old address the owner no longer checks. What should she do?

A. Ignore lost returns
B. Update the return address on labels and accounts
C. Stop accepting any returns from customers
D. Use a fake address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F2-Q4
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.PROD.05 (local)

Learn
Shipping cost depends on weight, package size (carriers may charge by DIMENSIONAL WEIGHT for large, light boxes), distance and speed. Weigh and measure packed items, compare carriers and services, and decide how to charge: customer pays actual shipping, a flat rate, free shipping built into prices, or free over a minimum order. Use a reliable RETURN ADDRESS on labels; a PO Box can work as a return address, while some carriers that need a street address may use a PO Box Street Addressing option where available.

Which statement is accurate?

A. Size, weight, distance and speed set shipping costs.
B. Return addresses do not matter.
C. Box size never affects the shipping cost at all.
D. Shipping is always free for sellers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S145-F2-Q5
Entrepreneurship, Set 145: Shipping costs and return addresses · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.PROD.05 (local)

Set 146: Support and updates for digital products

Outcome ENT.DIG.01: Plan support and updates a digital product needs

Module: Path: digital products & software

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Digital products (apps, templates, online courses, software tools) are not "make once and forget." Customers need SUPPORT: answers when something does not work, clear instructions, and a way to contact you. Products also need UPDATES when devices, browsers or platforms change, and to fix bugs (errors). Budget time for support and updates, state what support is included (for example "email replies within 2 business days"), and keep a list of common questions to turn into a help page.

Why is a digital product not "make once and forget"?

A. Customers never have questions about software
B. Customers need support and the product needs updates
C. Digital products never have errors once launched
D. Devices and platforms never change over time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-M-Q1
Entrepreneurship, Set 146: Support and updates for digital products · MAIN · Q1/5 · Outcome ENT.DIG.01 (local)

Learn
Digital products (apps, templates, online courses, software tools) are not "make once and forget." Customers need SUPPORT: answers when something does not work, clear instructions, and a way to contact you. Products also need UPDATES when devices, browsers or platforms change, and to fix bugs (errors). Budget time for support and updates, state what support is included (for example "email replies within 2 business days"), and keep a list of common questions to turn into a help page.

What is a bug?

A. A type of marketing email
B. A customer review
C. A paid feature added later
D. An error in a digital product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-M-Q2
Entrepreneurship, Set 146: Support and updates for digital products · MAIN · Q2/5 · Outcome ENT.DIG.01 (local)

Learn
Digital products (apps, templates, online courses, software tools) are not "make once and forget." Customers need SUPPORT: answers when something does not work, clear instructions, and a way to contact you. Products also need UPDATES when devices, browsers or platforms change, and to fix bugs (errors). Budget time for support and updates, state what support is included (for example "email replies within 2 business days"), and keep a list of common questions to turn into a help page.

Which support statement is clearest?

A. "We reply eventually, maybe, by some method"
B. "Contact us somehow"
C. "Support depends on our mood"
D. "Email replies within 2 business days"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-M-Q3
Entrepreneurship, Set 146: Support and updates for digital products · MAIN · Q3/5 · Outcome ENT.DIG.01 (local)

Learn
Digital products (apps, templates, online courses, software tools) are not "make once and forget." Customers need SUPPORT: answers when something does not work, clear instructions, and a way to contact you. Products also need UPDATES when devices, browsers or platforms change, and to fix bugs (errors). Budget time for support and updates, state what support is included (for example "email replies within 2 business days"), and keep a list of common questions to turn into a help page.

What can common questions become?

A. A help page
B. A secret file nobody reads
C. A list of complaints to ignore
D. A reason to raise prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-M-Q4
Entrepreneurship, Set 146: Support and updates for digital products · MAIN · Q4/5 · Outcome ENT.DIG.01 (local)

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Why budget time for updates?

A. Updates only matter for big companies
B. Customers prefer outdated products
C. Updates are never needed
D. Devices, browsers and platforms change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-M-Q5
Entrepreneurship, Set 146: Support and updates for digital products · MAIN · Q5/5 · Outcome ENT.DIG.01 (local)

Learn
Buying a car is not the end of the cost: it needs oil changes, repairs and new tires. A digital product is similar. Launching it is like buying the car; support and updates are the ongoing maintenance. Skip the maintenance and the car, or the product, eventually stops working for the people who rely on it.

Launching a digital product is like what?

A. Parking the car
B. Painting the car
C. Buying the car
D. Selling the car

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-B1-Q1
Entrepreneurship, Set 146: Support and updates for digital products · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.DIG.01 (local)

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Support and updates are like what?

A. A car wash once
B. A new license plate
C. A one-time purchase, then nothing
D. Ongoing car maintenance

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-B1-Q2
Entrepreneurship, Set 146: Support and updates for digital products · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.DIG.01 (local)

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What happens if maintenance is skipped?

A. It eventually stops working well
B. It becomes free
C. It runs better and better forever
D. Nothing ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-B1-Q3
Entrepreneurship, Set 146: Support and updates for digital products · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.DIG.01 (local)

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An oil change is like what for an app?

A. A refund
B. A change to the logo
C. An ad
D. A routine update

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-B1-Q4
Entrepreneurship, Set 146: Support and updates for digital products · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.DIG.01 (local)

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Who relies on the product working?

A. The customers who use it
B. Only competitors
C. Only the owner, nobody else
D. Nobody

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-B1-Q5
Entrepreneurship, Set 146: Support and updates for digital products · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.DIG.01 (local)

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A template shop sells 200 templates a month; 5 percent of buyers email for help. How many emails a month?

A. 20
B. 100
C. 10
D. 5

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F1-Q1
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.DIG.01 (local)

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A template shop gets 10 help emails a month, and each takes 15 minutes. How much support time is that per month?

A. 150 minutes
B. 1.5 minutes
C. 15 minutes
D. 25 minutes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F1-Q2
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.DIG.01 (local)

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Half the emails ask the same question about fonts. What should the owner do?

A. Remove fonts from the templates
B. Keep answering each one separately forever
C. Add a clear help page about fonts
D. Stop answering font emails

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F1-Q3
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.DIG.01 (local)

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A browser update breaks a course video player. What is the first step?

A. Ignore it until refund requests start to pile up
B. Fix or update the player and tell affected customers
C. Delete the course
D. Blame customers' browsers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F1-Q4
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.DIG.01 (local)

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A one-time 30-dollar product promises "lifetime support." What should the owner consider?

A. Only the product color
B. Whether that promise is sustainable at that price
C. Only competitor prices
D. Nothing; lifetime support is always free to give

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F1-Q5
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.DIG.01 (local)

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Sales double and support emails double. The owner has no more time. What helps?

A. Stop replying to everyone who writes in
B. Hide the contact address
C. Lower prices further
D. Better help pages, plus paid help if needed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F2-Q1
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.DIG.01 (local)

Learn
Digital products (apps, templates, online courses, software tools) are not "make once and forget." Customers need SUPPORT: answers when something does not work, clear instructions, and a way to contact you. Products also need UPDATES when devices, browsers or platforms change, and to fix bugs (errors). Budget time for support and updates, state what support is included (for example "email replies within 2 business days"), and keep a list of common questions to turn into a help page.

Support takes 20 hours a month valued at 30 dollars an hour. What is the monthly cost?

A. 50 dollars
B. 600 dollars
C. 1.50 dollars
D. 30 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F2-Q2
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.DIG.01 (local)

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An old product version no longer works on new phones and few people use it. What is a fair approach?

A. Charge extra to old users secretly
B. Stop it overnight with no notice to anyone
C. Announce an end-of-support date in advance
D. Pretend it still works

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F2-Q3
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.DIG.01 (local)

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A bug fix introduces a new bug. What habit would help?

A. Testing updates before releasing them
B. Never updating anything
C. Releasing faster without checks
D. Hiding updates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F2-Q4
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.DIG.01 (local)

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Which statement is accurate?

A. Digital products never need maintenance.
B. Support is optional for paid digital products.
C. Updates never cause new problems.
D. Digital products need ongoing support and updates.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S146-F2-Q5
Entrepreneurship, Set 146: Support and updates for digital products · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.DIG.01 (local)

Set 147: Access, accounts and licensing

Outcome ENT.DIG.02: Decide what buyers may do with a digital product and how they get access

Module: Path: digital products & software

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Digital products are usually sold as a LICENSE: permission to use them under stated terms, not ownership of the product itself. A license states who may use it (one person, a team, a business), how many devices or projects, whether it may be resold or shared, and how long it lasts. Customer ACCESS is often managed by accounts or download links. Write the license in plain words, show it before purchase, and decide what happens to access if a customer cancels or requests a refund.

What does a customer usually buy with a digital product?

A. The company that made it
B. A license to use it under stated terms
C. Full ownership of the product and its code
D. The right to resell unlimited copies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-M-Q1
Entrepreneurship, Set 147: Access, accounts and licensing · MAIN · Q1/5 · Outcome ENT.DIG.02 (local)

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Which item belongs in license terms?

A. How many people or devices may use it
B. The owner's birthday
C. The logo's colors
D. The founder's hobbies and interests

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-M-Q2
Entrepreneurship, Set 147: Access, accounts and licensing · MAIN · Q2/5 · Outcome ENT.DIG.02 (local)

Learn
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When should license terms be shown?

A. Only after a complaint
B. Only to resellers
C. Never
D. Before purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-M-Q3
Entrepreneurship, Set 147: Access, accounts and licensing · MAIN · Q3/5 · Outcome ENT.DIG.02 (local)

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What should be decided about refunds?

A. Access doubles
B. Nothing, because access stays forever anyway
C. Refunds are never allowed anywhere
D. What happens to access if a refund is given

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-M-Q4
Entrepreneurship, Set 147: Access, accounts and licensing · MAIN · Q4/5 · Outcome ENT.DIG.02 (local)

Learn
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Why write the license in plain words?

A. So customers understand what they may do
B. So nobody reads it
C. So it sounds more legal
D. Because plain words are required everywhere

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-M-Q5
Entrepreneurship, Set 147: Access, accounts and licensing · MAIN · Q5/5 · Outcome ENT.DIG.02 (local)

Learn
A movie ticket lets you watch the film in that theater at that time. It does not let you copy the film or sell screenings. A digital license works the same way: the buyer gets permission to use the product in stated ways, not ownership of the product itself. The ticket's rules are printed so everyone knows them.

A movie ticket gives you what?

A. Permission to watch under certain rules
B. The theater building
C. The right to copy it
D. Full ownership of the whole film and its copies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-B1-Q1
Entrepreneurship, Set 147: Access, accounts and licensing · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.DIG.02 (local)

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A digital license is like what?

A. The film itself
B. The ticket
C. The projector
D. The popcorn

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-B1-Q2
Entrepreneurship, Set 147: Access, accounts and licensing · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.DIG.02 (local)

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Can a ticket holder sell copies of the film?

A. No
B. Only online
C. Yes, always
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-B1-Q3
Entrepreneurship, Set 147: Access, accounts and licensing · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.DIG.02 (local)

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Why are ticket rules printed?

A. So everyone knows them
B. To hide them
C. For decoration
D. To confuse the viewers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-B1-Q4
Entrepreneurship, Set 147: Access, accounts and licensing · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.DIG.02 (local)

Learn
A movie ticket lets you watch the film in that theater at that time. It does not let you copy the film or sell screenings. A digital license works the same way: the buyer gets permission to use the product in stated ways, not ownership of the product itself. The ticket's rules are printed so everyone knows them.

What does the buyer of a digital product usually not get?

A. Access to it
B. Permission to use it as stated
C. Ownership of the product itself
D. The stated terms

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-B1-Q5
Entrepreneurship, Set 147: Access, accounts and licensing · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.DIG.02 (local)

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A designer sells a font: personal license 20 dollars, business license 60 dollars. A company uses the personal version on its packaging. What is the issue?

A. The font changes color
B. The company owns the font now
C. No issue, because any license covers any use
D. Its use goes beyond the personal license terms

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F1-Q1
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.DIG.02 (local)

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A team license covers 5 users at 120 dollars. What is the cost per user?

A. 600 dollars
B. 24 dollars
C. 115 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F1-Q2
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.DIG.02 (local)

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A course is sold with account access. A customer gets a refund. What should the terms say?

A. The customer gets a second account
B. Nothing; access always stays
C. Whether access ends after the refund
D. Refunds double access

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F1-Q3
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.DIG.02 (local)

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Which license line is clearest?

A. "Use it however you like, more or less, on anything."
B. "Some sharing may be fine."
C. "For 1 person, up to 3 devices, no resale or sharing."
D. "Rules apply, ask us."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F1-Q4
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.DIG.02 (local)

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20 personal licenses at 20 dollars and 8 business licenses at 60 dollars sell. What is total revenue?

A. 880 dollars
B. 480 dollars
C. 80 dollars
D. 400 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F1-Q5
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.DIG.02 (local)

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A customer posts the download link publicly. What could the owner have used?

A. A bigger logo printed on the file
B. A lower price
C. Nothing could help
D. Account-based access or expiring links

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F2-Q1
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.DIG.02 (local)

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An owner finds her product shared on a piracy site. What is a reasonable step?

A. Request removal through the site's process
B. Stop selling entirely
C. Post angry messages everywhere about it
D. Do nothing ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F2-Q2
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.DIG.02 (local)

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Strict copy protection annoys honest customers. What should the owner weigh?

A. Only maximum protection, always, whatever the cost
B. Only competitor choices
C. No terms at all
D. Protection against ease of use for paying customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F2-Q3
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.DIG.02 (local)

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A license says "lifetime access," but the owner plans to close the platform in 2 years. What problem arises?

A. It is always legal
B. The promise may not be kept
C. Customers will not notice
D. No problem; lifetime means 2 years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F2-Q4
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.DIG.02 (local)

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Which statement is accurate?

A. Digital buyers usually get a license, not ownership.
B. License terms can be hidden.
C. Sharing is always allowed.
D. Buyers always own the product and all of its code.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S147-F2-Q5
Entrepreneurship, Set 147: Access, accounts and licensing · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.DIG.02 (local)

Set 148: Recurring costs of digital businesses

Outcome ENT.DIG.03: Include hosting, tools and fees that grow with customers

Module: Path: digital products & software

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Which is a recurring cost for a digital business?

A. A single trademark search
B. A one-time logo design
C. Monthly hosting
D. A first laptop purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-M-Q1
Entrepreneurship, Set 148: Recurring costs of digital businesses · MAIN · Q1/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

What is marginal cost?

A. The cost of one more sale
B. The cost of the owner's time last year
C. A tax on profits
D. The total cost of starting the business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-M-Q2
Entrepreneurship, Set 148: Recurring costs of digital businesses · MAIN · Q2/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Hosting 25, email 15, software 40, domain 2 a month. What is the monthly total?

A. 25 dollars
B. 82 dollars
C. 80 dollars
D. 40 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-M-Q3
Entrepreneurship, Set 148: Recurring costs of digital businesses · MAIN · Q3/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Which cost often grows with more users?

A. Storage
B. The business name
C. The founding date
D. A one-time logo fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-M-Q4
Entrepreneurship, Set 148: Recurring costs of digital businesses · MAIN · Q4/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Why can a low-marginal-cost product still lose money?

A. Revenue is never counted
B. Digital products cannot be sold
C. Fixed monthly costs may be higher than revenue
D. Marginal cost is always zero for digital products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-M-Q5
Entrepreneurship, Set 148: Recurring costs of digital businesses · MAIN · Q5/5 · Outcome ENT.DIG.03 (local)

Learn
Some costs are monthly, some yearly. Convert yearly costs to monthly by dividing by 12, then add everything. Example: hosting 20 a month, domain 18 a year (1.50 a month), software 240 a year (20 a month): 20 + 1.50 + 20 = 41.50 a month. Compare that total with monthly revenue to see whether costs are covered.

18 dollars a year is how much a month?

A. 6
B. 18
C. 216.00
D. 1.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-B1-Q1
Entrepreneurship, Set 148: Recurring costs of digital businesses · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.DIG.03 (local)

Learn
Some costs are monthly, some yearly. Convert yearly costs to monthly by dividing by 12, then add everything. Example: hosting 20 a month, domain 18 a year (1.50 a month), software 240 a year (20 a month): 20 + 1.50 + 20 = 41.50 a month. Compare that total with monthly revenue to see whether costs are covered.

240 dollars a year is how much a month?

A. 24
B. 2,880
C. 20
D. 240

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-B1-Q2
Entrepreneurship, Set 148: Recurring costs of digital businesses · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.DIG.03 (local)

Learn

Some costs are monthly, some yearly. Convert yearly costs to monthly by dividing by 12, then add everything. Example: hosting 20 a month, domain 18 a year (1.50 a month), software 240 a year (20 a month): 20 + 1.50 + 20 = 41.50 a month. Compare that total with monthly revenue to see whether costs are covered.

20 + 1.50 + 20 is what?

A. 41.50
B. 40.00
C. 21.50
D. 42.50

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-B1-Q3
Entrepreneurship, Set 148: Recurring costs of digital businesses · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.DIG.03 (local)

Learn
Some costs are monthly, some yearly. Convert yearly costs to monthly by dividing by 12, then add everything. Example: hosting 20 a month, domain 18 a year (1.50 a month), software 240 a year (20 a month): 20 + 1.50 + 20 = 41.50 a month. Compare that total with monthly revenue to see whether costs are covered.

120 dollars a year is how much a month?

A. 12
B. 120
C. 10
D. 1,440

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-B1-Q4
Entrepreneurship, Set 148: Recurring costs of digital businesses · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.DIG.03 (local)

Learn
Some costs are monthly, some yearly. Convert yearly costs to monthly by dividing by 12, then add everything. Example: hosting 20 a month, domain 18 a year (1.50 a month), software 240 a year (20 a month): 20 + 1.50 + 20 = 41.50 a month. Compare that total with monthly revenue to see whether costs are covered.

Why convert to one period?

A. To confuse the budget
B. Because yearly costs are fake
C. To make costs disappear
D. To add and compare costs fairly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-B1-Q5
Entrepreneurship, Set 148: Recurring costs of digital businesses · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

An app costs 30 hosting, 50 tools, 25 email monthly and 99 a year for an app store account. What is the monthly total, to the nearest cent?

A. 99.00 dollars
B. 113.25 dollars
C. 204.00 dollars
D. 105.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F1-Q1
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

An app's costs average 113.25 dollars a month, and revenue is 90 dollars a month. Are costs covered?

A. No, it falls short by 23.25 dollars
B. Exactly covered
C. Cannot tell
D. Yes, with 23.25 dollars left over

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F1-Q2
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Each new subscriber pays 6 dollars a month and adds 0.50 in costs. How many more subscribers cover the 23.25 shortfall, rounded up?

A. 3
B. 5
C. 47
D. 4

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F1-Q3
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

A tool costing 40 a month is used once a quarter. What should the owner consider?

A. Keeping it forever, just in case it is needed
B. Ignoring it
C. Cancelling or switching to a cheaper plan
D. Buying a second copy

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F1-Q4
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Storage costs rise as users upload more. What should pricing reflect?

A. Only competitor logos
B. Nothing; storage is free
C. Only the founder's preference
D. Costs that grow with heavy use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F1-Q5
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Small tools were added one by one and now total 300 dollars a month. What is a good habit?

A. Never look at tool costs
B. Review the tool list every few months
C. Add more tools to compensate
D. Pay with a personal card to hide it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F2-Q1
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

A platform raises its fee from 5 to 8 percent on 2,000 dollars of monthly sales. How much more per month?

A. 160 dollars
B. 100 dollars
C. 60 dollars
D. 3 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F2-Q2
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

A free tier becomes paid at 25 dollars a month. The owner relies on it. What should she do?

A. Ignore the change
B. Delete all of her data immediately
C. Compare alternatives and budget for it
D. Assume it stays free

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F2-Q3
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Monthly costs are 400 and each sale contributes 8. How many sales a month to break even?

A. 50
B. 3,200
C. 400
D. 8

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F2-Q4
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.DIG.03 (local)

Learn
Digital businesses can look cheap to run but have RECURRING COSTS: hosting, domain, email service, software subscriptions, payment and platform fees, storage, design tools and app store fees. Many costs grow with users, such as storage or email sending limits. List every recurring cost, convert to a monthly total, and compare with monthly revenue. A product with low marginal cost (the cost of one more sale) can still lose money if fixed monthly costs are high.

Which statement is accurate?

A. Digital businesses have recurring costs to cover.
B. Yearly costs can be ignored.
C. Low marginal cost always guarantees a profit.
D. Digital businesses have no costs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S148-F2-Q5
Entrepreneurship, Set 148: Recurring costs of digital businesses · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.DIG.03 (local)

Set 149: Onboarding and checking usefulness

Outcome ENT.DIG.04: Help new users succeed and measure whether they keep using it

Module: Path: digital products & software

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

What is activation?

A. The number of ads shown
B. The moment a user's computer is switched on
C. The price of a subscription
D. The share of new users who reach a first result

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-M-Q1
Entrepreneurship, Set 149: Onboarding and checking usefulness · MAIN · Q1/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

What often happens if onboarding is confusing?

A. Support emails disappear
B. Many customers quit early
C. Sales automatically double
D. Customers stay longer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-M-Q2
Entrepreneurship, Set 149: Onboarding and checking usefulness · MAIN · Q2/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

100 sign up and 35 reach a first useful result. What is activation?

A. 35 percent
B. 3.5 percent
C. 65 percent
D. 100 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-M-Q3
Entrepreneurship, Set 149: Onboarding and checking usefulness · MAIN · Q3/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

Which onboarding step helps?

A. A 40-page manual before anything works
B. A short example showing a first result
C. Hiding the main feature
D. No instructions at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-M-Q4
Entrepreneurship, Set 149: Onboarding and checking usefulness · MAIN · Q4/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

How can an owner learn what confuses customers?

A. Ignore feedback
B. Guess without asking
C. Ask a few customers what helped or confused them
D. Read only competitor reviews online instead

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-M-Q5
Entrepreneurship, Set 149: Onboarding and checking usefulness · MAIN · Q5/5 · Outcome ENT.DIG.04 (local)

Learn
Rates compare a part to a whole. Activation = users who reached a first useful result / users who signed up. Retention at 30 days = users still active / users who started. Example: 80 sign up, 28 activate: 28 / 80 = 35 percent. If 14 are active after 30 days: 14 / 80 = 17.5 percent. Use the same starting group for both.

28 of 80 activate. What is the rate?

A. 3.5 percent
B. 28 percent
C. 35 percent
D. 52 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-B1-Q1
Entrepreneurship, Set 149: Onboarding and checking usefulness · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.DIG.04 (local)

Learn
Rates compare a part to a whole. Activation = users who reached a first useful result / users who signed up. Retention at 30 days = users still active / users who started. Example: 80 sign up, 28 activate: 28 / 80 = 35 percent. If 14 are active after 30 days: 14 / 80 = 17.5 percent. Use the same starting group for both.

14 of 80 are active after 30 days. What is the rate?

A. 17.5 percent
B. 50 percent
C. 82.5 percent
D. 14 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-B1-Q2
Entrepreneurship, Set 149: Onboarding and checking usefulness · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.DIG.04 (local)

Learn
Rates compare a part to a whole. Activation = users who reached a first useful result / users who signed up. Retention at 30 days = users still active / users who started. Example: 80 sign up, 28 activate: 28 / 80 = 35 percent. If 14 are active after 30 days: 14 / 80 = 17.5 percent. Use the same starting group for both.

40 of 200 activate. What is the rate?

A. 5 percent
B. 80 percent
C. 20 percent
D. 40 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-B1-Q3
Entrepreneurship, Set 149: Onboarding and checking usefulness · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.DIG.04 (local)

Learn
Rates compare a part to a whole. Activation = users who reached a first useful result / users who signed up. Retention at 30 days = users still active / users who started. Example: 80 sign up, 28 activate: 28 / 80 = 35 percent. If 14 are active after 30 days: 14 / 80 = 17.5 percent. Use the same starting group for both.

Which number is the whole for both rates here?

A. Only the active users
B. The users who signed up
C. The price
D. The website visitors who never signed up

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-B1-Q4
Entrepreneurship, Set 149: Onboarding and checking usefulness · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.DIG.04 (local)

Learn
Rates compare a part to a whole. Activation = users who reached a first useful result / users who signed up. Retention at 30 days = users still active / users who started. Example: 80 sign up, 28 activate: 28 / 80 = 35 percent. If 14 are active after 30 days: 14 / 80 = 17.5 percent. Use the same starting group for both.

Activation rises from 20 to 30 percent of 200 sign-ups. How many more users activate?

A. 40
B. 60
C. 10
D. 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-B1-Q5
Entrepreneurship, Set 149: Onboarding and checking usefulness · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

A budgeting app's users must enter 12 months of data before seeing anything useful. Many quit. What change fits?

A. Show a useful result after the first week of data
B. Remove the app's main feature
C. Send no messages
D. Require 24 months of data before anything shows

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F1-Q1
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

After the change, activation rises from 25 to 40 percent of 300 sign-ups. How many more activate?

A. 120
B. 75
C. 45
D. 15

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F1-Q2
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

A course has 500 buyers but only 60 finish lesson 1. What should the owner look at first?

A. Only the logo
B. Only how to get more buyers
C. Nothing, because sales are all that matter
D. Why buyers stop before or during lesson 1

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F1-Q3
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

Which welcome message helps most?

A. "Welcome. Good luck."
B. "Start here: a 5-minute lesson to make your first budget."
C. "Read all 40 pages of the manual first, then come back."
D. No message at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F1-Q4
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

Of 40 activated users, 30 are still active after a month. What is the retention among activated users?

A. 30 percent
B. 75 percent
C. 40 percent
D. 25 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F1-Q5
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

Sign-ups doubled after a promotion, but the activation rate (the share of sign-ups who reach a first useful result) fell by half. What happened?

A. The number reaching activation stayed the same, while more sign-ups did not activate; investigate why

B. The product became twice as useful, because twice as many people signed up for it

C. Nothing changed, because a rate that falls by half while sign-ups double is unrelated

D. The number reaching activation doubled along with sign-ups, so the promotion fixed onboarding

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F2-Q1
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

An owner reports only sign-ups to investors. What is missing?

A. More colors
B. A larger logo
C. Whether users actually get value and stay
D. Nothing, because sign-ups prove success alone

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F2-Q2
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

A survey of 3 customers says the product is perfect. What is the limitation?

A. Surveys are illegal
B. Three answers may not represent all users
C. Customers never answer honestly
D. Three answers prove everything about all users

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F2-Q3
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

A tutorial adds 2 minutes but raises activation from 30 to 45 percent. Is it worth it?

A. No, because every extra minute is bad
B. It makes no difference
C. Cannot be judged at all
D. Likely yes, if those users keep using it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F2-Q4
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.DIG.04 (local)

Learn
ONBOARDING is a new customer's first experience: signing up, the first steps, and reaching a first useful result. If that path is confusing, many customers quit early. Make the first steps short and clear, show an example, and send a helpful message after sign-up. Then CHECK USEFULNESS: are people actually using the product after a week or a month? Track activation (the share who reach a first useful result) and ask a few customers what helped or confused them.

Which statement is accurate?

A. Sign-ups are the only number that really matters to a product.
B. Customer feedback is useless.
C. First experience and real usefulness matter more than sign-ups.
D. Confusing onboarding helps retention.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S149-F2-Q5
Entrepreneurship, Set 149: Onboarding and checking usefulness · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.DIG.04 (local)

Set 150: Founder case: Microsoft's first product for one platform

Outcome ENT.CASE.11: Apply a documented early decision (building software for a specific new machine and licensing it) to a new digital business

Module: Path: digital products & software

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

According to the passage, what was Microsoft's first product?

A. A video game console
B. Altair BASIC
C. A word processor for offices
D. An internet search engine

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-M-Q1
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · MAIN · Q1/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

Which computer was it written for?

A. Every computer at once
B. A smartphone
C. A tablet
D. The MITS Altair 8800

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-M-Q2
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · MAIN · Q2/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

How did the founders arrange use of the software with MITS?

A. They licensed it
B. They sold the company to MITS
C. They kept it secret
D. They gave it away for free forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-M-Q3
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · MAIN · Q3/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Build for every platform before testing any of them
B. Sell full ownership of all code
C. Never demonstrate software to a buyer
D. Build for one platform, show it works, and license it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-M-Q4
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · MAIN · Q4/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

Which statement about the Microsoft case is accurate?

A. It shows demos are useless.
B. It shows one start, not a promise that every license deal succeeds.
C. It shows one platform is always enough for any business forever.
D. It proves every software license will succeed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-M-Q5
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · MAIN · Q5/5 · Outcome ENT.CASE.11 (local)

Learn
A small team making a game might build it for one console first, show it running, and let that console's store sell it under license. Later, they might bring it to other systems. The documented Microsoft facts are the Altair, the demonstration and the license. The idea that focusing on one platform first reduces risk is this course's interpretation.

Building for one console first is like what in the case?

A. Writing for every computer
B. Writing BASIC for the Altair
C. Selling hardware
D. Opening a store

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-B1-Q1
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.11 (local)

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A small team making a game might build it for one console first, show it running, and let that console's store sell it under license. Later, they might bring it to other systems. The documented Microsoft facts are the Altair, the demonstration and the license. The idea that focusing on one platform first reduces risk is this course's interpretation.

Showing the game running is like what?

A. Selling the company
B. Demonstrating it to MITS
C. Advertising it on national TV
D. Hiding the software

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-B1-Q2
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.11 (local)

Learn
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Letting the store sell it under license is like what?

A. Giving away all of the code
B. Selling ownership
C. Licensing Altair BASIC to MITS
D. Keeping it private

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-B1-Q3
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.11 (local)

Learn
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"They demonstrated it to MITS" is which kind of statement?

A. Course interpretation
B. Documented fact
C. A promise
D. A rumor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-B1-Q4
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.11 (local)

Learn
A small team making a game might build it for one console first, show it running, and let that console's store sell it under license. Later, they might bring it to other systems. The documented Microsoft facts are the Altair, the demonstration and the license. The idea that focusing on one platform first reduces risk is this course's interpretation.

"Focusing first reduces risk" is which kind?

A. The course's interpretation
B. A contract
C. A documented quote from Gates
D. A law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-B1-Q5
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.11 (local)

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Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

A developer builds a plugin. Applying the lesson, which first step fits?

A. Never show it to anyone
B. Build for ten platforms before any user tries it
C. Build it for one popular platform and show a working demo
D. Sell full ownership of the code to the first buyer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F1-Q1
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

She licenses the plugin at 15 dollars per site. 120 sites buy it. What is revenue?

A. 135 dollars
B. 120 dollars
C. 8 dollars
D. 1,800 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F1-Q2
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.11 (local)

Learn
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A company offers 2,000 dollars to own the plugin outright. Licensing has earned 1,800 in a year and is growing. What should she weigh?

A. Nothing, because selling outright is always better
B. Ongoing license income versus a one-time sale
C. Only the bigger number today
D. Only the buyer's logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F1-Q3
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.11 (local)

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The platform takes a 20 percent fee on each 15-dollar license. What does she keep per license?

A. 18 dollars
B. 3 dollars
C. 12 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F1-Q4
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.11 (local)

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Which detail is documented, not interpreted?

A. Licensing always beats selling
B. Altair BASIC was licensed to MITS
C. Every developer should start in 1975
D. One platform guarantees success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F1-Q5
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.11 (local)

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Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

The platform she built for changes its rules and her plugin stops working. What risk does this show?

A. Licensing is illegal
B. Demos are useless
C. No risk, because platforms never change rules
D. Depending on one platform carries risk

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F2-Q1
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.11 (local)

Learn
Documented history (Centre for Computing History): Bill Gates and Paul Allen wrote a BASIC interpreter (a program that lets people write and run simple code) for the MITS Altair 8800 computer in 1975, demonstrated it to MITS, and licensed it to MITS as Altair BASIC; this was Microsoft's first product. Lesson drawn by this course (an interpretation): build for one specific platform with real users, show that it works, and license software rather than selling ownership. One success story does not guarantee the same result for another business.

Someone says, "Microsoft started with BASIC, so I should write a BASIC interpreter." What is wrong?

A. BASIC is illegal
B. The lesson is focus and licensing, not BASIC
C. Nothing, because BASIC itself is the secret
D. Microsoft never wrote BASIC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F2-Q2
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.11 (local)

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Her license terms do not say whether one purchase covers multiple sites. What problem arises?

A. Customers may use it more widely than intended
B. No problem, because license terms never matter
C. Revenue doubles automatically
D. The code disappears

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F2-Q3
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.11 (local)

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After a year, 25 percent of 120 licensed sites renew a yearly update plan at 10 dollars. What is renewal revenue?

A. 30 dollars
B. 120 dollars
C. 300 dollars
D. 1,200 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F2-Q4
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.11 (local)

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Which statement is accurate?

A. Software must always be sold outright to buyers.
B. One platform is always enough forever.
C. Focus and license; each product must find its market.
D. Licensing guarantees success.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S150-F2-Q5
Entrepreneurship, Set 150: Founder case: Microsoft's first product for one platform · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.11 (local)

Set 151: Original content and rights

Outcome ENT.CONT.01: Use original or licensed material and respect others' rights

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

Does giving credit alone give a creator the right to use someone else's work?

A. Yes, but only when the work is a piece of music
B. Yes, as long as the clip is short enough
C. Yes, giving credit always makes any use of the work legal
D. No; check permission, a license or another valid legal basis

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-M-Q1
Entrepreneurship, Set 151: Original content and rights · MAIN · Q1/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

What may platforms do with copyrighted material?

A. Pay the uploader extra
B. Ignore it always
C. Make it go viral
D. Block, mute or remove it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-M-Q2
Entrepreneurship, Set 151: Original content and rights · MAIN · Q2/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

What should a creator keep records of?

A. Only favorite comments
B. Licenses and permissions
C. Nothing
D. Only follower counts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-M-Q3
Entrepreneurship, Set 151: Original content and rights · MAIN · Q3/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

A creator films a friend at home and plans to publish. What should come first?

A. More background music
B. Nothing; friends never mind
C. The friend's permission
D. A bigger camera

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-M-Q4
Entrepreneurship, Set 151: Original content and rights · MAIN · Q4/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

Why does original work help a channel?

A. It avoids rights problems and builds a distinct voice
B. Platforms pay double for original work automatically
C. It is always shorter
D. It needs no effort

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-M-Q5
Entrepreneurship, Set 151: Original content and rights · MAIN · Q5/5 · Outcome ENT.CONT.01 (local)

Learn
If you cook your own recipe and share it, it is yours. If you photocopy pages from a famous cookbook and post them, that is the author's work, even if you write "credit to the author." Content works the same way: original material is yours to share; for other people's material you need a valid legal basis, such as permission or a license, and credit alone is not one.

Your own recipe is like what?

A. Someone else's work
B. A tax
C. A license
D. Original content

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-B1-Q1
Entrepreneurship, Set 151: Original content and rights · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CONT.01 (local)

Learn
If you cook your own recipe and share it, it is yours. If you photocopy pages from a famous cookbook and post them, that is the author's work, even if you write "credit to the author." Content works the same way: original material is yours to share; for other people's material you need a valid legal basis, such as permission or a license, and credit alone is not one.

Photocopying cookbook pages is like what?

A. Using others' work without permission
B. A fair trade with the cookbook author
C. A gift
D. Original content

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-B1-Q2
Entrepreneurship, Set 151: Original content and rights · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CONT.01 (local)

Learn
If you cook your own recipe and share it, it is yours. If you photocopy pages from a famous cookbook and post them, that is the author's work, even if you write "credit to the author." Content works the same way: original material is yours to share; for other people's material you need a valid legal basis, such as permission or a license, and credit alone is not one.

Does writing "credit to the author" make the copy fine?

A. Yes, always
B. Only online
C. Only on weekends
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-B1-Q3
Entrepreneurship, Set 151: Original content and rights · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CONT.01 (local)

Learn
If you cook your own recipe and share it, it is yours. If you photocopy pages from a famous cookbook and post them, that is the author's work, even if you write "credit to the author." Content works the same way: original material is yours to share; for other people's material you need a valid legal basis, such as permission or a license, and credit alone is not one.

What do you need to share someone else's recipe pages?

A. A bigger kitchen to cook the recipes in
B. More followers than the cookbook author has
C. A valid legal basis, such as permission or a license
D. Nothing, as long as you write "credit to the author"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-B1-Q4
Entrepreneurship, Set 151: Original content and rights · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CONT.01 (local)

Learn
If you cook your own recipe and share it, it is yours. If you photocopy pages from a famous cookbook and post them, that is the author's work, even if you write "credit to the author." Content works the same way: original material is yours to share; for other people's material you need a valid legal basis, such as permission or a license, and credit alone is not one.

Original material is what?

A. Yours to share
B. Illegal
C. Someone else's
D. Never shareable

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-B1-Q5
Entrepreneurship, Set 151: Original content and rights · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

A creator wants a 20-second clip of a popular movie in a review video. What should she do?

A. Use the whole movie instead
B. Check whether her use is permitted, or get a license
C. Use it with credit and assume that makes it fine
D. Use it, since 20 seconds is always fine

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F1-Q1
Entrepreneurship, Set 151: Original content and rights · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

A creator licenses 3 music tracks at 15 dollars each. What is the total?

A. 5 dollars
B. 15 dollars
C. 45 dollars
D. 18 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F1-Q2
Entrepreneurship, Set 151: Original content and rights · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CONT.01 (local)

Learn
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A video was muted for copyrighted background music. What should the creator do next time?

A. Speed the song up
B. Use the same song again, louder
C. Hide the song name
D. Use licensed or original music

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F1-Q3
Entrepreneurship, Set 151: Original content and rights · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CONT.01 (local)

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A creator films strangers in a private café meeting and plans to post it. What should she consider?

A. Getting their permission before publishing
B. Only the background music
C. Only the lighting
D. Nothing; anything filmed can be posted

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F1-Q4
Entrepreneurship, Set 151: Original content and rights · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CONT.01 (local)

Learn
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Which shows the strongest original work?

A. A tutorial with her own footage and explanation
B. A compilation of others' clips
C. Reposted memes with no commentary of her own
D. A copied article read aloud

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F1-Q5
Entrepreneurship, Set 151: Original content and rights · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CONT.01 (local)

Learn
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A rights holder claims her video. She believes she had a license. What should she do?

A. Insult the rights holder
B. Upload the same video again and again until it sticks
C. Use the platform's dispute process with her license records
D. Ignore the claim

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F2-Q1
Entrepreneurship, Set 151: Original content and rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

A free music site says "free for personal use only." She runs ads on her channel. What is the issue?

A. Ads make the music free
B. Commercial use may not be allowed
C. Personal and commercial are the same
D. No issue; free means any use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F2-Q2
Entrepreneurship, Set 151: Original content and rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CONT.01 (local)

Learn
Content creators build on ORIGINAL work: your own writing, photos, video, music and ideas. To use someone else's clips, songs, images or text you need a valid legal basis: permission or a license, a public-domain work, or a legal exception such as fair use, which is decided case by case. Giving credit alone is not one of these. Some platforms have tools that detect copyrighted material and may block, mute or remove content. Keep records of licenses and permissions. If you film people, especially in private settings, get their permission to publish. Original work protects your channel and builds a distinct voice.

An AI tool generates a song very similar to a famous one. What is the risk?

A. No risk; AI music is always free
B. It guarantees views
C. It is automatically licensed
D. It may still raise rights issues

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F2-Q3
Entrepreneurship, Set 151: Original content and rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CONT.01 (local)

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A creator's original video is reuploaded by another account. What can she do?

A. Reupload their videos in revenge right away
B. Use the platform's copyright reporting process
C. Nothing can be done
D. Delete her own channel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F2-Q4
Entrepreneurship, Set 151: Original content and rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CONT.01 (local)

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Which statement is accurate?

A. Original work and recorded permissions protect creators.
B. Platforms never check rights.
C. Giving credit always replaces getting permission.
D. Anything online is free to use.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S151-F2-Q5
Entrepreneurship, Set 151: Original content and rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CONT.01 (local)

Set 152: Sponsorships and affiliate relationships

Outcome ENT.CONT.02: Evaluate a sponsor or affiliate deal for fit, terms and disclosure

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

Where should a sponsorship be disclosed in a video?

A. Nowhere, if the creator likes the product
B. Only in the last second after the video ends
C. Only in a separate website nobody visits
D. Clearly, where viewers notice, such as at the start

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-M-Q1
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · MAIN · Q1/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

Is a platform's built-in disclosure tool automatically enough?

A. No, disclosures are banned
B. Not automatically
C. Yes, if the video is short
D. Yes, always and in every case

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-M-Q2
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · MAIN · Q2/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

What should a sponsorship agreement include?

A. Deliverables, payment and deadlines
B. Only the creator's favorite snack
C. Nothing; handshake deals are best
D. Only the brand's logo color

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-M-Q3
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · MAIN · Q3/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

Why choose sponsors that fit the audience?

A. Fit only matters for TV
B. Mismatched sponsors can hurt trust
C. Any sponsor is always fine for any audience
D. Audiences never notice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-M-Q4
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · MAIN · Q4/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

A sponsor asks the creator to say its supplement "cures anxiety." What should she do?

A. Say it because she is paid
B. Say it quickly so nobody notices
C. Refuse claims she cannot support
D. Add it in small text

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-M-Q5
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · MAIN · Q5/5 · Outcome ENT.CONT.02 (local)

Learn
If a friend raves about a restaurant and later you learn she owns part of it, you might feel misled, even if the food is good. If she says up front, "I own part of this place, but I think you'll love it," you can decide for yourself. Sponsorship disclosure is that up-front sentence, said before the recommendation.

Why might you feel misled?

A. She was rude
B. The restaurant closed early
C. You did not know about her stake
D. The food was bad

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-B1-Q1
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CONT.02 (local)

Learn
If a friend raves about a restaurant and later you learn she owns part of it, you might feel misled, even if the food is good. If she says up front, "I own part of this place, but I think you'll love it," you can decide for yourself. Sponsorship disclosure is that up-front sentence, said before the recommendation.

Her up-front sentence is like what?

A. A sponsorship disclosure
B. A secret
C. An ad hidden in text
D. A coupon

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-B1-Q2
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CONT.02 (local)

Learn
If a friend raves about a restaurant and later you learn she owns part of it, you might feel misled, even if the food is good. If she says up front, "I own part of this place, but I think you'll love it," you can decide for yourself. Sponsorship disclosure is that up-front sentence, said before the recommendation.

Does disclosure mean the food is bad?

A. Only for pizza
B. Yes, always
C. Only on weekends
D. No

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-B1-Q3
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CONT.02 (local)

Learn
If a friend raves about a restaurant and later you learn she owns part of it, you might feel misled, even if the food is good. If she says up front, "I own part of this place, but I think you'll love it," you can decide for yourself. Sponsorship disclosure is that up-front sentence, said before the recommendation.

What does disclosure let you do?

A. Ignore the friend
B. Decide for yourself with full information
C. Get free food
D. Avoid all restaurants in town from now on

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-B1-Q4
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CONT.02 (local)

Learn
If a friend raves about a restaurant and later you learn she owns part of it, you might feel misled, even if the food is good. If she says up front, "I own part of this place, but I think you'll love it," you can decide for yourself. Sponsorship disclosure is that up-front sentence, said before the recommendation.

Her ownership stake is like what for a creator?

A. A paid sponsorship or commission
B. A count of channel subscribers
C. A random hobby
D. A tax bill

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-B1-Q5
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

A brand offers 800 dollars for one video mention. The creator's audience is gardeners; the brand sells car parts. What should she weigh?

A. Nothing, because money is money
B. Only the payment amount
C. Only the brand's logo
D. Whether the sponsor fits her audience

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F1-Q1
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CONT.02 (local)

Learn
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A sponsorship pays 800 dollars, and she spends 6 hours on it. What is the pay per hour?

A. 6.00 dollars
B. 133.33 dollars
C. 800.00 dollars
D. 4,800.00 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F1-Q2
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CONT.02 (local)

Learn
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An affiliate link pays 6 percent on 2,500 dollars of sales. What does she earn?

A. 2,350 dollars
B. 6 dollars
C. 150 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F1-Q3
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CONT.02 (local)

Learn
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Which disclosure is clearest at the start of a video?

A. "#sp #ad #collab" in the description only
B. No disclosure at all
C. "Thanks, GGT!"
D. "This video is sponsored by Green Grow Tools."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F1-Q4
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CONT.02 (local)

Learn
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The brand wants the video posted in 3 days, but the agreement says nothing about deadlines. What should she do?

A. Agree on the deadline in writing
B. Post whenever, without telling them
C. Ignore the brand
D. Guess the deadline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F1-Q5
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CONT.02 (local)

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A sponsor asks her not to mention that the video is sponsored. What should she do?

A. Disclose only if viewers ask about it
B. Agree to hide it
C. Disclose anyway or decline the deal
D. Hide it only in short videos

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F2-Q1
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CONT.02 (local)

Learn
Creators may earn through SPONSORSHIPS (a brand pays for a mention or video) and AFFILIATE LINKS (a commission on sales). Both are material connections that should be disclosed clearly where viewers will notice, such as saying "This video is sponsored by..." at the start and labeling links. A platform's built-in disclosure tool is not automatically enough. Choose sponsors that fit your audience, agree in writing on deliverables, payment and deadlines, and never make claims about a product you cannot support.

Two sponsors make competing products and both want exclusive mentions this month. What should she check?

A. Exclusivity terms in each agreement
B. Only which logo looks better
C. Nothing, so she accepts both quietly
D. Only follower comments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F2-Q2
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CONT.02 (local)

Learn
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A sponsor is late paying 1,200 dollars, 30 days past the agreed date. What is a sensible first step?

A. Post angry messages
B. Delete the video immediately without notice
C. Do nothing ever
D. Send a polite reminder referencing the agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F2-Q3
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CONT.02 (local)

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Affiliate income is 150 dollars on one month and 20 dollars the next. What does this show?

A. The link stopped existing
B. Taxes doubled
C. Affiliate income can be uneven
D. Affiliate income is always steady

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F2-Q4
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CONT.02 (local)

Learn
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Which statement is accurate?

A. Disclosures are optional for small creators with few viewers.
B. Sponsors decide what is truthful.
C. Disclose paid connections clearly and keep claims true.
D. Built-in tools are always enough.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S152-F2-Q5
Entrepreneurship, Set 152: Sponsorships and affiliate relationships · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CONT.02 (local)

Set 153: Being seen versus being eligible to earn

Outcome ENT.CONT.03: Tell platform visibility from monetization eligibility and check the official rules

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

Does getting views automatically mean earning ad revenue?

A. Yes, after the first video
B. No; platform programs have eligibility rules
C. Yes, every view always pays the creator
D. Yes, if the video has music

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-M-Q1
Entrepreneurship, Set 153: Being seen versus being eligible to earn · MAIN · Q1/5 · Outcome ENT.CONT.03 (local)

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

Where should a creator check current YouTube eligibility thresholds?

A. A friend's memory of the rules
B. A random comment
C. A video from several years ago
D. The official YouTube help page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-M-Q2
Entrepreneurship, Set 153: Being seen versus being eligible to earn · MAIN · Q2/5 · Outcome ENT.CONT.03 (local)

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

What does the passage say about thresholds?

A. They are secret
B. They are the same on every platform
C. They have changed over time
D. They never change

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-M-Q3
Entrepreneurship, Set 153: Being seen versus being eligible to earn · MAIN · Q3/5 · Outcome ENT.CONT.03 (local)

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

Which is a way creators earn beyond platform programs?

A. Copying others' videos
B. Selling their own products
C. Hiding sponsorships
D. Buying fake followers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-M-Q4
Entrepreneurship, Set 153: Being seen versus being eligible to earn · MAIN · Q4/5 · Outcome ENT.CONT.03 (local)

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Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

Why should creators not rely on one program?

A. Programs never change
B. Other income is illegal
C. Views always pay the same
D. Platforms can change programs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-M-Q5
Entrepreneurship, Set 153: Being seen versus being eligible to earn · MAIN · Q5/5 · Outcome ENT.CONT.03 (local)

Learn
A musician playing on a busy street may draw a crowd, but that is not the same as being booked for a paid concert. Concerts have their own requirements and contracts. Online, getting views is like drawing a crowd; joining a platform's earning program is like being booked, with its own rules to meet and keep meeting.

Drawing a crowd on the street is like what online?

A. Getting views
B. Being in a paid program
C. Filing taxes
D. Signing a lease

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-B1-Q1
Entrepreneurship, Set 153: Being seen versus being eligible to earn · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CONT.03 (local)

Learn
A musician playing on a busy street may draw a crowd, but that is not the same as being booked for a paid concert. Concerts have their own requirements and contracts. Online, getting views is like drawing a crowd; joining a platform's earning program is like being booked, with its own rules to meet and keep meeting.

Being booked for a paid concert is like what?

A. Posting a photo
B. Being accepted into an earning program
C. Changing a profile picture online
D. Getting one view

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-B1-Q2
Entrepreneurship, Set 153: Being seen versus being eligible to earn · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CONT.03 (local)

Learn
A musician playing on a busy street may draw a crowd, but that is not the same as being booked for a paid concert. Concerts have their own requirements and contracts. Online, getting views is like drawing a crowd; joining a platform's earning program is like being booked, with its own rules to meet and keep meeting.

Does a crowd automatically mean a paid booking?

A. Only in summer
B. No
C. Only downtown
D. Yes, always

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-B1-Q3
Entrepreneurship, Set 153: Being seen versus being eligible to earn · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CONT.03 (local)

Learn
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What do concerts have that street playing may not?

A. Music
B. An audience of passersby
C. Instruments
D. Requirements and contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-B1-Q4
Entrepreneurship, Set 153: Being seen versus being eligible to earn · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CONT.03 (local)

Learn
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What is the main lesson?

A. Attention and eligibility to earn are different
B. Music is free
C. Concerts are illegal for street musicians
D. Crowds are useless

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-B1-Q5
Entrepreneurship, Set 153: Being seen versus being eligible to earn · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CONT.03 (local)

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

A creator has growing views but has not checked program requirements. What should she do first?

A. Quit posting
B. Buy views to speed things up
C. Assume she is already earning from every view
D. Read the official program requirements and policies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F1-Q1
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CONT.03 (local)

Learn
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She earns 120 dollars from ads, 300 from a sponsor and 80 from affiliate links in a month. What is the total?

A. 300 dollars
B. 200 dollars
C. 500 dollars
D. 420 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F1-Q2
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CONT.03 (local)

Learn
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A creator earns 120 dollars from ads, 300 from a sponsor and 80 from affiliate links in a month. What share of the total comes from ads?

A. 16 percent
B. 24 percent
C. 120 percent
D. 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F1-Q3
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CONT.03 (local)

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A blog post from years ago lists program thresholds. What should she do?

A. Confirm with the current official page
B. Ask a stranger
C. Trust the old blog post fully as written
D. Ignore all rules

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F1-Q4
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CONT.03 (local)

Learn
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Which plan reduces dependence on one program?

A. Relying only on ad revenue from one single platform
B. Buying followers
C. Building products, sponsorships and an email list too
D. Posting only on one app

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F1-Q5
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CONT.03 (local)

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A platform changes its program and her ad income drops by half. What helps most?

A. Buying views to recover the lost income
B. Other income routes she has already built
C. Ignoring the change
D. Quitting immediately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F2-Q1
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CONT.03 (local)

Learn
Posting content and getting views is not the same as being ELIGIBLE TO EARN from a platform. For example, earning ad revenue on YouTube requires joining the YouTube Partner Program, which has eligibility thresholds and policies separate from simply posting videos; the thresholds have changed over time, so check the official help page rather than old articles. Platforms can also change programs. Creators often earn through several routes at once: platform programs, sponsorships, affiliate links, their own products, and services.

A service offers to sell her views to reach a threshold faster. What is the risk?

A. It can violate policies and get her removed
B. It improves trust
C. It guarantees acceptance
D. No risk, because bought views are always allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F2-Q2
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CONT.03 (local)

Learn
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Ad income falls from 400 to 200 dollars a month. What is the percent decrease?

A. 200 percent
B. 25 percent
C. 50 percent
D. 100 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F2-Q3
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CONT.03 (local)

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Her video is demonetized for a policy issue she does not understand. What should she do?

A. Repost it many times
B. Complain only in the comments of other creators' videos
C. Read the policy and use the official review or appeal process
D. Delete her channel

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F2-Q4
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CONT.03 (local)

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Which statement is accurate?

A. Every view always pays the creator the same amount.
B. Program thresholds never change.
C. One income route is always enough.
D. Views and eligibility differ, and rules can change.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S153-F2-Q5
Entrepreneurship, Set 153: Being seen versus being eligible to earn · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CONT.03 (local)

Set 154: Audience trust and diversification

Outcome ENT.CONT.04: Protect audience trust and avoid depending on one platform or sponsor

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A creator's main asset is AUDIENCE TRUST: viewers believe the creator is honest and useful. Trust is built by consistent, accurate content, disclosed sponsorships, admitting mistakes, and respecting the audience's time. It is easily lost through hidden ads, misleading claims or low-quality promotions. DIVERSIFICATION means not depending on one platform or income source: an email list, a website, and more than one channel or product reduce the risk of losing everything to one change.

What is a creator's main asset according to the passage?

A. The editing software
B. Audience trust
C. The logo design
D. The camera model

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-M-Q1
Entrepreneurship, Set 154: Audience trust and diversification · MAIN · Q1/5 · Outcome ENT.CONT.04 (local)

Learn
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Which action builds trust?

A. Admitting a mistake and correcting it
B. Making misleading claims
C. Hiding a sponsorship
D. Promoting low-quality products for money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-M-Q2
Entrepreneurship, Set 154: Audience trust and diversification · MAIN · Q2/5 · Outcome ENT.CONT.04 (local)

Learn
A creator's main asset is AUDIENCE TRUST: viewers believe the creator is honest and useful. Trust is built by consistent, accurate content, disclosed sponsorships, admitting mistakes, and respecting the audience's time. It is easily lost through hidden ads, misleading claims or low-quality promotions. DIVERSIFICATION means not depending on one platform or income source: an email list, a website, and more than one channel or product reduce the risk of losing everything to one change.

What is diversification for a creator?

A. Buying followers on many different apps
B. Not depending on one platform or income source
C. Using only one platform forever
D. Posting the same video ten times

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-M-Q3
Entrepreneurship, Set 154: Audience trust and diversification · MAIN · Q3/5 · Outcome ENT.CONT.04 (local)

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Which is an owned channel?

A. A viral video
B. An email list people joined
C. A comment section
D. A single social media account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-M-Q4
Entrepreneurship, Set 154: Audience trust and diversification · MAIN · Q4/5 · Outcome ENT.CONT.04 (local)

Learn
A creator's main asset is AUDIENCE TRUST: viewers believe the creator is honest and useful. Trust is built by consistent, accurate content, disclosed sponsorships, admitting mistakes, and respecting the audience's time. It is easily lost through hidden ads, misleading claims or low-quality promotions. DIVERSIFICATION means not depending on one platform or income source: an email list, a website, and more than one channel or product reduce the risk of losing everything to one change.

What can quickly lose trust?

A. Respecting viewers' time
B. Consistent, accurate content
C. Hidden ads
D. Disclosed sponsorships

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-M-Q5
Entrepreneurship, Set 154: Audience trust and diversification · MAIN · Q5/5 · Outcome ENT.CONT.04 (local)

Learn
People trust a local newspaper because it reports accurately, labels ads as ads, and prints corrections. If it hid paid articles as news, readers would stop trusting it. And a newspaper that also has a website and a newsletter is not ruined if one delivery route fails. Creators work the same way: honesty builds trust, and more than one channel spreads risk.

Labeling ads as ads is like what for a creator?

A. Buying views
B. Deleting comments
C. Hiding paid sponsorships
D. Disclosing sponsorships

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-B1-Q1
Entrepreneurship, Set 154: Audience trust and diversification · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CONT.04 (local)

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Printing corrections is like what?

A. Deleting old posts
B. Blaming readers
C. Admitting and fixing mistakes
D. Ignoring errors in old stories

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-B1-Q2
Entrepreneurship, Set 154: Audience trust and diversification · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CONT.04 (local)

Learn
People trust a local newspaper because it reports accurately, labels ads as ads, and prints corrections. If it hid paid articles as news, readers would stop trusting it. And a newspaper that also has a website and a newsletter is not ruined if one delivery route fails. Creators work the same way: honesty builds trust, and more than one channel spreads risk.

Hiding paid articles as news would do what?

A. Lose readers' trust
B. Gain readers' trust
C. Change nothing
D. Lower costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-B1-Q3
Entrepreneurship, Set 154: Audience trust and diversification · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CONT.04 (local)

Learn
People trust a local newspaper because it reports accurately, labels ads as ads, and prints corrections. If it hid paid articles as news, readers would stop trusting it. And a newspaper that also has a website and a newsletter is not ruined if one delivery route fails. Creators work the same way: honesty builds trust, and more than one channel spreads risk.

A newspaper with a website and a newsletter is like what?

A. A diversified creator
B. A competitor
C. A one-platform creator
D. A creator with no audience

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-B1-Q4
Entrepreneurship, Set 154: Audience trust and diversification · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CONT.04 (local)

Learn
People trust a local newspaper because it reports accurately, labels ads as ads, and prints corrections. If it hid paid articles as news, readers would stop trusting it. And a newspaper that also has a website and a newsletter is not ruined if one delivery route fails. Creators work the same way: honesty builds trust, and more than one channel spreads risk.

Why is the newspaper not ruined if one route fails?

A. Readers do not care how it arrives
B. It has other ways to reach readers
C. It is free
D. Routes never fail

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-B1-Q5
Entrepreneurship, Set 154: Audience trust and diversification · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CONT.04 (local)

Learn
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A creator recommended a gadget that later proved faulty. What builds trust?

A. Blaming viewers for buying the gadget
B. Deleting the video quietly
C. Posting an honest update about the problem
D. Promoting it more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F1-Q1
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CONT.04 (local)

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90 percent of her income comes from one platform's program. What is the main risk?

A. Income will double
B. No risk, because programs never change
C. Taxes vanish
D. A program change could remove most income

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F1-Q2
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CONT.04 (local)

Learn
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She invites viewers to an email list and 400 of 8,000 regular viewers join. What percent joined?

A. 20 percent
B. 400 percent
C. 0.5 percent
D. 5 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F1-Q3
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CONT.04 (local)

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A sponsor offers a large fee for a product she would not use. What protects trust?

A. Declining sponsors she does not believe in
B. Accepting every offer
C. Hiding the sponsor
D. Exaggerating the product to earn the fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F1-Q4
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CONT.04 (local)

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Income sources: ads 40 percent, sponsors 35 percent, own products 25 percent. Which is largest?

A. They are all equal
B. Ads
C. Own products
D. Sponsors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F1-Q5
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CONT.04 (local)

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Viewers accuse her of hiding a sponsorship she did disclose. What should she do?

A. Delete all comments
B. Stop disclosing sponsorships to avoid the attention
C. Argue angrily
D. Calmly point to the disclosure and keep it clear

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F2-Q1
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CONT.04 (local)

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A platform suspends her account for two weeks by mistake. What helps her keep earning?

A. Her email list, website and other channels
B. Buying new followers on another app
C. Nothing could help
D. Creating fake accounts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F2-Q2
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CONT.04 (local)

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She wants to post daily but quality drops and viewers complain. What should she weigh?

A. Posting hourly instead
B. Quality and trust over volume
C. Complaints never matter
D. Volume always beats quality

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F2-Q3
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CONT.04 (local)

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Her own product earns 1,200 dollars from 80 buyers. What is the average per buyer?

A. 1,200 dollars
B. 96,000 dollars
C. 15 dollars
D. 80 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F2-Q4
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CONT.04 (local)

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Which statement is accurate?

A. Trust cannot be lost once earned.
B. One platform is always the safest choice for creators.
C. Hidden ads build trust.
D. Honesty protects trust; more channels reduce risk.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S154-F2-Q5
Entrepreneurship, Set 154: Audience trust and diversification · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CONT.04 (local)

Set 155: Creator costs and uneven income

Outcome ENT.CONT.05: Plan for creator costs and income that changes month to month

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Which is a creator cost?

A. Viewers' comments
B. Music licenses and editing software
C. The platform's logo
D. Followers' birthdays and names

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-M-Q1
Entrepreneurship, Set 155: Creator costs and uneven income · MAIN · Q1/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Why is creator income often uneven?

A. Viewers pay a monthly salary
B. Income is always fixed by law
C. Sponsors and ad revenue vary month to month
D. Platforms pay creators the same every month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-M-Q2
Entrepreneurship, Set 155: Creator costs and uneven income · MAIN · Q2/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

What helps in slow months?

A. A cash reserve
B. Ignoring the budget
C. Spending everything in good months
D. Buying more equipment

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-M-Q3
Entrepreneurship, Set 155: Creator costs and uneven income · MAIN · Q3/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Why track income by source?

A. To confuse the budget
B. Because sources never change
C. To see trends in each source
D. To hide income

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-M-Q4
Entrepreneurship, Set 155: Creator costs and uneven income · MAIN · Q4/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

What should a monthly budget be based on?

A. A competitor's income
B. A cautious estimate of income
C. A guess of doubling each month
D. The best month ever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-M-Q5
Entrepreneurship, Set 155: Creator costs and uneven income · MAIN · Q5/5 · Outcome ENT.CONT.05 (local)

Learn
To plan with uneven income, average several months: add them and divide by the number of months. Example: 600, 1,400, 400 and 1,000 total 3,400; 3,400 / 4 = 850 a month. A cautious budget might use a number below the average, or the lowest recent month, so slow months do not cause a crisis or force rushed decisions.

Months: 500, 900, 700. What is the average?

A. 700
B. 500
C. 900
D. 2,100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-B1-Q1
Entrepreneurship, Set 155: Creator costs and uneven income · BACKWARD 1 (math prerequisite) · Q1/5 · Outcome ENT.CONT.05 (local)

Learn
To plan with uneven income, average several months: add them and divide by the number of months. Example: 600, 1,400, 400 and 1,000 total 3,400; 3,400 / 4 = 850 a month. A cautious budget might use a number below the average, or the lowest recent month, so slow months do not cause a crisis or force rushed decisions.

600, 1,400, 400 and 1,000 total what?

A. 850
B. 2,400
C. 1,400
D. 3,400

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-B1-Q2
Entrepreneurship, Set 155: Creator costs and uneven income · BACKWARD 1 (math prerequisite) · Q2/5 · Outcome ENT.CONT.05 (local)

Learn
To plan with uneven income, average several months: add them and divide by the number of months. Example: 600, 1,400, 400 and 1,000 total 3,400; 3,400 / 4 = 850 a month. A cautious budget might use a number below the average, or the lowest recent month, so slow months do not cause a crisis or force rushed decisions.

3,400 / 4 is what?

A. 1,360
B. 850
C. 3,400
D. 425

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-B1-Q3
Entrepreneurship, Set 155: Creator costs and uneven income · BACKWARD 1 (math prerequisite) · Q3/5 · Outcome ENT.CONT.05 (local)

Learn
To plan with uneven income, average several months: add them and divide by the number of months. Example: 600, 1,400, 400 and 1,000 total 3,400; 3,400 / 4 = 850 a month. A cautious budget might use a number below the average, or the lowest recent month, so slow months do not cause a crisis or force rushed decisions.

What is a cautious number to budget from in that example?

A. The lowest recent month, 400
B. The highest month, 1,400
C. Double the average
D. The total, 3,400

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-B1-Q4
Entrepreneurship, Set 155: Creator costs and uneven income · BACKWARD 1 (math prerequisite) · Q4/5 · Outcome ENT.CONT.05 (local)

Learn

To plan with uneven income, average several months: add them and divide by the number of months. Example: 600, 1,400, 400 and 1,000 total 3,400; 3,400 / 4 = 850 a month. A cautious budget might use a number below the average, or the lowest recent month, so slow months do not cause a crisis or force rushed decisions.

Months: 300, 1,200, 600, 900. What is the average?

A. 3,000

B. 1,200

C. 600

D. 750

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-B1-Q5

Entrepreneurship, Set 155: Creator costs and uneven income · BACKWARD 1 (math prerequisite) · Q5/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Monthly costs: software 45, music 20, storage 10, editing help 200. What is the total?

A. 200 dollars
B. 75 dollars
C. 275 dollars
D. 255 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F1-Q1
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Income over 4 months: 900, 300, 1,500, 500. What is the average?

A. 800 dollars
B. 3,200 dollars
C. 300 dollars
D. 1,500 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F1-Q2
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

In the 300-dollar month, costs were 275. How much was left before taxes?

A. 300 dollars
B. 275 dollars
C. 575 dollars
D. 25 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F1-Q3
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Her monthly costs are 275 dollars. She wants a reserve of 3 months of costs. How much is that?

A. 550 dollars
B. 825 dollars
C. 275 dollars
D. 1,100 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F1-Q4
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

A sponsor pays 1,200 dollars once. What is a sensible use?

A. Set aside taxes, build the reserve, then invest
B. Ignore taxes
C. Spend it all on new camera gear that same week
D. Assume it repeats every month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F1-Q5
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

After a great month, she wants a 2,500-dollar camera. Her average monthly profit is 500. What should she weigh?

A. Buy it now, because one month was great
B. Buy two cameras
C. Borrow without a plan
D. Whether the camera will raise income enough

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F2-Q1
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Ad income drops 40 percent from 600 dollars. What is the new amount?

A. 560 dollars
B. 840 dollars
C. 360 dollars
D. 240 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F2-Q2
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

A slump lasts 3 months. What should she adjust first?

A. Spend more on new gear to feel better about it
B. Cut nonessential costs and lean on her reserve
C. Quit immediately
D. Stop paying taxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F2-Q3
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

She sets aside 25 percent of income for taxes (a practice assumption). Income is 1,600 dollars. How much is set aside?

A. 400 dollars
B. 25 dollars
C. 1,200 dollars
D. 160 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F2-Q4
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CONT.05 (local)

Learn
Creating content has COSTS: equipment, software subscriptions, music licenses, editing help, travel and the creator's own time. Creator INCOME is often UNEVEN: sponsorships arrive irregularly, ad revenue can swing by season or with platform changes, and product launches come in bursts. Plan with a monthly budget based on a cautious estimate, keep a cash reserve for slow months, set aside money for taxes, and track income by source so you can see trends.

Which statement is accurate?

A. Budget cautiously, keep a reserve and track sources.
B. Equipment always pays for itself.
C. Taxes do not apply to creators' online income.
D. Creator income is always steady.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S155-F2-Q5
Entrepreneurship, Set 155: Creator costs and uneven income · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CONT.05 (local)

Set 156: Founder case: Craigslist grows from an email list

Outcome ENT.CASE.12: Apply a documented early pattern (a free list that grew because users asked for more) to a new content or community business

Module: Path: content creation & social media

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

According to the passage, how did it start?

A. A paid newspaper with printed classified ads
B. A television show about San Francisco local events
C. An email list of local event notices for friends
D. A mobile app for dating

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-M-Q1
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · MAIN · Q1/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

What did people start posting besides events?

A. Nothing else
B. Jobs and apartments
C. Only cat photos
D. Only family recipes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-M-Q2
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · MAIN · Q2/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

When was it incorporated as a company?

A. 1975
B. 1995
C. 2007
D. 1999

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-M-Q3
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · MAIN · Q3/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Which lesson does this course draw?

A. Ignore what users post
B. Charge everyone before offering anything useful
C. Buy a large email list of strangers first to grow fast
D. Share something useful with people who asked, then listen

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-M-Q4
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · MAIN · Q4/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Which statement about the Craigslist case is accurate?

A. It shows one path, not proof for every email list.
B. It shows permission does not matter.
C. It shows users never change a product.
D. It proves every email list becomes a big company.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-M-Q5
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · MAIN · Q5/5 · Outcome ENT.CASE.12 (local)

Learn
Imagine pinning a sheet of local events on a café bulletin board. Soon neighbors add notes about lost pets, rooms for rent and jobs. You notice and add sections for each. You did not plan those sections; you followed what people used the board for. The documented Craigslist facts are the email list, the new kinds of posts and the dates; the bulletin board comparison is this course's explanation.

The first sheet of local events is like what?

A. A paid daily newspaper in print
B. The original email list of events
C. A tax form
D. A store sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-B1-Q1
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.12 (local)

Learn
Imagine pinning a sheet of local events on a café bulletin board. Soon neighbors add notes about lost pets, rooms for rent and jobs. You notice and add sections for each. You did not plan those sections; you followed what people used the board for. The documented Craigslist facts are the email list, the new kinds of posts and the dates; the bulletin board comparison is this course's explanation.

Neighbors adding notes about rooms and jobs is like what?

A. Users posting jobs and apartments
B. A competitor's ad on the board
C. The owner deleting posts
D. A government notice

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-B1-Q2
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.12 (local)

Learn
Imagine pinning a sheet of local events on a café bulletin board. Soon neighbors add notes about lost pets, rooms for rent and jobs. You notice and add sections for each. You did not plan those sections; you followed what people used the board for. The documented Craigslist facts are the email list, the new kinds of posts and the dates; the bulletin board comparison is this course's explanation.

Adding sections for each kind of note is like what?

A. Charging money for every pin on it
B. Closing the board
C. Growing the format around users' needs
D. Ignoring users

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-B1-Q3
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.12 (local)

Learn
Imagine pinning a sheet of local events on a café bulletin board. Soon neighbors add notes about lost pets, rooms for rent and jobs. You notice and add sections for each. You did not plan those sections; you followed what people used the board for. The documented Craigslist facts are the email list, the new kinds of posts and the dates; the bulletin board comparison is this course's explanation.

"It was incorporated in 1999" is which kind of statement?

A. A promise
B. Documented fact
C. A rumor
D. Course explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-B1-Q4
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.12 (local)

Learn
Imagine pinning a sheet of local events on a café bulletin board. Soon neighbors add notes about lost pets, rooms for rent and jobs. You notice and add sections for each. You did not plan those sections; you followed what people used the board for. The documented Craigslist facts are the email list, the new kinds of posts and the dates; the bulletin board comparison is this course's explanation.

The bulletin board comparison is which kind?

A. A contract
B. A law
C. A documented fact from records
D. The course's explanation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-B1-Q5
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Ana emails a weekly list of local craft fairs to 40 friends who asked for it. Readers start replying with booth swaps. What fits the lesson?

A. Ignore the replies
B. Stop the list
C. Sell the readers' email addresses
D. Consider adding a booth-swap section

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F1-Q1
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

The list grows from 40 to 260 subscribers in a year. How many more?

A. 300
B. 40
C. 220
D. 260

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F1-Q2
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

The list grows from 40 to 260 subscribers in a year. What percent growth is that?

A. 650 percent
B. 220 percent
C. 15 percent
D. 550 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F1-Q3
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Before adding strangers to the list, what should Ana do?

A. Copy a competitor's list
B. Buy a list of addresses from a website quickly
C. Add any email she can find
D. Let people join by choice with a clear sign-up

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F1-Q4
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Which detail is documented, not interpreted?

A. People asked to join the event emails
B. Email lists guarantee companies
C. Listening always leads to success
D. Every list should add jobs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F1-Q5
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

As Ana's list grows, some readers post spam offers. What should she do?

A. Allow anything to keep growth fast
B. Set clear posting rules and moderate
C. Add more spam
D. Close the list immediately

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F2-Q1
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Readers ask her to charge for job posts to reduce spam. What should she consider?

A. Nothing; fees are always wrong
B. Whether a small fee fits readers' needs and her goals
C. Ignoring them
D. Charging every reader a monthly fee just to read

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F2-Q2
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Someone says, "Craigslist started as email, so email lists always become companies." What is wrong?

A. One case does not prove a general rule
B. Email is illegal
C. Craigslist never used email
D. Nothing, because it always happens that way

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F2-Q3
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Her commercial emails must include an opt-out and a valid postal address. Which address could she use for privacy?

A. A made-up address
B. No address at all
C. A friend's address without asking
D. A registered PO Box or private mailbox

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F2-Q4
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.12 (local)

Learn
Documented history (Encyclopedia.com): Craig Newmark began emailing San Francisco event notices to friends in 1995. People asked to join, and they started posting other things such as jobs and apartments. The list moved to the web and was incorporated as a company in 1999. Lesson drawn by this course (an interpretation): start by sharing something useful with people who asked for it, listen to what they start using it for, and grow the format around their needs. One success story does not guarantee the same result for another business.

Which statement is accurate?

A. Email lists should be built from bought addresses.
B. One story proves a rule.
C. Users never change how a product is used.
D. Serve people who asked and listen; results vary.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S156-F2-Q5
Entrepreneurship, Set 156: Founder case: Craigslist grows from an email list · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.12 (local)